



RETAIL BANKING & WEALTH MANAGEMENT



INDIAN INSTITUTE OF BANKING & FINANCE



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RETAIL BANKING & WEALTH MANAGEMENT



INDIAN INSTITUTE OF BANKING & FINANCE

(ISO 9001:2015 Certified)

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Mumbai-400070

Established on 30th April 1928

MISSION

- To develop professionally qualified and competent bankers and finance professionals primarily through a process of education, training, examination, consultancy/counselling and continuing professional development programs.

VISION

- To be the premier Institute for developing and nurturing competent professionals in banking and finance field.

OBJECTIVES

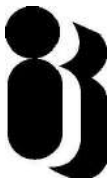
- To facilitate study of theory and practice of banking and finance.
- To test and certify attainment of competence in the profession of banking and finance.
- To collect, analyse and provide information needed by the professionals in banking and finance.
- To promote continuous professional development.
- To promote and undertake research relating to Operations, Products, Instruments, Processes, etc., in banking and finance and to encourage innovation and creativity among finance professionals so that they could face competition and succeed.

COMMITTED TO PROFESSIONAL EXCELLENCE

Website: www.iibf.org.in

RETAIL BANKING & WEALTH MANAGEMENT

**(For JAIIB/Diploma in Banking &
Finance Examination)**



Indian Institute of Banking & Finance





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RETAIL BANKING & WEALTH MANAGEMENT

First Edition (2023)

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FOREWORD

Formal education will make you a living; self-education will make you a fortune.

—Jim Rohn

The banking sector, currently, is experiencing a transformation catalysed by digitalization and information explosion with the customer as the focal point. Besides, competition from NBFCs, FinTechs, changing business models, growing importance of risk and compliance have contributed to this radical shift. Such an ever-evolving ecosystem requires strategic agility and constant upgradation of skill levels on the part of the Banking & Finance professionals to chart a clear pathway for their professional development.

The mission of the Indian Institute of Banking & Finance is to develop professionally qualified and competent bankers and finance executives primarily through a process of education, training, examination, counselling and continuing professional development programs. In line with the Mission, the Institute has been offering a bouquet of courses and certifications for capacity building of the banking personnel.

The flagship courses/examinations offered by the Institute are the JAIIB, CAIIB and the Diploma in Banking & Finance (DB&F) which have gained wide recognition among banks and financial institutions. With banking witnessing tectonic shifts, there was an imperative need to revisit the existing syllabi for the flagship courses.

The pivotal point for revising the syllabi was to ensure that, in addition to acquiring basic knowledge, the candidates develop concept-based skills for keeping pace with the developments happening in the financial ecosystem and to ensure greater value addition to the flagship courses and to make them more practical and contemporary. This will culminate in creating a rich pool of knowledgeable and competent banking & finance professionals who are capable of contributing to the sustainable growth of their organizations.

Keeping in view the above objectives, the Institute had constituted a high-level Syllabi Revision Committee comprising of members from public sector banks, private sector banks, co-operative banks and academicians. On the basis of the feedback received from various banks and changes suggested by the Committee, the syllabi of JAIIB & CAIIB have since been finalized.

The revised JAIIB syllabi will now have four compulsory subjects as under:

1. Indian Economy & Indian Financial System
2. Principles & Practices of Banking
3. Accounting & Financial Management for Bankers
4. Retail Banking & Wealth Management

The new subject on Indian Economy & Indian Financial System will cover the basics of economics and financial system prevalent in India. This will familiarise the candidates with the evolving financial ecosystem of the country.

In so far as the book on Accounting & Financial Management is concerned, two new modules viz Financial Management and Taxation & Fundamentals of Costing have been introduced. With bankers having to cater to the requirements of varied industries, it is imperative that they have an underlying understanding of the relationships between cost accounting, financial accounting, management accounting and financial management. Some of the other topics that have been covered are Cost of Capital, Equipment Leasing, GST, Standard Costing, Marginal Costing, Budgetary Control system etc.

The books on Principles & Practices of Banking and Retail Banking & Wealth Management have been thoroughly revised and updated.

As is the practice followed by the Institute, a dedicated courseware for every paper/subject is published. The present courseware on Retail Banking and Wealth Management for Bankers has now been authored in line with the revised syllabus for the subject. The book follows the same modular approach adopted by the Institute in the earlier editions/publications.

While the Institute is committed to revise and update the courseware from time to time, the book should, however, not be considered as the only source of information / reading material while preparing for the examinations due to rapid changes witnessed in all the areas affecting banking & finance. The students have to keep themselves abreast with the current developments by referring to economic newspapers/ journals, articles, books and Government / Regulators' publications / websites etc. Questions will be based on the recent developments related to the syllabus.

Considering that the courseware cannot be published frequently, the Institute will continue the practice of keeping candidates informed about the latest developments by placing important updates/Master Circulars/ Master Directions on its website and through publications like IIBF Vision, Bank Quest, etc.

The courseware has been updated with the help of Subject Matter Experts (SMEs) drawn from respective fields and vetted by practitioners to ensure accuracy and correctness. The Institute acknowledges with gratitude the valuable contributions rendered by the SMEs in updating/vetting the courseware.

We welcome suggestions for improvement of the courseware.

Mumbai
2023

Biswa Ketan Das
Chief Executive Officer

RECOMMENDED READING

The Institute has prepared comprehensive courseware in the form of study kits to facilitate preparation for the examination without intervention of the teacher. An attempt has been made to cover fully the syllabus prescribed for each module/subject and the presentation of topics may not always be in the same sequence as given in the syllabus.

Candidates are also expected to take note of all the latest developments relating to the subject covered in the syllabus by referring to Financial Papers, Economic Journals, Latest Books and Publications in the subjects concerned.

RETAIL BANKING & WEALTH MANAGEMENT SYLLABUS

MODULE A: RETAIL BANKING

Retail Banking: Introduction

Characteristics of Retail Banking; Advantages of Retail Banking; Constraints in Retail Banking; Evolution of Retail Banking; Prerequisite for Success of Retail Banking; Challenges for Retail Banking; Future of Retail Banking

Retail Banking: Role within the Bank Operations

Business Models

Applicability of Retail Banking Concepts and Distinction between Retail and Corporate/Wholesale Banking

Applicability of Retail Banking Concepts; Distinction between Retail and Corporate/Wholesale Banking

Branch Profitability

Banking System: An Introduction; Banking in India; What is Profitability; What is Profit; Gross Profit, Operating Profit and Net Profit; Profit and Profitability in the context of Banking; Traditional Measures of Profitability; The ROA (Return on Asset); Return on Equity (ROE) for Banks; Branch Operating Efficiency; Strategies for Improving Efficiencies of Banking Operations; Factors Affecting Profitability of Banks in India; Profitability Analysis of Bank Branches; Steps to Improve Branch Profitability; Essential Factors to Make Continuous Improvement in Profitability

MODULE B: RETAIL PRODUCTS AND RECOVERY

Customer Requirements

Maslow's Theory and Customer Requirements; Customer Requirements about Service Quality; Service Quality

Product Development Process

Product Development Process; Product Life Cycle; Product Lines of a Banker; Deposit Products or Liability Products; Credit Products or Asset Products; Other Products and Services; Other Fee Based Services – Distribution of third party products; New Product Development; Stages in New Product Development; Constraints in New Product Development; Product Management; Product Policy

Credit Scoring

What is a Credit Score?; Evolution of Credit Scoring; What's a Good Credit Score?; Credit Scoring Model; Managing the Credit Score; Positive Side of Credit Score; Warning Signs in Credit Score; Credit Information Companies in India; Issues in Credit Scoring; Mistakes in Credit Scoring; Troubleshooting Credit Score

Important Retail Liability Products

Demand Deposits : An Introduction; Current Deposit: An Introduction; Main features of Current Deposit Account; Advantage of Current Deposit Account; Documents required for opening various types of Current Accounts; Opening of Current Account; Operational Instructions in Current Account; Transfer of Accounts; Inoperative Accounts; Closure of Current Account; Savings Bank Account: An Introduction; Advantages and Importance of Savings Bank Deposits to Customers; Who Can Open a Savings Bank Account?; Deregulation of interest in Savings Deposit Account; Maintenance of Balance in Savings Bank Account and Interest Payment; Restrictions on Transactions in SB Account; Services offered in Savings Bank Accounts; Time Deposit – An Introduction; Periodicity of Time Deposit; Operational instructions; Interest on Fixed Deposit; Term Deposit accounts of minors; Premature Payment of FD; Operational Issues of FD; Advances Against Bank's own Time Deposit Receipts; Renewal of FD; Recent Rule of RBI on overdue FD; Form 15 G/ 15 H; Deposit of TDS to Income Tax Department by Banks; 2 in 1 Account; Recurring Deposit (RD)

Important Retail Asset Products

Home Loans; Housing Loan under Prime Minister's Awas Yojana (PMAY); Home Improvement Loans; Home Decor Loans; Auto/Vehicle Loans; Personal Loans; Educational Loans; Other Retail Loans; Processing of Retail Loans

Credit and Debit Cards

Credit Cards; Charge Cards; Pre-paid Cards; Debit Cards; Co-branded Cards; Contactless Cards

Remittance Products

Electronic Payment Systems; National Electronic Funds Transfer (NEFT); Real Time Gross Settlement (RTGS); Electronic Clearing Services (ECS); National Automated Clearing House (NACH) System; Aadhaar enabled Payment System (AePS); Bharat Bill Payment System (BBPS); Benchmarking India's Payment System

Digitisation of Retail Banking Products

Technology in Retail Banking; Technology Processes in Retail Banking; Some Important User Friendly Features; Customer Analytics; Institute for Development and Research on Banking Technologies (IDRBT); Indian Financial Network (INFINET); Structured Financial Messaging System (SFMS); National Financial Switch (NFS); Indian Banking Community Cloud (IBCC); Wealth Management Solutions; Digital Lending

Role of AI and Technology in Retail Banking

Dimensions of Banking Technology; Banking Today; Relationship between Banking and Technology; Evolution of Banking Technology; A New Era in Banking; Evolution of Banking Technology in India; Challenges towards adoption of Technology by Indian Banks; Technology in Retail Banking; Benefits of Technology in Retail Banking; Artificial Intelligence (AI); Difference between Artificial Intelligence (AI) and Automation; Evolution of Artificial Intelligence; Artificial Intelligence Industry in India; Artificial Intelligence in Indian Banking Industry; Indian Banks and the Technology; Why AI in Banking Industry?; Benefits of Artificial Intelligence Technology in Banking and Finance; Artificial Intelligence in Retail Banking; Artificial Intelligence in Retail Banking in India; The Challenges Facing India's AI Development; Benefits of AI in Retail Banking

Recovery of Retail Loans

Repayment in Retail Loans; Default and Re-scheduling in Retail Loans; Monitoring of Loan Accounts; Classification of Irregular Loan Accounts; Recovery Policy of Banks; Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI Act); Debt Recovery Tribunal (DRT); Recovery through Lok Adalat; Engaging Direct Recovery Agents

Management Information Systems

The main elements of MIS; Role of Management Information Systems; Role of MIS in Improving decision making; Role of MIS in Banking Industry; Designing MIS for a Bank; Issues Related to Management Information System (MIS); Suggestions for Solution to MIS related Issues

Securitization

Securitization of Assets

MODULE C: SUPPORT SERVICES – MARKETING OF BANKING SERVICES/ PRODUCTS

Marketing: An Introduction

Marketing in Retail Banking; Marketing Mix in Retail Banking

Delivery Channels in Retail Banking

Channel Experience; Physical/Direct Channels – Branch; Automated Teller Machines; Point of Sale Terminal; Mobile Banking; Internet Banking; Customer's Liability on Unauthorized Electronic Transactions

Delivery Models

Delivery Models; Internal Customers – Staff at the Branch Level; Dedicated Marketing Managers; Direct Selling Agents (DSAs); Tie-up with Institutions/OEMs/Dealers, etc.

Customer Relationship Management in Retail Banking

Customer Relationship Management in Retail Banking; Why CRM?; Implementation Aspects of CRM in Banks; Implementation Process of CRM in Banks; Implementation Stages in CRM; Benefits of CRM; Impact of CRM on Customer Satisfaction

Service Standards for Retail Banking

Members of BCSBI; Main Aims and Objects; Code of Banks' Commitment; Code of Banks Commitment to Micro and Small Enterprises; Function of BCSBI; Code Compliance Rating; Customer Grievances Handling Mechanism; General Information

Marketing Information Systems- A Longitudinal Analysis

Functions of MKIS; Components of MKIS; The MKIS Model; Observations; Usage of Computers in MKIS; Supports for Marketing Management; Supports for Marketing Mix Decisions; Use of Decision Models; Performance of MKIS; Recommendations; Advantages of MKIS

MODULE D: WEALTH MANAGEMENT

Importance of Wealth Management

Wealth Management – Broad View; Wealth Management Business Structures; Wealth management process; Wealth Management Products and Services; Alternative asset; Bond; Insurance; Mutual fund; Real estate Service; Retirement Planning; Strategic Business Strategy; Will Writing; Private Wealth Management; Personal Financial Planning; Wealth Management Assessment; Private Banking; Benefits of Wealth management; Importance of Wealth Management

Investment Management

Element of Investment; Basics of Investment Management; Steps in Investment Management; Investment Banking; Services being offered by Full-service Investment Banks; Investment Bank Organizational Structure; Investment Management Vs Investment Banking; Portfolio Management; Objectives of Portfolio Management; Key Elements of Portfolio Management; Portfolio Management Vs Investment Banking; Role of Portfolio Manager; Portfolio Management Service Vs Mutual Funds (MFs); Types of Portfolio Management Services; Steps of the Portfolio Management Process; Advantages of Portfolio Management Services; Disadvantages of PMS; Recent developments in the Portfolio Management Services area in India

Tax Planning

Classification of Tax Structure in India; Financial Year; Assessment Year; Previous Year; Concept of Previous Year & Financial Year vis-a-vis Assessment Year; Residential Status for Income Tax; A few important terms in Income Tax; Heads of Income for computation of the total income; Income Tax Slab rate for FY 2021-22 (AY 2022-23); Conditions for opting New Tax Regime; Example for Old Tax Regime Vs New Tax Regime & which is better; Income Tax Slabs for non-individual entities; Investment Products for Tax Savings; Estate Planning-Tax Planning through Wills/ Trusts; Capital Gains Tax

Other Financial Services Provided by Banks

Distribution of Third Party Products in Retail Banking; Mutual Fund Business; Insurance Business; Some Social Security Insurance Schemes; Cross Selling; Depository Services by Banks; Portfolio Management Services; Factoring; Other Agency Business by Banks

ADDITIONAL READING MATERIAL ON HOME LOANS**Lender's Appraisal Procedure**

Appraisal Procedures; Application Form; Documents to be Submitted for Availing a Home Loan; Application Received through Agent; Appraisal of Loan Request; Other Relevant Issues at Pre-sanction Stage; Documentation; Mortgage; Registration of Documents; Detection of Forged and Fabricated Title Deeds; Other Securities; Registration of Charges with CERSAI on Security Internet; Monitoring; Closure of Account; Home Loan Frauds

Housing Finance and Tax Planning

Tax Benefits in Respect of Housing Finance

Mortgage Advice

Development of "Home Information Packs"; Time Value of Money-interest and Annuities; Capital Gains; Loan Calculator and Loan Amortization Schedule

Valuation of Real Property

Who does Valuation?; Land with Building; Life of Structures; Sinking Fund; Reverse Mortgage

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MODULE – A

RETAIL BANKING

Unit 1: Retail Banking: Introduction

Unit 2: Retail Banking: Role within the Bank Operations

Unit 3: Applicability of Retail Banking Concepts and Distinction between Retail and Corporate/Wholesale Banking

Unit 4: Branch Profitability



RETAIL BANKING: INTRODUCTION

STRUCTURE

- 1.0 Objectives
- 1.1 Introduction
- 1.2 Characteristics of Retail Banking
- 1.3 Advantages of Retail Banking
- 1.4 Constraints in Retail Banking
- 1.5 Evolution of Retail Banking
- 1.6 Prerequisite for Success of Retail Banking
- 1.7 Challenges for Retail Banking
- 1.8 Future of Retail Banking

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

1.0 OBJECTIVES

The objectives of this unit are to understand the:

- History and definition of Retail Banking
- Characteristics of Retail Banking
- Advantages and constraints of Retail Banking
- Retail banking scenario in India – Why Retail Banking? Factors for Success, Challenges, Future Strategy
- Global trend in Retail Banking

1.1 INTRODUCTION

The Indian economy over the past decades has been witnessing an upswing due to the liberalization policy adopted by the planners. The economic changes have given rise to increased income and saving levels leading to increased demand on the financial markets and more particularly on banks, which continue to be a safe and secure source for individual savings and investments. In recent times, banks have been moving away from their traditional banking role and are open to change in response to the multifarious demands of customers/ society. From a mere service provider to park surpluses, banks have blossomed into one stop financial hub for all kinds of financial needs of the customers. Banks have come out with various alternatives which can cater to almost all needs of various type of customers due to innovation and positioning of new products and processes.

Considering the increased competition, there is a felt need for the banks to be innovative and develop different products with a variety of features to cater the needs of varied profile of customers. It becomes imperative on the part of the banks to develop products customized to suit the needs of variety of customers and move away from a Product Centric Approach to Customer Centric Approach. Banks have slowly started realising that the customer is the king and to retain the customer, especially in a tough competitive market, they have to satisfy all the financial needs by offering products to suit the customers' requirements.

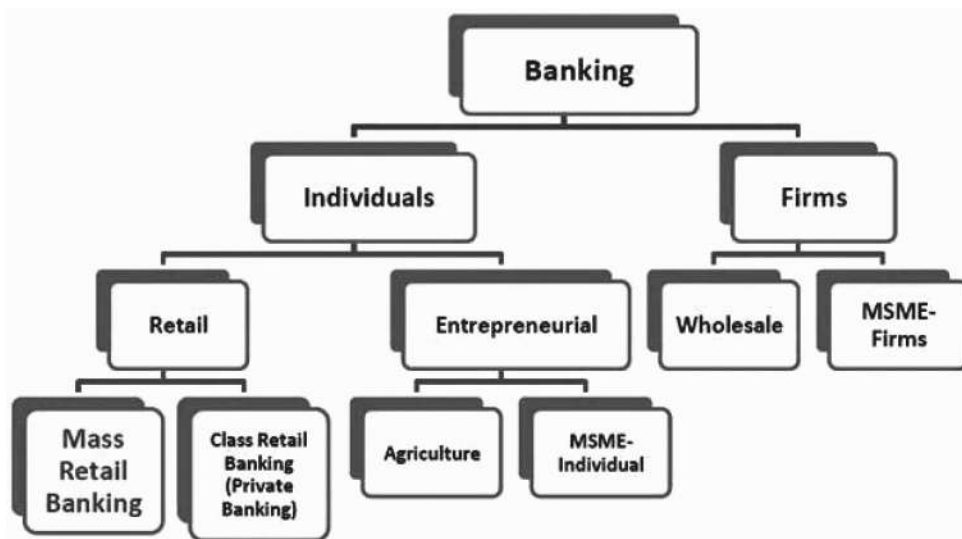
Intermediation is the primary function of banks and mobilisation of deposits is the first step to intermediation. They accept deposit from public and lend it to the enterprise class engaged in productive activities. The robustness of any economy depends to a great extent on the savings that are generated in it. These savings constitute the source for creation of further wealth by deploying them in tune with economic directions adopted by a country. Investments stimulate economic activities to greater heights leading to economic prosperity.

Despite the changes in the functions performed by banks, the major function of the bank remain as collecting deposits and lending including retail lending. Banks have accordingly developed various variants of deposit as well as lending products with special emphasis on retail lending products to suit various requirements of variety of customers from all segments of the society.

Retail Banking refers to provision of banking products and services offered to individual customers, typically for non-entrepreneurial purposes. On the liability side, banking has generally been 'retail', i.e., the banks have raised resources primarily from a large number of retail depositors. In asset side also, the focus has been on lending to large number of customers with low ticket size. Thus, on the whole, retail banking involves offering of products of both sides of the balance sheet, e.g., fixed deposit, current/savings accounts on the liability side; and mortgages, loans (e.g., personal, housing, auto and educational) on the asset side. Additionally, retail banking also involves offering of credit cards, depository services, para-banking products and services viz., insurance products, capital market products, etc., to individuals.

Typically, retail banking begins with a target clientele, which is the common masses, and it slowly graduates through a stage, which can be called as 'class retail banking.' The 'mass retail banking' is the stage in which the bank provides standardized banking products and services to its customers. In this phase, the banks attempt to build a sufficiently broad customer base which can serve as a stable source of funding. The 'class retail banking', on the other hand, is the stage in which the bank offers customized products and services targeted at a niche customer segment, the high net worth individuals. Retail banking focused solely at a niche customer segment may also be termed as private banking.

A graphical representation of the positioning of mass retail banking vis-à-vis other segments of banking is as under:



(Source: RBI Website)

Definitions:

Before we move further, let us have a look “What is Retail Banking”? Let us see the different definitions of retail banking.

6 | RETAIL BANKING & WEALTH MANAGEMENT

“**Retail Banking**, also known as consumer banking or personal banking, is banking that provides financial services to individual consumers rather than businesses. Retail banking is a way for individual consumers to manage their money, have access to credit, and deposit their money in a secure manner”.

“Retail Banking is a banking service that is geared primarily towards individual consumers. Retail banking is usually made available by commercial banks. Unlike wholesale banking, retail banking focuses strictly on consumer markets. Retail banking entities provide a wide range of personal banking services, including offering savings and other operative accounts, bill paying services, as well as debit and credit cards. Through retail banking, consumers may also obtain mortgages and personal loans. Although retail banking is, for the most part, mass-market driven, many retail banking products may also extend to small and medium sized businesses. Today, much of retail banking is streamlined electronically via Automated Teller Machines (ATMs), or through virtual retail banking known as online banking.”

“Retail Banking deals with lending money to consumers. This includes a wide variety of loans, including credit cards, mortgage loans and auto loans, and can also be used to refer to loans taken out at either the prime rate or the subprime rate.”

“Retail banking refers to banking in which banking institutions execute transactions directly with consumers, rather than corporations or other entities”.

Retail Banking refers to “the part of a bank’s operations providing services at its branches for small (in bank terms) account holders.”

“Banking services offered to individual customers such as savings accounts, retail loans, remittance services, etc.”

“Pure retail banking is generally conceived to be the provision of mass market banking services to private individuals. It has been expanded over the years to include in many cases services provided to small- and medium-sized businesses. Some banks may also include their “private banking” business (i.e., services to high net worth individuals) in their definition of retail banking.”

What Does Retail Banking Provide?

Retail banking provides financial services to individual consumers rather than large institutions.

- Services offered include savings and current accounts, mortgages, personal loans, debit or credit cards, and certificates of deposit (CDs).
- Retail banks can be local community banks or the divisions of large commercial banks.
- In the digital age, many fintech companies can provide all of the same services as retail banks through internet platforms and smartphone apps.
- While retail banking services are provided to individuals in the general public, corporate banking services are only provided to small or large companies and corporate bodies.

1.2 CHARACTERISTICS OF RETAIL BANKING

Retail Banking provides banking services to multiple customer groups with multiple products through multiple channels of distribution. The definitions of retail banking as discussed above bring out the following characteristics:

1. Banking facilities are targeted at individual customers or small organisations.
2. Meets the need of a large number of customers with well diversified portfolios.
3. It is focussed towards the mass market segment covering a large population of individuals and non-individual entities.
4. It offers different liability, asset and a plethora of service products to the various customer categories.
5. The delivery model of retail banking is both physical and virtual, i.e., services are extended through branches and also through technology driven electronic off-site delivery channels like ATMs, Internet Banking, Mobile Banking, Phone Banking, etc.
6. The services are extended to small- and medium-size businesses as well.

In short, Retail Banking encompasses multiple products in liability, asset, cards, digital banking, payments, etc.; it caters to multiple customer groups in both individual as well as non-individual categories & multiple channels of distribution in both physical as well as virtual space.

1.3 ADVANTAGES OF RETAIL BANKING

1. Client base will be large and therefore risk is spread across the customer base.
2. Customer loyalty will be strong with a good scope for cross selling and customers tend not to change from one bank to another very often.
3. Attractive and wide interest spreads since customers are too fragmented to bargain effectively; Credit risk tends to be well diversified, as loan amounts are relatively small. There is less volatility in demand and credit cycle than from large corporates. Large numbers of clients can facilitate marketing, mass selling and the ability to categorize/select clients using scoring systems/data mining.

1.4 CONSTRAINTS IN RETAIL BANKING

Though retail banking as a segment has a number of embedded advantages, the segment suffers from constraints too. A few of the constraints are as listed below:

1. Problems in managing large numbers of clients, especially if the available IT systems are not sufficiently robust.
2. Rapid evolution of products can lead to IT complications.
3. The costs of maintaining branch networks and handling large numbers of low-value transactions tend to be relatively high. (For this reason, banks are encouraging clients to use

cheaper distribution channels, such as ATMs, the mobile or the internet for these transactions and reserve the branches for higher value added transactions).

4. Higher delinquencies especially in unsecured retail loans and credit card receivables.
5. Any loss in faith in a particular bank can lead to sudden outflow of retail deposits resulting in collapse of the bank. This is called a bank run.
6. The competition is very fierce which may sometimes lead to unhealthy competition.

1.5 EVOLUTION OF RETAIL BANKING

Having understood what retail banking is all about; let us see the evolution and history of retail banking.

Retail Banking as a Business Model

Retail Banking, as a business model of banks, had evolved over the years from the traditional banking space. Historically, banking in the Indian scenario before 1960s was identified with lending to business and corporate clients for working capital and project financing. The traditional forms of banking in the above period was restricted to class clients and satisfy their total banking requirements in the form of financing for raw materials, work in progress, finished goods and bills receivables. For delivering these services, various products, instruments and facilities were introduced to serve the corporate customers. The operative accounts, like current accounts for extending the above services, formed an integral part of the services. The basic premises, under which these services were structured, were that the needs and requirements were straight and simple. But over a period of time, as the needs and wants of the customers expanded and more and more products and services were needed, banks had redesigned their product and service paradigm. There was an absolute need by banks to develop specialized and sophisticated products to meet the manifold and diverse growth of organizations. The stage had come where the legacy architecture of banks was unable to service the diverse needs, and hence emergence of banks with functional focus came into existence. From being plain vanilla commercial functions, banks took new avatars like Investment Banks and Merchant Banks, to carry out the investment side of banking and also corporate capital raising, fund raising and debt structuring activities. Investment function was hived off as a separate activity and also standalone investment banks had emerged to take care of the multi-dimensional functions of Investment Banking, Mergers and Acquisitions, etc. Merchant Banks were the answer for Capital and Debt raising and other related activities. But the buck did not stop there as banking was always on the explosion mode and there was absolute necessity for banks to reposition themselves with newer business models to satisfy the ever-changing needs of the existing customers and also to cater to the expectations of the new class of emerging customers. As the evolution of banking was a continuous process, with the broadening of the customer base, and the character of the customers' base changed from homogenous to heterogeneous over a period of time, banks were under the compulsion to redesign their products and services models to cater to these customers and fulfill their varied

needs. Thus, came corporate banking and retail banking. In some banks, retail banking was christened as consumer banking, as the focus was towards individual consumers.

Capgemini brings out World Retail Banking Reports from time to time. “The World Retail Banking Report 2015” was released by Capgemini and European Financial Management & Marketing Association (EFMA). The major findings were:

- Banks are falling short of customer expectations. Customer expectations are on the rise at a faster pace than banks can handle. Positive customer behavior is also on the decline. The shift is mainly on account of younger generation, who are less likely to take debt, more likely to leave, and less likely to refer friends or buy additional retail products.
- Competition from non-bank players is accelerating. Banks are still unsure about the impact of non-bank players and this may lead to threat to core business in future.
- Banks focus too much on the front end at the cost of back end service. Banks need to continue to invest in the front office because that is the first interaction for the customer experience. But, at the same time, they can no longer defer the significant efforts required on the middle and back-end because the clients don't want to be exposed at the back-end and do not accept that it takes three weeks to be provided with paperwork, etc.

The World Retail Banking Report 2016 by Capgemini and EFMA found that 63% of customers across the globe are now using fintech products or services. Penetration is currently highest in the emerging markets and among younger customers but is expected to increase in all geographies and ages. While 96% of banking executives agreed that the industry is evolving towards a digital banking ecosystem, only 13% say they have the systems in place to support it. Fintech providers are gaining popularity among consumers – thanks to the perception that they are easy to use, offer fast service and provide a good experience. Only 36% of banks agree that Fintech offer fast service and only 40% agreeing that Fintech provide a good experience. Competition is evolving into acceptance, with 65% of bank executives saying they view Fintech firms as partners.

Retail Banking Scenario in India

The evolution of retail banking in India can be traced back to the entry of foreign banks. The conventional banking business by Public Sector Banks (PSBs) was done on a more generalized approach and there was no specific demarcation as retail and non-retail activities. Customer and Industry segmentation was adopted within the overall business plan of banks. Offering products and services based on specific consumer segments was not attempted in a focused way. Foreign banks operating in India set the trend and in the late 1970 and early 1980s and came out with their consumer banking models with hybrid liability and asset products specifically targeted at the personal segment. Standard Chartered Bank and Grindlays Bank were the pioneers in introducing these types of products. Citibank created waves in the early 1980s with their credit card products and spurred the retail banking space. State Bank of India and some public sector banks like Indian Overseas Bank, Bank of India, Bank of Baroda and Andhra Bank developed and marketed asset products and card products to cater to retail segment. In fact, Bank of Baroda

and Andhra Bank were two of the early players in the credit card business in the PSB space. The entry of new generation private sector banks in early 1990s has created a new approach to retail banking by banks. With the advantage of technology right from start, these banks had a clear positioning for retail banking and aggressively strategized for creating new markets for the retail segment. In addition, the new generation private banks had posed a threat to the retail business of foreign banks that had by then well-defined business models for retail banking. To add to the fuel, PSBs also with technology initiatives and redefined business model for retail had aggressively entered the market space, creating a retail war and capture their share of the pie in the liberalized economic environment and the resultant opportunities in retail banking. The retail war is in full swing now with a win – win situation for all the players and the focus is on capturing and improving the market share and customer base.

India's preparedness for IT revolution has impacted the banking sector significantly. It created a need for Private sector banks as also public sector banks to adopt core banking solution. It led to organized and comprehensive computerization of operations of banks across all levels.

The growth of IT and its remarkable application to banking has greatly facilitated the growth and development of retail banking in India to a large extent. IT has allowed the integration of ATMs, mobile banking and internet banking. Due to technological advancement, India witnessed the adoption of modern payment systems, securities settlement, electronic fund transfer, cheque truncation system, ATMs and many other modern system of banking transactions.

Strong economic fundamentals, growing urban population, higher disposable incomes, rise in young population, emergence of new customer segments and rise in the mass affluent space, explosion of service economy in addition to manufacturing space have catapulted the scope for retail banking business in India. The segment has become an important component in the business design of the banks in India and almost all players in the foreign, public and private (old and new) space are in this and it has become almost a fashion statement for all the players. The retail plans basically stem from the enormous opportunities across geographies and customer segments and the huge untapped potential for retail banking in India. There is a virtual gold mine to be unearthed and even the top layer is not yet scratched fully. There is a whole lot of customer pyramid to be tapped and the present activities till recently were confined only to the top and higher middle end of the customer pyramid. Of late banks, especially foreign banks and new generation private players are seriously looking at the bottom of the customer pyramid and reengineering their retail strategies to develop independent and exclusive strategies for this segment. In addition, the recent trend is that Non-Banking Finance Companies (NBFCs) and MNCs have also aggressively entered and active in this 'Bottom of the Pyramid' segment and posing a big threat to the conventional banking players.

RBI Data on Retail Banking in India

The Indian retail banking is in growth trajectory. There have been several recent developments in Indian retail banking. The growth in various elements of retail banking space over the past few years are published by RBI in their Bulletin, "Report on Trend and Progress of Banking in

India & Financial Stability Report”, which reflects the business performance achieved in the retail assets and other services by banks as under:

I. Growth Rate of Retail Assets of the Banking System

(Amount in ₹ Billion)

S No.	Type of Retail Asset	2019	2020	2021
1.	Housing Loans	12044	13965	15619
	Percentage growth over the previous year	19.5	15.9	11.8
2.	Consumer durable loans	92	111	216
	Percentage growth over the previous year	-51.7	21.3	93.4
3.	Credit Card Receivables	1113	1321	1386
	Percentage growth over the previous year	34.5	18.6	4.9
4.	Vehicle/ Auto Loans	2697	2894	3295
	Percentage growth over the previous year	12.9	7.3	13.9
5.	Other Retail / Personal Loans	6335	7510	8560
	Percentage growth over the previous year	22.77	18.54	13.99
6.	Educational Loans	762	791	788
	Percentage growth over the previous year	1.8	3.7	-0.3
	Total Retail Loans	23043	26592	29864
	Percentage growth over the previous year	18.6	15.4	12.3

(Source: Trend and progress of banking in India 2020-21-RBI)

II. Percentage of Retail Assets to Total Assets of the Banking System

S. No.	Details of Advances	2019	2020	2021
1.	Total Advances of Banking System	95269	100984	106408
2.	Percentage growth over the previous year	13.4	6.00	5.4
3.	Percentage share of Retail to Total Advances	24.18	26.33	28.06

III. Number of ATMs of Schedule Commercial Banks

ATMs	Number as on 31.03.2019	Number as on 31.03.2020	Number as on 31.03.2021
Number of Onsite ATMs	106259	113271	115605
Number of Offsite ATMs	95813	97489	97970
Total Number of ATMs	202072	210760	213575
Number of Bank Branches	120535	122994	122976
ATMs as percentage of Bank Branches	167%	171%	173%
Number of Branches covered under CBS	120535	122994	122976
Coverage of Branches	100%	100%	100%

(Source: RBI Bulletin)

IV. Other/ New Payment Infrastructure

(Lakhs)

Payment Infrastructure	Number as on 31.03.2019	Number as on 31.03.2020	Number as on 31.03.2021
White Label ATMs	-	0.23	0.25
Micro ATMs	-	2.71	4.04
Bharat QR*	-	20.27	35.70
UPI QR**	-	-	925.22

(Source: RBI Bulletin)

V. Payment System Indicators

S. No.	System	2018-19 Vol. (Mn.)	2018-19 Value (Bn.)	2019-20 Vol. (Mn.)	2019-20 Value (Bn.)	2020-21 Vol. (Mn.)	2020-21 Value (Bn.)
1.	RTGS	136	1356881	150	1311564	159	1055998
2.	NEFT	2318	227936	2744	229455	3092	251309
3.	ECS(DR)	0.9	12	0.1	0.39	-	-
4.	ECS(CR)	5.4	132	1.8	51	-	-
5.	IMPS	1752	15902	2579	23375	3278	29415
6.	NACH (CR)	883	7296	1129	10432	1646	12327
7.	NACH(DR)	483	5224	734	7182	963	8689
8.	UPI	5391	8769	12518	21317	22330	41036
9.	Credit Card	1762	6034	2177	7309	1764	6304
10.	Debit Card	4414	5934	5061	7039	4020	6626
11.	Prepaid Instruments	4607	2133	5381	2155	4974	1976
12.	Mobile Banking	6200	29583	13926	57815	25210	90543

The above data throws open the following interesting revelations about the performance of the retail banking as well as innovative ways to provide service to the retailers customers in the recent past.

Performance of Different Segments of Retail Banking from 2019 to 2021

1. Banks' retail loan portfolio registered double-digit growth. The housing loan component which constitutes more than 52% of the total retail portfolio of banks increased by 29.68% from 2019 to 2021. All though there is slight decline in growth as compared to the corresponding previous year. Retail loan portfolio of banks continued to grow at around an average 29.60% during 2019-2021 even though there was deceleration in the total credit

growth of banks. Auto loan registered an average growth rate of 22.19% during 2019-21. Credit card receivable grew by more than 24%. The significant growth has emerged from several quarters—mortgage loans (Housing), personal loans, credit card, etc.

2. Weak domestic demand and subdued performance of the corporate sector moderated the demand for bank credit. As a result, at the end of March 2021, gross outstanding credit of scheduled commercial banks increased by 5.4% to ₹106408 billion, as against of 6% and 13.4% during the corresponding previous year 2020 and 2019 respectively.
3. The geographic reach of ATMs increased further all though the ATMs by scheduled commercial banks remained constant around 0.22 million during 2019-21. Number of White label ATMs registered almost 100% growth during the same period. Micro ATMs grew by 49% over corresponding previous year March 2020.
4. New system known QR code emerged as most popular payment system during 2020-2021. More than 96 million static QR codes were registered as on March 21. QR codes became very cost effective and most convenient way of payment of small value transactions.
5. Outstanding Debit card grew by 8.40% during 2020-21. Supply of debit card to each Savings Bank/ operative account holder is a basic banking requirement now a days.
6. Credit card registered growth of 31.77% as on March 21 as against March 19. However, there was nominal growth in the volume of credit card transaction during 2019 to 2021.
7. Retail electronic and QR code as well as card based payments registered quantum jump in the past two years. The promotion policy for digital transactions has added fuel to the rapid growth. UPI transactions have created new record of volume and value on monthly basis. Mobile banking has grown more than four time during 2019 to 2021 and became most preferred way of banking. Decline/ nominal growth in the volume and value of other payment systems is due to preferred mobile transactions by the customers.

The different scenarios in retail banking indicated various dimensions of retail banking and its impact on profitability. Retail banking is a critical source of revenue and profitability for most major banks around the world. According to a research study by Boston Consulting Group, retail segment brings in nearly 60% of the total banking revenue worldwide. It is expected that this situation will continue and retail banking will remain the dominant source of revenue for banks worldwide through the years to follow. But the fact is that retail banks are facing tougher competition and declining margins and to overcome this, banks have to develop winning models and requisite skills.

1.6 PREREQUISITE FOR SUCCESS OF RETAIL BANKING

There are various factors that can subscribe to the success of retail banking in India, a few of which are listed herein below:

Presence of an efficient delivery mechanism

It is the most important pre-requisite for retail banking to succeed. What essentially binds customers to their bank is the quality of services offered, the fairness and affordability of pricing and the promptness of service. While there is not much scope for the banks to differentiate their product and service offerings, in so far as the basic products are concerned, it is important for the bank to enhance the customer experience by ensuring that the services are made available whenever and wherever the customer demands them. Further, the banks can bring down their cost of service delivery, if and only if they are able to improve operational efficiency. In a nutshell, the banks should be able to deliver the products and services to the customers in safe, secure, prompt and cost effective manner by leveraging technology. In future, customers' needs and preferences will increasingly drive the integration of all types of banking channels mainly alternate channels. Channel innovation, which has changed the face of banking in recent years, must continue to spearhead the charge. There is much to be gained from innovation including improved customer engagement, agility efficiency and regulatory compliance. Not to mention, that even banks' long term future might depend on how well they innovate.

Direct Banking: The Fastest-Growing and Dominant Channel of the Future

Direct banking, which is usually thought of as just online banking from a specific institution, compasses a wide range of channel approaches to sell and service customers' needs, including ATMs, call and email centres, mobile banking devices, direct mail, and a variety of web-based models. Statistics show direct marketing to be the fastest-growing channel to retail bank customers. Over the last five years, the number of households banking online have grown at a compound annual growth rate (CAGR) of over 20 percent. It is believed direct-banking sales volumes are poised to grow even further over the next five to 10 years as the channel evolves primarily from a service tool to support branch networks to a customer-driven platform for collaboration and relationship management across a wide range of sales and service needs and making services available without physical presence and beyond geographical boundaries, round the clock.

Product appropriateness

Another essential pre-condition for the success of retail banking is appropriateness of product and services for the customers. As the banks strive to bring in new customers into their fold and also to retain the existing ones, they must invest heavily into data analytics and assess what are the appropriate products and services for the specific groups of their customers. The banks have to be sensitive about the customers' needs and requirements.

Pricing

The pricing demonstrates that the products and services, both on the liability as well as on the asset side, are heavily weighed against the retail customers as a group.

Scoring models for assessing the credit worthiness

The scoring models are being used for assessing the credit worthiness of borrowers to bring in greater transparency and efficiency. Credit scoring model is a statistical technique that combines several financial characteristics to predict the behaviour of new applicants based on the performance of existing borrowers. Some banks started employing credit scoring even in retail segment. Most of the banks are using credit information reports to assess the financial discipline of the applicants. This is also based on scoring.

Consumer protection environment

Across the globe, the regulators and supervisors are turning increasingly intolerant of unfair market practices adopted by the market participants. It has been observed that large amounts of penalties are levied on banks by the regulators mainly for failing to protect consumers' interests and for unfair practices. More focus needs to be given to develop conviction on the customers that their rights are adequately protected. This has culminated in creation of separate authorities for enforcing fair market conduct and for protection of financial consumers. Therefore, unless the banks in the developing countries are firmly committed to treating their customers fairly and put in place appropriate systems and processes, they would be well advised to refrain from riding the bandwagon of retail banking.

1.7 CHALLENGES FOR RETAIL BANKING

Consumer Protection & Pricing

There are several examples reported on pricing being arbitrary and, to a certain extent, illogical. There are charges for non-maintenance of minimum balance, charges for cheque return and there are charges even where no service has been provided – customers not conducting any transactions, etc. Another disquieting feature in the pricing of products and services by banks, and that is – the poor subsidising the rich. For the retail banking model to be successful, banks' pricing should be non-discriminatory, risk-based, competitive and value added.

Inadequacy of MIS

A crucial input for success of any business is the accurate, consistent and granular information about its various components. The data on segmental revenues and segments of profits are not available with any granularity. Under the circumstances, the banks would find it very difficult to make their pricing risk based. It is crucial, therefore, that if the retail banking has to be rolled out successfully, the banks would need to build an appropriate MIS.

Understanding of KYC/AML issues

The banks in the developed countries have faced significant amount of penalties from the regulators for their failure to conduct adequate due diligence on their customers. Even, in India, RBI had imposed penalties on some of the banks for their failure to have proper due diligence

on their customers. It is important, therefore, to understand and appreciate KYC requirements in all manifestations – be it for the products on the asset side of the balance sheet or on the liability side. Banks would also need to be mindful about the KYC due diligence for the third-party products that they sell from their premises/through their delivery channel.

Managing Risk

The retail banking business involves dealing with a large number of customers over varied delivery channels, thereby creating significant vulnerabilities across banks' systems. These could be in the form of inadequacy of internal guidelines or non-adherence by staff, inadequacy in the technology systems supplied by vendors, fraudulent practices employed by customers, hackers, etc. Though banks have developed sufficient safeguards to deal with operational risk associated with traditional delivery channels, it is essential for adequate safeguards for non-traditional delivery channels, as evident from large number of technology related frauds being witnessed across Indian banks in the past few years. The banks would also need to recognize and manage risks arising from mis-selling, etc., besides the other business risks like market risk, liquidity risk, interest rate risk, etc. Unless banks address these issues quickly, even the low-value frauds would have the potential to cause reputational risk and unwarranted litigation for the banks. Now fraudsters/hackers have moved beyond the physical boundaries and time zones open new vulnerabilities. At times technical innovation and upgradations makes the existing systems vulnerable. Lack of customer literacy (more specifically about technology based products) opens up new risks. It is, therefore, absolutely important that the banks improve their risk management systems to address these issues.

Effects of disruptive new technologies

With the increased proliferation of alternate delivery channels (ATMs, internet mobile banking and QR codes), retail banking has become the segment impacted most by technology. While the use of technology-aided delivery channels has grown multifold, so has the scope for fraudulent transactions through impersonations, identity thefts, sim swap, and device control apps etc.

Banks would also need to quickly put in place lasting technology-based solutions to thwart the efforts of fraudsters and minimize the customer complaints. As the use of new delivery channels gets more popular, the banks would need to ensure that their customers continue to have good experience with their service offerings and remain loyal to them.

Continuing growth

Despite banks' concerted efforts on increasing the banking penetration and bringing more and more adult population under the formal financial system over the last 7–8 years, more than half of the target population remains uncovered. Similarly, the credit penetration from the banking system in the country is abysmally low at about 10%. In absence of access to formal sources of finance, the alternate cost of funds for the people is exorbitantly high. As the pricing of loans no longer remains restricted, due to any regulatory/ government fiat, the banks are free to reasonably charge their customers.

All these means that the retail banking has a huge potential to grow in India over time. It is, therefore, assumed that the challenge for the retail banks/banking is not one of finding new customers or new markets; it is more of a mind-set issue. The banks need to get convinced about financial inclusion as a viable and profit-making business proposition and pursue that objective with a missionary zeal.

The growth of retail lending, especially in emerging economies, is attributable to the rapid advances in information technology, the evolving macro-economic environment, financial market reforms, and several micro-level demand and supply side factors. In the context of retail lending, deployment of scoring models would minimize the subjective element and thereby fast-track the decision-making process. Quality of services offered by the banks is going to be another key differentiator. In ultimate analysis, providing better service to the customers would be the key to generate larger revenue for the banks.

Reasons for the Growth of the Retail Banking Segment

There are various reasons that contribute to the growth trajectory of Retail Banking segment, a few of which are as under:

- a. **Rise of the Young Indian Professionals:** The rise of the Indian middle class is an important contributory factor in this regard. The percentage of middle to high income Indian households is expected to continue rising. The younger population not only wields increasing purchasing power, but as far as acquiring personal debt is concerned, they are perhaps more comfortable than previous generations. Improving consumer purchasing power, coupled with more liberal attitudes toward personal debt, is contributing to India's retail banking segment.
- b. **Growth as an Economic superpower:** Retail banking has played a role in a growing economy of India. As the growth story gets unfolded in India, retail banking is going to emerge as a major driver. A. T. Kearney, a global management consulting firm, identified India as the 'second most attractive retail destination' of the 30 emergent markets.
- c. **Increasing purchasing power of middle class people:** The rise of the Indian middle class is an important contributory factor in this regard. The percentage of middle to high income Indian households is expected to continue rising. The younger population not only wields increasing purchasing power, but as far as acquiring personal debt is concerned, they are perhaps more comfortable than previous generations. Improving consumer purchasing power, coupled with more liberal attitudes towards personal debt, is contributing to India's retail banking segment.
- d. **Financial market reforms:** The subject matter of retail banking is of prime importance. In recent years, commercial banks have witnessed development in the form of retail lending, all over the world. The growth in the field of retail lending is primarily because of the speedy advancement in the IT sector, evolving macroeconomic environment, numerous micro level demand and supply side factors and financial market reforms. This criterion is based on the market research report on retail banking.

- e. **Engine of economic growth:** Retail banks play a critical role in their home economies, and their activities have implications for the global economy as well. They offer critical credit functions, which largely fuel the engine of economic growth in their economies. When problems hit the retail banking sector the result is often dire economic circumstances for the economy as a whole. When retail banks are failing, little or no credit is available for credit seekers, and economic activity becomes depressed.
- f. **Mass-market banking:** Retail banks offer a variety of important services to their customers. The retail banking sector is often described as a typical mass-market banking, offering services such as savings and operative accounts and all kinds of personal loans, including auto loans and student loans. Retail banks also offer mortgage services, debit and credit card services and ATM services, all of which have become essential to today's consumers.
- g. **Volume driven business:** Retail Credit ensures that the business is widely dispersed among a large customer base unlike in the case of corporate lending, where the risk may be concentrated on a selected few. Ability of a bank to administer a large portfolio of retail credit products depends upon such factors like; strong credit assessment capability, sound documentation, adequate capital base, regular/constant follow-up, skilled human resource and technological support.
- h. **Automation of banking process:** The growth in retail banking has been facilitated by growth in banking technology and automation of banking processes to enable extension of reach and rationalization of costs. ATMs have emerged as an alternative banking delivery channel which facilitates low-cost transactions vis-à-vis traditional branches/method of lending. It also has the advantage of reducing the branch traffic and enables banks with small networks to offset the traditional disadvantages by increasing their reach and spread.
- i. **Easy and affordable access:** Banks provide retail loans through a wide range of options/flexibility. Banks even finance cost of registration, stamp duty, society charges and other associated expenditures such as furniture and fixtures in case of housing loans and cost of registration and insurance, etc., in case of auto loans.
- j. **Financial Liquidity:** Banks making financing attractive by offering free/concessional/value added services like issue of credit card, insurance, etc. As also waiver of processing fees administration fees, prepayment charges, etc., by the banks. In many a case, the cost of retail lending is restricted to the interest costs.
- k. **Economic prosperity:** The consequent increase in purchasing power has given a fillip to a consumer boom. Note that during the 10 years after 1992, India's economy grew at an average rate of 6.8 percent and continues to grow almost at the same rate, not many countries can match this performance.
- l. **Changing consumer demographics:** The size of population indicates vast potential for growth in consumption both qualitatively and quantitatively. India is one of the countries having highest proportion (70%) of the population below 35 years of age (young population).

BRIC report of the Goldman-Sachs, which predicted a bright future for Brazil, Russia, India and China, mentioned Indian demographic advantage as an important positive factor for India.

- m. Technological innovations:** Technological factors played a major role. Convenience banking in the form of debit cards, internet and phone-banking, anywhere and anytime banking has attracted many new customers into the banking field. Technological innovations relating to increasing use of credit/debit cards, ATMs, direct debits and mobile banking has contributed to the growth of retail banking in India. Now it is possible to manage throughout the country with minimum cash in hand. QR code based payment options are available even at a smallest outlet in remote areas.
- n. Increase the Bank Liquid cash:** Treasury income of the banks, which had strengthened the bottom lines of banks for the past few years, has been on the decline during the last two years. In such a scenario, retail business provides a good vehicle of profit maximization. Considering the fact that the share of retail banking in impaired assets is far lower than the overall bank loans and advances, retail loans have put comparatively less provisioning burden on banks apart from diversifying their income streams.
- o. Decline in interest rates:** The interest rates decline in Indian money market has also contributed to the growth of retail credit by generating the demand for such credit. The interest rates on retail loans have declined from a high of 16–18% in 1995–96 to presently in the band of 7.5–9%. Ample liquidity in the banking system and falling global interest rates have also compelled the domestic banks to reduce it.
- p. Declining cost of incremental deposits:** Banks could afford to quote lower rate of interest as low cost [saving bank] and no cost [current account] deposits are available with the bank. These deposits contribute to more than 1/3rd of their funds [deposits]. The declining cost of incremental deposits has enabled the banks to reduce their interest rates on housing loans as well as other retail segments loans.
- q. Change of Terms of Loans:** Banks are offering retail loans for short term, medium term and long term ranging from 15/30 years as compared to the repayment period allowed earlier which was restricted to 5–7 years only. This has given more financial leverage to people.

Scope of Retail Banking in India

- a.** Increase in economic activity is taking place with some recessionary trends.
- b.** Increase in purchasing power. The rural India has more purchasing power at their disposal and this is an opportunity to market Retail Banking.
- c.** India has 300 million households and 400 million middle class population. More than 90% of the savings come from the house hold sector. Falling interest rates have resulted in a shift. “Now People Want to Save Less and Spend More.”
- d.** Nuclear family concept is gaining much importance which may lead to large savings. The number of banking services to be provided is increasing day-by-day.

- e. Tax benefits are available. For example, in case of housing loans/ education loan the borrower can avail tax benefits for the loan repayment and the interest charged for the loan.

Future of Retail Banking

Many changes have happened in the banking space during the two years of the pandemic. With ongoing restrictions, lockdowns, and social distancing, digital ways have become the new norm. CEOs and managers who never planned meetings remotely have mastered the art of presiding over on-line meetings. Customers have started using on-line sites for all their shopping needs in a major way. This sudden and rapid transition to digital ways had a ripple effect on many industries, including the banking and finance industry. As a result of this new shift to digital compulsion, banking customers started to seek the same in-branch experiences in their online interactions.

Banks and financial institutions have felt tremendous pressure to innovate and provide seamless digital services that replicate the same digital experience that a technology company provides to stay relevant to current times. Fintechs have been dominating the digital payments ecosystem with their privately owned platforms leading the creation of the market for digital payments in India and driving its rapid growth and increase in financial inclusion. Moreover, many emerging tech companies have started to disrupt the industry by providing banking alternatives that address broader personal finance issues like paying down debt, credit saving, and budgeting.

Another major challenge being faced by banks is consolidating data and understanding the variety of relationships, purposes and contexts behind the transactions. Banks have started taking the help of **Application Programming Interface (APIs)** which offer multiple data aggregation platforms, increase in operational efficiencies and niche digital experience. With the integration of the APIs, **experiential banking** will be the new norm for the banking industry.

With all the above in place, the entire digital banking ecosystem has led to the development of new end-to-end approach in banking called **Banking as a Service (BaaS)**. BaaS facilitates fintech companies and other third party organisations like NBFCs to integrate with a bank's system employing APIs. This integrated platform helps organisations build innovative financial services upon the provider bank's regulated infrastructure while enabling open banking services.

The new innovations in the banking space have brought a big change in the product, price and delivery mechanisms and have created new distribution network which will bring a paradigm shift in the way banking is done in the country.

Based on research and findings, here are a few pandemic-sparked retail banking trends worth keeping an eye on for 2022 and beyond.

(1) Growth in Digital Banking

The temporary reduced hours of brick-and-mortar bank branches forced many customers to download their financial institution's app finally. According to a CNBC report, "Fidelity National Information Services (FIS), which works with 50 of the world's largest banks saw a

200% increase in new mobile banking registrations in early April 2020, and mobile banking traffic ballooned 85%.”

The same report states that among some specific user demographics, the adoption of Fintech and other digital services has soared. For example, many older Americans are now more comfortable paying bills online over the past six months to eight months. In the pre-pandemic times, according to the Financial Health Network study in 2019, “two-thirds of smartphone users over the age of 50 were reluctant to use their devices for their banking needs.”

When we talk of digital banking, it is generally referred to as banking on a mobile app via smartphone or banking online via computer. The benefits and the importance of digital banking can be summarized as under:

- The most important benefit is the Convenience. With the support of mobile app or net-banking, the customers can avail the banking services 24 x 7.
- The digital banking features like UPIs, mobile wallets and internet banking solutions allow customers to make cash free payments thereby providing instant credit to the beneficiary.
- Most of the digital products are rich in features providing an enriching experience to the users. For example, banks offer various personalized financial advice, savings tools, big purchase calculators, tax payments, bill payments or even virtual assistants who can help them decide what splurges they can truly afford, all within the convenience of an app.
- Though digital frauds are on the rise, all the banks are providing high security features embedded in the mobile app or net-banking interface. As per the guidelines, multi-factor authentication is being provided in order to access the mobile app or online bank account.
- Since a lot of processes are automated with the help of digital banking, the services have resulted in reducing certain banking fees like transaction fees and maintenance fees.
- It has also helped to extend banking services to remote corners of the country. With the help of mobile phone, people living in far-fledged places also can open an account and enjoy all the privileges. Digital Banking has been a positive step towards financial inclusion amongst the under-banked.

(2) Rapid Adaptation of Blockchain by Retail Bankers

Traditional money transfer solutions have been problematic in both the B2B (business-to-business) and P2P (peer-to-peer) areas, plagued by slow transfer times and high costs. The clearing firms involved in the transactions have independent processing systems. Each party involved in that process will keep their own copy of that record of a given transaction, making it stringent. The lack of standardization between these bodies and correspondent banks means that costs are high, and settlement periods are longer. But, thanks to Blockchain, which has the potential to solve these challenges by offering faster transaction times, more transparency, and lower costs, changing the money transfer equation.

According to Forbes, Blockchain brings the following benefits:

- Blockchain records and validates every transaction.
- Blockchain does not require third-party authorization.
- Blockchain is decentralized.

Another benefit from Blockchain that has got large banks excited is keeping track of trades and bonds or stocks by ensuring that the payments are correctly made.

At present, this is a complex process involving banks, traders, exchanges, clearinghouses, and others. It takes two days to verify the seller and buyers and then arrange the movement of funds. But, with Blockchain, all this work can be done in minutes.

It can be summarized as under,

- Blockchain is still a new technology and will soon become the future of banking
- Blockchain is a powerful and secure technology for the banking sector as security is of utmost importance for the financial domain.
- It is worth considering for Payment processing firms, Stock Exchange and Share Trading, Accounting, Bookkeeping, and Audit.

(3) Artificial Intelligence (AI) and Data Science in Banking

With financial institutions revenues exceeding the incomes of nations, it comes as no surprise that they are the first to embrace AI and Data Science technologies. Of all other advanced technologies, bankers and leaders in the banking industry firmly believe that Artificial Intelligence will be game-changing. Banks and financial institutions are further fine-tuning their AI solution strategies to strengthen overall portfolio management. Moreover, according to the forecast of Autonomous Research, by 2030, AI technologies will allow banks to reduce operating costs by 22%.

With its efficiency to work with unstructured data, AI is well poised to deal with the rising incidence of cybercrimes, financial fraud threats, and lots more.

Some of the ways AI & Data Science can be used in banks are,

- **Fraud Preventions:** Such as identity thefts & credit cards schemes. Customer profile, transaction history and GPS based check on the transaction to prevent fraudulent transactions
- **Anomaly Detection:** In detecting illegal insider trading
- **Customer Analytics:** Predicting customer behavioral trends for strategizing the right marketing mix and customer delight.
- **Risk Management:** Minimizing human error by identifying and predicting market trend, competition, customer creditworthiness, and customer loyalty
- **Algorithmic Trading:** High precise trades on the market using a machine learning algorithm by reducing human errors, extending online credit based on digital transaction turnover

Banks & financial institutions with extensive customer data can construct better models and get ahead of the competition.

(4) Cyber Security to be a Top Priority

The banking and financial sector is one of the heavily regulated industries in the world. Banks and financial institutions have always been at the forefront of enterprise cyber security. The enormous stores of cash and consumer data make them a top target for hackers. The threat of financial losses, regulatory consequences, and reputational damage has spurred them to innovate and accelerate the field of cyber security. Financial services executives are already depressingly familiar and aware of the impact of cyber-threats on the industry. In the digital banking age, one area that regulators would scrutinize closely is banks and financial institutions' data ownership.

A few measures requires to be implemented immediately may be:

- A well-defined security policy serves as a crucial road map for any bank IT team to maintain a truly adaptive security architecture going forward
- Lastly, banks must continuously monitor their network for changes to configurations and ensure that these changes are approved and compliant with policy
- A chain is as strong as the weakest link this proverb applies most appropriately for the cyber security of the banks because “humans are the weakest link”. That is why 95% of security breaches are blamed to on human error. Training for awareness and fraud prevention for staff and customers education is the need of the hour.

(5) Payment Innovations

The concept of Instant Payment has become highly important in both consumer and B2B payment areas, where settlement time has really been a challenge earlier. The term “Instant Payment” refers to the ability to make payments within a matter of seconds, which in turn will be highly beneficial for both parties throughout the payment landscape. As we advance, mobile wallets will replace physical wallets – a wallet with customer's credit cards, rewards cards, and much more. The volume of mobile wallet transactions was about 4 billion in the financial year 2021. As a result, instant payments have become an integral part of both financial institutions and regulators, driven by key success stories in early deployments.

- With the innovation of advanced technology in payment systems by NPCI (National Payment Corporation of India) and other agencies under ageis of RBI has significantly reduced the payment timings and it is expected to improve further.
- SEPA (Single Euro Payments Area) scheme in the E.U. has significantly brought down settlement times, and the SEPA Instant Credit Transfer Scheme further reduced it.
- In SEPA Instant, the payment will be received in a matter of 10 seconds, which is dramatically faster than traditional methods. However, still much more work needs to be done.
- Adding, the U.S. Federal Reserve has announced FedNow. This service will process individual credit transfers valued at \$25000 or less within seconds.
- Instant payment schemes will accelerate and focus on international interoperability, enabled by standardization with ISO 20022 and cross-border schemes.

This will allow banks and financial services to upgrade to:

- Faster and simpler accounts payable/receivable processes
- Less complicated B2B payment systems
- Increased payment volume for payment processors
- Digital wallets, mobile payments will drive payment innovations from now on

In order to achieve these benefits, banks will need to update their systems because the whole chain needs to support the instantaneousness of payments.

(6) Rise of Big Tech in Banking Industry

Tech firms like Apple, Google & Samsung have been providing payment services for several years now, and few have started to coalesce to accelerate their financial services movement. The primary reason is the decreasing financial brand loyalty due to open banking, which has loosened the rope that banks have on their customer data. Many countries are mandating a streamlined switching service to move from one bank to another much more quickly.

Most importantly, banks have a limited ability to retain their users compared to traditional ones. Simultaneously, technology companies have always had much more success in developing in a closed ecosystem. And they are now looking to bring finance under their banner.

- With Apple Card showing its prominence. And Google, Stripe, and PayPal are preparing to start or expand banking and payment-related offerings. The industry is already shaken.
- Open Banking tools made available from PSD2 guidelines give these companies the ability to be bank-like without banks.

It is believed that the partnership between banks and tech companies are more likely than tech companies outright becoming banks. Instead of viewing big tech companies as a threat, banking and financial institutions should embrace partnerships and collaboration with them.

It can be concluded that the world has digitized, and customers are seeking low friction and immediacy over slower traditional ways of banking. Moreover, when we look at banking as an industry and how it has developed, we will understand that it's not just about inserting technology into banking. There is a broader shift here – and a significant part of the shift is around the bank's trust and utility.

Lastly, in order to sustain this banking transformation, listen to your customers, earn their trust by creating transparent and seamless experiences, respect their need for privacy, look out for industry trends, and always choose to make tech investments to align the recent technological developments with what people want that will decide the future of banking industry.

LET US SUM UP

- Banking services offered to a large group of individual customers is referred to as 'Retail Banking'.

- The delivery model of retail banking is both physical and remote through branches and also through remote channels like ATMs, Internet Banking and Mobile Banking.
- Retail Banking has many advantages as a business segment for banks:
 - Risk is less as client base is large.
 - Income is relatively more as spreads are more.
 - Customer loyalty will be strong.
 - Stable model with less volatility in business as the client base is very large.
 - Higher potential for cross selling.
- But it has its own disadvantages also:
 - Huge clientele requires more efforts for monitoring and tracking.
 - Cost of servicing will be relatively high.
 - Delinquencies relatively higher in unsecured retail loans like Personal Loans and Credit Card Receivables.
- Globally the retail banking space had a great growth trajectory and the emergence of the new remote channels have changed the distribution paradigm of banks. Alternate channels have gained prominence to meet the growing customer demands.
 - The performance of banks in retail banking across the globe had a stable growth. The potential for retail banking based on customer segments and household incomes looks highly promising. The growth potential in Asia and South Pacific is very attractive and the numbers are expected to grow in the near future.

Retail Banking as a concept in India has been initiated by foreign banks/new generation banks and nurtured by the PSBs and other private sector banks. It grew by a compounded annual growth rate between 2021 and 2022 and expected to grow further in the coming years. The penetration level of retail banking in India is still very low as compared to the other Asian countries like China, Malaysia, Thailand, etc.

It's been more than one and half year since the coronavirus first made its presence. Lot has changed in these past seventeen months. And, one thing that is quite evident is life has never been the same since then.

Based on research and findings, here are a few pandemic-sparked retail banking trends worth keeping an eye on for 2021 and beyond. They are,

- Blooming of Digital Banking
- Rapid Adaptation of Blockchain by Retail Bankers
- Artificial Intelligence, Machine Learning, Virtual Reality and Data Science in Banking
- Cyber Security to be a top priority
- Payment Innovations
- Rise of Big Tech in Banking Industry

KEYWORDS

Retail Banking, customer base, risk diversification, spread, customer loyalty, database, delivery model, KYC/AML issues, Protection environment, Digital Banking

CHECK YOUR PROGRESS

1. Advantages of retail banking include _____.
 - (a) Risk is less as client base is large
 - (b) Income is relatively more as spread is more
 - (c) Stable model with less volatility
 - (d) All the above
2. Which one of the following is not an advantage of retail banking?
 - (a) High Cross Selling potential
 - (b) High customer loyalty
 - (c) Less volatility in business
 - (d) High default rates
3. Which one of the following is not part of retail banking?
 - (a) Internet banking
 - (b) Mobile Banking
 - (c) Providing term loans for projects
 - (d) Credit card facility
4. After outbreak of Covid-19, the future of Retail Banking will depend mainly on _____.
 - (a) Branch Banking
 - (b) Brick and Mortar banking
 - (c) Digital banking
 - (d) None of above
5. The proportion of Housing Loan in Retail Loan segment is more than _____.
 - (a) 50%
 - (b) 60%
 - (c) 75%
 - (d) 45%

ANSWERS TO CHECK YOUR PROGRESS

1. (d)
2. (d)
3. (c)
4. (c)
5. (a)



RETAIL BANKING: ROLE WITHIN THE BANK OPERATIONS

STRUCTURE

2.0 Objectives

2.1 Introduction

2.2 Business Models

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

2.0 OBJECTIVES

The objectives of this unit are to understand:

- Different approaches in retail banking
- Retail business models

2.1 INTRODUCTION

Banks follow different approaches for their retail banking activities. The role and importance of retail banking differ across banks and accordingly, different models are adopted by banks. The models and processes depend upon the importance attached to the retail banking space in their overall corporate business strategies of the banking organisation and the projected business from retail banking in the coming years.

The business models for retail banking show interesting revelations across types of banks. The models adopted by banks vary among the public sector, private sector and foreign banks. The main approaches are as follows:

- a. Strategic Business Unit (SBU) Approach,
- b. Departmental Approach,
- c. Integrated Approach (part of the overall business plan).

(a) Strategic Business Unit (SBU)

SBU approach aims at dividing the business on lines of Strategic Business Units (SBUs). SBUs are autonomous divisions, small enough to be flexible and large enough to exercise control over most of the factors affecting its long-term performance. SBUs can be defined as profit centres which focus on product offering and market segment. An SBU can be a business unit of a large corporation or it can be a business in itself. As per a research study on the models followed by about 10 banks comprising of public, private and foreign banks, the SBU approach is adopted by one of the top five public sector banks based in Mumbai and their business model is in alignment with private sector banks and foreign banks.

In new generation private sector banks, the business model is very clear. They had set up Strategic Business Units (SBU) since inception in order to have clear focus on business objectives. In foreign banks also, SBU is the business model followed by all with defined business focus. The demarcation as a SBU is more a Management by Objectives (MBO) process wherein the business model is dealt as a modular strategy for achieving targeted profits with a provision to knockdown the module, if the retail plans are not translated as per the objectives.

(b) Departmental Approach

In Departmental Approach, rather than dividing on strategic or business lines, an organisation can also be divided on the basis of functions, various teams perform. The departmental approach is a

specialised functional approach within an organisation. This approach segregates the functions of the organisation into departments such as accounting, marketing, finance, planning, etc. Generally, every department has its manager and chain of command. Public Sector Banks in India generally have adopted the Departmental Approach as their retail banking business model. It indicates that the approach is more a general one with retail banking as one of the business models and not a focused business model.

Public Sector Banks in India generally have adopted the Departmental Approach as their retail banking business model. In old generation private sector banks the approach is more conservative. The business model for retail banking is built as a part of the overall business plan and not done as a separate departmental activity, leave alone SBU.

(c) The Integrated Approach

The Integrated Approach is usually adopted by smaller businesses. It combines all socio economic aspects and adopts a cohesive approach to tackle problems of the business. It is assumed that having a unified business would reduce risk and increase profitability through scale rather than having separate entities for each business line.

If we go further deep into the models of retail banking followed by banks with regard to products, processes, delivery channels, technology, etc., the real depth of retail banking, the relevance of each element for the efficiency of the total model and the inter dependency of these elements for the success of the models are revealed.

2.2 BUSINESS MODELS

Banks generally structure their retail banking models mainly on a positioning platform. Strategies are based on the positioning objectives and vary from bank to bank depending on the importance attached to the business model.

In case of old generation private banks, the positioning platform is very clear. It is based on the overall business plan and in line with their size and scale. The new generation private banks have clear vision about their positioning platform. They want to be in the top slot across all class of banks and justifiably so. The technology, strategy, customer and business initiatives and aggressive positioning are the advantages these banks enjoy to achieve the desired objectives. Even recent entrants in the private sector side have clear positioning strategies about where they want to be, going forward, in the next two/three years and put suitable action plan to achieve their objectives.

Foreign banks generally do not go by positioning objectives but purely on business objectives. They go by customer, business and profit targets. They take a call on the business model itself or one segment of the overall model. If the same is not profitable, they exit the retail banking segment itself or exit a particular business line within the model. The classic example is BNP Paribas which entered the retail banking space very aggressively during the late 1990s with a

full-fledged brand building exercise but quit the space after they found that it was not a profitable segment for them with the business they generated. Likewise, American Express Bank came out of their credit card business after taking stock of its viability. Recently Citibank has quit retail business in India as a part of their global strategy which has been acquired by Axis Bank.

LET US SUM UP

Business models are adopted by banks keeping in mind their overall business strategy, projections for future, business mix and corporate objectives. The business models followed by banks for retail banking activities can be of Strategic Business Unit (SBU) Approach, Departmental Approach, and Integrated Approach (part of the overall business plan). Banks generally structure their retail banking models mainly on a positioning platform and to be the best/top three among the peer group players or across players. Strategies are based on the positioning objectives and vary from bank to bank depending on the importance attached to the business model. It is used as a barometer for all decisions that impact the marketing strategy of the bank. Foreign Banks normally do not go by positioning objectives. Rather strategy plays a big role in foreign banks. Foreign banks had in the past have existed when their business objectives have not been met. A classic example is BNP Paribas existing in the late 1990s. Citibank is the recent example of exiting retail business in India.

KEYWORDS

Business Model; Strategic Business Unit; Business Plan; Positioning platform; peer group

CHECK YOUR PROGRESS

1. The business model followed by banks for retail banking are _____.
 - (a) Strategic Business Unit (SBU) Approach.
 - (b) Departmental Approach.
 - (c) Integrated Approach.
 - (d) Any one of the above.
2. Foreign banks cited in the topic, which entered in retail banking activities, when not able to achieve the business objectives:
 - (a) Continued with their business in spite of not being profitable.
 - (b) Moved out of the business.
 - (c) Changed their focus with some strategic changes.
 - (d) None of the above.
3. The suitability of a business model or approach of a bank depends upon _____.

(a) Corporate strategy only.	(b) Business objectives only.
(c) Business mix only.	(d) All of the above.

4. Business models of retail banking are being drawn based on various aspects. In this context which one of the following aspects is incorrect?
- | | |
|-----------------------|----------------|
| (a) Product | (b) Capacity |
| (c) Delivery channels | (d) Technology |

ANSWERS TO CHECK YOUR PROGRESS

1. (d) 2. (b) 3. (d) 4. (b)

UNIT 3

APPLICABILITY OF RETAIL BANKING CONCEPTS AND DISTINCTION BETWEEN RETAIL AND CORPORATE/ WHOLESALE BANKING

STRUCTURE

3.0 Objectives

3.1 Introduction

3.2 Applicability of Retail Banking Concepts

3.3 Distinction between Retail and Corporate/Wholesale Banking

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

3.0 OBJECTIVES

After going through the Unit, you would be able to learn:

- Various Concepts of Retail Banking
- Business Process Structure
- Business Approach in Retail Banking
- Product Models in Retail Banking
- Product Development in Retail Banking
- Distinction between Retail and Corporate Banking

3.1 INTRODUCTION

The growth of retail banking is attributable to the rapid advances in information technology, the evolving macroeconomic environment, financial market reform, and several micro-level demand and supply side factors. It facilitates the delivery of the right product at the right price at the right place and at the right time. Retail banking as a business model is adopted by all the banks in India on account of multiple comfort factors for the banks viz., acquisition of a huge customer base, multiple product offerings, better pricing and profitability, the scope for cross selling and up selling financial and beyond financial products for increased per customer revenue and, of course, better risk proposition, etc.

With the changing paradigm of technology as the driver for retail banking explosion, banks are embracing different strategies by redesigning their conventional business silos, re-engineering existing products and inventing products, services, channels, relationships to increase the share of the customers' wallet. Today's retail banking sector is characterized by three basic characteristics:

- i. multiple products (deposits, loans, cards, insurance, investments, securities, etc.)
- ii. multiple channels of distribution (call centre, branch, internet, mobile banking, kiosk, etc.)
- iii. multiple customer groups (consumer, small business, and corporate).

This Unit deals with the various business process structure, product models, business approach, retail liability products, retail assets products, etc., in detail.

3.2 APPLICABILITY OF RETAIL BANKING CONCEPTS

Retail banking as a concept has a number of elements which individually and collectively contribute to the success of the segment. It spans across implementation models, business process structure, product and process models, etc. Let us have a look at the applicability of the different retail banking concepts that shape the success of the space.

Implementation Models

Banks adopt different models for implementing their retail banking initiatives. The most common strategies are end to end outsourcing, predominant outsourcing, partial outsourcing

and in-house sourcing. The implementation model depends on the product range, process requirements, technology preparedness, delivery capabilities including human resources and regulatory prescriptions.

Most of the PSBs use only in-house resources for retail banking. Only for some activities like ATM/ Credit Cards/Debit Cards, the issue part is outsourced due to lack of in-house facilities. Regulatory prescriptions are one of the major determinants of outsourcing or lack of it in these banks.

In case of old private sector banks also, the activities are carried out through in-house resources only. In case of new generation private sector banks, the model is a balanced mix of outsourcing and in-house, though a little skewed towards outsourcing. In some banks, asset side is outsourced whereas liability side is not outsourced, though centrally processed.

In foreign banks, the implementation model is mostly outsourced based on the business model. To add, in some foreign banks, both front and back end operations are outsourced and in some banks, the back end operations are outsourced while the front end operations like sourcing of HNI clients are done through captive resources.

Business Process Structure in Retail Banking

Boston Consulting Group had conducted a study on the retail banking processes (Transforming Retail Banking Processes) and deduced four broadly defined process models implemented across banks. These models were defined based on the technology and customer interface capabilities of the banks studied. The four broad classifications are:

- i. Horizontally Organised Model
- ii. Vertically Organised Model
- iii. Predominantly Vertically Organised Model
- iv. Predominantly Horizontally Organised Model

The horizontal or vertical model depends on the level of customer information available in a single platform in the data base side for offering multiple products/services across assets, liabilities and other services. Horizontally organized model is a modular structure using different process models for different products, offering end to end solutions product wise. Vertically organized model provides functionality across products with customer data base orientation and centralized customer data base is used across products. Predominantly horizontally organized model is mostly product oriented with common customer information for some products. In predominantly, vertically organized model, common information is available for most of the products.

In most of the PSBs, horizontally organized model is the standard norm. Of course, in some banks, predominantly horizontally organized model do exist and reflect the level of common customer information available for some products. In one of the PSBs based in West, predominantly vertically organized model is the scenario implying that the common customer information is available for most of the products thereby enlarging the scope for cross selling and up selling.

The scenario is mixed in case of old private sector banks. In one bank, based in Karnataka, horizontally organized model exists and in another Tamilnadu based bank, the level of common customer information across products is relatively high with a blend of predominantly horizontally and vertically organized models. If we correlate this information with the positioning objective of the bank, the bank had strategized for aggressive retail banking growth.

New private sector banks generally follow a vertically organized model. In foreign banks, it is mostly predominantly vertically organized model which implies that retail banking initiatives are attempted with common customer information across products.

Business Approach (Domain Specific) in Retail Banking

The business strategies with regard to the domains targeted are approached in different ways by different banks. The most common approaches are as follows:

- a. **Segmented Approach** – where branches are classified based on the business potential with regard to retail space and business targeted in these segments of branches only with focused marketing strategies. These branches will be positioned as resource centre branches and will form part of the overall segmentation game plan of the bank. Branches are classified as Resource Centres, Profit Centres, Priority Centres and General Centres to have a clear business focus. This concept is an effective business model for PSBs with large network and useful for focused strategies and already getting implemented in some public-sector banks.
- b. **Geography based approach** – where retail models are built based on geographies.
- c. **Classification based approach** – where strategies are designed based on the type of branch viz., Rural, Semi Urban, Urban and Metro. This strategy helps in better product structuring for specific types of branches.

Most of the PSBs have not developed any specific business model on the above lines and generally adopt a holistic model based on the corporate objectives for retail. In some banks, segmented approach is being built in the corporate model but not a standalone segmented approach. In old private banks also, the overall corporate objective for retail is the basis for the model and segmentation is built in that model only to a limited extent.

In new generation private sector banks, a mix of segmented model and classification based model is adopted to capture the retail potential in a structured way in segments where it matters. In foreign banks, the model not restricted to any of the above but is based on the retail game plan of the banks.

Product Models in Retail Banking

Retail Banking is the process of selling multiple retail banking products and/or services to multiple customers through multiple channels of distribution to earn a profit. Demand is created through diverse target markets and promotional tactics, satisfying consumers' wants and needs. Retail banking in India is characterized by multiple products, multiple channels and multiple

customer groups which are customized and personalized to suit the needs of the various customer segments. This multiplicity of the roles to be played by the retail bankers adds to the excitement as well as the challenges faced by the bankers. The multiple products included various types of deposits/accounts, Credit and Debit cards, Loans (Personal, Auto, Housing, etc.), Insurance, mutual funds, etc. The multiple channels of distribution included Internet banking, Mobile banking and banking outlets. The multiple customer groups included Individual customers, Micro Small and Medium Enterprises (SMEs). The product portfolio structuring plays an important role in the retail banking strategies of banks and extends across liability, asset and other service and third-party products. Though essentially retail assets and liability products constitute the basic structure of retail banking, the trend has been changed in the recent years and marketing of third party products has emerged as one of the important constituents of retail banking initiatives of banks.

Asset Side

- Retail banking results in better yield/improved bottom line for a bank.
- Retail segment is good avenue for funds deployment.
- Consumer loans are presumed to be of lower risk and NPA perception.
- Helps economic revival of nation through increased production activity.
- Improves lifestyle and fulfils aspirations of the people through affordable credit.
- Innovative product development credit.

(a) Liability Products

Liability products are offered to retail banking customers basically under three spaces – Savings Accounts, Current Accounts and Term Deposit Accounts. Product differentiation among these accounts is best achieved by adding different value propositions. Attempts are made by banks to expand the scope of generic products from a plain vanilla account to a value enriched account. The days of simple, functional products are gone. Functionality is now perceived to include changed needs. A simple pass book and cheque book to a Savings Account are passé now. Built in ATM/Debit Cards/Credit Cards/Multi City Cheques have become generic features. Internet Banking and Mobile Banking have become essential value play. The value game has extended to tagging group insurance products in the life and non life space at a very competitive premium component. Group Life Policies as value additions and group health policies on a floater basis covering the entire family are offered as part of the account package in certain products. Group accidental insurance and concession in processing charges for retail loans also are made available as an integral part of savings bank deposit scheme. Idle Funds kept in accounts are allowed to earn additional interest through sweep-in and sweep-out facilities between savings accounts and fixed deposit accounts above a certain specified level. This increases the earning potential of the deposit balances in Savings Accounts. In case of Current Deposits also most of the above features are built in. In addition, in some banks an auto overdraft facility is structured as a part of the package.

In almost all PSBs Savings Bank with ATM/Debit Cards are offered as a standard entry level product. Cards are also offered with built-in accident insurance as a group facility. Sweep facilities and add on life/health cover are offered only in some banks. Super Savings Accounts with value bouquet for high Value Customers are also offered by some banks with specific brand names. In current accounts also, the above facilities are offered. In addition, current account with fixed overdraft facility is also offered by most of the banks.

In old private sector banks, in addition to standard savings accounts, add on life cover is offered. In current accounts also the facilities offered by PSBs are offered by them also. In new generation private sector banks, all the above products are offered by them and the same is the case with foreign banks also.

If we scan the products and services across banks, the product differentiation among banks is wafer thin and only value differentiation is the key factor that vary across banks. Other than that, the technology, process delivery efficiencies and ease of access separate men from boys.

All banks offer term deposit products with provision for monthly, quarterly or cumulative interest payment options. Fixed Deposits built with units of fixed amount are also offered by the banks. This is intended to inject an unfixed component in a fixed deposit and enable the depositors to partially withdraw without disturbing the entire amount and the resultant loss of interest. Banks also offer fixed deposits with built in overdraft facilities so that it becomes more of a cash credit account than a fixed deposit. These product reengineering measures are adopted by banks to enhance the comfort level of the term deposit account holders and offer convenience as a value proposition.

Almost all the banks across sectors offer the above facilities. Some of the banks offer accidental life cover for term deposits but the group life cover and health cover are not normally offered to term deposits as they are structured as a part of demand deposit accounts due to operational reasons.

In short:

- Retail deposits are stable and constitute core deposits.
- They are interest insensitive and less bargaining for additional interest.
- They constitute low cost funds for the banks.
- Effective customer relationship management with the retail customers builds a strong customer base and it is key to maximize the wallet share.

(b) Retail Asset Products

Retail asset financing is a major component of retail banking model of banks. In fact retail loans are the backbone of the revenue streams of the banks. In any customer expansion strategy, retail loan is packed as the main attraction uniformly by all banks. Product, price, process and delivery innovations are receiving constant attention in the retail asset side. Cross selling and product bundling opportunities are always structured and implemented around retail asset products. The

focus is so high that in some banks retail assets constitute as high as 40 to 45 percent of the total asset base. The main advantage is the stability of the asset base because of the large customer base. Other important reasons are the better spreads in income, risk diversification and scope for capturing additional revenue streams from other avenues. The standard retail asset products offered by banks are Housing Loans, Consumer Durable Loans, Car Loans, Credit Cards, Mortgage Loans and Personal Loans. Other retail loans include loan against rental receivables, salary overdrafts, loan against securities, loans for traders in the personal segment. Retail Loans are also structured by some banks to target specific professional segments like doctors, architects and advocates, etc, to finance their professional requirements.

Almost all the banks extend the standard retail asset products to the customers and prospects. They also extend most of the other retail assets mentioned above. Some banks have special schemes for small traders in the personal segment and also schemes for extending loan/overdraft facility against cars/ house for enhancing their equity. Cars/ house/, which do not have a loan tag already, will be considered for overdraft facility against the market value. As already stated, retail loans are the bread and butter of retail banking space for banks and banks vie with one another in designing, marketing and expanding the retail asset space.

In short:

- Retail banking results in better yield/improved bottom line for a bank.
- Retail segment is good revenue for funds deployment.
- Consumer loans are presumed to be of lower risk and NPA perception.
- Helps economic revival of nation through increased production activity.
- Improves lifestyle and fulfils aspirations of the people through affordable credit.
- Retail banking involves minimum marketing efforts in a demand-driven economy.
- Diversified portfolio due to huge customer base enables bank to reduce their dependence on few or single borrower.
- Banks can earn good profits by providing non-fund based or fee-based services without deploying their funds.

(c) Other Products/Services

Other products and services broadly cover financial service needs of customers other than those liability products and asset products. These enhance the service experiences of the customers by providing process and delivery efficiencies by additional service tools to the basic products. One set of these products are Credit Cards, Debit Cards, ATM Cards, Gift Cards, Mobile Banking, Internet Banking, Depository Service and Broking Services. Distribution of third party products like life and non-life policies, mutual funds, retail sale of gold coins/ gold bonds, bill payment services, multi-city cheques, payment gateway for rail, air ticket bookings, wealth management services, portfolio management services and private banking are some of the other services offered by banks. These services are offered with twin objectives of customer multiple need

satisfaction and also to augment fee-based income. The revenue models from these fee-based services are quite attractive and some banks in the private space generate revenues of above 50% of their total revenues from fee-based business.

Today, ATMs are offered by almost all PSBs. Most of the banks are now actively paying attention to Internet Banking and Mobile Banking, to realize the huge potential available in this space. Depository Services are offered by some banks as also Broking Services. Corporate Agency for Life and Non-Life insurance products and distribution of mutual funds are done by almost all PSBs while sale of gold coins are done now by a good number of banks. Bill Payment services are attempted by many banks. Payment Gateway facility is yet to make a big impact and offered only by few banks. Wealth Management, Portfolio Management Services are not offered by any of the PSBs till now but the days are not far off for introduction of these services by PSBs. New generation private banks and foreign banks offer the complete bouquet of all the above products/services.

Product Development in Retail Banking

Product Development is attempted by banks in different ways. In house product development independently developing the products based on research and on the market dynamics is one way. In the process, hybrid cross pollination incorporating the best features in the products available in the market along with additional value engineering form part of the product development. Another way of product development is based purely on market conditions and customer segments without any background research and also 'follow the leader approach' by developing on the same lines as the leader. The other most common model is simply following the instructions of the Top Management without any background research or analysis. The basis for these product developments, as said earlier, is either on the segmentation approach or geography-based approach or classification based approach or approach based on specific customer segments like NRI, HNI, Mass Affluent, Salaried, Professionals and Women etc.

In most of the PSBs, product development is done in house, incorporating the market dynamics. The market conditions and customer segments of the bank are factored in the development. The views and instructions of the Top Management are the prime drivers of product development in PSBs. In the development process, geography is not given importance but type of branch and centre and business potential are given due importance.

In private sector banks, both old and new, product development is done in house independently, incorporating the market dynamics, segmentation, classification, customer segments and the product positioning adopted by other players.

The fundamental approach to product development starts from conducting a market survey about the need levels and gap among the target group, identifying the needs, developing the product, pilot testing to a sample universe, getting feedback, fine tuning the product based on feedback and then the final roll out of the product across targeted segments. One or more elements of this process are sometimes by-passed due to various factors and are product related or management

related. Sometimes some part of the process is outsourced and some through in-house resources and also some part of the process is skipped. The practices vary across banks.

In PSBs, market survey is done only through in-house resources and not outsourced. In some banks, no market survey is done and products developed are launched based on industry practices and need expressed by customers and without any pilot run and feedback.

Process Models for Products and Services

Processing of products and services in retail banking is basically approached from three dimensions viz., the entire processing is done through in-house resources, some products processed in house and for some products outsourcing is done for process and the third approach is outsourcing of entire process subject to prescribing process standards.

In PSBs and old private banks the entire process for products and services are done through in-house resources but in some banks, process part of some products are outsourced. But generally, no outsourcing is done for the process part. In new generation private sector banks, outsourcing is attempted partially for some process areas. In foreign banks, the entire process is outsourced and normally happens through a dedicated back office covering the entire gamut of retail banking services.

Banks adopt different process models for retail asset products. Since retail assets form the fulcrum of retail banking activities, banks vie with one another to achieve the best process efficiencies for capturing the customers and enhance their retail asset book. The common form of process models is Centralized Retail Assets Processing Centres where all the retail loans sourced at the branches and by the marketing team are processed at a single point and assets are financed through that centre or processing alone done at the centre and financing done at the branches. Another model is centralized processing for some asset products (say Housing Loans) and regional processing centres or standalone processing at branches for other products. The third model involves no centralized processing but only regional processing hubs to cater to specific cluster or geography of branches and process one or more types of loans. It will exist along with the stand alone processing at the branch level. Some banks follow the stand-alone branch level processing and delivery of retail assets without resorting to any centralized model or regional hubs. The ultimate aim is to build absolute process efficiencies.

Public sector banks are also implementing the centralized processing model for all assets in a phased way. Some banks have centralized/regional processing hubs for some products and standalone model for other products and in most of the banks, no centralized model is followed but process happen only through either regional hubs or branches or a blend of both. The level of implementation of centralized retail loan processing centres is low in PSBs and only local processing is happening in most of the banks. In private sector banks, the old generation banks follow mainly standalone model and the new generation banks follow a blended model comprising of centralized processing for some products and regional hubs for some other products for effectively controlling the lead time for processing. In foreign banks, centralized processing is the norm for retail asset processing.

The model for processing liability products differs across banks. Some banks follow the centralized model for processing liability products. For example, the opening of a Savings Account involves different stage of processing for tangibilizing the service nature into a product nature. Opening of account, issue of Pass Book, Cheque Book, ATM Card/Debit Card, PIN Mailers for the Cards are the stages in the tangibilization process. In centralized processing all the above activities are carried out in a single point. In regional processing hubs, the same activities are carried out geography wise. In some banks, some activities like issue of cheque books, cards, PIN mailers are centralized or done at regional hubs while opening of accounts will be on a standalone basis. Some banks follow the conventional model of standalone processing at the branch level.

In almost all PSBs, standalone processing model is the norm for processing liability products. Opening of accounts, related KYC compliance and issue of cheque books are done at the branch level itself. Of course, issue of ATM/Debit Cards is done centrally in almost all the banks. In some old private banks centralised model is adopted while in other banks, stand-alone process model is implemented though they are aggressive in the core banking model. In new private sector banks, a judicious mix of centralised, regional and standalone models are implemented depending upon the type of products/services. In foreign banks, centralised processing is the norm and mostly done through outsourcing or through dedicated back office.

Process models differ from products which require single stage processing and multi stage processing. For example, opening a fixed deposit and issuing receipt involves only a single stage processing. Likewise, giving car loan is a single stage processing. But in case of housing loans or Savings/Current Accounts, multi stage processing is involved. In this scenario, the process model should be stand alone or centralised depending on the product for better process/delivery efficiencies. Banks adopt different models in this area. In case of PSBs, no watertight process model is adopted but a judicious mix of the different models is in place. In some banks, end to end process model at a single point is adopted. Among old private sector banks, generally end to end model is adopted while in new private sector banks, a holistic model encompassing all the models is attempted. In foreign banks, end to end model for all products and that too outsourced model is the standard practice.

Process time is a major differentiator in the efficacy of retail banking operations. Process time is business sensitive and customer sensitive. It is an important component of business promises with regard to product delivery. It reflects the confidence and process efficiencies of the bank. Quicker the process time, more the delivery efficiencies and customer recognition. Banks are implementing process time prescriptions for different retail asset products.

Most of the PSBs have prescribed process time for different asset products. Interestingly one south based PSB has implemented the Six Sigma Quality Implementation Model in which the process time also finds a place. In most of the other PSBs, the process time is prescribed and varies from 2 days to 15 days depending upon whether it is processed at the branch or regional hub or centralised processing. The general trend noticed in PSBs is that the process time is almost uniform across products. In old private banks, process time is relatively less for retail

asset products revealing their extra commitment in retail asset expansion. In new private sector and foreign banks, the process time for various asset products is structured based on the type of asset as centralised processing is the standard model adopted by these banks. The process time in these banks are clearly drawn between sanction time and actual release of finance.

Pricing of Products and Services

Banks develop models for pricing of products and services based on certain fundamental parameters. Market dynamics, risk perception, return expectations, tenor/duration, resources position, asset liability management positions and customer profile are some of the variables which are factored into the pricing model by banks. The balancing of these various variables dynamically with changing market dynamics is the key function for good pricing model. In addition, regulatory advices (both overt and covert) also influence the pricing models. The fundamental concept of costing in pricing has now gelled with the asset liability management practices of banks.

In PSBs, though pricing is market driven and competitive, in almost all the banks, pricing is mainly driven on the basis of the asset liability management practices of the banks. Of course, regulatory advices form part of the price structuring. In general, the model is built on the basis of all the above factors. But most banks these days have started implementing aggressive pricing strategies in Housing Loan segment to not only capture fresh accounts but also focus on migration from other banks. They follow a structured step up pricing model with an initial low and attractive price and switch over to market related pricing after 3 years. The pricing will be slightly aggressive than PSBs in order to capture business in the competitive environment in case of old private sector banks. In new private banks and foreign banks, though the pricing fundamentals almost remain the same, the pricing of products are always aggressive and ahead of the market to set a price race in the market for demand driven products like term deposits, credit cards, car loans, housing loans, etc.

Price structuring for products and services is attempted by banks in many ways. Standalone pricing for different products and services is the basic structure. While the general structuring is basically an outcome of the pricing models, fine tuning always happens due to different factors. Quantum and volumes are two important determinants. Price preferences/Price rebates based on the above also form part of the structuring. Special quotes for high value deposits and concessional rates of interest are examples of this structuring. Structuring also involves price bundling where a holistic pricing is offered across a specific bundle of products and services so that the total price proposition is attractive than the stand alone pricing for the individual products of the bundle. This structuring is a cross selling strategy to entice the customer to avail more products so that profitability per customer is enhanced.

In addition to standalone pricing structure, most of the PSBs have price concessions as well as rebates as a part of the pricing structure. But the same is applied depending on the volumes, quantum and of course relationship. Offering rebates on completing the repayment schedule is also attempted by some banks. Price bundling is not adopted in a big way by PSBs. In new

private sector banks and foreign banks, effective price structuring happens by actively adopting both concessional pricing based on the above discussed factors and also aggressive bundled pricing structure to cross sell effectively.

In case of other products and services, some banks are structuring additional models indirectly as a part of the pricing structure. In addition to or in lieu of price rebates/discounts, alternate pricing propositions for other services are offered as additional facilities. For example, free remittance facilities, free issue of drafts, waiver of service charges and processing charges are offered as concealed price structures and as tag on quantum and volume business. Almost all banks follow the above structure both as a pricing initiative as well as a cross selling initiative.

Technology Models in Retail Banking

The technology platform for retail banking plays a major role in the retail banking initiatives of banks. In today's scenario, technology is the backbone of the process and delivery efficiencies of banks. The technology models basically adopted by banks are in-house Models, Outsourced Models, Partially in-house and Partially Outsourced Models. Each model will have advantages and disadvantages and the overall business will be the deciding factor of the effectiveness of the model.

Most of the PSBs have primarily in-house models with partial outsourcing also. Again, total in-house development and implementation by the in-house team is practiced by some banks whereas in some other banks, the development is done by some vendor and implementation is taken care of by the bank. In case of total, in house development, the cost factor will be favourable while in the second model, cost factor matters. Some other banks have totally outsourced packages but implemented in-house. Almost all old private sector banks follow outsourced model for technology basically because of the scale to migrate to Core Banking Model. In case of new private sector banks, the model is predominantly outsourced with partial in-house model. In foreign banks, outsourced model is mostly adopted.

Technology and Retail Banking are inseparables. Technology is the foundation on which the retail banking edifice is built across the globe. Technology is the enabler for building and translating a customer data base into retail banking business. Banks adopt different technology platforms in line with the global trends. The levels of technology implementation in PSBs started from standalone Automated Ledger Posting Machines (ALPMs) in the early days of computerization and graduated to total branch automation and regional net worked hubs. New private banks started with technology advantage of a single server environment which gave them the edge over other banks. PSBs have reengineered their technology initiatives and started implementing core banking solutions networking the customers and accounts in a single platform. The level of implementation of core banking has increased the availability of customer data base across products and has also increased the scope for cross-selling and up- selling other products. Core banking gives clues about the level to which the data base is horizontally or vertically organized. Horizontal or vertical organized refers to whether data is available product wise on a standalone basis or data is available customer-wise on an integrated basis.

Sustainable Retail Banking: Business models of the future

In light of the current challenges, retail banks need to focus on their strengths. There are two core strengths that define a bank's retail business model: first, a clear customer centricity and second, a strong value chain focus. Customer-centric banks have the ability to differentiate themselves through effective customer access across the buying process and to meet requirements along the customer journey. These business models include ecosystems with a broad (potentially non-banking) offering on the one end and focused digital players with a narrow banking-only offering on the other end. In between, there are trusted advisors with a broad customer range, who particularly target service-oriented individuals, as well as supermarkets serving self-directed customers in a narrower setting. Value chain-focused banks, on the other hand, maintain their competitive advantage by differentiating themselves with effective resources and competences along the banking value chain.

Value chain-oriented banks operate as one of three business model archetypes: one concentrates on products for end customers; these banks are leaders in specific categories and therefore product specialists. The other two focus on processes and are further differentiated by their ability to cover a broad range of B2B customer needs themselves. Where possible, they position themselves as a utility bank, or else offer banking as a service.

3.3 DISTINCTION BETWEEN RETAIL AND CORPORATE/WHOLESALE BANKING

Retail Banking and Corporate or Wholesale Banking differs in their basic approach to banking. The major differences between the two segments are discussed as follows:

1. Retail Banking targets at the individual segment while corporate banking deals mainly with corporate clients.
2. Retail Banking is a mass market banking model whereas wholesale/corporate banking looks at a relatively smaller segment of business/corporate client base as compared to retail segment.
3. Retail Banking is a B2C approach (Business to Customer) whereas corporate banking is a B2B approach (Business to Business).
4. The ticket size of loans in retail banking is low whereas the ticket size is high in corporate loans.
5. Risk is widespread in retail banking as customer base is large whereas in corporate banking, the risk is more as the ticket size is big though customer base is relatively small.
6. Returns are more in retail banking as the spreads are more for different asset classes in retail. But in corporate banking, the returns are low as corporate bargain for lower rates due to higher loan amount.
7. Monitoring and recovery in retail assets are more laborious because of the larger customer base as compared to corporate banking.

8. In the liability side also, the cost of deposits is relatively less and mostly go along with the card rates as the ticket size in retail deposits is small. In corporate banking, as the ticket sizes of deposits will be large, the cost of deposits will be high due to pressure from the corporate for higher rates and competitive forces to garner the deposits.
9. The impact of NPA will be more pronounced in corporate banking than in retail banking as the ticket sizes in corporate loans are higher than retail loans.

LET US SUM UP

- The implementation models in retail banking are mainly built under the following broad classifications:
 - Horizontally Organised Model
 - Vertically Organised Model
 - Predominantly Vertically Organised Model
 - Predominantly Horizontally Organised Model
- The horizontal or vertical model depends on the level of customer information available in a single platform in the data base side for offering multiple products/services across assets, liabilities and other services. Horizontally organized model is a modular structure using different process models for different products, offering end-to-end solutions product wise. Vertically organized model provides functionality across products with customer data base orientation and centralized customer data base is used across products. Predominantly horizontally organized model is mostly product oriented with common customer information for some products. In predominantly vertically organized model, common information is available for most of the products.
- Sustainable Retail Banking Business models of the future: In light of the current challenges, retail banks need to focus on their strengths. There are two core strengths that define a bank's retail business model: first, a clear customer centricity and second, a strong value chain focus.
- Retail Banking Solutions are offered by banks by extending different retail asset products, retail liability products and plethora of other services covering the entire financial services and investment services and requirements of customers. Banks implement these services mainly through their technology initiatives. All banks have implemented their core banking solutions to offer their customers borderless banking and end-to-end solutions for total banking experience with virtual presence of the customer.
- As discussed elsewhere, retail banking is different from corporate banking. In retail banking the impact of NPA will be less whereas in corporate banking, the NPA impact will be higher. Likewise, the cost of deposits will be relatively less than corporate banking as the customer base is large in retail banking and hence pressure for finer rates will be less.

KEYWORDS

Horizontally organized; Vertically organized; standalone pricing; holistic pricing; product models; process models; technology model; liability products, asset products; other services

CHECK YOUR PROGRESS

1. The implementation models followed by banks for retail banking include
 - (i) Horizontally Organised Model
 - (ii) Vertically Organised Model
 - (iii) Predominantly Vertically Organised Model
 - (iv) Predominantly Horizontally Organised Model
 - (a) (i) & (ii) only
 - (b) (ii) & (iii) only
 - (c) (ii) (iii) & (iv) only
 - (d) (i), (ii), (iii) & (iv)
2. Which one of the following ways, the price structuring for products and services is attempted by banks?
 - (i) Standalone pricing for different products and services.
 - (ii) Special quotes for high value deposits.
 - (iii) Bundled pricing/Holistic pricing based on total relationship.
 - (a) (i) only
 - (b) (i) & (ii) only
 - (c) (ii) & (iii) only
 - (d) (i), (ii) & (iii)
3. Which one of the following is not included under Retail Banking?
 - (a) Online Banking
 - (b) Medium Business
 - (c) High Net Worth Individuals
 - (d) Corporate Entities
4. Which one of the following forms is the backbone of retail banking income?
 - (a) Liability products
 - (b) Asset products
 - (c) Treasury products
 - (d) Both (a) and (b)
5. Under which category, the sale of insurance products falls?
 - (a) Retail Liability
 - (b) Retail Asset
 - (c) Third Party Products
 - (d) None of the above

ANSWERS TO CHECK YOUR PROGRESS

1. (d) 2. (d) 3. (d) 4. (b) 5. (c)

UNIT 4

BRANCH PROFITABILITY

STRUCTURE

- 4.0 Objectives
- 4.1 Banking System: An Introduction
- 4.2 Banking in India
- 4.3 What is Profitability
- 4.4 What is Profit
- 4.5 Gross Profit, Operating Profit and Net Profit
- 4.6 Profit and Profitability in the context of Banking
- 4.7 Traditional Measures of Profitability
- 4.8 The ROA (Return on Asset)
- 4.9 Return on Equity (ROE) for Banks
- 4.10 Branch Operating Efficiency
- 4.11 Strategies for Improving Efficiencies of Banking Operations
- 4.12 Factors Affecting Profitability of Banks in India
- 4.13 Profitability Analysis of Bank Branches
- 4.14 Steps to Improve Branch Profitability
- 4.15 Essential Factors to Make Continuous Improvement in Profitability

Let Us Sum Up

Keywords

Check Your Progress

Answer to Check Your Progress

4.0 OBJECTIVES

The objectives of this unit are to understand:

- What is Profit and Profitability
- Measures of Profitability
- Return on Asset (ROA) and Return on Equity
- Factors affecting Profitability of Banks
- Steps to Improve Branch Profitability
- Essential Factors to Make Continuous Improvement in Profitability

4.1 BANKING SYSTEM: AN INTRODUCTION

Banking System in India is governed under the Banking Regulation Act, 1949 by Reserve Bank of India which provide the regulatory framework for the supervision of banks in the country. The Banking Regulation Act, 1949 was passed as the Banking Companies Act 1949 and it came into force from 16 March 1949 and changed to Banking Regulation Act 1949 from 1 March 1966.

The development of the banking sector can be divided into three phases:

Phase I: The Early Phase during the period from 1770 to 1969

Phase II: The Nationalisation Phase during the period from 1969 to 1991

Phase III: The Liberalisation or the Banking Sector Reforms Phase from 1991 and continues till date

Prior to independence, there were close to 600 banks in India out of which only a few survive today. During the British rule, the three Presidential banks of India were established at Kolkata, Mumbai and Chennai which merged as the Imperial Bank of India in 1921. The Imperial Bank of India was later nationalised in 1955 and was named The State Bank of India, which is currently the largest Public Sector Bank.

In 1969, the Government of India decided to nationalise the banks under the Banking Regulation Act, 1949 during which 14 banks were nationalised. In the year 1980, another 6 banks were nationalised taking the total to 20. Apart from these banks, the seven subsidiaries of SBI were nationalised in 1959 which were later merged with SBI.

In the final phase starting in the nineties, the Government set up the Narasimham Committee to manage the major reforms in the banking sector. During the period, RBI gave out licenses to open private sector banks in the country. Few private sector banks during this period have emerged amongst the biggest banks in the country.

Banking System is a hub of a strong economy and needs to be both stable and profitable. Efficient Banking system is important for investments and economic development. The robustness of any economy depends to a great extent on the savings that are generated in it. These savings

constitute the source for creation of further wealth by deploying them in tune with economic directions adopted by a country. Investments stimulate economic activities to greater heights leading to economic prosperity.

Commercial Banks act as a bridge between the depositors and the borrowers to meet requirement of accepting and deploying funds and they have to deal with various risks broadly categorized as Credit risk, Liquidity risk, Market risk and Operational risk.

An entity that transacts with the funds of the depositors, is exposed to various risks. Strong regulatory and supervisory frame work helps in minimizing and controlling the risks; function profitably and thus facilitating the robust growth of the economy. Effective regulatory control and regular supervision is essential for the banks to deliver their services with profitability and withstand the shocks of the economy. Bank crisis leads to serious breakdown of the economy as witnessed in the subprime crises (2007-2008).

4.2 BANKING IN INDIA

Responding to the need to meet the competitive global environment, India, in the nineties opened its economy, largely by ending the Licence Raj and the permit system. As per the recommendations the Narasimhan Committee, the Banking Sector introduced various reforms including the opening of the sector to private and the foreign players, deregulation of interest rates, reduction of the Cash Reserve Ratio (CRR) and Statutory Liquidity Ratio (SLR).

This made the sector more competitive with the scope to provide the customers a better experience. At the same time, this exposed the banking sector to risk of losses across the asset classes and geographical border needing close attention on the supervisory front from the monetary authorities (RBI, 2008-09).

As of today, Indian Banking System consists of 12 Public Sector Banks, 21 Private Sector Banks, 45 Foreign Banks, 53 Scheduled Urban Cooperative banks, 1470 non-scheduled Urban Cooperative Banks, 43 Regional Rural Banks and around 96,000 Rural Cooperative banks in addition to Cooperative Credit Institutions. Public Sector Banks have more than 70 per cent of the banking business but steadily losing market share to the private peers.

According to the Reserve Bank of India (RBI), the banking sector in India is sound, adequately capitalized and well-regulated with High Quality Liquidity Assets (HQLA) and SLR investments as it is much better when compared to other economies of the world. Studies on Credit, Market and Liquidity Risk suggest that Indian Banks are generally resilient and well regulated.

On the other hand, the quality of assets remains a matter of concern. The Gross NPA of the Banks has reached to ₹ 8.34 trillion as of 31st March 2021 and Net NPA to the level of ₹1.97 trillion as on 31st March, 2021. The NPAs are detrimental to financial health of the banks and profitability. Instances of lending by the banks with faulty lending policies, inadequate monitor mechanism lead to delinquent advances creating a contagion effect as seen in the cases of Kingfisher Airlines in the year 2011 and the Punjab National Bank Letter of Undertaking in the year 2018 in India.

4.3 WHAT IS PROFITABILITY?

Before moving to Branch Profitability, let us first have a broad view of profit and profitability. Profitability is a measure of an organization's profit relative to its expenses. Organizations that are more efficient will realize more profit as a percentage of its expenses than a less-efficient organization, which must spend more to generate the same profit. In other words, Profitability is a measurement of efficiency – and ultimately its success or failure.

A further definition of profitability can be a business's ability to produce a return on an investment based on its resources in comparison with an alternative investment. Therefore, it can be said that Profitability is the relative measure of profit. It compares how much profit a company makes compared with its overall revenue and costs. By so doing, profitability enables us to have a more holistic view of how well a company is doing.

4.4 WHAT IS PROFIT?

Profit is the money a business pulls in after accounting for all expenses. Whether it's a lemonade stand or a publicly-traded multinational company, the primary goal of any business is to earn money, therefore a business performance is based on profitability, in its various forms.

Some analysts are interested in top-line profitability (Gross Sales), whereas others are interested in profitability before taxes and other expenses. Still others are only concerned with profitability after all expenses have been paid (bottom-line profitability).

The three major types of profit are gross profit, operating profit, and net profit--all of which can be found on the income statement. Each profit type gives analysts more information about a company's performance, especially when it's compared to other competitors and time periods.

4.5 GROSS PROFIT, OPERATING PROFIT AND NET PROFIT

The first level of profitability is gross profit, which is sales minus the cost of goods sold. Sales are the first line item on the income statement, and the cost of goods sold (COGS) is generally listed just below it. For example, if Company A has ₹1,00,00,000/- in sales and a COGS of ₹60,00,000/- it means the gross profit is ₹40,00,000/-, (i.e. ₹1,00,00,000 minus ₹60,00,000/-). Divide gross profit by sales for the gross profit margin, which is 40% (i.e. ₹40,00,000/- divided by ₹1,00,00,000/- multiplied by 100).

$$\text{Gross Profit} = \text{Total Sales} - \text{Cost of Goods Sold}$$

The second level of profitability is Operating Profit, which is calculated by deducting operating expenses from gross profit. Gross profit looks at profitability after direct expenses, and operating profit looks at profitability after operating expenses. These are things like selling, general, and administrative costs (SG&A). Company A (stated above) has ₹20,00,000/- in operating expenses, and hence, the Operating Profit is ₹40,00,000/- minus ₹20,00,000/-, which is equal to ₹20,00,000/-. Divide operating profit by sales for the operating profit margin, which is 20%.

$$\text{Operating Profit} = \text{Gross Profit} - \text{Operating Expenses}$$

$$\text{Operating Profit Margin} = \frac{\text{Operating Profit}}{\text{Total Sales}}$$

The third level of profitability is net profit, which is the income left over after all expenses, including taxes and interest, have been paid. If interest is ₹5,00,000/- and taxes are another ₹5,00,000/-, net profit is calculated by deducting both of these from operating profit. In the example of above Company, the answer is ₹20,00,000/- minus ₹10,00,000/-, which equals ₹10,00,000/-. Divide net profit by sales for the net profit margin, which is 10%.

$$\text{Net Profit} = \text{Operating Profit} - \text{Taxes \& Interest}$$

Difference between Profitability and Profit

Although the two terms are used interchangeably, profit and profitability are not the same. Both are accounting metrics in analyzing the financial success of a company, but there are distinct differences between the two. To adequately determine whether a company is financially sound or poised for growth, we must first understand what differentiates an entity's profit from its profitability.

Profit is an absolute number determined by the amount of income or revenue above and beyond the costs or expenses an entity incurs. It is calculated as total revenue minus total expenses and appears on an entity's income statement. No matter the size or scope of the business or the industry in which it operates, a company's objective is always to make a profit.

Profitability is closely related to profit – but with one key difference. While profit is an absolute amount, profitability is a relative one. It is the metric used to determine the scope of a company's profit in relation to the size of the business. Profitability is a measurement of efficiency – and ultimately its success or failure.

A further definition of profitability is a business's ability to produce a return on an investment based on its resources in comparison with an alternative investment. Although a company can realize a profit, this does not necessarily mean that the company is profitable.

4.6 PROFIT AND PROFITABILITY IN THE CONTEXT OF BANKING

Like other businesses, banks profit by earning more money than what they pay in expenses. The major portion of a bank's profit comes from the interest that it earns on its assets mainly and fees it charges for its services. Its major expense is the interest paid on its liabilities.

The major assets of a bank are its loans and advances to individuals, businesses, and other organizations and the securities that it holds, while its major liabilities are its deposits and the money that it borrows, either from its customers or other banks or by selling commercial paper in the money market.

Banks increase profits by using leverage or gearing, which is the extent to which the banks fund its assets with borrowings rather than equity. Profits can be measured as a return on assets and

as a return on equity. Because of leverage, banks earn a much larger return on equity than they do on assets.

4.7 TRADITIONAL MEASURES OF PROFITABILITY

The traditional measures of the profitability of a business are primarily its **Return on Assets (ROA)** and **Return on Equity (ROE)**.

Assets are used by businesses to generate income. Loans and securities are bank's assets and are used to provide most of a bank's income. However, to make loans and to buy securities, a bank must have money, which comes primarily from the bank's owners in the form of bank capital, from depositors, and from money that it borrows from other banks or by selling debt securities — a bank buys assets primarily with funds obtained from its liabilities as can be seen from the following classic accounting equation:

$$\text{Assets} = \text{Liabilities} + \text{Bank Capital (Owners' Equity)}$$

However, all assets can't be used to earn income, because banks must have cash to satisfy cash withdrawal requests of customers. The required cash is held in its vaults, or currency chests, and inside its automated teller machines (ATMs), and, thus, earns no interest. Banks also have to keep funds in their accounts with the regulator (i.e. RBI in India) in form of CRR and SLR. While banks do not get any interest on CRR from RBI, the interest earned on SLR is much less than market rates. A bank must also keep a separate account — loan loss reserves — to cover possible losses when borrowers cannot repay their loans. The money held in a loan loss reserve account cannot be counted as revenue, and, thus, does not contribute to profits.

4.8 THE ROA (RETURN ON ASSET)

Return on Asset is determined by the amount of income that it earns on its **Net Interest income** and fees on its services.

Net interest income depends partly on the **Interest Rate Spread**, which is the **Average Interest Rate** earned on its assets minus the **Average Interest Rate** paid on its liabilities.

$$\begin{aligned} \text{Interest Rate Spread} &= \text{Average Interest Rate Received on Assets} - \text{Average Interest Rate Paid on Liabilities} \\ \text{Or} & \\ \text{Interest Spread} & \\ \text{Net Interest Income} &= \text{Interest Received on Assets} - \text{Interest Paid on Liabilities} \\ &= \text{Interest Earned on Securities + Loans} - \text{Interest Paid on Deposits and Borrowings} \end{aligned}$$

Net Interest Margin shows how well the bank is earning income on its assets. High net interest income and margin indicates a well- managed bank and also indicates future profitability.

$$\text{Net Interest Margin} = \frac{\text{Net Interest Income}}{\text{Average Total Assets}}$$

Return on Asset for Banks:

$$\begin{aligned} \text{ROA} &= \frac{\text{Fee Income} + \text{Net Interest Income} - \text{Operating Costs}}{\text{Average Total Assets}} \\ &= \frac{\text{Net Income}}{\text{Average Total Assets}} \end{aligned}$$

Because income is calculated over a time period, but assets, as a balance sheet factor, are determined at a particular time, average assets are used:

$$\text{Average Total Assets} = \frac{\text{Total Assets at Start of the Fiscal Year} + \text{Total Assets at End of the Fiscal Year}}{2}$$

(Note: Herein we will refer to Average Total Assets as simply Bank Assets.)

4.9 RETURN ON EQUITY (ROE) FOR BANKS

The return on equity is what the bank's owners are primarily interested in because that is the return that they earn on their investment, and depends not only on the return of assets, but also on the total value of the assets that earn income. However, to purchase more assets, a bank needs to pay for it either with more liabilities or with bank capital. Therefore, if the owners want to earn a greater return, they would rather use liabilities rather than their own capital because this greatly increases their return.

When a bank increases its liabilities to pay for assets, it is using leverage, otherwise a bank's profit would be limited by the fees that it can charge and its interest rate spread. But the interest rate spread is limited by what a bank must pay on its liabilities and what it can charge on its assets. Since banks compete with each other for depositors and deposits compete with other investments, banks must pay competitive market rate to attract depositors. Likewise, banks can only charge so much for loans since there is competition from other banks and businesses can get loans by selling debt securities, either commercial paper or bonds, in the financial markets. Hence, interest rate spreads are not wide, so a bank can only earn more net interest income by increasing the number of loans that it makes compared with the amount of its bank capital, which it does by using **leverage**:

$$\text{Leverage Ratio} = \frac{\text{Bank Assets}}{\text{Bank Capital}}$$

Now the return for the owners is easy to calculate:

$$\begin{aligned} \text{ROE} &= \text{Return on Assets} \times \text{Leverage Ratio} \\ &= \frac{\text{Net Income}}{\text{Bank Assets}} \times \frac{\text{Bank Assets}}{\text{Bank Capital}} \\ &= \frac{\text{Net Income}}{\text{Bank Capital}} \end{aligned}$$

The leverage that banks use is similar to a business using debt to increase its earnings. After all, deposits are just money that the bank owes to its depositors. Hence, the leverage ratio is the same as the debt ratio used to determine the leverage of other business types.

The return on equity can be increased by increasing leverage, but banks can only increase leverage by so much, because with increased leverage comes increased risk. For instance, let us consider the following hypothetical bank:

Bank Assets = ₹ 100

Bank Liabilities = ₹ 95

Bank Capital = ₹ 5

This is a leverage ratio of 20 to 1 (₹100/₹5). If the value of its assets drops just 5%, then the bank's capital will be wiped out. To protect the safety of the banking system, the regulator (i.e. RBI in India) restricts the amount of leverage that banks can have.

In USA to protect the safety of the banking system, the Federal Reserve restricts the amount of leverage that banks that are depository institutions can use. Typically, the leverage ratio is about 10 to 12. In other words, a bank's assets may have at least 10 times the value of its capital, but not much more.

A major reason why most investment banks in USA were not depository institutions was to escape such restrictions, so that they could earn outsized profits by using extremely high leverage. Rather than managing risk with reserves, these banks managed risk with their own financial models.

For example, Lehman Brothers was using a leverage ratio greater than 30. With a leverage ratio so high, the value of its assets only had to decline 3% to wipe out Lehman Brothers' entire capital. When subprime borrowers started defaulting on their mortgages in large numbers in 2007 and 2008, the value of the mortgaged-backed securities that Lehman Brothers held as part of its portfolio fell dramatically in value. These large losses combined with its outsized leverage ratio forced Lehman Brothers to declare bankruptcy in September, 2008, after 160 years in the financial services business.

This is why banks must manage risk very carefully to earn profit.

Before we discuss the various steps to increase branch profitability, it is very essential to understand Branch Operating Efficiency and steps to improve Branch Operating Efficiency. It is critical to have continuous focus on improvement in **Branch Operating Efficiency** for long term success and sustained profitability.

4.10 BRANCH OPERATING EFFICIENCY

With the challenges banks are facing these days, it's becoming clear that banks must get the best "bang for the buck" from all resource expenditures. Continued inefficiency at a bank might be robbing important efforts of the resources banks need to be fully successful. But a focus on cutting costs alone is not a formula for long-term success. A balanced approach – one that enables a bank not only to improve operating efficiency but also to upgrade its capabilities to respond to market needs and prepare for the future – is imperative to the success of a bank's operations and profitability.

Why Efficiency matters for Bank Operations

As with any business, banks must be vigilant about spending wisely. Today, however, the banking industry faces a new combination of circumstances that are giving special impetus to the need for efficiency. Changes in customer preferences and expectations, new competition, and new technologies are transforming the nature of banking. The business of banking is morphing toward a digital- and technology-based model while retaining important aspects of the traditional person-to-person business model. To remain competitive, banks need to invest in technology, marketing, automation, and self-service capabilities, and also must optimize their legacy investments in branches and traditional systems. All of these changes are occurring in an industry environment that is experiencing narrowing margins, slow deposit growth, and the potential of an economic downturn.

These factors put exceptional pressure on banks' operating budgets and generate an understandable appetite among executives for strategies to reduce expenditures in some areas in order to afford the necessary expenditures in technology, marketing, and new capabilities to remain competitive. Becoming more efficient in everything they do is an important strategic objective for banks, and most banks already put forth significant effort to lower their costs.

Setting operating targets for improvement

Banks today are focusing how, and by how much, efficiency and costs can be improved. Every institution is unique, of course, so the size of the improvement opportunity will vary greatly from one bank to another and also from one branch to another. Industry experience suggests that a concentrated and carefully executed efficiency initiative should be able to achieve significant savings. The outcomes are not always realized through direct cost reductions. Ideally, improved efficiency means processes that are scalable and that support a faster pace of growth for the bank's revenue stream and asset base than for its overhead costs.

4.11 STRATEGIES FOR IMPROVING EFFICIENCIES OF BANKING OPERATIONS

So how can a bank move toward such outcomes? Across-the-board budget cuts inevitably are a recipe for disaster. Such cuts typically are more than is needed in areas that already are productive and are not enough for the most inefficient areas. The most successful efficiency initiatives follow a more analytic approach that reflects the specific circumstances facing each line of business and support function. Following are the major strategic areas where today's banks are focusing their efforts.

Areas of improvement for better operating efficiencies

1. Business realignment

The basic premise of business realignment is to exit business lines that have low margins and move instead into lines that are inherently more cost-effective and increase bank profitability. Leading banks take a robust approach to strategic planning, assessing the minimum commitment of resources needed to compete in a particular line of business and identifying opportunities to differentiate themselves from competitors. In many instances, this means that traditional banks might choose to move into non-traditional businesses, such as specialty financing and payment processing – provided, of course, their analysis reveals they can compete effectively and efficiently. Counterintuitively, these strategic transitions might require the bank to increase its investment and costs in the short term in order to realize improved margins and efficiency in the long term.

2. Channel optimization

The goal of channel optimization is to assess the various ways customers interact with a bank in order to create a cost-effective combination that is adapted to each bank's specific customer base. Given the rapidly changing nature of customer channel preferences, this process of optimization requires branches to be fairly aggressively closed, consolidated, sold, and bought as banks adjust their physical geographic presence. Many banks also are significantly reconfiguring roles, duties, and staffing within the branches and employing new metrics for analysing branch performance and value.

Channel optimization should not be about branches alone, as contact centres, online and mobile banking, ATMs, and relationship managers also are important channels for customers. Banks are working to enhance their contact centres via better operating hours and technical knowledge, as well as their chat, text, and social media capabilities in order to meet customers' changing expectations and ensure virtual availability for customer service and assistance.

Again, there is no one-size-fits-all approach. Some banks assertively promote electronic account openings, remote deposit capture via smart devices, and accounts that are designed to be virtually paperless. Other banks – often those with large commercial customers – pursue a fundamentally

different approach, focusing on personal service with a relationship manager and support team assigned to each qualifying account. The high-value business generated by this approach can more than offset the added costs.

3. Process costs

The opportunity to improve process costs often is underappreciated in banks, in part because it involves taking a more manufacturing view of business processes. The goal is to improve the bank's efficiency ratio by reducing the unit cost-to-value ratio of each activity or transaction – such as the cost of opening an account, creating a loan document package, or handling a specific type of transaction. Process improvement in this area involves continual performance monitoring and often comes about as a result of analysing, mapping, benchmarking, and ultimately rethinking back-office processes. Important trends (discussed in more detail later) include greater reliance on electronic documents, automated routing and processing, and process automation driven by machine learning models.

4. Staff productivity

In addition to reducing process costs, automation tools can help improve staff productivity, enabling banks to handle more transactions and greater volumes of activity with the same number of personnel. But productivity improvement is not dependent on technology alone. Some of the most significant opportunities involve using established performance management techniques, such as clearly defined expectations and scorecards, improved motivation and rewards systems, and better training and supervision.

Other useful tools include visible metrics and performance charts along with “line-of-sight” incentives – such as bonuses that are directly related to individual or team performances and practices, not just institutional performances. Many institutions also find success in redefining job roles, using more flexible work arrangements, providing mobility for off-site work, and outsourcing more specialized activities.

5. Technology and automation

The role of technology in banking has been mentioned several times already, but because of its broad, enterprise wide impact, the use of technology and automation also merits individual attention as part of the overall efficiency improvement effort.

The overarching goal is threefold:

- (1) To have applications that allow customers to make transactions or obtain information on a self-service basis without requiring employee efforts.
- (2) To use technology to reduce the time employees spend on finding information; and
- (3) To use automated business rules and decision models to move work more quickly and efficiently through processes.

For example, automated workflow processing gives bank's officials greater visibility into the activities being performed, allowing them to monitor work queues, identify bottlenecks or problems, and reallocate work to respond to changing conditions. One increasingly important practice is to convert all hard-copy documents into electronic images as early as possible in a transaction or process instead of as a final document storage step after the transaction.

Electronic documents can move from step to step with minimal delay and virtually no added cost. Even more important, electronic imaging allows parallel processing of documents so that several steps in a transaction's progress can be completed simultaneously. In many instances, of course, using electronic signatures, signature pads, and online processes can eliminate paper altogether – thus taking one more step out of the process.

Beyond helping to automate core processes, technology also has an obvious role to play in a bank's channel optimization efforts. It affects not only how customers interact with the bank but also how banks communicate important information internally and how they manage their sales and customer relationship activities.

6. Vendor Management

Improved Vendor Management does not mean simply pressuring vendors to lower their prices. Rather, it is a focused effort designed to derive the greatest possible value from a vendor relationship. Selecting vendors that closely align to the bank's business objectives is critical. Maintaining strong vendor performance is supported by service-level agreements and vendor scorecards to monitor performance issues such as system availability, response times, and direct expenditures. Such tools help provide a more complete view of the vendor relationship.

Other basic cost-cutting techniques include consolidating vendors and benchmarking costs against comparable services in the market. Bear in mind as well that vendor relationships can have an effect on regulators' view of the institution's risk profile.

7. Product Bundling and Relationship Pricing

Banks need to think beyond 'one-size-fits-all' strategy to cater to customer's increasing demand. Customers also will leave an institution for another based on getting the services they want and the best price available for it, so relationship pricing and product bundling become ever more important. Banks should look at products and pricing based upon a total customer view and respond to the value that customers bring to the bank across the spectrum of rates, fees, features and services. Many banks are now-a-days bundling identity theft alerts and credit score reports with a checking account which provides increased account sales because of the attractiveness of the bundled features.

8. Cross-lob data sharing and building a 360-degree Customer View

Though there are many challenges in integrating cross-lob data like extracting data from multiple disparate systems, existence of duplicate records in business applications/ databases

and data sharing impediments due to opt-out policy/other regulatory requirements, it is crucial to have a 360-degree view of customer which will help to get a holistic picture of a customer's demographics, engagement, need and preferences. This knowledge enables organizations to precisely target products and services to current customers, acquire more profitable customers, reduce marketing costs, improve customer satisfaction and maximize lifetime value .

9. Sophisticated customer segmentation

It is the key to cater to individualized needs and should be based on standard banking metrics – tenure with the bank, number of accounts, balances of accounts and loans, frequency of interaction with the bank, channel preferences along with psychographic (values, attitudes, lifestyles), behavioural (usage rate, price sensitivity, brand loyalty, and benefits sought) and demographic variables (occupation, income, and family-status).

10. Real time cross –selling/up –selling

Banks can use real-time events and deep customer insight to offer cross-channel marketing campaigns where “moments-of-truth” (wedding, home purchase/sale, new job, stock transactions, etc.) are acted on as a way to deepen customer relationships - to determine the next best action, be it an offer, channel, message, piece of content etc. The more customized product/service offering, the higher are the barriers to switching banks.

11. Innovative Reward Design

In today's hyper-competitive market, banks need to move beyond a “one-size-fits-all” reward model particularly for the most profitable clients. They need to design a system which let profitable customers enjoy premium benefits and redeem rewards points easily and in various ways (for gift cards, merchandise, events and experiences, or cash). Many Indian Banks have since tied up their Debit/ credit cards with service providers with cobranding and additional reward points for using their services like ICICI bank with HPCL, SBI with Maruti Car, Bank of India with Taj Hotels, Citi Bank with Indian Oil etc.

12. Automating Customer Care

In the digital age, customers demand more self-service options and any-time, anywhere service. So expanding customer self-service, case management, dispute management and event-based decision-making can be perceived as better customer care, while lowering operational costs and increasing effectiveness. However, banks should continue to make compelling offers as incentives for customers to use lower cost channels.

13. Digital Revolution

Well, it might just be feasible that what social media is really doing today is more than socializing the web. It might be possible that this drive towards great usability, human interaction design, multi-touch, augmented reality, geo-location and connectedness is actually creating a digital service platform that could revolutionize the ability of an organization to look after customer.

Banks should try to engage consumers through digital channels and advance its leadership in the digital space as well as expand its social media engagement on Facebook, Twitter, Pinterest and LinkedIn. Though there can be several roadblocks and complications – like online account opening is expensive on per-account basis – however, prices for new delivery channels always commoditize as usage grows.

It is a myth that importance of branches will diminish as the digital channel usage will increase on the contrary, if branches are tightly integrated with other channels, that promote and support them and that quickly finish transactions started there will be more successful than ever.

14. Big Data

The big data is the new disruptive technology for changing the game. Big data capabilities provide banks the ability to understand their clients at a more granular level and more quickly deliver targeted personalized offers. Being able to anticipate customer needs and resolve them before they become problems allows banks to deliver timely, concise and actionable insight to contact centre agents. This can lead to increased sales, improved customer satisfaction and a reduction in operating costs. Fighting fraud, financial crimes and security breaches, in all forms, is among the most costly challenges facing the finance industry. Big data technologies provide a scalable, integrated, secure and cost effective platform to more quickly prevent, detect and mitigate internal and external frauds. Big Data Benefits include: Reduced costs of fraud, screening and monitoring fewer false positives, reduced cost of fraud investigations, reduced payment fraud losses, real time fraud detection and mitigation, optimized offers and cross-sell.

15. Multi-Channel Seamless Experience

Banks should seek to attract and retain customers with a compelling multi-channel experience across all touch points (branches, online, mortgage and investment advisors, etc.). Technology continues to rapidly change the way consumers behave and interact. Virtual channels are becoming more relevant, with the increasing penetration of high-speed Internet connectivity and Web-enabled mobile devices allowing consumers to spend more time online. Bank customers will not only continue to use a mix of channels, but will use non-branch channels for increasingly complex banking transactions. While retail branches remain a core banking channel, research shows that customer traffic is in some cases flat or declining, as customers come to rely more heavily on digital/phone channels. In fact, online banking and call centres account for 55 percent of transactions today. This shift can be a positive development for banks, but they must be ready to provide customers with a rich set of capabilities and a seamless experience across all channels. Successful execution of such a strategy has tangible economic rewards, but requires the right set of investments and development of new capabilities.

16. Innovative Bank Branch Design

“Hip, modern, and fun” that’s exactly the vibe many of the nation’s banks are trying to achieve as they are reimagining their branches and try to lure more customers into brick-and-mortar offices.

The high-counter old teller stations and aged staff, who are versed in transactional banking, won't work in the BANK 2.0 world. Withdrawals and deposits aren't attracting customers to brick-and-mortar offices anymore, so banks are turning to perks like coffee bars and yoga to keep an important gateway open.

17. Instilling a culture that values efficiency

Looking beyond the sixteen specific strategies discussed above, it is very important to recognize that long-term efficiency is impossible to achieve without a corporate culture that supports and values it. This requires a visible commitment from top management to balance value and cost, reduce unnecessary expenditures, and implement metrics and accountability that encourage individual attention to efficiency improvement and profitability.

Ultimately, organizational success and improved bank profitability require more than just efficiency. A successful bank must be able to provide customers with value and service at a competitive price with costs that still generate an acceptable return.

4.12 FACTORS AFFECTING PROFITABILITY OF BANKS IN INDIA

The results indicate that profitability of banks in India is affected by both internal and external factors. Strength of equity capital, operational efficiency, ratio of banking sector deposits to the gross domestic product (GDP, cost of funds, non-performing assets (NPA) are few of the external factors which affect bank profitability whereas inflation, government policies, competition, etc. are few external factors affecting the profitability.

Broadly the profitability of banks is affected by three major factors as follows:

Macro-economic factors-The profitability of banks respond positively to GDP growth and negatively, to inflation growth rate. Inflation has a strong effect on profitability of banks and banks' profits are not significantly affected by the real GDP fluctuations. Low interest rates along with stiff competition among banks put pressure on interest margins of banks and hence negatively affect bank profitability.

Industry Specific Factors-NPAs have the most adverse impact on the profitability of banks. They reduce the profitability due to increase in operating costs and decline in their interest margins.

Other Bank Specific Factors-There exists a positive relationship between deposits and profitability as more deposits a bank collects, higher will be the availability of funds for generating loans and for other profitable uses such as investments. Non-interest income of the bank consisting of commission income, service charges, and fees, guarantee fees, net profit from sale of investment securities, and foreign exchange profit is another factor in determining the bank's profitability. Other important factors impacting the profitability are Net Interest Margin (NIM), Strength of equity capital, operational efficiency, Capital Adequacy, Operating costs, etc.

4.13 PROFITABILITY ANALYSIS OF BANK BRANCHES

The number of branches and their overall foot traffic have declined in recent years, and the Covid-19 pandemic has only accelerated the move to digital, but the branch is not dead. The ability to measure, evaluate, and ultimately make informed decisions regarding branch network continues to be a key element for success.

Traditionally, branch performance measurement equated to branch profitability analysis. While this is still a critical gauge of branch performance, it should be a starting point only. To better understand the value that bank branches deliver to the institution as a whole, it is important to take a more comprehensive look at profitability analysis.

4.14 STEPS TO IMPROVE BRANCH PROFITABILITY

While Banks are getting more and more pressure from customer's increasing demand, highly competitive market and strict regulations – in the current environment, understanding customer behaviour, attitudes and requirements is more vital than ever for banks' strategic thinking, operational planning and day-to-day customer treatment.

Branch level profitability differs from bank to bank and also differs over time. It depends on banks' policy which is dependent on banks' goals and objective. Banks' policy may be exercised through 'Transfer Price Mechanism' and other KPI (key performance indicators).

Depending on banks' policy, bank may promote low cost deposits like current and savings deposit or may be retail loans.

During the last a few years, many consumers migrated to virtual channels, with the result that customer visits to retail bank branches dropped by more than 20 percent. In response, banks cut costs by closing or merging hundreds of branches nationwide.

It is no secret that brick-and-mortar (Branch Banking) continues to be the most expensive distribution channel for financial institutions, and banks must receive the maximum return on the investment. To become more productive and profitable, Indian banks, like those across the country, must evolve strategies and practices to cultivate the growth and revenue potential of individual branches.

As already stated above, branch level profitability differs from bank to bank, branch to branch, time to time depending on banks' goals and objective.

Accordingly, there is no step(s) as such which may suit and effective to all the branches. However, broadly, the followings strategies can help the branches focus on generating income and maximizing overall branch profitability.

1. **Focus on balancing profit, growth and risk:** The best-performing banks balance the three principal drivers of franchise value—profit, growth and risk—to maximize performance and build a sustainable earnings stream. By focusing on these fundamentals, a bank can

align its branches' priorities and day-to-day activities with the overall objectives to improve performance and profitability.

To best understand how each branch is performing requires benchmarking against peer institutions. Through comparison, a bank can uncover the primary issues that it must address to improve performance including cost of funds, overhead efficiency, pricing, net-interest margins and excess capacity.

2. **Assess the strategic fit and unique role for each branch in the network:** At many banks, the Corporate office sets the budget and spreads it across the branches, with each location asked to meet the same percentage growth target. However, this approach typically results in setting goals that some branches cannot achieve and goals that may not be aggressive enough for other branches. The more effective approach is to establish unique customer acquisition, retention and cross-selling goals based on current realities in each branch's service area.
3. **Analyse the current customer base for each branch:** Banks that increase wallet share among customers can also improve retention rates. On an average, a customer with a single product will stay with the institution for about 18 months. When a customer adds one more product, it extends that relationship (and income to the bank) to four years. At the three-product threshold, that relationship stretches to just short of seven years.
Yet in a survey, 73 percent of bankers indicated their business development plans did not adequately recognize differences in wallet share among current customers. This finding demonstrates that bankers need analytical tools to help them pinpoint the most profitable customer segments for each branch.
4. **Identify your best new prospect (potential customers) opportunities:** More than two out of three bankers surveyed acknowledged that they rely mostly on current relationships and branch location, rather than on proactive outreach programs for business development. To attract new customers, banks should take a more data-driven, proactive approach. To begin the process, branch officials should focus on two things: (i) Which types of customers currently gravitate to the branch and (ii) Which specific segments should the bank target and pursue as prospects? It is only by understanding the dynamics of the market that branches can pinpoint, pursue and profit from business and consumer prospecting opportunities.
5. **Analyse the competition:** Using analytical tools, branches can identify which competitors have grabbed market share and grown business vs. those that are falling behind. Understanding the strengths and weaknesses of the competitor helps branch to develop effective business plans and leverage competitive intelligence into true business advantages.
6. **Set specific goals by branch for business and consumer markets:** It is best for banks to determine the most important goals and priorities for each branch. The goals should consider both consumer and commercial segments.

After completing the first five steps stated above, the controlling office will be equipped with the information needed to establish branch-specific goals and incentive compensation plans tied to those customer segments. This branch-specific approach produces much better results than setting generic goals for all branches.

7. **Execute effective marketing campaigns to drive customer origination, retention and expansion:** To attract new customers and sell more products to existing customers requires that banks not only establish unique goals for each branch, but also adopt a more demanding sales culture.

However, it is observed that many of the branches lacked sufficient proactive calling programs that target specific business or consumer niches.

Banks that identify each branch's most valuable customers and prospects (potential customers) can create opportunities to grow business and improve customer retention. Using branch-specific information, banks can execute highly targeted marketing campaigns.

8. **Redefine the bank model of the future:** What's next? By using analytical tools, consumer household segmentation and customer relationship management systems, branches can improve their understanding of customers, predict in-branch behavioural patterns and spot emerging trends. Branch strategy should be evolving constantly, and it should be an ongoing process for banks to assess current position and determine how effectively staff members are contributing toward maximizing value.

For banks across the country, the path to high-performance branches requires intense focus. By working to drive measurable results, branches can achieve unique and targeted sales goals, while contributing to the overall performance and profitability of the respective bank.

Besides the strategic steps stated above, the branches should also ensure to focus on the following steps too to improve profitability.

1. **Relentless focus on NPA reduction:** Each branch must focus recovery to increase revenue and profit. As the time passes, provisioning requirement in case of NPA accounts also goes up (banks classify them as substandard, doubtful (DA-1,2,3) and loss. So, more the branches recover such loans, less provisioning and hence less subtraction from operational profit. All applicable tools like demand notice, SARFAESI, suit filing, face to face contact and persuasion, one time settlement among others should be adopted relentlessly. It is always desirable that NPA of the branch should be less than 3%.
2. **More quality loans:** Banks primarily earn by interest income. So, more quality loans, more interest income. It is desirable that credit deposit ratio should be around 70%.
3. **Focus on non-interest income:** Branches need to focus on cross selling of different products like insurance, mutual funds, Demat Accounts, Government Tax Collection, Non fund business (Guarantee/ LC, etc.), Commission/ exchange on various services etc.

- 4. Low cost deposit:** Low cost Deposit viz. Current Deposit and Savings Deposit Account (CASA) are a vital component of deposits of all banks and these i.e. Current Accounts Savings Accounts (CASA) Deposits are very important performance indicators for the Banks. The rate of interest paid to the customers by the bank on CASA Deposits are very low i.e. NIL interest on Current Accounts and mere 2-3% rate of interest on Savings Accounts at present. This brings down the overall cost of funds of the bank and gives them a lot of mobility to give credit/loans at lower rates and still earn a good Net Interest Margin (NIM) and profitability. Each bank/branch should strive to ensure that CASA Deposits form a high percentage share in the total deposits of the bank to increase profitability.

In the present banking scenario with intense competition between the public, private and foreign banks for a larger market share, a bank with a higher CASA deposit ratio (upwards of 35% or one-third) is better placed to perform with high profitability.

- 5. Holding Minimum Cash Balance:** Depending upon day to day cash requirements of the branch to meet cash withdrawal by the customers, the cash holding should be to the minimum possible level. Cash holding limit should normally be less than 1% of the branch deposit.
- 6. Cost Management:** Close management of costs can drive branch profitability. Most branches can find some avoidable cost to reduce. However, cost cutting at the expense of the quality of bank's products and services is not desirable at all.
- 7. Good Customer Relationship:** This requires utmost focus and attention on continuous basis to acquire new customers, to increase customer base and retain the customers to increase profitability. Branches should strive hard to provide delightful services to customers to spread word of mouth appreciation which will certainly help a lot to acquire good customers with sizeable quality business resulting into high profitability.
- 8. Courteous behaviour by Branch Head:** Branch head is not only the leader but also sort of guardian to the branch staff. He requires to be nice and appreciative to them and they will do wonders for the branch. Each and every minute well served by an employee increases the profitability of the branch. There should be proper reward/appreciation for good workers and at the same time, proper punishment system to the erring employees if they do not improve by persuasive means.
1. When the marketing personnel do their job sincerely, more banking products can be sold thereby improved cross selling and upselling in addition to acquisition of new customers and sale of various products.
 2. When the recovery personnel do the job sincerely, the level of non- performing assets will drastically come down.
 3. When the tellers perform the job honestly, there will not be any complaints from the customers.
 4. When the technical team works perfectly, there will not be any faults in automated teller machines and other infrastructure.

5. When the security personnel do the job perfectly, there will not be any breakdown of automated teller machines and bank burglary.
6. The success of any organisation depends mostly upon the attitude of the workforce in fulfilling their responsibilities and the attitude of the management in rewarding and honouring sincere and honest employees.

The above list is not exhaustive but just indicative to improve branch profitability. The principle is very simple “One size does not fit all”. There is no readymade solution to improve profitability which will suit to all the branches situated at different geographical locations. The steps to improve profitability should therefore be chosen and implemented after proper study and analysis of the situations prevailing in different branches.

4.15: ESSENTIAL FACTORS TO MAKE CONTINUOUS IMPROVEMENT IN PROFITABILITY

Improving profitability is not one-time task but, rather it is a continuous process throughout the day and throughout the year. Improved branch profitability can help to reduce costs, increase turnover and productivity, and help the officials to plan for change and growth.

How bank branches increase their business’ profitability will depend on a number of factors - such as geographical locations, customer segments, competition, available resources, motivated staff, customer’s preferences, size of branch business, its operating costs etc. However, a few options given below must be reviewed on continuous basis to maintained sustained profit and profitability depending upon situation and circumstances,

- Locating areas in your business that could be improved or made more efficient, e.g. general business processes or administration
- Using key performance indicators (KPIs) to analyse your strengths and weaknesses, e.g. rising costs or falling sales
- Assessing your general business costs, e.g. overheads, how discounted deals with loyal customers affect your profits, how productive your staff are
- Reviewing your areas of business waste and reduce them, e.g. power supply costs
- Regularly reviewing the pricing of your products
- Testing the prices of any products you review before making the changes permanent
- Improving your profitability through your best customers - use up-selling, cross selling and diversifying techniques to improve your profit margins
- Identifying areas of expenditure and limit these by bargaining with your suppliers
- Long-term deals with suppliers to negotiate a better price on products
- Researching new opportunities in your business sector and identifying where you could expand the market
- Put monitoring systems and processes in place, e.g. benchmarking.

LET US SUM UP

Banking System is a hub of a strong economy and needs to be both stable and profitable. Commercial Banks act as a bridge between the depositors and the borrowers to meet requirement of employing and deploying funds. An entity that transacts with the funds of the depositors, is exposed to various risks. Responding to the need to meet the competitive global environment, India, in the nineties opened its economy, largely by ending the Licence Raj and the permit system.

As of today, Indian Banking System consists of 12 Public Sector Banks, 21 Private Sector Banks, 45 Foreign Banks, 53 Scheduled Urban Cooperative banks, 1470 non-scheduled Urban Cooperative Banks, 43 Regional Rural Banks and around 96,000 Rural Cooperative banks in addition to Cooperative Credit Institutions. According to the Reserve Bank of India (RBI), the banking sector in India is sound, adequately capitalized and well-regulated with High Quality Liquidity Assets (HQLA) and SLR investments as it is much better when compared to other economies of the world. On the other hand, the quality of assets remains a matter of concern.

Profitability is a measure of an organization's profit relative to its expenses. It compares how much profit a company makes compared with its overall revenue and costs.

Profit and profitability are not the same, although the two terms are used interchangeably. While profit is an absolute amount, profitability is a relative one. Profitability is a measurement of efficiency.

Profits can be measured as a **Return on Assets** and as a **Return on Equity**. Because of leverage, banks earn a much larger return on equity than they do on assets. Banks increase profits by using leverage. When a bank increases its liabilities to pay for assets, it is using leverage, otherwise a bank's profit would be limited by the fees that it can charge and its interest rate spread.

Branch level profitability differs from bank to bank, branch to branch, time to time depending on banks' goals and objective. Accordingly, there is no step(s) as such which may suit and effective to all the branches. However, broadly, the strategies like focus on balancing profit, growth and risk, assessing the strategic fit and unique role for each branch in the network, analysis of the current customer base for each branch, identification of best new prospect (potential customers) opportunities, proper analysis of the competition, setting specific goals by branch for business and consumer markets, execution of effective marketing campaigns to drive customer origination, retention and expansion, redefining the bank model of the future, relentless focus on NPA reduction, more quality loans, focus on non-interest income, low cost deposit, holding minimum cash balance, cost management, good customer relationship, courteous behaviour by Branch Head, and finally instilling a culture that values efficiency can help the branches focus on generating income and maximizing overall branch profitability. Improving profitability is not one time task rather it is a continuous process throughout the day and throughout the year.

Improved branch profitability can help to reduce costs, increase turnover and productivity, and help the officials to plan for change and growth.

KEYWORDS

Credit risk, Liquidity risk, Market risk, Operational risk, CRR, SLR, leverage, brick-and-mortar banking, benchmarking, big data, social media

CHECK YOUR PROGRESS

1. Out of the followings which is the definition of profitability?
 - (a) Profitability is a measure of an organization's profit relative to its expenses.
 - (b) It compares how much profit a company makes compared with its overall revenue and costs.
 - (c) Profitability is a measurement of efficiency – and ultimately its success or failure.
 - (d) All of Above
2. Out of the followings, which one is not a measure of Profit?

(a) Gross Profit	(b) Operating Profit
(c) Netted Profit	(d) Net Profit
3. Which of the following statement is incorrect?
 - (a) Profit is an absolute amount whereas profitability is a relative one.
 - (b) Profitability is an absolute amount whereas profit is relative one.
 - (c) Profitability is a measurement of efficiency of a company in relation to size of the business whereas profit is an absolute number determined by the amount of income or revenue above and beyond the costs or expenses an entity incurs.
 - (d) Although a company can realize a profit, this does not necessarily mean that the company is profitable.
4. Increased staff productivity is one of the most important tool to increase branch profitability. Out of the followings, which one is not true.
 - (a) Reducing process costs
 - (b) Clearly defined expectations and scorecards
 - (c) Improved motivation and rewards systems
 - (d) Technology alone is sufficient to increase staff productivity

ANSWERS TO CHECK YOUR PROGRESS

1. (d) 2. (c) 3. (b) 4. (d)

MODULE – B

RETAIL PRODUCTS AND RECOVERY

Unit 5. Customer Requirements

Unit 6. Product Development Process

Unit 7. Credit Scoring

Unit 8. Important Retail Liability Products

Unit 9. Important Retail Asset Products

Unit 10. Credit and Debit Cards

Unit 11. Remittance Products

Unit 12. Digitisation of Retail Banking Products

Unit 13. Role of AI and technology in Retail Banking

Unit 14. Recovery of Retail Loans

Unit 15. Management Information Systems

Unit 16. Securitization



CUSTOMER REQUIREMENTS

STRUCTURE

- 5.0 Objectives
- 5.1 Introduction
- 5.2 Maslow's Theory and Customer Requirements
- 5.3 Customer Requirements about Service Quality
- 5.4 Service Quality

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

5.0 OBJECTIVES

The objectives of this unit are to understand the concepts in respect of:

- Retail Products Overview
- Approval Process for Retail Loans
- Segmentation of Customers
- Maslow's Theory and Customer Requirements
- Customer Requirements about Service Quality
- Customer Requirements and Satisfaction Levels
- Customer Requirements from Banks

5.1 INTRODUCTION

Retail Products Overview

The target customers for retail products are generally individuals or a group of individuals whether employed or self-employed having regular income. In case of retail assets, repayment is expected to come out of the cash flows on account of salary or from business or other activities. Banks finance for purchase of houses, vehicles, etc., to individuals. These assets generally do not generate any income to the customers. This type of banking where the bank deals with individual customers is known as Retail Banking.

Retail Banking Products can be broadly classified into (i) Retail liability products, (ii) Retail assets products, and (iii) Other products/services. Liability products are basically – Savings, Current and Term Deposit Accounts. Retail credit products are loans such as Personal Loans, Auto Loans, Home Loans, Education Loans, Credit Card Receivables, and other Retail Loans. Other Products/Services broadly cover the beyond product facilities tagged to the products and services such as Credit Cards, Debit Cards, ATM Cards, Telephone Banking, Internet Banking, Mobile Banking, Depository Services, Distribution of Third Party Products like life and non-life policies, mutual funds and retail sale of gold coins / gold bonds etc.

Target customers are individuals, joint borrowers, employees of proprietary/partnership firms, companies, NRIs, HUFs, Trusts, Associations, etc. Retail products are volume driven and features related to who will qualify and who will not are predetermined. These are scorecard based assessments. Approach to retail is different from that of a loan to a corporate where a credit appraisal exercise precedes the decision to lend. In the case of personal loans certain pre-requisite criteria are prescribed and the borrower must fit in or he does not qualify for the loan.

Approval Process for Retail Loans

In the case of retail loans either the applicant could approach the bank or the selling team or person could approach the prospective client. Some of the existing customer could be approached

by the bank staff or its agents for cross selling more products. Whatever be the method the first step is collection of application and information that is necessary to evaluate the customer as to whether he/she is eligible for the product. The primary step is the verification of the KYC documents of the loan applicant. Banks need to refer to the existing guidelines of AML/ KYC as per RBI norms. Once verified, the lender proceeds to the next steps to process the loan further. Most of the banks follow a scoring model in the form of a standardized template which is prepared for the borrower and usually items are checked off to see if a prospective borrower qualifies or not. In the case of personal loans, certain minimum eligibility criteria are prescribed and the borrower must fit in to be eligible for the loan.

In view of the ease of delivery and sanction, unscrupulous customers can take advantage. Bank has to be careful in the due diligence. KYC should not be done by third party (agents) and it should not be relaxed. Also, where ever there is dispute, any suspicion about details, banks should take extra care to verify the details.

Normally, the banks advise the customers if his/her application is rejected or not found eligible. As the banks use a scorecard there could be exceptions where a customer could be considered for a loan due to other reasons or that the persons who collected the information did not do a good job. These exceptions should be handled carefully such that the customer is not harassed or has a reason to make a complaint.

Due Diligence

The next step is the due diligence where in the application details are thoroughly verified. In the case of housing loans for construction, the bank would like to know if the property developer has a market standing and is prompt in delivery, etc. Banks should also verify whether the project has been duly registered under the Real Estate (Regulation and Development) Act, 2016 (RERA) as is required by some states now or local state wise regulations as applicable. Banks also pre-approve some properties which are processed on priority in the case of eligible applicants. In case of vehicle loans, the invoice is collected from the authorized dealers and in case of education loans, the admission and fee details are verified.

There are a large number of applicants for retail loans. Banks have also taken to aggressively market the retail loans. Hence, due diligence of the applicant becomes important. At the end of the verification process, the bank must be able to establish that the particulars furnished are authentic and the applicant qualifies for the loan. The details to be verified are as under:

- a. Verification of KYC with relevant documents with proper cross verification of information in various documents as well as personal visits or inspections reports
- b. Verification of PAN number from IT website
- c. Verification of the income documents including ITR, salary slips, bank statements, etc.
- d. Credit Report verification from Credit Information Companies
- e. House visit to ensure residential address
- f. Telephonic verification of the individual at the office/business phone numbers

- g. Verification and inspection of immovable property offered as security/collateral
- h. Title investigation of the property offered as security/collateral valuation of such property by a bank appointed valuer.
- i. Vetting of security documents by the bank's legal adviser
- j. Visit to Housing Society office (where applicable) to ensure ownership, charges of other financiers etc.

Quantum of loan

Quantum of loan is either related to the product or to the income of the individual. The quantum is expressed as 12 times the monthly income in the case of loans for personal expenses, 4 times the annual income in the case of vehicles, 48 to 60 times the monthly income for the purpose of housing, etc. These multiples could vary from bank to bank. Margin may vary from 15% to 30% of the value of asset, depending on the type of loan/Scheme. Rate of Interest varies according to loan. Rates are generally on reducing basis in terms of % p.a.

Repayment period

The repayment period may vary from 3 years to 30 years depending on the purpose. Loans for personal expenses are to be repaid within 3 to 5 years. Auto loans are given for duration of 5 to 7 years; and housing loans for 5 to 30 years. In order that the loan repayment does not result in any difficulty for lifestyle, banks calculate Fixed Obligation to Income Ratio (FOIR), for borrowers from the salaried class in order to ensure that a minimum net take home pay is maintained after all the deductions including the loan repayment is made. This ensures that people do not resort to excessive borrowings. Penalties, if any, for prepayment should be clearly spelt out in terms of the fair practices code for bankers.

Banks can levy processing charges, documentation charges, mortgage charges, stamp duty/fees, any other incidental charges, inspection charges, renewal charges, etc. It is important that these should be transparently mentioned in the scheme and explained to the applicant. Upon finalization of these, the application with recommendation is passed on to sanctioning authority for sanction. Upon sanction, other formalities such as documentation, creation of charge, inspection, compliance of various terms and conditions stipulated by the sanctioning authority, etc. are to be completed and thereafter disbursement would be effected preferably to the suppliers, manufacturers for fixed assets, institutions in case of education loans, etc.

Customer Requirements

Customers are the key attribute of a retail bank. Different customers have different needs for financial services. Banks develop their products and services based on the customers' needs. Customer segmentation is important for retail banking to be successful. Appropriate customer segmentation will help banks to pitch the right product to the right customer.

Let us now try to understand the customer segment first before discussing about their requirements. Broadly customers are segmented based on their income levels as their need pyramid will vary

with the rise in their income levels. Banks develop and market their products based on this segmentation and target the relevant segment for maximum conversion of business. The basic segmentation of customers based on their income levels is presented below.

Income Levels (₹ Lakh p.a.)	Customer Segment
2–10	Mass Market
10–50	Mass Affluent
50–400	Super Affluent
400–4,000	HNW
4000–120,000	Super HNW
Above 120,000	Ultra HNW
HNW – High Net Worth	

(Source: Celent Research)

If we look at the customer segments above, the first three segments namely Mass Market, Mass Affluent and Super Affluent are the most important segments for banks with regard to their retail banking initiatives. The products and services will be structured mostly to meet the requirements of the above segments.

The fundamental assumptions about customers for building retail banking products and services are briefly explained as follows:

- i. Customers are different and so are their expectations.
- ii. Needs of the customers are different.
- iii. Each customer will have different sets of need for financial services.
- iv. The requirements of customers for financial services will be unique.
- v. Customers can be broadly grouped together based on their need pyramids.
- vi. Customers can be grouped together based on their income, age, geography, profession, employment, vocation gender and family size.
- vii. Product and services can be developed for a single or a combination of the above elements to satisfy most of the needs.
- viii. Products and services can be structured on a niche basis within one or any of the above elements.

The above assumptions about customers help banks to develop suitable products and services to cater to the need spectrum of the customers. To understand this concept, a look into the ‘Maslow’s Hierarchy of needs’ theory is appropriate. The theory will help us to understand how banks structure products to match the different stages of the need pyramid of the customers.

Customers buy the products and services of the bank primarily to satisfy their needs and if their needs and banks’ products match, there is absolute synchrony and if the benefits promised by

the bank to the customer are delivered then there will be absolute satisfaction from the customer end. The requirements of the customers in general can be related with the need hierarchy theory by Abraham Maslow.

5.2 MASLOW'S THEORY AND CUSTOMER REQUIREMENTS

Abraham Maslow, in his theory of motivation, had stated that people are motivated to achieve certain needs. When one need is fulfilled a person seeks to fulfill the next one, and so on. The earliest and most widespread version of Maslow's hierarchy of needs includes five motivational needs, often depicted as hierarchical levels within a pyramid. His five stage model can be divided into Physiological needs, Safety needs, Social needs, Esteem needs and Self-actualization needs.

The needs are said to motivate people when they are unmet. Also, the need to fulfill such needs will become stronger with the longer the duration they are denied. One must satisfy lower level basic needs before progressing on to meet higher level growth needs. Once these needs have been reasonably satisfied, one may be able to reach the highest level called self-actualization. Every person is capable and has the desire to move up the hierarchy towards a level of self-actualization.

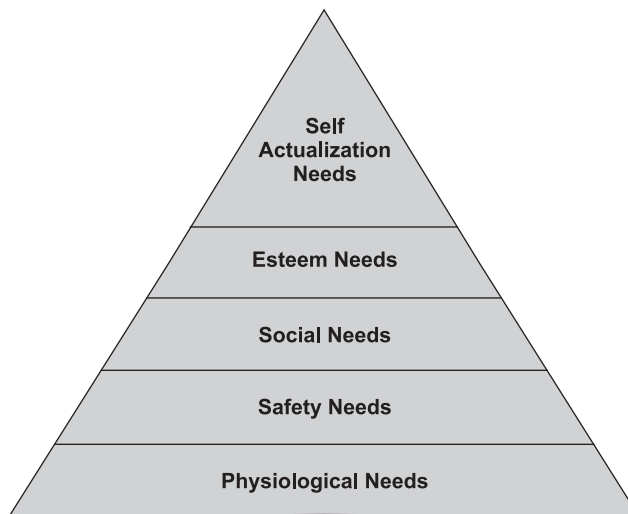


Fig. 5.1 Abraham Maslow's Motivation Theory

Maslow has defined five needs of individuals in their various stages of life. The needs start from the basic requirements and move up the value chain during the life stage progression. Obviously, the need ladder will also move up with the change in the life stage of the customers. If banks

structure products and services to match the different stages in the need spectrum, banks will achieve the twin objectives of customer satisfaction and business conversion. Let us demonstrate the above concept with the following illustration:

S. No.	Need Level	Matching Banking, Investment and Insurance Products
1.	Physiological Needs	• Core Savings Accounts • Personal Accident Cover • Housing Loans
2.	Security/Safety Needs	• Recurring, Fixed Deposit Products • Life Insurance Products – Endowment Products with low premium, long tenor and high maturity amounts • Tax Planning Banking, Insurance and Mutual Fund Products
3.	Social Needs	• Consumer Loans • Personal Loans • Home Loans • Car Loans • Loans for Professional Development for Doctors, Engineers, Lawyers, Chartered Accountants, Management Consultants, Architects, etc. • Insurance Cover tagged to above loans • Retail Gold Coins • Health Policies for self and family • Investment Products like Mutual Fund Schemes • Systematic Investment Plans of Mutual Funds • Unit Linked Insurance Products
4.	Esteem Needs	• Special Term Deposit Products • Term Insurance Products • Second Housing Loans/Home Improvement/Home Décor Loans
5.	Self-Actualization Needs	• Pensioners Loans • Retirement Solutions in Banking & Pension Plans in insurance • Senior Citizens Term Deposit Products

The above table is only suggestive and not absolute and products may tend to overlap across the need spectrum and again the banks may come across all the stages run concurrently for the customer base and hence there is tremendous opportunity for banks to convert the potential available across needs for their huge customer base.

5.3 CUSTOMER REQUIREMENTS ABOUT SERVICE QUALITY

Customer service is meeting customer requirements and expectations completely, in time and doing a little more with human touch. It is a set of activities performed to enhance the level of customer satisfaction.

Customer satisfaction is the function of expectation of a customer. Therefore, some of the results of a customer service expectation can have positive or negative impact as follows:

- If actual Service is better than the expectations, it will lead to Customer Delight
- If actual Service matches the expectations, it will lead to Customer Satisfaction
- If actual Service is less than the expectations, it will lead to Customer dissatisfaction.

Service quality is what customers expect from Banks and has different dimensions. Following are some of the requirements/expectations of the customers about the service quality of banks:

- a. **Tangibles:** Appearance of physical facilities, equipment, personnel and communication materials
 - Are bank's facilities attractive?
 - Is my credit card statement easy to understand?
- b. **Reliability:** Ability to perform the promised service dependably and accurately.
 - Where an Officer says that the amount will be sanctioned in 2 days, does he follow up and inform the status?
 - Is my credit card statement accurate?
- c. **Responsiveness:** Willingness to help customers and provide prompt service.
 - When there is a problem with the bank statement, does the bank resolve the issue quickly?
 - Are the charges which are debited wrongly are recredited to my account properly.
- d. **Assurance:**
 - Competence – Possession of required skills and knowledge to perform services.
 - Courtesy – Politeness, respect, consideration and friendliness of the contact personnel.
 - Credibility – Trustworthiness about the service provider.
 - Security – Freedom from risk and doubt.
- e. **Empathy:**
 - Access – Approachability and ease of contact.

- Communication – Keeping customers informed in a language that they understand.
- Understanding the customer – Making an effort to know customers and their needs.

f. Value Customer, his business and time:

- Welcome and greet the customer when he walks in.
- Respect his/her time and attend to him/her at the earliest.
- Do not trivialize the customer problem.

g. Provide solutions not excuses:

When a customer expresses a concern or raises an issue, do not deny or give excuses rather offer help by providing possible solutions. A few recommended steps may be,

- Take actions
- Provide solution
- Suggest alternative(s)

h. Understand Customer queries and concern:

- Listen to customer
- See the issue/problem from his/her point of view
- Acknowledge his/her feelings

Customer Requirements and Satisfaction Levels

Fulfilment of the customers' requirements can be measured only from the satisfaction level of the customers. The satisfaction will emanate out of the customers' experiences of the products and services offered by different banks. The experiences may vary across banks like public sector banks, private sector banks (old and new generation private sector banks) and foreign banks. A study conducted by a leading research agency in the past to measure the Customer Service Quality as a reflection of the meeting of customers' requirements revealed the following interesting findings:

- i. The study covered about 20000 customers across Metro, Urban, Semi Urban and Rural Branches of Banks having Savings Accounts, about 4000 customers who have availed Home Loans and about 3500 customers who have availed credit cards.
- ii. The objective of the study is to measure the customer service quality of the banks by creating Key Performance Indicators (KPI) on service quality and measure the quality based on the benchmark value of the KPI for that sector/segment.
- iii. The measurement of satisfaction was made on the three basic parameters viz., Overall Satisfaction, Advocacy and Loyalty.
- iv. The ratings show healthy overall performance by the industry. Ratings on the 3 overall measures are above 80% (satisfaction) for all 3-product segments.
- v. When asked how their experience with their banks has changed, in the last 1–2 years, 2/3rd customers said it has improved a lot/somewhat improved.

- vi. Almost 9 out of 10 Savings Account and Home Loan customers find excellent value in the respective bank offering. This score is significantly lower for Credit Cards.
- vii. On the satisfaction index, Private Sector Banks lead in Savings Accounts and Credit Cards; whereas Public Sector Banks lead in Home Loans and Foreign Banks in Home Loans and Credit Cards.
- viii. Banks were ranked in three clusters and ranked according to Index score for each cluster. Public Sector Banks lead across clusters in the home loan front. In the credit card side, Foreign Banks and Private Sector Banks lead the rankings.
- ix. Amongst all the touch points (channels of interactions) of customers with banks, branch interactions and communication are seen to be the key drivers of the Index for satisfaction.

Let us now see the satisfaction levels of customers with regard to two main retail banking products viz., Savings Bank accounts and Home Loans in case of a south based public sector bank which came second in the rankings.

5.4 SERVICE QUALITY

Savings Bank

The following dimensions revealed the service quality and delivery parameters for savings accounts:

1. Touch point Experience: Overall Measures – At an overall level, the PSBs are comparable to the Private Sector Banks average across touch points.
2. Branch-Layout and Cash transactions: Performance across parameters above Private Sector Banks average.
3. Savings Account: No serious concerns on savings account; Parameters at or above par vis-à-vis private banks.
4. Branch Non-Cash Transactions: Scores on most parameters at par with Private Bank's average.
5. Communication: Communication channels available along with information flow to customer meets average expectations.
6. Problem Incidence/Recurrence: Very low problem incidence just like the industry.
7. Key Performance Indicator – Savings Account Activation Time - Account activation within 3-day window similar to industry average.
8. Key Performance Indicator – Welcome Kit Receipt Time: Close to 90 percent receives welcome kit within 14 days.
9. Customer Mind space (Image Map) – The PSU Bank differentiated on problem resolution & delivering on promise, amongst its customers.

Further Measures Needed to Enhance Service Quality

The study suggested further measures to improve the service quality to meet the customer expectations with regard to savings accounts:

1. Need to improve transaction time at the branch.
2. Branch offerings need to be relooked at, in terms of range of services offered, in light of people-related drivers being seen as driving overall customer satisfaction.
3. Lack of adequate channels is felt by the customer, in addressing his needs. Need to relook at current channels and their ease of access/usage for the customer.

Home Loans

The PSU Bank came second in the rankings for service quality with regard to Home Loans. Important service parameters satisfied by the Bank are listed below:

1. The PSU Bank index is above the average for the Cluster it belongs to.
2. Drivers of Satisfaction (Identifying the most important touch points): Product features and communication seen to be driving overall experience the most.
3. Overall Measures: At an overall level, the Bank scored above Public Sector Banks average across touch points.
4. Home loan parameters perform above PSBs average.
5. Communication channels & communication received from the bank, all score above PSBs average.
6. Loan Disbursement Time: Disbursement within the 14-day window for the bank far higher than Industry average.
7. Customer Mind space (Image Map) – The Bank differentiated on responsiveness and customer service, amongst its customers.

Measures needed to enhance service quality

Based on the findings of the research study, it was suggested to have the following approach towards enhanced customer service:

1. Banks need to focus on strengthening its performance across all parameters.
2. Banks need to pay special attention to range of product features to make them more customer friendly.
3. Proactive customer communication from the bank needs to have a systemic approach.
4. Customer-friendly modules on branch network, new products and services need to be developed.
5. Banks need to reorient its employees towards this key aspect of customer experience through proper training and feedback process.

The study also highlighted that the existing product and service levels are satisfactory and above industry averages among PSBs and also highlighted the action areas in the above segments to be taken from the bank side. Though the customer requirements with regard to products and processes are generally met by public sector banks, but it also indicate that there is always scope for improvement to meet the dynamic nature of the customers' requirement.

From the above study of analysing customers' expectations and the service quality offered by different banks with regard to Savings Accounts and Housing Loans, the requirements of the customers from the banks are broadly detailed as follows.

Customers' requirement from Banks

Generally, customers require the following from their bank/s for maintaining their accounts/relationship.

- i. Right product mix to satisfy different customer segments.
- ii. Right channel mix (both direct channels and e channels).
- iii. Structured process time across products and adherence to the time prescriptions.
- iv. Delivery of the promises with regard to products/services and channels.
- v. Satisfactory service experience from the delivery channels and the service personnel.
- vi. Effective communication about the different products and services.
- vii. Transparent dealings and service charges.
- viii. Good ambience.
- ix. Effective and time bound grievance redressal mechanism.

If the above expectations are met by the banks, customer loyalty will be at its peak and deficiency in the above will result in dissatisfaction and deterioration of loyalty and will trigger customer switching.

LET US SUM UP

Customer segmentation is a strategy applied to group a set of customers having similar needs.

- Customer segment is the fulcrum around which the entire retail banking business is operating. Customers can be broadly divided into the following segments: Mass Market, Mass Affluent, Super Affluent, HNW, Super HNW and Ultra HNW.
- Customers are different and their needs are also different. But customers can be grouped and segmented based on their needs. Customers buy different products and services based on their needs and their needs may differ based on their income and also life stages. The needs may be broadly classified as Physiological Needs, Safety Needs, Social Needs, Esteem Needs and Self Actualization Needs. Banks should target, position and offer suitable products to match the need grid for effective marketing.

Expectations from the customers about the service quality of the bank basically depend on the following factors:

- Tangibility in services – Physical side of the service.
- Reliability – Sticking to agreed terms and promises.
- Responsiveness – Willingness to help and extend prompt service.
- Assurance – Competence, Courtesy, Credibility and Security.
- Empathy – Understanding the service expectations from the customers' point of view.
- Value Customer, his business and time.
- Provide Solutions not excuses.
- Understand Customer queries and concern.

Customer Satisfaction levels are basically derived from the quality of service for different products like Savings Accounts, Home Loans and Personal Loans and vary across products and banks. While PSBs score over private banks in products like Home Loans, private banks do better in Personal Loans.

Customer's satisfaction can be measured on the basis of his requirements being fulfilled. Customer satisfaction is a measure of his experiences of the products and services offered to him by the bank.

KEYWORDS

Service Quality; Need Hierarchy; Tangibility; Reliability; Assurance; Empathy; Customer Satisfaction

CHECK YOUR PROGRESS

1. The customer segment whose income level is between ₹10 lakh to ₹50 lakh is referred to as
 - (a) Mass Affluent
 - (b) Super Affluent
 - (c) HNW
 - (d) Mass Market
2. Which of the following needs fall within the classification of Maslow's Hierarchy of Needs?

(i) Physiological Needs	
(ii) Safety Needs	
(iii) Social Needs	
(iv) Urgent Needs	
(a) (i), & (ii) only	(b) (ii) & (iv) only
(c) (i), (ii) & (iii) only	(d) (i), (ii), (iii) & (iv) above

- (i) Tangibility in services

(ii) Reliability

(iii) Responsiveness

(iv) Assurance

(a) (i) & (iii) only

(b) (ii) & (iv) only

(c) (i), (ii) & (iii) only

(d) (i), (ii), (iii) & (iv) above

- ABC Bank has decided to launch a new deposit product viz. 'Core Savings account' with some special features to attract the customers. Under which category of customer needs the product falls?

(a) Security/Safety Needs

(b) Physiological Needs

(c) Self-Actualization Needs

(d) Self-Esteem Needs

ANSWERS TO CHECK YOUR PROGRESS

1. (a) 2. (c) 3. (d) 4. (b)



PRODUCT DEVELOPMENT PROCESS

STRUCTURE

- 6.0. Objectives
- 6.1. Introduction
- 6.2. Product Development Process
- 6.3. Product Life Cycle
- 6.4. Product Lines of a Banker
- 6.5. Deposit Products or Liability Products
- 6.6. Credit Products or Asset Products
- 6.7. Other Products and Services
- 6.8. Other Fee Based Services – Distribution of third party products
- 6.9. New Product Development
- 6.10. Stages in New Product Development
- 6.11. Constraints in New Product Development
- 6.12. Product Management
- 6.13. Product Policy

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

6.0 OBJECTIVES

The objectives of this unit are to understand:

- Various stages of the Product Development Process
- Stages of Product life cycle
- Various retail banking asset products
- Know Your Customer (KYC) forms
- Other services
- Product Management
- Product Policy

6.1 INTRODUCTION

Today's retail banking sector is characterized by three basic elements, i.e., multiple products (deposits, credit cards, assets, insurance, investments and securities); multiple channels of distribution (call centre, branch, Internet and kiosk); and multiple customer groups (consumer, small business, and corporate). Retail banking does not refer to lending only. The homemaker, the retail shop keeper, the pensioners, self-employed and those employed in unorganised sector, all need to get a place in the banks. There is a need of constant innovation in retail banking. In bracing for tomorrow, a paradigm shift in bank financing through innovative products and mechanisms, involving constant upgradation and revalidation of the banks' internal systems and processes, is called for. Banks has started using retail banking as a growth trigger. This requires product development and differentiation, innovation and business process re-engineering, micro-planning, marketing, prudent pricing, customisation, technological upgradation, home/electronic/ mobile banking, cost reduction and cross-selling taking into consideration ease of access and availability in safe & secured mode.

While retail banking offers phenomenal opportunities for growth, the challenges are equally daunting. How far the retail banking is able to lead growth of the banking industry in future would depend upon the capacity building in banks to meet the challenges and make use of the opportunities profitably. However, the kind of technology used and the efficiency of operations would provide the much needed competitive edge for success in retail banking business. Furthermore, in all these, customers' interest is of paramount importance. The banking sector in India is demonstrating this and, in all probability, they would continue to chart in this traded path. This Unit discusses retail products development processes being adopted by banks, stages in product development, Product Policy, etc.

6.2 MARKET SEGMENTATION IN RETAIL BANKING

In the case of Retail banking, the major services are provided by banks at physical locations, or branches, where customers can manage their money and interact with staff regarding services

or products being offered. Most of the services can be provided at ATMs or through mobile banking platforms or internet banking or phone banking also. Most of these banks have a broad customer base and from a business strategy, banks often group their customers into categories based on similar traits, a process known as customer segmentation or market segmentation.

The customer base of a retail bank can vary widely by numerous factors which include age, gender, income, lifestyle, etc. From a business perspective, banks may segment their customers by dividing them into groups based on certain key characteristics and take actions that better align with each segment. By this process of obtaining and acting on customer data through the lens of segmentation, the banks can make a massive impact on marketing and sales, retention efforts, customer service, and more.

For example, there are various analytical tools available in the market through which retail banks can easily capture data such as spending habits, frequency, and capacity, and then use this information to identify the most appropriate time to make a loan offer with a customized offer exclusively for them. This in turn can improve the likelihood of retail banks earning increased revenue through customer loans.

The market segmentation approach by the banks are broadly based upon its business model and priorities. The segments can be can be qualitative, such as separation by values and interests or quantitative, such as by age and gender, or income. The maximum value can be derived when banks merge both types of data to comprehend better the wants and needs of their customer segments and further allowing them to offer the right product or service at the right time.

6.3 PRODUCT DEVELOPMENT PROCESS

In retail banking, product is the starting point of the marketing process. Product is the fulcrum on which the entire retail banking revolves. Everything is centred around it. The add on and the other value propositions are tagged to the products to offer better value and acceptance to the product. The different definitions for product are discussed below:

Theodore Levitt observes that *“Products are almost always combinations of the tangible and the intangible... To the potential buyer, a product is a complex cluster of value satisfactions... A customer attaches value to a product in proportion to its perceived ability to help solve his problems or meet his needs. All else is derivative”*.

A bank product can be defined as *“Anything that has the capacity to provide the satisfaction, use and return desired by the customer”*.

This brings into focus, the importance of product and the relevance of the product from the customer side. The key factor remains that if the bank product is no longer capable of satisfying customer needs and wants, the product will fade out. To understand more about the products, and development of products, we should understand the concepts of product life cycle.

6.4 PRODUCT LIFE CYCLE

There are various stages in the life of the product. The product after development goes through different stages in its sales journey and in each stage, the impact on sales will be different. The product life cycle journey is illustrated in the following diagram.

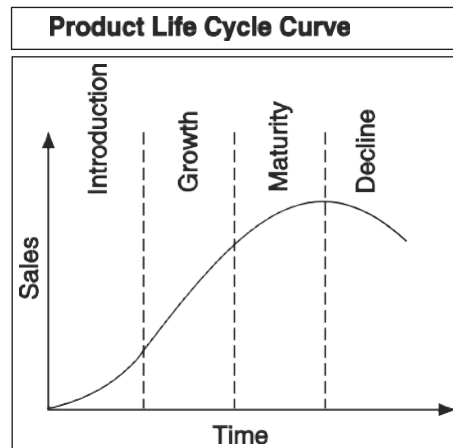


Fig. 6.1 Product Life Cycle Journey

The first stage is the 'introduction' stage when the product is introduced. When a product is introduced the sales volume will be low and revenue from the products will not be sufficient to cover the cost of producing, marketing and servicing it. In the introduction stage it happens because it takes time for the product to occupy the minds of the customers.

In the 'growth' stage, which is the second stage in the product life cycle, the sales volume of the product picks up and the product is likely to break even and start generating profits for the organization. During this period the consumer awareness of the product will be more and that will result in growth. In the third stage which is the 'maturity' stage, there is more growth and sales volume peaks. Here there is a wide customer base which will result in maximization of sales with inflow of business and profits. In the fourth stage, which is the 'staleness' stage or 'saturation' stage, because of competition and better products available from the competitors, staleness will creep in, which will result in saturation of sales. Here the business and profits stagnate, customer develop a tendency of indifference to the product.

This will result in the final stage of the product life cycle called as 'decline stage'. In this stage, the product becomes less attractive for the consumers due to various reasons and results in drop in sales volume and profits. This stage if not attended properly will lead to product death. This can be avoided by fine tuning and value adding to revitalize the product for continued acceptance.

These stages of product life cycle are very important for banks in product development. Banks should aim for keeping the product in the maturity stage as long as possible, so that business and profit maximization happens continuously. And another important point is that product life cycle is different for different products. But it is not always a must that a product should travel

through the product life cycle process. Some products will have an instant death immediately after introduction phase. This may happen due to wrong approach towards marketing research and consumer perceptions. Like that, in some case, there will be immediate spurt to the growth and maturity phase in a very short period and will stay there in the maturity period for a very long time. The success of these phases depends on proper approach by the marketer towards packaging strategies and repositioning strategies, so that the products stay in the maturity phase for quite a long period to occupy a permanent place in the perceptual need map of the consumers. In the same way, product obsolescence often contributes to the premature death of products even after effective market research. In the case of computer products, the product life cycle will be very short because of fast changing technologies. This results into a high degree of product obsolescence.

In the banking scenario the product life cycle depends on whether the product is a core product or augmented product.

Core products are essentially those products which define what kind of business we are in. In the banking scenario, some of the core products are Savings Bank, Current Account, Term Deposit, Recurring Deposit, Cash Credit, Overdraft, Retail Loans, Term Loan, Drafts etc. These core products are essential products and need not have a strong marketing content. These products will have a stable life in the growth stage of product life cycle, because they are indispensable for the different segments of customers.

Augmented products are products which are developed from formal products by combining two core products and adding value to the product in terms of benefits and comforts to the customer. The augmented product when availed by the customer will result in some value addition to the customer. The concept of augmented product had changed over the years and will continue to change. A decade back, offering an ATM Card was considered as a value addition to enable the customer to withdraw money anytime in 24 hours. But the implementation of technology initiatives aggressively by banks in the past decade had made ATM/Debit Card as a part of the core product. The penetration of Internet Banking and Mobile Banking has changed the concept of core and augmented products. In the present day scenario, a core Savings Bank will include an ATM/Debit Card and a Cheque Book and augmented product will include Internet Banking, Mobile Banking and a group health or life insurance product tagged to it.

6.5 PRODUCT LINES OF A BANKER

To be successful in retail banking, any bank has to understand different segments and develop appropriate products to meet these segments. Though different products cater to different segments, there are certain products like core products which cater to all segments. Likewise different bankers market their different products in different names though they have common features. The idea of this is to make the customer identify the bank with the particular name of the product. This initiative of banks to create recall for the products is termed as “Branding”. Banks basically adopt two types of branding exercises. Product branding is attempted by banks

to create product recall and Corporate Branding is intended to create recall about the banks itself. More of branding initiatives by banks will be discussed separately. Branding initiatives by banks will help them to develop definite business through that product by developing product specific strategies and they do that exercise for different products. These products include core products as well as augmented products. For core products there need not be much marketing orientation but for augmented products to succeed there should be a concerted effort from the marketing angle for the product to succeed. Let us try to explain the different types of products normally marketed by banks. Products can be broadly classified into following:

- i. Deposit Products or Liability Products.
- ii. Asset Products or Retail Credit Products.
- iii. Other Products and Services.

6.6 DEPOSIT PRODUCTS OR LIABILITY PRODUCTS

In the deposit products category, the products can be classified into Savings Deposits, Current Deposits, and Term Deposits. A Combination Deposit product is also offered.

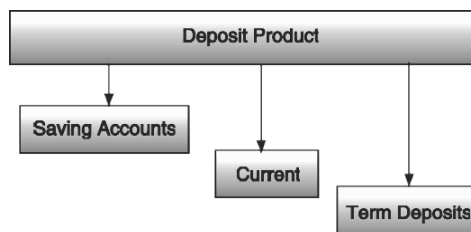


Fig. 6.2 Categories of Deposit Product

(a) Demand Deposits (CASA Deposits)

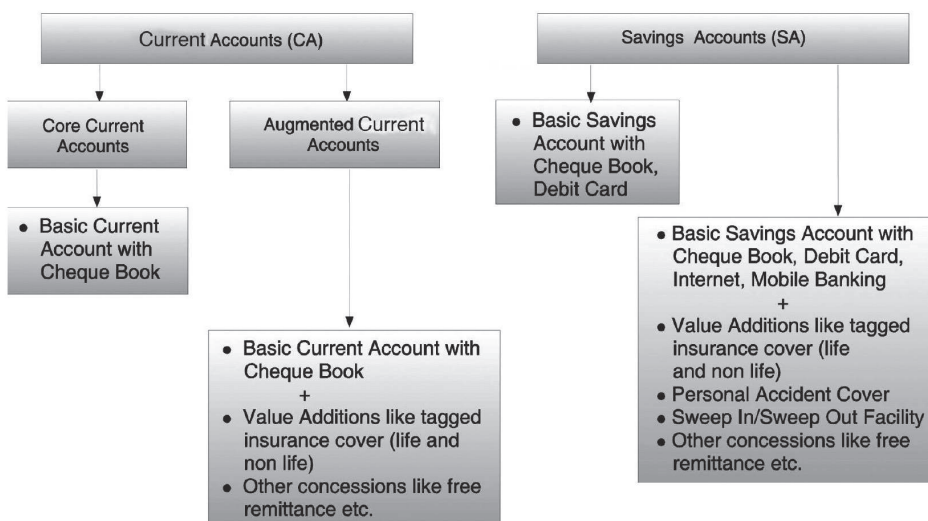


Fig. 6.3 Categories of Demand Deposits

(b) Term Deposits (Fixed Deposits)

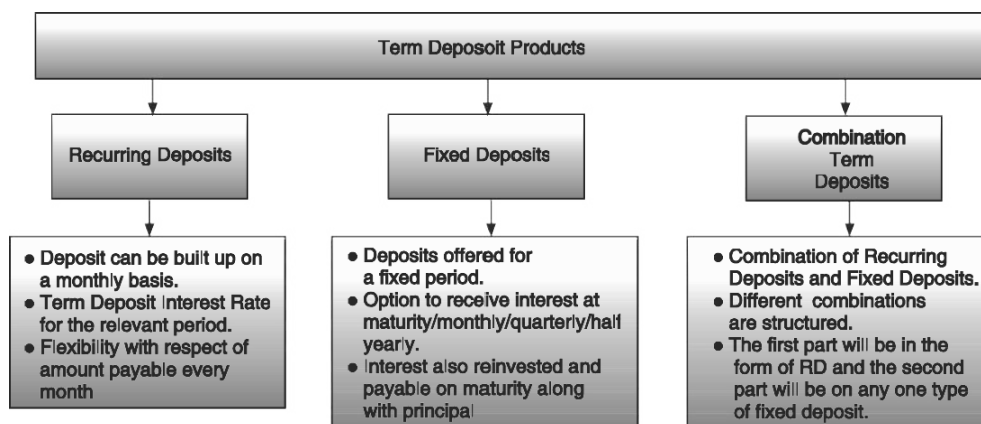


Fig. 6.4 Categories of Term Deposits

Savings Bank Deposit Accounts

In terms of RBI directives “Savings Deposit” means a form of deposit whether designated as “savings account”, “savings bank account”, “savings deposit account” or any other account by whatever name called, which is subject to the restriction as to the number of withdrawals, as also the amount of withdrawals permitted by the bank during any specified period which differs from bank to bank.

Savings bank deposit is primarily meant for developing the habit of saving among the public. In addition to getting nominal interest on the balance in the account, the depositor has the freedom to withdraw the amount deposited as and when he/she desires subject to certain restrictions on the number of withdrawals.

The relationship between the bank and the depositor is essentially that of “debtor and creditor” respectively. Savings bank accounts should be maintained in accordance with the Bank’s rules framed for the conduct of such accounts and also in conformity with the directives issued by the RBI from time to time. Savings Bank rules of the bank are required to be brought to the notice of prospective customers at the time of opening of savings bank account and their assent obtained.

As savings deposits are a big component of CASA deposits for PSBs, Cooperative banks and major private sector banks, these accounts provide the broad retail deposit base and help banks to shore up their earnings through low cost deposits which can be profitably deployed into high yielding advances and thereby provide better interest spread and margin.

Many banks offer sweep-in and sweep-out facility in SB accounts with minimum balance requirements, facilitating payment of interest rate applicable to term deposits.

For customers, Savings Bank accounts offer many operational advantages some of which are given below:

- Saving account encourages savings habit among salary earners and others who have fixed income.
- It enables the depositor to earn income by way of saving bank interest.
- Saving account helps the depositor to make payment by way of issuing cheques.
- It shows income of a salaried and other person earned during the year.
- Saving account passbook acts as an identity and residential proof of the account holder.
- It provides a facility such as Electronic fund transfer (EFT) to other people's accounts.
- It helps to do online shopping via facility like debit cards, internet banking and also facilitates utility bill payment.
- It aids to keep records of all online transactions carried on by the account holder.
- It provides immediate funds as and when required through ATM/ UPI.

ATM Cards/Debit Cards are issued along with the Savings Accounts as essential tags for operation of the account. In addition, for augmenting the product and as a value addition to the customers, some banks are offering group life cover and/or group health cover at a very attractive price as compared to a standalone cover. RBI has also introduced Basic Savings Bank Deposit Account (BSBDA) and Small Accounts with multiple product benefits, being part of the financial inclusion.

Basic Savings Bank Deposit Account (BSBDA)

“No frill” Savings bank account has been replaced by “Basic Savings Bank Deposit Account” by RBI as per guidelines dated 10th August 2012 and accordingly banks have been advised to offer a ‘Basic Savings Bank Deposit Account’ (BSBDA). The BSBDA account offer various common facilities to all the customers as under:

- a. The ‘Basic Savings Bank Deposit Account’ should be considered a normal banking service available to all.
- b. This account shall not have the requirement of any minimum balance.
- c. The services available in the account will include deposit and withdrawal of cash at bank branch as well as ATMs; receipt/credit of money through electronic payment channels or by means of deposit/ collection of cheques drawn by Central/State Government agencies and departments.
- d. While there will be no limit on the number of deposits that can be made in a month, account holders will be allowed a maximum of four withdrawals in a month, including ATM withdrawals.
- e. Facility of ATM card or ATM-cum-Debit Card.
- f. The above facilities will be provided without any charges. Further, no charge will be levied for non- operation/activation of in-operative ‘Basic Savings Bank Deposit Account’.

- g. Banks would be free to evolve other requirements including pricing structure for additional value-added services beyond the stipulated basic minimum services on reasonable and transparent basis and applied in a non-discriminatory manner.
- h. BSBDA is subject to KYC/AML guidelines being issued by RBI from time to time.
- i. Holders of 'Basic Savings Bank Deposit Account' will not be eligible for opening any other savings bank deposit account in that bank. If a customer has any other existing savings bank deposit account in that bank, he/she will be required to close it within 30 days from the date of opening a 'Basic Savings Bank Deposit Account'.
- j. The existing basic banking 'no-frills' accounts should be converted to 'Basic Savings Bank Deposit Account' as per the instructions contained above.
- k. If such account is opened on the basis of simplified KYC norms, the account would additionally be treated as a 'Small Account' and would be subject to conditions stipulated.

Small Accounts

If any low risk individual customer does not possess either any of the Officially Valid Documents (OVD) as notified by Government of India or the documents applicable in respect of simplified procedure, then 'Small Accounts' may be opened for such an individual. A 'small account' may be opened on the basis of a self-attested photograph and affixation of signature or thumb print.

As notified in terms of Govt. of India notification dated December 16, 2010, BSBDA Small Accounts would be subject to the following conditions:

- i. The aggregate of all credits in a financial year does not exceed ₹1 Lakh.
- ii. The aggregate of all withdrawals and transfers in a month does not exceed ₹10,000/-.
- iii. The balance at any point of time does not exceed ₹50,000/-.
- iv. Foreign remittances cannot be credited to Small Accounts without completing normal KYC formalities.
- v. Small accounts are valid for a period of 12 months initially which may be extended by another 12 months if the person provides proof of having applied for an Officially Valid Document. If proper KYC documents are not submitted within the total time frame of 24 months, all transactions shall be blocked in the account.
- vi. Small Accounts can only be opened at CBS linked branches of banks or at such branches where it is possible to manually monitor the fulfillments of the conditions.

Interest Rates on Savings Deposit Accounts

Previously interest rate on Savings Bank Deposit was being regulated by RBI. However, w.e.f. 25th October, 2011, RBI deregulated interest rate to be paid by the banks on domestic SB Deposit vide circular No.DBOD.Dir.BC.42/13.03.00/ 2011-12 dated October 25, 2011. Accordingly, banks were given autonomy to determine their savings bank deposit interest rate subject to the following conditions:

- a. There shall be a comprehensive policy on interest rates on deposits duly approved by the Board of Directors or any committee of the Board to which powers have been delegated.
- b. The rates shall be uniform across all branches and for all customers and there shall be no discrimination in the matter of interest paid on the deposits, between one deposit and another of similar amount, accepted on the same date, at any of its offices.
- c. Interest rates payable on deposits shall be strictly as per the schedule of interest rates disclosed in advance.
- d. The rates shall not be subject to negotiation between the depositors and the bank.
- e. Each bank will have to offer a uniform interest rate on savings bank deposits up to ₹1 Lakh, irrespective of the amount in the account within this limit. While calculating interest on such deposits, banks are required to apply the uniform rate set by them on end-of-day balance up to ₹1 Lakh.
- f. For any end-of-day savings bank balance exceeding Rupees one Lakh, a bank may provide differential rates of interest, if it so chooses, subject to the condition that banks will not discriminate in the matter of interest paid on such deposits, between one deposit and another of similar amount, accepted on the same date, at any of its offices.
- g. In view of the satisfactory level of computerization in commercial bank branches, scheduled commercial banks were advised to calculate interest on savings bank accounts on a daily product basis with effect from April 1, 2010.
- h. Accordingly, now, different banks are paying different interest rates on SB Deposits. Nowadays, most of the banks are normally paying interest on SB Deposit at quarterly rests on daily product basis. As a product innovation, few private sector banks have introduced paying interest on SB Deposit at monthly rests on daily product basis.

Current Account

A current account is a form of demand deposit whereupon withdrawals are allowed any number of times depending upon the balance in the account or up to a particular agreed amount and shall also be deemed to include other deposit accounts which are neither savings deposit nor term deposits. Since such deposits are repayable on demand, they constitute the demand liabilities of the bank. Current accounts, particularly suit the requirements of business, trading, joint stock companies, institutions, public authorities and public corporations, etc., who's banking transactions happen to be numerous on every working day. Some banks are offering a tagged Life cover or health cover or both. The core nature of the product has undergone change.

Characteristics

- Since the purpose of the deposit is generally for 'Trading' and 'Business' it differs from the object of other deposit accounts which are meant to tap/mobilize the savings of the people.

- RBI directives prohibit payment of interest on current accounts, except with the prior approval of the RBI.
- Third party cheques and cheques with endorsements may be deposited in the current account for collection and credit to the account, subject to certain conditions.
- There are no restrictions on the number and amount of withdrawals in the account, except in certain cases.
- Overdraft facility is permitted with prior arrangement.
- Cheque books are issued in all current accounts. (with certain exceptions)

Current deposits are a vital component of CASA deposits of all banks and form part of CASA Deposits. This brings down the overall cost of funds of the bank and gives them a lot of flexibility to give credit/loans at lower rates. This improves the Net Interest Margin (NIM) and profitability of the banks. Each bank strives to ensure that CASA Deposits form a high percentage share in the total deposits of the bank. In the present banking scenario with intense competition between the public, private and foreign banks for a larger market share, a bank with a higher CASA deposit ratio (above 35% or one-third) is better placed to perform.

Term Deposit Accounts – Features

- “Term Deposit” is a time deposit for a fixed period and which is withdrawable after the expiry of the said fixed period. It does not include deposits withdrawable at notice.
- “Overdue Deposits” mean term deposits which are not withdrawn on maturity dates and notice money which is not withdrawn on the expiry of the notice given. Overdue deposit is a demand deposit.

Term Deposits are offered to the customers as a high interest yielding product for the deposit held with the bank for a definite period with interest depending upon the period of deposit. There are different types of term deposits offered by banks with facility for getting monthly/quarterly interest as well as deposits with cumulative interest at the end of the deposit period. The second option benefits the customer because the quarterly interest accrued on the deposit is reinvested again to earn a higher yield for the depositor. Another type of term deposits is the ‘Recurring Deposit’ where the depositor is required to deposit fixed sums of money every month for a specific period and at the end of the period, the principal along with the accrued interest are paid back to the depositor.

The advantage of Recurring Deposit is that term deposit interest rates for the specified period are offered for this deposit. It helps the monthly income segment to save regularly a fixed amount and earn higher rates of interest applicable to term deposits. As an additional product extension of Recurring Deposits some banks also offer more than one option regarding the quantum of monthly deposit, the flexibility of paying the instalments in bunch and also combination of both. This will attract business from the segments which do not have regular periodic cash inflows but want to save regularly and earn higher interest.

Combination deposit schemes

The fourth important type of bank deposit is the combination deposit. The principal aim of the bank marketer is customer need/comfort maximization and banks innovate in product development and satisfy the customer by offering a combination of two types of deposits, as a single term deposit. For example, a product is offered in this type in which the customer will have option of putting separate amounts at his will and pleasure. A passbook will be issued for the same. Each of his remittances will be treated as a separate term deposit and interest will be given on a cumulative basis depending on the period of deposit. In another product, the deposit will be kept in multiples of ₹1000 in term deposit and when there is an urgent need for some money, they can withdraw part of the deposit in multiples of ₹1000 and the remaining amount continues to earn the same rate of interest. Different banks offer these products in different names like Flexi Deposit Account, Multiple Deposit Account, Unfixed Deposit, Quantum Deposit, etc. Some banks are offering these deposits to customers to keep their deposit in multiples of Re. 1, so that in case of necessity, he can withdraw the exactly required amount.

If a Term Deposit matures and proceeds are unpaid, the amount left unclaimed with the bank shall attract rate of interest as applicable to savings deposits.

Each time deposit is a separate contract and various deposits in the name of the same depositor or in the names of members of the same family, should not be treated as one deposit. A time deposit receipt is not a negotiable instrument and, therefore, cannot be transferred by endorsement by a depositor in favour of another.

Floating rate domestic term deposits

Banks offer term deposits with floating rate of interest. Interest rate shall be linked to a directly observable and transparent market determined external benchmark.

KYC guidelines

In terms of the provisions of Prevention of Money-Laundering Act, 2002 and the Prevention of Money-Laundering (Maintenance of Records) Rules, 2005, banks are required to follow certain customer identification procedure while the opening of accounts and also required to monitor transactions in the account.

There shall be a Know Your Customer (KYC) policy duly approved by the Board of Directors of banks or any committee of the Board to which power has been delegated. The KYC policy shall include following four key elements:

- a. Customer Acceptance Policy;
- b. Risk Management;
- c. Customer Identification Procedures (CIP); and
- d. Monitoring of Transactions.

Banks shall ensure that:

- No account is opened in anonymous or fictitious/benami name.
- No account is opened where the bank is unable to apply appropriate customer due diligence (CDD) measures, either due to non-cooperation of the customer or non-reliability of the documents/information furnished by the customer.
- No transaction or account based relationship is undertaken without following the CDD procedure.
- The mandatory information to be sought for KYC purpose while opening an account and during the periodic updation, is specified.
- ‘Optional’/additional information is obtained with the explicit consent of the customer after the account is opened.
- CDD Procedure is followed for all the joint account holders, while opening a joint account.
- Circumstances in which, a customer is permitted to act on behalf of another person/entity, is clearly spelt out.
- A suitable system is put in place to ensure that the identity of the customer does not match with any person or entity, whose name appears in the sanctions lists circulated by Reserve Bank of India.

For Risk Management, banks shall have a risk based approach which includes the following:

- Customers shall be categorised as low, medium and high risk category, based on the assessment and risk perception of the bank.
- Risk categorisation shall be undertaken based on parameters such as customer’s identity, social/ financial status, nature of business activity, and information about the clients’ business and their location, etc. While considering customer’s identity, the ability to confirm identity documents through online or other services offered by issuing authorities may also be factored in.

While undertaking customer identification, banks shall ensure that:

- Decision-making functions of determining compliance with KYC norms shall not be outsourced.
- Introduction shall not be sought while opening accounts.
- The customers shall not be required to furnish an additional Officially Valid Document (OVD), if the OVD submitted by the customer for KYC contains both proof of identity and proof of address. As per RBI guidelines, the “Officially Valid document” (OVD) are enlisted as the passport, the driving license, the Voter’s Identity Card issued by the Election Commission of India, job card issued by NREGA duly signed by an officer of the State Government, letter issued by the Unique Identification Authority of India containing details of name, address and Aadhaar number and letter issued by National Population Register

containing details of name and address. Customers, at their option, shall submit one of the six OVDs for proof of identity and proof of address.

In cases where OVD furnished by the customer does not have the updated address, the following documents or the equivalent e-documents can be considered to be OVDs for limited purpose of proof of address:

- Utility bill which is not more than 2 months old of any service provider (electricity, telephone, post-paid mobile phone, piped gas, water bill)
- Property or municipal tax receipt
- Pension or family pension payment orders (PPOs) issued to retired employees by Government Departments or Public Sector Undertakings if they contain the address
- Letter of allotment of accommodation from employer issued by State Government or Central Government Departments, statutory or regulatory bodies, public sector undertakings, scheduled commercial banks, financial institutions and listed companies and leave and license agreements with such employers allotting official accommodation

In such cases where the account has been opened with limited KYC as above, the customer shall submit OVD with current address within a period of three months of submitting the documents specified above.

- The e-KYC service of Unique Identification Authority of India (UIDAI) shall be accepted as a valid process for KYC verification under the PML Rules, as the information containing demographic details and photographs made available from UIDAI. As a result, e-KYC process is treated as an 'Officially Valid Document', and transfer of KYC data, electronically to the bank from UIDAI, is accepted as valid process for KYC verification.
- One recent photograph; and
- such other documents pertaining to the nature of business or financial status specified by the RE in their KYC policy shall also be called for.

As per the provisions contained in Rule 114B, Income-tax Rules, opening an account other than a time- deposit account of not exceeding ₹50,000 and a Basic Savings Bank Deposit Account with a bank, requires to quote Permanent Account Number (PAN). Cash deposit with bank exceeding ₹50,000 also requires PAN, if the account is not seeded with PAN. Where a person, entering into any transaction referred to in this rule, is a minor and who does not have any income chargeable to income-tax, he shall quote the permanent account number of his father or mother or guardian, as the case may be, in the document pertaining to the said transaction. If any person who does not have a permanent account number and who enters into any transaction specified in this rule, shall make a declaration in Form No.60 giving therein the particulars of such transaction.

As per Prevention of Money-laundering (Maintenance of Records) Second Amendment Rules, 2017, if the person is an individual who is eligible to be enrolled for an Aadhaar number, he shall submit to the bank, (a) the Aadhaar number issued by the Unique Identification Authority of India

and (b) the Permanent Account Number or Form No. 60 as defined in Income-tax Rules, 1962.

RBI has also issued guidelines with respect to Video based Customer Identification Process (V-CIP) procedure, an alternate method of customer identification with facial recognition and customer due diligence by an authorised official of the bank or financial institution by undertaking seamless, secure, live, informed-consent based audio-visual interaction with the customer to obtain identification information required for CDD purpose, and to ascertain the veracity of the information furnished by the customer through independent verification and maintaining audit trail of the process. Such processes complying with prescribed standards and procedures shall be treated on par with face-to-face CIP as per RBI master directions.

Opening of Deposit Accounts

Deposits are the core resources on which the edifice of retail banking is built. Hence mobilisation of resources assumes great significance. While CASA resources help the banks to bring down the cost of resources and increase the customer base, term deposits bring stability to the resources mobilisation and help the banks to expand the retail asset base with relevant pricing models. In this context, banks go all out to mobilise deposits through different marketing strategies.

Different banks adopt different methods for opening of accounts. In most of the private and foreign banks, opening of deposit accounts is done in a centralized liability processing centre. The application details and other documents are scanned and forwarded to their centralized processing centres for opening of accounts. All the public sector bank branches are under Core Banking Solutions and are technologically at par with their private counterparts. In some PSBs, deposit accounts are opened at the branch level itself. A centralized model is adopted in some other banks and partially centralized model is adopted in other banks. In the partially centralized model, account opening and issue of Pass Book happen at the branch level and issue of Cheque Book and Debit Card are done through a centralized approach. In a centralized model, based on the details forwarded by the branch, end to end opening of accounts are done centrally. The above procedures apply to opening of Current and Savings Accounts. In case of opening of Term Deposits almost all banks do it at the branch level and issue Term Deposit Receipts at the branch itself to the customers.

An important aspect of opening of accounts is the obtaining documents to verify the identity of the customer. The bank opening the account should know the background and credentials of the customer. As per the extant guidelines, e-KYC service of Unique Identification Authority of India (UIDAI) can also be accepted as a valid process for KYC verification under the PML Rules. KYC documents can be submitted along with KYC Form as an Annexure to the Account Opening Form. Submission of KYC Form is a statutory requirement with the objective of knowing about the customer and his background not only for transaction purposes but also to have a check for money laundering activities. KYC Form also serves as a data base for cross selling other products to the customer.

Customer Due Diligence (CDD) Procedure and sharing KYC information with Central KYC Records Registry (CKYCR)

Government of India has authorized the Central Registry of Securitization Asset Reconstruction and Security Interest of India (CERSAI), to act as, and to perform the functions of the CKYCR.

Banks shall capture the KYC information for sharing with the CKYCR in the manner mentioned in the Rules, as required by the revised KYC templates prepared for 'Individuals' and 'Legal Entities' as the case may be. REs shall take the following steps:

Scheduled Commercial Banks (SCBs) shall invariably upload the KYC data pertaining to all new individual accounts opened on or after January 1, 2017 with CERSAI in terms of the provisions of the Prevention of Money Laundering (Maintenance of Records) Rules, 2005.

Know Your Customer Forms (KYC Forms)

KYC Forms, as said earlier, are required to be obtained from all the account holders while opening the account itself. It is obtained as an Annexure to the Account Opening Form. It throws light on the different dimensions of the customers and helps the banks to deal with them appropriately. The important details which are to be furnished in the KYC Form are discussed below:

- i. Name and Address of the Customer and PAN/TIN Number
- ii. Details of Spouse/Father and also Son(s)/Daughter(s)
- iii. Type of Account – Savings/Current/Term Deposit/Loan
- iv. Age – Age band – < 20, 21–40, 41–60 and >60
- v. Occupation – Details of Service, Profession, Others
- vi. Educational Qualifications – Non Graduate, Graduate, Post Graduate, Others
- vii. Nationality
- viii. Accommodation – Own/Residential
- ix. Conveyance – Two Wheeler/Car, etc.
- x. Telephone
- xi. Credit Card – Details of Credit Cards held
- xii. Details of Deposits/Loans held with other branches/banks
- xiii. Purpose of opening the account
- xiv. Source of funds – Salary/Business, etc.
- xv. Annual Income
- xvi. If in business, all business details
- xvii. Details of passport, if any
- xviii. Details of foreign countries visited during the past three years
- xix. Any other relevant information

Based on the above information, the branch will record in the Form endorsing the identity and genuineness, address verification and risk perception and fix a threshold for transaction by the customer.

Periodic updation shall be carried out at least once in every two years for high risk customers, once in every eight years for medium risk customers and once in every ten years for low risk customers subject to the following conditions:

- Fresh proofs of identity and address shall not be sought at the time of periodic updation, from customers who are categorised as ‘low risk’, when there is no change in status with respect to their identities and addresses and a self-certification to that effect is obtained.
- A certified copy of the proof of address forwarded by ‘low risk’ customers through mail/post, etc., in case of change of address shall be acceptable.
- Physical presence of low risk customer at the time of periodic updation shall not be insisted upon.
- The time limits prescribed above would apply from the date of opening of the account/last verification of KYC.
- Fresh photographs shall be obtained from customer for whom account was opened when they were minor, on their becoming a major.
- e-KYC process using OTP based authentication, for the purpose of periodic updation is allowed, provided, while on boarding, the customer was subjected to KYC process.

A look at the above details will indicate that the branch would be able to map the entire biographical, professional, social and credit profile of the customer. In addition to fulfilling a regulatory requirement, KYC Forms also serve as a tool to cross sell different products and services to the customers.

6.7 CREDIT PRODUCTS OR ASSET PRODUCTS

Credit products offered by the bank, again, can be classified into two broad categories, traditional credit schemes and market oriented new credit schemes. Traditional credit products are cash credit accounts for business people to fix credit limits and allow them to operate freely within the limits subject to certain stipulations. Overdraft scheme is to allow credit for a short period to be adjusted in a very short time. Likewise, Demand Loans, Term Loans and Bill Finance are credit schemes to meet specific credit requirement of the borrowers in their business for purchase of machinery, equipment and other requirements and against their receivables. While the Bill Finance facility is self-liquidating with the realization of bills purchased/discounted for the borrower, Demand Loan and Term Loan have definite repayment period.

In the retail side, credit schemes are offered by the banks for specific segments based on the needs of these segments. Home Loans, Personal Loans, Auto Loans and Credit Card Receivables are some of the generic retail credit schemes.

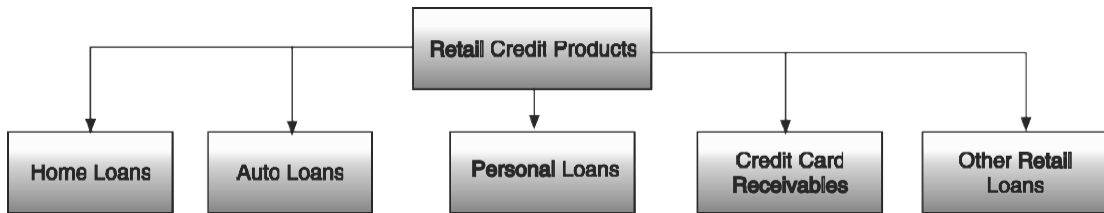


Fig. 6.5 Retail Loans

In addition, loans tailored to meet the individual requirements like Loans for Professionals, Doctors, Lawyers are offered by banks. The basic premises for developing niche credit schemes are two dimensional. The first dimension is looking at the customer segment. If the customer segment is in need of a product and the size of the segment is quite large, then customer need satisfaction will be the first objective of the banks. The second dimension is the business orientation of the bank. If the customer size is justifiable for the product to be developed and marketed and the developed product will generate sufficient volumes and ultimately reward the bank, then the bank will definitely develop and market the product with the proper pricing and features. The details about the individual retail loans are dealt separately.

6.8 OTHER PRODUCTS AND SERVICES

In the other services category, all the services offered by the bank other than the Deposit schemes and Credit schemes can be grouped. Again it can be further classified into Remittances and other Fee Based Services.

In the remittances services, issue of Drafts, Bank Orders/Bankers Cheques, National Electronic Funds Transfers (NEFT), Real Time Gross Settlements (RTGS), Internet, Mobile Banking, etc., are the types of services offered to the customers. The cost of availing these services will depend on the quantum of transactions and the customer's business relationship with the bank.

In other fee based services, Collection of Cheques, Safe Deposit Lockers, Standing Instructions for carrying out the instructions of the customer on a periodic basis, Merchant banking services in the area of capital market issue management in the capacity of Lead Manager, Co-Manager to the issues, etc., undertaking Portfolio Management Services for their Non-Resident Indian clients to manage their investment portfolio, Consultancy Services for projects in Agriculture and Export Oriented Projects are some of the other services offered by the bank.

Another important product line for the banker in the 'Other Services' is the non-fund based business of the banks. In these types of services, the bank will be guaranteeing on behalf of the customer for whom they will be offering these products. Examples of non-fund based business for the banks are:

- i. Bank Guarantee
- ii. Letter of Credit
- iii. Co-acceptance of bills

In the Letter of Credit and also in the Bank guarantee, though at the time of offering these services, there is no fund outlay but at any future time, a liability may arise for the banker to part with the bank's funds. The liability is depending upon the happening or non-happening of certain events as specified in the letter of guarantee.

Bank Guarantee is a guarantee given by the bank on behalf of their customer to a beneficiary, guaranteeing the beneficiary to pay if the customer is not paying or performing.

Letter of credit is an undertaking from the banker to pay the beneficiary the prescribed amount, subject to production of certain documents as required in the contract between the customer and beneficiary specifically those that are listed in the L/C itself, if the documents are negotiated as per prescriptions. In the case of Letter of Credit also, though at the time of offering the service, there would be no funds outlay, at a future date a liability may crystallize on the bank in case the customer defaults in honouring the bills under the LCs opened on due date/s. These types of non-fund based businesses offer tremendous scope for income and profit because banks collect commission for offering these services without outlay of funds. Banks' outlay of funds is involved if there is failure of the obligation by the party.

Co-acceptance of bills means "an undertaking by the bank to make payment to the drawer of the bill (seller/exporter) on due date even if the buyer/importer fails to make the payment on that date".

The above are illustrations of non-fund based business do not fall exactly on the retail side but certain elements of the above embraces retail banking segment also. Non-fund based business offers a wonderful scope for the banker to augment their income without outlay of funds. Banks offer these products normally to their well-established customers.

6.9 OTHER FEE BASED SERVICES – DISTRIBUTION OF THIRD PARTY PRODUCTS

Another important segment in retail banking which had emerged during the past decade is the third party distribution model adopted by banks to augment fee based income. Let us see what exactly third party distribution is.

Third Party distribution is an emerging business model of the banks to augment fee based income by selling products and services of other service providers/agencies in the financial and investment space like insurance companies, mutual funds, etc. These activities are called as para banking activities and Reserve Bank of India has prescribed rules and regulations for carrying out these activities by banks. Banks can undertake certain eligible financial services or para-banking activities either departmentally or by setting up subsidiaries. Prior approval of RBI is required to undertake para banking by forming a subsidiary company by banks. By this broad classification of the products, we can develop a good understanding of the product line of a banker.

6.10 NEW PRODUCT DEVELOPMENT

We have discussed about the product life cycle in the previous pages and came to know that any product has to normally pass through the various stages of a product life cycle. It goes without saying that even though the products stay in the growth and maturity period longer for long term survival of the product, still any product has to decline and to be phased out over a period with very rare exceptions. The Valve Radio and Record Player are classic examples of death of products. Though stereo cassette recorders as a product class were in the maturity stage of the product life cycle for a long period, they had been replaced by MP3s, MP4s, DVDs, etc., through technological innovations. Now, these products are also past the maturity phase and presently is being replaced by music being available in the digital platform. The success of the marketer will be to correctly identify the existing phase of the product life cycle and by correctly foreseeing the future, has to develop new products which will go through the introduction phase and jump to the growth phase when the old product starts its decline phase. This will enable the organization to survive and achieve the business objectives. Thus a proactive marketer should particularly watch the product life cycle of the product and the present stage of the product. New product development is an important area for the marketer to survive and grow. Bank marketer is not an exception. The bank marketer has to constantly watch the market, gauge the changing needs of the customer, compare it with the features of the existing product range, check-up whether there is scope for developing new products and have to immediately start developing new product and market them to proactively seize the emerging, changing customer needs.

6.11 STAGES IN NEW PRODUCT DEVELOPMENT

A new product development has to pass through several important stages as shown below:

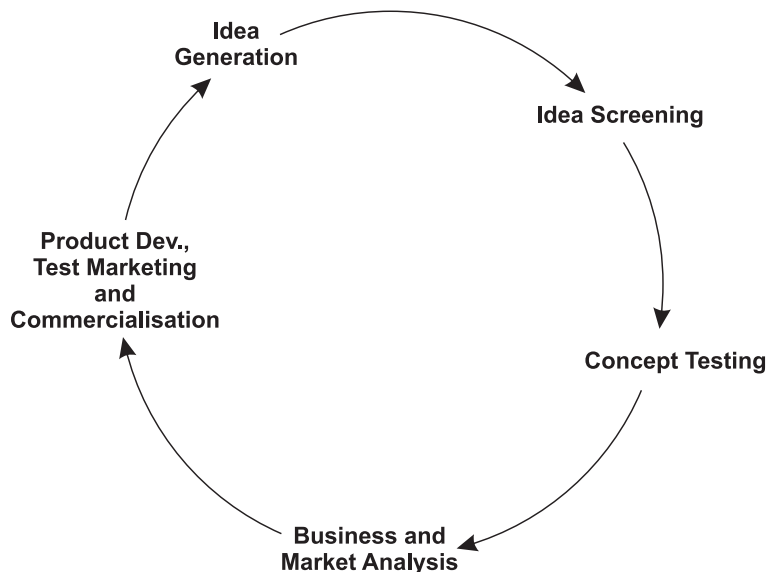


Fig. 6.6 New Product Development

- i. Generating new product ideas
- ii. Idea screening
- iii. Concept Testing
- iv. Business analysis and Market analysis
- v. Actual product development, test marketing and commercialisation

Generating New Product Ideas

New product ideas are generated from market research based on customer expectations from the existing and potential customers. It is also generated in house from the employees of the banks. In some banks, new product ideas are solicited from the staff members under staff suggestion scheme and members are requested to freely vent their ideas about new products based on their exposures and experiences and feedback they receive from the customers. The suggestion will be invited both on refining the existing products as well as ideas for new products.

Idea Screening

With the grouping together of all the ideas generated from various sources, internal and external, the ideas are analysed based on the following approach:

- a. Whether there is any felt need for the new product?
- b. Is it an improvement of the existing product?
- c. Can the existing infrastructure handle the new product?
- d. Is the new product in our existing line or a new line of business?

The ideas which meet the above questions pass through the screening test.

Concept Testing

The next stage is the 'concept testing'. The concepts of the new product are tested. The idea here is to test the product concept itself by taking the feedback from the customers about their understanding about the concepts of the product and whether the concepts are attractive enough for them to avail when it is launched to them. This helps the marketer to understand the market response to the 'product concept' idea and to know about the customer perception of the product concept.

Business Analysis and Market Analysis

This stage will decide whether the product is viable from the financial and marketing aspects. This will be based on a cost benefit analysis of the product from the banker's view point and the customer's viewpoint. It will also analyse the expected increase in business, and profits and also the effect on the expansion and retention of customer base. It will also analyse the expected effect on the market share and also the expected penetration of markets of the competitors.

Actual Product Development, Test Marketing and Commercialization

After passing through the above stages, then the concepts, analysis are internalized and product development takes place from the data generated. The new product developed is first test marketed

in a selected market segment and based on the feedback received from the market the product is launched on a full scale to the desired segments.

A good example of the above stages in new product development is the marketing of a Deposit Cum Credit Linked product by a public sector bank in the past. The bank developed the new product for working women. The new product idea came from the market as well as from the internal sources. The bank sensing the enormous potential available for business from this segment, developed the product with features of saving in Recurring Deposit Account in fixed monthly instalments, and after 3 months they can avail a loan in fixed multiples of RD instalment depending on their salary and certain conditions. The end use of the loan would be as per the will and pleasure of the customer. There will be more than one option to repay the loan either directly to the loan account or servicing the interest regularly and adjusting the principal loan amount from the Recurring Deposit maturity proceeds. The product had so many attractive features for the working women segment. It was launched initially only in metro and urban towns targeting the working women in those centres. It was received well but there was some resistance to one of the features of the product that the customer had to wait for 3 months for availing the loan. This minor irritant was immediately rectified so that both RD opening and loan sanction can take place simultaneously. There was very good market response to this new product and it became a big hit for the bank.

Sensing the tremendous potential for the new product, the bank extended the product to the working women in semi-urban and rural branches also and the eligibility norms for better market acceptance.

Another classic case is new product development on the basis of ideas from the customers of the bank. This is again a case of new product development of a public sector bank. The bank branch was situated in highly densely populated village area in a southern district of a state. In that village almost 90% of the population belongs to a minority community. Because of the employment opportunities boom in Gulf Countries, a number of people moved from that village to various Gulf countries for employment. The composition of the people who were moving to Gulf was mostly semi-skilled and unskilled labourers. For meeting the expenses for their visa and other travel costs, they found it very difficult to manage and borrowed money at exorbitant rates to get to Gulf. Some of the valued customers of the bank suggested to the branch manager to think of considering some loan facilities to these people for meeting their visa and travel costs. The idea was passed on to the higher authorities with details of potential business and the resultant customer expansion. A new product 'Visa Loan' was developed and credit was extended to them based on their Visa and travel documents. That was a great marketing success in new product development. The loan beneficiaries not only repaid their loans but also opened Non-Resident Savings and Deposit Accounts in the branch and sent quite a large amount of remittances. Additionally, they served as marketers for the branch in Gulf and brought lot of new business connections from new customers in the Gulf for that branch and also for other neighbouring branches of the bank. The business of the branch zoomed like anything. This concept was extended to other similar branches also by the bank.

The success of new product development depends on how effectively the various ideas from different sources had to be given importance and how effectively the marketer can convert these ideas into successful products that maximize the business.

6.12 CONSTRAINTS IN NEW PRODUCT DEVELOPMENT

Though new product development brings new business opportunities for the banks, there are accompanying constraints also. In bank marketing, where competition is the keyword with lot of players vying with one another to take their slice and also grab other's slice of the cake, new product development is inevitable but also faced with lot of constraints.

The following are some of the constraints:

- a. Heterogeneity of the customer base in different branches is one of the external constraints. It would be very difficult to develop a new product to satisfy all the customer segments. The bank while they develop new product, has to take this constraint into account and crystallize the homogeneity among the heterogeneous group and product development had to be attempted.
- b. With the technological revolution in its peak, product obsolescence is very fast and so customer preferences would also change drastically. This would have an effect on the product life cycle of the new product which will affect the economics of the product.
- c. The existing product range is another constraint in new product development with most of the public sector banks. With deposit products more than around 20, their product range had become unwieldy. The exercise was more towards product pruning rather than new product development.
- d. Sometimes the ideation stage in product development would be attractive. But it would be difficult to convert the idea as a product with business potential. This is again a constraint.
- e. Resistance from the staff for new product development with a view that new products would increase their work load or result in staff pruning/relocation. This attitudinal problem is again a constraint.

We have discussed about some of the constraints in new product development. The constraints are only illustrative but not exhaustive. Each bank marketer will have unique constraints over and above the above mentioned constraints which are more general in nature.

6.13 PRODUCT MANAGEMENT

Product Evolution

Product management is one of the important aspects of the marketing strategies of banks. We have described in the previous chapter, what exactly is a product and products are almost always combinations of the tangible and the intangible. To put in simple terms, product is a 'need satisfying entity' for the customer. But product has undergone great changes over a period from

the marketer and the customer's viewpoint. The product has been undergoing rapid changes over the period based on the changing needs of the customer and the marketer constantly upgrading the product and enriching the product. The marketer, to score over competition over a period had refined the product from its basic features to higher and higher levels to satisfy the customer. Let us now try to find out the refinements that had taken place in the product over a period. According to Theodore Levitt, product, over a period, evolved on the following lines:

- i. The Generic Product
- ii. The Expected Product
- iii. The Augmented Product
- iv. The Potential Product

The Generic Product

The generic product is an unbranded and undifferentiated commodity like rice, wheat, bread and cloth. It is a core product. In the banking scenario, some examples of generic products are Savings Bank Account, Current Account, Term Deposits, Drafts, etc. These are core products in banking. The products get an identity through a 'name' given to a deposit as 'Reinvestment Deposit' to give an identity to the product.

The Expected Product

The expected product represents the customer's minimal purchase condition and what the customer expects from the product. The customer expectations may be different also. For satisfying this, the banker when structuring the product will make these expectations as a part of product structuring and will try to differentiate the product to enjoy the distinction from other similar products. The bank marketer will customize the product accordingly. For example, in a Savings Bank, customer expectation is to withdraw money at will and also collect his cheques through his account and also wants to keep track of his balances in the account. These expectations are met by incorporating the facility of Pass Book for knowing the current balances, cheque book/withdrawal slips for withdrawing money and collection facilities for collecting cheques of the customer.

The Augmented Product

The Augmented product is augmenting or enriching the product voluntarily. The augmented product is the result of voluntary improvements brought about by the marketers, in order to enhance the value of the product. These improvements are neither suggested by the customer nor even expected by them. The bank marketer on his own, augments the product by adding an extra facility or an extra feature to the product. For example some banks, as a part of their Savings Bank Account, offers the facility of collecting the cheques of the customer at their doorsteps and offers free collection of cheques. Now banks offer the facility of operating the customer's Savings Bank Account not only from the branch where the customer is maintaining the account but also from any of their branches in India. This type of access to his account from any branch is an augmented feature of the product.

The Potential Product

Everything that might be done to attract and hold customers is called the potential product. This potential product may be developed based on suggestions, new ideas, redesigning of existing products. In short potential product is tomorrow's product with enormous scope for improvements in the changed competitive scenario. One example of a potential product is availing the service from the site of the customer without going to the bank. In the technology sensitive banking scenario, setting up computer terminals at the customer's site and offering him to bank from his place for retail customers may be a potential product of tomorrow, though it is available today for select corporate customers. Cardless cash withdrawal from ATM is the potential product due to change in technology and to overcome the risk associated with the card operations.

From the above we will be able to understand about the devolvement of product over a period, how each and every stage of the product results in some value addition. Of course the entire development is focused in one direction (i.e.) the satisfaction of the customer to the maximum possible extent and by continuously reviewing, redesigning the product from various dimensions. The main aim of the exercise, would be of course achieving business objective through customer satisfaction.

6.14 PRODUCT POLICY

Product policy is one of the main tasks in product management. The marketer should decide what exactly the products to be offered to different segments are. Again, if the customer base is fairly very large, the product line should be based on the homogenous needs of the heterogeneous customer base and customer segments. Otherwise it will result in unwieldy product range. But of course the marketer has to consider designing product tailored to specific customer base if the segment is an important segment. For deciding that the marketer should develop a product policy which involves the following concepts:

- i. Appraisal of the product line and individual products
- ii. Decisions on product differentiation
- iii. Product positioning
- iv. Brand decisions
- v. Decisions on packaging
- vi. New Product Development

Appraisal of Product Line and Individual Products

A bank marketer, to be effective, has to constantly review his product line. Changes in the environment, changes in customer preferences, competition in the business are potential threats to the existence of products. Though there may not be many changes, still the marketer has to take stock of the potential of the present product line. Products which were attractive yesterday may not be that attractive today and may be obsolete tomorrow. A banker has to scan the environment. For example, in the case of Term Deposit, Product variants in this product are Term

Deposit with monthly interest facility, a Deposit with Quarterly Interest facility and a Deposit with cumulative Interest facility. These are product extensions. If the banker simply continues to offer these products, separately, without analysing the business potential and taking stock of the situation which may necessitate phasing out the product, it will have direct negative impact on the business strategies.

For example, out of the three term deposit products only one may receive good patronage and others will not have that support. In that case the banker has to think of referring the product or phasing out the products depending on the situation. Another example is where there are too many product extensions in the case of Recurring Deposits that creates confusion among the customer base. An attempt like integrating the various recurring deposit products into one may help in clearing the confusion among the customers and ultimately help in product pruning also.

Decisions on Product Differentiation

In the highly competitive field of banking, almost all banks offer products with the features of the product being almost the same. But then how the bank marketer will have an edge over other competitors? For achieving, this marketer has to adopt product differentiation. The efforts of the marketer should be to differentiate his product as far as possible from the competitor's product. The differentiation strategies are adopted by differentiating their features, benefits and satisfaction level by doing some value addition to the product. For achieving this, a tool available for bank marketers is to highlight the USP of the product. USP is nothing but 'Unique Selling Proposition' of the product. Unique Selling Proposition is the specific feature available with the particular product. Each product will have a 'USP' and the differentiation strategy depends on the highlighting the USP of the product. For example, in the case of Reinvestment Deposit Plan of banks, the USP is 'cumulative interest on a quarterly compounded basis'. In the case of 'Multi-Deposit Account' of a leading bank, the USP of the deposit was 'withdrawing part of deposit without loss of interest'. In the case of 'Freedom account' offered by a private sector bank earlier, 'no minimum balance' was the USP of the product. Like this, in the case of Special Fixed Deposit offered by another nationalized bank, the USP is 'receiving monthly or quarterly interest'.

Thus different banks use USP as a product differentiation tool in planning their products. But over a very short period the uniqueness of the USP will be lost as all banks will come out with the similar products and banks have to build their service capabilities and competencies to strengthen the proposition.

Product Positioning

Product positioning is an important concept to be recognized when we finalize the product policy. Though it may sound to be an extension of unique selling proposition (USP), it is definitely different from USP. Rosser Reeves in his famous book 'Reality in Advertising' defines 'Positioning' as 'the art of selecting out of a number of unique selling propositions, the one which will get you maximum sales'. For 'positioning' the most important factor is the customer's

mind. Positioning therefore starts with the understanding or ‘mapping’ of a prospective/existing customer’s mental perception of products. The customer’s mind would be occupied with the different products/services of different banks based on the following positioning grid.

Customer’s mental perception of the products of the banks mainly occupies different positions in their mind, based on the return and liquidity aspects of the deposit. The period of occupation of these products in the mental perception of the customer again is there for a short period depending on the effectiveness of the product. The strategy of the bank marketer should therefore be to create a perception of their product in the customer’s mind so that it stands apart from competing bank’s products and approximates much more closely, to what the consumers want. Again the approach should be to occupy our slot in the mind of the customer for a long period. For achieving this, the marketer should find a strong position in customer’s mind and sit on that.

Jack Trout, the Positioning Guru defines ‘positioning’ as ‘not as what you do to the product, but what you do to the mind’.

The classic case of positioning in bank marketing is the ‘Un Fixed Deposit’ marketed by a foreign bank decades back when they started positioning themselves as a retail bank. Here a unified attempt of product differentiation and unique selling proposition had made an impact on the positioning strategy of the bank. Every bank offered Fixed Deposits and when they want money against the deposit, they have to raise a loan and complete certain formalities. So though the ‘return’ is fair, the ‘liquidity’ is poor in the case of fixed deposits. There is some space in the minds of the consumer and the perception of the ‘consumer is to have both return and liquidity on the higher side. Citibank sensing the positioning slot available to them, proactively designed a new product called as ‘Unfixed Deposit’ which had features of a Fixed Deposit with high returns, with a facility to withdraw money when required through a cheque book, without any formalities and marketed them with a unique brand name ‘Unfixed Deposit’. The product became an instant hit and occupied a strong position in the customer’s mind. But the success of positioning depends on the pro-activeness and alertness of the marketer to identify the positional slots. Again the early starter will derive the maximum mileage, because the subsequent followers will take time to position the product in that slot. This proactive positioning idea was copied by other competitors to compete for the position in the customer’s mind.

With the environmental changes due to competition, if the positioning is threatened, bank marketers will review the product features and USP’s of the product and add value to the product and try to recapture or retain the position. This approach is called as a repositioning strategy. Banks have to constantly review their positioning strategies and evolve repositioning strategies depending on the need and the business realities.

Product Branding

Product branding is an important area in the bank marketing. Though banks try to market themselves, as brands in a competitive market, branding the various products of the banks is a very relevant area for branch marketing. Branding can be a powerful tool for relationship building.

The branding efforts of products in ‘banks’ begin at the corporate level. Branding exercise for bank products generally involves giving the different products catchy, attractive names for the products according to the features of the product. For example, a Public Sector Bank has branded one of their credit products as ‘Pushpaka’, a scheme for purchasing cars, and ‘Subha Gruha’ for loans for housing. Branding the products creates customer/prospective customer awareness when it comes to seeing or hearing advertising message and helps the customers in identifying the brand with the bank. Branding also helps in competitive positioning of the products in the existing and new markets. More and more banks are now adopting branding strategies for their products with the increase in competition. It is but natural that the best brands only will survive and grow.

LET US SUM UP

- Product Development is a very important element in retail banking. Any product development has the following components viz., Generating new product ideas, Idea screening, Concept Testing, Business Analysis and Market Analysis, Actual product development, Test marketing and commercialization. But product development has its own constraints like heterogeneous customer base, technology explosion and the resultant product obsolescence, lack of clearly defined segment for the products etc., Product ideas emanate from different sources like market intelligence, original market research, customer feedback and banks factor all the ideas in their product development. Product architecture in retail banking is a four stage process:
 - The Generic Product – the core product.
 - The Expected Product – adding additional features.
 - The Augmented Product – adding value in addition to features.
 - The Potential Product – futuristic features in anticipation.
- In the liability side, Banks offer different retail products like Demand Deposits, Time Deposits with different variations with regard to product features and duration. In the asset side banks offer mainly Home Loans, Auto Loans, Personal Loans and credit lines against credit card receivables. In addition, specific products designed for niche customer groups are also developed and offered by banks. In addition a host of fee based products are also offered by banks.
- To improve the sale of products, banks adopt different strategies and market with Unique Selling Propositions (USPs) and proper positioning and branding strategies are adopted by banks.

KEYWORDS

Product Life Cycle; Introduction; Growth, Maturity, Decline; Idea Screening; Concept Testing; Business Analysis; Market Analysis; Generic Product; Expected Product; Augmented Product; Potential Product; Unique Selling Proposition (USP); Officially valid document (OVD)

CHECK YOUR PROGRESS

1. Which one of the following statements is appropriate?
 - (i) Customers are different.
 - (ii) Needs of the customers are different.
 - (iii) Each customer will have different sets of need for financial services.
 - (a) (i) & (ii) only
 - (b) (ii) & (iii) only
 - (c) (i) & (iii) only
 - (d) (i), (ii) & (iii) above
2. Which one of the following statements is correct in respect of Product Cycle?
 - (i) In the 'Introduction' stage of a product, the sales volume will be low and revenue from the products will not be sufficient to cover the cost of producing, marketing and servicing it.
 - (ii) In the 'growth' stage, which is the second stage in the product life cycle, the sales volumes remains stagnant.
 - (iii) In the 'maturity' stage, there is more growth and sales volume peaks.
 - (a) (i) only
 - (b) (ii) & (iii) only
 - (c) (i) & (iii) only
 - (d) (i), (ii) & (iii) above
3. Product architecture components include _____
 - (i) The Generic Product – the core product.
 - (ii) The Expected Product – adding additional features.
 - (iii) The Augmented Product – adding value in addition to features.
 - (iv) The Potential Product – futuristic features in anticipation.
 - (a) (i) & (iv) only
 - (b) (ii) & (iii) only
 - (c) (i), (ii) & (iii) only
 - (d) (i), (ii) (iii) & (iv) only
4. Which one of the following products is not a retail asset product?
 - (a) Auto Loans
 - (b) Term deposits
 - (c) Personal Loans
 - (d) Home Loans
5. Consequent to deregulation of interest rate in savings bank account by RBI now banks can pay
 - (i) Any interest rate to any of its customer on any balance lying in his SB Account on selective basis.
 - (ii) Banks will have to offer a uniform interest rate on savings bank deposits up to ₹1/-lac irrespective of the amount in the account within this limit.
 - (iii) It is applicable in case of NRIs Savings deposit only.
 - (iv) Banks may differential rate of interest, if it so chooses, without any discrimination to all such customers to any of its offices, on savings bank deposit balance over ₹1/ lac
 - (a) (i) & (iii) only
 - (b) (iii) & (iv) only
 - (c) (ii) & (iv) only
 - (d) (ii) & (iii) only

ANSWERS TO CHECK YOUR PROGRESS

1. (d) 2. (c) 3. (d) 4. (b) 5. (c)



CREDIT SCORING

STRUCTURE

- 7.0 Objectives
- 7.1. Introduction
- 7.2. What is a Credit Score?
- 7.3. Evolution of Credit Scoring
- 7.4. What's a Good Credit Score?
- 7.5. Credit Scoring Model
- 7.6. Managing the Credit Score
- 7.7. Positive Side of Credit Score
- 7.8. Warning Signs in Credit Score
- 7.9. Credit Information Companies in India
- 7.10. Issues in Credit Scoring
- 7.11. Mistakes in Credit Scoring
- 7.12. Troubleshooting Credit Score

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

7.0 OBJECTIVES

After studying this unit, you would be able to understand:

- Different types of risks and triggers in risk analysis
- Concepts of credit scoring
- Evolution of credit scoring
- Credit scoring models
- Managing of credit score
- Positive side of credit score
- Warning issues in credit score
- Mistakes in credit scoring

7.1 INTRODUCTION

What is credit scoring? Why credit scoring? What are the benefits to the customers and banks through credit scoring?

“We should not forget that the basic economic function of these regulated entities (banks) is to take risk. If we minimize risk taking in order to reduce failure rates to zero, we will, by definition, have eliminated the purpose of the banking system.”

– Alan Greenspan, President, Federal Reserve Board, New York (May 1996)

The above statement emphasizes the need for banks to take risks. As said by Mr. Greenspan, risk is embedded in every action and inaction and the best way to counter risk is to manage the risk in a professional way. Credit scoring is a statistical analysis that lenders and financial institutions conduct to assess the creditworthiness of an individual. Lenders refer to credit scores to decide whether to extend or refuse credit. A credit score is influenced by the factors like payment history, types of credit availed so far, new credit, current debt, and length of credit held. The lender needs to pay special attention to current debt and payment history.

To manage the risks, we have to understand the different types of risk and how to mitigate the risks. Basically, the types of risks that are applicable to corporate credit are applicable to retail credit also.

The types of risks and the triggers in risk analysis are mentioned below:

- | | | |
|---------------------------|---|------------------------------------|
| i. Credit Risk | – | Customer fails to pay |
| ii. Business Risk | – | Losing money due to wrong strategy |
| iii. Market Risk | – | Change in market prices |
| iv. Operating Risk | – | Processing failures and frauds |

The same is illustrated below:



Fig. 7.1 Risks and Reasons

To obviate the above risks and to have a reason based and professional appraisal mechanism for sanctioning of retail loans, the concept of credit scoring was introduced by banks. Since borrowers may avail different retail credit products from different banks based on their needs, pricing, processing speed and other features it was felt that a centralized database for arriving at the credit score will be an effective risk mitigation step. This resulted in adoption of credit scoring. The different dimensions of credit scoring are discussed below.

Credit Scoring – Concepts

Every borrower seeks the lowest interest rate, every lender the highest. The return a lender seeks factors in, apart from his profit, a premium for the risk he feels he bears of not being paid back. This risk perception is different for different borrowers and, ideally, should be determined from their credit history. But, till recently, lending banks had only their own experience with an individual to fall back on for this assessment. That has changed now with the entry of agencies that assess the creditworthiness of people. The lending bank can judge how good a borrower can be by sourcing their credit score from different agencies. In this context credit record of the applicant is crucial because a good score can make the loan friendlier with lower rates.

A lending bank can source the credit score of the applicant from credit information agencies to supplement the information they furnish in their loan application. Now, if any applicant had already defaulted on a loan from one bank, the default would bring down the credit score, which any other lender would also be privy to. And it could determine not only whether the applicant would get a loan or not, but also the rate of interest.

7.2 WHAT IS A CREDIT SCORE?

A credit score is the statistical analysis of a person's past credit dealings and represents his or her Credit discipline. The credit score is assessed based on the dealings in credit products like home loans, auto loans, credit cards, personal loans and overdrafts. Credit scores can be generated by credit institutions and even by self. Reserve Bank of India (RBI) has made it mandatory for all Credit Information Companies (CICs) in the country to give a Free Full Credit Report (FFCR) without any charge, on request, once a calendar year to individuals whose credit history is available. This rule has come into force from 1 January 2017.

A credit score takes a 'snapshot' of a consumer's credit report and through advanced analytics turns the information into a 3-digit number representing the amount of risk he brings to a particular transaction. Credit score values range from 300 to 900.

RBI has directed to ensure that the CIR in respect of a borrower, furnished to the Credit Institutions, incorporates all the credit information available in all modules, e.g., consumer, commercial, etc., in respect of the borrower.

7.3 EVOLUTION OF CREDIT SCORING

In its embryonic days, retail banking in India meant lending to the rich and affluent. But as lenders chase growth, they were increasingly expanding to lower income groups. This calls for sophistication to accurately assess borrowers' ability to repay and, also, to correctly price the loan. To achieve this, banks sought the assistance of credit information companies who provide a comprehensive report on every retail credit customer containing their verified address, the extent of loans they've taken and whether or not they have ever defaulted or failed to repay any loans on time and in full.

Global experience shows that managing risk and knowing retail loan customers is important for business. For instance, when retail credit took off in South Korea and Hong Kong, both countries experienced large increases in dud loans. A McKinsey study showed that lenders in South Korea and Hong Kong suffered huge losses from defaults in retail loans. Individuals in Hong Kong who went bankrupt were holding, on an average, 14 different cards and debts averaging \$75,000 (₹32.25 lakh). In fact, bankrupt individuals in Hong Kong owed, on average, 42 times their monthly income as compared to the average of 21 times in the US. In South Korea too, as credit card usage raised by 90 percent during 1999–2001, delinquent accounts almost quadrupled.

A Credit bureau tracks the indebtedness and repayment history of individual borrowers on loans they have taken from banks, non-banking financial service companies and financial institutions. It also contains certain personal information of each borrower, like name, age and verified permanent address. The information is collected in a credit information report, which is made available to loan-issuing members. Using the credit information report (CIR) provided by the bureau, bankers should be able to avoid disasters like nonpayment of dues.

7.4 WHAT'S A GOOD CREDIT SCORE?

Whether a score is good or not will depend on the bank's internal policy, its customer profile and its risk appetite. Some bank may perceive 700 as a good score and another may not. Thus, in India, different banks will rank different scores as good. Still, any score over 700 may be considered good by banks. But credit score is only an indicative tool for managing risk and its effectiveness depends on the banks' internal control mechanism. An objective thing like the credit score will not only help the banks to reduce defaults but also make loan disbursing faster, improve operational efficiency and bring costs down.

7.5 CREDIT SCORING MODEL

A credit scoring model is a mathematical model used to estimate the probability of default, which is the probability that customers may trigger a credit event (i.e. bankruptcy, obligation default, failure to pay, and cross-default events). In a credit scoring model, the probability of default is normally presented in the form of a credit score. The higher score refers to a lower probability of default and vice versa.

CICs typically build scores using three historical data files:

- Defaults on previous credit transactions.
- Payment behaviour/Payment history.
- Previous searches/inquiries.

In India, CICs are known to include high utilisation of credit limit (especially in the case of credit cards) and the borrower having a higher percentage of unsecured loans (like credit cards or personal loans) in the loan portfolio towards computing the credit score. A key advantage of credit scoring is the CIC's ability to establish a quantifiable measure of risk in what is otherwise a highly subjective process. A numeric value on credit discipline of a person is very useful for taking credit decisions.

7.6 MANAGING THE CREDIT SCORE

We have studied about the three important determinants of the credit scoring. But to effectively manage the credit score, the following points are very important.

Credit Utilization

Effective credit utilization is a very important step in individual's credit score. If your safe limit is ₹10,000 and you are using only ₹5,000, then you are a very safe customer. If your limit is ₹10,000 and you are not only fully using it, but also seeking further credit, you could be overleveraging yourself and your score could fall.

Are the numbers of enquiries very high? Have you applied for additional credit lines, recently? Unnecessary and frequent shopping for credit or too many new accounts can be taken as an

indicator of being over- hungry for loans and impact the score negatively.

Payment Defaults

How many past accounts are due, by how many days and by how much? The fewer, the better.

Trade Attributes

How old are your lines of credit and what type are they? Do you have a good mix or is it, say, all credit cards? A history of consistent repayment of various types of credit will improve your score.

7.7 POSITIVE SIDE OF CREDIT SCORE

A good credit score will indicate the character of the borrower in his financial matters. The following are some of the indicators of good score.

- i. Evidence of financial discipline.
- ii. If the borrower has defaulted once or twice due to reasons beyond their control, those would show up as clear aberrations in an overall consistent payment history.
- iii. The longer the credit history, the better. The lender's assessment presumably improves as he gets bigger spans of repayment. One should be judicious about closing old accounts and opening new ones.

7.8 WARNING SIGNS IN CREDIT SCORE

The behavioural pattern of the borrowers will impact the credit score of the borrowers. The following are some of the signals.

- i. Craving for credit.
- ii. Frequent and unnecessary shopping for credit.
- iii. Several new accounts or recent requests for loans can be taken as signs of an over-hungry borrower.
- iv. The length of credit history is also important. Older accounts are generally better, so you should be judicious about closing old accounts and opening new ones.
- v. Trade attributes – does the customer use a good mix of credit?

The above activities will ultimately bring down the credit score. To overcome this, the borrower should maintain financial discipline, repay dues on time and do not over leverage themselves. But then how to know one's credit score to maintain financial discipline? Every individual, on making a request will get a credit information report, free of cost, once in a calendar year.

7.9 CREDIT INFORMATION COMPANIES IN INDIA

CIC or Credit Information Company is an independent third party institution that collects financial data regarding loans, credit cards and more about individuals and shares it with its members. Banks, Non-Banking Financial institutions are usually the customers of Credit Information Companies.

Credit Information Companies (CIC): Presently, four CICs, viz., TransUnion CIBIL Limited, Equifax Credit Information Services Private Limited, Experian Credit Information Company of India Private Limited and CRIF High Mark Credit Information Services Private Limited have been granted Certificate of Registration by RBI. Further, Section 17 of Credit Information Companies (Regulation) Act, 2005 stipulates that a Credit Information Company (CIC) may seek and obtain credit information from its members, i.e., Credit Institutions (CI) only. All Credit Institutions (CIs) shall become members of all CICs and submit data (including historical data) to them, as per RBI directives. Further, CICs and CIs shall keep the credit information collected/maintained by them, updated regularly on a monthly basis or at such shorter intervals as may be mutually agreed upon between the CI and the CIC in terms of Regulation 10 (a) (i) and (ii) of the Credit Information Companies Regulations, 2006.

Benefits of using credit information report

- It helps in analysing your true financial standing and make plans for future finances.
- One can be on top of your borrowings and avoid debt traps.
- With a Credit Information Report in hand, he or she will be in a good position to make decisions regarding availing new forms of credit, while also being able to extract the best possible rates from banks or other lenders.
- It helps in cultivating financial discipline.

Factors leading to favourable credit score

- On time loan EMI payments.
- Regular payment of credit card bills.
- Paying credit card bills in full rather than paying minimum due amount every time.
- Avoiding over-leveraging.
- Maintaining strong financial records.
- Too many forms of credit (such as unsecured personal loans) among family members.
- Proper utilization of approved credit limit.
- Ensuring banks and other financial institutions, you're dealing with, record and submit positive information to CICs.
- Requesting and maintaining a copy personally rather than through financial institutions.

Factors leading to negative credit score

- Too many credit report enquiries by banks and other institutions.
- Cheque bounces/dishonours.
- Irregular loan repayments.
- Defaulting on credit card bills/making late payments or consistent part payments.

- Too much unsecured credit such as multiple personal loans.
- Multiple applications for unsecured loan getting rejected.
- Defaulting as a guarantor.
- High utilization of approved credit limit or overshooting the limit.
- Non-payment of utility bills may also have negative bearing on credit score. Utility companies report delinquent account to CICs very fast.
- Errors in record by banks and other finance institutions.

Advantages of maintaining high credit scores

- Easy availability of credit such as loans. According to the official CIBIL website, about 90% of loan applicants with CIBIL score greater than 700 are approved for loans.
- Quick processing of loan and credit card applications.
- Ability to negotiate interest rates, owing to your strong financial standing.
- Though not guaranteed, the possibility of negotiating or waiving processing fees as well as choosing prepayment options.

7.10 ISSUES IN CREDIT SCORING

Credit scoring is an enabler for banks to take a call on the risk assessment based on the score and accordingly decide at the price for the risk. It also enables the banks to speed up credit decisions and disbursement based on the score.

With a credit information report in place, responsible customers can expect faster and more competitive services at better terms and rates from banks and other credit companies. Based on the information available with CICs, they issue reports. However, a person can access their credit reports directly as well by putting in a request to CIC. One can then go through their report and if any errors found, they can notify the bank and CIC regarding the same.

7.11 MISTAKES IN CREDIT SCORING

It is but natural that mistakes may occur in the credit scoring process due to various factors and if we do not take steps to correct it, our credit score will be arrived at wrongly and will be a detriment when we need a retail loan or credit card. Let us see the common mistakes in credit scoring which will affect the score.

Confusion of Names

There can be lakhs of names that are similar in the CIC's database. Things can go haywire if a person with your name has defaulted and all his defaults get recorded in your file.

Human Input Error

The information that goes from the banks to the CIC on a default may have been erroneous due to simple input error by one of the bank employees.

Identity Theft

This is the most serious of all causes of errors and can have a disastrous impact on a person's credit profile. In recent times, identity thefts are on the rise. Right from a petty shopkeeper who swipes your card several times to sneak in an unofficial payment or track credit card details, which he can exploit, to a terrorist who wants to access a billionaire's account in a remote corner of the world, identity theft is becoming a serious crime that needs check.

7.12 TROUBLESHOOTING CREDIT SCORE

We have to accept that there are chances of mistake in arriving of credit score or mistaken identities creating confusion in the scoring process. Errors and inaccuracies are possible with Credit Information Report. The steps for seeking clarifications in your credit report are as follows:

- a. Contact the bank that declined a credit card or loan application on the basis of your poor credit score. Ask them for a clarification on the poor credit score and request them to provide the control number for your credit report.
- b. The bank will provide you with the control number of the credit report and also share the information on the credit report that is responsible for your poor credit score.
- c. Provisions are available in the website of the CICs for resolving disputes.
- d. The control number is a nine-digit unique number that helps to track an individual's credit report from CIC's database. The control number is generated when banks pull out your credit report on a requirement basis. The control number is a unique number, which is generated every time any bank or credit institution pulls out a credit report on you.
- e. CIC requires this number because it enables them to view the exact details that the bank has seen when they drew a report on you. Hence, it is important for you to request the bank to provide you the control number.

LET US SUM UP

An individual's credit score can make or break his/her application for a loan or credit card. A credit score is one of the important factors that banks take into account while accepting or rejecting your application. The higher the score, the better it is. While each bank has its own credit scoring cut-off, it has been observed that most banks lend to consumers with a Credit Score of 700 and above. The highest credit score that can be assigned by CIC is 900.

A number of factors go into credit score calculations. These include the applicant's past payment record on loans and credit cards, the extent and type of credit exposure, credit history and credit

enquiries. Past performance on servicing loans and making credit card payments on time is considered the most important factor. Delays in paying loan EMIs and loan default can dent the credit score. Similarly, missing payment deadlines or defaulting on card payments too can hurt the credit score. Credit exposure, the extent of which is determined by the quantum of the individual's borrowings (loans) and his/her credit card utilisation ratio (aggregate outstanding balance on all cards as a percentage of the aggregate of all card limits), is another critical factor. High credit utilisation increases the person's credit exposure. This impacts the income-to-debt ratio, one of the important criterion for assessing loan applications. The higher the proportion of unsecured loans (such as personal loans) in the portfolio and shorter the length of the individual's credit history (the time since they have taken a loan or a credit card), the worse it is for the score.

A longer credit history allows a more detailed understanding of the applicant's payment behaviour. It goes without saying that the historical record must also be good. The length of the credit history, credit mix and the number of credit enquiries are the other factors considered by Equifax.

The credit score is calculated based on the individual's credit behaviour in very recent years. So, does that mean the person can present himself as a worthy borrower to a potential lender despite having slipped on debt repayments a long time ago? Not really.

KEYWORDS

Credit Score; Income Levels; Identity Theft; Repayment History; Credit Information Company

CHECK YOUR PROGRESS

1. Credit Scoring Models are based on the _____ of applicants.
 - (i) Defaults on previous credit transactions
 - (ii) Payment behaviour/Payment history
 - (iii) Previous searches/inquiries
 - (iv) Annual income
 - (a) (i) & (iii) only
 - (b) (ii) & (iii) only
 - (c) (ii), (iii) & (iv) only
 - (d) (i), (ii) & (iii) only
2. The most common mistakes in credit score will be due to _____.
 - (i) Confusion of names
 - (ii) Human Input Error
 - (iii) Identity Theft
 - (a) (i) only
 - (b) (i) & (ii) only
 - (c) (ii) & (iii) only
 - (d) (i), (ii) & (iii) above
3. Which one of the following is not a credit information company approved by RBI?
 - (a) CRISIL
 - (b) Experian Inc.
 - (c) Equifax Inc.
 - (d) CIBIL

4. Which one of the following parameters the Credit Information Companies normally give higher weightage?
- | | |
|------------------|------------------------------|
| (a) New credit | (b) Length of credit history |
| (c) Amounts owed | (d) Payment history |

ANSWERS TO CHECK YOUR PROGRESS

1. (d) 2. (d) 3. (a) 4. (d)



IMPORTANT RETAIL LIABILITY PRODUCTS

STRUCTURE

- 8.0 Objectives
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- 8.2 Demand Deposits : An Introduction
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8.29 Form 15 G/ 15 H

8.30 Deposit of TDS to Income Tax Department by Banks

8.31 2 in 1 Account

8.32 Recurring Deposit (RD)

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

8.0 OBJECTIVES

The objectives of this unit are to understand:

- Main Retail Liability Products of Banks
- Demand Deposit- Savings Bank Deposit and Current Deposit
- Features and Advantages of Current Deposit
- Features and advantages of Savings Bank Deposit
- Time Deposit
- Features of Time Deposit- Fixed Deposit and Recurring Deposit
- Operational issues in Time Deposit
- 2 in 1 Account

8.1 AN INTRODUCTION TO RETAIL BANKING

In simple language, Retail Banking, also known as Consumer Banking, refers to providing banking services to retail customers and small enterprises. All the banking services that you enjoy from your bank including our personal accounts, saving accounts, loans and even online banking services fall under retail banking.

In other words, Retail banking is the banking that is for the retail customers of the bank, which includes the general population and not large or multinational institutions. Even when we are availing banking services online, we are connecting with our bank on some level, making it a part of retail banking as well.

Retail banking helps us to meet our day to day needs by services like debit cards, credit cards, online withdrawals, deposits, loans and many other benefits.

Retail banking is, however, quite broad in nature - it refers to the dealing of commercial banks with individual customers, both on liabilities and assets sides of the balance sheet. Fixed, current / savings accounts on the liabilities side; and mortgages, loans (e.g., personal, housing, auto, and educational) on the assets side, are the more important of the products offered by banks. Related ancillary services include credit cards, or depository services.

An Introduction to Retail Liability

Intermediation is the primary function of banks and mobilisation of deposit is the first step to intermediation. They accept deposit from public and lend it to the enterprise class engaged in productive activities. On loans and advances banks charge some additional interest rate. Banks don't have their own money and so they lend from the deposited money. Banks normally pay interest on the money deposited by public which lies with the banks. Therefore, the deposited money is the **banks liability** as interest is paid on that sum to the depositor. On the other hand, the money given out as loan becomes the **asset for the bank** and earns interest.

Banks mobilise the savings of the community by offering savings products to suit the needs of various type of savers. The basic concerns of savers are safety, liquidity, and returns.

Banks are considered to be the safest institution for mobilising people's savings and enjoying their trust, which enables banks to attract deposits at relatively cheaper rates compared to other financial intermediaries. Similarly, banks have large resources and therefore are able to allow withdrawal of deposits whenever the customer wants to withdraw. No any other financial intermediary is in a position to offer such ease liquidity.

Main Retail Liability Products of Banks

As stated above, main Retail Liability Products of Banks constitute various types of DEPOSIT Accounts.

Banks accept various types of deposits. These are,

- **Demand deposits:** Are payable on demand
- **Term deposits:** Are repayable on expiry of the period and also known as Time deposit/ Fixed deposit
- **Recurring Deposit:** Help people with regular income to save a fixed income every month and at the same time earn interest at the rate applicable to Fixed Deposit.

8.2 DEMAND DEPOSITS: AN INTRODUCTION

Banks are the only financial intermediaries that are permitted to accept Demand Deposits which can be withdrawn by the customer at any time on demand. Such deposits are repayable on demand; therefore, they are called Demand Deposits. Generally, demand deposits are withdrawn by the customer by issuing a cheque or any other recognized means. During the recent times, with technological advancement, online transactions have gained popularity particularly after Covid pandemic.

Technically, withdrawals can be affected even by writing a letter to the bank, filling in requisite forms or using the Automated Teller machine (ATM). But cheque as a payment instrument is a legal document with the duties and responsibilities of all parties involved, clearly defined by law. Banks are the only institutions on which a cheque can be drawn. Even if a similar instrument, both in form and content is drawn on any other entity, it will not be recognised as a cheque because the cheque is drawn only on a bank in accordance with the banking law and practice.

In view of the absolute liquidity offered by Demand deposits, banks pay low interest on such deposits (SB) or no interest on such deposits (CA). This makes it a low cost deposit for the banks and hence is much sought after by banks. In fact, it is in the bank's interest to increase the proportion of demand deposit to enhance their profitability. Collectively these deposits are also known as CASA Deposit.

While the interest cost of demand deposits is low for the banks, the cost of maintaining demand deposit accounts is high in view of the large number of transactions involved. Apart from liquidity, the higher transaction cost is an important reason for payment of no interest or low interest on demand deposits.

Banks offer two types of Demand Deposit Accounts:

- Savings Bank Deposit Accounts (SB)
- Current Deposit Accounts (CA)

8.3 CURRENT DEPOSIT ACCOUNT: AN INTRODUCTION

Current Deposit account is opened by businessmen who have a higher number of regular transactions with the bank. It includes deposits, withdrawals, and contra transactions.

In current account, amount can be deposited and withdrawn at any time without giving any notice. It is also suitable for making payments to creditors by using cheques and online banking. Cheques received from customers can be deposited in this account for collection.

The customers are allowed to withdraw the amount with cheques and online banking. Current account holders do not get any interest on their balance lying in current account with the bank.

Current account holder may get one important advantage of overdraft facility.

8.4 MAIN FEATURES OF CURRENT DEPOSIT ACCOUNT

- Current deposit accounts are meant to run a business.
- It is a non-interest bearing bank account.
- It needs a higher minimum balance to be maintained as compared to the savings account.
- Penalty is charged if minimum balance is not maintained in the current account.
- It charges interest on the short-term funds/overdraft borrowed from the bank.
- It is of a continuing nature as there is no fixed period to hold a current account.
- It does not promote saving habits with its account holders.
- Banker requires KYC (Know your Customers) norms to be completed before opening a current account.
- The main objective of current bank account is to enable the businessmen to conduct their business transactions smoothly.
- There is no restriction on the number and amount of deposits.
- There is also no restriction on the number and amount of withdrawals made, as long as the current account holder has funds in his bank account.
- Generally, bank does not pay any interest on current account.

8.5 ADVANTAGE OF CURRENT DEPOSIT ACCOUNT TO CUSTOMER

- Since the purpose of the deposit is generally for 'Trading' and 'Business' it differs from the object of other deposit accounts which are meant to tap/mobilize the savings of the people.
- Current account is mainly opened by businessmen such as proprietors, partnership firms, public and private companies, trust, association of persons, etc. that has a large number of daily banking transactions, i.e. receipts and/or payments.
- It enables businessmen to carry out their business transactions properly and promptly.
- The businessmen can withdraw from their current accounts without any limit, subject to banking cash transaction tax, if any, as stipulated by the individual bank.
- Home branch is that location where one opens his bank account. Normally, there are no restrictions on deposits made in the current account opened in a home branch of a bank. However, the current account holder can deposit the cash to any other branch of a bank other than the home branch by paying a nominal charge as applicable/stipulated by the individual bank.
- It helps businessmen to make a direct payment to their creditors by issuing cheques, demand-drafts or pay-orders, online fund transfers etc.
- It enables a bank to collect money on behalf of its customers and credits the same in their customers' current accounts.
- It enables the current account holder to obtain overdraft (short-term borrowing) facility subject to satisfactory conduct of the account.
- Third party cheques and cheques with endorsements may be deposited in the current account for collection and credit to the account, subject to certain conditions.
- The creditors of the account holder can get credit-worthiness information of the account holder through inter-bank connection.
- It facilitates the industrial progress of the country. Without its help, businessmen would face difficulties in running their businesses.
- It has the facilities of Internet-banking and mobile-banking to carry out important business transactions with ease and quickly.

It also provides various other advantages (benefits) such as:

- Deposit and withdrawal of money (cash) at any location
- Multi-location funds transfer
- Electronic funds transfer
- Periodical (monthly, quarterly or yearly) e-mail or download of bank statements in various formats like '.XLS', '.TXT', '.PDF', etc.
- Support from customer care executives

Advantages of Current Deposits to Bank

Current deposits are vital deposit component of banks as it is almost no cost deposit for the bank. CASA deposits of all banks and these i.e. Current Accounts Savings Accounts (CASA) Deposits are very important performance indicators for the Banks. The rates of interest paid to the customers by the bank on CASA Deposits are very low i.e. NIL interest on Current Accounts and less rate of interest on Savings Accounts. This brings down the overall cost of funds of the bank and gives them a lot of flexibility to give credit/loans at lower rates and still earn a good Net Interest Margin (NIM) and profitability. Each bank strives to ensure that CASA Deposits form a high percentage share in the total deposits of the bank. In the present banking scenario with intense competition between the public, private and foreign banks for a larger market share, a bank with a higher CASA deposit ratio (35% or more) is better placed to perform.

8.6 DOCUMENTS REQUIRED FOR OPENING VARIOUS TYPES OF CURRENT ACCOUNTS

1. **Individuals (singly/jointly):** A certified copy of an OVD, as mentioned in the Master Directions on KYC, containing details of identity and address of the individual shall be obtained.
2. **Sole proprietary firm:** A certified copy of an OVD, as mentioned in the Master Directions on KYC, containing details of identity and address of the individual (proprietor) shall be obtained.

And Certified copy of any two the following:

- Registration certificate.
 - Certificate/ licence issued by the municipal authorities under Shop and Establishment Act.
 - Sales and income tax returns.
 - CST/VAT certificate.
 - Certificate/registration document issued by Sales Tax/Service Tax/Professional Tax authorities.
 - Licence/certificate of practice issued in the name of the proprietary concern by any professional body incorporated under a statute.
 - Complete Income Tax Return (not just the acknowledgement) in the name of the sole proprietor where the firm's income is reflected, duly authenticated/ acknowledged by the Income Tax authorities.
 - Utility bills such as electricity, water, and landline telephone bills.
3. **Partnership firm:** One certified copy of each of the following documents shall be obtained:
 - Registration certificate
 - Partnership deed

- Officially valid documents in respect of the person holding an attorney to transact on its behalf, PAN card of the entity
- OVD of all the partners as per master directions on KYC

4. Hindu Undivided Family (HUF) or Joint Hindu Family:

- Joint Hindu Family letter
- A certified copy of an OVD, as mentioned in the master directions on KYC, containing details of identity and address of the individual operating the account shall be obtained.
- PAN Card of the HUF

5. Limited Liability Partnership Firms:

- Certificate of Incorporation
- Copy of Resolution
- PAN Card of the LLP firm
- OVD of the designated partners as per master directions on KYC

6. Limited Companies:

A certified copy of each of the following documents to be obtained:

- Certificate of incorporation and Certificate of Commencement of Business in the case of public limited companies
- Memorandum of Association
- Article of Association
- A resolution from the Board of Directors and power of attorney granted to its managers, officers or employees to transact on its behalf
- Officially valid documents in respect of managers, officers or employees holding an attorney to transact on its behalf
- PAN Card of the entity

7. Co-operative Societies:

- Certificate of registration associations, clubs, etc. of the society/association/club, if any
- Certified copy of the bye-laws of the society etc.
- Resolution of the managing committee, appointing the bank as its bankers and stipulating the conditions for the conduct of the account
- List of members of the managing committee, with the copy of the resolution electing them to the committee

8. Charitable or Public Trust:

A certified copy of each of the following documents to be obtained:

- Registration certificate
- Trust deed
- Officially valid documents in respect of the person holding a power of attorney to transact on its behalf

9. Transgender Persons:

- Banks have been advised by RBI to refer to the judgement dated April 15, 2014 of the Supreme Court in the case of National Legal Services Authority v. Union of India and others [AIR 2014 SC 1863: (2014) 5 SCC 438] on treating all transgender persons as 'third gender'.
- Banks should therefore, include 'third gender' in all forms/applications etc. prescribed by the Reserve Bank or the banks themselves, wherein any gender classification is envisaged.

Apart from above business entities, current accounts can also be opened for the followings subject to completion of the necessary/required formalities:

- All scheduled banks
- All apex cooperative banks
- All district cooperative banks
- All land mortgage banks
- All Regional Rural Banks sponsored by any bank
- All urban cooperative banks
- Government Departments/Bodies/Corporations/ Committees /Boards/Development Authorities/ Panchayat Bodies, etc.

8.7 OPENING OF CURRENT ACCOUNT

Banks should bring to the notice of the prospective customers all the rules and terms and conditions for opening and conduct of current accounts at the time of opening the account. Proper KYC norms must be adhered to while opening the account.

The minimum balance required to be maintained in Current Account is comparatively higher than that of Savings Account because of higher transaction cost involved in Current Accounts due to unlimited transactions being allowed in Current Accounts. However, the minimum balance requirement differs from bank to bank and private and foreign banks normally keep a higher minimum initial cash deposit.

The following points are to be kept in mind while opening Current accounts:

- Cheques may also be accepted along with the cash.
- When the party gives a cheque drawn on his own account with another bank, it may be accepted as an initial deposit.

- Abundant care should be exercised while opening an account with an initial deposit by means of a demand draft.
- Before opening a current account of a company or firm, banks should ensure that they do not enjoy any credit facilities with any other bank/branch. The purpose of this procedure is to discourage the likely misuse of such accounts to avoid the credit discipline.
- As per RBI notification no. RBI/2021-22/116DOR.CRE.REC.63/21.04.048/2021-22 dated October 29, 2021 it has been clarified that banks may open current accounts for borrowers who have availed credit facilities in the form of cash credit (CC)/ overdraft (OD) from the banking system as per the provisions below:
 - (i) For borrowers, where the exposure of the banking system is less than ₹5 Crore, there is no restriction on opening of current accounts or on provision of CC/OD facility by banks, subject to obtaining an undertaking from such borrowers that they shall inform the bank(s), as and when the credit facilities availed by them from the banking system reaches ₹5 crore or more.
 - (ii) In respect of borrowers where exposure of the banking system is ₹5 crore or more, such borrower can maintain current accounts with any one of the banks with which it has CC/OD facility, provided that the bank has at least 10 per cent of the exposure of the banking system to that borrower.
- Further, other lending banks may open only collection accounts subject to the condition that funds deposited in such collection accounts will be remitted within two working days of receiving such funds, to the CC/OD account maintained with the above-mentioned bank maintaining current accounts for the borrower. In case none of the lenders has at least 10% exposure of the banking system to the borrower, the bank having the highest exposure may open current accounts. Non-lending banks are not permitted to open current accounts.

8.8 OPERATIONAL INSTRUCTIONS IN CURRENT ACCOUNT

- (i) **Accounts of Individuals:** The column meant for “Operational Instructions” in Account Opening form should be crossed as a precaution to prevent its subsequent misuse while opening current Account in the name of individual(s).
- (ii) **Joint Accounts:** The operational instructions may be either of the followings:
 - “Account will be generally operated upon by and the balance / securities, if any, will be payable/deliverable to:
 - Either or Survivor
 - Any one, or survivor
 - Former and survivor
 - Any two, three etc. jointly or survivors jointly or the last survivor
 - The operational instructions must be authenticated by all the joint account holders.

(iii) **Sole proprietorship firm:** The operational instructions should be,

“The account will be operated upon by Shri as the Sole Proprietor in the name of the firm/on behalf of the firm.”

Cheque(s) to be signed in the name and style as

For and On Behalf of
(Firm’s name)

(Signature)
Sole Proprietor

(iv) **Partnership Firm:** The operational instructions should be as under:

“The account will be operated upon by any one of the partners singly or any two or more partners jointly in the name of the firm/on behalf of the said firm.”

Cheque(s) to be signed with stamp in the name and style as

For and On Behalf of
(Firm’s name)

(Signature)
Partner (s)

(v) **Limited Company:** The operational instructions should be as per board resolution given at the time of account opening.

Cheque(s) to be signed with stamp in the name and style as

For and On Behalf of
(Company’s name)

(Signature)
Directors (s)/ Authorised Signatory

Monitoring of newly opened Accounts

- “Know Your Customer” (KYC) guidelines should be followed in respect of opening of accounts and monitoring of newly opened accounts. Transactions and turnover in such accounts needs to be looked with a view to commensurate business nature and requirements, including annual turnover of the firm or company.
- In case of third party credits is allowed in newly opened accounts, the genuinity of the transactions to be verified from the bank’s end.

- Except for exceptional circumstances, proceeds of instruments like cheques, dividend/ interest warrants, refund orders, crossed 'A/c Payee' cheques should invariably be credited to the payee's account only.
- Branch should send letter of thanks to the introducers and should obtain independent confirmation of addresses of account holders in all cases.
- Bank manager and /or managers of deposit accounts section at the bank branch should at least, for the first six months keep a close watch so as to guard against any fraudulent and / or suspicious transactions taking place therein.
- The concerned bank officials are likely to be held accountable, in case it transpires subsequently that these accounts have been used especially during the initial period of six months for fraudulent/ money laundering transactions.

Other Operational Issues of Current Accounts

- Every current account holder should be supplied with statement of accounts every month without any charge.
- Statement of accounts can be sent on E- mail or be dispatched to the account holders with a suitable covering letter by book post, except where specifically requested to send by Registered Post, in which case, postages should be recovered from the account holder.
- Duplicate statement of accounts can be issued at the written request of the account holder, stating reasons for the same. Service charges as per the bank's schedule of charges should be levied.

8.9 TRANSFER OF ACCOUNTS

As per recommendations of Damodaran Committee on Customer Service, IBA has given direction for implementing the facility of account number portability, whereby customer is allowed to maintain the same a/c number in the bank even when he/she moves to another city or shifts his a/c to another branch in the same city.

Where the account holder approaches the branch to transfer his account to another branch, the branch should obtain a letter addressed to the transferor branch indicating therein, his desire to have the account transferred to the other branch. The letter should be duly signed as per the constitution of the account and as per specimen with the transferor branch and handed over to the transferee branch. In case of accounts of companies, board resolution is also required.

8.10 INOPERATIVE ACCOUNTS

In current accounts where there are no operations continuously for two years, should be treated as inoperative accounts. Banks recover incidental charges every half year to the debit of inoperative accounts and credit to P/L Incidental Charges. The account can be made operative

after the bank is satisfied with the reasons for non-operation and fresh KYC documents are obtained and duly verified.

8.11 CLOSURE OF CURRENT ACCOUNT

Whenever a customer wants to close his account, bank should endeavour to ascertain the specific reasons for closure of the same and persuade the account holder to continue the account, if possible. However, if the customer wishes to close the account due to genuine difficulties or constraints, the bank branch should obtain a letter requesting the Bank to close the account duly signed by all the account holders/ partners. In case of accounts of companies, board resolution is also required. Before closing the account, any cheque pending under collection, any other pending transaction, guarantee/LC issued, Locker allotted with reference to this account etc. should be checked. Charges for premature closure of accounts recovered as per the bank's guidelines. Banks should to recover all the dues which the customer may owe to the Bank in respect of any outstanding liability, such as on account of credit cards, guarantees/indemnities etc. issued on his behalf before parting with balance.

8.12 SAVINGS BANK ACCOUNT: AN INTRODUCTION

Individuals have requirements to make a variety of payments regularly, such as electricity bills, telephone bills, water bills, school fees etc. Therefore, they require an account that helps them to make regular payments without having cash to use. They also like to keep some amount in their savings account for meeting their near future expenditure and at the same time earn some interest. The SB Account has been designed to meet these needs of individuals. Individuals can open SB Account singly or Jointly.

RBI prohibits banks from opening of SB accounts of business entities. However, RBI has allowed certain Government Departments and non-profit-organisations to open SB Accounts vide circular No. RF.Dir.BC.30/07.38.01/2000-01 dated October 17, 2000 and RPCD.CO.RF.BC.no.87/07.38.01/2005-06 dated June 6, 2006.

8.13 ADVANTAGES AND IMPORTANCE OF SAVINGS BANK DEPOSITS TO CUSTOMERS

- Saving account encourages savings habit among salary earners and others who have fixed income.
- It enables the depositor to earn income by way of saving bank interest.
- Saving account helps the depositor to make payment by way of issuing cheques.
- It shows income of a salaried and other person earned during the year.
- Saving account passbook acts as an identity and residential proof of the account holder.

- It provides a facility such as Electronic fund transfer (EFT) to other people's accounts.
- It helps to do online shopping via facility like internet banking.
- It aids to keep records of all online transactions carried on by the account holder.
- It provides immediate funds as and when required through ATM.
- Enables digital transaction 24*7*365 in 'AAA' mode of banking.

Advantages and Importance of Savings Bank Deposits to Bank

- Savings deposits are valuable component of CASA deposits for banks, these accounts provide the broad retail deposit base.
- It help banks to shore up their earnings through low cost deposits which can be profitably deployed into high yielding advances and thereby provide better interest spread and margin.
- Provides potential customer base for marketing of other product's.
- Relatively stable in nature.

8.14 WHO CAN OPEN A SAVINGS BANK ACCOUNT?

Person (s) who is/are legally capable of entering into a valid contract and make application to the bank in proper manner and accept the terms and conditions and are agreeable to follow/accept the rules and regulations stipulated by the bank can open a Savings Bank Account either singly or jointly.

As the relationship between the bank and the depositor is essentially that of "Debtor" and "Creditor", the parties to the contract should be competent to enter into the contract.

Documents Required for opening Savings Bank Account

1. Proof of identity (OVD)
2. Proof of address in case address is different than the identity proof or no address is mention in identity proof.
3. Recent photograph
4. PAN card or declaration in form 60 or 61 as per I.T. Act (vide section 39A) from the person opening the account.

Savings Bank Account of Minor:

- A minor is a person who has not attained 18 years of age as per sec. 3 of Indian Majority Act 1875. As amended w.e.f. Dec.16, 1999 where a guardian is appointed by the court (for minor's person or property or both) or where a court of ward is appointed as guardian, a person attains majority on completion of 18 years of age (prior to this amendment the age of attaining majority was 21 years)

According to Indian contract act, 1872 a minor is not capable of entering into a valid contract and a contract entered into by a minor is void. A contract for supply of necessities of life to a

minor is, however, a valid contract. In case of all other contracts. A minor may repudiate his promise or consent.

However, as per directives of RBI, a Savings Bank account in the sole name of 'minor' to be operated by the minor can be opened provided the minor is 10 years of age or above on the following terms and conditions:

- (a) The minor should be able to read and write any of the languages recognised and be capable, in the opinion of the Branch Manager/Joint Manager/officer-in-charge of the savings bank department, of understanding what he/she is doing and the savings bank account rules and regulations.
- (b) The account opening form should be signed by the minor in the presence of an official of the bank who should be able to identify the minor.
- (c) The date of birth of the minor is to be ascertained and authenticity verified with reference to birth certificate issued by his/her school/gram panchayat/municipal authorities etc. and noted in account opening form, Specimen signature card, system and pass book and a special diary. On minor's attaining majority, necessary steps should be taken to ensure that the account is properly reconstituted by obtaining fresh instructions regarding operations on the account and the signatures of the minor duly verified by the guardian.
- (d) The account should be properly introduced and photograph of the minor obtained.
- (e) Cheque book facility can be provided, on request, if he/she is a literate and after ascertaining that he/she is capable of taking all precautions in respect of issue and safe custody of cheque book. It is not necessary then for the minor to present himself/herself in person for receiving payment. If the cheque book is not issued, withdrawals will be permitted as in the case of other accounts as per savings bank rules. In such cases, pass book must accompany withdrawals. Withdrawals should normally be made by minor in person, except in cases where his/her parent, his/her close relative or a person known to Bank comes to receive payment.
- (f) Maximum balance to the credit of such account should not exceed at any time ₹1,00,000/-. Special cases, if any, may be referred to the Controlling Authority with recommendations for consideration. However, for accounts of minors of 14 years and above, there is no limit of maximum balance.
- (g) In case of accounts of minors if his/her income is not chargeable to Income Tax bank should obtain PAN/GIR Number of the father/mother or guardian. Alternatively, in case of non-availability of the same, a declaration in Form No. 60 or 61 as specified under the Income Tax Act / Rules may be obtained from the father/mother or guardian.
- (h) In respect of minors below the age of 10 years, accounts in the sole name of minor can be opened provided the account is operated by the natural guardian(s) i.e. father or mother.

No overdraft should be granted in Savings Bank accounts of minors held either singly or jointly with guardian/s.

Savings Bank Accounts of Illiterates

Savings bank accounts of illiterate individuals who are otherwise capable of entering into a contract can be opened subject to the following conditions:

- (a) The illiterate person, unable to write must attend in person and should affix his thumb impression on the account opening form-cum-specimen signature card in the presence of an approved witness, who is known both to the Bank and the applicant.
- (b) Such illiterate depositor should lodge his/her recent photograph with the Bank, duly attested by a person known to Bank. Thus he/she need not have his/her thumb impression attested by a witness every time he/she withdraws money from the account. It will suffice if he/she affixes his/her thumb impression in the presence of an officer of the bank. Further a certificate should be obtained as under:

“This is to certify that the left/right hand thumb impression of Shri/Smt/Kum. _____ has been placed on this form in my presence, the contents of which have been fully explained to the account holder in his/her vernacular language and he/she admits the same. He/she is known to me. “The thumb impression so affixed should be further authenticated by writing “LHTI of _____ or RHTI of _____”.

(It is a universal practice of the police departments that whenever the thumb impression of male is taken, it should always be left hand thumb. While for female it should always be right hand thumb. Banks generally follow the same convention though there is no hard and fast rule laid down in law as to which thumb is to be used for affixing the impression.)

- (c) The name of the account holder, nature of account and account number must be written in bold letters on the back of such photographs by the official of the branch under proper authentication.
- (d) For withdrawals, the illiterate person should come to the branch personally and affix his/her thumb impression in the presence of an officer.
- (e) No cheque book facility should be extended in account of an illiterate person.
- (f) Joint account of an illiterate can be opened with a literate close relative i.e. father, son, husband, wife, mother and daughter but not two cousins. However, the following precautions should be taken:
 - i. All the formalities in respect of opening of accounts of illiterate persons should be complied with.
 - ii. The implications of opening the joint account and the mode of operation, withdrawal, payment, etc. should be explained to the party in his/her vernacular language.
 - iii. A note to this effect should be made in the relative account opening form signed by a known person besides an officer of the branch.
 - iv. Photographs of all the joint account holders should be taken and all the procedures for obtaining such photographs should be followed.

Savings Bank Account of Blind Persons

Like other persons, the blind persons are fully competent to enter into a valid contract. Accordingly, there is no any legal bar in opening savings bank accounts of blind persons by the banks as usual. However, due care should be taken while opening of such accounts because blind persons can later on argue that the terms and conditions were not properly told to them. They may also dispute their signatures due to which banks are required to take extra care while opening and allowing operations in the accounts of blind persons.

To overcome the probable problems stated above, both the signature and thumb impression (even for literate—in case of illiterate thumb impression only) must be obtained on account opening form in presence of bank officials which should be duly witnessed by a respectable person who should certify that the contents are explained to the blind person in his presence. In practice, banks obtain three photographs of blind persons like illiterates. The photographs should be pasted on the pass book, signature slips/ cards and the account opening form @ one each. Cash payment or deposits should be made in presence of a witness preferably a customer of the bank. The account opening form, specimen signature sheet/ card pass book must be stamped (in bold letters) “Blind Person” so that the required precautions might be exercised easily.

RBI directions dated 4th June 2008 in respect of Visually Challenged (Blind) persons

The Honourable Court of Chief Commissioner for Persons with Disabilities has passed order dated 5th September, 2005 thereby instructing banks all banking facilities including Cheque book, ATM, and locker facility should be offered to visually challenged (blind persons and also assist them in withdrawal of cash. Visually impaired persons cannot be denied the facility of cheque book, etc. on the possibility of risk in operating/using the said facility as they are legally competent to contract and that the element of risk is involved in case of other customers as well. Banks are to ensure that all the banking facilities such as cheque book, ATM, Net banking, locker, retail loans, credit cards, etc. facilities to be invariably offered to visually challenged without any discrimination. Banks should make at least one third of new ATMs installed as talking ATMs with braille keypads.

Savings Bank Accounts of Incapacitated (Handicapped / Old / Sick) Persons

Banks may entertain requests from handicapped persons, such as persons who have lost both hands etc. for opening their accounts. The procedure to be followed in this respect is as under:

- The bank branch should obtain the photograph of handicapped person.
- The handicapped person may be requested to put his/her toe impression (either right or left) on the relevant forms. This should be done before the Branch Manager/Joint Manager/ Departmental Head and a witness.
- As an alternative, the person may be requested to give a suitable power of attorney to a person of his/her confidence.
- The attorney may then sign the form/s.

It would also be in order to open a joint account with his / her near relative.

Where a person is incapacitated due to illness or other reasons to sign a cheque/withdrawal or is unable to come in person to bank to withdraw money, he can put his thumb impression which is to be witnessed by two independent witnesses known to the bank out of which one of them should be competent bank officials. In case the customer cannot put his thumb impression, the bank can make payment by impression of other body part to be witnessed by two independent witnesses, one of them should be a responsible bank official along with a certificate from the competent doctor.

IBA legal opinion in case of persons who cannot sign due to loss of both hands

As per the “General Clause Act”, the term “Sign” include “Mark”. Supreme court has held that the signature can be by means of a “Mark” which can be placed by the person in any manner including the toe impression.

Accounts of Pardanashin Women

As per rule any contract entered into by a Pardanashin Woman is not a contract free from all defects. A presumption of undue influence always exists. Therefore, Banks may ordinarily refuse to open accounts in the name of Pardanashin Women, because identity of Pardanashin Women cannot be ascertained as she observes complete seclusion.

However, if under special circumstances, such an account is opened, banks should take utmost care and two respectable persons known to the bank branch should invariably attest the signatures on account opening form and on withdrawals by withdrawal slips.

Joint account of two or more illiterates can be opened on following terms and conditions:

- (a) All the joint account holders should be close relatives, i.e. spouse, children, parents, brothers and unmarried sisters – not cousins.
- (b) The operations in the account should be allowed jointly by all account holders, survivors or survivor.
- (c) No cheque book facility should be provided and all the account holders should come personally to the branch for withdrawals.
- (d) The implications of opening the joint account and the mode of operation, withdrawal, payment etc. should be explained to the party in his/her vernacular language.
- (e) A note to this effect should be made in the relative account opening form, signed by a known person, besides an officer of the branch.
- (f) Photograph of all the joint account holders is to be obtained.
- (g) Where the joint account holders, as above, are not related to each other, a reference should be made to Regional Authorities giving all relevant particulars and the need for opening such accounts.

Savings Account for Non-Individual Entities

As per RBI guidelines, the following categories of non-individual entities are allowed to open savings account:

- Primary Co-operative Credit Society which is being financed by the bank.
- Khadi and Village Industries Boards.
- Agriculture Produce Market Committees.
- Societies registered under the Societies Registration Act, 1860 or any other corresponding law in force in a State or a Union Territory except societies registered under the State Co-operative Societies Acts and specific state enactment creating Land Mortgage Banks.
- Companies governed by the Companies Act, 1956 which have been licensed by the Central Government under Section 25 of the said Act, or under the corresponding provision in the Indian Companies Act, 1913 and permitted, not to add to their names the words 'Limited' or the words 'Private Limited'.
- Government departments / bodies / agencies in respect of grants/ subsidies released for implementation of various programmes / Schemes sponsored by Central Government / State Governments subject to production of an authorisation from the respective Central / State Government departments to open savings Bank Account.
- Development of Women and Children in Rural Areas (DWCRA).
- Self-help Groups (SHGs), registered or unregistered, which are engaged in promoting savings habits among their members.
- Farmers' Clubs – Vikas Volunteer Vahini – VVV.

As per latest RBI guidelines, the current accounts for the following categories of non-individual entities cannot be opened:

- Government departments/bodies depending upon budgetary allocations for performance of their functions
- Municipal Corporations or Municipal Committees
- Panchayat Samitis
- State Housing Boards
- Water and Sewerage/Drainage Boards/State Text Book Publishing Corporations/ Societies/ Metropolitan Development Authority / State/ District Level Housing Co-operative Societies
- Any political party or any trading/business or professional concern, whether such concern is a proprietary or a partnership firm or a company or an association.

8.15 DEREGULATION OF INTEREST IN SAVINGS DEPOSIT ACCOUNT

Previously interest rate on Savings Bank Deposit was being regulated by RBI. However, w.e.f. 25th October 2011, RBI deregulated interest rate to be paid by the banks on domestic SB Deposit

vide circular No. DBOD.Dir.BC.42/13.03.00/ 2011-12 dated October 25,2011. Accordingly, banks were given autonomy to determine their savings bank deposit interest rate subject to the following conditions:

- Each bank will have to offer a uniform interest rate on savings bank deposits up to ₹1/-lac irrespective of the amount in the account within this limit.
- For savings bank deposit over ₹1/-lac, a bank may provide differential rate of interest, if it so chooses, subject to the condition that the bank will not discriminate in the matter of interest paid on such deposits between one deposit and another of similar amount, accepted on the same date at any of its offices.

Accordingly, now, different banks are now paying different interest rate on SB Deposits. Now a days, banks are normally paying interest on SB Deposit at quarterly rests on daily product basis.

8.16 MAINTENANCE OF BALANCE IN SAVINGS BANK ACCOUNT AND INTEREST PAYMENT

Banks also prescribe certain minimum balance to be maintained in SB Accounts. Mostly banks insist on monthly average balance (MAV) to be maintained in the account failing which penalty is charged. The advantage of maintaining average balance is that in an emergency, the customer can withdraw any amount without incurring a penalty as long as the average balance during a month is at the required level.

The method of calculation of **Monthly Average Balance and Interest Payment on Daily product Basis** is explained below.

Suppose Savings Account statement of a customer is as under,

Date	Particulars	Dr	Cr	Balance
01/04/2021	By cash		1000	1000
04/04/2021	By Tr		1,00,000	1,10,000
06/04/2021	To cash Withdrawal	20,000		90,000
07/04/2021	To Clg.	2,000		88,000
20/04/2021	By Cash		5,000	93,000
30/04/2021	To cash Withdrawal	1,000		92,000

Now let us calculate, interest for the month of April 2021 in respect of above Customer's Account on daily Product Basis supposing interest rate on SB is 3% p.a.

Date	Balance	No of Days	Product
01/04/2021	1,000	3	3,000
04/04/2021	1,10,000	2	2,20,000
06/04/2021	90,000	1	90,000

Date	Balance	No of Days	Product
07/04/2021	88,000	13	11,44,000
20/04/2021	93,000	10	9,30,000
30/04/2021	92,000	1	92,000
	Total	30	24,79,000

Interest = $24,79,000 \times 3/100 \times 1/365 = ₹203.75$

Monthly Average Balance (MAV) = $24,79,000 / 30 = ₹82,633.33$

8.17 RESTRICTIONS ON TRANSACTIONS IN SB ACCOUNT

SB accounts help customers meet their personal needs and banks would not like the facility to be misused by the business entities for earning interest on their temporary surplus funds. Banks generally impose a limit on the number of withdrawals that can be made from the SB Account which varies from bank to bank. If the number of withdrawals exceed the specified number, a penalty may be imposed. The penalty may be in the form of non-payment of interest for the relevant month or charges for exceeding the specified limit.

Some banks especially private banks choose to prescribe a **minimum average relationship value** instead of average minimum balance. The average relationship value is a combined average in customer's Savings and FD accounts. It is beneficial to the customer because they can maintain small balance in SB account and keep higher balance in FD account to earn comparatively more interest. The relationship value concept focuses on the profitability of the relationship more than the balance maintained in a single account.

8.18 SERVICES OFFERED IN SAVINGS BANK ACCOUNTS

Banks offer different combinations of services. The banking services can be fine-tuned to the needs of the customers by offering choice of services which the customer may frequently need. A few of these services are available free of cost or at concessional rate or on payment of charges which varies from bank to bank depending upon the relationship value of the customer to the banks. When a bank stipulates a monthly or quarterly average balance in an account, non-maintenance of the same normally disqualifies the account holder for free services agreed upon at the time of opening the deposit account. This becomes applicable in addition to payment of penalty or services charges being levied by the bank.

Amongst various services being offered by banks, a few of the services are mentioned below:

- Cash transactions – Deposit and withdrawal of cash
- Clearing of cheques
- Debit cards/ ATM Cards
- Access to ATMs

- Access to Internet Banking
- Access to Phone Banking Services
- Access to Mobile Banking Services
- Standing instructions
- Tax payments
- Electronic Fund Transfer
- Auto Sweep (Automatic creation of FDs beyond a specified minimum balance in SB account)

8.19 TIME DEPOSIT – AN INTRODUCTION

A time deposit is a contract entered into by the Bank with the depositor, to pay on a fixed or determinable future date, the amount of money deposited plus interest accrued thereon. Each time deposit is a separate contract and various deposits in the name of the same depositor or in the names of members of the same family, should not be treated as one deposit. A time deposit receipt is not a negotiable instrument and, therefore, cannot be transferred by endorsement by a depositor in favour of another.

Fixed Deposits are repayable after the expiry of the specified term. Therefore, they are also called Term Deposits and are not as liquid as savings deposits. However, the rate of interest paid on FD is higher than the rate of interest on savings deposit. Generally, the longer the term of deposit, higher is the rate of interest but it is not always true and varies from bank to bank.

8.20 PERIODICITY OF TIME DEPOSIT

i. Minimum period:

At present, the minimum period for a term deposit for banks is 7 days for deposit amount of ₹15/- lacs and above & minimum 15 days for amounts less than ₹15/- lacs. The amounts may vary in different banks.

ii. Maximum period:

Banks accept fixed deposits for a period not exceeding 120 months. Where a deposit is offered for a period over twelve months, efforts should be made to accept deposits for periods in multiples of 3 months e.g., 15 months, 18 months, 21 months and so on. But at the specific request of the customer, branches may accept deposits for any periods in multiples of complete months or even for a period where the terminal month is incomplete i.e. 13 months, 37 months, 41 months, 38 months and 12 days.

In special cases, say, under the order of a court or where interest of a minor is involved and in the case of institutions, government undertakings, corporate bodies to meet their special needs like creation of sinking fund/amortisation fund etc. or for individuals for any of their special needs by way of accounts opened under special recurring/cumulative deposit scheme, banks may open the accounts for periods over 10 years. However, the period of deposit should not exceed 20 years.

8.21 OPERATIONAL INSTRUCTIONS

Term deposit accounts can be opened with instructions as ‘Singly’ or payable to ‘Either or Survivor’, payable jointly, payable to any one of the depositors etc. It can also be opened with instructions payable to “Former or Survivor” or “Former, Survivors Jointly or Last Survivor” or “Latter or Survivor” in which case operational/ payment instructions at the time of opening the account or subsequent variations, if any, in these instructions, should be signed by all the joint depositors.

8.22 INTEREST ON FIXED DEPOSIT

Interest on FDs is paid at quarterly intervals. The customer can choose to have the interest reinvested in the FD account. In this case, the deposit is called the **Cumulative FD or compound interest deposit**. For such deposits, the interest is paid with the invested amount on maturity of the deposit at the end of the term. If the customer instructs that the interest to be paid every quarter/month, it is credited to their Savings Account or sent to them by cheque. This is called **Simple FD**.

8.23 TERM DEPOSIT ACCOUNTS OF MINORS

Term deposit accounts can be opened by a minor in his/her sole name or minor accounts operated by guardian. All other terms and conditions remain the same as term deposits discussed above.

8.24 PREMATURE PAYMENT OF FD

As per rule, while banks may refuse to make premature payment. But in practice all banks accede to the request of the customer for premature payment. In such cases, interest is paid at the rate applicable (as on creation of FD) to the period for which the deposit has remained with the bank less penalty as stipulated by the bank. The penalty differs from bank to bank. For example, if a FD is made for 5 years @ 8% per annum on 15th October, 2021 but the customer makes a request for pre mature payment after 2 years in case of a need, bank will accede to the request of the customer in the manner stated below:

- If the applicable rate of interest for 2 years in the instant case as on 15th October, 2021 i.e. date of creation of FD is 5% p.a. and penalty in case of premature withdrawal of FD is 1%, then interest will be paid @ 4% p.a. (i.e. 5% less 1% penalty).

8.25 OPERATIONAL ISSUES

In case of Joint FD in the name of two or more persons, the operational issues and the manner of payment of FD should be as under:

Operational Instructions	Procedure to be followed
(a) Either or Survivor (When all A/c holders are alive)	- On maturity of time Deposit any of the A/c holder can take payment. - In case of pre mature payment the consent of all the A/c holders is essential.
(b) Either or Survivor (When any of the A/c holders has expires)	- On maturity of time Deposit any of the surviving A/c holder can take payment. - In case of pre mature payment, the consent of the legal heir/ heirs of the deceased along with all the surviving A/c holders is essential.

Mode of Repayment of Time Deposit

In terms of Income Tax Act, 1961 as amended, where aggregate amount of all deposits repayable after notice or repayable after a period (i.e. all time deposits including matured time deposits) held by a person singly or jointly with others at a branch of the Bank (not the Bank as a whole) together with interest to be paid on such deposits (i.e. excluding interest already paid) is ₹ 20,000/- or more, *the repayment should be made by means of “A/c Payee” Banker’s Cheque/ draft or by crediting the account of such depositor.*

Payment of interest on term deposit maturing on Saturday/Sunday/ holiday/ non-business working day

In respect of a term deposit maturing for payment on a Saturday / Sunday or a holiday or a non-business working day, banks should pay interest at the originally contracted rate on the original principal deposit amount for the Saturday / Sunday / holiday / non-business working day intervening between the date of expiry of the specified term of the deposit and the date of payment of the proceeds of the deposit on the succeeding working day.

In case of reinvestment deposits, banks should pay interest for the intervening Saturday/Sunday/ holiday/non-business working day on the maturity value.

Deduction of Income Tax at Source from Payment of Interest on Time Deposits (Section 194A of Income Tax Act, 1961)

The Income Tax Act as amended consequent to budget 2019 and as per provision of the I. Tax, TDS is applicable in case of interest on Time deposit which is as under, TDS is to be deducted in cases where the total interest paid or credited on all time deposits in the name of a depositor, whether singly or jointly (as first named person) exceeds ₹50,000/- in a financial year in case of Senior Citizen and ₹40,000/- in case of depositors of age below 60 years.

TDS rate is 10% in case, the depositor has furnished PAN Card or else 20% in case the depositor has not submitted PAN Card.

However, the bank FD interest income is fully taxable in the hands of the investor and banks levy TDS which may be adjusted while filing the income tax return. This is applicable to both interest paid and interest payable or reinvested. So, if a person is in the highest tax bracket of income tax of 30 per cent, merely paying TDS of 10 per cent will not be enough.

8.26 ADVANCES AGAINST BANK'S OWN TIME DEPOSIT RECEIPTS

- To help customers to tide over their temporary requirement for funds, banks normally offer loan against FD up to 80 to 90 percent of the value of FD. However, the percentage of margin in case of loan against FD varies from bank to bank. Moreover, banks charge interest on loan amount higher than what is being paid on FD which normally varies from 1% to 2% from bank to bank.
- The margin is retained to protect the additional interest, if the customer fails to repay the loan along with interest until the maturity of Fixed Deposit. In such a case, on maturity, Fixed Deposit is adjusted against the loan and the balance left, if any, is paid to the customer.
- Banks issue a separate receipt for each FD because each deposit is treated as a distinct contract. This receipt is known as Fixed Deposit Receipt(FDR) that has to be surrendered to bank at the time of repayment.
- Banks do not encourage advances against third party deposit receipts but wherever granted higher interest rate/ commercial interest rate is charged.
- Banks grant, in special cases and to valuable clients, advances against fixed/short deposits receipts standing in the names of minors, including minor ward of a staff member, jointly with guardians. While considering such advances, the following points should be noted:
 - Advances against fixed deposit receipts standing solely in the names of minors should not be considered.
 - In case of advances against recurring deposits, the facility be allowed only after the account has been in existence for at least one year.
 - A declaration as per bank's approved format should be obtained in addition to the usual security documents.

As per RBI guidelines, any advance is strictly prohibited against Time Deposit of other Banks.

8.27 RENEWAL OF FD

Generally, the customer is required to give renewal instructions to the bank on or before the maturity of FD. However, now a days, banks have introduced the system of auto renewal. On the date of maturity, such deposits are automatically renewed normally for a similar period as that of original deposit at the rate prevailing on the date of maturity/renewal. However, the period

of auto renewal and interest thereon may differ from bank to bank as per their stipulated policy. The facility of automatic renewal serves as a convenience for the customer because it works in the interest of the customer, if the customer forgets to give instructions to renew FD on due date.

8.28 RECENT RULE OF RBI ON OVERDUE FD

The Reserve Bank of India (RBI) on 2nd July, 2021 has made an important announcement regarding the interest on the amount left unclaimed with the bank after a term deposit (TD)/ Fixed Deposit (FD) matures.

According to the new rules, if a fixed deposit is matured, but the proceeds are not renewed and remain unpaid and unclaimed with the bank, then the amount which is not claimed will attract the rate of interest that is applicable to savings account or the contracted rate of interest on the matured FD, depending on which one is lower.

8.29 FORM 15 G/ 15 H

Those who have income within the exempted limit may intimate the bank, not to deduct TDS. Such an intimation is to be made generally at the beginning of the financial year by submitting Form 15G / Form 15H to the banker. Form 15H is for an individual who is of the age of sixty years or more (senior citizens) while Form 15G is for all others for whom the total income will not exceed the maximum amount which is not chargeable to income-tax.

Form 15 G/ 15 H is required to be submitted for every financial year. Accordingly, if a person has already submitted such forms, related to fixed deposits, in the previous year, he will be required to do it for the current financial year and for every financial year. However, such form is to be submitted only by those whose income is within the exemption limit as per the Income Tax Act to be decided from time to time. At present, those who are less than 60 years, income up to ₹2.5 Lakh is exempted, while for those over age 60 but under age 80 (Senior Citizen), income up to ₹3 Lakh is exempted from income tax. For the persons of 80 years and above (Super Senior Citizen), there is no tax liability up to ₹5 Lakh. These individuals can submit Form 15G / Form 15H to their banker for non-deduction of TDS on interest income earned in bank FD.

Banks are to issue Form 16A for the Tax Deducted at Source.

If one's total interest income for the financial year will not fall under taxable limits, then he can submit Form 15G or 15H. In such cases, banks will not deduct tax at source .

8.30 DEPOSIT OF TDS TO INCOME TAX DEPARTMENT BY BANKS

The Tax Deducted at Source (TDS) must be deposited to the government by 7th of the subsequent month. For instance, TDS deducted in the month of June must be paid to the government by 7th July. However, the TDS deducted in the month of March can be deposited till 30th April as per latest guidelines issue by Income tax department.

8.31 2 IN 1 ACCOUNT

Recently banks have come up with value added SB/current accounts and FD linked accounts. They represent combination of two schemes, mostly a running account like SB Account or Current Account which offer flexibility of using the balance in FD accounts at the time of need. Such sweep backs are on Last in First Out (LIFO) basis in which the last deposit is broken to meet the shortfall in operating account. Such accounts have built in features to sweep the excess balances in a running account to create Fixed Deposit. Thus the depositor is able to enjoy both the liquidity and higher rate of interest on FD created out of excess balance in the running account. This product is named differently in different banks such as Super Savings bank Account, Money Multiplier, Super saver facility, Sweep in facility etc.

The customers prefer such type of accounts because these accounts provide liquidity as well as higher returns.

Mode of Working of 2 in 1 Account

The mode of working in such accounts is that money in Savings or Current account in excess of the stipulated amount is swept into an FD for a particular period, which carries interest rate higher than Savings / Current accounts. Such a sweep is called “Auto Sweep”. Further, if Savings/ current account has insufficient fund to meet any debit transaction, the FD, up to the short fall amount is withdrawn and transferred to SB/ CA Account for honouring the debit transaction. Such a sweep is called Reverse Sweep.

The following are the features of the 2 in 1 account:

Auto Sweep Facility: It offers maximum returns. The features of this facility are:

- Balance in excess of the stipulated amount is automatically transferred to an FD for a particular period. Amount in multiple of ₹1,000/- or any other amount as stipulated by the respective bank is transferred to FD.
- FD formed through Auto sweep facility carry the rate of interest as applicable to FD and other relevant terms applicable on the day of Auto Sweep.

Reverse Sweep Facility: It offers liquidity. The features of this facility are:

- This facility gives access to funds swept in FDs created by Auto sweep.
- In case of shortfall in the SB account to honour any debit transaction or any other transaction FDs are automatically broken to the extent needed for meeting the shortfall. The remaining balance in FDs continue to earn higher interest at the original rate applicable to FD.
- FDs are broken in multiple of ₹1,000/- or any other amount as stipulated by the respective bank. For maximum benefit of interest to the customers, FDs are broken on Last in First Out (LIFO) basis. These calculations are all system driven and no manual intervention is required.

8.32 RECURRING DEPOSIT (RD)

Recurring deposit (RD) accounts help customers with regular income to save a fixed amount every month and at the same time earn interest at the rate applicable to FDs. The contract between the customer and the banker is similar to the contract related to FD. It is also for a fixed period. It is similar to making FD of a certain amount every month. Banks allow premature payment of RD on the same terms and conditions as that of FD. Banks also provide loan against RD on the same terms and conditions as applicable to FD.

Any person duly introduced to the Bank and fulfilling KYC norms may open a recurring deposit account.

A recurring deposit account may be opened by the following:

- By a person in his own name.
- By more than one person, in their joint names, the amount being payable to all of them jointly or to any one or more of them or any one or more of the survivors amongst them – specific instructions in this regard being required to be given in writing, at the time of opening the account.
- By a minor of age 10 years and above on terms laid down by the bank. Accounts can also be opened in the name of minor with their father/mother, as guardian.

8.33 OPERATIONAL ASPECTS

- Standing instructions can be accepted from the depositor to transfer instalments from his current/ savings bank account, from time to time, against payment of applicable service charges. The depositor should always maintain sufficient balance in his account for effecting transfer. In case of insufficient balance, the instalment should be treated as in arrears.
- Instalments can be paid in advance. However, no extra benefit will accrue to the depositor.
- As per RBI's KYC-AML-CFT policy, photographs are to be obtained along with proof of identification, address proof documents and introduction.

Effects of delayed payment of instalments

- Monthly instalment should be paid on or before the last working day of the month.
- At the time of receiving the instalment, penal interest on arrears need not be recovered.
- Each time the instalment falls in arrears, penal interest is calculated by the system.
- In case the depositor chooses to pay the amount of penal interest into his recurring deposit account, he will get full maturity value, otherwise, he will get maturity value less the amount of penal interest.
- The penalty to be levied on delayed instalments may be set off against payment of equal number of advance instalments.

Unclaimed Deposits with Banks

Balances in savings / current accounts which are not operated for 10 years, or term deposits not claimed within 10 years from date of maturity are classified as “Unclaimed Deposits”.

These amounts are transferred by banks to “Depositor Education and Awareness (DEA) Fund” maintained by the Reserve Bank of India. The depositors are, however, still entitled to claim the deposits at a later date from the bank(s) where such deposits were held along with interest, as applicable.

There are also cases of accounts belonging to deceased depositors, where the nominees/ legal heirs do not come forward to make a claim on the bank(s) concerned. To help such depositors or the nominees / legal heirs of deceased depositors identify and claim the deposits, banks already host the list of Unclaimed Deposits on their website with some identifiable details.

Penal Interest

- In case of delay in payment of any instalment, a penalty is charged by banks e.g ₹2.00 plus service tax for every ₹100/- p.m. for deposits of any period.
- Fraction of a month being treated as a full month for the purpose of calculating such penalty.
- Instalments paid during the course of the calendar month in which it is due, shall be deemed as payment made in time.

TDS is applicable in case of RD accounts similar to FD. All other features including rate of interest are similar to those of FDs.

Now a days, banks have also introduced Variable/ Flexible RD accounts where customers are permitted to deposit variable amount subject to conditions like prescribing a minimum amount and also multiple of the minimum amount and compliance of other terms and conditions as stipulated by the respective bank.

8.34 NOMINATION FACILITY

Nomination facility is made available to all types of deposit holders, irrespective of the nomenclature used by the banks.

The Central Government has framed in consultation with the Reserve Bank of India- the Banking Companies (Nomination) Rules, 1985 which together with the provision of new Sections 45ZA to 45ZF of the Banking Regulation Act, 1949 regarding nomination facilities were brought into force with effect from 1985.

The Banking Companies (Nomination) Rules, 1985 which are self-explanatory, provide for:

- Nomination Forms for deposit accounts, articles kept in safe custody and contents of safety lockers.
- Forms for cancellation and variation of the nominations.

- Registration of Nominations and cancellation and variation of nominations, and matters related to the above.

The salient features of the nomination faculty are as follows:

- The facility is available for all deposit accounts, articles in safe custody and safe deposit vaults.
- The nomination facility can be availed for savings and deposit accounts opened in individual capacity (i.e. single / joint accounts) as well as current accounts of a sole proprietary concern only. Accounts opened in representative capacity not covered under the facility.
- The nomination can be done in favors of one person only as per the guidelines. However, nomination in favour of more than one person (i.e. up to 2 persons) is permissible in jointly operated locker accounts with common consent from all holders.
- The nomination can be made, cancelled or varied by the account holder/s anytime during his/her life time as per process.
- Nomination can also be made in favour of a minor also. In case the settlement has to be done in favour of the minor before attaining the major age, the natural guardian will receive the amount on the minor's behalf.
- The right of nominee to receive payment from the Bank arises only after the death of the depositor in single account and death of all depositors in case of joint accounts.
- The banks are required to acknowledge in writing to the depositor(s) / locker hirers (s) the filing of the relevant duly completed Form of nomination, cancellation and / or variation of the nomination. The banks are required to register in its books the nomination, cancellation and / or variation of the nomination.

8.35 SETTLEMENT OF CLAIMS IN RESPECT OF DECEASED DEPOSITORS

Banks adhere to the provisions of Sections 45 ZA to 45 ZF of the Banking Regulation Act, 1949 and the Banking Companies (Nomination) Rules, 1985 and facilitate the settlement of claims in respect of the deceased depositors as per the laid down guidelines.

Accounts with survivor/nominee clause

In the case of deposit accounts where the depositor had utilized the nomination facility and made a valid nomination or where the account was opened with the survivorship clause (“either or survivor”, or “anyone or survivor”, or “former or survivor” or “latter or survivor”), the payment of the balance in the deposit account to the survivor(s)/nominee of a deceased deposit account holder represents a valid discharge of the bank's liability provided:

- the bank has exercised due care and caution in establishing the identity of the survivor(s) / nominee and the fact of death of the account holder, through appropriate documentary evidence;

- there is no order from the competent court restraining the bank from making the payment from the account of the deceased; and
- it has been made clear to the survivor(s) / nominee that he would be receiving the payment from the bank as a trustee of the legal heirs of the deceased depositor, i.e., such payment to him shall not affect the right or claim which any person may have against the survivor(s) / nominee to whom the payment is made.

Accounts without the survivor / nominee clause

In case where the deceased depositor had not made any nomination or for the accounts other than those styled as “either or survivor” (such as single or jointly operated accounts), banks adopt a simplified procedure for repayment to legal heir(s) of the depositor keeping in view the imperative need to avoid inconvenience and undue hardship to the common person. In this context, banks, basis their risk management system fix a minimum threshold limit, for the balance in the account of the deceased depositors, up to which claims in respect of the deceased depositors could be settled without insisting on production of any documentation other than a letter of indemnity.

Premature Termination of term deposit accounts

In the case of term deposits, banks incorporate a clause in the account opening form itself to the effect that in the event of the death of the depositor, premature termination of term deposits would be allowed. The conditions subject to which such premature withdrawal would be permitted are also specified in the account opening form. Such premature withdrawal would not attract any penal charge.

Treatment of flows in the name of the deceased depositor

In order to avoid hardship to the survivor(s) / nominee of a deposit account, banks obtain appropriate agreement / authorization from the survivor(s) / nominee with regard to the treatment of pipeline flows in the name of the deceased account holder. In this regard, banks consider adopting either of the following two approaches:

The bank could be authorized by the survivor(s) / nominee of a deceased account holder to open an account styled as ‘Estate of Shri _____, the Deceased’ where all the pipeline flows in the name of the deceased account holder could be allowed to be credited, provided no withdrawals are made.

OR

The bank could be authorized by the survivor(s) / nominee to return the pipeline flows to the remitter with the remark “Account holder deceased” and to intimate the survivor(s) / nominee accordingly. The survivor(s) / nominee / legal heir(s) could then approach the remitter to effect payment through a negotiable instrument or through ECS transfer in the name of the appropriate beneficiary.

Time limit for settlement of claims

As per RBI guidelines, Banks should settle the claims in respect of deceased depositors and release payments to survivor(s) / nominee(s) within a period not exceeding 15 days from the date of receipt of the claim subject to the production of proof of death of the depositor and suitable identification of the claim(s), to the bank's satisfaction.

Access to the safe deposit lockers / Return of safe custody articles to Survivor(s) / Nominee(s) / Legal heir(s)

For dealing with the requests from the nominee(s) of the deceased locker-hirer / depositors of the safe-custody articles (where such a nomination had been made) or by the survivor(s) of the deceased (where the locker / safe custody article was accessible under the survivorship clause), for access to the contents of the locker / safe custody article on the death of a locker hirer / depositor of the article, the banks are advised to adopt generally the foregoing approach, mutatis mutandis, as indicated for the deposit accounts.

The guidelines in this regard are, as follows:

Access to the safe deposit lockers / return of safe custody articles (with survivor/ nominee clause)

-If the sole locker hirer nominates a person, banks give to such nominee access of the locker and liberty to remove the contents of the locker in the event of the death of the sole locker hirer. In case the locker was hired jointly with the instructions to operate it under joint signatures, and the locker hirer(s) nominates person(s), in the event of death of any of the locker hirers, the bank give access of the locker and the liberty to remove the contents jointly to the survivor(s) and the nominee(s). In case the locker was hired jointly with survivorship clause and the hirers instructed that the access of the locker should be given over to "either or survivor", "anyone or survivor" or "former or survivor" or according to any other survivorship clause, banks follow the mandate in the event of the death of one or more of the locker-hirers.

Access to the safe deposit lockers / return of safe custody articles (without survivor/ nominee clause)

There is an imperative need to avoid inconvenience and undue hardship to legal heir(s) of the locker hirer(s). In case where the deceased locker hirer had not made any nomination or where the joint hirers had not given any mandate that the access may be given to one or more of the survivors by a clear survivorship clause, banks adopt a customer friendly policy in consultation with the legal advisors. Similar procedure is followed for the articles under safe custody of the bank.

Banks are not required to open sealed/closed packets left with them for safe custody or found in locker while releasing them to the nominee(s) and surviving locker hirers / depositor of safe custody article.

Further, in case the nominee(s) / survivor(s) / legal heir(s) wishes to continue with the locker, banks may enter into a fresh contract with nominee(s) / survivor(s) / legal heir(s) and also adhere to KYC norms in respect of the nominee(s) / legal heir(s).

LET US SUM UP

In simple language, the banking that takes place between our personal bank and us is nothing but retail banking. Retail banking helps us to meet our day to day needs by services like debit cards, credit cards, online withdrawals, deposits, loans and many other benefits. Intermediation is the primary function of banks and mobilisation of deposit is the first step to intermediation. They accept deposit from public and lend it to the enterprise class engaged in productive activities. Therefore, the deposited money is the **banks liability** as interest is paid on that sum to the depositor. On the other hand, the loaned out money becomes the **asset for the bank** and earns interest.

Banks accept various types of deposits viz. Demand Deposit (Current and Savings), Term Deposit (Fixed deposit and Recurring Deposit). Banks are the only financial intermediaries that are permitted to accept Demand Deposits which can be withdrawn by the customer at any time on demand. Such deposits are repayable on demand; therefore, they are called Demand Deposits. Current Deposit account is opened by businessmen who have a higher number of regular transactions with the bank. It includes deposits, withdrawals, and contra transactions. Current deposits are vital deposit component of banks as it is almost no cost deposit for the bank. The minimum balance required to be maintained in Current Account is comparatively higher than that of Savings Account because of higher transaction cost involved in Current Accounts due to unlimited transactions being allowed in Current Accounts. Individuals can open SB Account singly or Jointly. “Know Your Customer” (KYC) guidelines should be followed in respect of opening of accounts and monitoring of newly opened accounts. CASA deposits of all banks and these, i.e. Current Accounts Savings Accounts (CASA) Deposits are very important performance indicators for the Banks. The rates of interest paid to the customers by the bank on CASA Deposits are very low i.e. NIL interest on Current Accounts and less rate of interest on Savings Accounts.

This brings down the overall cost of funds of the bank and gives them a lot of flexibility to give credit/loans at lower rates and still earn a good Net Interest Margin (NIM) and profitability. In deposit accounts where there are no operations continuously for two years, should be treated as inoperative accounts.

Previously interest rate on Savings Bank Deposit was being regulated by RBI. However, w.e.f. 25th October, 2011, RBI deregulated interest rate to be paid by the banks on domestic SB Deposit vide circular No. DBOD.Dir.BC.42/13.03.00/ 2011-12 dated October 25, 2011. Banks generally impose a limit on the number of withdrawals that can be made from the SB Account which varies from bank to bank. Most of the banks insist on monthly average balance (MAV) to be maintained

in the account failing which penalty is charged. Banks pay interest on Savings Account balance on daily product basis normally at quarterly intervals. Mostly banks insist on monthly average balance (MAV) to be maintained in the account failing which penalty is charged. A time deposit receipt is not a negotiable instrument and, therefore, cannot be transferred by endorsement by a depositor in favour of another. Interest on FDs is paid at quarterly intervals. The customer can choose to have the interest reinvested in the FD account. In this case, the deposit is called the **Cumulative FD or compound interest deposit**. For such deposits, the interest is paid with the invested amount on maturity of the deposit at the end of the term. If the customer instructs that the interest to be paid every quarter/month, it is credited to their Savings Account or sent to them by cheque. This is called **Simple FD**. Fixed deposit can be accepted by banks minimum for 7 days and maximum for 120 months (10 years). Recently banks have come up with value added SB/current accounts and FD linked accounts. They represent combination of two schemes, mostly a running account like SB Account or Current Account which offer flexibility of using the balance in FD accounts at the time of need. Recurring deposit (RD) accounts help customers with regular income to save a fixed amount every month and at the same time earn interest at the rate applicable to FDs.

KEYWORDS

CASA Deposit, Net Interest Margin (NIM), CST, VAT, OVD, Braille, Incapacitated, Seclusion, AML, CFT, Nomination, Deceased Claim

CHECK YOUR PROGRESS

1. The banks pay interest on the balance in Savings Account but no interest is being paid in current Deposit. However, the requirement of minimum balance stipulated by banks in Current Deposit Account is more as compared to Savings Bank Account. This is so, because
 - (a) The transaction cost in Current Deposit Account is more than Savings Bank due to provision of unlimited number of transactions being allowed in Current Deposit by Banks.
 - (b) Current Deposit is not preferred by the bank because it is highly volatile.
 - (c) It is the discretion of the bank whether to pay interest on current deposit or not.
 - (d) Payment of interest on current deposit depends on individual bank's policy.
2. According to Income Tax rule, a term deposit/ FD may be paid in cash
 - (a) If the amount of matured proceeds is less than ₹20,000/-.
 - (b) If the amount of matured proceeds is up to ₹20,000/-.
 - (c) If the amount of matured proceeds is more than ₹20,000/-.
 - (d) Banks can pay any amount after being satisfied of the genuineness and integrity of the customer.

3. Reverse sweep facility in 2 in 1 account is applicable on
 - (a) Last in last out (LILO) basis
 - (b) First in first out basis (FIFO)
 - (c) First in last out (FILO) basis
 - (d) Last in first out (LIFO) basis
4. The rate of interest in case of Recurring Deposit for a particular period
 - (a) Is less than FD
 - (b) Is same as FD
 - (c) Is more than FD
 - (d) It is discretion of the bank to stipulate rate of interest in RD different than FD.

ANSWERS TO CHECK YOUR PROGRESS

1. (a)
2. (a)
3. (d)
4. (b)



IMPORTANT RETAIL ASSET PRODUCTS

STRUCTURE

- 9.0. Objectives
- 9.1. Introduction
- 9.2. Home Loans
- 9.3. Housing Loan under Prime Minister's Awas Yojana (PMAY)
- 9.4. Home Improvement Loans
- 9.5. Home Decor Loans
- 9.6. Auto/Vehicle Loans
- 9.7. Personal Loans
- 9.8. Educational Loans
- 9.9. Other Retail Loans
- 9.10. Processing of Retail Loans

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

9.0 OBJECTIVES

After studying this unit, you should be able to understand the salient features of:

- Home Loans
- Auto/Vehicle Loans
- Personal Loans
- Educational Loans
- Mortgages Loans, etc.

9.1 INTRODUCTION

Retail Banking Products, as mentioned earlier, can be broadly classified into retail liability products, retail assets products, and other products/services. Liability products are basically Savings, Current and Term Deposit Accounts. Retail assets products are loans such as Home Loans, Vehicle Loans, Educational Loans, Personal Loans, Credit Card Receivables and other Retail Loans. Other Products/Services broadly cover the beyond product facilities tagged to the products and services, such as Credit Cards, Debit Cards, ATM Cards, Internet Banking, Mobile Banking, Depository Services, Distribution of Third Party Products like life and non-life policies, mutual funds and retail sale of gold coins/ gold bonds, etc.

Loan types

- Loans for construction or purchase of house, house plot, renovation of old house, etc.
- Loans for purchase of personal/commercial vehicles – four/ two wheelers.
- Personal loans for purchase of white goods, for meeting personal expenses such as marriage in the family, medical expenses, leisure tour and travel, etc.
- Educational loans, etc.

The unit discusses the salient features of some of the retail assets products as under:

9.2 HOME LOANS

Banks have a slew of home loan products such as:

Home loans for construction of new house/flat, purchase of old house/flat etc.

Initially, lenders approved a home loan for family/own residence only. After gaining experience and more importantly to be competitive, lenders now approve loans even when the applicant has more than one house or flat/apartment. Today, there is no general restriction on the number of houses owned by an individual. The only stipulation is that the home loan funds should not be used for commercial purposes.

Features: (May vary from bank to bank)

Home Loan Scheme

Eligibility	Salaried employees, Professionals, Self-employed persons. Requests are also considered from NRIs, PIOs, HUF, Proprietorship Firms, Partnership firms, and corporate for their employees/quarters.		
Purpose	To purchase/construct house/flat. To renovate/extend/repair existing house/flat. To purchase a plot of land for construction of house. To acquire household articles along with the house/flat – for furnishing the house/flat.		
Quantum of Loan	For construction/purchase of a house/flat – No upper ceiling in many banks Repairs/renovation/extension to house/flat – amount varies from bank to bank Purchase of a plot – amount varies from bank to bank Purchase/acquire household articles for furnishing the house/flat – amount varies from bank to bank		
Eligible Quantum of Loan/EMI	Calculation of quantum of loan depends on the income/ repayment capacity of the proponent/ borrower. Salaried Employees:		The method of reckoning eligible related finance varies from bank to bank. However, repayment capacity needs to be ensured from the existing source of income.
	Salaried/ Self-employed/ Professionals, etc.		Eligible finance is calculated by banks on the basis of salary slips, Form-16, IT returns, etc.
	HUF/ Proprietorship/ Partnership/ Firm/ Company		Eligible finance is calculated by banks based on cash accruals
	In case of Individuals: Net take home pay/ income (net of all deductions including EMI of proposed loan) should not be generally less than 40% of the gross green salary/ income of the applicant(s). But for high income applicants, lesser take home pay even upto 15% of gross income is being considered by some banks.		
Margin (For 1st House)	Amount	Margin (%)	
	Upto 30 Lakh	10	
	>=Rs. 30 Lakh and upto Rs. 75 Lakh	20	
	>=Rs 75 Lakh	25	
Margin is subject to RBI stipulated LTV (Loan to Value) of Max. 90% for loans upto ₹30.00 Lakh, Max. 80% for loans above ₹30.00 Lakh & upto ₹75 Lakh, and Max. 75% for loans above ₹75 Lakh.			

	Banks should not include stamp duty, registration and other documentation charges in the cost of the housing property they finance so that the effectiveness of LTV norms is not diluted. However, in cases where the cost of the house/dwelling units does not exceed ₹10 lakh, bank may add stamp duty, registration and other documentation charges to the cost of the house/dwelling unit for the purpose of calculating LTV ratio.
Interest (Floating ROI – linked bank's base/ repo rate p.a. at monthly rests)	ROI varies from bank to bank. RBI has left ROI to the discretion of individual banks
Processing charges/other expenses	Processing charges vary from bank to bank. Some banks do not levy any processing charges and some do. The schedule is left at the discretion of individual banks.
Security	Mortgage/Equitable Mortgage on land/flat/house. (if mortgage could not be created at the time of disbursement, banks may get the loan secured by creating charge on alternative assets/obtaining third party guarantee).
Disbursement	Upfront disbursement in case of ready flat/house Closely linked to the stages of construction of the housing project/houses; and Upfront disbursal should not be made in cases of incomplete/under construction/ green field housing projects.
Repayment (can be customized)	Highly flexible – maximum 30 years including moratorium period is considered by banks. Maximum moratorium period of 18 months in case of construction and 3 months in case of purchase is allowed generally by banks. Loan to be normally repaid before date of retirement in case of salaried persons and before attaining 65 years of age in case of others.
Special features	Some banks stipulate health/life insurance of the borrowers as additional terms and conditions.
Other features	• Interest on Daily Reducing Balance Basis • No Pre-Payment Charges on Floating Rate Loan • Repayment allowed up to age of 70 years in select cases • Facility for step up/step down EMIs available • Inclusion of Income of Close relatives for enhanced loan • Tax Benefit on Interest and Instalments repaid in Home Loans • To have differentiation in housing loan products, many banks add some features to the generic products. For example, the provisional sanction of Home Loan limits to the customers before finalization of the property which enables them to negotiate with the Builder/Seller confidently. Cash credit facilities are also provided by some banks to make the product more attractive.

- The property should be valued by the bank's approved valuer. Newspapers and journals have a data bank that carries price data on properties in different areas of most cities.
- The title of the borrower to the property offered as security should be verified by the bank's lawyer who will go through the chain of title for a stipulated period as per the policies of individual banks.
- No loan should be given in respect of those properties which fall in the category of unauthorized colonies unless and until they have been regularized and development and other charges paid.
- No loan should also be given in respect of properties meant for residential use but which the applicant intends to use for commercial purposes and declares so while applying for loan.

Regulatory Guidance on Housing Finance

Banks, with their vast branch network throughout the length and breadth of the country, occupy a very strategic position in the financial system and have an important role to play in providing credit to the housing sector. While formulating their policies, banks have to take into account RBI guidelines, which are being issued from time to time, and ensure that bank credit is used for production, constructions activities and not for activities connected with speculation in real estate. Few of the extant guidelines are listed hereunder:

Bank finance may be granted to individuals for:

- Acquisition of land for construction on the plot, with the help of bank or otherwise, within a period as may be laid down by the individual banks.
- Purchase/construction of dwelling unit per family and for repairs to the damaged dwelling units of families.
- Buying/constructing a second house in the same or other town/village for the purpose of self-occupation to a person who already owns a house in town/village where he resides.
- Purchase of a house to let it out on rental basis on account of his posting outside headquarters or because he has been provided accommodation by his employer.
- Buy an old house where he is presently residing as a tenant.
- Carrying out alterations/additions/repairs to the house/flat already financed by them.
- Supplementary finance for within the overall ceiling for carrying out alterations/additions/repairs to the house/flat already financed by the bank.
- Supplementary finance against paripassu or second mortgage charge over the property already mortgaged in favour of other lenders from whom fund has been raised for construction/acquisition of accommodation.
- Banks may also grant housing loans to bodies other than individuals for:
 - Construction meant for improving the conditions in slum areas for which credit may be extended directly to the slum dwellers on the guarantee of the Government or indirectly

to them through the State Governments.

- Slum improvement schemes to be implemented by Slum Clearance Boards and other public agencies.
- Repairs to houses.

Besides what is stated above, finance can be extended to the owners of building/house/flat, whether occupied by themselves or by tenants, to meet the need-based requirements for their repairs/additions, subject to certain conditions. Banks finance can also be made available to public agencies (not private builders) for acquisition and development of land being part of the complete project, including providing infrastructure, subject to completion of the project as early as possible and, in any case, within three years so as to ensure quick re-cycling of funds for optimum results. Wherever land is accepted as collateral, valuation of such land should be at the current market price only.

9.3 HOUSING LOAN UNDER PRIME MINISTER'S AWAS YOJANA (PMAY)

Pradhan Mantri Awas Yojana (Urban) Mission launched on 25th June 2015 which intends to provide housing for all in urban areas by year 2022. The Mission provides Central Assistance to the implementing agencies through States/Union Territories (UTs) and Central Nodal Agencies (CNAs) for providing houses to all eligible families/ beneficiaries against the validated demand for houses for about 1.12 cr. As per PMAY(U) guidelines, the size of a house for Economically Weaker Section (EWS) could be upto 30 sq. mt. carpet area, however States/UTs have the flexibility to enhance the size of houses in consultation and approval of the Ministry.

In continuation to this Government's efforts towards empowerment of women from EWS and LIG unlike earlier schemes, PMAY (U) has made a mandatory provision for the female head of the family to be the owner or co-owner of the house under this Mission.

According to search results of Ministry of Housing and Urban Poverty Alleviation (MoHUPA), Government of India, the housing shortage in urban areas, assuming the projected slum households to go up to 1.80 crore at a decadal growth rate of 34% and non-slum urban poor households of 0.20 crore, is projected at 2.00 crore by 2022. In the backdrop, a comprehensive "Housing for All by 2022" in a mission mode had been launched by MoHUPA in the middle of 2015. The 'Housing for All by 2022' Mission (HFA) envisioned provision of housing for all by 2022 when the Nation completes 75 years of its independence. As per HFA, 2.00 crore new houses would be built to meet the shortage by the year 2022. According to government, financial assistance would be provided for the completion of already sanctioned 122.69 lakh houses till March 31, 2022, Based on the request of states and Union Territories, it has been decided to extend implementation period of the scheme till December 31, 2024.

In order to expand institutional credit flow to the housing needs of urban poor, credit linked subsidy scheme (CLSS) is being implemented – under the program 'Housing for All by 2022' through Primary Lending Institutions (PLI). PLIs include Scheduled Commercial Banks, Housing

Finance Companies, Regional Rural Banks (RRBs), State Cooperative Banks, Urban Cooperative Banks, Small Finance Banks, Non-Banking Financial Company – Micro Finance Institutions (NBFC-MFIs) or any other institutions as may be identified by the Ministry.

PLIs have to enter into MOU with Central Nodal Agencies (CNA). Housing and Urban Development Corporation (HUDCO) and National Housing Bank (NHB) have been identified as Central Nodal Agencies (CNAs) to channelize this subsidy to the lending institutions and for monitoring the progress of this component.

Credit linked subsidy will be provided on home loans taken by eligible urban poor for acquisition/new construction/addition of rooms. The eligible target groups are – Economically weaker section (EWS) and Low Income Group (LIG). Though these were the initial target groups, Middle Income Group has subsequently been added. MIG is further brought under MIG-I and MIG-II. The scheme is currently effective up to 31.03.2019 for MIGs which has been extended up to 31.03.2020 and further up to 31.03.2021. The last date for availing the PMAY CLSS scheme for the LIG and EWS categories has been extended to 31 March 2022. The Hon'ble Finance Minister Nirmala Sitharaman announced the Union Budget for 2021 wherein she has proposed that the extension of the eligibility for affordable housing.

The Union Cabinet has also approved the extension of the Pradhan Mantri Awaas Yojana – Gramin (PMAY-G) beyond March 2021 till March 2024 to achieve the total target of 2.95 crore rural houses.

Interest subsidy will be made available for a specified loan amount, at specified rate, for a specified period subject to the building with specified area – the details of those are given below;

Parameters	CLSS for EWS and LIG		CLSS for MIG	
	EWS	LIG	MIG-I	MIG-II
Beneficiary	A beneficiary family will comprise husband, wife, unmarried sons and/or unmarried daughters. The beneficiary family should not own a pucca house (an all-weather dwelling unit) either in his/her name or in the name of any member of his/her family in any part of India. An adult earning member (irrespective of marital status) can be treated as a separate household subject to; He/she does not own a pucca (an all-weather dwelling unit) house in his/her name in any part of India. In the case of a married couple, either of the spouses or both together in joint ownership will be eligible for a single house, subject to income eligibility of the household under the Scheme.			
Income criteria	upto ₹3 lakh	₹3 lakh to ₹6 lakh	₹6 lakh to ₹12 lakh	₹12 lakh to ₹18 lakh
Interest subsidy	6.5%	6.5%	4%	3%
Maximum loan tenure considered for interest subsidy	20 Years	20 Years	20 Years	20 Years
	Loan tenure can be longer than the tenure fixed for subsidy, depending on the products designed by the PLIs.			

Parameters	CLSS for EWS and LIG		CLSS for MIG	
	EWS	LIG	MIG-I	MIG-II
Maximum Loan amount eligible for subsidy	₹6 lakh	₹6 lakh	₹9 lakh	₹12 lakh
	The beneficiaries can avail a higher amount of loan than the maximum amount eligible for subsidy. The rest of the loan amount will be non-subsidised.			
Max. Carpet area	30 sq. m	60 sq. m	120 sq. m	150 sq. m

Based on the loan disbursed by a PLI to the beneficiaries, the CNA will release the subsidy amount to PLIs directly based on the claims submitted on the total loans disbursed. The interest subsidy will be calculated at 9% NPV over maximum loan tenure of 20 years or the actual tenure, whichever is lesser. The amount will be credited by the PLI to the borrower's account upfront, on receipt of subsidy from the CNAs, by deducting it from the principal loan amount of the borrower. The borrower will pay EMI as per agreed document rates on the remainder of the principal loan amount.

9.4 HOME IMPROVEMENT LOANS (VARY FROM BANK TO BANK)

Particulars	Features
Eligibility and other conditions	• Individuals/Group of Individuals/Members of Cooperative Society who owns a house/flat. • Individuals should have regular income from Agriculture/Profession/Trade, Business/Salary in case of employment. • In case of employed persons, minimum three years of confirmed service is necessary. • In case of Self Employed Professionals, Business Persons, minimum three years standing in their respective field is necessary.
Purpose	For repair, renovation, upgradation, painting, and other repairs
Amount	Quantum of finance varies from bank to bank
Margin	20% to 50%
Security	Equitable mortgage of property under repair/renovation or any other unencumbered immovable property also accepted by banks
Disbursement	Depending on the nature of repair/renovation.
Moratorium	3 months
Repayment Period	As allowed by banks

9.5 HOME DECOR LOANS (VARY FROM BANK TO BANK)

Particulars	Features
Eligibility and other conditions	• Individuals/Group of Individuals/Members of Cooperative Society who owns a house/flat. • Individuals should have regular income from Agriculture/Profession/Trade, Business/Salary in case of employment. • In case of employed persons, minimum three years of confirmed service is necessary. • In case of Self Employed Professionals, Business Persons, minimum three years standing in their respective field is necessary.
Purpose	For furnishing the house/flat, interior decoration/air conditioners, etc.
Amount	Quantum of finance varies from bank to bank
Margin	20% to 50%
Security	Equitable mortgage of property under repair/renovation or any other unencumbered immovable property also accepted by banks
Disbursement	Depending on the nature of repair/renovation.
Moratorium	3 months
Repayment Period	As allowed by banks.

Different banks offer different variations of the above loans. But the fundamental approaches of the banks will be to address the entire needs of the customers regarding housing loans.

9.6 AUTO/VEHICLE LOANS

The approach for sanctioning of car loans differs from bank to bank. Banks generally adopt a model involving the manufacturer, dealer and the financier (bank). The pricing is structured after a combined approach to pricing by all the three involved factoring the manufacturer's pricing, dealer margin, volume of sales etc. This mechanism results in finer pricing by banks. In addition, manufacturers themselves float their financing arms and through dealers they extend finance to their own cars through their dealer network. To take the competition on, banks go aggressively on the marketing side and conduct special and seasonal campaigns jointly with the dealers to push up the off take of vehicle loans. They do so for both cars and two wheelers. But the two wheeler financing is not a focus area by banks nowadays except for few private sector banks as the ticket size is small and they are taken care of by Non-Banking Finance Companies (NBFC) mostly. Let us discuss below the norms generally adopted by public sector banks for extending car loans.

Particulars	Features
Eligibility	Salaried employees, Professionals, Self-employed, Non-Resident Indians – advance to be granted jointly with Resident Indians (close relative), Partnership Firms, Proprietary concern and other types of corporate entities. HUFs not eligible.
Purpose	Purchase of two/four wheeler vehicles (not requiring heavy duty license). For purchase of used/second hand 2 and 4 wheeler. Banks generally stipulate vehicle age bar for second hand vehicles.
Type of advance	Term Loan
Quantum of Loan	Maximum limits for Finance: No ceiling stipulated by most of the banks in respect of new vehicles. However, the amount depends on the income of the applicant subject to ensuring a minimum take home amount. Many banks stipulate amount ceiling for second hand vehicles. Net take home pay: For Individuals: 40% to 50% of Gross income (Net of proposed EMI).
Margin (%)	10% for new cars. Many banks reckon initial cost such as first year insurance, road tax, registration fee along with ex-show room price of vehicles. 25/30% for 2nd Hand Cars 10% for two wheelers (Discretion available to individual banks)
Security	Hypothecation of vehicle to be purchased out of Bank finance. Charge to be registered with RTO. Third party guarantee required in case of Loans to NRIs
Rate of Interest	At the discretion of individual banks (vary from bank to bank) Processing charge is also collected by banks and the rates vary across banks.
Moratorium	Normally no moratorium. Repayment to commence from the following month of disbursement.
Repayment	For Individuals – for new vehicles 4 wheelers – Max. 7 years, generally. 2 wheelers – max. 5 to 6 years, generally. For Corporate/Firms, etc. – Max. 5 years, generally. For Second Hand vehicles – Max. 3 years, generally or a period depends on the age of the vehicle.
Prepayment issues	Public sector banks normally do not charge any prepayment penalty Some Private Sector banks collect prepayment while some don't
Insurance	Comprehensive Insurance covering the cost of vehicle, with hypothecation in favour of the Bank
Disbursement	Directly to the Dealer/Suppliers and invoice/receipts to be obtained for record

9.7 PERSONAL LOANS

Personal Loans are basically unsecured in nature and are backed by personal enterprise/ guarantees only. As credit risk and delinquency rates are more in this segment, public sector banks tread cautiously in this segment and private banks do it aggressively. The features of personal loans are discussed below:

Particulars	Features	
Eligibility	Salaried employees, Professionals and individuals with High Net Worth, regular pensioners or family pensioners drawing regular monthly pension through Bank.	
Purpose	Clean/Unsecured loans	Secured loans
	Marriage expenses of self, children or a dependent. Medical Expenses incurred/to be incurred for self, spouse, children, other dependents. For education of self/spouse/ children. For repairs/renovation/extension of existing flat/ house building. Any other personal expenses of bonafide nature as approved by the Bank.	For meeting social and financial commitments, Purchase of consumer durables, etc.
Amount	Clean/Unsecured loans	Secured loans
	Amount varies from bank to bank and depend on the schemes developed by each bank and the target group	Amount varies from bank to bank and depend on the schemes developed by each bank and the target group
Eligible amount	Clean/Unsecured loans	Secured loans
	Different banks adopt different methods to assess eligible amount subject to ensuring repayment capacity and minimum take home amount.	Different banks adopt different methods to assess eligible amount subject to ensuring repayment capacity and minimum take home amount
Type of advance	Demand/Term Loan/Overdraft (reducible as per repayment schedule)	
Security	Equitable/Legal Mortgage of commercial or residential properties. Hypothecation charge on assets acquired. Collateral security in the form of pledge of gold/gold ornaments, NSC/ Kisan Vikas Patra, Bonds, Assignment of LIC policies, Relief Bonds, etc.	

Particulars	Features	
Disbursement	Directly to suppliers/dealers wherever feasible. Credit to account of borrower in respect of clean loan	
Pricing Issues/ Rate of interest	Pricing depends on the risk involved. As applicable (vary from bank to bank)	
Moratorium	No moratorium normally	
Repayments	Clean/Unsecured loans	Secured loans
	36 to 60 EMIs generally	Maximum 60 EMIs.
Processing charges	As applicable (vary from bank to bank)	

9.8 EDUCATIONAL LOANS

Knowledge and information would be the driving force for economic growth in the coming years. The current rate of economic growth of the country demands technically and professionally trained man power in large numbers. In this backdrop, loans for education are seen as investments for economic development and prosperity. The objective of the loan scheme is to help meritorious students pursue higher education in technical and professional courses. The main emphasis is that a meritorious student, though poor, is provided with an opportunity to pursue education with the financial support from the banking system with affordable terms and conditions. As the focus is on development of human capital, repayment of the loan is expected to come from future earnings of the student after completion of education. Hence the assessment of the loan will be based on employability and earning potential of the student upon completion of the course and not the parental income/family wealth.

India has got the biggest advantage as regards to population and comprises of a good percentage of youth who will take our country forward to make it as a super power. This advantage which our country enjoys is called the “Demographic Dividend”. Education is the important tool for empowering youth and to realize this, a simple and hassle free model educational loan scheme was framed by Indian Banks Association to make available educational loans to all the eligible students. Banks, particularly public sector banks follow this scheme.

Particulars	Features
Eligibility	Student should be an Indian National Secured admission to a higher education course in India or abroad through Entrance Test/Merit Based Selection Process after completing HSC (10+2 or equivalent). -The condition of minimum qualifying marks in the last examination may be dropped as per RBI guidelines. Any other criteria banks may decide based on employability and reputation of the institution concerned.
Eligible courses/ Studies in India	Graduate/PG degree and P G diplomas conducted by recognized colleges/universities recognized by UGC/Government/AICTE/AIBMS/ICMR, etc. ICWA, CA, CFA etc. Courses conducted by IIMs, IITs, IISC, XLRI, NIFT, NID, etc. Regular Degree/Diploma courses like Aeronautical, pilot training, shipping, degree/ diploma in nursing or any other discipline approved by Director General of Civil Aviation/Shipping/Indian Nursing Council or any other regulatory body as the case may be, if the course is pursued in India.
Studies Abroad	Graduation: For job oriented professional/technical courses offered by reputed universities. Post-graduation: MCA, MBA, MS, etc. Courses conducted by CIMA-London, CPA in USA, etc. Degree/diploma courses like aeronautical, pilot training, shipping, etc. recognized by competent regulatory bodies in India/abroad for the purpose of employment in India/abroad.
Purpose	To provide need based finance to meet the expenses for pursuing higher studies to eligible students
Quantum of finance	Maximum upto ₹10 Lakh – Studies in India Maximum upto ₹20 Lakh – Studies abroad (Banks may consider higher quantum on case to case basis)
Margin	Upto ₹4 Lakh Nil Above ₹4 Lakh – Studies in India 5% – Studies abroad 15% However, Loan upto ₹7.5 lakhs is eligible for the Credit Guarantee coverage. Scholarship/assistantship will be included in margin. Margin may be brought-in on year-to-year basis as and when disbursements are made on a pro-rata basis.

Particulars	Features	
Eligible expenses for loan	Expenses	Maximum
	Fee payable to college/school/hostel	Fees as approved. Reasonable for lodging/boarding
	Examination/Library/Lab. fee	Actual
	Travel expenses/passage money for studies abroad	One way (outward)
	Insurance premium for student borrower	Actual
	Caution deposit, Building fund/ refundable deposit	Not to exceed 10% of the total tuition fees.
	Purchase of books/equipment/ instruments/ uniforms (a)	A realistic assessment may be made by the banks and then fix a maximum of 20% of the total tuition fees
	Purchase of computer at reasonable cost (b)	
	Any other expense – viz., study tours, project work, thesis, etc. (c)	
Security	Upto ₹4 Lakh No security; Parents to be joint borrower(s). Above ₹4 Lakh upto ₹7.5 Lakh – besides the parent(s) as co-borrower, collateral security in the form of suitable third party guarantee will be taken. (However, third party guarantee will be waived if the loan is eligible for Credit Guarantee coverage.) Above ₹7.5 Lakh – Parent(s) to be joint borrower(s) & Tangible collateral security acceptable to the bank along with the assignment of future income of the student for payment of instalments.	
Rate of Interest	Linked to the MCLR as decided by individual banks. (Simple interest to be charged during the study period and even subsequent moratorium period up to commencement of repayment) Servicing of interest during study period and the moratorium period till commencement of repayment is optional. For fixation of EMI, accrued interest during the holiday period will be added to the principal amount	
Repayment	Repayment Holiday/Moratorium: Course period + 1 year. Banks may also provision for moratorium taking into account spells of under-employment/ Unemployment, say two or three times (maximum of 6 months at a time) during the life cycle of the loan. EMIs or step-up-instalments, as the case may be, spanned for a period of 15 years for all categories.	

Particulars	Features
Disbursement	Disbursement may be in stages as per the requirement/demand, directly to the Institutions/Vendors of equipment/instruments to the extent possible.
Pre-payment issues	No prepayment penalty will be levied for prepayment of loan any time during the repayment period.
Insurance	Mandatory to arrange for life insurance policy on the students availing Educational Loan- discretion of individual banks
Processing fees	No processing/upfront charges except for studies abroad (to be refunded upon the student taking up the course).

Other features

- Margin may be brought in on year-to-year basis as and when disbursements are made on a pro-rata basis.
- Students who desire to set up start-up units may be given moratorium on repayment of principal and interest during incubation period which may be considered upto 2 years.
- While computing loan required, scholarships, fee waiver, etc., if any, available to the student borrower may be taken into account.
- Reasonable lodging and boarding charges will be considered in case the student chooses/is required to opt for outside accommodation.
- If the student is not able to complete the course within the scheduled time, extension of time for completion of course may be permitted for a maximum period of 2 years. If the student is not able to complete the course for reasons beyond his control, sanctioning authority may, at his discretion, consider such extensions as may be deemed necessary to complete the course.
- In case the student discontinues the course midway, appropriate repayment schedule will be worked out by the bank in consultation with the student/parent.
- The accrued interest during the repayment holiday period to be added to the principal and repayment in Equated Monthly Instalments (EMI) fixed.
- 1% interest concession may be provided by the bank, if interest is serviced during the study period and subsequent moratorium period prior to commencement of repayment.
- Banks can also issue the capability certificate for students going abroad for higher studies.
- Existence of an earlier educational loan to the brother(s) and/or sister(s) will not affect the eligibility of another meritorious student from the same family obtaining educational loan as per this scheme from the bank.
- There is no specific restriction with regard to the age of the student to be eligible for educational loan. However, if the student is a minor while the parent execute documents for the loan, the bank will obtain a letter of ratification from him/her upon attaining majority.

- Banks may consider top up loans to students pursuing further studies within the overall eligibility limit.
- The joint borrower should normally be parent(s)/guardian of the student borrower. In case of a married person, joint borrower can be spouse or the parent(s)/parents-in-law.
- No due certificate shall not be insisted upon, as a pre-condition for considering educational loan. However, banks may obtain a declaration/an affidavit confirming that no loans are availed from other banks.
- Educational loan up to ₹10 Lakh, irrespective of sanctioned amount, will be considered as eligible amount to bring for priority sector.
- Students can make application for an educational loan through Vidya Lakshmi Portal, managed by Protean eGov Technologies Ltd (formerly NSDL e-Governance Infrastructure Ltd). The Portal is linked with Scheduled Banks. The Portal is a gateway to the Banks through which the student can proceed further. The portal has the facility of tracking the Educational Loan right from the inception of the loan application to the sanction of the loan or otherwise.

Central Sector Interest Subsidy (CSIS)

The Government of India has approved a scheme to provide full interest subsidy during the period of moratorium, i.e., Course period plus one year on Education Loan taken from the Scheduled Banks under the Model Education Loan Scheme of Indian Banks Association availed by students belonging to Economically Weaker Sections from scheduled banks under the Educational Loan scheme of the Indian Banks' Association, for pursuing any of the approved courses of studies in technical and professional streams, from recognized institutions in India. The benefits of the Scheme would be applicable to those students belonging to economically weaker sections, with an annual gross parental family income upper limit of ₹4.5 lakh per year (from all sources).

9.9 OTHER RETAIL LOANS

In addition to the core retail loans discussed as above, banks are structuring specific need oriented retail loans to niche retail segments. Loans to Professionals like Doctors, Advocates, Architects, and Chartered Accountants for their professional development are structured by banks to cater to their customer segments. Banks always look for opportunities to introduce different and need-oriented products to satisfy their customer needs as well as to bring in new customers into their fold.

9.10 PROCESSING OF RETAIL LOANS

The success of retail asset expansion by banks depends on the processing speed of retail loans and making the procedures hassle free for the customers. Banks adopt different models for processing of retail loans. The important models of retail loans processing are explained below:

- i. Standalone Model and
- ii. Centralized Model

Standalone Model for Retail Loan Processing

Standalone model for retail loan processing refers to processing of retail loans independently at the branch level. Based on the discretionary powers given to the Branch Head, Branch will market the retail loans, process the applications and sanction the loans based on the eligibility of the applicants. Obtention of the necessary documents, appraisal of the proposal and sanction of the loans will be done independently at the branch level. The valuation, legal opinion, etc., are obtained at the branch level through the approved panel valuers/lawyers. If the proposal exceeds the discretionary limits of the Branch/Branch Head (as the case may be), the proposals are referred to the Regional/Circle/Zonal Office of the Bank for approval and sanction. On approval, the loan is released at the branch after completing the documentation/mortgage formalities at the branch level.

Centralized Model for Retail Loans Processing

Centralized Model for retail loans processing refers to processing of loans at a centralized place depending upon the geography of branches. Banks adopt different centralized models for processing of retail loans. Some of the names, Banks give to these retail loans processing centres (RLPCs) are:

- i. Retail Loan Factory
- ii. Retail Loan Hub
- iii. Retail Loan Processing Centres
- iv. Retail Asset Processing Centres
- v. Retail Loan Branches

To explain further, some banks set up exclusive retail branches through which they sanction all retail loans in that location/specified geography. Some banks set up retail loan factories in specified locations and do the end to end processing at that branch. Some banks set up retail loan processing centres at metros, state capitals and centres where there is good potential for retail lending. These branches/processing centres will be fully supported with marketing personnel, panel lawyers, approved valuers, etc., for speeding up the process, sanction and disbursal. The process/workflow of these centres is on the following lines:

1. Branches attached to the Retail Loan Processing Centres (RLPCs) and marketing personnel in these centres market various retail asset products to the target segments. Business is sourced in both the above ways based on the customer data base as well as market scenario and market intelligence.
2. The application and the required documents are forwarded to the retail loan processing centres. In some banks, relevant information is transmitted electronically by the branches for quick processing. Many banks adopt online processing system for retail credit schemes.

3. On receipt of application and details from the branches, RLPCs do the following steps:
- i. Process the application.
 - ii. Do the verification checks.
 - iii. Arrive at the Credit Score.
 - iv. Do the valuation (wherever applicable) through the panel valuer.
 - v. Obtain the Encumbrance Certificate (wherever applicable) through the panel lawyers.
 - vi. Obtain the legal opinion (wherever applicable) from the panel lawyer.
 - vii. Arrive at the quantum of finance based on the margin requirements for different loans.
 - viii. Pricing of the loan based on the Type of Loan/Credit Score/Individual Borrower/Group Borrowers.
 - ix. Advising the sanction of the loan to the borrower/branch with the terms and conditions.
 - x. Receiving acceptance for the terms and conditions from the applicant.
 - xi. Execution of documents for the loan and also completing the mortgage formalities wherever applicable (any mortgage backed retail loans like Housing Loans, etc.).
 - xii. Release of the loan to the borrower.
 - xiii. Verification of end use by the borrower.

The procedures for sanction and disbursement of loans through RLPCs vary among banks. In some banks, appraisal and upto sanction are taken care of by RLPCs and post sanction formalities like release of loan, documentation, creation of mortgage, follow up and monitoring are taken care of by the respective branches. In some other banks, RLPCs function as separate branches. They offer end to end solutions right from processing to release and also monitoring and follow up. Branches have to just source the business and forward the details to RLPCs. They do the rest of the job. In both the above methods, the objective is to speed up the process of sanctioning retail loans.

Standalone Vs Centralised Model for Retail Loans Processing

The above two models are implemented by banks for quick disposal of retail loans. Both the models have their own advantages as well as disadvantages. Let us discuss some of them.

S. No	Standalone Model (Branch Level Processing)	Centralised Model (Retail Loan Processing Hubs/Centres)
1.	Better Understanding of the customer requirements.	Based on documents only.
2.	No standardised approach	Standardised approach.
3.	Retail Loans are only one part of the faster multiple activities.	Exclusive activity and hence will be more and professional in approach.

S. No	Standalone Model (Branch Level Processing)	Centralised Model (Retail Loan Processing Hubs/Centres)
4.	Difference in quality of appraisal based on the branch and its personnel.	Quality will be uniform as the activity is exclusive.
5.	Processing time may differ based on the priorities of the branches and importance of the customers/proposals.	Processing time will be uniform and fixed Turn Around Time (TAT) for different retail loans.
6.	Compliance of appraisal norms may be based on the customer profile.	Uniform and impersonal appraisal standards.
7.	Documentation standards may not be uniform.	Professional documentation standards.

The above details are only illustrative and not exhaustive. To sum up, RLPCs definitely have an edge with regard to processing of retail loans as compared to processing at branches. But as said above, branches will understand the customers' requirements on a personal basis as against the mechanical approach of RLPCs. But the introduction of RLPCs by banks has definitely helped banks to improve the quality appraisal and reduce the documentation gaps as compared to branch level appraisal.

LET US SUM UP

In the retail asset side, the important products offered by banks are Home Loans, Educational Loans, Personal Loans and other retail loans developed for specific customer segments. Each loan is designed for a specific purpose and need and structured in such a way that the needs and requirements of different customers are taken care of. Banks process and sanction retail loans in two different ways. They sanction retail loans on a standalone basis (through the branches) or through a centralised model (through retail loan processing hubs/centres). Each model has its own advantages as well as disadvantages. In the branch model, personal touch is more, in the centralised model, more professional approach is followed. The introduction of RLPCs has definitely helped banks to improve the quality of appraisal and also has reduced the gaps and deficiencies in the documentation side.

KEYWORDS

Retail Loans; Home Loans; Auto Loans; Personal Loans; Educational Loans; Retail Loan Processing Centres

CHECK YOUR PROGRESS

1. Home Loans are sanctioned by banks for the following purposes such as _____
 - (i) Purchase/Construction of house
 - (ii) Purchase/Construction of flat
 - (iii) Purchase of land and construction
 - (iv) Additions to the existing house
 - (a) (i) only
 - (b) (ii) & (iii) only
 - (c) (i), (ii) & (iii) only
 - (d) (i), (ii), (iii) & (iv) above
2. Auto Loans are given by banks for the following purposes such as _____
 - (a) Purchase of New Car
 - (b) Purchase of Used Car
 - (c) Purchase of Two Wheelers
 - (d) Purchase of all the above
3. Personal Loans are sanctioned by banks based on _____
 - (i) Salary in case of employees
 - (ii) Monthly/Annual Income in case of business persons
 - (iii) Number of years of service/in business
 - (a) (i) only
 - (b) (ii) & (iii) only
 - (c) (i) & (iii) only
 - (d) (i), (ii) & (iii) above
4. Retail Loan Processing Centres of banks are designed to _____
 - (i) Source retail asset business
 - (ii) Process retail loans
 - (iii) Do the valuation/legal opinion wherever necessary
 - (iv) Release the loan either at their end or advise sanction to branches.
 - (a) (i) & (iii) only
 - (b) (ii) & (iv) only
 - (c) (ii), (iii) & (iv) only
 - (d) (i), (ii), (iii) & (iv) above

Answers to Check Your Progress

1. (d) 2. (d) 3. (d) 4. (d)



CREDIT AND DEBIT CARDS

STRUCTURE

10.0 Objectives

10.1 Introduction

10.2 Credit Cards

10.3 Charge Cards

10.4 Pre-paid Cards

10.5 Debit Cards

10.6 Co-branded Cards

10.7 Contactless Cards

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

10.0 OBJECTIVES

After going through the Unit, you would be able to learn:

- Evolution of card cards
- Different types of charge cards
- Salient Features of Credit Cards
- Credit Card Issuing Process
- Debit cards
- Credit Card Vs Debit Cards
- Co-branded cards/Contactless Cards

10.1 INTRODUCTION

A purchase is complete when the price or value of purchase is paid with money or cheque. This is because goods and products are valued in terms of money. Money performs the functions of a standard, store of value, measurement of value or price and medium of exchange. Similar to the cheque, there are other ‘money-like’ instruments which perform one or many of money’s functions. For example, a deposit account performs the function of ‘store of value’. Cheques and travellers cheques have been popular as payment systems for a long time now. In recent years, however, another form of payment has taken the centre-stage of banking. This is the credit card. Credit cards perform the role of money with respect to transactions. In other words, credit cards can be, like money, used to complete transactions and as a means of ‘payment’.

Money has acceptability as it is backed by Governments. Cheques and pay orders are accepted as means of payment as they are backed by banks. This shows that to be accepted as a means of payment, the medium/instrument has to be backed by strong institutions and have wide acceptability. In the case of credit cards, such acceptability is enabled by large number of banks and financial institutions, which are, in turn, supported by the network of payment services like Visa, Master Card, American Express, RuPay, etc. Thus, in view of the high credibility brought in by the backing of banks and other financial institutions, credit cards enjoy the status of a popular ‘means of payment’.

In India, banks are permitted to undertake credit card business, either departmentally or through a subsidiary company set up for the purpose. They can also undertake domestic credit card business by entering into tie-up arrangement with one of the banks already having arrangements for issue of credit cards. Prior approval of the RBI is not necessary for banks desirous of undertaking credit card business, either independently or in tie-up arrangement with other card issuing banks.

Only banks with net worth of ₹100 Crore and above should undertake credit card business. Setting up of subsidiaries for undertaking credit card business would, however, require prior approval of the RBI.

Each bank must have a well-documented policy and a Fair Practices Code for credit card operations of such non-bank entity, to protect them against the reputation risk which they are exposed to in such an arrangement. Banks may issue credit cards including co-branded credit cards, corporate credit cards to the employees of their corporate customers, as well as add-on credit cards. Due Diligence on the non-bank entity is to be carried out to protect themselves against the reputation risk which they are exposed to in such an arrangement.

Cards can be classified on the basis of their issuance, usage and payment by the card holder. There are three types of cards (a) debit cards (b) credit cards and (c) prepaid cards. Debit cards are issued by banks and are linked to a bank account. Credit cards are issued by banks/other entities approved by RBI. The credit limit sanctioned to a card holder is in the form of a revolving line of credit (similar to a loan sanctioned by the issuer) and may or may not be linked to a bank account. Prepaid cards are issued by the banks/non-banks against the value paid in advance by the cardholder and stored in such cards which can be issued as smart cards or chip cards, magnetic stripe cards, internet accounts, internet wallets, mobile accounts, mobile wallets, paper vouchers, etc.

10.2 CREDIT CARDS

What is a credit card? A credit card is a thin plastic card, usually 3–1/8 inches by 2–1/8 inches in size that contains identification information such as a signature or picture, and authorizes the person named on it to charge purchases or services to his account – charges for which he will be billed periodically. The information on the card can be read by ATMs, Point Of Sales (PoS) Terminals at different establishments like Textile Stores, Super Markets, Jewellery Showrooms, Book Shops, Restaurants, etc. Before we go into the details of the end to end process cycle of the issue, use and management of credit cards, let us have a look into the operational process of credit card usage.

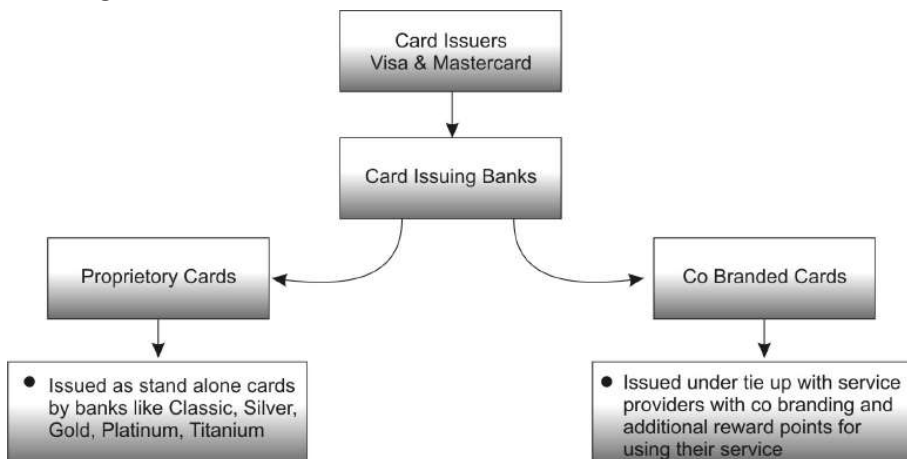


Fig. 10.1 Operational Process of Credit Card Usage

Operational Process of Credit Card Usage

There is a difference between the cash transactions and the credit card transactions. In the case of cash, there are only two parties to the transaction. The customer makes a purchase from the retailer and pays 'directly' by means of cash. The transaction ends as both the legs of transaction, viz., purchase and payments are complete. The time taken to complete a transaction is very little (almost immediate). As against this, in the case of a credit card, parties to the 'complete cycle of transaction' are five in number.

These are:

- The Customer (cardholder)
- The Retailer
- The Acquiring bank
- The Clearing Network
- The Issuing bank

Increase in the number of parties' means that more time is taken to complete the payment cycle. This means that one of the four parties, excluding the cardholder, has to be out of funds till such time that the cardholder makes payment to the issuing bank, thus effectively leading us to the concept of credit.

Typically, it is the issuing bank which has given credit to the customer.

Though we have been talking about credit cards, there are several types of cards that are available to customers for carrying out their transactions. Some examples are debit card, ATM card, Smart card, etc. Some details of each of these cards follow subsequently in the chapter.

To put it in a simple way, the concept behind Credit Card is "Buy Now, Pay Later". It sounds very simple. But credit cards have lot of complexities. Credit Cards are plastic cards that double up in lieu of money for payment of goods/services and also enable withdrawal of cash if needed. The payments made through the card or cash withdrawn have to be repaid after a certain agreed period of time and also with a payment option spread over a period. The process starts with the usage of the card and ends with the payment of card dues. The process gets repeated over a period depending upon the needs of the card user and also the periodicity of needs and requirements. Cards, as a payment instrument, have evolved tremendously over the past decade in India.

Let us look in detail, the evolution, growth, mechanics and different types of cards which are in circulation in the country at present.

Evolution of Credit Cards

Global Scenario

The present day credit cards are general purpose cards accepted anywhere in the world. In fact, the credit card history goes back to early 1900 when certain oil companies and consumer stores

were issuing proprietary cards. These cards were issued basically to create customer loyalty and improve customer service. The cards known as ‘courtesy’ cards issued by oil companies, were made of paper. These cards did not have the feature of revolving credit and they were in the nature of charge cards.

The first bank card was issued in the year 1946 by a banker John Biggins. It was called as ‘Charg-It’. The card was issued to the customers to make purchases from the local merchants in the Brooklyn neighbourhood. The local merchants used to send the slips to the Biggins bank which used to reimburse the merchant and recover the payment from the customers. Comparatively, it was a simple transaction, as card holders as well as merchants were customers of the same bank. The formal launch of modern credit card took place in the year 1951 when Franklin National Bank issued them in New York. The use of credit card issued by the said bank was restricted to the bank’s account holders only.

In 1950, the first ‘travel and entertainment’ card was issued by the Diner’s Club. There is an interesting story behind innovation of this card. Mr. Frank McNamara had a business dinner in New York’s Major’s Cabin Grill. When the bill was placed before him he realized that he had forgotten his wallet. He, however, managed to find his way out. This was way back in 1949. This incident prompted Mr. McNamara to find an alternative to cash. In February 1950, Mr. McNamara and his partner Mr. Ralph Schneider returned to Major’s Cabin Grill hotel and paid the bill with a small cardboard card coined ‘Diner’s club’. By 1951 there were 20,000 Diner’s club cardholders. A decade later, the card was replaced with a plastic card. Diner’s club card allowed its members to make purchases on credit but technically, it was a charge card meaning the bill had to be paid in full at the end of each month.

In 1966, a group of card issuing banks came together and established an association called ‘Inter Bank Card Association’ (ICA). This association is now known as Master Card. Member committees of ICA establish rules for authorization, clearing and settlement. They also put in place the procedure for prevention of frauds, security aspects, legal aspects etc. In the same year, Bank of America established an organization called ‘BankAmerica Service Corporation’ which franchised the BankAmerica brand (later known as Visa).

These bank card associations created an open loop system requiring interbank co-operation and fund transfers. Let us understand here what is meant by ‘open loop’ and a ‘closed loop’. In a closed loop system, a single firm captures/processes all of the transaction data. In this system, owners contract directly with the cardholders and merchants, authorizing and settling all transactions. The system is prevalent in case of Diners club and American Express (later known as Discover) cards.

In an open loop system, viz., Visa and Master Card, the transaction data is shared with thousands of members. The issuing bank is different from the merchant’s bank. The transaction is processed through a centralized system that authorizes and settles the transaction. In this system, it is a four party transaction which includes the merchant, the acquiring bank, issuing bank and the

consumer. Others who are involved in the whole gamut of transactions are the processors and independent sales organizations as well. For a transaction to be completed successfully, the co-operation of all the four parties is required.

The primary general purpose card brands include Master Card, Visa, American Express, Diners club, Union Pay and Discover. In addition to general purpose cards, private label cards which are issued by merchants such as departmental stores, petrol companies can be used only at those merchant locations.

The main players in the Indian industry are Visa, Master Card, American Express and RuPay. It should be noted that these players (excluding American Express) do not issue cards directly to the customers. Primarily they sponsor a payment network. This payment services network is sponsored by one of these agencies. A bank or a financial institution desiring to offer cards to its customers can do so by joining this network on payment of a membership fee. The banks, in turn, issue credit cards to the final consumers with a wide range of benefits. The cardholders carry the cards bearing the logo of the sponsor (say Visa) and that of the issuing bank (e.g., State Bank of India). The farther the network's reach, the larger will be the benefits available to the cardholders, in terms of wider acceptance. In the given example, a cardholder having a SBI credit card of Visa can make transactions all over the world, with all the retailers who accept Visa cards.

The main role of the sponsors (Visa, Master Card and RuPay) is to facilitate transactions among those (1) who use their payment cards, (2) those who accept the same, and the member financial institutions that manage these relationships. Together with the member institutions, the sponsors provide the infrastructure to ensure that these payments transactions are completed with cent percent success rate. The sponsors establish standards and procedures for the acceptance and settlement of member transactions on a global basis. The sponsors also provide a global communications network for interchange (the electronic transfer of information and funds) among the members. The sponsors also develop marketing programmes that build even greater awareness for the brand, thereby increasing business for their members and enhance and support marketing activities and operational functions of the members.

Indian Scenario

The beginning of credit cards in India dates back to the year 1980, when Central Bank of India introduced a credit card known as 'Central Card'. In India, credit cards and debit cards have started playing a bigger role as an instrument of payment system. The number of credit cards increased substantially. As on March 2022, the total number of outstanding credit cards was 73.62 million. On the other hand, as more and more people started using debit cards, the rise in debit cards has been quite phenomenal. As on 31-03-2007 the number of outstanding debit cards was 75 million. As against this, as 31-03-2022, there were 917.66 million debit cards, of which almost three-fourth were issued by public sector banks. In contrast to this, more than half of the outstanding credit cards were issued by new private sector banks. The important players in the Indian credit cards industry are National Payment Corporation of India (NPCI) and banks.

National Payments Corporation of India (NPCI)

National Payments Corporation of India (NPCI), an umbrella organisation for operating retail payments and settlement systems in India, is an initiative of Reserve Bank of India (RBI) and Indian Banks' Association (IBA) under the provisions of the Payment and Settlement Systems Act, 2007, for creating a robust Payment & Settlement Infrastructure in India.

RuPay, a new card payment scheme launched by the National Payments Corporation of India (NPCI), has been conceived to fulfill RBI's vision to offer a domestic, open-loop, multilateral system which will allow all Indian banks and financial institutions in India to participate in electronic payments.

NPCI offers 'RuPay Credit card', 'RuPay Debit card', 'RuPay Prepaid card' & "RuPay Global card"

The variants of RuPay Credit card are:

- 'RuPay Select'
- 'RuPay Platinum'
- 'RuPay Classic'



Banks

Banks issue credit card to its customers. Statistics of Credit Card business as on 31-03-2022 by these banks are given below:

Statistics of Credit Card business as on 31-03-2022	
Bank Name	No. of outstanding cards
BANK OF MAHARASHTRA	77677
BANK OF BARODA	1103921
BANK OF INDIA	166751
CANARA BANK	927694

Bank Name	No. of outstanding cards
SOUTH INDIAN BANK	58365
KARUR VYSYA BANK LTD	6691
INDIAN BANK	154342
INDIAN OVERSEAS BANK	74083
PUNJAB NATIONAL BANK	327893
IDFC BANK LTD	799219
UNION BANK OF INDIA	538325
FEDERAL BANK LTD	134841
IDBI LTD	41509
STATE BANK OF INDIA	13766861
AXIS BANK LTD	9034829
CITY UNION BANK	1834
DEVELOPMENT CREDIT BANK	3778
DHANALAKSHMI BANK LTD	7134
HDFC BANK LTD	16536735
ICICI BANK LTD	12978825
INDUSIND BANK LTD	1880393
JAMMU AND KASHMIR BANK	82096
KOTAK MAHINDRA BANK LTD	3196377
RATNAKAR BANK LIMITED	3682603
TAMILNAD MERCANTILE BANK LTD	32903
YES BANK LTD	1184542
AMERICAN EXPRESS	1383221
BANK OF AMERICA	21756
CITI BANK	2551485
HONGKONG AND SHANGHAI BKG CORPN	796103
STANDARD CHARTERED BANK LTD	1342023
DBS BANK	1000
SBM BANK INDIA	562051
AU SMALL FINANCE BANK LTD	169470

Source: Bankwise ATM/PoS/CARD statistics in RBI site.

Citibank and HSBC were the pioneers in the Indian credit card market in the 1980s. Over the next two decades, the number of players increased to more than ten in 2000. The credit card market registered a healthy annual growth rate of over 25% during 1987–2001. Among the public sector banks, Andhra Bank, Bank of Baroda were the early starters followed by Bank of

India. Among the foreign banks, Standard Chartered Bank entered the credit card space and built volumes steadily. Canara Bank is another bank which entered credit card space subsequently but improved the volumes by tie up with other PSBs like Union Bank of India, Indian Overseas Bank, etc., Canara Bank pioneered the concept of franchisee and co-branded model in credit card space for achieving critical mass in credit cards. But in spite of all the above developments, foreign banks continued to dominate the credit card market in India till the entry of two big local players viz., ICICI Bank and subsequently State Bank of India. Both the above banks aggressively launched their credit card initiatives and penetrated the market with user friendly requirements for availing the cards. State Bank of India started a separate subsidiary with GE Capital for their credit card operations. HDFC Bank is another major player along with the above two. A number of banks, both foreign, private and PSBs entered into the credit card space down the line but Citibank, Standard Chartered Bank, State Bank of India, ICICI Bank and HDFC Bank dominate the credit card market with more than 90% market share.

Types of Credit Cards

A credit card provides consumers with access to a line of credit. Consumers make payments using their card and receive a bill at the end of the billing cycle. The card issuer usually demands a minimum payment against the outstanding balance, but, beyond this, the customer can choose how much of the bill he/she wishes to repay. Any balances not repaid within the interest-free period offered by the issuer, attracts interest at the rate stipulated by the card issuer.

Credit Card as a product has a generic name but within the generic concept a number of sub brands which have different characteristics exist. The following are the main types of cards issued by banks.

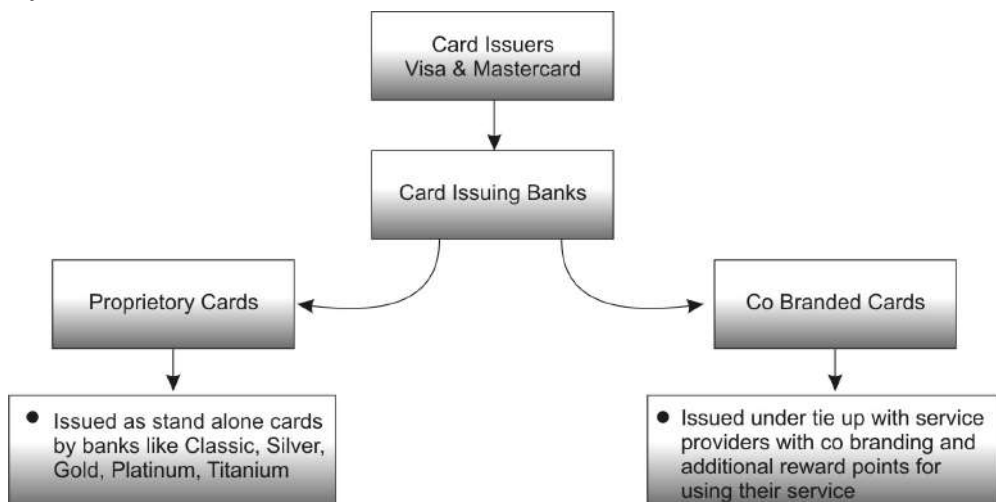


Fig. 10.2 Types of Cards

The proprietary card issuers like Visa, Master Card and RuPay tie up with banks for issue of credit cards. Banks issue the cards under their brand and market the cards aggressively based

on their business plan for credit cards. While marketing the cards they mention clearly their association of the card issuer in the card so that the brand equity of the card issuer is an impetus for generating volumes.

Mainly credit cards are issued by banks in two formats, viz., the proprietary format and the co-branded format. In the proprietary format, banks issue the card in different brand names like Classic, Silver, Gold, Platinum, Titanium, etc., Credit limits, cash withdrawal limits and other facilities will depend on the type of card. In the co-branded format, banks tie up with service providers like Hotels, Oil Companies, Airline Companies, etc., and offer the cards as a co-branded product with the brand name of the tied up company also embossed in the card. This enables brand recall and results in better utilization of the products offered by the tied up product. Special incentives/reward points are offered for using the co-branded card.

Recently, Union Bank of India in association with NPCI has launched two variants of RuPay Credit Card, viz., ‘RuPay Platinum’ and ‘RuPay Select’ Credit Card. The features of the card are given below:

Variant/Parameters	SELECT (Super Premium)	PLATINUM (Premium)
Personalized	YES	YES
Insurance Amount	₹10 Lakh for loss of life or permanent disability	₹2 Lakh for loss of life or permanent disability
Lounge program	Four free access per year in 300+ cities across the world	NO
Fuel Surcharge Waiver	Maximum ₹75/- per card per month	Maximum ₹75/- per card per month
Utility Bill – Cash Back Offer	Maximum ₹50/- per card per month	Maximum ₹50/- per card per month
Mobile Wallet Cash Back	Maximum ₹50/- per month for minimum transaction of ₹500/-	Maximum ₹50/- per month for minimum transaction of ₹500/-
IRCTC – Cash Back Offer	₹25/- for minimum transaction of ₹300/-	₹25/- for minimum transaction of ₹300/-

Source: http://www.unionbankofindia.co.in/Rupay_Credit_Card.aspx

RuPay is a product of NPCI, the umbrella organization that powers retail payment in the country. The provision under Payment and Settlement System Act 2007 empowered RBI and IBA to create a secure electronic payment and settlement system in India.

RuPay is the first of its kind global payment network of India with wide acceptance at ATMs, POS devices and e-commerce websites across India. It is highly secure network that protects against anti- pushing. The name derived from “Rupee and Payment” emphasizes that it is India’s very own initiative of card payment. It is India’s answer to international payment network, expressing pride over our nationality.

RuPay fulfills RBI vision of initiating a “cash-less” economy. This could be achieved only by encouraging every Indian Bank and financial institution to become tech-savvy and engage in offering electronic payments.

Presently, RuPay cards are issued by more than 1,100 banks which includes Public Sector Banks, Private Sector Banks, Regional Rural and Co-Operative Banks.

It's ten core promoter banks are State Bank of India, Punjab National Bank, Canara Bank, Bank of Baroda, Union Bank of India, Bank of India, ICICI Bank, HDFC Bank, Citibank N. A. and HSBC. Currently 56 banks are share-holders of NPCI.

In 2019, RuPay reported 100 crore (1 billion) transactions through both online and offline payment modes^C. All merchant discount rate (MDR) charges were eliminated for RuPay transactions from 1 January 2020. All Indian companies with an annual turnover exceeding ₹50 crore (US\$6.6 million) are required to offer RuPay payment options to their customers.

BharatQR

A QR code consists of black squares arranged in a square on a white background, which can be read by an imaging device such as camera, QR contains information about the Merchant.

It is developed by NPCI in collaboration with Mastercard, and Visa as an integrated interoperable QR code based payment system and was launched in September 2016. It facilitates users to transfer their money from one source to another (P2M) without the need of physical card and POS terminal. The money transferred through BharatQR is received directly in the user's linked bank account using IMPS. It provides a common interface between RuPay, Mastercard, Visa, American Express as opposed to other such individual proprietary systems. BharatQR is supported on both Android and iOS devices. Billipay, an end to end digital payment solutions company, is the first Indian Point-of-Sale (PoS) devices providing company to enable Bharat QR code on the screens of its POS machines. According to RBI, the Bharat QR Code is the world's first inter-operable payment acceptance solution.

Bharat QR is integrated with BHIM QR/UPI (Unified Payment Interface) credentials from September 2017. All though both QR code can be scanned by same app but Bharat QR is specifically used for P2M transaction wherein cards (Debit card/Credit card/Prepaid card) are used for payment. BHIM QR is UPI based QR. It is used for P2P or P2M transactions using Virtual Payment Address (VPA).

The QR code Payment System consists of the following parties:

- Acquirer- merchant on-boarding, merchant management, and mobile app solutions
- Issuer- consumer on-boarding and consumer mobile app solutions
- Transaction processing Engine (NPCI) - end transaction routing engine.
- Features of Bharat QR code transactions:
 - Low-cost infrastructure
 - Remote management of merchant and customers
 - Interoperable QR code
 - Push based transaction

- No need to store any charge slip copy by merchant
- Instant payment notification to merchant and consumer
- Transaction history is available in the app
- Non disclosure of card details by consumer to merchant

Salient features of credit cards

1. Credit Cards are accepted globally through their affiliation with Visa and Master Card.
2. Credit Cards are issued with limits of usage called “Card Limit” which fix the upper limit upto which the cards can be used. Within the overall limit, limits on cash withdrawal through ATMs are fixed which will be equal to or less than the total card limit. While the overall limit can be used at any point of time without any charges, for withdrawal of cash, finance charges are recovered depending upon the frequency of withdrawal.
3. Credit cards have a regular billing cycle and billing date and due date of payment is decided from the billing date. The period after which payment is to be made after the billing date is called as the free credit period and will be usually between 20 days and 50 days and differ across banks.
4. To induce usage of cards, reward points are awarded based on the amount and type of usage. Reward points vary for different classes like Silver, Gold, Platinum, Titanium etc. The reward points will be awarded based on the usage and will be a fixed points per ₹100 and the total reward points for the usage will be based on the usage and calculated per ₹100. The reward points can be redeemed by the card holders as prescribed by the card issuing bank.
5. Another promotional concept is in vogue now for usage of credit cards. The concept of “Cash Back Offer” was introduced in credit cards to promote more usage by incentivizing the usage. Cash Back Offer always comes with a cap on the total amount.
6. The payment for the usage of the card after the credit period and on the due date can be paid in different ways. The payment can be made in full on or before the due date. Alternatively, a minimum of 10% of the outstanding amount can be paid every month on due date. The third option for payment is to convert the outstanding amount into a loan and repay the same in equated monthly installments (EMIs).
7. Charges for late payment beyond the due date is collected as late fees and varies from ₹200 to ₹500 across banks.
8. Cards are issued with photos also as add on feature.
9. Liability for the card holder in case of loss of cards is limited to a small amount in case of most of the credit card issuers. Usually the liability is restricted to ₹1000/- (Rupees One Thousand Only) and the balance liability if any is borne by the card issuer through an insurance protection. Liability for lost card can be controlled from the time the loss is reported to the card centres which operate on 24-hour basis.

10. For online purchases using credit cards, additional password protection just like PIN for ATM transactions can be secured with special security features such as Verified by Visa, Master Card Secure Code etc., and the above procedure is mandated by Reserve Bank of India.
11. Some banks offer free personal accident insurance cover for the card holders ranging from ₹1 Lakh to ₹10 Lakh depending on the type of card.

Credit Card issuing process

Issue of credit card involves the following processes:

1. Obtaining an application from the prospect.
2. Processing the application.
3. Analysing and arriving at the Credit Score.
4. Decision on the type of card to be issued.
5. Issue of Card & PIN Mailer.
6. Dispatch of Card & Acknowledgement of Receipt.
7. Card Operations.

Let us discuss the different aspects of the issue and operations in detail.

The minimum documents required from the credit card applicant, generally are:

- Identity Proof which can be a copy of Passport, PAN Card, UID, Driving License or Voter's ID Card.
- Income Proof which can be the latest IT Return, Form 16, Salary Slip for Government or PSU Employees.
- Address Proof which can be a copy of Passport, Electricity, Telephone Bill, UID, Bank Passbook of any PSU Bank.
- Colour Photograph.
- PAN Card copy.
- Last 3 months' bank statement.

Processing of applications is also made simple and fast. Credit information report of the applicant, which comes handy to the banker make decision making very easy and risk free to an extent.

Many banks, particularly new generation private banks have given provisions in their website to make credit card applications, online.

Eligibility for credit card

The eligibility criteria for a credit card differ from bank to bank. However, the basic criteria are as follows:

- At least 18 years of age
- Compliance of KYC norms
- A regular source of income to repay one's credit card bills (whether salaried or self-employed)
- A good credit history

Credit history can be made available from credit information reports, bank pass book, etc. Credit Limit and Cash Limit are assigned to Cardholders based on internal rating criteria which differ from bank to bank. Banks issue Add-on cards also.

Banks may issue credit cards including co-branded credit cards, corporate credit cards to the employees of their corporate customers, as well as add-on credit cards. Add-on cards are those cards that are subsidiary to the principal card, may be issued with the clear understanding that the liability will be that of the principal cardholder. Similarly while issuing corporate credit cards, the responsibilities and liabilities of the corporate and its employees may be clearly specified.

Important Terms in Credit Card Operations

There are different terms used in credit card operations spelt out by card issuing banks for the various usage patterns. Credit Card users should clearly understand the meanings of the different terms and also know the implications of each term in the operations of credit cards. The important terms used in the credit card operations with regard to Fees, Charges, Interest, etc., are discussed below:

Joining Fees & Annual Fees

Joining and Annual Fees are charged at the time of issue and at the end of every year respectively and varies with the type of card. While standard cards are issued 'life time free' by most of the card issuers as a marketing strategy, most of the premium cards are charged with annual fees or one time fees or free based on the card issuer.

Charges

Charges are levied from time to time and are payable by the cardholders for the different services offered by card issuing banks.

- i. **Finance Charges** – Applicable in the event of the card member deposits part of the Total Payment or the Minimum Amount Due. The balance outstanding amount payable shall be carried forward to subsequent statements. The amount attracts finance charges on entire outstanding including fresh purchases and other bank charges till the date of full and final payment. Finance charges on cash advances are applicable from the date the card holder incurred the transactions until they are fully paid. Finance charges are payable at the monthly interest rate on all transactions including unpaid EMI installments from the date of the transaction in the event of the card holder choosing not to pay his balance in full, and on all cash advances taken by the card holder, till they are paid back. Finance charges are calculated on a daily basis at the end of every day based on the current outstanding balance of the customer.

Illustration:

- Balance outstanding as on the statement date – ₹20,000
- Balance is not paid on the due date.
- Interest – 3.5% per month
- Daily Interest Charge for the above balance is

$$= 20,000 \times (3.5\% \times 12 \text{ months}) / 365 = ₹23.01$$
- Total interest payable by the next statement cycle (after 30 days)

$$= ₹23.01 \times 30 = ₹690.41 + \text{Tax}$$

- ii. **Minimum Amount Due** – Minimum Amount Due (MAD) is calculated by adding New Debits for the month, previously unpaid payments and other charges. Minimum amount also includes the amount by which the card holder exceeded the card limit.

Minimum Amount Due every month shall be higher of the following:

- a. 5% of the statement outstanding, or
- b. Sum total of all installments billed, interest, fees, other charges, amount that is over limit and 1% of the principal, or
- c. ₹250/- in case of default or if the statement balance is less than ₹250/-, the entire outstanding amount has to be paid.

Minimum Amount Due is a very teasing concept in credit card dues repayment. It is intended to generate more revenues for the card issuer as it will prolong the repayment and interest will be charged at exorbitant rate for the balance amount. For example, if we spend ₹10,000/- and pay back exactly the Minimum Amount Due every month, it will take approximately 6.5 years to pay back the complete amount.

- iii. **Maximum Interest Free Period:** Maximum Interest Free Period is the period for which no interest is charged for the card balances subject to the condition that there are no outstanding previous card dues. The period depends on the type of card and may vary from 20 days to 50 days depending on the card issuer. This is applicable only on retail purchases and if previous month's balance is paid in full.

Illustration:

1. Assume that your statement date is 2nd of every month.
2. For example, your 2nd October Statement will contain all your transactions that have been billed between 3rd September and 2nd October and you have to pay in 22 days time and the card due date shall be fixed based on that.
3. If you make a transaction on 3rd October, it will appear on the statement of 2nd November and the payment due will be 22 days thereafter. But if the payment in full is not paid by the due date, then interest will be charged for the whole period and subsequent purchases.

Interest Free Period does not apply for Cash Advances and Revolving Balances.

iv. Annualised Percentage Rate (APR): Interest will be charged for the unpaid balances as on the due date and also subsequent purchases. The interest rate was expressed as a monthly percentage rate previously to reduce the impact of high rates when calculated on an annualized basis. But regulatory prescription had resulted in credit card issuers to clearly mention the interest rate on an annualised percentage rate. The monthly interest is annualized to arrive at the Annualised Percentage Rate (APR). As an illustration, let us see the APR charges by a card issuing bank for different types of transactions.

- a. Monthly retail interest of 3.1% p.m. is annualised to arrive at an APR of 37.20%
- b. Cash Transactions will attract an interest rate of 3.49% and APR of 41.88%.
- c. The interest rate for retail transactions is variable and will vary between 2.49% p.m. (APR of 29.88%) and 3.49% p.m. (APR of 41.88%).
- d. In case of EMI Cards, monthly interest rate of 2% is annualised (APR of 24%) on transactions greater than ₹2,000/-.

From the above, it will be clear that interest rate varies with the type of transactions and more for cash withdrawals as compared to other retail transactions, though both the rates are abnormally high. But the rates are fixed high because card dues are unsecured and the expected delinquencies will be always high. But APR will be reviewed by most of the card holders every 3 months based on the card usage and repayment behaviour.

v. Other Charges & Penalties: Credit Card issuing bank levy different types of charges and penalties. The charges/penalties for various facilities/defaulted charged by a bank are detailed below. It may vary among banks but broadly on the following lines:

S. No.	Type of facility/Penalty	Charges
1.	Cash Advance Transaction Fee	2.5% (Min. ₹300) of the cash amount
2.	Card Replacement (lost/stolen/re-issue/any other)	₹100/₹250 depending on the card
3.	Overdue Penalty/Late Payment Fee	15% of Total Amount Due (Min. ₹350, Max. ₹750)
4.	Over Limit Penalty	₹600/-
5.	Cheque Return/Dishonour Fee	₹500/-

The charges are structured high to prompt repayment in time and operate within limits with sufficient balance in accounts to honour repayment cheques.

The above discussions on credit cards and their different dimensions throw open lot of important revelations about credit cards.

1. Credit Cards are customer friendly initiatives empowering them with financial limits to use it for different purposes including cash withdrawals.
2. But credit cards if not used judiciously will result in a debt trap on account of high financial charges and interest charges.

3. Credit Cards Receivables are unsecured advances for banks and hence higher pricing for card receivables.
4. Profitability from credit card operations is quite high due to higher interest charges but at the same time, the defaults/delinquencies will also be on the higher side.
5. Credit card usage should be strictly as per the terms of the card and any deviation will attract heavy charges.

Steps to use the Credit Card Wisely

There are scores of Credit Cards available in the market having plethora of benefits for the customers. It is prudent to be aware of few aspects of credit card in order to make its usage wisely:

Annual Fees - Other than free lifetime free cards, most of the credit cards have a non-refundable annual charge. A few cards come with a free joining fee for the first year and annual charges from the second year onwards. The same can be waived on achieving milestone usage.

Interest Rate - The interest rate on credit card varies from 24% to 48% and it should be leveraged to avail a free credit by paying the total amount on or before the due date. One should swipe the credit card for an amount that can be afforded to repay at the end of the billing cycle.

Late Fee - In case of delay in payment, late fee is levied which needs to be avoided by reading through the MITC document.

Foreign markup - Swiping the card for international transactions comes with a foreign currency mark-up fee which varies from 2% to 4%. The same is disclosed in the terms and conditions.

Interest Free Period - Every credit card comes with an interest free period of 45 days to 55 days which actually is the time available to pay his/ her dues and does not mean that every purchase made from the credit card will enjoy that the same number of interest free credit days.

For example, a card has a billing date on October 30 and the payment will be due in about three weeks i.e. November 21. So in case a purchase is done on October 1, the user will enjoy an interest free period of 51 days whereas if a purchase is done on October 29, the interest free period is only 22 days.

10.3 CHARGE CARDS

A charge card allows customers to defer the costs of purchases made on the card until the end of the payment cycle. Accordingly, a card holder has a fixed period to settle the bill in full. A charge card account is not directly linked to a customer's account, be it savings or current, although with most cards it is possible to link the two by means of a direct debit payment.

10.4 PREPAID CARDS

Prepaid Cards are issued with the objective to offer a service to the unbanked audience and to act as an extension of the card market. Prepaid Cards can be issued through co-branding arrangements with banks as physical cards, virtual cards and mobile wallets.

NPCI offers RuPay Prepaid cards of different variants. They are Gift card, Payroll card, Student card and Virtual card.

Prepaid Payment Instrument (PPI)

PPIs are payment instruments that facilitate purchase of goods and services, including financial services, remittance facilities, etc., against the value stored on such instruments. PPIs that can be issued in the country are classified under three types viz. (i) Closed System PPIs, (ii) Semi-closed System PPIs, and (iii) Open System PPIs. PPIs can be issued as cards or wallets.

- **Closed System PPIs:** These PPIs are issued by an entity for facilitating the purchase of goods and services from that entity only and do not permit cash withdrawal. As these instruments cannot be used for payments or settlement for third party services, the issuance and operation of such instruments is not classified as payment systems requiring approval/authorisation by the RBI.
- **Semi-closed System PPIs:** These PPIs are used for purchase of goods and services, including financial services, remittance facilities, etc., at a group of clearly identified merchant locations/ establishments which have a specific contract with the issuer (or contract through a payment aggregator/payment gateway) to accept the PPIs as payment instruments. These instruments do not permit cash withdrawal, irrespective of whether they are issued by banks or non-banks.
- **Open System PPIs:** These PPIs are issued only by banks and are used at any merchant for purchase of goods and services, including financial services, remittance facilities, etc. Banks issuing such PPIs shall also facilitate cash withdrawal at ATMs/Point of Sale (PoS)/Business Correspondents (BCs). The amount outstanding shall not exceed ₹1,00,000/- at any point of time. Banks shall provide the facility of 'pre-registered beneficiaries' whereby the PPI holder can register the beneficiaries by providing their bank account details, details of PPIs issued by the same issuer (or different issuers as and when permitted), etc. In case of such pre-registered beneficiaries, the fund transfer limit shall not exceed ₹1,00,000/- per month per beneficiary. PPI issuers shall set the limits within this ceiling taking into account the risk profile of the PPI holders, other operational risks, etc.
- The fund transfer limits for all other cases shall be restricted to ₹10,000/- per month.

All PPIs issued in the country shall have a minimum validity period of one year from the date of last loading/reloading in the PPI. PPI issuers are free to issue PPIs with a longer validity. In case the PPI is issued in the form of a card (with validity period mentioned on the card), then the customer shall have the option to seek replacement of the card.

Issuance, loading and reloading of PPIs

- PPI issuers shall have a clear laid down policy, duly approved by their Board, for the issuance of various types/categories of PPIs and all activities related thereto.
- PPI issuers shall ensure that no interest is payable on PPI balances.
- PPIs shall be permitted to be loaded/re-loaded by cash, by debit to a bank account, by credit and debit cards, and other PPIs (as permitted from time to time). The electronic loading/re-loading of PPIs shall be through above payment instruments issued only by regulated entities in India and shall be in INR only.
- Cash loading to PPIs shall be limited to ₹50,000/- per month subject to overall limit of the PPI.
- The PPIs may be issued as cards, wallets, and any such form/instrument which can be used to access the PPI and to use the amount therein.
- Banks shall be permitted to issue and reload PPIs at their branches, ATMs and through their BCs appointed as per the guidelines issued by RBI in this regard.

PPIs for cross-border outward transactions

The use of INR denominated PPIs for cross border transactions shall be permitted as under;

- KYC compliant re-loadable semi-closed and open system PPIs issued by banks having AD-I license (only for permissible current account transactions under FEMA, viz., purchase of goods and services), subject to adherence to extant norms governing such transactions.
- PPIs shall not be used for any cross-border outward fund transfer and/or for making remittances under the Liberalised Remittance Scheme. Prefunding of online merchant's account shall not be permitted using such Rupee denominated PPIs.
- Issuers shall enable the facility of cross-border outward transactions only on explicit request of the PPI holders and shall apply a per transaction limit not exceeding ₹10,000/-, while per month limit shall not exceed ₹50,000/- for such cross-border transactions.
- In case this facility is made available by issuing the PPI in card form, then this PPI shall be EMV Chip and PIN compliant.
- Such PPIs need not be issued as a separate category of PPI.

Smart Card

Smart card is similar to a credit card in size and shape. It comprises a plastic card embedded with microprocessor chip or memory chip. The microprocessor embedded under a gold contact pad on one side of the card is similar to a minicomputer. On processing by a chip reader, communication to the host computer is done and it transmits in-memory information securely and quickly. The embedded in the chip is associated with either value, information, or both. The chip is tamper proof which provides enhanced security for cardholder's personal data and financial transactions. It is based on the data encryption standard (DES) approved by International Standard Organisation (ISO) which makes it safe for protecting electronic funds transfer (EFT)

transactions. Due to the microcontroller chip, the smart cards have the ability to perform on-card processing functions like add, delete and manipulate information in the chip's memory. Smart cards are more popular and have majorly replaced magnetic stripe card technology which has a capacity of only 300 bytes of non-rewriteable memory and no processing capability.

Smart cards are of two types-It requires

- i. Contact smart cards -It requires contact with a card reader.
- ii. Contactless smart cards -It utilizes radio frequencies or Near Field Communication (NFC) to send information through the airwaves wirelessly.

10.5 DEBIT CARD

A debit card provides access to a card holder to funds in his/her bank account. It can be used to make purchases and to withdraw cash from ATMs. Debit cards offer consumers a facility to pay with own/ existing funds, subject to balance available in the account, while providing all the security and convenience that comes with a plastic card.

The characteristics of Debit Cards differ vastly from Credit Cards. As already explained, Credit Cards define the concept of "Buy Now, Pay Later" but Debit Cards explain the concept of "Buy Now and Pay Now". The important aspect of Debit Card is that at the point of purchase itself, the payment is made directly from their account balances. The details of the account are embedded in the debit card and can be used at both merchant locations through a PoS Machine for purchases made and also in ATMs for withdrawal of cash. The technology aspects of credit and debit cards are same with regard to usage, size, numbering, etc., but there are differences between credit and debit cards with regard to features and charges.

Debit Cards are issued when account is opened with the bank and had become an essential value addition for Savings Bank Account and a part of the core product. Debit Cards are issued by banks in two ways. At the time of issue, a generic debit card without embossing the name is issued for immediate operations. The second way is, after opening account, the account details are incorporated and embossed/loaded in the debit card and issued within two/three weeks from the opening of the account. Like Credit Cards, Debit Card operations are centralized in banks. The card can be used for any operations like payment of purchases, cash withdrawal (subject to per day limit) through ATMs, Utility Payments, etc.

RBI Guidelines on issuance of Debit Cards

Banks are permitted to issue debit cards including co-branded debit cards without RBI approval, subject to certain conditions as under:

- Comprehensive Board approved debit card issuance policy including co-branded debit cards should be put in place.
- Debit cards shall be issued to customers having Saving Bank/Current Accounts but not to cash credit/loan account holders.

- Banks shall issue only online debit cards including co-branded debits cards where there is immediate debit to the customer's account and where straight through processing is involved.
- Banks are not permitted to issue offline-debit cards.
- Banks should ensure compliance with Know Your Customer (KYC) Norms/Anti-Money Laundering (AML) Standards/Combating of Financing of Terrorism (CFT)/Obligation of Banks under PMLA, 2002 as being advised by RBI from time to time.
- Payment of interest should be in accordance with interest rate directives as issued by RBI from time to time.

Other terms and conditions for issue of cards to customers

- No bank shall dispatch a card to a customer unsolicited, except in the case where the card is a replacement for a card already held by the customer.
- The relationship between the bank and the card holder shall be contractual.
- Each bank shall make available to the card holders in writing, a set of contractual terms and conditions governing the issue and use of such a card.
- The terms shall specify the basis of any charges, but not necessarily the amount of charges at any point of time.
- The terms shall specify the period within which the card holder's account would normally be debited.
- Any alteration to the terms should be communicated well in time to enable him to withdraw, if he so chooses (giving suitable period).

The terms shall put the card holder an obligation in respect of:

- Safe keep of the card and the means (such as PIN or code).
- Not to record the PIN or code, in any form which enables access to any third party.
- Notifying the bank immediately after becoming aware of:
 - a. The loss or theft or copying of the card or the means which enable it to be used;
 - b. The recording on the card holder's account of any unauthorized transaction; and
 - c. Any error or other irregularity in the maintaining of that account by the bank.
- Bank shall exercise care when issuing PINs or codes and shall be under an obligation not to disclose the card holder's PIN or code, except to the cardholders.
- Bank shall be responsible for direct losses incurred by a card holder due to a system malfunction directly within the bank's control with the exception the breakdown recognizable for the card holder by a message on the display of the device or otherwise known.
- No cash transactions through the debit cards should be offered at the Point of Sale under any facility without prior authorization of RBI, etc.

Debit Cards Vs Credit Cards

The important differences between Credit Cards and Debit Cards are summarized below:

S.No	Credit Cards	Debit Cards
1.	Different Types of Credit Cards are offered by different banks.	All banks offer a standard type of Debit Card either with Visa or Master Card.
2.	Card Limit varies with individuals.	No limit prescribed as drawing is from the existing balance in the account.
3.	Allows purchases at one point and payment to be made subsequently.	Purchase and payment are happening at the same time.
4.	Free Credit Period is allowed.	Not applicable as payment is instantaneous.
5.	Payment can be made in EMIs converting the dues as a loan.	Direct debit from the account at the point purchase.
6.	Interest is charged for unpaid and carried over balances.	Not applicable as payment is instant.
7.	Various Charges/Penalties are levied for facilities and defaults.	No penalty or charge of any nature.
8.	Specific Cash Withdrawal Limits are set within the card limits.	The limits can be set as per customers' requirements.
9.	Default Risk is high.	No Default Risk.
10.	Assumes the character of an Asset: when the card is used it becomes a Receivable. Liability Account. (Savings Accounts)	Debit Card is only an operative instrument of a Liability Account. (Savings Accounts)

The above mentioned items are some of the visible differences between Credit Cards and Debit Cards.

10.6 CO-BRANDED CARDS

Co-branding is a process where two or more facilities are combined in a card with added benefits. An airline or a hotel chain co-branded card is the best example of a co-branded card. Co-branded cards offer the usual facilities plus some rewards from the co-branded entities. For example, an airline co-branded card will give some special discounts to the card holder on booking tickets with the card. Co-branding has played a crucial role in the shaping and growth of the credit card business. Co-branding partnerships have proved to be effective in tapping quality cardholders. Co-branding reward programmes are also fuelling card adoption and usage in less mature markets. It continues to play a critical role in the shaping and growth of the credit card business.

Co-branding helps a bank in adding to its card base, as the co-branding partner also undertakes marketing of the product. One of the known co-branded cards is 'Times Card' – Citibank

tied-up with the Times of India. Times of India came out with massive advertisements in their newspapers, promoting the product and this helped Citibank considerably in increasing the card holder base. Other co-branded cards in circulation are Amex-Jet Airways Card, Citibank – Indian Oil, ICICI – HPCL, BOI – Taj Hotels, SBI – Maruti, etc.

Co-branded cards offer a lot of freebies and enticing offers, which vary with each card. The annual fees in such cards are slightly higher than in regular credit cards but the freebies offered could make up for the higher cost that one pays. Co-branding involves a partnership between a corporate and a financial institution and Visa/Master.

Co-branded cards use reward programmes and special offers, such as rebates and discounts to attract new customers and generate loyalty among existing customers. This presents an opportunity to gain exposure and build brand awareness. Co-branding lets the retailer make the biggest impression possible, which can mean a more successful programme. The profit potential of co-branding is being realized in many industries, including automobile, computers, electronics, entertainment, insurance, internet, petroleum, retail, sports, supermarket, travel, etc.

Co-branding puts the issuer company name and logo on the world's leading payment brand. Co-branding can increase revenues and market share, and build customer loyalty. Many unique advantages are attached/ available to co-branded cards.

10.7 CONTACTLESS CARDS

A Contactless card is a faster way to pay with a credit or debit card for purchases under ₹5000/- at participating stores. Instead of dipping (or swiping) the card at the billing counter, simply wave or tap the card on the contactless terminal and pay without entering a PIN (for amount under ₹5000/-). These cards work on Near-Field Communication (NFC) technology, which employs radio transmission to ascertain contact when the cards are tapped or waved near a terminal. These enable customers to make payments by waving or tapping the cards instead of swiping them. After this, one needs to enter one's PIN to complete the transaction. If needed, these cards can also be used in the traditional way – by swiping or dipping. It increases the ease and convenience of transactions. Moreover, the speed at which the transaction can be carried out is almost double that of traditional cards.

The key advantage is that; this card takes less time for completion of the transaction. The card need not leave the customer's hand while in operation which enhances the level of security. Contactless technology uses secure encryption (the same as CHIP and PIN) so it can be confidently used. The maximum transaction value for a contactless transaction is capped at ₹5000/- which further limits any possible loss. Furthermore, the card holder is protected in case of loss or theft of the card, provided the same is reported to the issuing bank on time. The card issuing banks fix the daily limit on the purchases done using the contactless cards. It varies from bank to bank.

Take, for example, the analysis of debit card transactions shows that the cards are increasingly used at the ATMs for withdrawing cash than for shopping. In the month of October (the month

for which the RBI data is available), for example, ATMs saw transaction value of ₹192,300 crore whereas the transactions at the PoS were only ₹11,956 crore. Some bankers say that there are customers who withdraw cash and pay for utility bills, fuel or shop. In fact, the recent RBI guideline is a step in the right direction where the regulator restricted ATM usage. It has restricted banks' own ATM use by customers to five transactions per month, while reducing the other-bank usage from five to three transactions per month. The customers will have to pay ₹5 to ₹20 for exceeding the limit. Be it proactive bankers or regulations, we are entering the age of digital money. But more than the banks or regulator, it's the customer who should take the lead and junk cash.

Journey of RuPay Card so far

RuPay has made a significant impact on the retail payment systems in the country. Dedicated to the nation by our Hon'ble President, Shri Pranab Mukherjee, endorsed by the Hon'ble Prime Minister, Shri Narendra Modi and later made the card of choice for the ambitious Pradhan Mantri Jan Dhan Yojana, RuPay is now a known name.

RuPay in last seven years has launched various card variants catering to the different segments of the society.

In addition to the Government scheme cards, RuPay Classic, Platinum & Select variant cards are designed for the masses and affluent customers. RuPay offers excellent privileges and benefits such as International Acceptance, Domestic and International Airport Lounge Access, free personal accidental death and permanent total disability insurance coverage, various merchant offers, different Cashback scheme, Health and Wellness benefits to appeal to the mass and affluent customers.

Keeping in pace with continuous development and innovation in the ecosystem, RuPay has developed a bouquet of new innovative products such as RuPay Contactless. With the vision of One Card for all Payment systems, RuPay Contactless has revolutionized payments by introducing offline wallet-based payment mechanisms and service area features for storing merchant/operator-specific applications. This product enables seamless payment across all use cases, including travel by different metros and other transport systems across the country, retail shopping, and purchases.

RuPay Contactless – Tokenization

NPCI has invested in offering next-generation solutions like tokenization and mobile-based PoS. These technologies enable Indian consumers to securely use their phones to make card payments without disclosing their sensitive card details. It will allow cards to be tokenized on smartwatches, and other wearables, including many IoT, enabled devices allowing them to conduct card payments.

Bharat Ecommerce Payment Gateway (BEPG)

BEPG is the new e-commerce system to enhance the current e-commerce experience for the RuPay Cardholders. RuPay card aims to deliver a convenient and easy e-commerce experience without compromising on the security and risk.

Internationalization

Around 777 million Indian consumers shop cross-border in 2021. To make ease of payment, NPCI International Payments Limited (NIPL) signed a memorandum of understanding (MoU) with UK based PPRO Financial on 17 November 2021 to expand the acceptance of RuPay into foreign markets especially in China and United States which accounts for half of all international transaction coming from India.

RuPay Contactless

RuPay contactless is a contactless technology feature that allows cardholders to wave their card in front of contactless payment terminals without the need to physically swipe or insert the card into a point-of-sale device. This is an EMV-compatible, contactless payment feature similar to Mastercard Contactless, Visa Contactless, and ExpressPay which use RFID technology.

The National Payments Corporation of India's (NPCI) card network RuPay has launched a contactless prepaid NFC card. It launched the contactless card for the Ahmedabad Smart city project in association with ICICI Bank and Ahmedabad Municipal Corporation. It also launched similar prepaid contactless cards for the Kochi Metro Rail Ltd (KMRL) and Bangalore Metropolitan Transport Corporation (BMTCL) in association with Axis Bank.

Contactless can currently be used on transactions up to and including ₹5000. In March 2019 under 'One Nation, One Card' scheme a National Common Mobility Card (NCMC) for transportation was launched by Prime Minister Narendra Modi at a function in Ahmedabad on RuPay platform in order to avoid vendor lock-in and create an interoperable system under Make in India.

RuPay On-the-Go

NPCI on the eve of Global Fintech Festival 2021 launched RuPay On-the-Go interoperable, open-loop contactless solution that are made available on smartwatch and other personal electronic accessories eliminating the need to carry physical card.

RuPay Global

The NPCI started issuing global cards in 2014. Singapore has offered assistance to promote India's digital payment network RuPay card overseas by becoming its first international partner. On 7 March 2012, NPCI entered into a strategic partnership with Discover Financial Services (DFS) for RuPay, enabling the acceptance of RuPay Global Cards to utilise the Discover, Diners Club International and PULSE networks for international purchases and cash access outside of India. Both companies were also working to implement D-PAS, Discover's EMV technology

to offer chip-based cards to RuPay card members. The cards are accepted by over 41 million (41 million) merchants and 1.8 million (1.8 million) ATMs across 190 countries.

RuPay Classic

This is standard basic variant of Rupay card which offers minimum feature. As such there are no benefits airport lounge access etc. but in this variant you can avail various merchant offers like offers at Dining, Travel, Pharmacy, Lifestyle, cosmetics, Retails, Shopping, Jewellery, etc.

RuPay Platinum

Features list of Rupay platinum debit card consist of airport lounge access Program, Comprehensive Insurance Cover up to 200,000 rupees, Amazon pay offer, and various merchant offers like cosmetics, Retails, Shopping, Pharmacy, Jewellery Dining, Travel, etc.

RuPay Business Platinum

Central Bank of India with NPCI launched RuPay Business Platinum on 29 December 2021 for corporate customers. The card will help people from small business and micro-enterprise to maintain personal and business account separately.

RuPay Select

NPCI launched RuPay Select card in the year 2020 for customers especially from affluent section of the society. The card is different from previous offerings as it is independent of issuing bank that form partnership with various businesses to provide card specific benefits. Now all the benefits are curated under one package independent of bank partnerships, so as to stop customer to apply for multiple card schemes. The RuPay Select is for NPCI to capture the market-share of high spending customers and provide an Indian alternative against the premium offerings from Mastercard, Visa, etc.

LET US SUM UP

We have seen what a credit card is, how it facilitates the credit function and what constitutes the credit card transaction cycle. We also saw a brief history of the evolution of the credit card industry along with the role of important players like the network sponsors such as Visa, Master Card, NPCI, banks, etc. In addition to credit cards, the chapter provided an overview of various other types of cards like Debit Cards, Contactless Cards, Co-branded Cards, Pre-paid Instruments, etc.

To summarise further:

- Credit Card is plastic money with pre-set limits based on the credit score of the customer and can be used across merchant establishments for payment of purchases and in ATMs for withdrawal of cash. The operational process of a credit card starts from the card issue, matures into card usage and closes with the payment of credit card dues. Banks issue different types of cards with targeted volumes and business objectives after proper screening of applicants,

arriving at the credit score and issuing the relevant card matching the credit score with fixing of appropriate limit. The card issue will be justified if only the card is used frequently upto the limit made available. Payments made by the customers for credit card usage are the deciders for revenue generation. The payment may be made one time or in installments subject to the minimum payment due every month. More the credit limit is used; more will be the revenue but is subject to payment without defaults and delinquencies.

- Banks issue different types of cards like Classic, Silver, Gold, Platinum, Titanium, etc., in collaboration with card issuers like Visa, Master Card and RuPay and they mainly do it in two ways; proprietary cards and co-branded cards. While proprietary cards are issued by banks generally, co-branded cards are issued with specific tie ups with other institutions like petroleum companies, travel companies, retail stores with the objective of focused marketing and extra benefits to the card user for using the facilities of the tied up institutions.
- RuPay is the first of its kind global payment network of India with wide acceptance at ATMs, POS devices and e-commerce websites across India.
- Banks advise the credit card users about the terms and conditions of the credit card usage and the standard terms used in the payment mechanisms. These terms like Annual Fee, Minimum Payment Due, Credit Limit, EMI Payments, Interest and method of interest calculation, Penalties, etc., have their own implications in the credit card payments.
- The characteristics of Debit Cards differ vastly from Credit Cards. As already explained, Credit Cards define the concept of “Buy Now, Pay Later” but Debit Cards explain the concept of “Buy Now and Pay Now”. The important aspect of Debit Card is that at the point of purchase itself, the payment is made directly from their account balances. The details of the account are embedded in the debit card and can be used at both merchant locations through a PoS Machine for purchases made and also in ATMs for withdrawal of cash. Debit Cards are issued when account is opened with the bank and had become an essential value addition for Savings Bank Account and a part of the core product.
- Other pre-paid debit cards are issued both in rupees for various domestic purposes and forex cards with pre denominated forex loaded in the cards for travellers going abroad. Prepaid cards are issued by the banks/non-banks against the value paid in advance by the cardholder and stored in such cards which can be issued as smart cards or chip cards, magnetic stripe cards, internet accounts, internet wallets, mobile accounts, mobile wallets, paper vouchers, etc. As per extant instructions, the maximum value that can be stored in any prepaid Payment card (issued by banks and authorized non-bank entities) at any point of time is ₹1,00,000/-.

KEYWORDS

Credit Score; Credit Limit; Minimum Payment Due; Visa Cards; Master Cards; RuPay cards, Annual Fees, Silver, Gold, Platinum and Titanium Cards; Debit Cards; Co-branded Cards, Contactless Cards; Pre-paid Instruments, QR code, Virtual Payment Address (VPA)

CHECK YOUR PROGRESS**1. Types of credit cards issued by banks in general are**

- (i) Silver Card
- (ii) Gold Card
- (iii) Platinum Card
- (iv) Titanium Card
- (a) (i) & (ii) only
- (b) (ii) & (iv) only
- (c) (i), (iii) & (iv) only
- (d) (i), (ii), (iii) & (iv) above

2. The features available, generally, in all types of cards are

- (i) Facility for payment of purchases.
- (ii) Facility to withdraw cash from ATMs upto a fixed limit.
- (iii) Reward Points for usage of cards.
- (iv) Cash Back offers upto a certain limit for purchases made.
- (a) (i) & (iv) only
- (b) (ii), (iii) & (iv) only
- (c) (i), (ii) & (iii) only
- (d) (i), (ii), (iii) & (iv) above

3. The characteristics of Debit Cards are

- (i) Payments for purchases are directly debited into the account.
- (ii) Cash Withdrawals through ATMs are debited to the account immediately.
- (iii) Payments made for purchases/usage will be debited subsequently after a certain period.
- (a) (i) only
- (b) (ii) & (iii) only
- (c) (i) & (ii) only
- (d) (i), (ii) & (iii) above

4. Payment Default Risk (chances of failure to pay the card dues) is embedded in

- (a) Debit Cards
- (b) Credit Cards
- (c) Both a and b.
- (d) Only b.

5. Bharat QR is developed by NPCI in collaboration with

- (a) Master card
- (b) Visa
- (c) Amex
- (d) Both Master card and Visa

ANSWERS TO CHECK YOUR PROGRESS

- 1. (d) 2. (d) 3. (c) 4. (d) 5. (d)**



REMITTANCE PRODUCTS

STRUCTURE

- 11.0 Objectives**
- 11.1 Introduction**
- 11.2 Electronic Payment Systems**
- 11.3 National Electronic Funds Transfer (NEFT)**
- 11.4 Real Time Gross Settlement (RTGS)**
- 11.5 Electronic Clearing Services (ECS)**
- 11.6 National Automated Clearing House (NACH) System**
- 11.7 Aadhaar enabled Payment System (AePS)**
- 11.8 Bharat Bill Payment System (BBPS)**
- 11.9 Benchmarking India's Payment System**

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

11.0 OBJECTIVES

After studying this unit, you should be able to understand:

- Various Electronic Payment Systems
- NEFT, RTGS Concepts and Operations
- Electronic Clearing Services
- MMS, AePS, BBPS, etc.

11.1 INTRODUCTION

Remittances are important and integral part of retail banking. Remittance products have evolved over a period from physical movement of remittance instruments to instant electronic transfer of remittances across the country and globe. Cheques, Demand Drafts, Bank Orders, Telegraphic Transfers are some of the earliest remittance products that constituted the core remittance mechanism across banks. But the invasion of technology in banking has permeated into the remittances space also. Technology brought about a paradigm change in the whole remittance space with newer, speedier and innovative remittance products in banking. Most of the new generation remittance products are relevant in retail banking.

Retail electronic and card based payments have seen a quantum jump in the past few years mainly due to the introduction of National Electronic Fund Transfer (NEFT) and Real Time Gross Settlement (RTGS).

RBI has taken many initiatives towards introducing and upgrading safe and efficient modes of payment systems in the country to meet the requirements of the public at large. The dominant features of large geographic spread of the country and the vast network of branches of the Indian banking system require the logistics of collection and delivery of paper instruments. These aspects of the banking structure in the country have always been kept in mind while developing the payment systems.

Use of paper-based instruments (cheques and drafts) for nearly 60% of the volume of total non-cash transactions in the country. In value terms, the share is presently around 11%. This share has been steadily decreasing over a period of time and electronic mode gained popularity due to the concerted efforts of RBI to popularize the electronic payment products in preference to cash and cheques.

The initiatives taken by RBI in the mid-eighties and early-nineties focused on technology-based solutions for the improvement of the payment and settlement system infrastructure, coupled with the introduction of new payment products by taking advantage of the technological advancements in banks. The continued increase in the volume of cheques added pressure on the existing set-up, thus necessitating a cost-effective alternative system. While the overall thrust is to reduce the use of paper for transactions, given the fact that it would take some time to completely move

to the electronic mode, the intention is to reduce the movement of paper both for local and outstation clearance of cheques.

Remittance Products

The two most traditional forms of making remittances used by the banks for making local payments and for remitting funds outstation are:

i. Bank Cheque

The Bank Cheques are issued for making local payments on behalf of customers. All local payments by branches should be made by means of Banker's Cheques on account of purchase of stationery, furniture, sundry articles, telex/telephone/electricity bills, etc.,. However due to increasing popularity of electronic payment with a lot of convenience and minimal charges/fees, the cheque is now no more preferred remittance means of customers.

ii. Demand Draft

A bank draft is a negotiable instrument, drawn by one branch of a bank upon another instructing the latter to pay a certain sum of money only or to the order of a certain person. However, by prior arrangement, the paying bank may be a different bank also. A bank draft is a bill of exchange but is not a cheque as such. For the purpose of various protections available to a paying or a collecting bank under the Negotiable Instruments Act, 1881 it is however, treated as a cheque. A bank cannot make its demand draft payable to bearer as it amounts to a currency note. This will be a violation of Sec. 31 of the RBI Act 1934. Like Banker's cheque, now a days Demand draft has also lost its popularity and uses by the customers due to electronic payment system.

11.2 ELECTRONIC PAYMENT SYSTEMS

With computerisation in Indian banks rapidly picking up in the first decade of this century, the RBI set in motion necessary regulations and payment systems for electronic funds transfer. There are two sets of access criteria for banks:

- For Centralised Payment Systems (CPC) which includes Real Time Gross Settlement (RTGS) system, National Electronic Funds Transfer (NEFT), National Electronic Clearing Service (NECS) to eligible licensed banks.
- For Decentralised Payment Systems (DPS) include Clearing Houses at MICR centres (including Cheque Truncation System centres) and Electronic Clearing Service (ECS) open to all eligible licensed banks.

The enactment of the Payment and Settlement Systems Act, 2007 to provide for the regulation and supervision of payment systems in India and to designate the Reserve Bank of India as the authority for that purpose further strengthened the payment system. Setting up of National Payments Corporation of India (NPCI), an umbrella organisation for operating retail payments

and settlement systems in India is an initiative of Reserve Bank of India (RBI) and Indian Banks' Association (IBA) under the provisions of the Payment and Settlement Systems Act, 2007, for creating a robust Payment & Settlement Infrastructure in India.

Let us discuss in detail, the features of two important remittances products NEFT and RTGS in CPC which are applicable to retail banking operations also.

11.3 NATIONAL ELECTRONIC FUNDS TRANSFER (NEFT)

Reserve Bank of India has introduced an Electronic Funds Transfer System called National Electronic Funds Transfer (NEFT).

The objects of the NEFT System are:

- i. To establish an Electronic Funds Transfer System to facilitate an efficient, secure, economical, reliable and expeditious system of funds transfer and clearing in the banking sector throughout India, and
- ii. To relieve the stress on the existing paper based funds transfer and clearing system.

NEFT System

NEFT is a nation-wide payment system facilitating one-to-one funds transfer. Under this scheme, individuals, firms and corporate can electronically transfer funds from any bank branch to any individual, firm or corporate having an account with any other bank branch in the country participating in the Scheme. NEFT operates on a Deferred Net Settlement (DNS) basis which settles transactions in batches. RBI has introduced many efficiency enhancement features and customer service requirements in the system so as to meet the expectations of the growing number of users of NEFT.

For being part of the NEFT funds transfer network, a bank branch has to be NEFT-enabled. Individuals, firms or corporate maintaining accounts with a bank branch can transfer funds using NEFT. Even such individuals who do not have a bank account (walk-in-customers) can also deposit cash at the NEFT-enabled branches with instructions to transfer funds using NEFT. However, such cash remittances will be restricted to a maximum of less than ₹50,000/- per transaction. Such customers have to furnish full details including complete address, telephone number, etc. NEFT, thus, facilitates originators or remitters to initiate funds transfer transactions even without having a bank account. The remittance through NEFT/ RTGS is being transmitted through Structured Financial Messaging System (SFMS).

Individuals, firms or corporate maintaining accounts with a bank branch can receive funds through the NEFT system. The NEFT system also facilitates one-way cross-border transfer of funds from India to Nepal. This is known as the Indo-Nepal Remittance Facility Scheme. There is no limit either minimum or maximum on the amount of funds that could be transferred using NEFT. However, maximum amount per transaction is limited to below ₹50,000/- for cash-based

remittances within India and also for remittances to Nepal under the Indo-Nepal Remittance Facility Scheme.

The NEFT system takes advantage of the core banking system in banks. Accordingly, the settlement of funds between originating and receiving banks takes place centrally at Mumbai, whereas the branches participating in NEFT can be located anywhere across the length and breadth of the country.

The structure of charges that can be levied on the customer for NEFT is given below:

- a. Inward transactions at destination bank branches (for credit to beneficiary accounts)
 - Free, no charges to be levied on beneficiaries
- b. Outward transactions at originating bank branches – charges applicable to the remitter
 - For transactions up to ₹10,000 : not exceeding ₹2.50 (+ Applicable GST)
 - For transactions above ₹10,000 up to ₹1 lakh: not exceeding ₹5 (+ Applicable GST)
 - For transactions above ₹1 lakh and up to ₹2 lakh: not exceeding ₹15 (+ Applicable GST)
 - For transactions above ₹2 lakh: not exceeding ₹25 (+ Applicable GST)

However, w.e.f. 1st January 2020, RBI has removed all applicable charges on NEFT transactions initiated online via internet/ mobile banking portals by Savings Account holders with a view to promote digital transactions.

RBI had fixed timings during which NEFT transactions could be processed only between 8.00 a.m. and 6.30 p.m. from Monday to Friday and 8.00 a.m. to 12.0p p.m. on Saturdays. However, w.e.f. 16th Dec. 2019, online NEFT transactions can be performed 24*7 , 365 days with a view to promote digital transactions and global integration of financial market.

- There are 48 half - hourly batches every day.

The settlement of the first batch will commence at 12.30 a.m (after midnight) and the last batch will end at 12.00 a.m. (midnight) hours. NEFT will be available on all days of the years (including holidays).NEFT timing cycle will function round the clock.

NEFT transactions after usual banking hours of banks are expected to be in automated modes through “Straight Through Processing” (STP) by all the banks.

The existing discipline for crediting the beneficiary account or returning the transaction within 2 hours of the respective batch to the originating bank will continue.

Originating banks are required to pay a nominal charge of 25 paise each per transaction to the clearing house as well as destination bank as service charge. However, these charges cannot be passed on to the customers by the banks.

However, in order to provide an impetus to digital funds movement, RBI has decided to waive processing charges and time varying charges w.e.f. July 1, 2019, which was so far being levied by RBI on banks for outward transactions in case of NEFT as also RTGS transactions.

The transactions are settled in B+2 timings and hence the beneficiary can expect to get credit for the NEFT transactions within two business hours from the batch in which the transaction was settled. If it is not possible to afford credit to the account of the beneficiary for whatever reason, destination banks are required to return the transaction (to the originating branch) within two hours of completion of the batch in which the transaction was processed. In case of successful credit to the beneficiary's account, the bank which had originated the transaction is expected to send a confirmation to the originating customer (through SMS or e-mail) advising of the credit as also mentioning the date and time of credit. For the purpose, remitters need to provide their mobile number/e-mail-ID to the branch at the time of originating the transaction. The remitter can track the NEFT transaction through the originating bank branch or its Customer Facilitation Centre (CFC) using the Unique Transaction Reference (UTR) number provided at the time of initiating the fund transfer. It is possible for the originating bank branch to keep track and be aware of the status of the NEFT transaction at all times. If the NEFT transaction is not credited or returned within the stipulated time, then the banks are liable to pay penal interest to the affected customers. Banks are required to pay penal interest at the current RBI LAF Repo Rate plus two percent for the period of delay/till the date of refund as the case may be to the affected customers' account without waiting for a specific claim to be lodged by the customer in this regard.

NEFT – Process Flow

The parties to a funds transfer under NEFT System are:

- a. The Sending Bank,
- b. The Sending Service Centre,
- c. The NEFT Clearing Centre,
- d. The Receiving Service Centre, and
- e. The Beneficiary Branch.

Operations

Step 1. An individual/firm/corporate intending to originate transfer of funds through NEFT has to fill an application form providing details of the beneficiary (like name of the beneficiary, name of the bank branch where the beneficiary has an account, IFSC of the beneficiary bank branch, account type and account number) and the amount to be remitted. The application form will be available at the originating bank branch. The remitter authorizes his/her bank branch to debit his account and remit the specified amount to the beneficiary. Customers enjoying net banking/mobile banking/ UPI facility offered by their bankers can also initiate the funds transfer request online. Some banks offer the NEFT facility even through the ATMs. Walk-in customers will, however, have to give their contact details (complete address and telephone number, etc.) to the branch. This will help the branch to refund the money to the customer in case credit could not be afforded to the beneficiary's bank account or the transaction is rejected/returned for any reason.

Step 2. The originating bank branch prepares a message and sends the message to its pooling centre (also called the NEFT Service Centre).

Step 3. The pooling centre forwards the message to the NEFT Clearing Centre (operated by National Clearing Cell, RBI, Mumbai) to be included for the next available batch.

Step 4. The Clearing Centre sorts the funds transfer transactions destination bank-wise and prepares accounting entries to receive funds from the originating banks (debit) and give the funds to the destination banks (credit). Thereafter, bank-wise remittance messages are forwarded to the destination banks through their pooling Centre (NEFT Service Centre).

Step 5. The destination banks receive the inward remittance messages from the Clearing Centre and pass on the credit to the beneficiary customers' accounts.

NEFT can be used to transfer funds from or to NRE and NRO accounts in the country. This, however, is subject to the adherence of the provisions of the Foreign Exchange Management Act, 2000 (FEMA) and Wire Transfer Guidelines.

Every participating bank and admitted institution shall open and maintain in the NEFT Clearing Centre, Mumbai, a settlement account for settlement of payment obligations arising under the funds transfer executed under the NEFT system. The settlement so arrived at through multilateral netting shall be final and irrevocable, in terms of section 23 of the "Payment and Settlement Systems Act, 2007" as soon as the same is determined in terms of the procedures notified by RBI.

NEFT – Rights and Obligations of Customers and Banks

Reserve Bank of India has prescribed the rights and obligations under NEFT for both customers and banks. The same are detailed below.

1. Every participating bank or institution shall maintain the security, integrity and efficiency of the system.
2. Funds transfer instruction shall be issued by the customer in a manner prescribed by the participant bank.
3. The format shall be complete in all requisite particulars.
4. The customer shall be responsible for the accuracy of the particulars given in the payment instruction.
5. The customer shall be bound by any payment instruction executed by the bank if the bank had executed the payment instruction in good faith and in compliance with the security procedure, provided that the customer shall not be bound by any payment instruction executed by the bank, if he proves that the same was not issued by him and that it was caused either by negligence or a fraudulent act of any employee of the bank.
6. The customer shall ensure availability of funds in his account while issuing the payment instruction to his bank.
7. The payment instruction shall become irrevocable once it is executed by the bank. The bank

is not bound by any notice of revocation unless it is not in compliance with the security procedure.

8. In the event of any delay in the completion of the Funds Transfer or any loss on account of error in the execution of the Funds Transfer pursuant to a payment instruction, the bank's liability shall be limited to the extent of payment of interest at the Bank Rate for the period of delay in the case of delayed payment and refund of the amount together with interest at the Bank Rate upto the date of refund, in the event of loss on account of error, negligence or fraud on the part of any employee of the bank.
9. The sender/originator shall be entitled to claim compensation from the sending bank for the period of delay in the completion of funds transfer and/or any other penalty which may be levied/decided by RBI.
10. Customers can complain to the Banking Ombudsman if the complaint is not resolved within thirty days.

Advantages

NEFT offers many advantages over the other modes of funds transfer, such as:

- The remitter need not send the physical cheque or Demand Draft to the beneficiary.
- The beneficiary need not visit his/her bank for depositing the paper instruments.
- The beneficiary need not be apprehensive of loss/theft of physical instruments or the likelihood of fraudulent encashment thereof.
- Cost effective.
- Credit confirmation of the remittances sent by SMS or email.
- Remitter can initiate the remittances from his home/place of work using the internet banking also.
- Near real time transfer of the funds to the beneficiary account in a secure manner.
- NEFT available 24*7*365 days w.e.f. 16th January, 2019.
- NEFT available 24*7*365 days for online NEFT transactions initiated via internet/ mobile banking portal for Savings Account holder free of charge w.e.f. 01.07.2020.

11.4 REAL TIME GROSS SETTLEMENT (RTGS)

The acronym 'RTGS' stands for Real Time Gross Settlement, which can be defined as the instant (real-time) settlement of funds transfers individually on an order-by-order basis (without netting). 'Real Time' means the processing of instructions at the time they are received 'Gross Settlement' means the settlement of funds transfer instructions carried out individually (on an instruction by instruction basis). Considering that the funds settlement takes place in the books of the Reserve Bank of India, the payments are final and irrevocable. With the implementation

of “RTGS system Regulations 2013”, RBI has launched a new RTGS system with advanced features, viz., hybrid features and future value dated transaction features, Centralised Anti Money Laundering filtering.

Real Time Gross Settlement System (RTGS) is a remittance product that has drastically changed the complexion of the remittances scenario in financial services. This global practice was introduced in India for changing the model of remittances and to bring in efficiency in settlement of transactions on a real time basis. The impact and growth of RTGS in the past two years is an indication of acceptance and growth of the product as an effective and speedy remittance tool though it is skewed more on the corporate and interbank side than the retail side.

RTGS has replaced high value clearing across all the centres in India, thus saving a significant expense in the manual running of such activities. With the implementation of Core Banking Systems (CBS) in all the banks, many banks have enabled Straight Through Processing (STP) of RTGS transactions by corporate and retail customers with the use of net banking tools. This has greatly reduced operating expenses and consequent operational risks for the banks which were handling remittances in a manual mode till recently. This has replaced the more time-consuming and expensive practices of mailing DDs, which were prevalent till recently.

RTGS – Process Flow

Remittances and Funds transfers through RTGS are transmitted through a series of process inputs and travel from the customer end to the beneficiary end. The remittances are communicated through a structured messaging process and settlement for the message is made on a gross basis from the liquidity maintained by the sender bank with the settlement bank. The remittances are credited on a dynamic basis and settlement also made on a dynamic basis. That is message communication, remittance, credit and settlement for the credit are done immediately subject to the systems and procedures prescribed for remittances through RTGS. The procedure for remittance through RTGS is explained below:

1. The transactions carried out by RTGS are “Inter Bank Transactions” and “Customer Payment Transactions” and “Delivery Vs Payment Transactions”.
2. Inter Bank Transactions are used to settle the participant bank’s financial obligations on their own account.
3. In “Customer Payment Transaction”, customer information along with the payment message can be transmitted in a structured format.
4. “Delivery Vs Payment Transactions” will arise out of RBI’s Securities Settlement System and is settled in the RTGS as a separate transaction.
 - Inter Bank Payments and Transactions mainly arise out of treasury operations such as money and debt market deals and foreign exchange transactions.
 - In Customer to Customer Transactions, remittances from the customer to a beneficiary in the same bank/other bank are handled. The transactions are routed from one RTGS

enabled branch to another RTGS enabled branch of the same bank/other bank through the centralised RTGS operations of the bank and routed through a centralised gateway to another bank.

- Own account transactions relate to the transfer of funds from the bank's one RBI account to another done by the treasury department of banks to maintain the liquidity limits prescribed by RBI.

In retail banking space, customer based transactions mainly assume importance and RTGS has emerged as a very effective remittance mechanism in lieu of drafts, bank orders. The minimum amount to be remitted through RTGS is ₹2 lakh. There is no upper ceiling for RTGS transactions. Let us see the process flow for customer based transactions.

1. Request to emanate from the customer to route a remittance through RTGS. The customer would request his banker to debit his account and pay the money to the beneficiary providing the details of bank account of the beneficiary. The remitting customer has to furnish the following information to a bank for initiating a RTGS remittance:
 - (a) Amount to be remitted
 - (b) Remitting customer's account number which is to be debited
 - (c) Name of the beneficiary bank and branch
 - (d) The IFSC Number of the receiving branch
 - (e) Name of the beneficiary customer
 - (f) Account number of the beneficiary customer
 - (g) Sender to receiver information, if any.
2. The originating bank would debit the account as per the mandate and create a structured message under RTGS.
3. The message after due authentication would be communicated to the payment system gateway of the bank. The same would be transmitted to the RTGS system.
4. The messages would be routed through a central hub which will receive the messages in a queue and forward the message to the gateway of the other bank.
5. After authentication, the message will be processed and debited from the sender bank and credited to the beneficiary bank. After the debit, credit is made with the customer details and beneficiary details.
6. The beneficiary bank (message receiving bank) will then transmit the message to the beneficiary branch for credit of the beneficiaries account with the branch.
7. For effecting RTGS debits and credits, banks would be maintaining settlement accounts separately with RBI and sufficient liquidity has to be maintained in these accounts.

8. If there are any shortfalls in the liquidity of banks in their settlement accounts, mechanisms are in place to provide temporary liquidity so that the transaction processes are not jeopardized.

RTGS as a funds transfer mechanism has revolutionised the concept of remittances though it is more relevant for big ticket transactions and applicable in a limited way for retail banking.

The RTGS system will be operational on all days except specified holidays as decided by RBI from time to time.

Cut-off Times in the RTGS System at RBI (effective September 1, 2015)

Sl. No	Time event	Regular days including Saturdays, except Second and Fourth Saturdays of the Month
1.	Open for Business	08:00 hours
2.	Initial Cut-off (Customer transactions)	16:30 hours
3.	Final Cut-off (Inter-bank transactions)	19:45 hours
4.	IDL Reversal	19:45 hours – 20:00 hours
5.	End of Day	20:00 hours

Maximum Service Charges, Members Can Levy from the Customers

Sl. No	RTGS transaction type and value band	Maximum customer charges
1.	Inward transactions	Free
2.	Outward transactions	
2.a	₹2 lakh to ₹5 lakh	₹25 + applicable time varying tariff subject to a maximum of ₹30/-.
2.b	Above ₹5 lakh	₹50 + applicable time varying tariff subject to a maximum of ₹55/-

Time-varying tariff as follows:

Block	Time of settlement at the Reserve Bank of India		Charge per transaction ₹
	From	To	
1.	08:00 hours	11:00 hours	Nil
2.	After 11:00 hours	13:00 hours	2.00
3.	After 13:00 hours	16:30 hours	5.00
4.	After 16:30 hours		10.00

W.e.f. 14th Dec.2020, RBI has made available RTGS services 24*7* 365 days.

W.e.f.01.07.2019, RBI has waived the processing charges levied by it for RTGS transactions. Banks may pass on the benefit to customers.

With a view to rationalise the service charges levied by the banks for offering fund transfer through RTGS system, a broad framework of charges has been mandated as under,

(a) Inward transaction:

--- Free, no charge to be levied

(b) Outward transaction:

(i) ₹2/- lac to ₹5/- lac :- not exceeding ₹24.50/- (exclusive of taxes, if any)

(ii) Above ₹5/- lac: not exceeding ₹49.50 (exclusive of taxes, if any)

Banks may decide to charge a lower rate but cannot charge more than the rates prescribed by RBI.

Under normal circumstances, the beneficiary branches are expected to receive the funds in real time as soon as funds are transferred by the remitting bank. The beneficiary bank has to credit the beneficiary's account within 30 minutes of receiving the funds transfer message. The remitting bank receives a message from the RBI that money has been credited to the receiving bank. Based on this, the remitting bank can advise the remitting customer through SMS that money has been credited to the receiving bank.

The funds, received by a RTGS member for the credit to a beneficiary customer's account, will be returned to the originating RTGS member within one hour of the receipt of the payment at the recipient bank or before the end of the RTGS Business day, whichever is earlier, if it is not possible to credit the funds to the beneficiary customer's account for any reason, e.g., account does not exist, account frozen, etc. Once the money is received back by the remitting bank, the original debit entry in the customer's account is reversed.

In case of any failure of the system resulting in non-operation at the member end, the member should report to the RBI at the earliest and not later than 30 minutes of the incidence. The members have to adhere to the Business Continuity Plan (BCP)/Disaster Recovery (DR) guidelines as notified by the Bank from time to time.

Distinction between RTGS and NEFT

The fundamental difference between RTGS and NEFT, is that while RTGS is based on gross settlement, NEFT is based on net-settlement. Gross settlement is where a transaction is completed on a one-to-one basis without bunching with other transactions. On the other hand, a Deferred Net Basis (DNS), or net-settlement means that the transactions are completed in batches at specific times. Here, all transfers will be held up until a specific time. RTGS transactions are processed throughout the working hours of the system.

RTGS transactions involve large amounts, basically only funds ₹2,00,000 and above may be transferred using this system for customer transactions. For NEFT, there is no minimum or maximum amount stipulated. RTGS processes in real-time ('push' transfer), while NEFT processes in cycles during the given working day. This causes a EFT transaction that is initiated later than the last cycle to be completed the next day. To transfer large sums of money real time,

RTGS is better but for small amounts, where there is not much urgency NEFT is a better option.

11.5 ELECTRONIC CLEARING SERVICES (ECS)

ECS is an electronic mode of payment/receipt for transactions that are repetitive and periodic in nature. ECS is used by institutions for making bulk payment of amounts towards the distribution of dividend, interest, salary, pension, etc., or for bulk collection of amounts towards telephone/electricity/water dues, cess/tax collections, loan instalment repayments, periodic investments in mutual funds, insurance premium, etc. ECS includes transactions processed under National Automated Clearing House (NACH) operated by National Payments Corporation of India (NPCI).

Variants of ECS

There are two variants of ECS, ECS Credit and ECS Debit.

- **ECS Credit** is used by an institution for affording credit to a large number of beneficiaries, viz., employees, investors, pensioners, etc., in their bank accounts. The payment includes salary, dividend, interest and pension. ECS Credit payments are initiated by ECS Credit User. ECS User has to register itself with the clearing centre. ECS Credit payments can be put through by the ECS User only through his/her bank (known as the sponsor bank). ECS Credits are afforded to the beneficiary account holders (known as destination account holders) through the beneficiary account holders' bank (known as the destination bank). The beneficiary account holders are required to give mandates to the user institutions to enable them to afford credit to their bank accounts through the ECS Credit mechanism.

The user submits details of the beneficiaries (like name, bank/branch/account number of the beneficiary, MICR code of the destination bank branch, etc.), the date on which credit is to be afforded to the beneficiaries, etc., in a specified format through its bank (sponsor bank) to one of the ECS Centres where it is registered as a User.

The ECS Centre then debits the account of the sponsor bank on the scheduled settlement day and credits the accounts of the destination banks, for onward credit to the accounts of the ultimate beneficiaries with the destination bank branches.

ECS can be used to transfer funds to NRE and NRO accounts in the country. This, however, is subject to the adherence to the provisions of the Foreign Exchange Management Act, 2000 (FEMA) and Wire Transfer Guidelines.

It is the responsibility of the user institution to communicate to the beneficiary the details of credit that are being afforded to his/her account, indicating the proposed date of credit, amount and related particulars of the payment.

In case of delayed credit by the destination bank, the destination bank would be liable to pay penal interest (at the prevailing RBI LAF Repo rate plus two percent) from the due date of credit till the date of actual credit. Such penal interest should be credited to the Destination Account Holder's account even without a claim by the Destination Account Holder.

- **ECS Debit** is used by an institution for raising debits to a large number of accounts maintained with bank branches at various locations within the jurisdiction of a ECS Centre. ECS Debit is useful for payment of telephone/electricity/water bills, cess/tax collections, loan installment repayments, periodic investments in mutual funds, insurance premium, regular payment of landline/postpaid telephone bills, etc., that are periodic or repetitive in nature and payable to the user institution by large number of customers.

The ECS Debit User has to submit details of the customers (like name, bank/branch/account number of the customer, MICR code of the destination bank branch, etc., the date on which the customer's account is to be debited, etc., in a specified format through its sponsor bank to the ECS Centre.

The ECS Centre then passes on the debits to the destination banks for onward debit to the customer's account with the destination bank branch and credits the sponsor bank's account for onward credit to the User institution. Destination bank branches will treat the electronic instructions received from the ECS Centre on par with the physical cheques and accordingly debit the customer accounts maintained with them. All the unsuccessful debits are returned to the sponsor bank through the ECS Centre (for the onward return to the User Institution) within the specified time frame.

Any mandate in ECS Debit is on par with a cheque issued by a customer. The customer has to maintain adequate funds in his/her account with the destination bank branch to ensure the ECS Debit instructions are honoured when presented. In case of any need to withdraw or stop a mandate, the customer has to give prior notice to the ECS user institution well in time, so as to ensure that the input files submitted by the user do not continue to include the ECS Debit details in respect of the mandates withdrawn or stopped by customers.

A customer, if he/she chooses, can stipulate ceiling on the amount of debit, purpose or validity period of the mandate under the ECS Debit Scheme. It is left to the choice of the individual customer and the ECS user to decide these aspects.

As notified by RBI, no fresh Post Dated Cheques (PDC)/Equated Monthly Installment (EMI) cheques shall be accepted by lending banks in locations where the facility of ECS/RECS (Debit) is available. Lending banks shall make all efforts to convert existing PDCs in such locations into ECS/RECS (Debit) by obtaining fresh mandates from the borrowers.

Dishonour of electronic funds transfer request for insufficiency of funds in banks. The provisions contained in Section 25 of the Payment and Settlement Systems Act, 2007 accord the same rights and remedies to the payee against dishonour of electronic funds transfer as are available to the payee under section 138 of the Negotiable instruments Act.

The sub-section (5) of Section 25 of the Payment and Settlement Systems Act, 2007 provides for punishment of 2 years and twice the amount of electronic funds transfer, or both for dishonour of electronic funds transfer has been stipulated for dishonour of cheques under the Negotiable instruments Act.

Categories of ECS Schemes

Based on the geographical location of branches covered, there are three broad categories of ECS Schemes. Local ECS, Regional ECS (RECS) and National ECS (NECS). National Automated Clearing House (NACH) is also one of the forms of ECS system offered by NPCI.

- **Local ECS** is operating at 81 centres/locations across the country. At each of these ECS centres, the branch coverage is restricted to the geographical coverage of the clearing house, generally covering one city and/or satellite towns and suburbs adjoining the city. These are operated either by RBI or designated banks.
- **Regional ECS (RECS)** is operating at 9 centres/locations at various parts of the country. RECS facilitates the coverage all core-banking-enabled branches in a State or group of States and can be used by institutions desirous of reaching beneficiaries within the State/group of States. These are operated by RBI.
- **National ECS (NECS)** is the centralized version of ECS. The scheme is operated at Mumbai and facilitates the coverage of all core-banking enabled branches located anywhere in the country. This system too takes advantage of the core banking system in banks. This is operated by RBI.

The account holder/customer is also entitled to withdraw the mandate/debit instruction from his/her banker without involvement of the User institution. The withdrawal instructions of a customer in such cases would be treated equivalent to a 'stop payment' instruction in cheque clearing system. The destination bank branches would provide such withdrawal of mandate information to the Users, on request. To prevent possible attempts of fraudulent change of data in transit, the NCC/NPCI/Clearing House/Clearing Agency will receive the data in a secured way, if necessary, duly encrypted.

The settlement so arrived at by the Clearing House/Clearing Agency under ECS (debit) Clearing through multilateral netting shall be final and irrevocable. The entry in the Statement of Account/Pass Book/Pass Sheet made by the destination banks should be clear enough to indicate that the transaction in question was through ECS with such other additional information as provided by the User. There would be no stipulation on the minimum number of transactions to be put through.

Advantages

ECS has the following advantages:

1. There is no need for issuing any cheque to the beneficiary for each payment and debit is made automatically. The ECS mandate will suffice for the period for which the mandate is given.
2. Payment defaults will not happen if there is sufficient balance in the account.
3. No follow up is needed by the beneficiary as payment will be received automatically based on the mandate obtained.

4. Hassle free for the mandate issuer, as it saves time for him for issuing cheques for each payment.
5. The process is flexible as the mandate can be changed also in case of debit to another account or debit of higher amount, etc.

11.6 NATIONAL AUTOMATED CLEARING HOUSE (NACH) SYSTEM

National Automated Clearing House (NACH) has taken place of ECS on May 1, 2016.

National Payments Corporation of India (NPCI) has implemented “National Automated Clearing House (NACH)” for Banks, Financial Institutions, Corporate and Government, a web based solution to facilitate interbank, high volume, electronic transactions which are repetitive and periodic in nature. NACH System can be used for making bulk transactions towards distribution of subsidies, dividends, interest, salary, pension, etc., and also for bulk transactions towards collection of payments pertaining to telephone, electricity, water, loans, investments in mutual funds, insurance premium, etc.

National Automated Clearing House (NACH) is a centralized system, launched with an aim to consolidate multiple ECS systems running across the country and provides a framework for the harmonization of standard & practices and removes local barriers/inhibitors. NACH system will provide a national footprint and is expected to cover the entire core banking enabled bank branches spread across the geography of the country irrespective of the location of the bank branch.

With the implementation of NACH system, NPCI intends to provide a single set of rules (operating and business), open standards and best industry practices for electronic transactions which are common across all the Participants, Service Providers and Users, etc. NACH system also supports Financial Inclusion measures initiated by Government, Government Agencies and Banks by providing support to Aadhaar based transactions. The NACH system facilitates the member banks to design their own products and also addresses specific needs of the banks & corporates including a refined Mandate Management System (MMS) and an online Dispute Management System (DMS) coupled with strong information exchange and customised MIS capabilities.

NACH’s Aadhaar Payment Bridge (APB) System, developed by NPCI has been helping the Government and Government Agencies in making the Direct Benefit Transfer scheme a success. APB System has been successfully channelizing the Government subsidies and benefits to the intended beneficiaries using the Aadhaar numbers. The APB System links the Government Departments and their sponsor banks on one side and beneficiary banks and beneficiary on the other hand.

NACH, which was initially available on bank working days, is now made available by on all days of the week beginning August 1, 2021, in order to improve client convenience and leverage the 24x7 availability of RTGS.

How NACH is beneficial to customers, banks and organizations?

NACH has been introduced to make it easier for anyone who makes large, high-volume payments on a monthly basis. Customers, banks, and businesses all are gainer equally from the NACH system.

Benefits to customer:

- No need for a manual process in this case.
- The process is easier and faster than ECS.
- No need to keep track of due dates for payments such as utility bills, phone and credit card bills, interest payments, and a variety of other payments because they are all handled automatically through registered banks.

Benefits to Organization:

- No dependence on cheques or clearance.
- Payments such as scholarships, allowances, and subsidies take less time to process.
- Salary, dividends, and pension payments are all made on scheduled date.
- Much improved customer service and bill payment.

Benefits to Bank:

- Better customer service, faster payment processing, and stronger ties with associated organisations.
- No need to rely on checks or paperwork.
- Registration, payment, and collection of EMI, loans, and advances are all done in a hassle-free manner.
- Because no manual processes are involved, there are fewer errors and a smoother workflow than before.
- Transactions that are quick and do not take a long time to complete.

Comparison between ECS and NACH:

- NACH is much faster with same day presentation, settlement and returns processing, compared to the ECS system, where the entire process spreads over 3-4 days.
- NACH has a well-defined Dispute Management System, to raise and solves issues, which was absent in the case of ECS.
- NACH also has a robust Mandate Management System, with standardised mandate format and verification workflow.
- NACH introduced the Unique Mandate Reference Number to clearly identify each mandate with reference to a customer.

Different parties to NACH

Sponsor Banks

Banks in India who are members of any Payment System/Channel approved by the Reserve Bank of India, and who enter into a mutual agreement with NPCI will be permitted to originate transactions in the NACH system, as “Sponsor Banks”. It is the bank which will forward the mandate given by their corporate customer through NPCI to the Destination Bank for approval of the mandate.

Destination Banks

All banks in India who are members of any Payment System/Channel approved by the Reserve Bank of India would be allowed to participate on NACH system as “Destination Banks”, on submission of necessary Agreement. These banks would be allowed to process transactions through NACH, as well as, process Mandates and update the Aadhaar Mapper. It is the bank which will authorise/reject the mandate sent to them and will make payment of the amount as per the approved mandate. As part of the mandate approval process, the bank should validate the customer details given in the mandate.

Users

The Corporates/Government Departments will have to indicate the names of the Sponsor Bank with whom they are maintaining accounts to facilitate the settlement on their behalf. They would be allowed to participate on NACH system as “Users”, on submission of necessary Agreement, through their Sponsor Bank.

Clearing Times

The system will have the capability to undertake multiple presentations and return settlements during a day, but, initially it will be restricted to one presentation settlement session and one corresponding return settlement session per day.

Settlement Finality

The settlement shall be final and irrevocable, as defined in Section 23 of the “Payment and Settlement Systems Act 2007” and will be handled as per the RBI Guidelines on Settlement and Default Handling Mechanism.

Mandate Management System (MMS)

Mandate Management System (MMS) is an essential part of National Automated Clearing House (NACH) service. The Mandates are necessary from the regulatory perspective in order to process NACH transactions. Each mandate is uniquely identified by Unique Mandate Reference Number (UMRN) which makes tracking of multiple mandate details easier for customers. Mandate repository containing Mandate details to be maintained for the purpose of validating mandate UMRN available on the NACH transaction files, at the time of NACH transaction processing.

MMS would allow processing of:

- Debit and Credit mandates,
- Debtor and Creditor initiated mandates,
- E-mandates as well as paper mandates.

Where e-mandates would consist of data file upload while paper mandates would consist of mandate image and Data file uploads.

Mandate amendments and Mandate cancellations:

An amendment by the customer of mandate may be executed in a similar way the new mandate is initiated, however the only difference is that the mandate amendment/cancellation request will contain the Unique Mandate Management Reference (UMRN) number that was communicated to the customer by destination bank when the mandate record was validated, authorized and passed successfully. Therefore, the customer will send mandate amendment/cancellation request through sponsor bank, and the same will reach destination bank through NPCI. Mandate record would need to get updated post validation of customer details at the respective bank end.

For e-mandates, amount is capped at ₹1 lakh per mandate.

Penalty on the mandates pending

NPCI levy penalty on the mandates pending beyond the agreed TAT.

Mandates below ₹3 Lakh:

- Pending for 0 to 7 days – No penalty – incentive of ₹5 per mandate
- Pending for 8 to 10 days – No penalty – No incentive
- Pending beyond 10 days – No incentive – penalty of ₹10 per mandate

Mandates above ₹3 Lakh:

- Pending for 0 to 10 days – No penalty – incentive of ₹5 per mandate
- Pending beyond 10 days – No incentive – Penalty of ₹10 per mandate

Mandate processing charges

NPCI levies mandate processing charges of NACH with effect from 01.01.2018.

All the ACH mandates (based on scanned copy of the physical mandates) presented with effect from January 01, 2018 will attract charges:

Type of service	NPCI Charges	Remarks
Mandate Initiation/modification/cancellation	₹1.50 per mandate	₹1.00 on initiating bank ₹0.50 on receiving bank

Settlement of clearing transaction

Settlement will be handled in two different ways. One for the transactions processed on T+0 basis (same day credit) and the other for the transactions to be processed on T+1 basis (next day credit).

T+0 Credit/Debit

Debit/Credit instruction file to be made available for the Destination Bank only after debiting/crediting settlement account of the Destination Bank/Sponsor Bank, as applicable. The Sponsor Bank should credit the beneficiary account on the same day for NACH (Debit) and the Destination Bank should credit the beneficiary account for NACH (Credit) on receipt of funds in to their settlement account.

T+1 Credit/Debit

This is applicable to all the products that are being run on warehousing basis for value dated credits like ECS credit, ECS debit migrated to NACH, etc. The inward file will be made available to the member banks on the previous day evening. NPCI will be debiting/crediting settlement account of the Destination Bank/Sponsor Bank, as applicable, only on the next working day on which settlement bank should post the settlement files. The member banks should ensure that they process the transactions received in inward files only after verifying that the necessary settlement entries (i.e., debit or credit, as applicable) are sighted in the settlement account, maintained with settlement bank.

11.7 AADHAAR ENABLED PAYMENT SYSTEM

Aadhaar Enabled Payment System (AePS) is a bank led model which allows online interoperable financial transaction at PoS (Point of Sale/ Micro ATM) through the Business Correspondent (BC)/Bank Mitra of any bank using the Aadhaar authentication. This needs a KYC compliant bank account in which Aadhaar has been linked. It allows online interoperable financial inclusion transaction at PoS (Micro ATM) through the Business correspondent of any bank using the Aadhaar authentication.

Services Offered by AePS

- Cash Withdrawal
- Cash Deposit
- Balance Enquiry
- Aadhaar to Aadhaar Fund Transfer
- Mini Statement

11.8 BHARAT BILL PAYMENT SYSTEM (BBPS)

Objectives

The objective of the BBPS is to implement an integrated bill payment system in the country that offers interoperable and accessible bill payment services to customers through a network of agents, enabling multiple payment modes, and providing instant confirmation of receipt of payment.

The Bharat Bill Payments system is a Reserve Bank of India (RBI) conceptualised system driven by National Payments Corporation of India (NPCI). It is a one-stop payment platform for all bills providing an interoperable and accessible “Anytime Anywhere” bill payment service to all customers across India with certainty, reliability and safety of transactions.

Different Payment Channels

Bharat Bill Pay transaction can be initiated through multiple payment channels like Internet, Internet Banking, Mobile, Mobile-Banking, PoS (Point of Sale terminal), Mobile Wallets, MPoS (Mobile Point of Sale terminal), Kiosk, ATM, Bank Branch, Agents and Business Correspondents.

Key Participants

Bharat Bill Payment Central Unit (BBPCU)

National Payments Corporation of India (NPCI) has been authorized by RBI as the Bharat Bill Payment Central Unit (BBPCU) and is responsible for setting business standards, rules and procedures for technical and business requirements for all participants. The BBPCU undertakes clearing and settlement activities related to transactions routed through Bharat Bill Pay.

Bharat Bill Payment Operating Unit (BBPOU)

Bharat Bill Payment Operating Unit (BBPOU) is the entity that is authorized by Reserve Bank of India. It can be a Bank or a Non-Bank. BBPOU may choose to integrate either with the customers, (COU: Customer OU) or with the billers (Biller OU) or may wish to participate as both which means such BBPOU will be integrated with customers as well as billers.

Agent Institutions

Eligible Entities who wish to offer or those who are currently in bill payment, collection and aggregation business would operate under a COU (Customer BBPOU) on receiving authorisation from RBI. Customer BBPOU will on-board Agent institutions which may further on-board agents and/or set up customer service points in various regions and locations.

Agents

Agents are the customer touch points and service points in the Bharat Bill Pay ecosystem available in the form of agent outlets, Business Correspondent outlets, Bank branches, Collection centres, Retail outlets.

Biller/Utility Company

Service providers, who shall receive payments from customers for services rendered. By participating in the Bharat Bill Pay scheme, the biller will be able to receive payments from third party channels for the services provided to the customer. A biller may tie up with two BBPOUs to access the entire universe of its consumers and all payment channels.

Category of Billers in Bharat Bill Pay: The category of billers eligible to participate in Bharat Bill Pay will be specified from time to time by Reserve Bank of India (RBI). The current categories specified are as follows:

1. Electricity
2. Telecom (Mobile Post-paid, Landline Post-paid and Broadband)
3. DTH
4. Gas
5. Water

Over a period of time, other categories like insurance premium, mutual funds, school fees, institution fees, credit cards, local taxes, invoice payments, etc., may be covered under Bharat Bill Pay.

As announced in the Statement on Developmental and Regulatory Policies issued on 5th August' 2022, RBI has allowed foreign inward remittances received under the Rupee Drawing Arrangement (RDA), to be transferred to the KYC compliant bank account of the biller (beneficiary) through BBPS.

11.9 BENCHMARKING INDIA'S PAYMENT SYSTEM

(RBI report July 01, 2022)

The Reserve Bank of India has released the report on Benchmarking India's Payment System providing a comparative position of payments ecosystem in India relative to other major countries. The benchmarking exercise was first carried out in 2019 with respect to the position in 2017. The recent follow-on benchmarking exercise, covering the same countries and parameters used in the earlier study, was undertaken with respect to the position in 2020. The highlights of the present exercise are as below:

- India was categorized as a 'leader' or 'strong' in respect of 25 (21 in the previous exercise) out of 40 indicators and categorized as 'weak' in respect of 8 (12 in the previous exercise) indicators.
- India has made significant and moved to a leadership position in large value payments and fast payments, which contributed to rapid growth in digital payments.
- Since the last exercise, India has demonstrated improvement in digital payment options available for bill payments, ticketing systems for public transport, available channels for cross border remittances and decline in cheque usage.

- The exercise highlights that there is scope for improvement in acceptance infrastructure i.e. ATMs and POS terminals. The Payments Infrastructure Development Fund (PIDF) Scheme was operationalized in 2021 to enhance the acceptance infrastructure and bridge the gap.
- The decline in India's rating in some parameters involving currency in circulation is explained by the increased demand of cash as a store of value during the Covid-19 pandemic related lockdown and the slowdown in economic growth during 2020.

Benchmarking exercise summary

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
(A) Regulation	1	Laws in place and scope of regulation	The Reserve Bank's scope of regulation extends to the whole gamut of payment systems and instruments as also services provided by banks and non-banks. India is one of the few countries that has a designated law on payment systems. In order to maintain public confidence in the payment systems, entry and exit of operators is regulated in India, unlike certain other jurisdictions.	Strong	Strong
	2	Regulation of costs of payment systems	Processing charges have been waived by RBI on the payment systems it operates, viz. RTGS and NEFT transactions. In addition, with effect from January 1, 2020 banks were directed not to levy any charges on NEFT funds transfers initiated online by their savings bank account holders. Further, with effect from January 1, 2020, the Government has directed that Merchant Discount Rate (MDR) shall not be collected for transactions put through UPI and RuPay debit cards.	Leader	Leader

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
(B) Cash	3	CIC per capita	The CIC per capita in India increased from USD 218 in 2017 to USD 288 in 2020. However, CIC per capita in India continues to be considerably lower than most of the countries included in the benchmarking exercise. The CIC per capita is observed to vary significantly among the advanced economies and emerging economies.	Strong	Leader
	4	CIC as percent of GDP	The CIC as percent of GDP is observed to be the third highest for India out of the countries included in the benchmarking exercise. CIC in India increased to 14.4% of GDP in 2020 from 10.7% of GDP in 2017, consistent with the trend observed across jurisdictions. With the onset of Covid pandemic, there was a dash for cash across all jurisdictions. Lockdowns were severe in India, as a result of which economic activity was impacted and there was steep contraction in GDP, relative to other countries. The decline in GDP (denominator) contributed considerably to increase of CIC as percent of GDP for India in 2020.	Moderate	Weak

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
(C) Payment systems transactions	5	Payment systems transactions volume and growth	The volume of payment systems transactions in India grew strongly at a CAGR of 21% between 2017 and 2020, indicating rapid adoption of non-cash payment modes. The CAGR observed in India was second highest amongst countries included in the benchmarking exercise, behind only Saudi Arabia (26%).	Moderate	<i>Volume:</i> Strong; <i>CAGR:</i> Leader
	6	Value of payment systems transactions to CIC	The value of payment systems transactions to CIC was one of the lowest in India (44.9) in 2020 as compared to other countries included in the benchmarking exercise. Indonesia, South Africa, Turkey and United Kingdom are the few countries that witnessed a growth in the ratio from 2017 to 2020.	Moderate	Weak
(D) Cheques	7	Rate of decline of cheques	In India, the volume of cheque payments in 2020 (708 million) was high, as compared to other countries. Cheque-based payment transactions in India declined at a CAGR of 15.4% from 2017 to 2020.	Weak	Moderate
	8	Share of cheques in payment systems (volume)	The share of cheque payments in total payment systems transactions in India has reduced to 1.7% in 2020 from 7.5% in 2017.	Weak	Weak

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
	9	Cheque instrument features	In 2021, India brought all bank branches under the image-based Cheque Truncation System (CTS) clearing mechanism ensuring T+1 settlement for all instruments across the country. Further, to provide additional security, a mechanism of positive pay was made available for all high value cheques, i.e., above ₹50,000.	Leader	Leader
(E) Debit and credit cards	10	Number of debit and credit cards issued	India, with 886 million debit cards at the end of 2020, was behind only China (8178 million) in terms of number of debit cards issued. In terms of number of credit cards issued, India with 60.4 million credit cards, was behind USA, China, Brazil, Canada, Korea and Turkey.	<i>Debit Cards:</i> Leader; <i>Credit Cards:</i> Moderate	<i>Debit Cards:</i> Leader; <i>Credit Cards:</i> Strong;
	11	Share of debit and credit card payments in payment systems (volume)	In 2020, the share of card payments in total payment systems transactions was the second lowest in India (14.7%), with only Indonesia witnessing a lower share (7.2%). Further, in 2020 India was one of the few countries along with Indonesia, Korea, Sweden, Turkey and United Kingdom to witness a decline in share of card payments as compared to 2017.	Weak	Weak

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
	12	Points of Sale (PoS) terminals deployed	The number of PoS terminals available in India (4.6 million) as at the end of 2020 was higher than the countries considered in the benchmarking exercise with the exception of Brazil (13.4 million) and China (38.3 million).	Strong	Leader
	13	People per PoS terminal	India has made significant progress in terms of the absolute number of PoS terminals deployed at the end of 2020. However, in terms of people per PoS terminal deployed, there is scope for improvement with one PoS terminal catering to 296 people as at end 2020.	Weak	Weak
	14	Debit and credit card payments	The debit card and credit card payments in India have grown at a respectable rate from 2017 to 2020 with a CAGR of 7.3% and 8.5%, respectively. However, in absolute terms, the volume of debit card and credit card payments in India in 2020 was considerably lower as compared to other countries.	Moderate	Moderate
(F) Cash vs debit and credit cards	15	Debit and credit card payments vs CIC	The value of card payments to CIC for India, at 0.4, was the lowest amongst the benchmarked countries, indicating a lower preference for using debit and credit cards.	Weak	Weak

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
(G) Cash and ATMs	16	ATMs deployed	As at the end of 2020, India was next to only China and Russia in terms of the number of ATMs deployed. However, over the period from 2017 to 2020, the ATMs deployed in India increased at a CAGR of 2% as compared to 17% in Russia.	Leader	Leader
	17	People per ATM	India has the third largest number of ATMs deployed in absolute terms amongst the benchmarked countries. However, it fares poorly when we measure the reach of ATMs; with a single ATM catering to over 5800 people as at end 2020.	Weak	Weak
	18	Cash withdrawal at ATMs per capita	The cash withdrawals undertaken per person in India in 2020 was 5, which was the lowest amongst the benchmarked countries. This has fallen from 7 cash withdrawals per person in 2017. While this ratio normally indicates lower cash dependency, the reason for a low ratio may be more due to a large population (denominator) having low accessibility due to lesser number of ATMs (numerator). In addition, there is a limit on the number of times cash can be withdrawn from ATMs without any charges, which acts as a deterrent at times.	Leader	Leader

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
	19	ATM withdrawal vs CIC	India has one of the lowest ratios of cash withdrawal at ATM to CIC. This is likely to be the result of low ATM density coupled with low number of ATM transactions per capita.	Weak ¹⁷	Leader
(H) Domestic card networks	20	Presence of domestic card network and its share	In India, the domestic card network, RuPay was launched by National Payments Corporation of India (NPCI) in 2012. As at end of January 2022, there were over 651 million RuPay debit cards dominating the market with a share of over 65% of total debit cards issued. However, RuPay cards comprise less than 3% share in the credit card segment in India.	Moderate	Moderate
(I) Credit transfers	21	Volume and growth of credit transfers	India dominates credit transfers, both in terms of number of transactions in 2020 and CAGR over the 3-year period between 2017 and 2020. This can be attributed to the plethora of credit transfer systems available round the clock facilitating immediate funds transfers.	Strong	Leader
	22	Share of credit transfers in payment systems (volume)	The share of credit transfers in overall payment systems transactions grew from 37.5% in 2017 to 68.8% in 2020 and is now the highest amongst the benchmarked countries.	Leader	Leader

17 In the last exercise the Cash withdrawal to CIC was low and India was ranked weak in the indicator considering low availability of ATMs. However, on a review, considering the focus on shifting towards digital payments, a low ratio of cash withdrawal to CIC is desirable. The rationale for the rating has been modified accordingly.

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
(J) Large value payments	23	RTGS	In India, the RTGS system, owned and operated by RBI, was introduced in 2004 and has undergone various changes over the years. The RTGS system is running round the clock from December 14, 2020; making India one of the few countries in the world to have its large value payment system operating 24x7.	Strong	Leader
(K) Fast payments	24	Channels in which fast payments are available	India is one of the few countries that has two fast payment systems, viz. IMPS and UPI. The adoption of instant payments in India has been remarkable, with India dominating the number of transactions undertaken using fast payment systems as compared to other countries for which data is available. In addition, India also has another retail payment system operated by RBI, viz. NEFT, which though not a fast payment system (as it is settled in half-hourly batches), runs 24x7, without settlement risk as payment is made to the beneficiary only after the settlement.	Strong	Leader
(L) Direct debits	25	Volume and growth of direct debits	Direct debits in India, at a CAGR of 38.6% between 2017 and 2020, have registered the fastest growth amongst the benchmarked countries.	Weak	Volume: Strong; CAGR: Leader

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
			However, in terms of volume, the direct debits in India are lower than countries like United States of America, Germany, Brazil, United Kingdom, France and South Korea.		
	26	Share of direct debits in payment systems (volume)	India's share of direct debit transactions in payment systems was 2.5% in 2020. The change in share of direct debit payments in payment systems is insignificant for most of the benchmarked countries.	Weak	Moderate
(M) e-Money	27	Availability of alternate payment systems	As per the Worldpay Global Payments Report 2022, 45% of the online transactions in India are undertaken using digital / mobile wallets (e-Money). In India, alternative forms of payment, facilitated through UPI third-party applications, are predominantly used for online payment transactions.	Leader	Leader
	28	Volume and growth of e-Money	India fares well in terms of the volume of e-Money transactions with over 4950 million transactions in 2020. The transactions are undertaken using pre-paid payment instruments in the form of cards or wallets issued by approved banks as well as authorised non-bank issuers.	Strong	Volume: Strong; CAGR: Moderate

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
	29	Share of e- Money in payment systems (volume)	The share of e-Money payment transactions in India decreased from 22.1% in 2017 to 12.2% in 2020 and is substantially lower than other countries, viz. Japan (78.8%), Singapore (60.1%) and Indonesia (36.5%). The fall in the share may also be read with the increase in other modes such as UPI.	Leader	Strong
(N) Digital utility payments	30	Digital payments of utility bills	BBPS was introduced in October 2017 to offer interoperable and accessible bill payment services to customers using multiple modes and instant confirmation of payment. The system has witnessed remarkable growth in terms of billers and transactions processed.	Weak	Moderate
	31	Public mass transportation	Digital payments are in use to pay for public transportation in most metropolitan cities in India. The metro rails operating across the country employ the use of smart cards that facilitate contactless cash free travel.	Weak	Moderate
(O) Digital infrastructure	32	Mobile and broadband subscriptions	The number of mobile and fixed broadband subscriptions per 100 individuals in India was the lowest at 83.6 and 1.6, respectively, in 2020. Further, fixed broadband subscriptions increased at a CAGR of 6.3% over the period from 2017	Strong	Weak

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
(Q) Aggregators	33	Third party payment service providers / payment gateways / payment aggregators	India recently introduced guidelines to regulate the activities of payment aggregators and mandated all existing payment aggregators to apply for authorisation by September 30, 2021. In India, the activities of payment gateways are not regulated as they do not handle funds and the regulator only issues recommendatory guidelines on baseline technology for their activities. Further, to enable effective management of risks in outsourcing of activities, a framework was prescribed for outsourcing of payment and settlement related activities of Payment System Operators (PSOs). to 2020, while mobile subscriptions decreased at an annualised rate of 1.4%, during the period.	Moderate	Strong
(R) Customer protection and complaint redressal	34	Customer safety and authentication standards	India has a framework on limiting liability of customers in unauthorised electronic banking transactions. In addition, the regulator has introduced various measures, since the last exercise, to ensure safety of customer transactions, viz. (a) facility to switch on / switch off card transactions, (b) CoF tokenisation, (c)	Strong	Strong

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
			mandating LEI for high value transactions in CPS, (d) positive pay system for high value cheques.		
	35	Ombudsman	RBI in November 2021 launched the Integrated Ombudsman Scheme to make the alternate dispute redressal mechanism simpler and more responsive to the customers of entities regulated by it. The Integrated Ombudsman Scheme combined the following 3 schemes (i) the Banking Ombudsman Scheme, 2006; (ii) the Ombudsman Scheme for Non-Banking Financial Companies, 2018; and (iii) the Ombudsman Scheme for Digital Transactions, 2019. Further, to ensure a swift, effective and efficient complaint redressal mechanism, an internal ombudsman scheme was introduced for large non-bank PPIs in 2019.	Strong	Strong
(S) Securities settlement and clearing system	36	Central Counterparty (CCP)	Clearing Corporation of India Ltd (CCIL) operates as a CCP and provides guaranteed clearing and settlement for transactions in money, Government securities, foreign exchange and derivative markets. In a cross-country comparison CCIL fares strongly with	Strong	Leader

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
			regard to governance arrangements in place for managing the organisation and the risk management practices implemented to manage member defaults and other non-default losses.		
(T) Oversight	37	Oversight of payment systems	In India, the Payment and Settlement Systems Act, 2007 (PSS Act) has designated and confers upon RBI the right to regulate and supervise payment systems within the country. In 2020 RBI introduced an oversight framework for FMIs and RPSs that details the oversight objectives and supervisory processes of RBI as well as the assessment methodology of FMIs and SWIPS under PFMs.	Leader	Leader
(U) Cross-border personal remittances	38	Availability	In India, the major share of cross- border remittances is undertaken through banks. The non-bank players are permitted to facilitate inward remittances only.	Weak	Moderate
	39	Flows	India is the leader in terms of personal remittance inflows with 11.85% share of the global remittances received by it. In the year 2020, India received remittances amounting to over USD 83 billion.	Leader	Leader

Area	Indicator number	Indicator	Insights	Previous rating	Current rating
	40	Cost	The cost of sending remittances to India was lower than that to other benchmarked countries. However, the cost of sending remittances from India was higher than that from Russia and Singapore. It may be noted that it may not be appropriate to compare remittances across countries selected in the benchmarking exercise, as remittances primarily originate from advanced economies and are directed to beneficiaries in emerging economies.	Moderate	Strong

LET US SUM UP

- Remittance products have evolved over a period from physical movement of remittance instruments to instant electronic transfer of remittances across the country and globe. Cheques, Demand Drafts, Bank Orders, Telegraphic Transfers are some of the earliest remittance products that constituted the core remittance mechanism across banks. But the invasion of technology in banking has permeated into the remittances space also. Technology brought about a paradigm change in the whole remittance space with newer, speedier and innovative remittance product in banking without physical presence of the remitter, abolishing the time zones and geographic boundaries. Most of the new generation remittance products are relevant in retail banking.
- Retail electronic and card based payments registered a quantum jump mainly due to introduction of RTGS (Real Time Gross Settlement) and NEFT (National Electronic Funds Transfer). The concept of electronic remittance mechanism is picking up fast over the past two years and this trend offers potential to package a remittance product as a add on in their retail banking package to the customers.
- Real Time Gross Settlement System (RTGS) has drastically changed the complexion of the remittances scenario in financial services. This global practice was introduced in India for changing the model of remittances and to bring in efficiency in settlement of transactions on a real time basis. The impact and growth of RTGS in the past two years are demonstrated

the effectiveness of the product. The impact and growth of RTGS in the past two years is an indication of the acceptance and growth of the product as an effective and speedy remittance tool, though it is skewed more on the corporate and interbank side than on the retail side.

- RTGS as a funds transfer mechanism has revolutionised the concept of remittances though it is more relevant for big ticket transactions and applicable in a limited way for retail banking.
- Electronic Clearing Services (ECS) is another payment mechanism in which the payments are authorized for a specific period and amount through a mandate to the beneficiary. ECS is a convenient and flexible payment option for both the parties concerned, i.e., the issuer and the beneficiary.
- National Automated Clearing House (NACH) has taken place of ECS on May 1, 2016.
- NACH, which was initially available on bank working days, is now made available on all days of the week beginning August 1, 2021, in order to improve client convenience and leverage the 24x7 availability of RTGS.
- National Payments Corporation of India (NPCI) has implemented “National Automated Clearing House (NACH)” for Banks, Financial Institutions, Corporate and Government, a web based solution to facilitate interbank, high volume, electronic transactions which are repetitive and periodic in nature.
- Mobile banking has revolutionized the payment system by the introduction of mobile application based payment services such as UPI service and BHIM.

KEYWORDS

National Electronic Funds Transfer; Real Time Gross Settlement; Customer Transactions; Sender Bank; Beneficiary Bank; Remittances; Electronic Clearing System; Remittances; Electronic Clearing System; NACH; Aadhaar Based Remittance Service (ABRS); BHIM; Bharat Bill Payment System; Benchmarking of the payments ecosystem; Payments Infrastructure Development Fund (PIDF) scheme

CHECK YOUR PROGRESS

1. The objectives of the NEFT System are _____.
 - (a) To establish an Electronic Funds Transfer System to facilitate an efficient, secure, economical, reliable and expeditious system of funds transfer and clearing in the banking sector throughout India.
 - (b) To relieve the stress on the existing paper based funds transfer and clearing system.
 - (c) Both (a) and (b)
2. The characteristics of RTGS are _____.
 - (a) Remittances and Funds Transfers are transmitted through a series of process inputs and travel from the customer end to the beneficiary end.
 - (b) Remittances are communicated through a structured messaging process.

- (c) Settlement for the message is made on a gross basis from the liquidity maintained by the sender bank with the settlement bank.
 - (d) Remittances are credited on a dynamic basis and settlement also made on a dynamic basis.
 - (e) All the above.
3. The advantages of ECS payments are _____.
- (a) No need for issuing any cheque to the beneficiary.
 - (b) Payment defaults will not happen if there is sufficient balance in the account.
 - (c) No follow up needed by the beneficiary as payment will be received automatically based on the mandate obtained.
 - (d) Hassle free for the mandate issuer, as it saves him time of issuing cheques for each payment.
 - (e) All the above.
4. The term EFT means which one of the following?
- (a) Electronic foreign transfers
 - (b) Electronic financial transfers
 - (c) Electronic funds transfers
 - (d) Electrical funds transfers
5. A settlement system in which the processing and final payment of funds transfer instructions takes place continuously, is called _____.
- (a) Debit clearing system
 - (b) Credit clearing system
 - (c) National clearing system
 - (d) Real time gross settlement
6. Which of the following statement is correct about India's Payment System:
- (a) India is categorized as a 'leader' or 'strong' in more than 50% indicators of the Benchmark report.
 - (b) India is in leadership position in large payment systems and fast payment systems.
 - (c) India is weak on certain indicators such as people per ATM/ POS terminal
 - (d) All the above

ANSWERS TO CHECK YOUR PROGRESS

1. (c) 2. (e) 3. (e) 4. (c) 5. (d) 6. (d)



DIGITISATION OF RETAIL BANKING PRODUCTS

STRUCTURE

- 12.0 Objectives**
- 12.1 Introduction**
- 12.2 Technology in Retail Banking**
- 12.3 Technology Processes in Retail Banking**
- 12.4 Some Important User Friendly Features**
- 12.5 Customer Analytics**
- 12.6 Institute for Development and Research on Banking Technologies (IDRBT)**
- 12.7 Indian Financial Network (INFINET)**
- 12.8 Structured Financial Messaging System (SFMS)**
- 12.9 National Financial Switch (NFS)**
- 12.10 Indian Banking Community Cloud (IBCC)**
- 12.11 Wealth Management Solutions**
- 12.12 Digital Lending**

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

12.0 OBJECTIVES

After studying this unit, you may be able to understand:

- Significance of technology in retail banking
- Different technologies being used in banks
- Evolution of IDRBT and its programs
- National Financial Switch used in ATM network
- Structured Financial Messaging System used for sending messages
- Indian Banking Community Cloud (IBCC), etc.

12.1 INTRODUCTION

The information technology poses both opportunities and challenges. Technology has made it possible to deliver services throughout the branch bank network, providing instant updates to checking accounts and rapid movement of money for stock transfers. However, this dependency on the network has brought IT departments' additional responsibilities and challenges in managing, maintaining and optimizing the performance of retail banking networks. It is necessary to ensure that all bank products and services are available, at all times, and across the entire organization for today's retail banks to generate revenues and remain competitive. Besides, there are network management challenges, whereby keeping these complex, distributed networks and applications operating properly in support of business objectives becomes essential. Specific challenges include ensuring that account transaction applications run efficiently between the branch offices and data centres.

12.2 TECHNOLOGY IN RETAIL BANKING

Technology and Retail Banking are inseparable. Technology is the foundation on which the retail banking edifice is built across the globe. Technology is the enabler for building and translating a customer data base into retail banking business. Banks adopt different technology platforms in line with the global trends. The levels of technology implementation in PSBs started from standalone Automated Ledger Posting Machines (ALPMs) in the early days of computerisation in 1980s and graduated to Total Branch Automation and regional net worked hubs. New generation private sector banks started with technology advantage of a single server environment which gave them advantage over other banks. PSB banks also have re-engineered their technology initiatives and implemented core banking solutions, networking the customers and accounts on a single platform.

Technology in retail banking has left in imprint in three levels -Products, Processes and on Services delivery mechanism. Few essential technology trends which is going to have a major impact on the banking ecosystem as follows:

- Increased use of Data Analytics and Artificial Intelligence
- Develop self-learning banking systems using computer programs to serve in customer facing situations
- New concepts like Open Banking and Embedded Finance through which banks will be able to offer their own customers access to third party products and services
- Cloud-based infrastructure will support banking organizations react to marketplace changes at a faster pace in economical manner
- A lot of banking activities will be automated in the coming years as next-level process automation and virtualization become more commonplace

12.3 TECHNOLOGY PROCESSES IN RETAIL BANKING

A Boston Consulting Group Study conducted in 2003, “Opportunities for Action in Financial Services – Transforming Retail Banking Processes” reported that in terms of processes for integration of technology in retail banking, retail banks are using different approaches to modularise and standardise their processes. Four distinct process models have emerged from their study. They are:

- i. Horizontally Organised Model where individual process platform supports one product only. The sub data in the model are not shared with other products and product platform.
- ii. Vertically Organised Model where functionality is provided across all products. In this model, customer information is centralised. Centralised customer information builds common origination and servicing processes across all its retail banking products.
- iii. Predominantly Horizontally Organised Model with some modularization within a product oriented feedback. Customer data integration is available to a certain extent for other products.
- iv. Predominantly Vertically Organised Model is a hybrid model that offers common information for most of the related services. The basic information is available across products for common services to the various products.

All the four models achieve a certain degree of modularity and standardization but there is no one-size-fits-all solutions and has to be suitably adapted to individual bank’s requirements.

The studies have revealed that if a bank effectively transforms its processes, it can reduce its unit costs between 20% and 40%, completely changing its competitive position.

Technology plays a key role in the transformation of processes of banks. Technological innovation in the retail banking industry has been spurred on by the forces described by Kotler, particularly in terms of new distribution channel systems to provide the customers more ways to access their accounts. Banks are forced to consider new ways to drive revenue through their distribution system and to increase the customer share of the wallet. The first step is the platform automation and enables the employees to have a single view of the customers. The single view

lets the employees understand how important is a customer based on the portfolio of products, rather than on their current checking account balance.

Research has shown that in organizational sub units where employee perceptions are favourable, customers enjoy superior performance. (Garry A. Galade et al., 2005). The service profit chain model of business performance (Haskett, Sasser & Schesinger, 1997) has identified customer satisfaction as a critical intervening variable in this relationship and confirms the relationships between organizational climate, employee attitudes, customer satisfaction and sales performance in the retail banking sector. Banks have recognized this relationship and developed people (both internal and external customers) strategies for implementing a successful retail banking model.

The above discussed concepts throw light on the different tenets of global retail banking space and how global banks are addressing the different dimensions and innovate across the important elements of retail banking namely product, process, people and technology.

In the technology side, in general, PSBs are more horizontally organized in the process model with various levels of vertical position across banks. Customer data base and products integration has not materialised fully which will be a hindrance to effective retail business. Technology integration with the business model will enable the banks to design their marketing strategies and through an integrated CRM solution will sell to the targeted customer base.

For implementation of technology initiatives, banks follow different models. Let us have a look at the models followed by different banks for their technology initiatives.

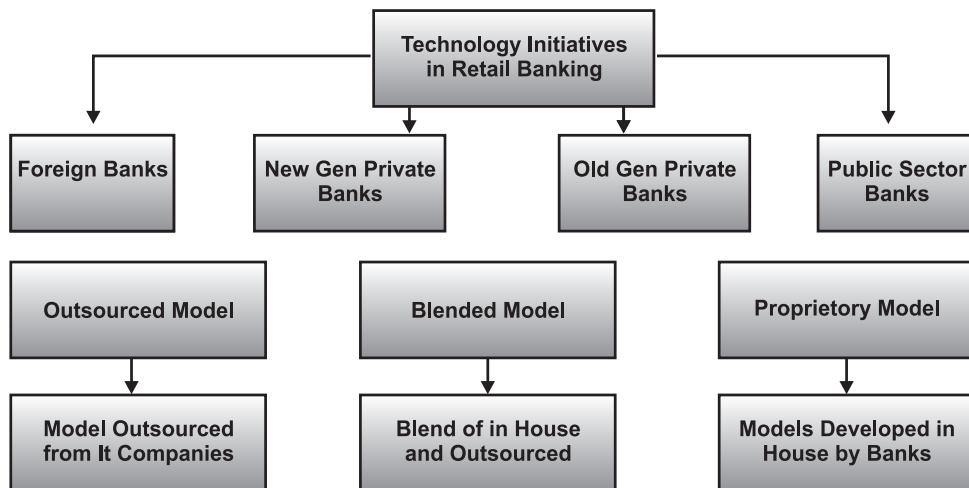


Fig. 12.1 Technology Initiatives in Retail Banking

Technology implementation models differed among banks. Foreign banks who were aggressive on the retail side either implemented their own software developed for global operations or sourced it end to end from external vendors for their requirements. New generation private sectors banks had a great advantage as they were late entrants and hence they could start with the technology

advantage and sourced the same from external vendors. In public sector banks it differed among banks and was not related necessarily to the size of the bank. The early birds took pains to develop their proprietary model and developed in house software for implementation in branches in a phased manner. The implementation progressed with time from a standalone model at the individual branch level to an integrated model networking the branches. But this model had its own limitations after a certain time and to keep pace with the technology developments in retail banking, they had to necessarily join hands with an external vendor for certain applications and integrated it with their legacy systems. The late entrants in technology implementation among PSBs took the external vendor route for better channel delivery and efficiency. Some PSB banks which were following bits and pieces approach (engaging different vendors for different requirements) later migrated to a unified technology delivery model. In old generation private banks, because of their small size, most of the banks took to outsourcing route as they were very late entrants and took advantage of the latest technology scenario. Thus technology adoption for retail banking differed among banks, but all the banks in all the above models were effectively able to cross sell and up sell wherever they had a complete data base of the customers and a good CRM solution for retail banking. Different banks use different technology platforms for their retail banking models. Different software vendors are offering custom made solutions to suit the requirements of the banks and build their software around their requirements. But the core format remains the same. In the retail liabilities and asset side, the software is developed mainly to capture the following types of information, viz.,

- Static Information – Account Opening, Basic Loan Origination Data, etc.
- Updated Information – Income Details at different frequencies, etc.
- Transaction Information – Information from disbursement to final settlement in loan accounts and operation details in liability accounts.
- Analytics and Alerts – Both operational and strategic alerts to take action or to develop strategies for further action.

In addition to the above, technology in retail banking will also include other supporting software applications like AML software, Loan Origination System, Credit Card Processing System, Data Warehouse, Switch for alternate banking channels etc. and all these systems should be seamlessly integrated with the Core Banking Solutions. The above points are discussed for academic information and are dealt in detail in other specialization paper on technology in banks.

Having understood the different models, let us have a look into the implementation of some of the retail banking modules for different purposes.

12.4 SOME IMPORTANT USER FRIENDLY FEATURES

Let us see, for example, some of the user friendly features and benefits offered for retail banking by a major player in the banking and financial services software solutions providers.

Alerts

The above alerts solution empowers banks with the capability to alert end users about events recorded by the bank's diverse business systems. The solution's subscription feature enables the bank's customers to select specific information they want to be alerted about, in addition to their choice of time and channel of information receipt.

Built on new-generation industry standard technologies J2EE and NET, the solution provides multi-channel and multilingual support. In addition to alerting corporate and retail customers of the bank, the solution provides alerts for the bank's internal users as well. Banks can define alert categories to control access to various alerts. The solution allows a group of alerts to be combined into a message digest, minimizing the traffic of outgoing notifications. It also supports addition of branding messages as part of notifications.

With a large base, banks have to carry out various banking activities and transactions every day. All such activities and transactions need to be reported and communicated to the customers. Such communications may take place through SMSs or e-mail. An effective CRM system automatically sends the alert to the customer and updates the databases that are affected by a transaction. In addition to alerting the customers, the system also alerts the bank employees of such activities for their internal use.

The above details of the software solution of the company are discussed here only as an illustration and only to acquire academic knowledge.

12.5 CUSTOMER ANALYTICS

- a. The customer analytics solution, integrated with the universal banking solution, provides holistic customer analytics for banks, through both insightful business reports and rigorous statistical models. This enables the business to cross-leverage analytic output to strengthen its customer engagement and management strategy, resulting in institutionalization of customer relationships and differentiation of service experience.

The solution empowers banks with comprehensive analytics support, ranging from data acquisition to reporting and analysis, leveraging quantitative modelling techniques and multi-dimensional reporting. It provides critical information such as customer attrition scores or profitability scores to enable comprehensive understanding of the customer. These scores can also be extended to front-end applications or combined with online tacit information to facilitate timely and effective decision making. Customer analytics solution presents banks with the flexibility to pick and choose specific customer analytic functions relevant to the business, across the customer life-cycle stages of acquisition, development and retention.

A good CRM system helps to perform customer analytics with the help of insightful business reports and rigorous statistical models. It captures all banking activities performed by banks and categories the same based on location, customer profile, nature of query and so on. Once

this is done, it analyses the information. CRM systems allow banks to focus their banking activities based on the findings in the analysis. Some of the areas for focus in retail banks are customer acquisitions, product development, customer retention, grievance redressal and so on. Some of the benefits of performing such analytics are enhanced customer value, enhanced conversion and retention rates, reduced costs, enhanced profitability and so on. The key modules that help banks perform the above analytics are campaign management, cross-sell and product holding analysis, customer profitability, lifetime value analysis, attrition analysis, transaction behaviour analysis and service request analysis.

b. Key Modules

- Campaign Management
- Cross-sell and Product Holding Analysis
- Customer Profitability and Lifetime Value Analysis
- Attrition and Loyalty Analysis
- Transaction Behaviour Analysis
- Service Request Analysis

c. Business Benefits

- Robust Framework for Customer Acquisition, Development and Retention.
- The solution encompasses end to end analytics across the customer relationship life-cycle. The interactive modules provide banks with a robust framework to understand the customer better and facilitate differentiated customer experience.

d. Enhanced Customer Value: The analytics solution increases the bank's relationship revenue through analytical insights that facilitate effective cross-sell and up-sell, improved stickiness, targeted loyalty programs and profitable repositioning of offerings. This enables banks to take customer centric decisions and enhance customer value.

e. Improved Decision-making Support: Arming banks with best-in-class analytical CRM capabilities throughout the customer lifecycle, customer analytics solutions empower the business with the intelligence to make informed, well-advised and timely decisions.

f. Reduced Time to Market: The solutions provide predefined data mapping, extraction programs and data aggregation, draw analytical outputs through an automated process. The in-built analytical models and reporting templates further reduce time to go-live, significantly.

g. Low Total Cost of Ownership: Customer analytics solutions mandate minimal investments in terms of infrastructure capabilities and resources. The technology agnostic solution can be deployed on banks' existing reporting and modelling tools with minimal customization effort.

12.6 INSTITUTE FOR DEVELOPMENT AND RESEARCH IN BANKING TECHNOLOGY (IDRBT)

Banking industry is in the path of growth leveraging Information Technology in a big way in all its strategic, functional and operational processes and applications.

The Reserve Bank of India constituted a committee on “Technology Upgradation in the Payments System” in the year 1994 under the Chairmanship of Shri W. S. Saraf, the then Executive Director of RBI. In its report submitted in December 1994, the committee emphasized that an apex-level Institute is set up to undertake development and research in the area of Information Technology applied to the financial sector, with a specific focus on banking. Reserve Bank of India approved this recommendation and established an Institute with a brief to spearhead technology absorption in the banking and financial sector of the country. Accordingly, the IDRBT started functioning from March 06, 1996.

The Institute, over the years, conceptualized, designed and launched the following technology services for Indian banking and financial sector.

- a. Indian Financial Network (INFINET)
- b. Structured Financial Messaging System (SFMS)
- c. National Financial Switch (NFS)
- d. Indian Banking Community Cloud (IBCC)

These technology services are being utilized by the Indian Banking and Financial Sector to provide convenient banking services to the common person. These services constituted the backbone for implementation of Information Technology in the Indian Banking and Financial Sector. Utilisation of these services enabled improving the effectiveness and efficiency of the Sector in a big way. These services also played the pivotal role in facilitating and improving the electronic payment system in the country.

Given the fact that the services offered by the Institute were critical for the further development of techno-banking in the country, there was a need to provide more focused attention to these services. Accordingly, the Institute handed over the National Financial Switch (NFS) to National Payments Corporation of India in January 2010.

Further, the Reserve Bank of India had constituted an External Expert Review Committee (EERC), headed by Dr. C. Rangarajan, Former Governor, Reserve Bank of India, for evaluating the activities of the Institute and re-defining its role and suggesting a roadmap for the future. The EERC, which submitted its report in July 2009, recommended that “to function as a primary institute of excellence in the area of research and development in banking technology, the Institute needs to shed its function of providing various services by hiving off its services.”

Accordingly, the Institute promoted a new Section 8 company named The Indian Financial Technology and Allied Services (IFTAS), headquartered in Mumbai. The Director, IDRBT, was

the first Chairman of The Indian Financial Technology and Allied Services.

The IFTAS has taken over the INDIAN Financial Network (INFINET), Structured Financial Messaging System (SFMS) and the Indian Banking Community Cloud (IBCC) from the IDRBT, effective April 01, 2016. The IFTAS was then wholly acquired by the Reserve Bank of India in March 2019.

12.7 INDIAN FINANCIAL NETWORK (INFINET)

INFINET, a closed user group network is nationwide communication backbone for banking and financial sectors. Various inter-bank and intra-bank applications ranging from Structured Financial Messaging System (SFMS), Electronic Funds Transfer (EFT), Electronic Clearing Service (ECS), Electronic Debit, Online Processing and Trading in Government Securities, Centralized Funds querying for Banks and Financial Institutions, Anywhere/Anytime Banking and Inter-bank reconciliation have been implemented using the INFINET. Funds transfer under NEFT and RTGS is being done through INFINET.

It is Financial Network in the form of a reliable communication backbone, facilitates running different applications/services. The advantages of INFINET being:

- Banking and Financial services independent of their location.
- Extended banking business reach and hours as well as increased business volume and better fund utilisation, thereby facilitating reduced operational cost.
- Increased security.
- Reduction/elimination of payment risks.
- Efficient Housekeeping.
- Improvement in decision making process.
- Innovative customer-oriented delivery mechanisms.

12.8 STRUCTURED FINANCIAL MESSAGING SYSTEM (SFMS)

Structured Financial Messaging System (SFMS) is a secure messaging standard developed to serve as a platform for intra-bank and inter-bank applications. It is an Indian standard similar to Society for World- wide Interbank Financial Telecommunications (SWIFT) which is the international messaging system used for financial messaging globally. SFMS can be used practically for all purposes of secure communication within the bank and between banks.

Banks can link all their important, high volume branches, irrespective of their category, to the SFMS through appropriate connectivity like Public Switched Telephone Network (PSTN)/ Integrated Services Digital Network (ISDN) or Leased Lines. Use of SFMS is not restricted to computerized or partially computerised branches or offices. The major advantage of SFMS is that it can be used practically for all purposes of communication within the bank and between banks.

The intra-bank part of SFMS, which is most important, can be straightaway used by the banks to take full advantage of the secure messaging facility it provides.

The inter-bank messaging part is used for applications like Electronic Funds Transfer (EFT), Real Time Gross Settlements System (RTGS), Delivery Versus Payments (DVP), Centralised Funds Management System (CFMS), etc. The banks can develop comprehensive and efficient tools and applications and integrate them easily with SFMS for use on their corporate intranet.

Key Features

- Template Builder to support flexible definition of messages similar to SWIFT, like user-to-user and systems messages.
- Flexible architecture that facilitates centralized or distributed deployment.
- Directory services for maintenance of IFSC directory, network configuration.
- Secured messaging and routing based on store and forward principles governed by push technology.
- Messages can be clubbed and exchanged as a batch of files.
- Smart card based user access.
- Messages will be secured via standard encryption and authentication services conforming to ISO/SWIFT standards.
- Complete auditing, logging, time-stamping and warehousing of messages.
- Periodic computation of charges and billing of the services offered to the participating banks.
- Multi-tiered solution covering INFINET HUB, Bank Gateways and Bank sites.
- A modularized Web-enabled software to facilitate the participating banks to send and receive financial and non-financial messages through Bank Gateways and INFINET HUB.

Public Sector Banks have been requested to use SFMS for sending and receiving Letter of Credit and Bank Guarantees instruments, by Department of Financial Services.

12.9 NATIONAL FINANCIAL SWITCH (NFS)

NFS ATM network, was launched by IDRBT on August 27, 2004. This was taken over by National Payments Corporation of India on December 14, 2009. Over the span of few years, NFS ATM network has grown many folds and is now the leading multilateral ATM network in the country. As on 30th April, 2022, there were 1212 members that include 112 Direct member banks, 1053 Sub member banks, 43 RRBs and 4 WLAOs using NFS network connected to 2.58 lac ATMs. NFS has established a strong and sustainable operational model with in-house capabilities and today can be compared at par with other major and well-established switch networks. The operational functions and services are at par with most of the global ATM networks. Each member joining the NFS network would have to pay a one-time subscription fee of ₹3,00,000 (₹three lakh) plus applicable taxes. In the NFS sponsorship model, the sponsor bank will have

to pay a one-time fee of ₹6,00,000 (₹six lakh) plus applicable taxes. Sub- members willing to join the NFS network should come through the sponsor bank to NFS.

The card-issuing member pays to the card-acquiring member an interchange fee for each approved transaction for providing ATM services. Currently, the interchange is ₹17 for Cash Withdrawal and card-to-card fund transfer, and ₹6 for other non-financial transactions. Card-issuing members would pay transaction switching fees of ₹0.45 per approved transaction to NPCI along with the applicable taxes.

NPCI has also tied up with International card schemes like Discover Financial Service (DFS), Japan Credit Bureau (JCB) and China Union Pay International (CUPI) which allows their cardholders to use ATMs connected to NFS network.

Services offered

The NFS network will facilitate ATM transaction services among all members participating in this network. The transactions will include card transactions at ATMs of members and settlement of transactions that NPCI executes. Apart from basic transactions like Cash Withdrawal, Balance Enquiry, PIN Change and Mini Statement, NFS also offers other Value Added Services (VAS) on ATMs/CDMs like:

- Interoperable Cash Deposit (ICD)
- Mobile Banking Registration (MBR)
- Card-to-Card Fund Transfer (C2C)
- Cheque Book Request (CBR)
- Statement Request (SR)
- Aadhar Number Seeding (ANS)

The NFS will maintain logs of all transactions passing through the NFS network. NPCI is the owner and co-coordinator of the NFS network and it would operate and maintain the NFS network. NPCI may undertake the task of operation and maintenance of the network on its own or it may use the services of a third-party service provider for this purpose.

12.10 INDIAN BANKING COMMUNITY CLOUD (IBCC)

Cloud computing is a promising technology that provides various services to the customers on demand over the Internet. The ease of this technology is increasingly expanding in almost all the industries across the globe for its resulting benefits. A Community Cloud can possibly be a solution where the Cloud services are meant for organizations having common objectives and security controls. To furnish Cloud services to such like-minded organizations in India, IDRBT has setup a pilot approach to building Community Cloud for the Indian Banks to provide Infrastructure as a Service.

Cloud computing is an emerging Internet-based computing technology where a large pool of systems are connected through private or public networks, to provide dynamically scalable infrastructure for applications, data and file storage. Cloud computing is one of the most exciting technologies used these days which delivers IT capabilities as service-on-demand.

Cloud computing technology provides three fundamental services namely Software as a Service (SaaS), Platform as a Service (PaaS), and Infrastructure as a Service (IaaS) which can be deployed on top of Public, Private and Hybrid cloud models.

- **Software as a service (SaaS):** SaaS is an “on-demand software” service where the required software is provided to the end users as an application to run on their systems through Internet.
- **Platform as a Service (PaaS):** In PaaS, a computing environment is provided as a service to the customers to build their own applications that run on the provider’s infrastructure.
- **Infrastructure as a Service (IaaS):** A pool of equipment including servers, storage systems, network, data centres, etc., provided as a service to the customers where providers can handle customers’ application workloads is referred as IaaS. The customer can host their own software on the cloud infrastructure.

A community cloud is a collaborative service where the infrastructure is shared between several organizations that are from a familiar society with common concerns like security, compliance, jurisdiction, etc. It can be managed internally or by a third-party. IDRBT provides community cloud services to the Indian banks.

12.11 WEALTH MANAGEMENT SOLUTIONS

- a. Wealth management solutions are mostly modular, fully scalable, integrated core banking and investment management system designed for the specific needs of retail and private banks. They offer unique combination of an extensive portfolio of functions with impressive flexibility that enables end-to-end processing of investment products from diverse asset classes including structured deposits, structured notes, equities, mutual funds and insurance.

Financial institutions can leverage the solutions’ rule-based definitions to launch new products – such as dual currency deposits, principal protected deposits, range accrual deposits, mutual funds and insurance products – with a distinct time-to-market advantage. Integrated with core banking and CRM solutions, the wealth management solutions ensure unique customer definition, a single, unified view of the customer’s portfolio across asset classes and seamless flow of transactions. This helps banks capitalize on their customer base to create additional revenue streams, by offering HNWI and the mass affluent extended products and services.

- b. **Key Modules**

- Structured Products
- Mutual Funds

- Equities
- Insurance

- c. **Business Benefits:** Leverage the HNWI Opportunity – For e.g.-Finacle wealth management solution enables financial institutions to derive rich integrated insights about the HNWI client's investment portfolio. Sophisticated analytics, relevant financial planning and asset allocation tools can be deployed, to leverage the opportunities presented by hot listed clients to explore prospects for cross-selling and fee-based personalized advice.
- d. **Ease of Enhancing Product Portfolio:** The user-friendly solutions provide flexibility to tailor solutions and create new product flavours for emerging customer segments. It enables business users at the bank to add innovative functionalities and features to their offerings, without changing the source code of the application. The solutions also interface seamlessly with satellite and specialized systems, easily supporting faster rollout of new products at the bank.
- e. **Higher Operational Efficiency:** The solutions enable Straight Through Processing (STP) and are fortified with a powerful integration framework to interface with the bank's core banking solution and external data sources. This plays a crucial role in minimizing operational delays and ensuring seamless transaction flows at the bank.

Every financial operation is processed identically. Execution either ensures a successful update of all related data or a complete rollback in case of a technical problem. Consistency and reliability are guaranteed. Fully integrated and component – based, the solution also ensures consistency of data. Access rights are rigorously managed, every transaction request is checked and systematic records are maintained as audit trails, ensuring robust security. The solutions allow users belonging to different legal entities to work on a single system and database. This directly results in significantly lower implementation costs and ease of centralized reporting for the bank.

- f. **Lower Total Cost of Ownership (TCO):** Built on new-generation technologies, wealth management solutions are generally future-proof and can be seamlessly integrated with other enterprise applications. With proven scalability and a flexible architecture, they ensure protection for the bank's technology investments.

The points discussed in the foregoing are only illustrative to highlight the application and features of technology in retail banking provided by one software company. There are different effective solutions provided by different software vendors. There are innumerable features available in the technology side for effective delivery of retail banking services. These features along with a good CRM solution will enable the banks to cross sell effectively and achieve total customer satisfaction. The pictorial illustrations and features are shown below.

12.12 DIGITAL LENDING

In today's financial world, there has been rapid advancements in technology brought in by cloud computing, artificial intelligence and blockchain which has supported the growth of Fintech start-ups. It has revolutionized the banking space in a big way including lending. The process of Digital Lending involves lending through the web or mobile interface, using technology to get the authentication done and evaluation of credit. The entire process of credit including sourcing, credit and risk assessment and disbursement happens on the digital platform in a seamless manner within a shortest amount of time.

Though there has been good growth in the digital lending space owing to technological innovations, there are certain concerns which has emerged like unbridled engagement of third parties, mis-selling, breach of data privacy, unfair business conduct, charging of exorbitant interest rates, and unethical recovery practices. In order to mitigate risk in the digital lending ecosystem, RBI has firmed up a new regulatory framework vide its notification dated Aug 10, 2022 titled "Recommendations of the Working Group on Digital Lending-Implementation" which is based on the principle that lending business can be carried out only by entities that are either regulated by the Reserve Bank or entities permitted to do so under any other law.

The universe of digital lenders is classified into three groups:

- a. Entities regulated by the RBI and permitted to carry out lending business;
- b. Entities authorized to carry out lending as per other statutory/regulatory provisions but not regulated by RBI;
- c. Entities lending outside the purview of any statutory/ regulatory provisions.

The regulatory framework has been prepared keeping in mind the first group as mentioned above which includes RBI's regulated entities (REs) and Lending Service Providers (LSPs). For entities falling in the second group as mentioned above, it has been proposed that the respective regulator/ controlling authority may consider formulating or enacting appropriate rules/regulations on digital lending based on the recommendations. For entities falling in the third group, it has been proposed that specific legislative and institutional interventions is taken into consideration by the Central Government to curb the illegitimate lending activity being carried out by such entities

The major highlights of the regulatory framework are as follows:

A. Customer Protection and Conduct Issues-

- i. All loan disbursements and repayments are required to be executed only between the bank accounts of borrower and the Regulated Entity (RE) without any pass-through/ pool account of the Lending Service Provider (LSP) or any third party.
- ii. Any fees, charges, etc., payable to the LSPs in the credit intermediation process shall be paid directly by RE and not by the borrower.

- iii. A standardized Key Fact Statement (KFS) must be provided to the borrower before executing the loan contract.
- iv. All-inclusive cost of digital loans in the form of Annual Percentage Rate (APR) is required to be disclosed to the borrowers. APR shall also form part of KFS.
- v. Automatic increase in credit limit without explicit consent of borrower is prohibited.
- vi. A cooling-off/ look-up period during which the borrowers can exit digital loans by paying the principal and the proportionate APR without any penalty shall be provided as part of the loan contract.
- vii. REs shall ensure that they and the LSPs engaged by them shall have a suitable nodal grievance redressal officer to deal with FinTech/ digital lending related complaints.
- viii. As per extant RBI guidelines, if any complaint lodged by the borrower is not resolved by the RE within the stipulated period (currently 30 days), he/she can lodge a complaint under the Reserve Bank – Integrated Ombudsman Scheme.

B. Technology and Data Requirements-

- i. Data collected by Digital Lending Apps (DLAs) should be need based, should have clear audit trails and should be only done with prior explicit consent of the borrower.
- ii. Option may be provided for borrowers to accept or deny consent for use of specific data, including option to revoke previously granted consent, besides option to delete the data collected from borrowers by the DLAs/ LSPs.

C. Regulatory Framework-

- i. Any lending sourced through DLAs is required to be reported to Credit Information Companies (CICs) by REs irrespective of its nature or tenor.
- ii. All new digital lending products extended by REs over merchant platforms involving short term credit or deferred payments are required to be reported to CICs by the REs.

(Source: RBI Guidelines on Digital Lending no. DOR. CRE. REC. 66/21.07.001/2022-23 dated September 02,2022)

LET US SUM UP

- Technology is the foundation on which the retail banking edifice is built across the globe. Technology is the enabler for building and translating a customer data base into retail banking business. Banks adopt different technology platforms in line with the global trends. New generation private sector banks were started with technology advantage of a single server environment. PSB banks also have re-engineered their technology initiatives and started implementing core banking solutions networking the customers and accounts in a single platform. Most of the PSBs have completed the core banking solutions process while in a few banks the level of implementation is in various advanced stages.

- There are basically four approaches followed by retail banks in integrating technology with retail banking processes. They are:
 - Horizontally Organised Model where individual process platform supports one product only. The sub data in the model are not shared with other products and product platform.
 - Vertically Organised Model where functionality is provided across all products. In this model, customer information is centralised. Centralised customer information builds common origination and servicing processes across all its retail banking products.
 - Predominantly Horizontally Organised Model with some modularization within a product oriented feedback. Customer data integration is available to a certain extent for other products.
 - Predominantly Vertically Organised Model is a hybrid model that offers common information for most of the related services. The basic information is available across products for common services to the various products.
 - Technology initiatives were adopted by banks in different ways. Some banks had implemented through in house resources for development and implementation while some other banks had done it through outsourced vendors. Some banks followed a blend of proprietary as well as outsourced model. Scalability and Sustainability are the main issues in all these models.
 - The models outsourced as well as in-house developed offer various customer analytics solutions for the banks to help them in customer identification, need mapping and offering the right products and services.
- Banking industry is in the path of growth leveraging Information Technology in a big way in all its strategic, functional and operational processes and applications. IDRBT conceptualized, designed and developed IT products viz. INFINET, SFMS, NFS and Indian Banking Community Cloud (IBCC). These are extensively used in banking particularly in retail segment.

KEYWORDS

Horizontally Organised; Vertically organised; outsourced model; in house model; blended model; customer identification; need mapping; Indian Financial Network; Structured Financial Messaging System (SFMS); National Financial Switch; Indian Banking Community Cloud

CHECK YOUR PROGRESS

1. Process models in retail banking are structured as:

- (a) Horizontally Organised Model where individual process platform supports one product only.
- (b) Vertically Organised Model where functionality is provided across all products.

- (c) Predominantly Horizontally Organised Model with some modularization within a product oriented feedback.
 - (d) Predominantly Vertically Organised Model is a hybrid model that offers common information for most of the related services.
 - (e) Any one of the above.
2. The technology models adopted by banks are:
- (a) Fully outsourced model
 - (b) Partially outsourced model
 - (c) In house model
 - (d) Anyone of the above.
3. AB Bank has collected data with respect to the needs of its customers. It developed a product based on the information collected. What type of information has the bank collected and analysed?
- (a) Strategic
 - (b) Tactical
 - (c) Operational
 - (d) Managerial
4. Technology and Retail Banking are _____.
- (a) Inseparable
 - (b) Separable
 - (c) Complementary
 - (d) Supplementary
5. The Indian Financial Technology and Allied Services (IFTAS) has been acquired by:
- (a) Institute for Development and Research in Banking Technology (IDRBT)
 - (b) Indian Institute of Banking and Finance (IIBF)
 - (c) Reserve Bank of India
 - (d) Ministry of Finance, Govt. of India

ANSWERS TO CHECK YOUR PROGRESS

1. (e) 2. (d) 3. (a) 4. (a) 5. (c)



USES OF AI AND TECHNOLOGY IN RETAIL BANKING

STRUCTURE

- 13.0 Objectives
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Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

13.0 OBJECTIVES

The objectives of this unit are to understand:

- Evolution of Banking Technology
- Technology in Retail Banking
- Artificial Intelligence (AI)
- Evolution of Artificial Intelligence
- Benefits of Artificial Intelligence Technology in Banking
- Artificial Intelligence in Retail Banking
- The Challenges Facing India's AI Development
- Benefits of AI in Retail Banking

13.1 BANKING TECHNOLOGY: AN INTRODUCTION

The term “Banking Technology” refers to the use of sophisticated information and communication technologies together with computer science to enable banks to offer better services to its customers in a secure, reliable, and affordable manner, and sustain competitive advantage over other banks. Banking technology also subsumes the activity of using advanced computer algorithms in unravelling the patterns of customer behaviour by sifting through customer details such as demographic, psychographic and transactional data. This activity also known data mining, helps banks achieve their business objectives by solving various marketing problems such as customer segmentation, customer scoring, target marketing, market-basket analysis, cross-sell, up-sell, customer retention by modelling churn etc. Successful use of data mining helps banks achieve significant increase in profits and thereby retain sustainable advantage over their competitors.

13.2 DIMENSIONS OF BANKING TECHNOLOGY

Banking Technology is not a single, stand-alone discipline, but a confluence of several disparate fields such as finance (subsuming risk management), information technology, communication technology, computer science and marketing science.

From the functional perspective, Banking Technology has mainly **three important dimensions**. They are as follows:

- (i) The use of appropriate hardware for conducting business and servicing the customers through various delivery channels and payments systems and the associated software constitutes one dimension of Banking Technology. The use of computer networks, security algorithms in its transactions, use of ATM and credit cards, Internet banking, telebanking and mobile banking are all covered by this dimension. The advances made in information and communication technologies take care of this dimension.

- (ii) On the other hand, the use of advanced computer science algorithms to solve several interesting marketing related problems such as customer segmentation, customer scoring, target marketing, market-basket analysis, cross-selling, up-selling and customer retention etc. faced by the banks to reap profits and outperform their competitors constitutes the second dimension of Banking Technology. This dimension covers the implementation of a data warehouse for banks and conducting data mining studies on customer data.
- (iii) Moreover, banks cannot ignore the risks that arise in conducting business with other banks and servicing their customers, for otherwise, their very existence would be at stake. Thus, the quantification, measurement, mitigation and management of all the kinds of risks that banks face constitutes the third important dimension of Banking Technology. This dimension covers the process of measuring and managing credit risk, market risk and operational risk.

Thus, in a nutshell, in the word 'Banking Technology', 'Banking' refers to the economic, financial, commercial and management aspects of banking while 'Technology' refers to the information and communication technologies, computer science and risk quantification and measurement aspects.

13.3 BANKING TODAY

Despite the enormous changes the banking industry has undergone through during the last a few decades, one factor has remained the same- the fundamental nature of the need customers have for banking services. However, the framework and paradigm within which these services are delivered has changed out of recognition. It is clear that people's needs have not changed, and neither has the basic nature of banking services people require. But the way banks meet those needs is completely different today. They are simply striving to provide a service at a profit. Banking had to adjust to the changing needs of society, where people not only regard a bank account as a right rather than a privilege, but also are aware that their business is valuable to the bank, and if the bank does not look after them, they can take their business elsewhere. Indeed, technological and regulatory changes have influenced the banking industry during the past a few decades so much so that they are the most important changes to have occurred in the banking industry.

13.4 RELATIONSHIP BETWEEN BANKING AND TECHNOLOGY

Technology is used to interchange information and communication technology together with computer science. Technology in banking is convenient tool for automating process which banks use as a revolutionary measure of delivering services to customers by new delivery channels and payment. Further, the cost of the services through these channels is also reduced drastically.

Post Covid-19 pandemic, the use of banking technology like ATMs, Credit cards/ Debit cards, Mobile Banking, Net banking, etc. has helped a lot even for survival during lockdown period which has not only enhanced the dependence of people on digital banking but it is turning to be a way of life of the common people now a days.

But this does not mean that the brick-and-mortar bank branches will completely disappear. Just as increasing proliferation of mobile phones does not mean that landline telephone kiosks will disappear, so also the popularity of high-tech delivery channels does not mean that physical branches will disappear altogether. It has been found that corporate and older persons prefer to conduct their business through bank branches.

Information technology has not only helped banks to deliver robust and reliable services to their customers at a lower cost, but also helped banks make better decisions. Here a data warehouse plays an extremely important role. It essentially involves collecting data from several disparate sources to build a central data warehouse to store and analyse the data. A data warehouse in a bank typically stores both internal data and data pertaining to its competitors. Data mining techniques can then be applied on a data ware-house for knowledge discovery. Data warehousing also allows banks to perform time series analysis and online analytical processing (OLAP) to answer various business questions that would put the banks ahead of their competitors.

13.5 EVOLUTION OF BANKING TECHNOLOGY

It's been over 50 years since then— over 50 years of technological advancements and cultural development. And the financial industry is no different. There have been a lot of advancements in the banking sector in the last over 50 years or so, thanks to technology. Let's take a look back through a brief history of banking technology to see just how far we've come.

The Introduction of Credit Card: (1950)

The first most notable technological advancement in the financial industry was the advent of the credit card in 1950. In 1950, Dinner's Club introduced the first universal credit card, a portable payment solution that could be used at numerous member establishments. The introduction of the credit card fundamentally changed how consumers thought about their finances. They no longer had to carry or spend cash for every purchase. They now had the freedom to borrow against a line of credit that they could pay off at a future date. In general, credit cards allow consumers to make bigger purchases, without having to dip too deep into their savings.

ATMs, Computers, and Much More: (1960)

Fast forward, a little over a decade later to the 1960s, when the world was introduced to the first ATM. "A Scottish inventor named John Shepherd-Barron thought, if vending machines could dispense chocolate bars, why couldn't they dispense cash? Barclays Bank fell in love with the idea and the first ATM was created. With the invention of the ATM, customers were no longer constrained by bank hours and locations when they wanted to access their money.

The use of computers in banking was also introduced in the 1960s when the then-Bank of New South Wales announced it would purchase its first-ever computer for the sum of £1 million.

That's about \$26 million in today's dollars. The computer centralised the bank's trading accounts by replacing the machine accounting operations used in each individual branch. The hope was

that a centralized place for accounts would streamline processes and allow financial institutions to place a stronger focus on customer service.

Banks started to invest heavily in computer technology to automate manual processing. By the 1970s, the first electronic payment systems for both international and domestic transactions were developed. The international SWIFT payment network was established in 1973 and domestic payment systems were developed around the world by banks working with governments.

The Convenience of Online Banking: (1980s)

In the 1980s, with digital technology well underway, the “term ‘online’ which referred to the use of a terminal, keyboard and TV to access the banking system using a phone line” gained popularity. With online banking came the benefits of lower transaction costs, easier integration of services, and more targeted marketing capabilities. As online banking gained momentum, the first commercially available computer tablet, manufactured by Samsung in 1989, brought a new wave of convenience in retail banking. For the first time bank employees were allowed to “move within and even beyond the branch. Instead of waiting in line for the teller to become available, the teller might come to the door, greet a customer, sit on the couch with them and serve their needs from a mobile tablet as opposed to a tethered device.

Late in the 1990s, consumers were introduced to PayPal, a P2P money service, enabling wireless transfers. The creation of PayPal spawned a myriad of like businesses from Venmo and Popmoney to Zelle. These services made it more convenient for people to pay for services wirelessly.

The Mobile Banking Revolution: (2000s)

The early 2000s, with the advent of wireless technology and the wide adoption of smartphones, brought the next major shift in the financial industry—mobile banking. Mobile banking made it possible for people to manage their financial lives from virtually anywhere and at any time.

Now people could pay bills, check balances, transfer funds, or add new accounts all from their mobile devices. For the first time, the branch experience started to become secondary, as people flocked to the convenience and ease of their mobile devices.

In 2004, as mobile banking continued to grow in popularity, “the Check Clearing for the 21st Century Act”, a federal law, was passed. The Act made it so “a check recipient could make a digital copy/ electronic image of a check known as Check Truncation) and then process that check electronically.” The move to remote check deposit capture reduced the waiting period for check processing, adding convenience and making it possible for people to pay for bills and purchases faster than ever before.

Google Wallet

About seven years later in 2011, Google introduced Google Wallet, a mobile payment technology meant to rival credit cards. For the first time people could use their phones directly for purchases. This opened up a whole new level of freedom, taking technology in the financial industry to a whole new level. Similar to Google Wallet, in 2014, Apple launched Apple Pay.

Fingerprint authentication and Touch Id

Heading the charge in 2015, “Bank of America introduced fingerprint authentication and Touch ID,” making it easier and safer for people to log into their mobile banking apps. In the same year, the EMV chip technology became a standard among card issuers. The “EMV chips make cards far more secure because the information transmitted is encrypted and tokenized which adds more security and critical as payments become more integrated.

13.6 A NEW ERA IN BANKING

Today we’re seeing another major shift in the financial industry, largely brought about by consumers’ expectations for convenience, relevance, and ease. As technology continues to advance in the banking industry, it’s fundamentally changing the banking model.

Consumers expect hyper-personalized and relevant communication from all of their online and offline interactions. And they don’t want to initiate the conversation. They want their financial institutions to keep them in the know about their finances and notify them if something needs their attention. In essence, they are looking for a self-guided financial wellness solution.

Self-guided financial wellness

People no longer simply want to trust their financial institution with their money. They want to trust that their financial institution understands them and has their best interest in mind when it comes to financial matters.

Luckily, financial institutions are well positioned to take advantage of everything technology has to offer. It’s now easier than ever before for financial institutions to access and act on their wealth of data to help customers make well-informed financial decisions. Whether it’s mobile apps enabling budgeting, notifications encouraging better spending habits, or ads informing customers on where to go for a better mortgage loan—there’s a lot that financial institutions can do to help their customers.

And the best part is that financial institutions can do all this without having to fundamentally change their customers’ behaviour towards finances. Financial institutions are ushering a new age of personal financial wellness with a tool that does all the heavy lifting—from proactive notifications to guided financial advice, so everyone has access to the financial information they need to lead happier and healthier financial lives.

Now financial institutions can actively help guide their customers to financial wellness throughout every stage of their financial journey by ensuring they’re always in the know. It’s time to move past reactive, transactional communication to proactive and meaningful relationships that help instil trust in customers’ hearts and minds. Consumers want to know that their financial institution understands them and is actively working to help them improve their financial lives.

13.7 EVOLUTION OF BANKING TECHNOLOGY IN INDIA

Indian Banking Scene : In India, banking as an institution originated in the late 18th century and primarily catered to the needs of the British. Post-independence, the nationalization of major private sector banks in 1969 was an important milestone in the Indian banking system which made banking accessible to the unbanked population in India. The economic liberalization in the early 1990s ushered in the era of privatization where in the new private banks – the new generation tech-savvy banks were launched.

A few foreign banks commenced their India operations as well. All these banks were quick to leverage emerging technology, were competitive in wooing customers and winning them over by providing professional services. This helped infuse a sense of urgency in public sector banks and older private sector banks to mend their ways, which in turn completely revitalized banking operations in India.

Impact of IT Revolution

Once Indian IT services companies started booming, it was just a matter of time before Indian banks whole heartedly embraced technology. This paved the way for business process automation in banking, which enhanced customer service, reduced manpower costs and increased profitability.

Apart from normal banking products, Indian banks started selling third party products such as mutual funds and insurance to their clients as well. This single window selling saved the customers time and enabled the bank to enrich the relationship. Reserve bank of India, India, not to be left behind, played its part in this transformational journey, by issuing regulations and recommendations on banking mechanization and computerization.

Establishment of computerized interconnectivity across bank branches, introduction of MICR-based cheque clearing, modernization of payment services and settlements through Electronic Clearing Services (ECS), Real Time Gross Settlement System (RTGS), and National Electronic Funds Transfer (NEFT) were all significant landmarks in the banking technology revolution. Continuing advances in technology rise in middle class income levels and increase in demand from a consumer-oriented financial market, soon catapulted the Indian banking sector to a customer centric, technology driven financial supermarket catering to the varied needs of its customers.

Significant Milestones

The economic liberalisation of the Indian economy in 1991 almost correspond with the worldwide revolution in Internet technology which has doubly impacted the Indian private and public sector banks that were still stuck in old ways of functioning. It ushered booming of the Indian IT industry which supported major changes in all the industries which includes banking industry. It paved the way for business process automation in banking with enhanced customer service, reduced manpower costs and increased profitability. Apart from normal banking products, the banks started offering third party products such as mutual funds and insurance to their clients

as well. The bank has been converted into a one stop financial shop offering all the products at the same time thereby enriching the customer relationship.

The RBI has facilitated this transformational journey, by issuing regulations and recommendations on banking mechanization and computerization. Few landmark developments include establishment of computerized inter-connectivity across bank branches, introduction of MICR based cheque clearing, modernization of payment services and settlements through Electronic Clearing Services (ECS), Real Time Gross Settlement System (RTGS), National Electronic Funds Transfer (NEFT), Unified Payments Interface (UPI), etc.

Over a period of time, there has been a noticeable shift from traditional banking to channel-based banking. Introduction of ATMs (Automated Teller Machines) provided customers with “any time” access to their money which reduced the load on the branches. The credit card by enabling cashless transactions, unleashed a revolution in the banking world. Call Centre and phone banking services have improved the customer convenience. By directing banking transactions through different electronic channels and by providing customers direct access to their bank accounts, banks have reduced the number of walk-in customers and improved the quality of customer service in branches. The next important milestone was the introduction of mobile banking primarily through SMS. The launch of smart phones has created a major revolution in the banking world and smart phones Apps are most popular channels at present.

Current Trend

Though it may appear to save the bank a lot of overheads, in reality, the customer never needing to visit a bank branch, either for completing the account opening process or the subsequent financial activities actually throws up new challenges. The power of technology makes it happen seamlessly and virtually, but customer satisfaction is something which calls for a human touch.

For all their technological sophistication, virtual banking should be hassle free and a pleasurable experience for the user. The virtual banks need to be aware of this fact in letter and spirit and always ensure that the quality of user experience is paramount and leveraging technology is only an aid to enriching user experience.

As banks adopt more technology, two things stand out—using less paper and doing transactions wirelessly. Processing online applications for account opening and other services, transfer of funds without cheques, online account statements are all becoming part of the regular banking process.

With digitization of all customer transactions and data, banks can improve productivity, optimize costs, provide quicker and better quality customer service. From the customers’ point of view, paperless banking translates to easy handling, storage and retrieval of financial documents and account statements without the fear of misplacing them.

With customers demanding ‘anytime, anywhere and anyway’ (AAA) access to their money and financial information, banks have no option but to implement wireless solutions in device independent and network-agnostic ways.

13.8 CHALLENGES TOWARDS ADOPTION OF TECHNOLOGY BY INDIAN BANKS

However, there appears to be a lot of challenges towards adoption of technology in banking in India. The demographic growth of India is such that it is going to become the most populated country very soon.

Channel technologies can bring about closer integration between the rural and urban populace. Here, India needs to learn its lessons from China which has managed to rapidly urbanize its rural population and been able to harness technology to the fuller benefits of its newly urbanized populations.

Another challenge non-branch channels throw up is the lack of human touch that previously characterized banking transactions. The rather impersonal technology-enabled touch screen key presses and automated answering systems might intimidate and overwhelm newly urbanized users who are by and large technology illiterate. It is therefore imperative for banks to ensure that technology is tailored to the needs of different sections of people and is also backed by suitable “humane” yet quick measures in the event of failure or breakdown.

Way Forward

Ever since the nationalization of banks in India, banking sector has been growing by leaps and bounds and catering to the needs of various segments of the society.

Liberalization and Information technology has attracted many foreign banks to India, thereby opening up new markets, new products and efficient delivery channels for the banking industry. In the development of Indian Economy, Banking sector plays a very important and crucial role. With the use of technology there had been an increase in penetration, productivity and efficiency. It has not only increased the cost effectiveness but also has helped in making small value transactions viable. It also enhances choices, creates new markets, and improves productivity and efficiency. It has been noticed that financial markets have turned into a buyer’s markets in India.

Commercial Banks in India are now becoming a one-stop Supermarket. The focus is shifting from mass banking to class banking with the introduction of value added and customized products. Technology allows banks to create what looks like a branch in a business building’s lobby without having to hire manpower for manual operations. The branches are running on the concept of 24 x 7 working, made possible by the use of Tele banking, ATMs, Online banking, Mobile banking and E - banking. These technologies driven delivery channels are being used to reach out to maximum number of customers at lower cost and in most efficient manner. The beauty of these banking innovations is that it puts both banker and customer in a win- win situation. Effective use of technology has a multiplier effect on growth and development.

There has to be a holistic approach to fulfill the demand for increased variety in deposit and investment products so as to grab a better market share of investments through banks. Development of sophisticated products with low – cost technology is key. This calls for an in-

depth analysis of customer needs, the market and competitor trends. As the markets are very dynamic and customer needs ever changing, banks need to invest in advanced analytical tools for timely introduction of new products which will give them early mover advantage. The vendors who supply various banking solutions play a vital role in leveraging innovation and designing products, thereby enabling banks to achieve their goals.

India's transformational journey to modernity is on the cusp of revolutionary change. Banks would do well to realize their central role in enabling this transformation and should take conscious recourse to relentless adoption of technology. And the goal should be not just to satisfy but to engage with customers and enrich their experience.

13.9 TECHNOLOGY IMPACT IN RETAIL BANKING

As per PWC report, banks in India on aggregate spend between 1.5% and 2.0% of their annual revenue on technology, compared with a range of between 7.0% and 10% by global banks. Indian banks have invested more on customer-facing solutions than on their infrastructure backbone. Moving from a manual, scale-constrained environment to a global presence with automated systems and processes, it is difficult to envisage the adverse scenario where the sector was in the era before the reforms, when a simple deposit or withdrawal of cash would require a day. Many of the IT initiatives of banks started in the late 1990s, or early 2000, with an emphasis on the adoption of core banking solutions (CBS), automation of branches and centralisation of operations in the CBS. Over the last decade, almost all banks completed the transformation to technology-driven organisations.

Technology is the enabler for building and translating a customer database into retail banking business. Banks adopt different technology platforms in line with the global trends.

The levels of technology implementation in PSBs started from standalone Automated Ledger Posting Machines (ALPMs) in the early days of computerisation in 1980s and graduated to Total Branch Automation and regional net worked hubs. New generation private sector banks started with technology advantage of a single server environment which gave them advantage over other banks. PSB banks also have re-engineered their technology initiatives and implemented core banking solutions, networking the customers and accounts on a single platform.

The implementation of core banking has directly increased the chances of availability of customer data base across products and has increased the scope for cross selling and up selling. Core banking gives clues about the level to which the data base is horizontally or vertically organized. Horizontal or vertical organized refers to whether data is available product wise on a standalone basis or data is available customer wise on an integrated basis. Technology integration with the business model will enable the banks to design their marketing strategies and through an integrated CRM solution will sell to the targeted customer base.

ATMs, mobile banking and online bill payments facilities to vendors and utility service providers have almost obviated the need for customers to visit a branch. Branches are also transforming from operating as transaction processing points into relationship management hubs.

13.10 BENEFITS OF TECHNOLOGY IN RETAIL BANKING

As already stated above, the technology has changed the face of banking. There are numerous advantages of technology in Retail banking. However, a few of them may be summarized as under:

Increase in Efficiency: Efficient and quick service to customer can be provided with the help of modern technologies, irrespective of geographic boundaries or time zones without physical much presence.

Cost Reduction: As most customers find it convenient to transact through net-banking or mobile-banking, it has reduced the purpose of creating large sized physical branches. Banks are able to open small size branches or banking kiosks in smaller towns and rural areas thereby increasing deeper footprints at much reduced cost.

Accuracy: The clearing of cheques, pass book entries, inter-branch and inter-bank reconciliation and such other functions can now be carried out quickly, correctly and legibly with modern technology.

Customer Service: With internet facility, the customers need not go to the bank office. All banking transactions and updating of accounts can be done while at home or in transit. Networking means sharing of information, giving messages and being in face to face contact even when apart.

Products: With the help of various analytical tools available in the market, retail banks can easily capture data such as spending habits, frequency, and capacity and also identify customer choices using banks are able to offer customized and differentiated products in the market.

Easy Communication: Internet connects thousands of computers which can work 24hours a day throughout the year. There is no more the tyranny of working hours. The business of banks with customers, head office, other banks, branches is being fully computerised to provide a lot of convenience and benefits to customers as also the banks.

Self-guided financial wellness: Now banks are well positioned to take advantage of everything technology has to offer. It's now easier than ever before for financial institutions to access and act on their wealth of data to help customers make well-informed financial decisions.

13.11 ARTIFICIAL INTELLIGENCE (AI)

What does Artificial Intelligence mean?

Banking Technology is not a single, stand-alone discipline, but a confluence of several disparate fields such as finance (subsuming risk management), information technology, communication technology, computer science and marketing science.

For example, Speech recognition, decision-making, visual perception are features of human intelligence that artificial intelligence may possess. Translation between languages is another feature.

In other words, Artificial Intelligence or AI refers to software technologies that make a robot or computer to act and think like a human. Some software engineers say that it is only artificial intelligence if it performs as well or better than a human. In this context, when we talk about performance, we mean human computational accuracy, speed, and capacity.

Artificial intelligence (AI), from time to time also called machine intelligence is simulation of human intelligence in machines. It is the intellect exhibited by machines, in contrast to the natural knowledge demonstrated by humans.

Artificial intelligence consists of generally two fundamental ideas. First it involves studying human brains like how their thought process works and secondly it helps representing those processes through machine learning.

Just like humans, machines with AI can also learn from experience. It is called machine learning. A neural network is an example of machine learning. However, Artificial intelligence contrasts with natural intelligence. Humans and other animals display natural intelligence.

John McCarthy (1927-2011), an American computer scientist and cognitive scientist, coined the term ‘artificial intelligence.’ In fact, he was one of the founders of the discipline of AI.

Now a days, Artificial Intelligence is widely used in various industries and business domain, starting from healthcare, finance, manufacturing to law, education, etc. With the help of machine learning, doctors can diagnose diseases faster than before. Applications such as chatbots is helping customers to schedule appointments and support patients through the billing process. In education, AI can provide auto grading, help students with learning by providing support to their need and help them to stay on track. In the law industry, AI has made it easier for the lawyers to go through thousands of large legal documents effectively and accurately which is a real tedious work in general. Industrial robots have made the manufacturing way easy and efficient than it used to be a few years back.

Concept of Automation

The use of automation began to increase in the last decade with an aim to reduce manpower and time. Automation has introduced a system of computer and machines and replaced a system that was built by combining man and machine. Highly intense and repetitive tasks have become efficient and the product quality has also increased with the use of automation in various industries.

13.12 DIFFERENCE BETWEEN ARTIFICIAL INTELLIGENCE (AI) AND AUTOMATION

Before diving into artificial intelligence in automation, it’s important to acknowledge that both these terms are used interchangeably in daily life.

They are associated with physical or software robots along with other machines which allow us to work more effectively and efficiently.

Automation, basically means making a software or hardware which is capable of automatically doing things and that too without any form of human intervention. Automation is the use of computer-controlled devices to assume control of processes. Business leaders like automation because it boosts efficiency, productivity, and reliability.

Artificial intelligence on the other hand is a science as well as engineering which is involved in making machines which are intelligent. AI is about attempting to make machines mimic or even try to supersede human intelligence and behaviour.

In advanced economies and many emerging economies, artificial intelligence is entering the workplace in a big way. In fact, not only is AI becoming more common in the workplace, but also in the home, and even outdoors. Artificial intelligence is now becoming a major factor in business competitiveness.

As companies begin to gain a better understanding of AI's application for business, they have started recognising the significant impact of this transformative force. This is reflected in Global Trend Study, which shows that forward-thinking companies are beginning to make major AI investments. Given the increasing digital disruption across every industry and the public sector, AI has started becoming a key and integrated component of an organization's strategy.

For example, rapid advancements in AI have contributed to the growth of the automotive industry, specifically, through the creation and continued development of self-driving cars. Apple, Google, and Tesla, for example, have been using AI for several years. The artificial intelligence in self-driving vehicles learns how to brake safely, change lanes, and prevent collisions. It also learns how to navigate and use maps.

AI is the simulation of human intelligence which helps to build smarter machines capable of doing human work in a smart way. AI work just like a human brain it can think and make decision with more accuracy rate, based on the data it is being fed. Artificial intelligence is now becoming more widespread in the current market. It is used in various sectors; banking industry is one among them. Banking industry is using AI in a very innovative way which save plenty of time and money. The banks use algorithms to generate accurate results which in turn help in enhancing customer service and generate better sales performance to deliver profits. AI includes machine learning and profound learning which helps to reduce errors caused by emotional and psychological factors. One of the most important task AI performs is to channelize key information from wide variety of data and draw conclusions. For instance, IPsoft, the world front-runner in Enterprise AI has built up a humanoid (robot) accomplice Amelia. It is the industry's most human digital AI partner.

13.13 EVOLUTION OF ARTIFICIAL INTELLIGENCE

When Alan Turing published a paper on the possibilities of machines with true intelligence, it was just the establishment of Artificial Intelligence as a term, but no application of the case or Artificial Intelligence method was carried out until the late 1990s. Artificial Intelligence speed

only picked up after 2011, after major tech giants like Facebook, IBM, Microsoft and Google started engaging in Artificial Intelligence and Machine Learning for business applications.

AI has become more popular today thanks to increased data volumes, advanced algorithms, and improvements in computing power and storage. Early AI research in the 1950s explored topics like problem solving and symbolic methods. In the 1960s, the US Department of Defence took interest in this type of work and began training computers to mimic basic human reasoning. For example, the Defence Advanced Research Projects Agency (DARPA) completed street mapping projects in the 1970s. And DARPA produced intelligent personal assistants in 2003, long before Siri, Alexa or Cortana were household names.

This early work paved the way for the automation and formal reasoning that we see in computers today, including decision support systems and smart search systems that can be designed to complement and augment human abilities.

While Hollywood movies and science fiction novels depict AI as human-like robots that take over the world, the current evolution of AI technologies isn't that scary – or quite that smart. Instead, AI has evolved to provide many specific benefits in every industry.

13.14 ARTIFICIAL INTELLIGENCE INDUSTRY IN INDIA

A news report published in October in The Economic Times said, —Start-ups witness 108% growth in funding in India in 2018. The news report further mentioned that Artificial Intelligence was among those domains which witnessed fastest adoption among industry sectors.

Currently there are about 400 start-ups working on AI and machine learning domains. About \$150 million dollars is invested in India's AI sector by private players alone and the number has been growing since 2016.

Though there has been growth, India lags far behind countries like US and China in terms of investment. With a copious pool of STEM talent and with growing population of youngsters, India will be banking on AI for its economic growth and improvement in quality of life of its citizens.

There are several start-ups that are based in cities such as Bengaluru, New Delhi, Mumbai and Hyderabad which work on artificial intelligence principles to serve consumers better. Their product range vary from multi-lingual chat bots to online shopping assistance and automated consumer data analysis.

The companies have been working in areas such as e-commerce, healthcare, edtech, fintech, etc. Though in their nascent stage, the performance of these companies have been promising.

13.15 ARTIFICIAL INTELLIGENCE IN INDIAN BANKING INDUSTRY

Banks are exploring and implementing technology in various ways. Artificial Intelligence is getting better and smarter day by day. Here, we will discuss how Artificial Intelligence is used

in the Indian banking sector, what are the benefits and what are the Challenges facing India's Artificial Intelligence. We shall also discuss the developments that Artificial Intelligence offers to Fintech and the different ways in which it can improve the operations of an Indian banking sector.

Artificial Intelligence (AI) is fast evolving as the go-to technology for companies across the world to personalize experience for individuals. The technology itself is getting better and smarter day by day, allowing more and newer industries to adopt the AI for various applications. Banking sector is becoming one of the first adopters of AI. And just like other segments, banks are exploring and implementing the technology in various ways.

The rudimentary applications, AI include bring smarter chat-bots for customer service, personalizing services for individuals, and even placing an AI robot for self-service at banks. Beyond these basic applications, banks can implement the technology for bringing in more efficiency to their back-office and even reduce fraud and security risks.

Unsurprisingly, research firms are bullish on the potential of AI in banking. According to Fintech India report by PwC in 2017, the global spending in AI applications touched \$5.1 billion, up from \$4 billion in 2015. There is a keen interest in the Indian banking sector as well.

13.16 INDIAN BANKS AND THE TECHNOLOGY

In the last few years—especially during the governorship of Raghuram Rajan and his successor Urjit Patel—RBI has taken a cautious but pragmatic view of embracing new technologies, often forcing technology adoption on banks through regulation, wherever it has seen scope to enhance customer experience and efficiency using a particular technology. RBI's proactive push of new technology adoption has not just been restricted to creating policy frameworks. It has used a mix of regulation, evangelism and even worked with the industry to make things easier and effective.

The regulator also has an academic/research unit, Institute of Development and Research in Banking Technology (IDRBT) which keeps studying the opportunities and challenges in new technology areas. It is not a coincidence that both these units have been actively involved in testing out blockchain as a proof of concept.

India's position is quite unique here. It is a fact that India is a tech-hub. Apart from being a large technology outsourcing destination, India is also the home to vendors with a large core banking market share globally. Two of the top three core banking solution vendors—Infosys and TCS—are headquartered in India. Of late, India has also seen a lot of activity in the fintech arena. The country has become one of the global fintech hubs.

While in many developed markets, fintechs and banks have enjoyed an uneasy relationship, in India, most progressive banks like ICICI Bank, Axis Bank and HDFC Bank have proactively gone to fintechs, creating contests and hackathons to get the best of innovations, sometimes even sharing their APIs (Application Programming Interface) with these fintechs.

Bank Chain was announced on 8 February 2017 by SBI, India's largest bank. It's a 30+ member consortium led by SBI, the country's largest lender, and includes banks, NBFCs and the National Payments Corporation of India (NPCI), an organization set up by Indian banks to support retail payments. Simply put, Bank Chain is a community of banks for exploring, building and implementing block chain solutions. Bank Chain is supported by Pune-based startup Prime chain Technologies to create these solutions. Currently, it has 37 members and 8 live projects.

13.17 WHY AI IN BANKING INDUSTRY?

- Enormous challenges in the banking sector.
- Thrust for a process-driven operation.
- Initiate self-service in the branches.
- Customer desire to deliver different personalized solutions.
- Build functional efficiencies.
- Escalating the productivity of employees.
- To support focus on productivity and efficiency.
- Visualization to extend human function with the use of robotics tools.
- To minimize the chances of fraud and scam.
- Manage an immense volume of data at record speed and gain valuable insights.
- To carry out effective decision-making.

13.18 BENEFITS OF ARTIFICIAL INTELLIGENCE TECHNOLOGY IN BANKING AND FINANCE

Personalized Financial Services

Personalized connect will reach new heights as automated financial advisors and planners provide expertise in making financial decisions. They analyse market temperament against the user's financial goals and personal portfolio, and offer recommendation regarding stocks and bonds.

Smart Wallets

Digital wallets are touted as the future of real-world payment technologies, with major players like Google, Apple, Paypal and others, jumping on the bandwagon and developing their own payment gateways. This decreases the dependence on physical cash, thereby expanding the reach of money to greater levels.

Underwriting

The insurance sector is also coming up with a storm as they are moving towards congruent automation. By utilizing AI systems that automate the underwriting process, the organizations come armed with more granular information to empower their decisions.

Voice Assisted Banking

Physical presence is slowly fading away as technology empowers customers to use banking services with voice commands and touch screens. The natural language technology can process queries to answer questions, find information, and connect users with various banking services, eliminating the language barriers. This reduces human error, systemizing the efficiency.

Data-driven AI applications for lending decisions

Applications embedded in end-user devices, personal robots, and financial institution servers are capable of analysing a huge volume of data, providing customized financial advice, calculations and forecasts. These applications can also develop financial plans and strategies through research, regarding various customized investment opportunities, loans, rates, fees, etc and track the progress.

Customer support

As speech processing and natural language processing technologies mature, we are drawing closer to the day, when computers could handle most customer service queries. This would mark an end to waiting in line and hence result in happier customers.

Digitalization instead of branch lines

Banking is a lengthy process, with past records of long queues and sluggish response marring the productivity. Even opening a bank account was viewed in negative terms as harried consumers would run pillar to post, while getting the necessary documentation complete. Digitization of documentation eases that pain and creates a comprehensive platform, where the consumers and providers connect.

Blockchain hastening payments

The customer base that banks serve is going through a major shift in terms of buying behaviours and preferences, driven by the digital revolution, particularly social media and mobile. An increased demand for more choice and control in how they interact with a bank is on a rise. Sluggish payment processes will be a thing of the past as Blockchain is set to inculcate the advantage of real-time payment process, hastening up the procedure of payment, thereby increasing support and satisfaction.

13.19 ARTIFICIAL INTELLIGENCE IN RETAIL BANKING

The banks cannot afford to wait, to get on their artificial intelligence journey as they have to compete in a future which is packed with innovative and advanced technology. The uses of AI in retail banking may be summarized as under:

Drive thru Banking: Drive thru banking allows the customers to do banking transaction without getting out from car. There is lane where the customer can do transaction through a window. Voice AI system is being developed to replace humans in drive thru banking.

Bank Stations: Banks can incorporate artificial intelligence at the front office, middle office and back office. The bank stations are a system of self-service terminals that delivers a wide range of value-based e-services to consumers example bill payments, government e-services etc.

Big data is the industry standard today and big data applications in banks are transforming the industry. AI is helping in structuring and sorting the data and banking sector is using the data to improve customer relations. Artificial Intelligence is the future of banking to serve new age customers.

Passbook updation kiosks: The Indian banking industry has been evolving from people driven to machines controlled in the past few years. Passbook printing kiosk is an automatic kiosk which enable customers to print their passbooks. Indian banks such as SBI and Bank of Baroda have installed this facility in a big way. They have installed self-service passbook kiosks wherein customers can print passbooks on their own.

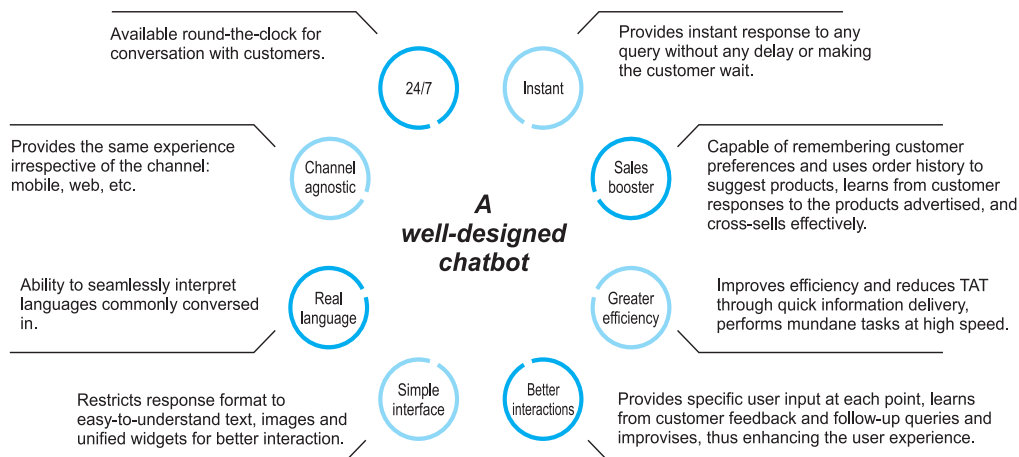
For example, SBI has installed Swayam (passbook printing kiosk) that uses barcode technology and allows customers to update their passbooks hassle-free. Now most of the banks are providing barcode based passbook printing facility.

Although there has been hiring in banks, the nature of skill sets required is changing with spotlight on the front-end talent.

Chatbot-The Intelligent Banking Assistant:

Chatbots or virtual assistants are new tools designed to simplify interaction between humans and computer. Chatbots are examples of AI in banking that are replacing the front-desk scenes at the banks. These AI-led machines provide next level digitized and customized interactive experiences to the customers.

SBI has launched chatbot SIA (SBI Intelligent Assistant) which help customers in everyday banking tasks just like bank representatives. It also resolves the questions of NRI customers by providing prompt solutions in the chat box on SBI gateway.



(Source: <https://www.pwc.in/consulting/financial-services/fintech/fintech-insights/chatbot-theintelligent-banking-assistant.html>)

Cash Deposit Machine: The Cash Deposit Machines are self-service terminals which allow to deposit cash at any time. This facility ends the problem of standing in long queues at banks to deposit cash. Banks offer the fastest and most reliable way to deposit cash round the clock. Both state-owned and private banks offer this facility where account balance is credited instantly. Customer will receive a transaction receipt for each successful transaction. Payments can also be made in different accounts using this machine.

ATM Machine Helpline: These help the customers to contact their respective banks in case of emergency these helplines are provided in ATMs. AI has been introduced in ATMs too. The following segments have been introduced in ATMs: Machine learning for cyber security in ATMs, machine vision ATM cameras, facial recognition for security and improving customer experience, predictive maintenance of ATM machines, forecasting ATM cash demand.

Mobile Banking: Mobiles are becoming smarter globally. Millions of people depend vigorously on mobile banking, which means that AI-powered banking mobile apps strongly attract them. Consumers have moved to mobile banking effortlessly. Having personal virtual assistant is very attractive no matter whether it is Siri from Apple or Alexa from Amazon. It has been widely accepted and welcomed by users across the globe. Mobile apps can readily meet the client's desires. There are intelligent apps that can track the user's behaviours and give them customized tips and insights on savings and expenses. Nowadays every bank offers these services of mobile and text banking. With the use of mobile banking it has become more convenient to do daily transactions such as money transfer, payments etc. Consumers can do better financial planning, can get smart financial advisory, can do efficient and quicker transactions with the advent of artificial intelligence in mobile banking.

Block chain Technology and Banking: Block chain is distributed, decentralized and digital ledger. It is digital information (block) stored on public database (chain). Block chain is used to store encrypted data and Artificial Intelligence is the brain or engine to enable decision making and assists in analysis of data collected.

Most often it is argued that block chain technology is only beneficial for crypto currency industry but that is not true. Block chain technology visions to solve multiple issues related to digital transactions such as data security, fraud prevention etc. Block chain is the future of inter-bank transactions, cross border remittances, crypto banking, record storing, KYC, loan syndication, increased transparency to name a few.

AI-based Algorithms and Fraud Detection: AI revolves around algorithms. Machine learning is made up of series of algorithms. Algorithm is a set of rules, instructions or other problem-solving operations to be followed by computers. AI is very effective in finding patterns in real time. It uses additional behavioural indicators to spot suspicious activity and offer suggestions for mitigating risk. For instance, Feedzai, a data science firm, uses algorithms to detect e-commerce fraud.

Banking Technology is not a single, stand-alone discipline, but a confluence of several disparate fields such as finance (subsuming risk management), information technology, communication technology, computer science and marketing science.

Fraud has been the major issue in the financial sector and fraud detection is one of the crucial areas in banking sector where artificial intelligence systems have excelled the most. AI helps to gain a better understanding of customer's behaviour thus helps in better detection of new and emerging frauds. An example of successful implementation of data analysis techniques in the banking industry is the FICO Falcon fraud assessment system, which is based on a neural network shell to deployment of sophisticated deep learning based artificial intelligence systems today.

AI and Machine Learning applications use algorithms to analyse patterns and predictive analytics to block fraudulent transactions thus helping banks to prevent financial frauds. Fraud detection has made considerable progress and is expected to further develop in coming years.

13.20 ARTIFICIAL INTELLIGENCE IN RETAIL BANKING IN INDIA

According to PwC FinTech Trends Report (India) 2017, global investment in AI applications touched USD 5.1 billion (Euro 4.3 billion) in 2016. Many public sector as well as private sector banks like SBI, HDFC, ICICI, HSBC and Axis banks in India have turned towards implementation of AI. A few examples are mentioned below for better understanding as to how Indian banks are adopting AI to make Retail Banking more convenient and cost effective to customers as also for the banks.

State Bank of India (SBI)

SBI launched a national hackathon called “Code For Bank” for developers, start-ups and students to come up with innovative ideas and solutions for banking sector that focuses on technologies such as predictive analytics, fintech/blockchain, digital payments, IoT, AI, machine learning, BOTS and robotic process automation. The bank is currently using an AI-based solution developed by Chapdex (the winning team from its first hackathon), that captures the facial expressions of the customers and helps them in understanding the behaviour of its customers.

HDFC Bank

HDFC bank has developed an AI- based chatbot called “Eva” (Electronic Virtual Assistance), built by Bengaluru- based Senseforth that has addressed over 2.7 million customer queries, interacted with over 530,000 unique users, and held 1.2 million conversations. The device can provide answers in less than 0.4 seconds and has in the first few days of its launch answered more than 100,000 queries from thousands of customers from 17 countries. The bank is also experimenting with in-store robotic applications called IRA (Intelligent Robotic Assistant).

ICICI Bank

ICICI bank has deployed software robotics in over 200 business processes across various functions of the company. Calling it the robotic software the bank claims it to be the first in the country and among very few in the world to deploy this technology, that emulates human actions to automate and perform repetitive, high volume and time consuming business tasks.

Axis Bank

Axis Bank recently launched an AI and NLP (Natural Language Processing) enabled app for conversational banking, to help consumers with financial and non-financial transactions, answer FAQs and get in touch with the bank for loans.

13.21 THE CHALLENGES FACING INDIA'S AI DEVELOPMENT

1. AI-based applications to date have been driven largely by the private sector and have been focused primarily in consumer goods. The emergent scale and implications of the technology make it imperative for policymakers in government to take notice.
2. Early lessons of AI success in the United States, China, South Korea, and elsewhere offer public and private funding models for AI research that India should consider.
3. The sequential system of education and work is outdated in today's economic environment as the nature of jobs shifts rapidly and skills become valuable and obsolete in a matter of years.
4. In India, however, there are concerns of unemployment. In most cases, automation replaces labour. In other words, when you have robots entering the workplace, there is perception that employees may not lose jobs but also there will be dearth of jobs in future. Many economists and sociologists today fear that artificial intelligence will eventually take over most jobs. In other words, AI will push up unemployment rates dramatically

13.22 BENEFITS OF AI IN RETAIL BANKING

Anomaly detection can be used to increase the accuracy of credit card fraud detection and anti-money laundering.

Customer Support and Helpdesk

Humanoid Chatbot interfaces can be used to increase efficiency and reduce cost for customer interactions.

Risk Management

Tailored products can be offered to clients by looking at historical data, doing risk analysis, and eliminating human errors from hand-crafted models.

Security

Suspicious behaviour, logs analysis, and spurious emails can be tracked down to prevent and possibly predict security breaches.

Digitization and automation in back-office processing

Capturing documents data using OCR and then using machine learning/AI to generate insights from the text data can greatly cut down back-office processing times.

Wealth management for masses

Personalized portfolios can be managed by Bot Advisors for clients by taking into account lifestyle, appetite for risk, expected returns on investment, etc.

ATMs

Image/face recognition using real-time camera images and advanced AI techniques such as deep learning can be used at ATMs to detect and prevent frauds/crimes.

In nutshell, it can be concluded that Artificial intelligence has many benefits to offer for the banking sector. Artificial intelligence is changing business processes and customer-facing services in the banking sector in India.

It is also being used to meet regulatory compliance, detect fraud, and assess individual creditworthiness. The application of AI has the potential to create more efficient business processes, offer personalized services, and assist in larger goals such as financial inclusion. There is no doubt that the recent push towards digitalization is rapidly influencing the traditional banking models. However, it has also exposed the institutions to increasing cyber security threats and vulnerabilities. The banks are increasingly looking at emerging technologies such as block chain and analytics in creating an active defence mechanism against cybercrimes.

The world of banking is shifting faster than ever, with Artificial Intelligence (AI) leading the way in bringing in sea change in the banking industry. Various AI technologies have been applied in banking in fields such as core banking, operational performance, customer support and analytics. For AI, banking is no longer just physical branches, but a brand-new world of modern banks. The introduction of new banking services by modern day banks is helping them to grow and expand. Technology is enabling increased penetration of the banking system, increased cost effectiveness and is making small value transactions possible. Effective use of technology has a multiplier effect on growth and development of banks. Hence with the introduction of artificial intelligence, more customers are attracted, and it is helping the banks to grow more. Banks can apply AI to improve the client experience by empowering frictionless, round the clock client association - however AI in banking applications isn't simply restricted to retail banking services. The back and middle office of investment banking and all other money related supervisions are gaining by AI.

LET US SUM UP

The term “Banking Technology” refers to the use of sophisticated information and communication technologies together with computer science to enable banks to offer better services to its customers in a secure, reliable, and affordable manner, and sustain competitive advantage over other banks. Banking Technology is not a single, stand-alone discipline, but a confluence of several disparate fields such as finance (subsuming risk management), information technology, communication technology, computer science and marketing science. Technology is used

to interchange information and communication technology together with computer science. Information technology has not only helped banks to deliver robust and reliable services to their customers at a lower cost, but also helped banks make better decisions. There have been a lot of advancements in the banking sector in the last over 50 years or so. The first most notable technological advancement in the financial industry was the advent of the credit card in 1950. In 1950, Dinner's Club introduced the first universal credit card, a portable payment solution that could be used at numerous member establishments. During 1960s, the world was introduced to the first ATM. In the 1980s, with digital technology well underway, the "term 'online'. which referred to the use of a terminal, keyboard and TV to access the banking system using a phone line" gained popularity. As online banking gained momentum, the first commercially available computer tablet, manufactured by Samsung in 1989, brought a new wave of convenience in retail banking. The early 2000s, with the advent of wireless technology and the wide adoption of smartphones, brought the next major shift in the financial industry—mobile banking. About seven years later in 2011, Google introduced Google Wallet, a mobile payment technology meant to rival credit cards. Heading the charge in 2015, "Bank of America introduced fingerprint authentication and Touch ID," making it easier and safer for people to log into their mobile banking apps.

It's now easier than ever before for financial institutions to access and act on their wealth of data to help customers make well-informed financial decisions. Once Indian IT services companies started booming, it was just a matter of time before Indian banks whole heartedly embraced technology. As banks adopt more technology, two things stand out—using less paper and doing transactions wirelessly. However, there appears to be a lot of challenges towards adoption of technology in banking in India. Liberalization and Information technology has attracted many foreign banks to India, thereby opening up new markets, new products and efficient delivery channels for the banking industry. Commercial Banks in India are now becoming a one-stop Supermarket. Technology is the enabler for building and translating a customer data base into retail banking business.

The implementation of core banking has directly increased the chances of availability of customer data base across products and has increased the scope for cross selling and up selling.

Artificial Intelligence or AI refers to software technologies that make a robot or computer to act and think like a human. Artificial intelligence (AI), from time to time also called machine intelligence is simulation of human intelligence in machines.

Artificial intelligence consists of generally two fundamental ideas. First it involves studying human brains like how their thought process works and secondly it helps representing those processes through machine learning. AI is the simulation of human intelligence which helps to build smarter machines capable of doing human work in a smart way. Banking sector is becoming one of the fast adopters of AI and just like other segments, banks are exploring and implementing the technology in various ways.

KEYWORDS

demographic, psychographic data mining, online analytical processing (OLAP), economic liberalization, MICR, ECS, RTGS, NEFT, one-stop Supermarket, leveraging, CBS, ALPMs, Artificial intelligence (AI), Proactive, Blockchain, Fintechs

CHECK YOUR PROGRESS

1. From the functional perspective, Banking Technology has mainly _____ important dimensions.

(a) Five	(b) Four
(c) Three	(d) Two
2. Banking Technology is a discipline which deals with:

(a) Finance and Risk Management	(b) Information Technology and Communication Technology
(c) Computer Science and Marketing Science	(d) All of Above
3. Towards the evolution of banking technology, the first most notable technological advancement in the financial industry was the advent of:

(a) Dinner's Club Credit Card	(b) ATM
(c) Online Banking	(d) Mobile Banking
4. Out of the followings, which one is not the use of Artificial Intelligence in Retail banking?

(a) Passbook updation kiosk	(b) Chatbot
(c) Cash Deposit Machine	(d) Teller counter being managed by an employee

ANSWERS TO CHECK YOUR PROGRESS

1. (c) 2. (d) 3. (a) 4. (d)



RECOVERY OF RETAIL LOANS

STRUCTURE

14.0 Objectives

14.1 Introduction

14.2 Repayment in Retail Loans

14.3 Default and Re-scheduling in Retail Loans

14.4 Monitoring of Loan Accounts

14.5 Classification of Irregular Loan Accounts

14.6 Recovery Policy of Banks

14.7 Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI Act)

14.8 Debt Recovery Tribunal (DRT)

14.9 Recovery through Lok Adalat

14.10 Engaging Direct Recovery Agents

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

14.0 OBJECTIVES

After studying the unit, you would be in a position to understand:

- Various types of defaults in retail banking
- Recovery Process
- Debt Recovery Tribunal (DRT)
- Use of Lok Adalat
- RBI guidelines for engaging Recovery Agents, etc.

14.1 INTRODUCTION

An asset (loan) product is one where bank lends to customers for a fee or rate of interest. In lending to customers banks face many risk. This is one among the many risks that banks face. Strategy behind the launch of an asset-product by any financial institution is developed around many factors of which the risk appetite is the most important. Higher the efficiency of the collections department, better would be the ability of financial institution/bank to launch any asset product with more confidence. This Unit will focus on various recovery processes being initiated by banks in recovering the retail assets when default takes place.

14.2 REPAYMENT IN RETAIL LOANS

The success of any banking initiative is judged only by the profit generated from that business segment. Banks aggressively build up their retail asset portfolios to expand business as retail assets are one of the best revenue drivers in banking. Moreover, since the customer base is large and heterogeneous in nature, the risk in retail asset financing is well diversified. Banks take advantage of this phenomenon and expand exponentially, their retail asset portfolio. Apart from foreign banks, the new generation private sector banks aggressively expanded their retail asset portfolio in the past decade to the extent that the retail asset portfolio of one of the top private sector banks exceeded above 50% of their total asset portfolio. Public sector banks also expanded their retail asset portfolio in a big way but not to the extent of private sector banks. Their retail portfolio size, on an average, used to be in the range of 30%. Accordingly, profits generated from that segment are also attractive but the inherent risk of default is always there in retail assets also. The unsecured nature of retail assets like Personal Loans and Credit Card Receivables made the portfolio more vulnerable for default as there is nothing to proceed against for banks except through money suits.

The growth rates of retail assets came down as banks were more cautious in their retail lending. In addition, the delinquencies and default rates were also on the rise making the banks to go on the back foot. In case of housing loans and educational loans rescheduling was done in a major way so as to avoid slippages to the Non-Performing Asset category and attract loan loss provisioning and affect the bottom lines.

Holiday period/Moratorium period

A moratorium period/holiday period is a time allowed for the borrowers, during the loan term, when they are not required to make any principal repayment. It is a waiting period before which repayment by way of EMIs begins.

Generally;

- The repayment begins only after disbursement of entire loan. Term loan may be disbursed either in single debit or in multiple debits, as per the requirements.
- Holiday period interest needs to be serviced. But in educational loans, this is not insisted upon.
- In respect of housing loans, a holiday period upto 18 months is allowed in case of construction and 3 months in case of purchases.
- The Holiday period is allowed with an intention to allow the borrowers to get themselves equipped for repayments. In the initial stages of availing the loan, there may be some miscellaneous expenses which they need to meet.

Types of monthly installments

Borrowers can choose among three types of monthly instalments to repay their loan. Repayment includes the principal loan amount and the interest accrued on it.

Bullet payment

In this case, the loan amount with interest is paid in a single payment at the end of the loan period. Small value gold loans are paid in this way.

Fixed instalment loan

This payment is in equal monthly instalments. The loan amount is divided into equal monthly instalments. In this method, the interest servicing burden is more in initial stages. The borrower has to pay the loan instalments along with the entire interest accrued in the account during that period.

Equated Monthly Installments (EMI)

Recoveries are effected in retail loans by Equated Monthly Installments or simply EMIs. In EMI model of repayment, the loan is repaid in full in uniform monthly installments spread over the repayment period. The EMI will consist of two components namely the principal and interest. In EMI, the principal component will be less during the initial months and the interest component will be more. As the repayment progresses, the principal component will increase and the interest component will reduce. This is because, as the repayment progresses, the principal component will get reduced and hence interest charges also will decrease. Hence, the subsequent instalment will service more of the principal. Let us see how EMI is calculated for loans.

The formula for calculation of EMI

$$\text{EMI} = \frac{P \times r \times (1 + r)^n}{[(1 + r)^n - 1]}$$

where p = principal (amount of loan), r = rate of interest per month

(e.g.: if interest rate per annum is 10% then $10/(12 \times 100)$)

n = no. of installments

By using the above formula, the EMI will be calculated and advised to the customers for prompt servicing of the loan.

Banks are expected to give the amortization schedule to the borrowers while advising loan sanction.

In case of a loan with floating rate of interest, any change in interest rate needs to make changes in EMIs accordingly. Changes are to be made either in EMI or in loan tenor.

14.3 DEFAULT AND RE-SCHEDULING IN RETAIL LOANS

What is default? Default is the occurrence of an event which happens due to non-payment of agreed instalments. For a sustainable good relationship, there are some fundamental requirements such as:

1. Credit is used for the intended purpose;
2. The payment of interest and instalments/principal is as per agreed terms;
3. The borrower gives all such information about security/hypothecation and conduct of business from time to time as per requirement; and
4. Neither the bank nor the borrower takes step which will jeopardize the relationship.

Among the above, item number (2) is the most important. If the repayment schedule is not adhered to as per the commitments made, then it translates into default. The severity of the default varies according to the period of default, i.e., from a simple overdue to the stage of NPA. What are the reasons for default in retail loans? Let us take the case of Home Loans.

Home Loans are offered in two price formats. One is fixed pricing and the second is variable pricing or floating pricing. The irony is that even fixed pricing takes the character of a floating pricing as interest is reset as per the reset clause agreed between the lender and borrower. The monthly installments also called as EMIs are fixed based on the rate prevailing at the time of availing the loan and the agreed repayment period based on the servicing capacity of the borrower. Steep changes in interest rates say 200 to 300 basis points will change the equilibrium of repayments. An increase in interest rate either fixed or floating will increase the EMI and hence the customer has to pay more than what was originally committed based on his repaying capacity. Since there are chances that the customer would not be able to service the higher EMI,

the loan repayment will be under default. If the default continues for ninety days, then the loan becomes NPA. How to obviate this problem? The reasons for the increase in interest rates may be due to genuine reasons like macro-economic factors or the asset liability management policy of the banks. There are two expected outcomes to this situation.

- i. To pay the higher EMI so that the repayment period is kept at the same level.
- ii. To pay reduced EMI and elongate the repayment period beyond the earlier committed repayment period but within the total repayment period permissible for Housing Loan (say 25 years) or extend even beyond that period.

Anyone of the above two has to be effected by the bank.

Some customers may be willing to pay the higher EMI and keep the repayment period at the same level. But most of the customers may not afford to pay the increased EMI as the same will be substantial. This will result in the loans becoming overdue and subsequently NPAs.

The other option is to pay the same EMI for an elongated repayment period and service the loan accordingly so that the asset continues to remain as a performing one. Most of the banks had elongated the repayment period so that customers are not under extra pressure to service the loan. Some private banks gave the option to the borrowers to pay higher EMIs or pay the same EMIs under extended repayment period. This phenomenon is called as re-scheduling of retail loans. As said earlier, in retail loans, re-scheduling mainly happens in Housing Loans and educational loans as they are of long tenor loans. Re-scheduling happens in Credit Cards and Personal Loan segments also where the interest rates are quite high and unsecured in nature. Here default happens mainly due to the following reasons:

- a. Genuine defaults due to reasons beyond the borrowers' control; and
- b. Wilful defaults where the borrowers deliberately default with malafide intention.

Let us discuss the above two types of defaults in detail.

Genuine Defaults

In genuine defaults, the customers fail to repay the EMIs due to personal setbacks, job losses, unforeseen medical expenses, etc., in case of borrowers having a steady salary income. In case of customers from business community the business suffers setback due to new competition, sudden change in local conditions/environment of business/trade, etc., that tilt the balance of their monthly pay outs/disposable income and results in non-payment of banks' dues. Here, the intention to pay is intact but the ability to pay is affected, and results in defaults. The approach of the banks for recovery will be one of care and concern and will be a customer oriented approach because many times the setbacks are of temporary nature and given an opportunity and time the customer tides over the problems. It is essential to retain such clients.

Wilful Defaults

The term 'wilful default' can be deemed to have occurred if any one of the events is noted as under:

- a. Default in payment/repayment obligations to the lender even when the unit has capacity to honour the obligations.
- b. Default in meeting payment/repayment obligations to the lender and has diverted the funds for other purposes not in terms of sanction.
- c. Default in meeting its payment/repayment obligations to the lender and has siphoned off the funds and the funds are not available with the unit in the form of other assets.
- d. Defaulted in meeting its payment/repayment obligations to the lender and has also disposed off or removed the movable fixed assets or immovable property given for the purpose of securing a term loan without the knowledge of the bank/lender.

The identification of the wilful default should be made keeping in view the track record of the borrowers and should not be decided on the basis of isolated transactions/incidents. The default to be categorized as wilful must be intentional, deliberate and calculated. In wilful defaults, the customers deliberately fail to pay the EMIs and the attitude is negative. The intentions of the borrowers are malafide and there is no attempt from the borrowers' side to service the loans as per the committed repayments. The objective is to delay the EMIs and put the banks into difficulties. In wilful defaults the approach of the banks will be on a recovery basis as the chances of recovery are not so bright. So banks take a systematic and firm approach for recovery of these loans.

Penal Measures against Wilful Defaulters

- a. No additional facilities should be granted by any bank/FI to the listed wilful defaulters.
- b. In addition, such companies (including their entrepreneurs/promoters) where banks have identified siphoning/diversion of funds, misrepresentation, falsification of accounts and fraudulent transactions should be debarred from institutional finance from the scheduled commercial banks.
- c. The legal process, wherever warranted, against the borrowers/guarantors and foreclosure for recovery of dues should be initiated expeditiously.
- d. The lenders may initiate criminal proceedings against wilful defaulters, wherever necessary.
- e. Wherever possible, the banks and FIs should adopt a proactive approach for a change of management of the wilfully defaulting borrower unit.
- f. The bank can proceed against the guarantor, if any, along with the principal debtor also by virtue of the Contract Act.

A covenant in the loan agreements, with the companies to which the banks have given funded/non-funded credit facility, should be incorporated by the banks to the effect that the borrowing company should not induct on its board a person whose name appears in the list of Wilful Defaulters and that in case, such a person is found to be on its board, it would take expeditious and effective steps for removal of the person from its board.

Diversion of funds

The term ‘diversion of funds’ should be construed to include any one of the undernoted occurrences:

- a. Utilization of short-term working capital funds for long-term purposes not in conformity with the terms of sanction.
- b. Deploying borrowed funds for purposes/activities or creation of assets other than those for which the loan was sanctioned.
- c. Transferring borrowed funds to the subsidiaries/Group companies or other corporates by whatever modalities.
- d. Routing of funds through any bank other than the lender bank or members of consortium without prior permission of the lender.
- e. Investment in other companies by way of acquiring equities/debt instruments without approval of lenders.
- f. Shortfall in deployment of funds vis-à-vis the amounts disbursed/drawn and the difference not being accounted for.

Siphoning of Funds

The term ‘siphoning of funds’ should be construed to occur if any funds borrowed from banks are utilised for purposes unrelated to the operations of the borrower, to the detriment of the financial health of the entity or of the lender. The decision as to whether a particular instance amounts to siphoning of funds would have to be a judgment of the lenders based on objective facts and circumstances of the case.

The cut-off limit for invoking penal provision in respect of wilful defaulter/instances of siphoning/diversion of funds is ₹25 lakh or more.

14.4 MONITORING OF LOAN ACCOUNTS

The Monitoring process is a scientific as well as an essential tool for maintaining the quality of retail assets. As discussed above it has to be designed in such a way that it addresses both genuine defaulters as well as wilful defaulters. While genuine defaulters are to be handled very sensitively as they are otherwise good customers and default have happened due to circumstances beyond their control. The recovery process has to be gentle and professional and ultimately it should translate into the recovery of monies. In case of wilful defaulters, the recovery process should be strict and at the same time, very professional as a lot of pressure has to be put for recovering the monies. Banks are advising their monitoring and recovery policies on their web sites and also inform the borrower customers about the recovery procedures adopted by them. The recovery process adopted by a new generation private sector bank is discussed below to understand the entire gamut of recovery in retail banking.

Irregularities in Loan Accounts – Special Mention Accounts

To have more control over monitoring of accounts, the loan accounts are grouped us under:

SMA sub categories	Basis for classification
	Principal or interest payment or any other amount wholly or partly overdue between
SMA -0	1 to 30 days
SMA-1	31 to 60 days
SMA-2	61 to 90 days

14.5 CLASSIFICATION OF IRREGULAR LOAN ACCOUNTS

In line with the international practices and as per the recommendations made by the Committee on the Financial System (Chairman Shri M. Narasimham), the Reserve Bank of India has introduced, in a phased manner, prudential norms for income recognition, asset classification and provisioning for the advances portfolio of the banks.

Income Recognition

The policy of income recognition should be objective and based on record of recovery rather than on any subjective considerations.

A retail asset becomes non-performing when it ceases to generate income for the bank. A non-performing asset (NPA) is a loan or an advance where:

- Interest and/or instalment of principal remain overdue for a period of more than 90 days in respect of a term loan,
- The account remains ‘out of order’, in respect of an Overdraft/Cash Credit (OD/CC) for a period of more than 90day;
- The bill remains overdue for a period of more than 90 days in the case of bills purchased and discounted.

Recognition of income in these accounts is based on the record of recovery. Income from non-performing assets (NPA) is not recognised on accrual basis but is booked as income only when it is actually received. However, interest on advances against Term Deposits, National Savings Certificates (NSCs), Indira Vikas Patras (IVPs), Kisan Vikas Patras (KVPs) and Life policies may be taken to income account on the due date provided adequate margin is available in the accounts. If any advance, including bills purchased and discounted, becomes NPA, the entire interest accrued and credited to income account in the past periods, should be reversed if the same is not realised.

Asset Classification

Banks are required to classify non-performing assets further into the following three categories based on the period for which the asset has remained non-performing and the realisability of the dues:

- Substandard Assets
- Doubtful Assets
- Loss Assets

Substandard asset: A sub-standard asset is one, which has remained NPA for a period less than or equal to 12 months. Such an asset will have well defined credit weaknesses that jeopardise the liquidation of the debt and are characterised by the distinct possibility that the banks will sustain some loss, if deficiencies are not corrected.

Doubtful Assets: An asset is required to be classified as doubtful, if it has remained NPA for more than 12 months.

Further Doubtful Assets are classified into three categories,

Doubtful-I: An asset which has remained in Doubtful category up to 12 months

Doubtful- II: An asset which has remained in doubtful category for more than 12 months and up to three years.

Doubtful- III: An asset in Doubtful category for more than three years.

Loss Assets: An asset is considered uncollectible and of such little value that its continuance as a bankable asset is not warranted although there may be some salvage or recovery value.

Classification of assets is to be borrower-wise and not facility-wise. Realisable value of securities available to the account also factors. In respect of accounts where there are potential threats for recovery on account of erosion in the value of security or non-availability of security and existence of other factors such as frauds committed by borrowers, it will not be prudent that such accounts should go through various stages of asset classification. In cases of such serious credit impairment, the asset should be straightaway classified as doubtful or loss asset as appropriate:

- Erosion in the value of security can be reckoned as significant when the realisable value of the security is less than 50 percent of the value assessed by the bank or accepted by RBI at the time of last inspection, as the case may be. Such NPAs may be straightaway classified under doubtful category.
- If the realisable value of the security, as assessed by the bank/approved valuers/RBI is less than 10 percent of the outstanding in the borrowal accounts, the existence of security should be ignored and the asset should be straightaway classified as loss asset.

Example:

A term loan was disbursed on 12 Feb, 2012 and its first due date was 15 June 2012. But the borrower did not pay. The A/c will move from one stage to another stage as under:

Classification	Enters into	Continues till
Standard	12 Feb,2012	15 Jun, 2012
Irregular	16 Jun, 2012	13 Sep, 2012
Sub-Standard	14 Sep, 2012	13 Sep, 2013
Doubtful-I	14 Sep, 2013	13 Sep, 2014
Doubtful-II	14 Sep, 2014	13 Sep, 2016
Doubtful-III	14 Sep, 2016	Uncertain

Provisioning norms

In conformity with the prudential norms, provisions should be made on the non-performing assets on the basis of classification of assets into prescribed categories. Taking into account the time lag between an account becoming doubtful of recovery, its recognition as such, the realisation of the security and the erosion over time in the value of security charged to the bank, the banks should make provision against substandard assets, doubtful assets and loss assets as below:

- i. Loss assets should be written off. If loss assets are permitted to remain in the books for any reason, 100 percent of the outstanding should be provided for.
- ii. In case of Doubtful assets, 100 percent of the extent to which the advance is not covered by the realisable value of the security to which the bank has a valid recourse and the realisable value is estimated on a realistic basis and is to be provided for. In regard to the secured portion, provision may be made on the following basis, at the rates ranging from 25 percent to 100 percent of the secured portion depending upon the period for which the asset has remained doubtful:

Period for which the advance has remained in 'doubtful' category	Provision requirement (%)
Up to one year	25
One to three years	40
More than three years	100
Note: Valuation of Security for provisioning purposes	

- iii. In case of Substandard Assets, a general provision of 15 percent on total outstanding should be made without making any allowance for securities available. The 'unsecured exposures' which are identified as 'substandard' would attract additional provision of 10 percent. *Unsecured exposure* is defined as an exposure where the realisable value of the security, as assessed by the bank/ approved valuers/ Reserve Bank's inspecting officers, is not more than 10 percent, ab-initio, of the outstanding exposure. 'Exposure' shall include all funded and non-funded exposures. 'Security' will mean tangible security properly discharged to the bank and will not include intangible securities like guarantees.

- iv. Standard assets also attract provision. Banks should make general provision for standard assets at the following rates for the funded outstanding on global loan portfolio basis:
 - Farm Credit to agricultural activities and Small and Micro Enterprises (SMEs) sectors at 0.25 percent;
 - Advances to Commercial Real Estate (CRE) Sector at 1.00 percent,
 - Advances to Commercial Real Estate – Residential Housing Sector (CRE – RH) at 0.75 percent,
 - Housing loan accounts sanctioned on or after 7th June 2017 attracts only 0.25 percent provision,
 - All other loans and advances not included above attract 0.40 percent provision.

14.6 RECOVERY POLICY OF BANKS

The recovery policy clauses are clearly spelt out in the recovery policy of the bank. The fundamental assumptions and approaches to recovery are clearly to be communicated the customers. Let us see the different clauses of the recovery policy.

Preamble

- i. The debt collection policy of the bank is built around dignity and respect to customers.
- ii. The Bank will not follow policies that are unduly coercive in collection of dues.
- iii. The policy is built on courtesy, fair treatment and persuasion.
- iv. The bank believes in following fair practices with regard to collection of dues and repossession of security and thereby fostering customer confidence and long-term relationship.
- v. The repayment schedule for any loan sanctioned by the bank will be fixed taking into account paying capacity and cash flow pattern of the borrower.
- vi. The bank will explain to the customer upfront the method of calculation of interest and how the Equated Monthly Installments (EMI) or payments through any other mode of repayment will be appropriated against interest and principal due from the customers.
- vii. The bank would expect the customers to adhere to the repayment schedule agreed to.
- viii. The bank Security Repossession Policy aims at recovery of dues in the event of default and is not aimed at whimsical deprivation of the property.
- ix. The policy recognizes fairness and transparency in repossession, valuation and realization of security. All the practices adopted by the bank for follow up and recovery of dues and repossession of security will be in consonance with the law.

General Guidelines

All the members of the staff or any person authorized to represent the bank in collection or/and security repossession would follow the guidelines set out below:

1. The customer would be contacted ordinarily at the place of his/her choice and in the absence

of any specified place, at the place of his/her residence and if unavailable at his/her residence, at the place of business/occupation.

2. Identity and authority of persons authorized to represent the bank for follow up and recovery of dues would be made known to the borrowers at the first instance. Bank staff or any person authorized to represent the bank in collection of dues or/and security repossession will identify himself/herself and display the authority letter issued by the bank upon request.
3. Bank would respect privacy of its borrowers.
4. Bank is committed to ensure that all written and verbal communication with its borrowers will be in simple business language and bank will adopt civil manners for interaction with borrowers.
5. Normally bank's representatives will contact the borrower between 0700 hrs and 1900 hrs, unless the special circumstance of his/her business or occupation requires the bank to contact at a different time.
6. Borrower's requests to avoid calls at a particular time or at a particular place would be honoured as far as possible.
7. Bank will document the efforts made for the recovery of dues and the copies of communication set to customers, if any, will be kept on record.
8. All assistance will be given to resolve disputes or differences regarding dues in a mutually acceptable and in an orderly manner.
9. Inappropriate occasions such as bereavement in the family or such other calamitous occasions will be avoided for making calls/visits to collect dues.

Giving Notice to Borrowers

While written communications, telephonic reminders or visits by the bank's representatives to the borrower's place or residence will be used as loan follow up measures, bank will not initiate any legal or other recovery measures including repossession of the security without giving due notice in writing. Bank will follow all such procedures as required under law for recovery/repossession of security.

Repossession of Security

Repossession of security is aimed at recovery of dues and not to deprive the borrower of the property. The recovery process through repossession of security will involve repossession, valuation of security and realization of security through appropriate means. All these would be carried out in a fair and transparent manner. Repossession will be done only after issuing the notice as detailed above. Due process of law will be followed while taking repossession of the property. Bank will take all reasonable care for ensuring the safety and security of the property after taking custody, in the ordinary course of the business.

Valuation and Sale of Property

Valuation and sale of property repossessed by the bank will be carried out as per law and in a fair and transparent manner. Bank will have the right to recover from the borrower the balance due if any, after sale of property. Bank shall have the right of set-off and lien, irrespective of any other lien or charge, present as well as future all account/deposits of the deposit holder with the bank, whether in single name or joint name(s), to the extent of all outstanding dues to the bank. For such purposes, bank may at its sole discretion close the deposits prematurely and applies a penal rate of interest in respect of the same. The lien shall be valid and binding on the borrower and operative until repayment in full of all moneys due to the bank from the borrower. Excess amount if any, obtained on sale of property will be returned to the borrower after meeting all the related expenses provided the bank is not having any other claims against the customer.

Opportunity for the Borrower to Take Back the Security

As indicated earlier in the policy document, bank will resort to repossession of security only for the purpose of realization of its dues as the last resort and not with intention of depriving the borrower of the property. Accordingly, bank will be willing to consider handing over possession of property to the borrower any time after repossession and before concluding sale transaction of the property, provided the bank dues are cleared in full within the time frame specified by the bank. If satisfied with the genuineness of borrower's inability to pay the loan instalments as per the schedule which resulted in the repossession of security, bank may at its discretion consider handing over the property after receiving the instalments in arrears. However, this would be subject to the bank being convinced of the arrangements made by the borrower to ensure timely repayment of remaining instalments in future.

The above provisions highlight the recovery process that is structured in a sequential way to persuade the borrower for repayment of dues in different ways and if the expected response is not happening, then the procedure that will be followed by the bank including taking possession of the property/adjustment of other balances with the bank for recovery of loans and delivering back or sale of property based on the repayment of dues, for adjusting the monies due to the bank and returning the amounts, if any, back to the borrower.

The percentage of retail credit in banks' total loan portfolio has been growing rapidly more particularly in new generation private sector banks. With this the defaults in repayment of the retail loans (including credit card) are also increasing. The number of retail loans in banks is huge and it is not possible to manually monitor the accounts and maintain them in standard category. Banks are presently taking help of Information Technology to monitor these accounts and collect overdue amount in irregular/out of order accounts. The role of IT in collections has been covered elsewhere in this book.

In spite of the banks' efforts to regularise the irregular accounts fail then banks have to resort to other remedies. Some of these recovery options are mentioned below.

14.7 SECURITIZATION AND RECONSTRUCTION OF FINANCIAL ASSETS AND ENFORCEMENT OF SECURITY INTEREST ACT, 2002 (SARFAESI ACT)

Evolution

With an aim to provide a structured platform to the banking sector for managing its mounting NPA stocks and keep pace with international financial institutions, the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act was put in place to allow banks and FIs to take possession of securities and sell them. As stated in the Act, it has “enabled banks and FIs to realise long-term assets, manage problems of liquidity, asset-liability mismatches and improve recovery by taking possession of securities, sell them and reduce Non-Performing Assets (NPAs) by adopting measures for recovery or reconstruction.” Prior to the Act, the legal framework relating to commercial transactions lagged behind the rapidly changing commercial practices and financial sector reforms, which led to slow recovery of defaulting loans and mounting levels of NPAs of banks and financial institutions.

By the late 1990s, rising level of bank NPAs raised concerns and Committees like the Narasimham Committee II and Andhyarujina Committee, which were constituted for examining banking sector reforms considered the need for changes in the legal system to address the issue of NPAs. These committees suggested a new legislation for securitization, and empowering banks and FIs to take possession of the securities and sell them without the intervention of the court and without allowing borrowers to take shelter under provisions of SICA/BIFR. Acting on these suggestions, the SARFAESI Act was passed in 2002 to legalise securitization and reconstruction of financial assets and enforcement of security interest. The act envisaged the formation of Asset Reconstruction Companies (ARCs)/Securitization Companies (SCs).

Provisions of the SARFAESI Act

The SARFAESI Act introduced major changes in the legal framework for the recovery of dues by banks/ FIs by giving those powers to realize the securities without the need to approach courts. The SARFAESI Act is a major step in financial sector reforms. It has brought a legal framework for the following important activities in the credit market:

- a. Securitization of financial assets.
- b. Reconstruction of financial assets.
- c. Recognition of any ‘interest’ created in the security for due repayment of a loan as a ‘security interest’, irrespective of its form and nature but when it is not in the possession of the creditor.
- d. Power to enforce such a security for the realization of money due to banks and the financial institutions in the event of a default, without the intervention of the Courts.
- e. Enabling provisions for the setting up a Central Registry for the purpose of registration of transactions of securitization, reconstruction and the creation of the security interest.

The provisions of the SARFAESI Act, relating to enforcement of the security interest, applies only to cases in which the security interests are created for due repayment of financial assistance. As per SARFAESI Act, financial asset means debt or receivables and includes:

- a. A claim to any debt or receivables or part thereof whether secured or unsecured, or
- b. Any debt or receivable secured by mortgage of or charge in immoveable property, or
- c. A mortgage charge, hypothecation of moveable property, or
- d. Any right or interest in the security, whether full or part, securing debt, or
- e. Any beneficial interest in any moveable or immoveable property or in debt, receivables, whether such an interest is existing, future, accruing, conditional or contingent, or
- f. Beneficial right, title or interest in any tangible property given on hire/conditional sale/contract which secures the obligation to pay any unpaid portion of purchase price.
- g. Any right, title or interest on any intangible asset or license or assignment of such intangible asset, which secures the obligations to pay any unpaid portions of purchase.
- h. Any financial assistance.

The SARFAESI Act empowers banks and financial institutions to enforce securities in the event of default by the borrower without the intervention of either, the Civil Court or the Debt Recovery Tribunal. The powers so given by this Act, have an overriding effect on other laws in this respect. The secured creditor has been given the option to decide which course of action should be adopted in respect of defaulted loans. Though many objectives are included in the Act, we discuss below one of the very important parts of it, viz., Enforcement of security interest.

Enforcement of security interest

SARFAESI Act can be initiated only if the loan account satisfies the following conditions:

- a. Loan account must have been classified as NPA, backed by security.
- b. Outstanding in the account including the interest accrued/applied should be more than ₹One lakh.
- c. Outstanding dues should be 20% or above of the principal and interest.
- d. Secured asset should not be an agricultural land.
- e. Documents should be enforceable and unexpired period of a minimum of 6 months must be available (not specified in the Act). Action under SARFAESI Act 2002 will not extend limitation period of documents.
- f. In case of multiple lenders/consortium advances, ensure lenders having a minimum of 60% of dues outstanding are agreeable for initiating action under SARFAESI Act 2002.

Once, the account is classified as NPA, the Act empowers the Secured Creditor to issue a Demand Notice under Section 13(2) to the defaulting borrowers/mortgagors/guarantors calling upon them to discharge the dues in full within 60 days from the date of receipt of the notice. Though the SARFAESI Act mandates giving of only two particulars, viz., details of the amount payable and details of securities, in the notice, it would be in order to give the details of defaults, overdue period and the date from which the account is classified as NPA, facility-wise securities provided

for the loans and particulars of security documents executed by the borrower.

Demand Notice under section 13(2) can be issued by any one or more of the following modes:

- i. By Registered Post with Acknowledgement Due, or
- ii. By Speed Post, or
- iii. By Courier, or
- iv. By Fax Message, or
- v. By electronic mail service (e-mail),
- vi. By hand delivery against proper acknowledgment addressed to the borrower at the place where he resides or carries on business or works for gain.

On receipt of the notice if the borrower makes any representation or raises any objection, the secured creditor has to communicate his reply to the borrower within 15 days of the receipt of such representation based on factual position and on merits.

If the borrower fails to comply with the demand notice the secured creditor may take recourse to recovery measures which include taking possession of the secured assets for the realization to recover his secured debt, the takeover of management, the appointment of any other person as manager to manage the security assets (possession already taken over), etc. The SARFAESI Act provides for enforcement of securities without the intervention/adjudication of the court.

Sec 13(13) of the SARFAESI Act provides that after receipt of the demand notice, the Borrower/ Mortgagor/ Guarantor shall not transfer any of the secured assets by way of sale, lease or otherwise without the prior written consent of the Bank. Sec 29 of the Act provides that if any person contravenes or attempts to contravene or abets the contravention of the provisions of the Act or Rules, he shall be punishable with imprisonment for a term which may extend to one year or with fine or both.

The possession of the secured assets should be taken only by the Authorised Officer in presence of two witnesses. Inventory should be prepared by the Authorised Officer in case of movable assets. Expeditious steps for disposal of the movable assets should be taken (particularly when they are perishables) so as to avoid safe keeping expenses, security charges, loss/deterioration in quantity/quality of goods.

Authorised Officer shall take possession or cause possession of the mortgaged immovable property to be taken in the following manner:

- i. By delivering a 'Possession Notice' to the mortgagor (Borrower/guarantor).
- ii. By affixing the Possession Notice on the outer door or at such conspicuous place of the property.
- iii. Within seven days of taking possession, the Possession Notice should also be published in two leading Newspapers one of which should be in the vernacular language, having sufficient circulation in that locality where the property is situated.

If for any reason physical possession is to be taken, Authorised Officer shall file an Application along with an affidavit under Section 14 of the Act before the Chief Metropolitan Magistrate/

District Magistrate (District Collector)/Chief Judicial Magistrate. The Chief Metropolitan Magistrate Chief Judicial Magistrate/ or District Magistrates shall after satisfying the contents of the affidavit pass suitable orders under Sec 14 for the purpose of taking possession of the secured assets within a period of 30 days from the date of application. If no such order is passed within 30 days for reasons beyond control, he may, after recording reasons in writing, pass the order within such further period not exceeding in aggregate 60 days. It may be noted that the Division Bench of the Allahabad High Court in the decision reported in CDJ 2016. All HC 161 has held that the nomenclature Chief Metropolitan Magistrate used in the SARFAESI Act is inclusive of Chief Judicial Magistrate functioning in a Non-metropolitan area and as such the CJM shall have jurisdiction to entertain an Application made by the bank for taking physical possession.

The borrower, including the tenant in the mortgaged property, if aggrieved by any of the measures taken by the secured creditor for taking possession of the security, may make an application to the Debts Recovery Tribunal (DRT) having jurisdiction within 45 days from the date on which such measures are taken. The DRT, as per the recovery of debts due to Banks and Financial Institutions Act, 1993 and the Rules made there under, is required to dispose of the application as early as possible, but within 60 days. If the application is not disposed within 4 months, any party to the application can approach the Appellate Tribunal for seeking directions for the early disposal of the application.

Any person, if aggrieved by any order made by the DRT, can prefer an appeal to the Appellate Tribunal within 30 days from the date of receipt of the order of DRT upon depositing 50% of the debt demanded by the bank or determined by the DRT whichever is less. DRAT has power, for reasons to be recorded, to reduce the upfront deposit to 25%. No pecuniary limit is fixed by the Act for the appellate jurisdiction. In case the possession is wrongfully taken by the secured creditor, he is required to pay compensation to the borrower.

After taking possession, the Authorised Officer should obtain valuation only from the approved Valuer, as required. After valuation, the Authorised Officer should fix the 'Reserve Price' of the property in consultation with the Secured Creditor.

The Authorised Officer should serve 30 days 'Sale Notice' on the borrowers/mortgagors/ guarantors giving the details of the following:

- i. Reserve Price fixed,
- ii. Date, time and place of public auction or the time after which sale by any other mode shall be completed.

In the First Auction, reserve price should be fixed at 95% of the Fair Market Value. Sale of Immovable Properties (other than Agri. Land) involving sale consideration of ₹50.00 lakh and above attracts 1% income tax. If there is no bidder, in the next auction, reserve price may be fixed at the Forced Sale Value.

Every Sale Notice issued to the borrower should also be affixed in a conspicuous place of the immovable property. The rules also authorise that the sale notice may be put on the website of

the bank. 30 days' sale notice should be given for the first sale and minimum 15 days' notice would suffice for subsequent sale.

The mortgagor has the right to pay the dues to the bank and redeem the property at any time before the date of publication of notice for public auction or inviting quotations or tender from the public or private treaty for transfer.

e-Auction is compulsory for public sale through SARFAESI except for the cases where:

- The book o/s at the time of auction is less than ₹5 lakh, OR
- The FSV of the property being brought for auction is less than ₹5 lakh.

In the above cases, a manual auction is permitted.

Auction shall be conducted only on the date and time already fixed and communicated.

14.8 DEBT RECOVERY TRIBUNAL (DRT)

Debt Recovery Tribunals (DRT) and Debt Recovery Appellate Tribunals (DRAT) are established by Central Government under The Recovery of Debts due to Banks and Financial Institution Act, 1993. The Recovery of Debts due to Banks and Financial Institution Act, 1993 extends to the whole of India except the State of Jammu and Kashmir.

Debt Recovery Tribunals are apex bodies to settle recovery issues in case of loans extended by financial institutions. Debt Recovery Tribunals (DRTs) are constituted for helping financial institutions recover their bad debts quickly and efficiently. DRTs are governed by provisions of the Recovery of Debt Due to Banks and Financial Institutions Act, 1993, also popularly called the RDB Act. Rules have been framed and notified under the Recovery of Debts Due to Banks and Financial Institutions Act, 1993.

A Tribunal shall exercise, the jurisdiction, powers and authority to entertain and decide applications from the banks and financial institutions for recovery of debts due to such banks and financial institutions. Under Securitization and Reconstruction of Financial Assets and Enforcement of Security Interests Act (SARFAESI Act), borrowers could become first applicants before the Debt Recovery Tribunal (as discussed in above paragraphs).

The setting up of a DRT is dependent upon the volume of cases. Higher the number of cases within a territorial area, more Debt Recovery Tribunals would be set up. DRTs are located across the country.

Each Debt Recovery Tribunal is presided over by a Presiding Officer. The Presiding Officer shall be a person has been or is qualified to be, a District Judge. A Presiding Officer of a Debt Recovery Tribunal is assisted by one or more Recovery Officers and such other officers and employees as that Government may think fit. The Presiding Officer of a Debt Recovery Tribunal is the sole judicial authority to hear and pass any judicial order. The work amongst the Recovery Officers is allocated by the Presiding Officer. Though a Recovery Officer need not be a judicial

Officer, but the orders passed by a Recovery Officer are judicial in nature, and are appealable before the Presiding Officer of the Tribunal.

DRTs are fully empowered to pass comprehensive orders like in Civil Courts. The Tribunal can hear cross suits, counter claims and allow set offs. However, they cannot hear claims of damages or deficiency of services or breach of contract or criminal negligence on the part of the lenders. DRTs can appoint Receivers, Commissioners, pass ex-parte orders, ad-interim orders, interim orders apart from powers to Review its own decision and hear appeals against orders passed by the Recovery Officers of the Tribunal. Recording of evidence by Debt Recovery Tribunal is somewhat unique. All evidences are taken by way of an affidavit. Cross examination is allowed only on request by the defence and that too if the Tribunal feels that such a cross examination is in the interest of justice. Frivolous cross examination may be denied. There are a number of other unique features in the proceedings before the Debt Recovery Tribunal all aimed at expediting the proceedings.

Enforcement

The provisions of this Act shall not apply where the amount of debt due to any bank or financial institution or to a consortium of banks or financial institutions is less than twenty lakh rupees.

When a bank/FI has to recover any debt from any person/entity, it may make an application to the DRT within the local limits of whose jurisdiction. In case another bank/FI has to recover dues from the same borrower, then they can join the application already filed by the first bank/FI.

A bank or a financial institution making an application to a Tribunal or an appeal to an Appellate Tribunal may authorize one or more legal practitioners or any of its officers to act as Presenting Officers and every person so authorized by it may present its case before the Tribunal or the Appellate Tribunal.

Application for recovery of debts due shall be accompanied with a fee payable as follows;

- Where amount of debt due is ₹- 20 lakh: ₹12,000
- For amount above ₹20 Lakh, ₹12,000 plus ₹1000/- for every ₹1/- lac loan amount subject to a maximum of ₹1,50,000/-

DRT will issue summons to the defendant requiring him to show cause within 30 days of the service of summons as to why the relief prayed for should not be granted. The defendant has to present a written statement on or before the first hearing or within such time as the Tribunal may permit.

The DRT may pass an interim order against the defendant to debar him from transferring, alienating or otherwise dealing with or disposing of any property or assets belonging to him without the permission of the tribunal, in case no counter claim/suit is filed by the defendant. Such an order may be by way of injunction or stay or attachment.

The DRT may, on giving opportunity to both the sides of being heard, pass interim or final order for payment of amount including interest thereon. The DRT is fully empowered to pass

comprehensive orders like in Civil Courts. The Debt Recovery Tribunal can appoint Receivers, Commissioners, pass ex-parte orders, ad-interim orders, interim orders apart from powers to review its own decision and hear appeals against orders passed by the Recovery Officers of the Tribunal.

Any person aggrieved by the order passed by the Tribunal under DRT Act, may prefer an appeal to an Appellate Tribunal having jurisdiction in the matter. However, if the order was made by the Tribunal with the consent of the parties no appeal shall lie. The appeal is required to be filed within 30 days from the date on which copy of the order is received. At the time of filing the appeal under the Act, 50% of the amount of debt due as claimed by the secured creditors or determined by the Debts Recovery Tribunal, whichever is less is required to be deposited by the appellant. Without such payment no appeal can be filed. However, the Tribunal has right to reduce such payment for the reasons to be recorded in writing which shall not be less than twenty-five percent of the amount of such debt so due.

The appeal filed before the Appellate Tribunal shall be dealt with as expeditiously as possible and it should be attempted that the appeal is disposed of finally within six months from date of receipt of appeal. There is no provision in the Act for further appeal against the order passed by the Appellate Tribunal except writ jurisdiction of High Court and supervisory jurisdiction of High Court as well as Special Leave Petition before the Supreme Court are not barred. The Limitation Act applies for the DRT cases which means bank has to file the recovery application within three years of the cause of the action.

Modes of recovery of debts

The Recovery Officer shall, on receipt of the copy of the certificate proceed to recover the amount of debt specified in the certificate by one or more of the following modes, namely:

- a. Attachment and sale of the movable or immovable property of the defendant;
- b. Taking possession of property over which security interest is created or any other property of the defendant and appointing receiver for such property and to sell the same;
- c. Arrest of the defendant and his detention in prison;
- d. Appointing a receiver for the management of the movable or immovable properties of the defendant.

The rights of secured creditors to realise secured debts due and payable to them by the sale of assets over which security interest is created, shall have priority and shall be paid in priority over all other debts and Government dues including revenues, taxes, cesses and rates due to the Central Government, State Government or local authority. In cases where insolvency or bankruptcy proceedings are pending in respect of secured assets of the borrower, priority to secured creditors in payment of debt shall be subject to the provisions of that Code.

14.9 RECOVERY THROUGH LOK ADALAT

Recovery of NPAs through award of Lok Adalat is the easiest, cheapest and fastest mode. One time Settlement (OTS) can be put through Lok Adalat, so that in case of default in payment as per OTS, the award could be executed by the Court, as in the case of execution of a decree.

Lok Adalat is organised under the provisions of THE LEGAL SERVICES AUTHORITIES ACT, 1987. The Act extends to the whole of India, except the State of Jammu & Kashmir. This was enacted to constitute legal services authorities to provide free and competent legal service to the weaker sections of the society to ensure that opportunities for securing justice are not denied to any citizen by reason of economic or other disabilities, and to organize Lok Adalats to secure that the operation of the legal system promotes justice on a basis of equal opportunity. Lok Adalats are being conducted at various places in the country for the disposal, in a summary way and through the process of arbitration and settlement between the parties, of a large number of cases expeditiously and with lesser costs.

The following committees have been constituted under the Act:

- National Legal Services Authority
- The Legal Services Authority for the State
- District Legal Services Authority
- Taluk Legal Services Committee

Every State Authority or District Authority or Taluk Legal Services Committee may organise Lok Adalats at such intervals and places and for exercising such jurisdiction and for such areas as it thinks fit.

Every Lok Adalat shall, while determining any reference before it under this Act, with utmost expedition to arrive at a compromise or settlement between the parties and shall be guided by the principles of Justice, equity, fair play and other legal principles. Every award of the Lok Adalat shall be deemed to be a decree of a civil court. Every award made by a Lok Adalat shall be final and binding on all the parties to the dispute, and no appeal shall lie to any court against the award. Pre-litigative cases relating to recovery/accounts with outstanding upto ₹20 lakh and Suit filed cases/accounts where the plaint amount does not exceed ₹20 lakh can be referred to Lok Adalat.

Some suggestive steps are given below for recovery of bank dues

- a. Identify NPAs in the branch with dues upto ₹20 lakh, irrespective of whether secured or unsecured.
- b. The bank/branch shall prepare a petition, separately for each account, to be submitted before the Hon'ble forum of Legal Services authority.
- c. The identified cases can be referred to the usual Lok Adalat organized by the respective Legal Service Authorities, periodically.

- d. The district or Taluk Legal Services Authority shall also be approached by the bank with the list of accounts where settlement is feasible to conduct exclusive Lok Adalat for the bank's cases alone, if more number of cases is involved. Banks can organize Lok Adalats in association with other banks also in the locality.
- e. With the consent of the respective Legal Service Authority the branch shall file petition, separately for each account, before the Hon'ble forum. The Legal Service Authority fixes the date of Lok Adalat and informs the same to the bank. Lok Adalat can be organized and award can be passed even on a holiday.
- f. The concerned branch of the bank should personally contact the borrowers, convince them the benefits of settling the matter through Lok Adalat and ensure that all parties be present at Lok Adalat on the fixed date.
- g. The branch manager has to take the permission of Regional Office wherever necessary, with regard to proposed terms of settlement in Lok Adalat.
- h. The Lok Adalat will be convened on the date fixed and passes the award with the consent of both the parties (Authorised official of the bank and the borrower/guarantor).
- i. The Lok Adalat is presided over by a sitting or retired judicial officer as the chairman, with one or two other members, usually a lawyer and a social worker.
- j. The settlement may be made prudently under the following terms:
 - i. Down Payment of awarded amount at the time of settlement itself.
 - ii. Full payment of the awarded amount within a short duration.
 - iii. Full payment of the awarded amount in instalments within a short duration, etc.
- k. The most important factor to be considered while deciding the cases at the Lok Adalat is the consent of both the parties. It cannot be forced on any party for a settlement in Lok Adalat. No appeal shall lie in any court against the Award.
- l. While agreeing for a settlement, branch manager should ensure that a default clause – 'if not settled fully as per the terms of the award, the bank shall be at liberty to recover the contracted amount' is incorporated in the award.
- m. In the event of failure to honour the Lok Adalat commitments EP proceedings should be initiated immediately. If the case referred is a suit filed one, entire court fee paid for filing suit will be returned back.

14.10 ENGAGING DIRECT RECOVERY AGENTS

When we talk about recovery of retail loans, the first thing which flashes in our mind is the intimidatory and questionable methods adopted by recovery agents deployed by banks for recovery of loan in which defaults happen. Public Sector Banks' approach to recovery of loans is different from the strategies adopted by private sector banks and foreign banks. While PSBs

administer recovery management through their own staff in case of retail loans, private and foreign banks outsource their recovery process and entrust the same to Recovery Agents for end-to-end recovery management when the accounts become delinquent. The methods adopted by these Recovery Agents exceeded the normal recovery routes and went to the extent of coercion, threats and intimidation and forced recovery of assets financed. This was more applicable for unsecured overdues in credit card receivables and personal loans. Suicides by borrowers due to unethical recovery practices followed by some banks resulted in regulatory intervention and Reserve Bank of India came out with guidelines prescribing the procedures for code of conduct for Recovery Agents.

Debt Recovery Agents – RBI Guidelines

RBI has been issuing guidelines to all scheduled commercial banks on Recovery Agents engaged by them for recovery of loans. In view of the rise in the number of disputes and litigations against banks for engaging recovery agents in the recent past, it is felt that the adverse publicity would result in serious reputational risk for the banking sector as a whole. Hence, RBI felt that a need has arisen to review the policy, practice, and procedure involved in the engagement of recovery agents by banks in India. Reserve Bank of India issued draft guidelines which were placed on their web-site for comments of all concerned. Based on the feedback received from a wide spectrum of banks/individuals/organizations, the draft guidelines have been suitably revised and the guidelines finalized and implemented by RBI are as follows:

Engagement of Recovery Agents

Banks are advised to take into account the following specific considerations while engaging recovery agents:

- i. ‘Agent’ in these guidelines would include agencies engaged by the bank and the agents/employees of the concerned agencies.
- ii. Banks should have a due diligence process in place for engagement of recovery agents, which should be so structured to cover, among others, individuals involved in the recovery process strictly in line with the guidelines issued/being issued by RBI from time to time. Further, banks should ensure that the agents engaged by them in the recovery process carry out verification of the antecedents of their employees, which may include pre-employment police verification, as a matter of abundant caution. Banks may decide the periodicity at which re-verification of antecedents should be resorted to.
- iii. To ensure due notice and appropriate authorization, banks should inform the borrower the details of recovery agency firms/companies while forwarding default cases to the recovery agency. Further, since in some of the cases, the borrower might not have received the details about the recovery agency due to refusal/non-availability/avoidance and to ensure identification, it would be appropriate if the agent also carries a copy of the notice and the authorization letter from the bank along with the identity card issued to him by the bank or the agency firm/company. Further, where recovery agency is changed by the bank during

the recovery process, in addition to the bank notifying the borrower of the change, the new agent should carry the notice and the authorization letter along with his identity card.

- iv. The notice and the authorization letter should, among other details, also include the telephone numbers of the relevant recovery agency. Banks should ensure that there is a tape recording of the content/text of the calls made by recovery agents to the customers, and vice-versa. Banks may take reasonable precaution such as intimating the customer that the conversation is being recorded, etc.
- v. The up-to-date details of the recovery agency firms/companies engaged by banks may also be posted on the bank's website.
- vi. Where a grievance/complaint has been lodged, banks should not forward cases to recovery agencies till they have finally disposed of any grievance/complaint lodged by the concerned borrower. However, where the bank is convinced, with appropriate proof, that the borrower is continuously making frivolous/vexatious complaints, it may continue with the recovery proceedings through the Recovery Agents even if a grievance/complaint is pending with them. In cases where the subject matter of the borrower's dues might be *sub judice*, banks should exercise utmost caution, as appropriate, in referring the matter to the recovery agencies, depending on the circumstances.
- vii. Each bank should have a mechanism whereby the borrowers' grievances with regard to the recovery process can be addressed. The details of the mechanism should also be furnished to the borrower while advising the details of the recovery agency as at item (iii) above.
- viii. The recovery agent should be properly trained (50 hours in case of graduates and 100 hour in case of non –graduates) and should have passed DRA examination being conducted by Indian Institute of Banking and Finance. Minimum prescribed passing marks is 50% in DRA examination.

Incentives to Recovery Agents

It is understood that some banks set very stiff recovery targets or offer high incentives to recovery agents. These have, in turn, induced the recovery agents to use intimidatory and questionable methods for recovery of dues. Banks are, therefore, advised to ensure that the contracts with the recovery agents do not induce adoption of uncivilized, unlawful and questionable behaviour or recovery process.

Taking Possession of Property Mortgaged/Hypothecated to Banks

The recovery of loans or seizure of vehicles could be done only through legal means. Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI Act) and the Security Interest (Enforcement) Rules, 2002 framed there under have laid down well defined procedures not only for enforcing security interest but also for auctioning the movable and immovable property after enforcing the security interest. It is, therefore, desirable that banks rely only on legal remedies available under the relevant statutes while enforcing security interest without intervention of the Courts.

Where banks have incorporated a re-possession clause in the contract with the borrower and rely on such re-possession clause for enforcing their rights, they should ensure that the repossession clause is legally valid, complies with the provisions of the Indian Contract Act in letter and spirit, and ensure that such repossession clause is clearly brought to the notice of the borrower at the time of execution of the contract. The terms and conditions of the contract should be strictly in terms of the Recovery Policy and should contain provisions regarding:

- a. Notice period before taking possession,
- b. Circumstances under which the notice period can be waived,
- c. The procedure for taking possession of the security,
- d. A provision regarding final chance to be given to the borrower for repayment of loan before the sale/auction of the property,
- e. The procedure for giving repossession to the borrower, and
- f. The procedure for sale/auction of the property.

In one of the cases, the Hon. Supreme Court observed that the recovery of loans or seizure of vehicles could be done only through legal means. In this connection, it may be mentioned that the SARFAESI Act and the Security Interest (Enforcement) Rules, 2002 framed there under have laid down well defined procedures not only for enforcing security interest but also for auctioning the movable and immovable property after enforcing the security interest. It has been, therefore, desired by RBI that banks rely only on legal remedies available under the relevant statutes while enforcing security interest without intervention of the Courts.

Utilisation of Credit Counsellors

Banks are encouraged to have in place an appropriate mechanism to utilise the services of the credit counsellors for providing suitable counselling to the borrowers where it becomes aware that the case of a particular borrower deserves sympathetic consideration.

Complaints against the Bank/its Recovery Agents

- Banks, as principals, are responsible for the actions of their agents. Hence, they should ensure that their agents engaged for recovery of their dues should strictly adhere to the above guidelines and instructions, including the BCSBI Code, while engaged in the process of recovery of dues.
- Complaints received by Reserve Bank of India regarding violation of the above guidelines and adoption of abusive practices followed by banks' recovery agents would be viewed seriously. Reserve Bank of India may consider imposing a ban on a bank from engaging recovery agents in a particular area, either jurisdictional or functional, for a limited period. In case of persistent breach of above guidelines.
- Reserve Bank of India may consider extending the period of ban or the area of ban. Similar supervisory action could be attracted when the High Courts or the Supreme Court pass strictures or impose penalties against any bank or its Directors/Officers/agents with regard

to policy, practice and procedure related to the recovery process.

- It is expected that banks would, in the normal course ensure that their employees also adhere to the above guidelines during the loan recovery process.

Periodical Review

Banks engaging recovery agents are advised to undertake a periodical review of the mechanism to learn from experience, to effect improvements, and to bring to the notice of the Reserve Bank of India suggestions for improvement in the guidelines.

LET US SUM UP

- Recovery is one of the most important elements of retail banking which decides its success as a segment. Since, retail asset base is well spread out with a large number of customers, monitoring and follow up of all the retail assets for proper servicing is a must for retail bankers to keep the asset book healthy.
- Credit monitoring process is a scientific as well as an essential tool for maintaining the quality of retail assets. As discussed above it has to be designed in such a way that it addresses both genuine defaulters as well as wilful defaulters.
- The recovery processes are well defined in banks with step by step approach for following up the accounts in different stages of recovery. Recovery Policies are implemented by banks in a professional way for effective recovery of dues and overdues and non-performing assets that may erupt due to genuine defaults as well as wilful defaults.
- The major features of recovery policy by banks are summarized below:
 - The debt collection policy of the bank is built around dignity and respect to customers.
 - The repayment schedule for any loan sanctioned by the bank will be fixed taking into account paying capacity and cash flow pattern of the borrower.
 - The bank will explain to the customer upfront the method of calculation of interest and how the Equated Monthly Installments (EMI) or payments through any other mode of repayment will be appropriated against interest and principal due from the customers. The bank would expect the customers to adhere to the repayment schedule agreed to.
 - The Bank Security Repossession Policy aims at recovery of dues in the event of default and is not aimed at whimsical deprivation of the property.
 - Debt Recovery Tribunals (DRTs) are constituted across the country for settlement of dues of financial institutions. DRTs can appoint Receivers, Commissioners, pass ex-parte orders, ad-interim orders, interim orders apart from powers to Review its own decision and hear appeals against orders passed by the Recovery Officers of the Tribunal.
- By initiating SARFAESI action security assets can be enforced without intervention of court.
- Recovery of NPAs through the award of Lok Adalat is the easiest, cheapest and fastest mode.

One-time Settlement (OTS) can be put through Lok Adalat, so that in case of default in payment as per OTS, the award could be executed by the Court, as in the case of execution of a decree.

KEYWORDS

Genuine Default; Wilful Default; Lok Adalat; Repossession; Debt Collection Policy; Notice Period; Recovery Policy; SARFEASI; Debt Recovery Tribunal

CHECK YOUR PROGRESS

1. Default in repayment in Credit Cards and Personal Loan segments is mainly due to:
 - (a) Genuine Defaults due to reasons beyond the borrowers' control.
 - (b) Wilful defaults where the default is intentional.
 - (c) Anyone of the above.
 - (d) Both the above.
2. Recovery of loans through Lok Adalats can be resorted to by banks upto a limit of _____
 - (a) ₹5 Lakh
 - (b) ₹10 Lakh
 - (c) ₹20 Lakh
 - (d) ₹25 Lakh
3. The terms and conditions for repossession as per the recovery policy should contain the following provisions:
 - (a) Notice period before taking possession
 - (b) Circumstances under which the notice period can be waived
 - (c) The procedure for taking possession of the security
 - (d) A provision regarding final chance to be given to the borrower for repayment of loan before the sale/auction of the property
 - (e) All the above
4. What is the objective behind recovery process?
 - (a) Increasing number of corporate loans
 - (b) Increasing NPAs
 - (c) Reducing NPAs
 - (d) Reducing number of loans

ANSWERS TO CHECK YOUR PROGRESS

1. (c)
2. (c)
3. (e)
4. (c)



MANAGEMENT INFORMATION SYSTEMS

STRUCTURE

15.0 Objectives

15.1 Management Information System (MIS) - A Brief Overview

15.2 The Main Elements of MIS

15.3 Role of Management Information Systems

15.4 Role of MIS in Improving Decision Making

15.5 Role of MIS in Banking Industry

15.6 Designing MIS for a Bank

15.7 Issues Related to Management Information System (MIS)

15.8 Suggestions for Solution to MIS related Issues

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

15.0 OBJECTIVES

The objectives of this unit are to understand:

- What is Management Information System (MIS)
- The main elements of MIS
- Role of Management Information System
- Designing MIS for a Bank

15.1 MANAGEMENT INFORMATION SYSTEM (MIS)- A BRIEF OVERVIEW

Before we move to issues related to Management Information System, it is very essential to have a brief overview of MIS to have a better understanding of the issues related to it.

What is Management Information System (MIS)?

Management Information System (MIS) consists of three words,

- Management
 - Information
 - System
- **Management** is viewed as a function, a process, a profession and a class of people. It refers to the kind of task and activities that are performed by managers. The specific nature of the activities is determined by such managerial functions as planning, organising, directing, leadership and controlling.
 - **Information** is the result or product of processing data. Information can be defined as the data which is organised and presented at a time and place so that the decision-maker may take necessary act.

Data	➤ Process	➤ Information	➤ Decision	➤ Action
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Fig 15.1 Conversion of Data into Decision

Information consists of data that has been retrieved, processed or otherwise used, for informative or inferential purposes, arguments or as a basis for forecasting.

- **System** is a group of elements or components joined together to fulfil certain functions. It is made up of sub-system. The systems are either natural or man-made.

Management Information System, is an old management tool which has been long used by peoples for better management and scientific decision making. Management Information System is mainly depended upon information which plays an important role. Information is the most critical resource of Management Information System. The information systems are one of the suitable tools of the organizations and by these tools to achieve the goals and increasing the efficiency, they are used.

So we can say that **Management Information System** is an integrated man machine system that provides information to support the planning and control functions of managers in an organisation.

Management Information System is a set of combined procedures that gathers and produces reliable, relevant, and properly organized data that supports the decision making process of an organization. To sum up, it is a group of processes through which data is obtained, sorted, and displayed in a useful way for decision-making purposes.

“MIS” is the formal methods of providing exact and timely information to facilitate the decision making process of the managers during the planning, control and taking effective and optimum decisions of the organization.

15.2 THE MAIN ELEMENTS OF MIS

1. An integrated system to give service to many users.
2. The computer system linking some of information software via a database.
3. User-machine interface responding to the temporary and immediate searches.
4. Presenting the information to all management level.
5. Supporting the operation and decision making.

15.3 ROLE OF MANAGEMENT INFORMATION SYSTEMS

Broadly speaking, two main roles are played by MIS in decision making by the managers. First it helps the managers to take decision based on the information being prepared.

Second when the decision making and decisions are fixed and only the input data change, it acts as a suitable repeat to support different types of managerial decisions. It means that MIS is the tool that as the organizational information source provides the required information of the managers and makes them prepared for their decision making. The managers use MIS as a tool to define the problems being faced. MIS helps the managers to understand the problems and find the solutions.

15.4 ROLE OF MIS IN IMPROVING DECISION MAKING

Preliminarily, it is inherent to state that decision making is an integral part of any business. This is because a majority of operations in an organization revolve around decisions made by the management and other key stakeholders in the organization. And in order for decision to be made adequately, it is vital for there to be a good information system since decisions are based on information available.

Accordingly, it is quite clear that the significant role that information plays in choice of decision to be made, organizations must ensure that they have a good management information system. As a notable general observation, a good MIS ensures good decision making just in the same

way bad MIS propels the making of bad decisions. The quality of managerial decision making depends directly on the quality of available information” and the managers should therefore cultivate an environment that encourages the growth and viable sprouting of quality information.

Essentially, before deciding on which MIS strategy to use, it is vital to ensure that the choice made is fully compatible with your current system. This will not only help in avoiding erratic choices but it will also save you the time and money that would have been otherwise wasted by that person. In addition to that, it is noteworthy for the MIS strategy or tool used to be in line with the decisions that are to be made. In other words, there should be a connecting point between the decision to be made and the MIS to be used by individual or corporate business owners.

As a key consideration, Management Information Systems is a highly complex and delicate arena that calls for a lot of caution to be taken by its managers. It is for this reason that it is recommendable for organizations to ensure that they carefully select the individuals who are placed to control the systems. The more cautious and professional a person is, the better the person gets an assurance of positive prospects of in MIS with regards to decision making and other related areas of business.

To begin with, MIS provides a fitting platform for good decision making. Essentially, without the established systems of getting information in MIS, it would be extremely difficult for organizations to make their decisions. This is because they would be forced to making baseless information due to the lack of confirmed information.

Moreover, MIS normally lays a firm foundation for the establishment of concrete decisions through its systematic tools, timely information and adequate managerial policies and regulations. Furthermore, Management Information Systems’ statutes regarding businesses act as guidelines to business owners when making critical decisions about their businesses. As a result, managers and key decision makers are bridled from overstepping their boundaries or exceeding their business mandate. This is very crucial as it helps in keeping businesses checked and balanced thus ensuring that only proven decisions are considered while the untried ones are thwarted. More importantly, the capacity to guide decision making facilitates progress and improvement of the operations in an organization.

In addition, most MIS programs are endowed with the capacity to give real-time updates of the occurrences in company or system. By real-time, scholars simply refer to immediate updates of occurrences in a system. These immediate updates help managers to take necessary actions as soon as is deemed appropriate especially during the discovery and management of crises. This augments progress and improvement in company operations through timely decision making. This is important for organisations in the modern-day generation where any slight lapse in decision making can lead to very huge losses.

Management Information Systems are very useful tools for the purpose of reviewing and controlling organization’s operations. The main goal of these systems is to organize all data collected from every level of the organisation, summarise it, and present it in a way that facilitates

and improve the quality of the decisions being made to increase the company's profitability and productivity.

These systems are typically computer-based including either simple excel sheets or more complex platforms. The information being collected and gathered for the system normally comes from both inside and outside sources.

15.5 ROLE OF MIS IN BANKING INDUSTRY

A bank is understood as a place where the financial services such as mainly deposit/ savings and providing credit to the customers are offered. The scope of this service in today's world is expanded to a "Financial Services Super Shoppe" where the banks have become an instrument in providing financial assistance to some activities as a policy or by regulation or for meeting sociology-economic obligations. In banking also, the concept of the financial product has come in.

The customers choose a bank mainly on the following three factors:

- i. The ease of doing business.
- ii. The quality of personnel and service.
- iii. The range of the financial services.

The bank has a broad range of customers like individuals, institutions, trusts, business organizations, Government, and local bodies etc. The banks deal with some transactions, which also vary widely regarding length and complexity. The bank customer, like any other service industry, is interested in getting final results quickly. The unique service in banking mostly means solving the customers' problems in the financial matters, and the single most widely used measure of quick service is the elapsed time of transaction execution. For example, the time is taken for crediting the amount, withdrawal of cash, the sanction of a loan or credit facility, etc. are the norms of deciding an excellent service. The MIS in banking industry revolves around these aspects.

The customer of the bank would like to know the status of the account very fast to make decisions on withdrawals or payments. He is interested in obtaining the loan assistance for his particular need with a reasonable rate of interest. Some customers would be interested in tax consulting and tax planning. A group of customers would be interested in investment guidance for investing in stocks and securities. To avoid the inconvenience of going to some places for payment of small amounts, customers need service at the counter to pay electricity bills, telephone bills, taxes and duties to the local bodies and the Government. Hence, the MIS is to be designed to identify, decide and develop a service strategy for offering a distinctive service to the broad range of customers seeking a variety of service demands.

15.6 DESIGNING MIS FOR A BANK

The points to be taken care of while designing an MIS will differ from bank to bank depending upon goals and objectives, quality of staff, technological development, customer segmentation,

etc. and so many other factors. However, in general the following points may be taken care of while designing an MIS for a bank:

1. Customer database: The service expectations and perceptions revolve around the following factors:

- **Customer** — Individuals, Company, Institutions, etc.
- **Operator** — Housewife, Employee, The officer of the organization.
- **The Range of Service** — Savings, Credit checking/ credit history and payment, other financial services.
- **Class of Customers** — Income group, Corporate Bodies, etc.
- **Working hours** — Morning, Afternoon, Evening, etc.

The management of the bank should create a customer database and analyse the needs of the customers from time to time to create suitable service package.

2. Service to the account holders: The customers (account holders) need constant advice on the status and its operations. Most of the customers use their account for routine payments affecting the balance. Many times the account holds a large amount and it is not transacted for any purpose.

The MIS should give following reports to the management:

The non-moving account.

The account was having the balance of more than, say ₹50, 000.

The account was going down below minimum balance.

The regular payments not made.

The routine credits not arrived.

The defaults on loan repayment.

The delays on crediting cheque amounts.

A sudden rise and fall in the account movement.

The account holders were giving 80% business to take personal care of their service expectations and perceptions (the CRM perspective).

Based on these reports, the management of the bank should alert or warn the customer to act on his account to correct the situation. The personal and individual account holders need such a service badly as they have to manage their domestic or business activities in a tight money situation. The MIS built around such demands would help not only the customers but also the bank.

3. Service for business promotions: The bank finances can be utilized in some ways to increase the banking operations by offering credit to the right kind of customers. It is, therefore,

necessary to study the trend in the business industry and solicit the customers from the upcoming and growing business sector. The MIS should concentrate on data collection from various sources to analyse and conclude the future corporate strategy. Such information will help the banker to move out to talk to the customer to obtain business for the bank. Such support will also reduce the risk of the account going into the red and bad debt.

4. **The index monitoring system:** One more feature of the MIS is to monitor the variety of indices and ratios related to banking operations, which are internal to the banking business. Some of these ratios fulfill the legal needs like the Cash Reserve Ratio (CRR)/ Statutory Liquidity Ratio (SLR); some meet the policy needs like the priority sector ratio to total advances and so on. It is necessary to build the MIS applications to support the bank manager in making decisions to keep different norms and ratios within the acceptable limits. He should also get support through Decision Support Service to handle the problem of not meeting these legal standards.
5. **Human resource upgrade:** There is a lot of human aspect in the banking operations. With computerization, the service may become faster or quicker, but still, it requires a human touch and skill. It is, therefore, necessary to upgrade the expertise and knowledge of the bank employees to offer proper service to the customers. The financial world changes so fast that retaining a client base is a challenge. The financial service business is becoming competitive and offering an excellent, distinctive service is the only solution to improve the business prospects. The service has to be more aggressive for particular problem solving of the customers. The MIS should identify such needs and offer help to the management in designing training courses for the employees to improve their knowledge about banking and the financial world. In the banking industry, the traditional methods of real performance are at odds with good service. An excellent financial performance may not necessarily mean a good service quality. The customers of the bank expect the service to be delivered in a smooth, problem-free, efficient and timely manner. The managers in the bank have the service as well as the financial goals to achieve. It is, therefore, necessary to set the internal standards, accuracy, responsiveness and timeliness. The systems and the resources provided to meet these standards need monitoring, and the MIS will provide feedback on these standards so they can be regulated and controlled. For example, a multinational bank has set standards on satisfying the queries in the first phone call, cheque clearance time, waiting time, etc. It has set so many separate 'Quality Indicators' for the Bank Card business and so on. The MIS measures these standards and gives feedback on achievement or non-achievement.

15.7 ISSUES RELATED TO MANAGEMENT INFORMATION SYSTEM (MIS)

The factors affecting existing issues related to MIS may be broadly divided into humanistic, environmental and organizational factors. The major drawbacks and the reasons of failure and using MIS in public organizations may be summarized as follows:

Humanistic factors

- The lack of understanding of the needs of the users by designers (the lack of correct definition of the needs and their analysis).
- The lack of information of the managers and users as they don't know exactly what they want and what their information needs are.
- The lack of participation of the managers and users in system design.
- The lack of understanding of the managers of software and information systems.
- The lack of accuracy in the data collected.

Environmental factors

- The lack of procedures and methodology and stages of creating the system.
- The lack of suitable consultants for designing the system and software.
- The lack of evaluation of environmental aspects in management information systems.
- The lack of serious consideration and adequate investment in this regard.

Organizational factors

- The lack of good conditions for participation and collaboration of the managers, users and system directors.
- The lack of existing systems and methods analysis before the system design.
- The lack of evaluation of the existing power.
- Bad condition of educating the specialized forces.
- Unsuitable implementation of the system.
- Inadequate education of the users.
- Inadequate and incomplete documentation.

15.8 SUGGESTIONS FOR SOLUTION TO MIS RELATED ISSUES

The basic nature, constitution, culture, goals and objectives differ from organization to organization. Accordingly, the MIS related issues are different for each organization and it is too difficult to frame and provide common solutions which may be found suitable for every organization. However, a few suggestions and recommendation for solution of MIS related issues in general may be as follows,

- Providing a comprehensive plan is necessary for using information systems in the organizations before using MIS.
- Absorbing the efficient and skillful employees and creating suitable motivations for the stability of the existing employees.

- The formation of the information services institutions in all the important administrative organizations and determining the institutions as the supporters (MIS) of the organizations.
- Forming MIS council or MIS directing committee from the initial stages of MIS project in the organization etc.

Finally, Management Information systems play the crucial role of providing a wide range of streamlined options from which decision-makers are able to make their preferred choices. Vitally, this ensures that whatever choices are made by decision makers, the outcome, more often than not, becomes positive. This, as a matter of fact, is the reason why many decision makers tend to prefer using MIS tools when making tough business choices. And as renowned concept, having good decision choices guarantees viable decisions in our businesses.

LET US SUM UP

Broadly speaking, two main roles are played by MIS in decision making by the managers. First it helps the managers to take decision based on the information being prepared. Second when the decision making and decisions are fixed and only the input data change, it acts as a suitable repeat to support different types of managerial decisions. It is inherent to state that decision making is an integral part of any business. MIS provides a fitting platform for good decision making. Essentially, without the established systems of getting information in MIS, it would be extremely difficult for organizations to make their decisions.

The unique service in banking mostly means solving the customers' problems in the financial matters, and the single most widely used measure of quick service is the elapsed time of transaction execution.

Points to be taken care of while designing an MIS will differ from bank to bank depending upon goals and objectives, quality of staff, technological development, customer segmentation and so many factors. The factors affecting existing issues related to MIS may be broadly divided into humanistic, environmental and organizational factors. The basic nature, constitution, culture, goals and objectives differ from organization to organization. Accordingly, the MIS related issues are different for each organization and it is too difficult to frame and provide common solutions which may be found suitable for every organization.

KEY WORDS

Compatible, Financial Services Super Shoppe, CRM, CRR, SLR

CHECK YOUR PROGRESS

1. Which of the following is not a step towards conversion of data into decision?

(a) Process	(b) Information
(c) Inaction	(d) Decision

2. The customers choose a bank mainly on which of the factors:

- | | |
|--|---|
| (a) The ease of doing business. | (b) The quality of personnel and service. |
| (c) The range of the financial services. | (d) All of above |

3. The factors affecting issues related to MIS are mainly:

- | | |
|---------------------------|----------------------------|
| (a) Humanistic Factors | (b) Organisational Factors |
| (c) Environmental factors | (d) All of Above |

ANSWERS TO CHECK YOUR PROGRESS

- 1.** (c) **2.** (d) **3.** (d)



SECURITIZATION

STRUCTURE

16.0 Objectives

16.1 Introduction

16.2 Securitization of Assets

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

16.0 OBJECTIVES

After reading this Unit, you would be able to understand:

- Concept of securitization and its impact on banks' book.

16.1 INTRODUCTION

Securitization first started in the early 1970s in the US when home mortgages were pooled by the government-backed agencies so that they can be repackaged into interest-bearing securities. Securitization is the financial practice of pooling various types of contractual debt such as residential mortgages, commercial mortgages, auto loans or credit card debt obligations (or other non-debt assets which generate receivables) and selling their related cash flows to third party investors as securities, which may be described as Bonds, Pass-through Certificates, or Collateralized Debt Obligations (CDOs). Investors are repaid from the principal and interest cash flows collected from the underlying debt and redistributed through the capital structure of the new financing. The unit discusses in brief the concept of securitization and method of calculation of EMI in retail loans.

16.2 SECURITIZATION OF ASSETS

Definition of some of the terminologies used in securitization

Obligor: means a person who is liable, whether under a contract or otherwise, to pay a debt or receivables or to discharge any obligation in respect of a debt or receivables.

Originator: refers to a bank or company that transfers from its balance sheet a single asset or a pool of assets to an SPV as a part of a securitization transaction and would include other entities of the consolidated group to which the bank belongs.

Securitization: means a process by which a single performing asset or a pool of performing assets are sold to a bankruptcy remote SPV and transferred from the balance sheet of the originator to the SPV in return for an immediate payment.

Special Purpose Vehicle (SPV): means any company, trust, or other entity constituted or established for a specific purpose – (a) activities of which are limited to those for accomplishing the purpose of the company, trust or other entity as the case may be; and (b) which is structured in a manner intended to isolate the corporation, trust or entity as the case may be, from the credit risk of an originator to make it bankruptcy remote.

Sponsor: means any person who establishes or promotes a special purpose distinct entity.

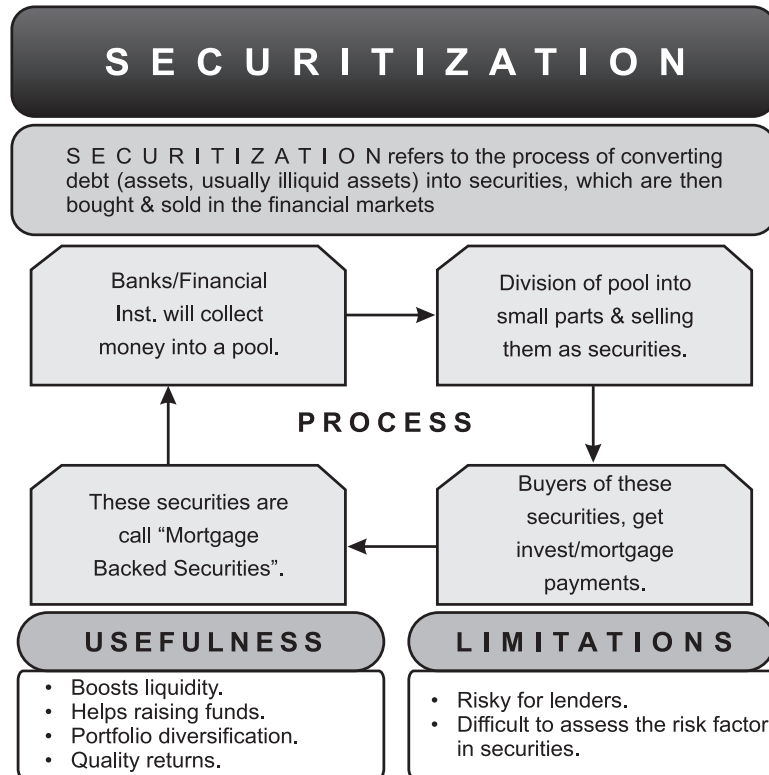
Securitization Process

The process of securitization begins when the lender (or originator) segregates loans/lease/receivables into pools which are relatively homogenous in regard to types of credit, maturity and interest rate risk. The pools of assets are then transferred to a Special Purpose Vehicle (SPV).

Securitization thus follows a two stage process:

- In the first stage, there is sale of single asset or pooling and sale of pool of assets to a Special Purpose Vehicle (SPV) in return for an immediate cash payment.
- In the second stage repackaging and selling the security interests representing claims on incoming cash flows from the asset or pool of assets to third party investors by issuance of tradable debt securities.

The securitization can be diagrammatically represented as follows:



(Source: eFinancemanagement.com)

Fig 16.1 Securitization Process

Advantages of Securitization

Securitization is designed to offer a number of advantages to the seller, investor and debt markets. Advantages of securitization can be summarised as follows:

- With its support, banks can keep loans off their balance sheet, thus reducing need for additional capital
- It is an alternative form to banks and financial institutions of funding risk transfer and capital market development

- It helps reduce lending concentration and improve liquidity
- Supports attainment of funds at lower costs since these are isolated from potential bankruptcy risk of originator
- Provides better matching of assets and liabilities and development of long-term debt market
- Provides diversified pool of uniform assets to banks and financial institutions
- Supports converting non-liquid loans or assets into liquid assets or marketable securities.
- Facilitates transfer of funds from less efficient debt market to more efficient capital market through securitization.

RBI new directives for securitization of standard assets, Loan transfer

Reserve Bank of India (RBI) has issued separate master directions on transfer of loan exposures and securitization of standard assets. These master directions came after considering public comments on draft rules issued on June 8, 2020.

These master directions will apply to all scheduled commercial banks, excluding Regional rural banks, All-India Term financial institutions, Small Finance Banks, NBFCs on securitization of standard assets, RBI has directed that while complicated and opaque securitization structures could be undesirable with the perspective of financial stability, prudentially structured securitization transactions can be an important facilitator in a well-functioning financial market as it improves risk distribution and liquidity of lenders in originating fresh loan exposures.

In the Master Direction Reserve Bank of India (Securitization of Standard Assets) Directions, 2021, RBI specified the Minimum Retention Requirement (MRR) for different asset classes.

For underlying loans with original maturity of 24 months or less, the MRR will be 5 per cent of the book value of the loans being securitised. For those with original maturity of more than 24 months as well as loans with bullet repayments, the MRR shall be 10 per cent of the book value of the loans being securitised.

In the case of residential mortgage-backed securities, the MRR for the originator shall be 5 per cent of the book value of the loans being securitised, irrespective of the original maturity.

The minimum ticket size for issuance of securitization notes shall be ₹1 crore, the direction added.

The central bank also issued Reserve Bank of India (Transfer of Loan Exposures) Directions, 2021, which requires banks and other lending institutions to have a comprehensive board-approved policy for such transactions.

(Source: Master Direction- Reserve Bank of India- Securitization of Standard Assets)-Directions 2021 Cir No. RBI/DOR/2021-22/85DOR.STR.REC.53/21.04.177/2021-22 dated September 24, 2021

Securitization by transfer of assets through securitization

Assets Eligible for Securitization

In a single securitization transaction, the underlying assets should represent the debt obligations of a homogeneous pool of obligors. Subject to this condition, all on-balance sheet standard assets, except the following, will be eligible for securitization by the originators:

- i. Revolving credit facilities (e.g. 2 Cash Credit accounts, Credit Card receivables, etc.)
- ii. Assets purchased from other entities
- iii. Securitization exposures (e.g., Mortgage-backed/asset-backed securities)
- iv. Loans with bullet repayment of both principal and interest*

Minimum Holding Period (MHP) Originating banks can securitise loans only after these have been held by them for a minimum period in their books. The criteria governing the determination of MHP for assets listed below reflect the need to ensure that:

- The project implementation risk is not passed on to the investors, and
- A minimum recovery performance is demonstrated prior to securitization to ensure better underwriting standards.

Banks can securitise loans only after a MHP counted from the date of full disbursement of loans for an activity/purpose; acquisition of asset (i.e., car, residential house, etc.) by the borrower or the date of completion of a project, as the case may be. MHP would be defined with reference to the number of instalments to be paid prior to securitization. MHP applicable to various loans depending upon the tenor and repayment frequency is given in the following table:

	Minimum number of instalments			
	Repayment frequency- Weekly	Repayment frequency- Fortnightly	Repayment frequency- Monthly	Repayment frequency- Quarterly
Loans with original maturity upto 2 years	12	6	3	2
Loans with original maturity of more than 2 years and up to 5 years	18	9	6	3
Loans with original maturity of more than 5 years	...	...	12	4

RBI has since revised/reduced minimum holding period from 12 months to six months. The revised norms for securitization are expected to boost the volumes of loans that lenders sell to investors.

Minimum Retention Requirement (MRR)

The MRR is primarily designed to ensure that the originating banks have a continuing stake in the performance of securitised assets so as to ensure that they carry out proper due diligence of loans to be securitized. The guidelines stipulate MRR of 5% of the book value of the loans being securitized for Loans with an original maturity of 24 months or less and 10% of the book value of the loans being securitized for Loans with an original maturity of more than 24 months. For Bullet repayment loans/ receivables, 10% of the book value of the loans being securitized.

Bullet payment loans with tenor up to 24 months extended to individuals for agricultural activities where both interest and principal are due only on maturity and trade receivables with tenor up to 12 months discounted/purchased by banks from their borrowers. However, only those loans/ receivables will be eligible for securitization where a borrower (in case of agricultural loans)/a drawee of the bill (in case of trade receivables) has fully repaid the entire amount of last two loans/ receivables (one loan, in case of agricultural loans with maturity extending beyond one year) within 90 days of the due date.

MRR will have to be maintained by the entity which securitises the loans. The level of commitment by originators i.e., MRR should not be reduced either through hedging of credit risk or selling the retained interest. The MRR as a percentage of unamortised principal should be maintained on an ongoing basis except for reduction of retained exposure due to proportionate repayment or through the absorption of losses. The form of MRR should not change during the life of securitization.

RBI has since reduced the Minimum Retention Period(MRP), minimum amount of loan to be retained on book from 10 per cent to five per cent for sale and laid down clear rules for risk weights for loans acquired through securitization. These changes may lead to an increase in volumes in the second half of the current financial year (FY22) as the activity declined considerably in the aftermath of Covid-19 pandemic in 2020 as well as in 2021.

Securitization by transfer of assets through direct assignment**Assets Eligible for Transfer**

Under these guidelines, banks can transfer a single standard asset or a part of such asset or a portfolio of such assets to financial entities through an assignment deed with the exception of the following:

- i. Revolving credit facilities (e.g., Cash Credit accounts, Credit Card receivables, etc.)
- ii. Assets purchased from other entities
- iii. Assets with bullet repayment of both principal and interest.

Minimum Holding Period (MHP)

MHP applicable to various loans depending upon the tenor and repayment frequency is given in the following table:

	Minimum number of instalments			
	Repayment frequency- Weekly	Repayment frequency- Fortnightly	Repayment frequency- Monthly	Repayment frequency- Quarterly
Loans with original maturity upto 2 years	12	6	3	2
Loans with original maturity of more than 2 years and up to 5 years	18	9	6	3
Loans with original maturity of more than 5 years	...	...	12	4

Minimum Retention Requirement (MRR)

Type of asset	MRR
Assets with original maturity of 24 months or less	Retention of right to receive 5% of the cash flows from the assets transferred on pari-passu basis.
Assets with original maturity of above 24 months	Retention of right to receive 5% of the cash flows from the assets transferred on pari-passu basis.
Assets with bullet repayment of both principal and interest	

In the case of partial sale of assets, if the portion retained by the seller is more than the MRR required, then out of the portion retained by the seller, the portion equivalent to 5% of the portion sold or 10% of the portion sold, as the case may be, would be treated as MRR. However, all exposures retained by the selling bank including MRR should rank pari-passu with the sold portion of the asset.

Accounting and Asset Classification of MRR

The asset classification and provisioning rules in respect of the exposure representing the MRR would be as under:

- The originating bank may maintain a consolidated account of the amount representing MRR if the loans transferred are retail loans. In such a case, the consolidated amount receivable in amortisation of the MRR and its periodicity should be clearly established and the overdue status of the MRR should be determined with reference to repayment of such amount. Alternatively, the originating bank may continue to maintain borrower-wise accounts for the proportionate amounts retained in respect of those accounts. In such a case, the overdue status of the individual loan accounts should be determined with reference to repayment received in each account.
- In the case of transfer of a pool of loans other than retail loans, the originator should maintain borrower-wise accounts for the proportionate amounts retained in respect of each loan. In such a case, the overdue status of the individual loan accounts should be determined with reference to repayment received in each account.

- c. If the originating bank acts as a servicing agent of the assignee bank for the loans transferred, it would know the overdue status of loans transferred which should form the basis of classification of the entire MRR/individual loans representing MRR as NPA in the books of the originating bank, depending upon the method of accounting followed.

Securitization of NPAs

a. Sale of Stressed Assets by Banks

As per the guidelines of RBI, banks shall, with the approval of their Board, identify and list internally the specific financial assets identified for sale to other institutions, including Asset Reconstruction Companies (ARCs), at least once in a year, preferably at the beginning of the year. The assets identified for exit shall be listed for the purpose of sale. Banks may offer the assets for sale to ARCs and other banks/NBFCs/FIs, etc. Participation of more buyers will result in better price discovery.

In order to attract a wide variety of buyers, the invitation for bids should preferably be publicly solicited so as to enable participation of as many prospective buyers as possible. In such cases, it would be desirable to use e-auction platforms. An open auction process, apart from attracting a larger set of borrowers, is expected to result in better price discovery. Banks should lay down a Board approved policy in this regard. Banks/FIs may receive cash or bonds or debentures as sale consideration for the financial assets sold to ARC. Bonds/debentures received by banks/FIs as sale consideration towards sale of financial assets to ARC will be classified as investments in the books of banks/FIs. Banks may also invest in security receipts, Pass-Through Certificates (PTC), or other bonds/debentures issued by ARC. These securities will also be classified as investments in the books of banks/FIs.

b. Acquisition of Stressed Financial Assets by ARCs

For easy and faster realisability, all the financial assets due from a single debtor to various banks/FIs may be considered for acquisition. Similarly, financial assets having linkages to the same collateral may be considered for acquisition to ensure relatively faster and easy realisation. Both fund and non-fund based financial assets may be included in the list of assets for acquisition. Assets classified as SMA-2 in the books of the originator may also be acquired.

Acquisition of funded assets should not include takeover of outstanding commitments, if any, of any bank/FI to lend further. Terms of acquisition of security interest in non-fund transactions, should provide for the relative commitments to continue with bank/FI, till demand for funding arises. The assets acquired by ARC should be transferred to the trusts set up by them at the price at which these were acquired from the originator of the asset. However, there is no restriction on acquisition of assets from banks/FIs directly in the books of trusts set up by ARC.

The assets acquired by the ARC are required to be resolved within a period which shall normally not exceed five years from the date of acquisition of such assets. However, if the assets remain unresolved at the end of five years from the date of acquisition, the Board of ARC may increase

the period of realisation up to 8 years from the original date of acquisition of asset subject to conditions.

c. Issue of Security Receipts (SRs)

Every ARC shall issue the security receipts through the trust set up exclusively for the purpose. The trusteeship of such trust shall vest with the ARC. The trust shall issue security receipts only to Institutional Buyers (QIBs) and such Security Receipts shall be transferable/assignable only in favour of other Qualified Institutional Buyers (QIBs). Every ARC intending to issue security receipts shall make disclosures in the offer document as prescribed by the bank from time to time. ARC may raise funds from the qualified buyers by formulating schemes for acquiring financial assets and shall keep and maintain separate and distinct accounts in respect of each such scheme for every financial asset acquired out of investments made by a qualified institutional buyer and ensure that realisations of such financial asset is held and applied towards redemption of investments and payment of returns assured on such investments under the relevant scheme.

Every ARC shall invest in the Security Receipts issued by trusts set-up for the purpose of securitization an amount not less than 15% under each scheme. Every ARC shall continue to hold a minimum of 15% of the security receipts issued by them under each scheme on an ongoing basis till the redemption of all the security receipts issued under each scheme.

Every ARC shall obtain initial rating/grading of SRs from an approved Credit Rating Agency within a period of six months from the date of acquisition of assets and declare forthwith, the NAV of the SRs issued by it. Thereafter, ARCs will get the rating/grading of SRs reviewed from an approved CRA as on June 30, and December 31 every year and declares the NAV of SRs forthwith, to enable the QIBs to value their investment in SRs. For arriving at NAV, ARC shall get the SRs rated on 'recovery rating scale' and require the rating agencies to disclose the rationale for rating.

With effect from April 1, 2017, where the investment by a bank in SRs backed by stressed assets sold by it, under an asset securitization, is more than 50 percent of SRs backed by its sold assets and issued under that securitization, need to keep provision on the assets. With effect from April 1, 2018, the above threshold of 50 percent will stand reduced to 10 percent.

Securitization and concept of Bad Bank in India

In the wake of the slowdown in economic activities due to the lockdown imposed due to ongoing Covid-19 pandemic for about 2 years, banks are set to witness a hike in Non-performing assets (NPAs). In this context, the Indian Banks Association (IBA), have re-floated an old idea of creating a 'bad bank'. The Economic Survey 2017, suggested Public Sector Asset Rehabilitation Agency or PARA, to buy out the NPAs of high value from Indian banks. A bad bank is technically an asset reconstruction company that buys bad loans (NPAs) from the commercial banks at a discount and tries to recover the money from the defaulter by providing a systematic solution over a period of time. The idea of a bad bank seeks to reduce the NPAs in the banking sector

and then revive lending and credit growth. However, the feasibility of such a bank is highly debated among various economists.

Rationale of Bad Bank

- **Easing Provisioning Requirement:** High level of non-performing assets (NPAs) makes the lending difficult for banks, as they have to keep supplementary capital (provisioning requirement) under the Basel Accord. This reduces its capital base and the resulting losses erode depositor confidence — the lifeblood of any bank.
 - Bad bank by way of absorbing NPAs, will ease the provisioning requirement by the banks and help them to get on with business as usual.
- **Re-assuring Trust:** Moreover, the creation of a bad bank allows the segregation of a bank's good assets from its bad assets. This allows investors to assess its financial health with greater clarity and for banks to grow financially.
 - Besides this, a government-led initiative may perhaps make it more palatable or even an attractive opportunity for investors to invest their money- both domestic and foreign.
 - International Precedent: The 2007-2010 financial crises led to the creation of bad banks in many countries.
 - In the US, as part of the Emergency Economic Stabilisation Act of 2008, a bad bank was suggested to address the subprime mortgage crisis (real estate loans default).
 - In Ireland, the National Asset Management Agency was established in 2009 to respond to the financial crisis.
- **Concerns About IBC Code:** Many lenders are concerned over huge haircuts they have to endure after a resolution through the Insolvency and bankruptcy code. Also, NPAs in the power sector can't be resolved through the IBC system as factors like the lack of coal linkages and the absence of purchase power agreements make them unfit for a resolution through the IBC.
 - The bad bank structure could help banks park their money to separate agencies to find a solution in a long time.
 - Moreover, banks feel the assets having future demand-supply issues face liquidation under the IBC, a problem that can be solved under the bad bank.
 - Thus, a bad bank may save a defaulting firm from liquidation and closure.

National Asset Reconstruction Company Limited (NARCL)

NARCL (Bad Bank) has incorporated in July 2021 with authorized capital of ₹2750 Crore and paid up capital of ₹1409.05 Crore. RBI has given license to NARCL on 4th October, 2021 under section 3 of SARFAESI Act 2002. Public Sector Banks will have 51% shareholding in the company and balance by other financial institutions and investors. Government Guarantee worth ₹30600 Crore to security receipt issued by NRCL is also available for acquiring stressed

loan assets, paving way for operationalisation of the NARCL. GOI's guarantee will also enhance liquidity of SRs as such SRs are tradeable. SBI, Union Bank of India and Indian Bank has 13.27% stake each. PNB has acquired about 2% stake. Assets acquired by NARCL will be professionally managed by IDRCL (India Debt Resolution Company Limited). IDRCL will work in tandem with NARCL.

India Debt Resolution Company Limited (IDRCL)

IDRCL has been incorporated on 3rd September, 2021 with authorized capital of ₹50Cr and paid-up capital ₹20 Cr. State owned Banks will have 49% stake and balance with private sector lenders.

LET US SUM UP

Securitization is the process of converting and breaking definable asset classes into tradable units and selling to others through a mechanism called as Special Purpose Vehicle (SPV). Through the securitization process, the assets are removed from the balance sheet and the funds generated through securitization can be ploughed back for further asset expansion.

Performing assets and Non-performing assets are securitised. But only eligible assets can be securitised - eligibility criteria prescribed by RBI.

In case of securitization of performing assets Minimum holding period and minimum retention requirements are also prescribed.

As per the guidelines of RBI, banks shall, with the approval of their Board, identify and list internally the specific financial assets identified for sale to other institutions, including ARCs, at least once in a year, preferably at the beginning of the year. The assets identified for exit shall be listed for the purpose of sale. Banks may offer the assets for sale to ARCs and other banks/ NBFCs/FIs, etc. Participation of more buyers will result in better price discovery.

With effect from April 1, 2017, where the investment by a bank in SRs backed by stressed assets sold by it, under an asset securitization, is more than 50 percent of SRs backed by its sold assets and issued under that securitization, need to keep provision on the assets. With effect from April 1, 2018, the above threshold of 50 percent will stand reduced to 10 percent.

Indian Banks Association (IBA), have re-floated an old idea of creating a 'bad bank'. The Economic Survey 2017, suggested Public Sector Asset Rehabilitation Agency or PARA, to buy out the NPAs of high value from Indian banks. A bad bank is technically an asset reconstruction company that buys bad loans (NPAs) from the commercial banks at a discount and tries to recover the money from the defaulter by providing a systematic solution over a period of time. The idea of a bad bank seeks to reduce the NPAs in the banking sector and then revive lending and credit growth. NARCL is new bad bank. IDRCL will professionally manage the assets acquired by NARCL for resolution.

KEYWORDS

Minimum Holding Period; Minimum retention period; Special Purpose Vehicle; Security Receipts; Lender; Investor

CHECK YOUR PROGRESS

1. Which one of the following statements is appropriate in respect of Securitization Process?
 - (i) The lender first selects the assets they want to securitise.
 - (ii) The issuer (Special Purpose Vehicle) makes payment to the lender for the loans securitised.
 - (iii) The assets are converted into a pool of securities by the lender for the purpose of issuing Pass through Certificate (PTC).
 - (iv) The PTCs are sold to other investors who are willing to invest.
 - (a) (i) & (iii) only
 - (b) (ii) & (iv) only
 - (c) (i), (ii) & (iv) only
 - (d) (i), (ii), (iii) & (iv) above
2. What does securitization mean?
 - (a) Disposal of securities towards recovery of loan overdue
 - (b) Pooling individual loans and selling as a package
 - (c) Trading in securities and other market instruments
 - (d) Issuing new securities for a bank to raise money for lending
3. Securitization can be effected for _____.
 - (a) Standard assets only
 - (b) Rated accounts only
 - (c) Standard & Sub-standard assets
 - (d) All the above
4. RBI has since revised/reduced Minimum Holding Period (MHP) for securitization:
 - (a) From 12 months to 6 months
 - (b) From 24 months to 12 months
 - (c) From 12 months to 9 months
 - (d) No change
5. NARCL has been set up by:
 - (a) Government of India
 - (b) State Governments
 - (c) By Banks
 - (d) None of the above

ANSWERS TO CHECK YOUR PROGRESS

1. (d) 2. (b) 3. (d) 4. (a) 5. (c)

MODULE – C

SUPPORT SERVICES—MARKETING OF BANKING SERVICES/PRODUCTS

Unit 17. Marketing: An Introduction

Unit 18. Delivery Channels in Retail Banking

Unit 19. Delivery Models

Unit 20. Customer Relationship Management in Retail Banking

Unit 21. Service Standards for Retail Banking

Unit 22. Marketing Information Systems: A Longitudinal Analysis



MARKETING: AN INTRODUCTION

STRUCTURE

17.0 Objectives

17.1 Introduction

17.2 Marketing in Retail Banking

17.3 Marketing Mix in Retail Banking

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

17.0 OBJECTIVES

After studying this unit, you should be able to understand:

- Marketing and delivery channels in retail banking
- Concept of marketing process
- Marketing mix required for retail banking

17.1 INTRODUCTION

Retail Banking unlike Corporate Banking is primarily driven by number of customers each bank possesses. More the number of customers more will be the profitability and strength of the retail banking models. Since profits have to be derived from a large clientele base, banks would be more comfortable with a broader base and would focus on building up the customer base. To achieve that marketing promises and delivery of products and services are the top priorities of banks in the retail banking space. Marketing is, therefore, a process through which a marketer creates, communicates and delivers value to customers. It also involves building a strong customer relationship which will benefit the organisation and all its stakeholders. This Unit discusses details of marketing process, product mix, etc.

Let us first understand what is marketing in banking and the relevance of marketing to a customer base.

Sir Frederick Seebohm defines Bank Marketing as ‘the creation and delivery of customer – satisfying services at a profit to the bank’.

Kenneth Andrew defines Bank Marketing as ‘the matching of bank’s resources with the customer’s needs in the most profitable manner’.

A more specific definition spelt out by Deryk Vander Weyer looks at Bank Marketing as a proactive business strategy aimed at organizational excellence. The explanation, more apt to retail banking space, as spelt out by him is as follows:

- i. Identifying the most profitable markets now and in the future.
- ii. Assessing the present and future needs of customers.
- iii. Setting business development goals and making plans to meet them.
- iv. Adapting to a changing environment in the market place.

It will be clear that all the above concepts pointed out for a well laid marketing strategy for retail banking focus on the customer. As said earlier, customer is the centre of attraction in retail banking and marketing and all the activities have to be focused towards:

- a. Identifying the customers’ needs.
- b. Developing appropriate products to satisfy their needs.
- c. Providing them with efficient delivery channels for availing the products.
- d. Making them avail the products continuously.

The ultimate objectives of the above initiatives are to achieve the business objectives of growth and profit.

17.2 MARKETING IN RETAIL BANKING

The process of marketing comprises different stages. Let's go through the stages as under:

a. Marketing Analysis

In this stage, an organization focuses on analysing the markets and marketing environments in which it would be introducing its product. For gaining insights into the market and competitors, the Strength- Weakness-Opportunity-Threats (SWOT) analysis comes handy.

b. Marketing Planning

In this stage, the organisation primarily focuses on defining the Strategic Business Units (SBU), goals and objectives. It also chalks out the issues that it may face. The marketing plan for each business, product or brand is drafted. This draft is called an offering. It is followed by setting up an executive summary, action programmes, budgeting and controls. There are specific strategies for targeting, positioning, marketing mix and marketing expenditure for each business, product or brand.

c. Marketing implementation

In this stage, an organisation answers questions like “who, where, when and how” for the offering. It focuses on performing activities in the right manner. This depends on blending people, culture, structure, decision and reward systems. Skills and cohesive action programmes that support strategies also play a vital role in implementation.

d. Marketing control

In this stage, an organisation performs the job of regulating its goals by auditing, measuring, evaluating and acting upon the defined parameters of control. This can be done in two ways – reactive methodology and pro-active methodology. Finally, corrective action is taken at the operational level or the strategic level depending upon the relevance of the control aspect of the parameters. Thus marketing control needs to be unbiased, comprehensive, systematic, independent and periodic.

Let us see the different dimensions of marketing of retail banking services and the changing paradigm of delivery channels in retail banking.

17.3 MARKETING MIX IN RETAIL BANKING

Marketing mix in retail banking refers to the different ingredients that make up a good meal for the customer. The ingredients are structured and offered to the customers to make them consume sumptuously and enjoy and get satisfied also. For that the service and delivery levels should match the expectations of the customers. If the customers like the spread, they will go

on consuming it continuously, the feast offered. What are the ingredients that make up an apt and good marketing meal for the customers? Let us discuss the fundamental ingredients of an effective marketing mix in retail banking which are as follows:

- i. Product
- ii. Price
- iii. Promotion
- iv. Place
- v. People
- vi. Process
- vii. Physical evidence

Basically, the above seven Ps play a vital role for the banks in their retail banking strategies. Bankers give lot of importance for these factors while designing and developing the marketing strategies.

The difference lies in how the different dimensions in the above Ps are tweaked and re-engineered by the retail bankers. Those who develop winning combinations of the above Ps and also effectively deliver the promises made with regard to the above Ps will be the winners. It is a fact that there is more than one winner in retail banking. That shows that the retail banking canvas is very huge and there is place for everybody to play their game and win their customers. Let us now discuss about the different elements of the marketing mix.

1. Product

A bank product can be defined as “Anything that has the capacity to provide the satisfaction, use, and return desired by the customer”. The different retail banking products like Deposit, Asset and Other Service products were already discussed in the earlier chapters.

2. Price

‘Price’ in the marketing mix refers to resultant transaction cost to be borne by the banker or the customer depending upon the product offered or availed.

In the case of deposit products, ‘Price’ refers to the interest rate offered by the banker to the customer. In asset products, ‘price’ refers to the interest the bank is quoting to the borrower customer for offering the loan product to the customer. In case of other services, price refers to the fee/charges the bank is charging for offering the different services.

3. Promotion

‘Promotion’ refers to the efforts of the banks to reach the customers. The promotion of the product will be based on a multipronged approach by developing various promotional strategies. This includes personal promotional measures and other promotional measures. But the ultimate objective of these promotional measures is only to win the customer and make him to avail the bank’s products & services. The various ways in which the marketer develops promotion strategies are through Personal Selling, Advertisement, Sales Promotions, Publicity, etc.

4. Place

‘Place’ in retail banking generally refers to the place where the bank is offering its product. The concept of place has undergone drastic changes during the past decade. Earlier ‘Place’ was very much limited to the place of bankers (i.e.) the location of branch and where the services were delivered. But technology has changed the concept and place has shifted from the brick and mortar format to e-format and has reached the customer in his place through internet banking and mobile banking.

Now place has no physical boundaries.

5. People

‘People’ again is a vital link in the marketing strategy chain. Retail Banking, basically being services marketing addressed to a large customer base, human factor plays a very essential role in the success of the retail banking strategy. Again if we take the marketing concepts, the important aspect of bank marketing is flow of services from the banker to the customer through effective marketing strategies.

In the chain of events taking place in marketing, the effort starts from human factor and ends with human factor (i.e.) the banker and the customer. So ‘People’ concept in marketing refers to the people who are doing the marketing strategies and also ‘people’ who are the beneficiaries of the marketing strategies. The inseparability principle of bank products adds more importance to the people concept because the effectiveness of the product depends on the effectiveness of the people delivering the product.

6. Process

‘Process’ is an all permeating concept running through the product development, product structuring and delivery stage. Process will be successful only when the output derived from the process is delivered in the expected way fulfilling the promise. In short, process relates to all organisational activities which go into the marketing of the final product to the customer including delivery channels.

7. Physical Evidence

Physical evidence refers to developing tangibility to the intangibility concept of banking services. Some of the approaches include developing an efficient packaging, other measures to improve the tangibility. Especially in the Retail Banking Operations, Debit Card/ATM Card, Personalised Cheque Book are classic cases of attempts by banks for bringing tangibility to service spectrum.

The seven Ps are both independent as well as interdependent in the marketing effectiveness. Each one of the Ps is very important in deciding the marketing strategies on its own because of the built in mechanism of the whole strategy. They individually contribute their part in the effectiveness. But the individual contribution is not the only factor. These Ps are interlinked in such a way that one P will be a deciding P for the effectiveness of the other P. For example, though product is an important element of the marketing mix, the effectiveness of the product

and the strategy depends on the price. Like that, even though price is an important element in the marketing mix, the product and price will not matter much if the promotion or the place aspects are given due consideration. To go further, again if the 'process' element is not taken care of, the other Ps will not be effective. Thus it is not only a fact that the Ps in marketing mix contributes substantially to the effectiveness of the marketing strategies individually but also contributes in an integrated way. Thus marketing mix and the elements of marketing mix namely the seven Ps represents a holistic approach to retail banking and marketing effectiveness.

The effectiveness can be measured by the response of the customer to the marketing strategies. If the customer is responsive, availed the products/services from the marketer and satisfied about it, then that would result in repeated purchases/ availment of the products/services. If the customer is not satisfied, there is no reason for him to come again because his needs were not satisfied with your products/services. This will make the customer to think about the competitors. So the success of the seven Ps and the marketing strategies are measured only by the responses from the customers from the point of view of need satisfaction and the story winning composition goes as under:

- Customer is King

Once a king invited four young persons to his court to reward for saving his life in a very difficult situation. He asked each one of them, wish of reward.

First person: I want employment. He was employed by the king immediately. (Single product)

Second Person: I want to marry a beautiful girl. He was employed as captain in army and married to one of his ministers beautiful daughter (Cross Sale of linked product)

Third Person: Requested for a road to his village for the benefit of villagers (Mass product sale)

Fourth Person: Requested that the king should visit his village every year and have food & stay with his family during the night. (Augmented product sale).

In case of the Fourth person, the relationship continued as under:

1. First a road was built to the village for the comfortable journey of the king.
2. His house was renovated for stay of the king.
3. King's personal security guards were deployed for security.
4. Special arrangements were made for food.

This exercise was repeated every year with more care based on the past experience and expectations of the king. The family was getting respect in the village but the family members were very humble and helpful to all the villagers. They were very popular among the King's courtiers for their nice behaviour. After few years, one of his Minister suggested that the boy is suitable match for King's daughter and it is also suitable for his annual visit in view of security, safety of food and save the cost on visit. The King liked the suggestion and arranged marriage with the Fourth person.

King means a person who has power to take decisions. Has family, friends and relatives to join him.

The retail customer enjoys the status of the king and it is for us (marketing persons) to be Fourth person to get maximum wallet share from them.

The four young persons are four ways of marketing of products to the retail customers. Continuous contact, understanding, transparency, respecting the views and feelings enable us to present the product in time to suit the individual requirements, remains the key of augmented marketing of retail products.

We all have equal opportunity but our response to that occasion makes a big difference.

Then the question of delivery channels in retail banking come into picture which will be addressed in the next unit.

LET US SUM UP

- The success of retail banking depends on effective marketing of the retail products and services. Customers are different and their needs are different but at the same time, as customers are grouped together into definite segment buckets, reaching them with relevant products and services is a must. This can be best achieved with the different elements of the marketing mix, viz., Product, Price, Promotion, Place, People, Process and Physical Evidence. The right mix will deliver the right results.
- Channels are the medium through which retail banking products and services are delivered to the customers. Delivery Channels are basically of two types, Physical Channels and Remote Channels. Branches and Extension Counters are referred to as Physical Channels. Remote Channels also called as Electronic Channels are designed to serve customers outside the branch and includes ATMs, Internet Banking and Mobile Banking. Each of the channels has their own strengths and weaknesses. While branches give the personal touch to the service process, remote channels give the freedom to avail the services at their convenience.
- Procedures are fixed and processes are defined for availing the services through the above channels. ATMs help the customers to avail the services any time for withdrawing cash as well as to deposit cash and cheques. ATMs are installed by banks in the branch premises as well as in off branch locations convenient to the customers. All the ATMs of different banks are now connected and customers can access their accounts from any bank's ATM and withdraw cash upto a prescribed frequency free of cost. In Internet Banking, customers can do the transactions like debits, credits, fund transfers and bill payment services, etc. In Mobile Banking also, from their mobile phones, customers can do their transactions like Balance Enquiry, Funds Transfer, etc. Channels enhance the customer experience of the banking services and the satisfaction levels depend on how the customers' expectations are met by the banks. For achieving this, banks should develop and adopt the right channel mix through proper customer profiling.

KEYWORDS

Marketing Mix; Product; Price; Place; Promotion; People; Process; Physical Evidence

CHECK YOUR PROGRESS

1. Bank Marketing refers to:
 - (i) Identifying the most profitable markets now and in the future.
 - (ii) Assessing the present and future needs of customers.
 - (iii) Setting business development goals and making plans to meet them.
 - (iv) Adapting to a changing environment in the market place.
 - (a) (i) & (ii) only
 - (b) (ii) & (iii) only
 - (c) (i), (iii) & (iv) only
 - (d) (i), (ii), (iii) & (iv) above
2. Marketing Mix refers to _____
 - (a) Product & Price
 - (b) Promotion & Place
 - (c) People & Process & Physical evidence
 - (d) All the above.
3. All the Ps in marketing mix are interlinked. In order to effectively develop and market a product or service in the retail banking space, which one of the element is not relevant?
 - (a) Product
 - (b) Promotion
 - (c) Priority
 - (d) Process
4. In which stage of the marketing process does an organization answer questions like “who, where, when, and how” for the offering?
 - (a) Marketing planning
 - (b) Marketing control
 - (c) Marketing analysis
 - (d) Marketing implementation

ANSWERS TO CHECK YOUR PROGRESS

1. (d) 2. (d) 3. (c) 4. (d)



DELIVERY CHANNELS IN RETAIL BANKING

STRUCTURE

- 18.0 Objectives
- 18.1 Introduction
- 18.2 Channel Experience
- 18.3 Physical/Direct Channels – Branch
- 18.4 Automated Teller Machines
- 18.5 Point of Sale Terminal
- 18.6 Mobile Banking
- 18.7 Internet Banking
- 18.8 Customer's Liability on Unauthorized Electronic Transactions

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

18.0 OBJECTIVES

After studying this unit, you may be able to understand:

- Need for tie-up arrangement for marketing of retail products
- Physical/Direct Channels – Branch
- Different types of delivery channels
- Electronic remote delivery channel
- ATMs, Mobile Banking, Internet Banking concepts

18.1 INTRODUCTION

Bank customers expect more than ever from financial institutions. Purchasing and using financial products and services requires interacting with the bank in some way through a channel. Customers who are “very satisfied” with all channels they use, tend to own more products from the bank than customers who are not very satisfied. In other words, channel satisfaction affects the number of products customers purchase. There are various channels available for retail banking in order to achieve customer satisfaction, a few of which are discussed hereunder.

18.2 CHANNEL EXPERIENCE

Customer satisfaction has to happen through different channels and choices are to be offered to customers to experience the optimum channel mix for maximum satisfaction. Let us discuss in detail the efficacies of different channels in retail banking. Multi-channel distribution is the practice adopted by almost all banks for total customer experience. Each channel either direct or remote has its plusses and minuses and also depends on the customer segments using the different channels. Direct channels may be the best fit for a conservative customer whereas young and tech savvy customers may opt for remote channels. Let us understand the different channels in retail banking and importance of these channels for customer experience of products and services. The channels through which retail banking services are offered are illustrated below:

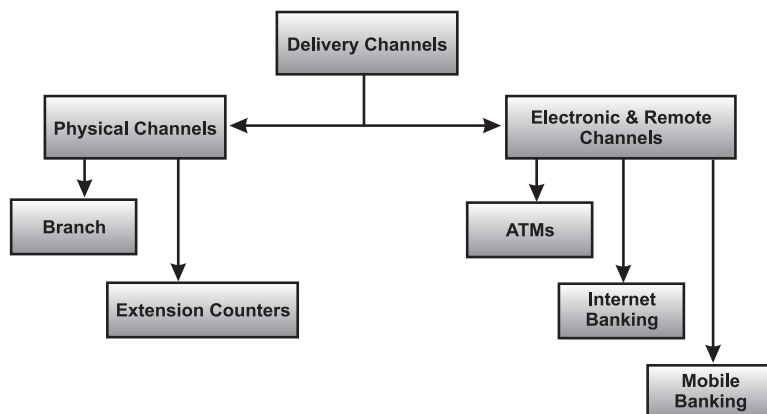


Fig. 18.1 Retail Banking – Delivery Channels

18.3 PHYSICAL/DIRECT CHANNELS – BRANCH

Branch

Branch is the primary direct channel that drives retail banking. Research studies have pointed out that, with all the remote channels available to enhance the customer experience of retail banking services, the preference for the brick and mortar format has reigned supreme among customers. The main reasons for the same are:

- Branch offers tangibility to the intangible nature of banking services. The transactions carried out in the branch premises infuse a sense of confidence in the minds of the customers that they are not only physically involved in the transactions but also feel the service experience at the branch.
- Personnel at the branch relate with the customer for their transactions.
- Communication happens directly with the bank staff and customer and better understanding of the service expectations are achieved from both the customer and the bank end.
- Physically seeing the bank staff and effecting the transactions brings in a sense of bonding with the bank staff and which in turn enhances the loyalty factor.
- Products and services when explained to the customer directly in the branch by the Staff create a better understanding than through other channels.
- A good branch lay out and ambience enhances the feel good factor among the customers and strengthens the relationship with the bank.

Research studies have shown that though customers have accepted the electronic channels of delivery in retail banking with both hands, they still want to transact personally at the branch for their banking requirements. To put it short, they want a human intervention for their services than simply go through on-line or mechanical interventions like ATMs and Internet and Mobile Banking.

Branch being an important delivery channel in retail banking, let us see what are the essentials of a good branch lay out and what are the advantages of a good lay out and ambience at the branch.

Branch Lay Out and Ambience

The layout of the branch is the deciding factor for improving the ambience of the branch. According to George Terry, “Layout refers to the arrangement of all physical components within the available floor space to provide maximum effectiveness and coordination of these components into an efficient and attractive unit”. Branch layout is not an exception to this concept.

Branch layout may be broadly defined as the system of locating the various service facilities within the Branch in order to deliver the most convenient service to the customers. Customers should feel comfortable when they are inside the branch. The ambience of the branch should be such that it increases the ‘comfort factor’ in the minds of the customers.

Advantages of a Good Branch Lay Out

A good branch layout and ambience will result in the following advantages for the bank:

- a. Promotes efficiency as it will ensure smooth flow of services which results in time benefits.
- b. Because of the proper placing of various service facilities, internal communication effectiveness increases thereby facilitating better coordination among the staff resulting in better customer service.
- c. Provides a comfortable and congenial work environment to the staff which results in high employee motivation and acts as a morale booster.
- d. Serves as an image building tool for the bank because the layout creates a good impression and generates goodwill in the minds of the customer.
- e. It also helps in reducing cost as the facilities are planned for maximising efficiencies which results in cost optimisation.

Branch Lay Out and Service Delivery

Evolution of branch as a delivery channel has undergone a paradigm change. The concept of delivery of services at the branch level has changed over the years. In the early days of banking, a standardised front office with lengthy counters separated the customers and staff will deliver the services across the counter. With the progression of banking over the years, the concept of counters with the corporate colour schemes has replaced the traditional counters. But the advent of technology in banking has changed the concept of counters. Total automation of branches across banks and the implementation of core banking solutions have completely changed the concept of service delivery in most of the banks. Single Window Concept in banks has brought the customer close to the service personnel of the bank. The counters were individually designed as desks to create a one to one relationship with the customers and the customer can avail any of his service requirements from any of the desks. This development has happened across banks in all metro and urban centres more particularly in private banks and of course in most public sector banks. But the traditional branch lay out continues in most of the rural and semi urban branches of public sector banks.

Personal Banking Branches

The concept of branch has moved from a plain vanilla approach to a more specialised approach over the years. Instead of one shop for all, branch design has moved to specialised branches like Corporate Branch, SME Branch, Agri Finance Branch, Personal Banking/Retail Banking Branch, etc. Specialised “Personal Banking Branches” were opened by almost all the Banks exclusively for retail customers to meet all their retail banking requirements. In addition, specialised Retail Asset Processing Centres were opened for professional and speedy processing and disbursement of retail loans. The objective of the banks is to use the specialised branch as a tool to enhance the delivery effectiveness of services by prescribing TAT (Turn Around Time) for different retail loans and to march ahead of others in the competitive retail banking scenario.

Branch as a delivery channel has undergone various improvements in the liabilities side also. For opening of different liability accounts, branches in the brick and mortar format perform only

the role of the marketing function and front office operations. In almost all the private sector banks as well as in some public sector banks, only the formalities for opening the accounts are completed at the branch level and opening of accounts, issue of Pass Book/Cheque Book, Debit Card, PIN, etc., are carried out through a centralised back-office mechanism. This is aimed to achieve standardisation as well as speedier compliance of bank's requirements and customer expectations. This method enables banks to offer improved benefits like personalised cheque books, debit cards, etc. (which need a localised activity).

Bank Business Correspondents (Bank BC) and Bank Business Facilitators (Bank BF)

In Jan 2006, the RBI issued guidelines for the banks for deploying two other categories of banking intermediaries – the Banking Correspondents (BC) and Business Facilitators (BF) to have footprints in every villages of India and deepen financial inclusion in the country. As per the guidelines, the BCs are permitted to make transactions on behalf of the bank and serve the customers as agents of the bank, whereas the BFs are permitted to refer clients, pursue client's proposal and facilitate the bank to carry out the transactions but not allowed to personally do the transactions unlike BCs.

The BC/BF channel offers an effective medium to reach out the unbanked population in the remote corners of the country without having to invest in costly infrastructure of the branch and at the same time offering basic banking services to the local population.

Some of the advantages of using the BC channel for are as follows:

- i) Normally, a rural branch can serve atmost 4000 to 5000 families in 14 to 15 villages within a radius of 15 to 20 kms. Moreover, the branch will require minimum 5 years to break even in unbanked locations. The BC channel enables the bank to reach out the same population at much faster pace without having to create any new bank infrastructure.
- ii) It helps the bank achieve financial inclusion by reaching out to clients beyond the branch network in remote corners of the country.
- iii) It facilitates doorstep banking with account opening, disbursement and loan recovery happening at the doorsteps of the account holder.
- iv) The banks are assured of better quality of assets as the target clients are known to the local NGOs, Post Offices, BDO Office, Panchayat Office, thereby enhancing the quality of assets.
- v) Easier and cost-effective in scaling up the model.
- vi) As per RBI guidelines, all BCs need to undergo a mandatory certification process before being authorised to function as a Business Correspondent.

18.4 AUTOMATED TELLER MACHINES (ATMS)

Automated Teller Machines (ATMs) have completely revolutionised the service delivery paradigm of banks. ATMs are the starting point of remote channels that moved the customers away from the branch. The main objectives of banks to set up ATMs are:

- a. To offer convenience to customers an additional choice to withdraw money during any time of the day according to their will and pleasure.
- b. To move the customers away from the counters as service cost is comparatively less through ATMs than across the counter at the branch.

There are basically two types of ATMs to deliver services to retail customers.

1. On Site ATMs, and
2. Off Site ATMs.

On Site ATMs are intended to offer the facility of Cash Withdrawals, Cash Remittances, Balance Enquiry etc., at the branch premises itself. Off Site ATMs are designed to be situated away from the branches at convenient and busy locations to enable the customers to access it for their different needs but not necessarily from the branch. Off-site model of ATMs has proved to be very popular as there was no compulsion for the customer to visit the branch even for transacting in an ATM.

The first ATM was set up by HSBC Bank in 1987 in Mumbai. In the following 12 years only about 1500 ATMs were set up in India.

The success of ATMs as a delivery channel is highlighted by the following figures.

The number of ATMs across the country stood at over 2.13 lakh by the end of September 2021, and over 47 per cent of these are in rural and semi-urban areas, as stated by the Finance Ministry in Parliament. According to the RBI data, scheduled commercial banks have installed 2,13,145 ATMs (automated teller machines) up to September 2021. In addition to this, 27,837 White Label ATMs (WLA) were also installed by WLA operators up to September 2021, as mentioned by Honourable Minister of State for Finance Shri Bhagwat Karad in a written reply in Lok Sabha. About 90 crores Debit Cards have been issued by various banks in India as on 31st March 2021...Earlier there were restrictions on usage of ATMs by Customers. Customers were allowed to access only the ATMs of the bank they were maintaining the accounts. It restricted the customers to either use the off-site or on-site ATM of their bank only. But there was a change subsequently and customers were provided with the facility of withdrawing from other banks' ATMs also and even from white label ATMs. For that purpose, a common networking arrangement "National Financial Switch" was initiated for ATM operations. Two of the important net-working arrangements called "Cash Tree" and "INFINET" – initiated by National Financial Switch offered networking facility across banks. Banks that are members of the network can offer their customers the said facility. But charges were levied from customers for operations in ATMs of other banks based on the revised guidelines of RBI as under:

a. Transactions at a bank's own ATMs at any location

Banks must offer their savings bank account holders a minimum of five free transactions (including both financial and non-financial) in a month, irrespective of the location of ATMs.

b. Transactions at any other bank's ATMs at Metro locations

In case of ATMs located in six metro locations, viz., Mumbai, New Delhi, Chennai, Kolkata, Bengaluru and Hyderabad, banks must offer their savings bank account holders a minimum of three free transactions (including both financial and non-financial transactions) in a month. As per directive issued by RBI, the customers would be required to pay ₹21/- (instead of ₹20/-) per transactions carried out through ATMs beyond permissible limit w.e.f. 1st January 2022. The permissible free limits for ATM transactions at present are five transactions for customer's own bank ATMs and three free transactions from ATMs of other banks in Metro centres and five in non-metro centres.

c. RBI has mandated only the minimum number of free transactions at ATMs. Banks may offer more number of transactions free of cost to their customers.

For failed ATM transaction, banks have been mandated to resolve customer complaints by re-crediting the customer's account within a maximum T+5 days from the date of complaint. Effective from October 15, 2019, banks have to pay compensation of ₹100/- per day for delays in re-crediting the amount beyond T+5 days from the date of receipt of complaint for failed ATM transactions. The compensation has to be credited to the account of the customer without any claim being made by the customer. If the complaint is not lodged within 30 days of transaction, the customer is not entitled for any compensation for delay in resolving his/her complaint.

White Label ATM

White Label ATMs are those ATMs set up, owned and operated by non-bank entities. RBI has permitted non-bank entities incorporated in India under the Companies Act 1956, to set up, own and operate ATMs in India. Non-bank entities that setup, own and operate ATMs, are called "White Label ATM Operators" (WLAO) and such ATMs are called "White Label ATMs" (WLAs). They provide the banking services to the customers of banks in India, based on the cards (debit/credit/prepaid) issued by banks. The WLAO's role is confined to the acquisition of transactions of all banks' customers and hence they need to establish technical connectivity with the authorised shared ATM Network Operators/Card Payment Network Operators.

ATM issues and Risks

ATMs are one of the most successful remote channels for service delivery. This can be seen by the aggressive growth in volumes as well as value generated over the years. ATMs are always complaint prone because of the break downs and cash out situations. The break down may be due to many reasons but the customer irritation about break downs would result in negative publicity to the bank. More damaging will be the cash out situations which will reflect the inefficiency of the banks to predict the withdrawal pattern and amounts from ATMs. These two faults would result in reputation risk for the bank and may result in customer switching also.

ATM, as a remote channel has changed the concept of account management and cash management requirements of retail customers. Banks are vying with one another in increasing the ATM

numbers (both on-site and off-site) in a big way as it is the most convenient delivery channel for most of the retail customers. From the banks point of view also it considerably reduces the transaction costs of service delivery through the brick and mortar format.

A review of ATM operations of banks with large ATM network was recently conducted by the RBI. The review mainly aimed at identifying major complaint-prone operational areas and steps to overcome these. Review was based on various grounds identified for rising trend in ATM complaints as under:

a. Frequent breakdowns:

Power failure, network failure, Cash handler faults, reject bin full, machine breakdowns are some of the major reasons for ATM breakdowns. To ensure that these breakdowns are kept to a minimum, some of the important measures initiated by the banks are:

- i. Periodic visits by ATM channel managers/vendors to ATMs.
- ii. Monitoring of uptime of ATMs by vendors as well as by the banks on a real time basis.
- iii. Online system enabling immediate notification to vendors about 'down' ATMs for restoration on a priority basis.
- iv. Top Management's oversight on Down Time reports.
- v. Detailed servicing and replacement of system if necessary of ATMs with more than a fixed number of complaints in a month.
- vi. Periodic preventive maintenance.
- vii. Corrective action on the basis of Root Cause Analysis.

b. Discrepancies in cash dispensation:

For major ATM network banks, the percentage of complaints on account of short/non dispensation of cash was less than 0.15% of total complaints. Regulatory prescription of resolution of such complaints within 7 days and penalty for failure to do so have ensured that most of these discrepancies are rectified immediately and not kept pending beyond 7 working days. Online monitoring of ATMs having high number of dispenser problems, follow up with manufacturers for periodical preventive maintenance, training of custodians to ensure proper cash loading and oversight of Senior Management on resolution and corrective action are some of the steps taken to address the discrepancies in cash dispensation.

c. Cash-out (Machines running out of cash):

Regular monitoring and forecasting cash requirements ensures that the ATMs are loaded optimally to avoid cash-outs (running out of cash). ATMs are loaded with currency based on the frequency of cash dispensation to ensure that the ATMs do not run out of cash during peak period. Cash levels are set and monitored at intervals and when cash in the machine falls below a pre-determined level, the vendor is informed to replenish cash immediately.

d. Quality of Notes:

Efforts are made to ensure that ATMs are loaded with either newly minted or ATM fit notes which are sorted and processed on hi-tech note sorting machines by agency custodians/vendors who are imparted regular training in this regard.

e. Access to Grievance Redressal Mechanism:

Systems are in place to provide smooth access to grievance redressal mechanism for ATM related complaints. The grievance redressal procedure is displayed in the ATM premises. Banks have auto-mated systems enabling registration of ATM related complaint at any branch/Call Centre by visit/ call. The auto escalation of complaints is also enabled in these systems which facilitates speedy resolution of complaints.

As per RBI Circular on Harmonisation of Turn Around Time (TAT) and customer compensation for failed transactions using authorised Payment Systems dated September 20, 2019, the framework for TAT in case of failed transactions and compensation was provided which will result in customer confidence and bring in uniformity in processing of the failed transactions.

As per the above circular, a 'failed transaction' is a transaction which has not been fully completed due to any reason not attributable to the customer such as failure in communication links, non-availability of cash in an ATM, time-out of sessions, etc. Failed transactions shall also include the credits which could not be effected to the beneficiary account on account of lack of full information or lack of proper information and delay in initiating a reversal transaction. In such a case where, the customer account has been debited but cash not dispensed, Pro-active reversal (R) of failed transaction has to be done within a maximum of T + 5 days. In case the same is not done, the compensation payable is ₹ 100/- per day of delay beyond T + 5 days, to the credit of the account holder.

Security Measures

With spread of ATM network instances of frauds are also on the rise. Ensuring secure environment is a must for building customer confidence in electronic banking. The measures initiated to strengthen the security in ATM transactions are enumerated below:

- Caretakers at off-site ATMs and sensitive locations to discourage attempts to tamper with the ATM.
- Arrangements with local police authorities for regular beats in case of ATMs located in sensitive areas.
- Disabling cash retraction facility at ATMs as per RBI guidelines in view of large number of frauds committed by fraudsters taking advantage of this facility.
- Security Screen on the Machine requiring the customer to confirm the digits entered.
- Reduction of per screen transaction time.
- Logging out of a customer in case of even a single invalid pin.
- Dip-card readers: Dip Card Readers (card is not swallowed by the machine) pre-empt capture of data through extraneous devices. Many banks are now using Dip-card Readers. SBI has 100% Dip-card Readers.
- Mystery Shopping.

- Analysis of complaints to identify complaint prone ATMs and monitoring transaction at these ATMs.

Customer Awareness and Education Measures

Customer education and awareness is one of the important tools to ensure secured electronic banking. Following are some of the measures undertaken by banks in this regard:

- Posters/notices containing safety tips on usage of card/ATM are prominently displayed at the ATM machines.
- Customers are provided with user manual/letter along with the card at the time of card issue which details on the safety guidelines for operating ATMs.
- Customers are also imparted knowledge on safety measures/precautions on ATM transactions through print media and radio advertisements.
- Feedback from customers through surveys/Phone calls.

ATM Operations

Let us try to learn the non-technical functions of an ATM to understand in a better way the background story behind ATM operations.

- All banks have several ATMs and they are located across geography based on their priorities of business and connected via a wide area network to a central server.
- Each and every ATM has the following important components, viz., Card Reader, Cash Dispenser, Key Board/Display Unit/Touch Screen and a Receipt Printer and the entire package is bundled in the ATM machine. Customers normally have the following options for operations:
 - Withdraw cash from their accounts, and
 - Balance Enquiry.
- When a customer inserts/swipes an ATM card into the card reader, the transaction starts.
- On the back of the ATM card, the card number, the start date, and the expiry date are encoded on the black magnetic strip.
- Card recognition process by the ATM is the next stage. If the card is recognized, the system will ask for the Personal Identification Number called the PIN Number and the customer has to enter the PIN number. The PIN number will be a unique number and consists of four digits.
- ATM validates the PIN number and checks up that the expiry date has not passed, that the user- entered PIN matches the PIN maintained by the system, and that the card is not lost or stolen.
- The customer is allowed three attempts to enter the correct PIN and if the same is not entered correctly in all the three attempts, the card is confiscated if the third attempt fails. The card will not be chucked out by the ATM machine.

- Cards that have been reported lost or stolen are also confiscated.
- After verifying with the correctness of the PIN number, the customer is prompted for a withdrawal, query, or transfer transaction. The customer, if he wants to verify the balance in his account will go for the Balance Enquiry Mode and if he wants to withdraw money he will opt for Cash Withdrawal Mode.
- The screen will prompt the customer to enter the details of his withdrawal and the customer will enter the amount he wants to withdraw and press for enter for debiting the amount.
- Before approval of a withdrawal transaction, the system will verify for the sufficiency of funds in the account. If the amount is available in the account, again verifies whether the requested amount is within the maximum daily limit and whether the requested cash is available in the cash dispenser of the ATM.
- After verification of the above, transaction is approved and the requested amount of cash is dispensed, a receipt is printed containing information about the transaction, and the card is ejected.
- Cash dispensed is collected by the customer. But the important point to note is that the denomination will be pre-determined by the system based on the set configuration and stock of cash in the cash dispenser and not as per the requirement of the customer.
- On a regular basis, cash will be replenished by the bank either directly by them or through an outsourcing agency.

Cash Recycling Machines

Nowadays, most of the banks have started installing cash recycling machines in lieu of ATMs as it carries dual function of accepting cash deposits as well as dispensing cash. They enable financial institutions to provide convenient services to its customers and at the same time offer operational efficiency and cost savings.

The value proposition of cash recycling machines are as follows:

- Reduced costs for cash handling and interest cost. As the cash being deposited by the customer is being used for cash withdrawal, the cash loading frequency, replenishment and idle cash in ATM is minimized.
- Consistent and reliable counting of cash and detection of fraud notes during both cash deposit and cash withdrawal.
- A recycler is more cost effective than 2 specialized devices of dispensing and depositing especially in locations where amount of cash deposit and cash withdrawal is balanced.
- Banks are able to offer cash deposit services after business hour which can be a source of customer acquisition or retention of customer services.
- Certain value added services can be offered like bill payment versus cash etc. These devices can also be used for money transfer services since they can operate in a card or card-less model.

- The machine can support Off-Us cash deposits leading to an additional revenue opportunity for the bank in the next phase.

18.5 POINT OF SALE TERMINAL (POS)

Point of Sale terminals are the enablers of payment of credit and debit cards in merchant establishments. Whenever a customer makes a purchase in a merchant establishment, Point of Sale terminals facilitates the payment of amount of purchase by accessing the account and effecting payment.

PoS – Process

- PoS is simply an electronic transaction terminal used in an electronic Point of Sale system.
- The terminal interacts with a computer file to approve transactions and transmits sales information for posting against customer accounts.
- There are two basic types of PoS terminals: electronic cash registers that are used by high volume merchants, such as department stores, and dial-up terminals that automatically dial a special telephone number, often a toll-free number, to obtain authorization.
- Net Settlement when the transfer of funds actually takes place, may occur at the same time as the transaction or soon afterward, or it may occur later in the day in PoS systems that operate Off-Line in a Store and Forward mode. This type of system operates off-line, that is, the merchant terminal is not connected directly to a central computer for authorization or processing of sales receipts.
- A PoS terminal is predominantly used for payment for sale and purchase transaction, while an ATM can be used for several other services like balance enquiry.
- In this case, the bank pays charges which are split among the card-issuing bank, the bank that owns the PoS terminal, the Payment Company, Master card or Visa or RuPay card, and the place where the PoS terminal is located.
- The growth in PoS is expected to be huge.

Banks have agreed to put a cap on charges they will levy on withdrawal of cash by customers using PoS. In July 2008 RBI has allowed cash to be withdrawn from any merchant establishment with a PoS terminal upto to a ceiling of ₹1000/- irrespective of type of centres. Subsequently the limit was enhanced for cash withdrawal at PoS (for debit cards and open system prepaid cards issued by banks in India) from ₹1000/- to ₹2000/- per day in Tier III to VI centres. The per-day limit in Tier I and II centres remains unchanged (₹1000/- only) for the present.

18.6 INTERNET BANKING

Before we discuss about the different important aspects of Internet Banking, it is pertinent to go through the classic observations of Mr. Ernest. T. Parkins, First Vice President, in October 1997 before the Bank of Japan about the evolution of retail banking and also about the various

electronic channels and the opportunities in electronic banking including Internet Banking in USA. The observations cover the entire gamut of retail banking and electronic channels including internet banking and is a must read for every retail banker/student. He has broadly covered how internet banking will bring out a paradigm change in the following services.

Internet Banking and Electronic Channels in USA

Ernest. T. Parkins had observed that internet banking, going forward, would have great implications on (1) Internet commerce, (2) New types of electronic retail payments, (3) Electronic retail banking and (4) The movement more generally of retail financial services to electronic delivery, including insurance, discount brokerages, and mutual funds.

Some of the important observations are summarized below:

- Electronic commerce over the Internet, involving both financial and non-financial products, would see rapid growth and would create demand for new payment instruments.
- ATMs (Automated Teller Machines) would become more sophisticated and offer more services.
- With access to electronic channels, retail banking would become largely an electronic, remote-delivery, self-service business.
- Movement of banking services to electronic delivery would bring about the following changes viz., (1) reduction of geographic barriers, (2) commoditization of banking products and (3) new competitive strategies deployed by banks.
- Banks would find ways to cut costs, and gain access to the consumer, at the same time avoiding direct competition in those dimensions where non-bank competitors already have a big advantage. For example, rather than relying on conventional branches, or setting up Internet sites, and waiting for the consumer to take the initiative and eventually come to the bank in person or electronically, these banks are putting smaller branches in supermarket (large grocery-store) chains where many consumers, including the customers of their competitors, are virtually certain to come a few times each week. These banks, of course, are placing self-service, electronic, access devices in these supermarket branches to keep costs as low as possible, but also have one or two bank employees available to answer questions in person and sell banking products on a person-to-person basis. These scaled-back, but strategically placed, branches might help these banks capture that segment of the retail market that is not ready for total electronic delivery of financial products, or those who might not actively seek information about financial products. In any case, this approach to bank branching is considerably less expensive than conventional, stand-alone branches and is one of the alternative branch configurations many banks in the United States are considering.
- Banks would convert the large amount of information about their customers in their electronic data bases and make efforts to consolidate the information into data warehouses for targeting certain customer segments for new product offerings and not waste resources making the same product offering to other segments that probably would not be interested. The transmission

of the product offerings to the targeted consumer segments will become more electronic, with banks “pushing out” the information over the ATM and personal computer networks.

- Banks would charge fees for financial services that reflect the overall relationship with the customer, reducing the chances that the individual products would be reduced to the level of commodities in the eyes of the consumer. In other words, banks would try to sell the value of the overall, individually customized relationship in the provision of financial services, thereby preserving their “brand names” in the minds of their customers and preventing defection to non- bank competitors.

The entire concept as electronic and remote channels have been expressed in a holistic way in the above piece including the effectiveness, acceptance and user convenience, technology issues and also the risk dimensions in using the channels. The above speech highlights the following dimensions of electronic banking.

- i. Migration from traditional channels to electronic channels in delivery of retail banking services,
- ii. Potential available and the ability of these channels to change the competition dynamics in retail banking,
- iii. Impact of these channels and changes in customer experiences of retail banking products, and
- iv. Expected risks from these channels and managing the same.

The situation prevailing today in the retail banking space has been prophetically brought out a decade back very accurately. The issues are very relevant and banks are addressing these issues in the right way. With the understanding of the global perspectives of retail banking, let us look into the internet banking evolution in India. Internet banking as a service and channel was initiated by foreign banks and new generation private sector banks in the past decade. With the advantage of technology right from their inception, new generation private banks aggressively implemented their internet banking channels and increased their customer base. Through their technology initiatives, they were able to build a relationship portfolio skewed more towards the younger generation. The usage of electronic channels was more in private banks due to these younger generations of customers. Public sector banks also aggressively implemented technology upgradation by moving towards Core Banking Solutions and also implemented Internet Banking solutions to their customer base. The level of acceptance of Internet Banking, generally, from the public sector bank customers was initially lukewarm though some banks were able to push it hard. This is basically due to the older age profile of the customers as well as staff as compared to private sector banks. But over a period of time, with their fast track technology initiatives, public sector banks also have marketed their internet banking initiatives in a phased manner and were able to build up the numbers. But the level of penetration of internet banking in public sector banks is low as compared to private sector banks. Let us see the concepts, fundamentals and procedural aspects of internet banking.

Internet Banking – Concepts

Reserve Bank of India has codified the different concepts of Internet Banking. The important observations and views mentioned in the report of Internet Banking is edited and reproduced below to have an understanding of the different dimensions.

1. Broadly, the levels of banking services offered through INTERNET can be categorized in to three types:
 - i. The Basic Level Service is the banks' websites which disseminate information on different products and services offered to customers and members of public in general. It may receive and reply customers' queries through e-mail,
 - ii. In the next level are Simple Transactional Websites which allow customers to submit their instructions, applications for different services, queries on their account balances, etc., but do not permit any fund-based transactions on their accounts,
 - iii. The third level of Internet banking services are offered by 'Fully Transactional Websites' which allow the customers to operate on their accounts for transfer of funds, payment of different bills, subscribing to other products of the bank and to transact, purchase and sale of securities, etc. The above forms of Internet banking services are offered by traditional banks, as an additional method of serving the customer or by new banks, who deliver banking services primarily through Internet or other electronic delivery channels as the value added services. Some of these banks are known as 'virtual' banks or 'Internet-only' banks and may not have any physical presence in a country despite offering different banking services.
2. From the perspective of banking products and services being offered through Internet, Internet banking is nothing more than traditional banking services delivered through an electronic communication backbone, viz., Internet. But, in the process it has thrown open issues which have ramifications beyond what a new delivery channel would normally envisage and, hence, has compelled regulators world over to take note of this emerging channel. Some of the distinctive features of i-banking are:
 - a. It removes the traditional geographical barriers as it could reach out to customers of different countries/legal jurisdiction. This has raised the question of jurisdiction of law/supervisory system to which such transactions should be subjected.
 - b. It has added a new dimension to different kinds of risks traditionally associated with banking, heightening some of them and throwing new risk control challenges.
 - c. Security of banking transactions, validity of electronic contract, customers' privacy, etc., which have all along been concerns of both bankers and supervisors have assumed different dimensions given that Internet is a public domain, not subject to control by any single authority or group of users.
 - d. It poses a strategic risk of loss of business to those banks who do not respond in time, to this new technology, being the efficient and cost effective delivery mechanism of banking services.

- e. A new form of competition has emerged both from the existing players and new players of the market who are not strictly banks.
3. Security of internet banking transactions is one of the most important areas of concerns. Security issues include questions of adopting internationally accepted state-of-the art minimum technology standards for access control, encryption/decryption (minimum key length, etc.), firewalls, verification of digital signature, Public Key Infrastructure (PKI), etc. The regulator is equally concerned about the security policy for the banking industry, security awareness and education.
4. The supervisory and operational issues include risk control measures, advance warning system, Information technology audit and re-engineering of operational procedures. The regulator would also be concerned with whether the nature of products and services offered are within the regulatory framework and whether the transactions do not camouflage money-laundering operations.
5. The Central Bank may have its concern about the impact of Internet banking on its monetary and credit policies. As long as Internet is used only as a medium for delivery of banking services and facilitator of normal payment transactions, perhaps, it may not impact monetary policy. However, when it assumes a stage where private sector initiative produces electronic substitution of money like e-cheque, account based cards and digital coins, it's likely impact on monetary system cannot be overlooked. Even countries where internet banking has been quite developed, its impact on monetary policy has not been significant.
6. The world over, central bankers and regulators have been addressing themselves to meet the new challenges thrown open by this form of banking. Several studies have pointed to the fact that the cost of delivery of banking service through Internet is several times less than the traditional delivery methods. This alone is enough reason for banks to flock to Internet and to deliver more and more of their services through Internet as soon as possible. Not adopting this new technology in time has the risk of banks getting edged out of competition. In such a scenario, the thrust of regulatory thinking has been to ensure that while the banks remain efficient and cost effective, they must be aware of the risks involved and have proper built-in safeguards, machinery and systems to manage the emerging risks. It is not enough for banks to have systems in place, but the systems must be constantly upgraded to changing and well-tested technologies, which is a much bigger challenge. The other aspect is to provide conducive regulatory environment for orderly growth of such form of banking. Central Banks of many countries have put in place broad regulatory framework for i-banking.

Internet Banking Operations by Indian Banks

As said earlier, Indian banks were in line with their global peers in offering internet banking services. Initially the service level was restricted to account information, very soon almost all the private sector banks and a few public sector banks started offering full-fledged transactional websites to cover the entire range of internet transactions. Most of the public sector banks that

have implemented cent percent core banking solutions have gone for full-fledged internet banking services. For example, let us discuss about the internet banking model of a public sector bank and the services they offer.

Services Offered

The services can be accessed from the website of the bank offering internet banking. The facility will enable customers to transact online with the bank and from anywhere at any time of the day through Internet.

The services offered by the bank are as follows:

- i. View of balance in account.
- ii. View of last few transactions.
- iii. Generate statement of Account.
- iv. Transfer of funds from Savings, Current, Cash Credit accounts to another Savings, Current, Cash Credit, Loan or Recurring Deposit accounts within the bank.
- v. Transfer of funds to accounts with other banks through NEFT mechanism/IMPS mechanism.
- vi. Viewing of Recurring Deposit/Loan Accounts.
- vii. Pay their indirect taxes (Excise and Service taxes).
- viii. Pay their direct tax (TDS and Income Tax dues, etc.).
- ix. Utility Payment facility like payment of insurance premium, telephone bills, energy bills.
- x. Book air tickets, train tickets/bus tickets, hotel rooms through popular travel sites.
- xi. Purchase of units in select mutual funds.
- xii. Investment in Gold Bond / IPO etc.
- xiii. Payments to several other merchant establishments, etc.

Eligible Customers

The eligibility of the customer depends on the type of branch at which the customer is having the account and also the type of customers. The following types of customers can open internet banking accounts.

- i. Individuals and Corporate customers of networked branches. New generation private banks are operating through the CBS platform as also public sector banks.
- ii. Proprietary concerns.
- iii. Corporate customers which include Limited Companies, Partnership firms, Trust, Society, Association etc., where the operation of the account is entrusted to a specific person/persons by the Corporate/Partnership Firm/Trust/Society/Association. These customers should register only through 'Corporate Banking' module.
- iv. The Customer should comply with KYC and AML norms as per rules in force.
- v. In the case of individuals (or proprietary concerns) the mode of operation of the account should be 'Single' or 'Either or Survivor' or 'Any One or Survivor'.
- vi. If the account is operated 'Jointly' or if the account holder is a minor, they are not eligible.

- vii. If an account holder has more than one account, he/she can register all the accounts under the same login-id. However, an account holder cannot add accounts that are not in his name.
- viii. Accounts in the names of minors and jointly operated Accounts are not eligible for Internet Banking facility.

Procedure for Availing the Service

Retail Customers have to comply with the following procedures for registering and availing internet banking.

- i. The customer has to register online for the services through the web site of the bank.
- ii. The customer can register only the accounts he is authorized to operate in his individual capacity.
- iii. To operate the account through Internet Banking, each individual will have a unique login id selected by him during the registration process.
- iv. The user is expected to have a customer-id in the branch system.
- v. Individuals have to submit to the branch the registration form duly signed.
- vi. After completion of registration, a four-digit pin number will be generated by the system.
- vii. The customer should memorize it and use it at the time of availing the funds transfer facility.
- viii. The customer can change his PIN number by selecting Change Pin option under Account Services menu after logging into Internet Banking using the login-id/password provided.
- ix. Where the customer has account in more than one branch, they can register all the accounts.

The registration forms have to be submitted to the respective branches.

After submission of registration forms by customers, the bank will verify the particulars, do all the necessary compliance formalities for internet banking and activate the internet banking facility to the customer if the requirements for opening the account are met by the customers.

The penetration of internet banking has definitely improved over the years but in public sector banks though the numbers are growing, the growth is not in line with the customer base. This is basically due to the good number of rural branches in PSBs and the rural customers may not be rather inclined towards internet banking. In addition, the scope for internet banking is also less in rural branches as compared to urban and metro branches since internet banking is not a 'bottom of the pyramid' product. But public sector banks are attempting their best to rope most of their urban and metro customers into internet banking through services like utility payments, account to account transfers across banks, investment in mutual funds etc. The numbers are steadily progressing in the last two years.

If you compare internet banking and mobile banking, mobile banking will score over internet banking as a complete remote channel because of the strong penetration of mobile services across geography including rural areas. While internet banking is an attractive channel for the upper middle end customers who are tech savvy, mobile banking is a universal remote channel attracting bottom of pyramid customers as well as high end customers.

RBI Guidelines

- Prior approval of RBI for undertaking Internet Banking is mandatory.
- Submission of a security policy along with a certificate from an independent auditor that the minimum requirements prescribed by RBI have been met.
- Banks will report to RBI every breach or failure of security systems and procedure and the latter, at its discretion, may decide to commission special audit/inspection of such banks.
- The guidelines issued by RBI on 'Risks and Controls in Computers and Telecommunications' are equally apply to Internet banking.
- The RBI, as supervisor, shall cover the entire risks associated with electronic banking as a part of its regular inspections of banks.
- Banks should develop outsourcing guidelines to manage risks arising out of third party service providers, such as, disruption in service, defective services and personnel of service providers gaining intimate knowledge of banks' systems and mis-utilizing the same, etc., effectively.
- With the increasing popularity of e-commerce, banks should set up 'Inter-bank Payment Gateways' for settlement of such transactions.
- Only institutions who are members of the cheque clearing system in the country will be permitted to participate in Inter-bank payment gateways for Internet payment.
- Each gateway must nominate a bank as the clearing bank to settle all transactions.
- Payments effected using credit cards, payments arising out of cross border e-commerce transactions and all intra-bank payments (i.e., transactions involving only one bank) should be excluded for settlement through an inter-bank payment gateway.
- Inter-bank payment gateways must have capabilities for both net and gross settlement. All settlement should be intra-day and as far as possible, in real time.
- Connectivity between the gateway and the computer system of the member bank should be achieved using a leased line network (not through Internet) with appropriate data encryption standard.
- Reserve Bank may get the security of the entire infrastructure both at the payment gateway's end and the participating institutions' end certified prior to making the facility available for customer's use.
- Bilateral contracts between the payee and payee's bank, the participating banks and service provider and the banks should be in place to form the legal basis for such transactions. The rights and obligations of each party must be clearly defined and should be valid in a court of law.
- Banks must make mandatory disclosures of risks, responsibilities and liabilities of the customers in doing business through Internet through a disclosure template. The banks should also provide their latest published financial results over the net.

- Hyperlinks from a banks' websites should be confined to only those portals with which they have a payment arrangement or sites of their subsidiaries or principals.

The above guidelines have been made in the context of Internet banking are applicable, in general, to all forms of electronic banking and banks offering any form of electronic banking should adopt the same to the extent relevant.

Internet Payment Gateway

Internet Payment Gateway provides an interface between merchants and consumers for secured internet payment using Credit/Debit Cards/internet banking. It provides an easy and secure mechanism to merchants for processing online payments by shielding them from underlying complexity of payment transactions and integration with electronic fund transfer switches. Payments made through e-Gateway are fully secured with the latest industry/security standards mandated by Visa/Master Card/RuPay Card.

For merchant enrolment/integration, bank educates merchants and provides support in setting-up and day to day functioning of e-Gateway. Merchants are enrolled on e-Gateway after a successful KYC compliance verification process. Customized software is installed at the merchant's site which enables the merchant to track all e-commerce transactions made through their website. Post merchant enrolment and integration, the Gateway option will be available on merchant web portal which enables consumers to make their online shopping payments using their debit/credit cards/internet banking. Pay gateway is largely used for payment of a fee in schools/colleges, payment of taxes, bills, Railway/bus/air ticket book, etc.

Future of Digital Channels in India

The value of digital payments in India will grow three-fold to touch \$1 trillion by financial year 2026 compared to \$300 billion in financial year 2021. Thanks to the government's initiative to increase financial access by combining no-frill bank accounts, the Aadhaar card and mobile connection, according to a report by CLSA. "UPI comprises 60% of total payments by volume and digital payments have risen from \$61bn in FY16 to \$300bn as of FY21. Given increasing online purchases and digital adoption, we expect this to grow to US\$0.9-1tn by FY26, or 30% of Indian consumption," said the report. Since its inception in 2016, the value of monthly UPI transactions took four years to cross ₹3/- lakh crore in September 2020 and in a year it is more than doubled ₹7/- lakh crore.

Cheap internet data, high smartphone penetration and India's biometric identity card fuelled the rapid scale up of online payment systems over mobile platforms, said the report. Currently, 250 banks are live UPI members, which means they allow interbank fund transfers using UPI. There are over 50 UPI apps with, Phone Pe leading the space. UPI is the single largest retail payment system in the country in terms of volume of transactions (14 crore transactions per day, October 2021), and one of the initial objectives of UPI was to replace cash for low-value transactions. Transaction data analysis shows that 50 per cent of transactions through UPI were below ₹200.

The RBI has proposed to offer a simpler process flow by enabling small value transactions through an 'On-device' wallet in UPI app, which will conserve banks' system resources, without any change in the transaction experience for the user.

India registered over 25.5 billion real time payment transactions, the highest in the world and 60% higher than China. India has outpaced the world in digital payment.

UPI transactions almost equalled all debit and credit card transactions. In the overall value of payments made to merchants, UPI transactions almost equalled the debit and credit card transactions. According to CLSA estimates based on transactions in the first half of FY22, UPI transactions at \$187billion are close to surpass \$83-billion debit card transactions and \$102-billion credit card transactions. UPI transactions have recently increased to \$16bn monthly, which is almost equal to merchant payments that happen through debit and together.

Fintech players such as Paytm, Phonepe and Google Pay have built dominant market shares in UPI payments, which are clearly on the rise and have already surpassed other payments forms like credit cards and debit cards. In fact, Paytm, Phonepe and Google Pay have been active on both the issuing and acquiring sides. As a result, they have built strong customer and merchant bases. In some cases, the number of users materially exceed the customer base of large banks. However, UPI payments are not profitable as UPI payments is free of charge while there is a merchant discount rate on debit/credit cards and POS/ Gateways companies also charge a fees for the service, which is why UPI-based issuers and super apps are now diversifying into being full financial service platforms including lending, distribution and non-financial related services as they intend to capitalise on large customer/merchant base they have built. Examples include Paytm, Phone Pe, Mobiwilk, Google Pay, , PineLabs RazorPay and CRED.

With the substantial rise in UPI volume, CLSA estimates that digital payments (debit cards + credit cards + UPI) from consumers to merchants increased from 5% in FY16 to more than 15% in FY21 and is likely to cross 20% in FY22. Around 47 per cent of all payments by customers in FY22 are estimated to be made through UPI, and only 6 percent through mobile wallets.

18.7 MOBILE BANKING

The latest and the most convenient delivery channel which has gained lot of interest in retail banking is mobile banking. To put it simply, banking can be done at your fingertips and right in the place where you are. It is convenient, simple and readily accessible.

The use of mobile as a delivery channel in retail banking is a recent phenomenon. Globally, mobile banking initiatives were started by Wachovia in 2005 and the full-fledged mobile browser in 2007. Most of US banks viz. Bank of America, Citibank, Wells Fargo launched their mobile banking services in 2007.

Mobile has become an essential accessory from a snob value accessory when it was introduced. The growth potential is huge as the prices of mobile sets are moving southwards and also due to the drastic reduction in the usage charges by the network operators. Because of the operational

conveniences, the reach and time flexibility afforded by Mobile Banking, banks are aggressively planning and executing their marketing strategies for mobile banking. The mobile banking initiatives in India were started by foreign and private banks followed by public sector banks.

Benefits and Uses of Mobile Banking

Benefits and uses for customers

- Facility for using banking facility from anywhere.
- Easy operations – instructions carried out by self.
- Option to pay utility bills.
- Transfer of funds between accounts – same bank and other banks.
- Facilities for setting up alerts for different transactions like account debits for various reasons.
- Balance Enquiries.
- Facility for shopping and paying through mobile.

Benefits for banks

- Easy and most acceptable delivery channel.
- Cost effective solution as compared to ATMs.
- Bank staff have more focus on enhancing the customer service with effective relationship management and time saved in operations.
- Lesser transaction costs as compared to other channels.
- It is a tool to attract of the next generation clients.
- Ease of effective banking transactions from anywhere.

Mobile phones, as a medium for extending banking services, have attained greater significance because of their ubiquitous nature. The rapid growth of mobile users in India, through wider coverage of mobile phone networks, have made this medium an important platform for extending banking services to every segment of banking clientele in general and the unbanked segment in particular. In order to ensure a level playing field, RBI brought out a set of operating guidelines for adoption by banks. Mobile Banking transaction' means undertaking banking transactions using mobile phones by bank customers that involve accessing/credit/debit to their accounts.

Banks are permitted to offer mobile banking services (through SMS, USSD or mobile banking application) after obtaining necessary permission from the Department of Payment & Settlement Systems, Reserve Bank of India. Mobile Banking services are to be made available to bank customers irrespective of the mobile network. Only banks that have physical presence in India and implemented core banking solutions are permitted to provide mobile banking services.

The services shall be restricted only to customers of banks and/or holders of debit/credit cards issued. Indian Rupee based domestic services shall only be provided. Use of mobile banking

services for cross border inward and outward transfers is strictly prohibited. The guidelines issued by RBI on “Know Your Customer (KYC)”, “Anti Money Laundering (AML)” and “Combating the Financing of Terrorism (CFT)” from time to time would be applicable to mobile based banking services also. Banks shall file Suspicious Transaction Report (STR) to Financial Intelligence Unit – India (FIU-IND) for mobile banking transactions as in the case of normal banking transactions.

Banks are increasingly extending mobile banking facilities (financial) to their customers. Immediate Payment Service (IMPS) developed and operated by National Payment Corporation of India (NPCI) has also enabled real time transfer of funds through the medium of the mobile phone between accounts in different banks. A transaction limit of ₹50,000/- per customer per day had been mandated. On a review it has been decided to remove this cap. However, banks may place per transaction limits based on their own risk perception with the approval of its Board. Transactions up to ₹5000/- can be facilitated by banks without end-to-end encryption as per the extant guidelines.

As in an Internet banking scenario, in the mobile banking scenario too, there is very limited or no stop payment privileges for mobile banking transactions since it becomes impossible for the banks to stop payment in spite of receipt of stop payment instruction as the transactions are completely instantaneous and are incapable of being reversed. Hence, banks offering mobile banking should notify the customers the time-frame and the circumstances in which any stop-payment instructions could be accepted.

Reserve Bank of India had come out with the operative guidelines for implementing mobile banking solutions. Banks have to obtain prior permission from RBI for offering mobile banking business service.

Mobile banking operations

Let us now discuss about the operational aspects of mobile banking. In addition to foreign and private banks, public sector banks have also entered the mobile banking space with the twin objective of offering an additional user friendly channel as well as wooing the younger generation of customers to expand the customer base as the customer profile of PSBs is skewed more towards senior customers than youth. Mobile Banking is attempted by PSBs to draw youth segment towards them. Customers can check their account balances and a host of other service features which are explained below:

- i. Balance Enquiry
- ii. Mini Statement – Mpassbook
- iii. Funds Transfer –
 - a. Within the Bank –
 - Mobile to Mobile (between two registered customers)
 - b. Mobile to Account (to any account) To other banks (Using NEFT/ RTGS/IMPS platform)
- iv. Bill Payments

- v. Airline Ticketing
- vi. Movie Ticketing
- vii. Shopping (shopping at the counters, on the move and online shopping)
- viii. Mobile Recharge
- ix. Corporate Fund Transfers
- x. Temple Donations
- xi. Fee Payments
- xii. Stop Payment of Cheques
- xiii. Cheque Status
- xiv. Hotlist Debit Card
- xv. ATM/Branch Locator
- xvi. Request to Bank for
 - Cheque Book
 - Form 15 G/ H
 - Positive Pay System
 - Digi Locker
 - Account Statement
 - Loans
 - Debit/Credit Card
 - New Account/Fixed Deposits
- xvii. MPIN Change
- xviii. Communication Mode – SMS, GPRS, WAP
- xix. Change Activation Code/Password
- xx. Enable/Disable Transactions
- xxi. Change Service Number
- xxii. Feed back and Complaints.

Registration of customers for mobile service

The instructions given by RBI in respect of registration of customers are given below:

- Banks shall put in place a system of registration of customers for mobile banking. Banks should strive to provide options for easy registration for mobile banking services to their customers, through multiple channels, thus minimizing the need for the customer to visit the branch for such services. The time taken between registration of customers for mobile banking services and activation of the service should also be minimal.
- The system put in place by banks for registration of customers for mobile banking for new as well as existing account holders (where mobile number is either registered with the bank or is not available), is varied across banks. Thus, there is a need for greater degree of standardization in procedures relating to the above particularly when customers are using inter-operable mobile banking platforms.

- With a view to simplify the procedure of registration for Mobile Banking, Reserve Bank of India has advised National Payment Corporation of India (NPCI) to develop the mobile banking registration service/option on National Financial Switch (NFS). Accordingly, all banks shall carry out necessary changes in their respective ATM switches to enable customer registration for mobile banking at all their ATMs.
- In order to address the challenges in extending the facility of MPIN generation to the customers registered for mobile banking, banks have to explore various options. In order to quicken the process of MPIN generation and also widen the accessibility to their mobile banking registered customers, banks can consider adopting various channels/methods such as:
 - Through the ATM channels (similar to option available for change of PIN on their own ATMs as well as in inter-operable ATM networks).
 - Through an option provided in the USSD menu for mobile banking (both their own USSD platform, if any, as well as under the inter-operable USSD Platform for mobile banking).
 - Banks' own internet banking website, with necessary safeguards.
 - Use of MPIN mailers (like PIN mailers for cards).
 - Common website can also be designed as an industry initiative.
- Banks may also undertake customer education and awareness programme in multiple languages through different channels of communication to popularise their process of mobile banking registration/activation and its usage, etc.
- On registration of the customer, the full details of the Terms and Conditions of the service offered by the bank shall be communicated to the customer.

After activating the mobile banking facility, the customer can use the mobile banking facility.

Transaction limit

Banks are permitted to offer mobile banking facility to their customers without any daily cap for transactions involving purchase of goods/services. However, banks may put in place per transaction limit depending on the bank's own risk perception, with the approval of its Board.

Technology and Security Standards

Information Security is most critical to the business of mobile banking services and its underlying operations. Therefore, technology used for mobile banking must be secure and should ensure confidentiality, integrity, authenticity and non-repudiability.

Transactions up to ₹5000/- can be facilitated by banks without end-to-end encryption. The risk aspects involved in such transactions may be addressed by the banks through adequate security measures.

Banks providing mobile banking services shall comply with the following security principles and practices for the authentication of mobile banking transactions:

- a. All mobile banking transactions involving debit to the account shall be permitted only by validation through a two factor authentication.
- b. One of the factors of authentication shall be MPIN or any higher standard.
- c. Where MPIN is used, end to end encryption of the MPIN is desirable.
- d. The MPIN shall be stored in a secure environment.

Proper level of encryption and security shall be implemented at all stages of the transaction processing. The endeavour shall be to ensure end-to-end encryption of the mobile banking transaction. Adequate safe guards would also be put in place to guard against the use of mobile banking in money laundering, frauds, etc.

a. Immediate Payment Service (IMPS)

Majority of interbank mobile fund transfer transactions were channelized through NEFT mechanism. Under NEFT, the transactions are processed and settled in batches, hence are not real time. Also, the transactions can be done only during the working hours of the RTGS system.

With the context, NPCI conducted a pilot study on the mobile payment system with the banks like SBI, BOI, UBI and ICICI in August 2010. Also, the banks like Yes bank, Axis and HDFC bank joined this league in the month of September, October and November 2010 respectively. Accordingly, the Immediate Payment Service (IMPS) public was launched by NPCI in November 2010 and this service is now available to the Indian public.

IMPS offers an instant, 24×7 , interbank electronic fund transfer service through mobile phones. IMPS is an emphatic tool to transfer money instantly within banks across India through mobile, internet and ATM which is not only safe but also economical both in financial and non-financial perspectives. This facility is provided by NPCI through its existing NFS switch. The eligible criterion for the Banks who can participate in IMPS is that the Bank should have approval from RBI for Mobile Banking Service.

This exceptional feature of IMPS has earned huge appreciation amongst major central banks in the world, who are now exploring possibilities to implement such payment services in their own country. The service allows a bank customer to transfer money in few seconds time across 279 IMPS members in India. The service which was initially launched as a mobile linked money remittance service is now evolved as a channel agnostic to be available on net-banking and ATM. The 279 members include 59 PSBs/PSBs/ Payment Banks, 152 Co-operative Banks, and 38 RRBs making the service available from Kashmir to Kanyakumari and from Kutch to Kohima – a truly pan India service availability. Besides this, 25 PPIs are also members of IMPS.

Objectives of IMPS

- To enable bank customers to use mobile instruments as a channel for accessing their banks accounts and remit funds.
- Making payment simpler just with the mobile number of the beneficiary.
- To sub-serve the goal of Reserve Bank of India (RBI) in digitisation of retail payments.

- To facilitate mobile payment systems already introduced in India with the Reserve Bank of India Mobile Payment Guidelines 2008 to be inter-operable across banks and mobile operators in a safe and secured manner
- To build the foundation for a full range of mobile based banking services. IMPS offers three options in which one can transfer funds, such as:

1. Using Mobile-Money-ID (MMID) and Mobile number

IMPS offer an instant, 24×7 interbank electronic fund transfer service capable of processing person to person, person to account and person to merchant remittances via mobile, internet and ATMs. It is a multi-channel and multi-dimensional platform that makes the payments possible within a fraction of seconds with all the standards and integrity maintained for security required for even high value transactions. Sender & Receiver have to register for Mobile Banking & get a unique ID called “MMID” (7 Digit code) for both. Each MMID is linked to a unique Mobile Number. Different MMIDs can be linked to same Mobile Number.

2. Using IFS Code and account number

In cases where Remitter is enabled on Mobile Banking, but the Beneficiary mobile number is not registered with any bank account, IMPS funds transfer has been made possible using Beneficiary account number and IFSC code (IFS Code – 11-digit alphanumeric number).

3. Using Aadhaar Number (Aadhaar Based Remittance Service – ABRS)

In ABRS, a remitter can initiate IMPS transaction using the beneficiary’s Aadhaar number, which acts as a financial address & which will be linked to the beneficiary’s account number. ABRS facilitates in simplifying the IMPS payment initiation process as in this service the customer will have to input only Aadhaar number of the beneficiary for initiating an IMPS transaction. Another important utility of this service will be in disbursal of subsidy payment i.e. Electronic Benefit Transfer (EBT)/Direct Benefit transfer (DBT) by the Government. ABRS will act as a catalyst in expanding financial inclusion reach.

The salient features of IMPS, include, among others,

- 24×7×365 Availability
- Credit & Debit confirmation to Sender & Receiver
- Simple & easy to use
- Time & cost savings, safe & secure
- Easily adaptable for merchant payments and financial inclusions.

While initiating an IMPS transaction using either ATM or Internet channel, mobile banking registration for a remitting customer is not mandatory. Similarly, for customers receiving money using account number/IFSC, or using AADHAAR number, mobile banking registration is not mandatory.

b. Unified Payments Interface (UPI)

National Payments Corporation of India (NPCI), the umbrella organization for all retail payments system in the country, launched the next generation online payments solution – Unified Payments Interface (UPI), which will leverage trends such as increasing smart phone adoption and deeper penetration of mobile data. UPI will empower users to perform instant push & pull transactions seamlessly, which will transform the way people make payments today.

The initiative is in line with the RBI's vision of migrating towards a less cash and more digital society. 95 banks are live members for using UPI services. More banks are likely to introduce the system in the days to come and the number is expected to multiply.

UPI is a unique mobile application based payment solution, as the recipient is empowered to initiate the payment request from a smart phone. It facilitates virtual address as a payment identifier for sending and collecting money and works on single click 2-factor authentication. It also provides an option for scheduling push and pull transactions for various purposes like sharing bills among peers. One can use UPI app instead of paying cash on delivery on receipt of product from online shopping websites and can perform miscellaneous expenses like paying utility bills, over the counter payments, barcode (scan and pay) based payments, donations, school fees and other such unique and innovative use cases.

The interface is the advanced version of NPCI's Immediate Payment Service (IMPS) which is a 24×7×365 fund transfer service. UPI will offer a facility to identify a bank customer with an email-like virtual address. It will allow a customer to have multiple virtual addresses for multiple accounts in various banks. In order to ensure privacy of customer's data, there is no account number mapper anywhere other than the customer's own bank.

The key aspects of the Unified Payments Interface are:

- a. The Unified Payments Interface permits payments via mobile app, web, etc.
- b. The payments can be both sender (payer) and receiver (payee) initiated.
- c. The payments are carried out in a secure manner aligned with the extant RBI guidelines.
- d. The payments can be done using Aadhaar Number, Virtual Address, Account Number & Indian Financial System Code (IFSC), Mobile Number & MMID (Mobile Money Identifier).
- e. The payment uses 1-click 2-factor authentication, Biometric Authentication and use of payer's smart phone for secure credential capture, etc., are other unique features.

UPI participants

Payer Payment Service Provider (PSP)

Payee Payment Service Provider (PSP)

Remitter Bank

Beneficiary Bank

NPCI

Bank Account holders

Merchants

Registration

Stage 1 – Customer Profile Creation

- Customer downloads the PSP application of any bank which is integrated with UPI.
- The PSP server sends outbound SMS (text message) to the PSP server, to identify and verify the mobile number.
- After verification, the PSP fingerprints the mobile device along with the mobile number.

Stage 2 – Registration for Bank Account

- The customer specifies the bank name with which he/she has an account.
- Provided the customer request is received from the same mobile number which is on the records of the Issuing Bank (accounts maintaining bank) as the registered mobile number, the Issuer Bank sends the account details to UPI. UPI then passes this information to the PSP which, in turn, integrates it into the PSP App. PSP App displays the masked account no(s) to customer.
- The customer then selects the masked account details of the account that he/she wants to authorize for UPI transactions (in case of multiple accounts) and the PSP then prompts for Virtual Address selection for the account.

Stage 3 – Generate UPI-PIN

- The customer logs into the PSP application and selects the option to “Generate PIN”.
- An OTP request is generated by the PSP to UPI for the newly added account. UPI requests an OTP to the Issuer Bank on the basis of the account details entered by the customer. Then the issuing bank sends the OTP over SMS.
- The customer is asked to enter the last 6 digits of Debit card number, expiry date, OTP. The new/ preferred PIN is also provided.
- The issuing bank will only allow the PIN to be set after validating both factors – Card details/OTP.
- The PSP application sends it to the UPI and UPI sends it to Issuer bank by encrypting it with the public key using PKI.
- The bank completes the request by decrypting the same with its Private Key and confirms the setting of the PIN to UPI.
- UPI passes this information to the PSP which in turns notifies the customer.

The PSP stores information like Mobile Number, Virtual Address, Account Number and IFSC Code mapped to the device ID.

Transaction Limit: UPI transaction limit will be pegged with IMPS transaction limit which will change from time to time. As per extant guidelines, the upper cap per UPI transaction will be ₹1 lakh. Accordingly, it is mandatory for the banks to set a default limit of ₹1 lakh per transaction for UPI to begin with. Banks cannot set a different upper limit for their customers and have to mandatorily have the default limit to be set to ₹1 lakh.

Features of UPI

- UPI allows the use of Aadhaar number, mobile number, with 'pay-by-date' to allow payment requests that can be 'snoozed' and paid later.
- UPI ensures 1-click 2-factor authentication.
- The virtual addresses do not allow security to be compromised if the merchant's database is hacked, as their data base will only have list of virtual addresses.
- UPI permits immediate funds transfer, 24×7 without providing banking details such as beneficiary's account number, IFSC Code, card details, etc. There are no cut-off timings like those in traditional Payment systems, e.g. RTGS.
- The platform is standardised across banks, which means that transfers can be initiated on the go.
- Scan and pay user friendly convenient and without registration payment
- Collect request to get money from any upi user.
- Mandate registration
- QR code generation
- Raise a complaint related to UPI transaction
- View UPI transactions

Benefits of UPI

- Confidentiality – only Virtual Address is shared
- Multiple Utility – Cash on delivery, Bill split sharing, Merchant Payments, Remittances
- One Click 2 FA – Authorise transactions only by entering PIN
- Availability – Available 24×7

c. Bharat Interface for Money (BHIM)

Bharat Interface for Money (BHIM) is an app that enables simple, easy and quick payment transactions using Unified Payments Interface (UPI). One can make instant bank-to-bank payments and Pay and collect money using just the Mobile number or the Virtual Payment Address (VPA). A Virtual Payment Address (VPA) is a unique identifier which you can use to send and receive money on UPI. BHIM is a UPI based payment interface which allows real time fund transfer using a single identity. The easiest way to think of UPI is that it is a payment

method to transfer money between two parties. BHIM can be used presently on all handsets with IOS & Android OS version 4 and above. Currently, it is available in twelve languages, i.e., Hindi, English, Tamil, Telugu, Malayalam, Bengali, Odia, Kannada, Punjabi, Assamese, Marathi and Gujarati. Currently, it can be used only in India. NPCI, the promoter, does not charge any user for transacting on BHIM. However, individual banks may charge for availing the facility.

A stable internet connection is essential to run the BHIM application. BHIM is interconnected with every bank through the UPI ecosystem. Any user having a smart phone and bank account can use BHIM. A user needs to have his/her mobile number registered with the bank and a debit card linked to that account. The user can download the app from playstore or appstore. For operational aspects, NPCI site may be referred to.

BHIM users can send money by using one of the following details of the beneficiary: (a) VPA (Registered on UPI), (b) Mobile No. (Registered on UPI), and (c) Aadhaar Number (Should be linked to a bank account). A user can send upto ₹20,000 per transaction and a maximum of ₹40,000 per day for one bank account. This limit is available per bank account linked to BHIM. For Payment using Aadhaar number, the Aadhaar number should be linked to his Beneficiary's account number and the bank should be enabled on UPI. If someone links their Aadhaar number in two bank accounts and in the event you send them money via BHIM, the money gets credited to the account where the Aadhaar number was linked the latest (chronological order). For repeated remittances to the same party, while sending money click on the option "Save for Future" for savings the details.

On BHIM, one can initiate a collect transaction for asking money from someone. He has to enter the amount and VPA. The user who will receive the request can pay or decline the collect request by authenticating it with the UPI pin. The user can block unknown money requests also by clicking the particular sender so that he no longer sends unwanted requests.

Features of BHIM

- User can send money using a Virtual Payment Address (VPA), Account Number & IFSC, Aadhaar Number or Quick Response (QR) code. Card less cash withdrawal from ATM.
- User can collect money by entering Virtual Payment Address (VPA). Additionally, through BHIM App, one can also transfer money using Mobile No. (Mobile No should be registered with BHIM)
- User can pay by scanning the QR code through Scan & Pay & generate your QR option is also present.
- User can check transaction history and also pending UPI collect requests (if any) and approve or reject. User can also raise complaint for the declined transactions by clicking on Report issue in transactions.
- User can view the static QR code and Payment addresses created or also share the QR code through various messenger applications like WhatsApp, Email etc., available on phone and download the QR code.

- User can see the bank account linked with his/her BHIM App and set/change the UPI PIN. User can also change the bank account linked with BHIM App by clicking Change account provided in Menu and can also check Balance of his/her linked Bank Account by clicking “REQUEST BALANCE”.
- Block/Spam users who are sending you collect requests from illicit sources.
- Allow a user to disable and enable mobile number@upi in the profile if a secondary VPA is created (QR for the disabled VPA is also disabled).
- Mandate registration and raise complaint about UPI transaction.

How to use BHIM app

- Step 1: Download and Install BHIM app from Google Play store/Apple App Store.
- Step 2: Select your preferred language.
- Step 3: Select SIM card which has the mobile number registered with your respective bank.
- Step 4: Set the application pass code required to enter the app.
- Step 5: Link your bank accounts using bank account option.
- Step 6: Set your UPI PIN by providing the last 6 digits of the debit card and expiry date of the debit card.
- Step 7: (Optional): Create another virtual payment address (VPA) in the profile section.
- Step 8: Set one virtual payment address (VPA) as a primary (default) virtual payment address (VPA).
- Step 9: Click on send and enter the virtual payment address (VPA)/Account number+ IFSC/ Aadhaar number and Scan or Pay option of the person to whom one wants to send money.
- Step 10: Enter the UPI Pin you set earlier to authenticate the transaction.
- Step 11: Check transaction history to see the status of the transaction.

d. *99# service using Unstructured Supplementary Service Data (USSD)

The innovative payment service *99# works on Unstructured Supplementary Service Data (USSD) channel. This service allows mobile banking transactions using basic feature mobile phone. There is no need to have mobile internet data facility for using this service. *99# service has been launched to take the banking services to every common man across the country. Banking customers can avail this service by dialling *99#, a “Common number across all Telecom Service Providers (TSPs)” on their mobile phone and transact through an interactive menu displayed on the mobile screen. This can be accessed in 12 different languages including Hindi & English.

Services Offered:

Currently, following Financial, Non-financial and Value Added Services (VAS) are offered through *99# service.

Financial Services	Sending Money using Mobile No
	Sending Money using UPI ID
	Sending Money using Aadhaar No.
	Sending Money using Account No. + IFSC
	Requesting Money using UPI ID/Mobile No.
Non-Financial Services	Account Balance
	Set UPI PIN
	Change UPI PIN
	Last 5 transactions
Value Added Services (*99*99#)	Aadhaar linking Status
	PMJDY A/C Overdraft Status

Requirements

- KYC (Know Your Customer) compliant bank account
- Mobile no. should be linked with bank a/c
- Register for USSD/Mobile Banking
- Get MMID (Mobile Money Identifier)
- Get MPIN (Mobile PIN)

Funds Transfer limit

At present, the upper limit on *99# is ₹5000 per transaction.

Features of *99# service

- Uses USSD platform as the access channel that works across all GSM handsets (smart phone or otherwise) making it reach the last mile user.
- Supports menu-based applications that is easy to manoeuvre for the users.
- Does not require data connectivity (works on signalling channel) that makes it high availability service.
- Round the clock availability (works even on holidays).
- Accessible through a common code *99# across all GSM Operators and mobile handsets.
- Additional channel for using BHIM app and key catalyst for financial inclusion.

UPI 123PAY

UPI has emerged as one of the fastest growing payment platforms in the world. A large percentage of over 4.5 billion transactions every month are taking place on smartphones in India. According to IDC (International Data Corporation), India is having 550 million feature phone users compared to 450 million smartphone user. NPCI has developed the UPI 123PAY to facilitate UPI transactions by feature phone user without internet connection and the product

was launched on 8th March 2022, by Shri Shaktikanta Das, Governor, Reserve Bank of India. UPI 123PAY is an instant payment system for feature phone users who can use Unified Payments Interface (UPI) payment service in a safe and secure manner. Through UPI 123PAY, feature phone users will now be able to undertake a host of transactions based on four technology alternatives. They include calling an IVR (interactive voice response) number, app functionality in feature phones, missed call based approach and also proximity sound- based (NFC) payments.

1. UPI payment through pre-defined IVR number

Customers (Users) are required to initiate a secured call from their registered feature phone to a pre-defined IVR number and complete UPI on-boarding formalities to be able to start making financial transactions without internet connection. IVR provides multiple language options, users can avail this service in their preferred language. IDFC First Bank, City Union Bank & NSDL Payments bank have gone live on IVR payments.

2. Payment through Missed Call

Missed call-based approach will allow feature phone users to access their bank account and perform transactions like transferring and receiving funds, regular purchases, bill payments etc. by giving a missed call on the number displayed at the merchant's place. At the time of billing, the merchant will create a token with the customer's mobile number and the bill amount of her/ his purchase. Customer than give a missed call to the number prescribed by the merchant and immediately the customer will receive an incoming call from 08071800800 asking to authenticate the transaction by entering UPI PIN. This product is having easy IVR based preemptive on-boarding that completes within two minutes. First time user has to call IVR and enter area PINCODE to get language selection option. After IVR will ask user name. Than first time OTP will be used for verification. After OTP verification user has to provide last six digit of debit card, expiry date and debit card PIN, etc. for verification after verification user will be prompted to set UPI PIN of his/her choice. Person-to-person (p2p) payment user need to call a predefined number and select the option for payment.

3. Feature phone where payment functionality implemented by OEM

UPI app on feature phone which is developed by Gupsup with Airtel Payment Bank. In this type, the solution providers will need to partner with the feature phone mobile manufacturers(OEM) to enable a native payment app developed in emdedded C language (or as supported). Look and feel of this app is similar to smart phone based app but has certain limitations to the feature phone. On-boarding is almost to smart phone as all option are made available in the app itself.

4. Proximity sound based technology and Voice Based Payments

This solution is the proximity sound based payments which has been created in collaboration with Tonetag and supported by NSDL Payment Bank. The technology used sound waves to enable contactless, offline and proximity data communication on any device. User can

tap any phone and make UPI payments to merchants using ToneTag's VoiceSe payment solution. User calls the IVR number 6366200200(specified) and choose pay to merchant option. They tap their mobile phone on merchant device(POD) and press# once the POD emits the unique tone. The user then enters the amount to pay, followed by their UPI PIN to complete the transaction. The POD acknowledges the transaction status and the user receives a confirmation through the IVR call.

User registration is by calling the IVR system.

Availability of UPI facility on feature phone without internet in multiple languages supported by IVR system will create a new history in the digital payment space. NPCI has started UPI-Help for redressal of customer grievances and working for online grievance redressal mechanism that will create customer confidence in the UPI payment process.

18.8 CUSTOMER'S LIABILITY ON UNAUTHORISED ELECTRONIC TRANSACTIONS

Banks must ask their customers to mandatorily register for SMS alerts and wherever available register for e-mail alerts, for electronic banking transactions. The SMS alerts shall mandatorily be sent to the customers, while email alerts may be sent, wherever registered.

The customers must be advised to notify their bank of any unauthorised electronic banking transaction at the earliest after the occurrence of such transaction, and informed that the longer the time taken to notify the bank, the higher will be the risk of loss to the bank/customer. To facilitate this, banks must provide customers with 24x7 access through multiple channels (at a minimum, via website, phone banking, SMS, e-mail, IVR, a dedicated toll-free helpline, reporting to home branch, etc.) for reporting unauthorised transactions that have taken place and/or loss or theft of payment instruments such as card, etc. Banks shall also enable customers to instantly respond by "Reply" to the SMS and e-mail alerts and the customers should not be required to search for a web page or an e-mail address to notify the objection, if any. Further, a direct link for lodging the complaints, with specific option to report unauthorised electronic transactions shall be provided by banks on home page of their website. The loss/fraud reporting system shall also ensure that immediate response (including auto response) is sent to the customers acknowledging the complaint along with the registered complaint number. The communication systems used by banks to send alerts and receive their responses thereto must record the time and date of delivery of the message and receipt of customer's response, if any, to them. This shall be important in determining the extent of a customer's liability.

The banks may not offer the facility of electronic transactions, other than ATM cash withdrawals, to customers who do not provide mobile numbers to the bank. On receipt of a report of an unauthorised transaction from the customer, banks must take immediate steps to prevent further unauthorised transactions in the account.

Liability of a Customer in respect of unauthorized transactions

a. Zero Liability of a Customer

A customer's entitlement to zero liability shall arise where the unauthorised transaction occurs in the following events:

- i. Contributory fraud/negligence/deficiency on the part of the bank (irrespective of whether or not the transaction is reported by the customer).
- ii. Third party breach where the deficiency lies neither with the bank nor with the customer but lies elsewhere in the system, and the customer notifies the bank within three working days of receiving the communication from the bank regarding the unauthorised transaction.

b. Limited Liability of a Customer

A customer shall be liable for the loss occurring due to unauthorised transactions in the following cases:

- i. In cases where the loss is due to negligence by a customer, such as where he has shared the payment credentials, the customer will bear the entire loss until he reports the unauthorised transaction to the bank. Any loss occurring after the reporting of the unauthorised transaction shall be borne by the bank.
- ii. In cases where the responsibility for the unauthorised electronic banking transaction lies neither with the bank nor with the customer, but lies elsewhere in the system and when there is a delay (of four to seven working days after receiving the communication from the bank) on the part of the customer in notifying the bank of such a transaction, the per transaction liability of the customer shall be limited to the transaction value or the amount mentioned as given below, whichever is lower.

Sl. No.	Type of account	Maximum liability (₹)
1.	BSBD Accounts	5,000
2.	All other SB accounts	10,000
3.	Pre-paid Payment Instruments and Gift cards	
4.	Current/Cash Credit/Overdraft Accounts of MSMEs	
5.	Current/Cash Credit/Overdraft Accounts of individuals with annual average balance (during 365 days preceding the incidence of fraud)/limit upto ₹25 lakh	
6.	Credit cards with limit upto ₹5 lakh	
7.	All other Current/Cash Credit/Overdraft Accounts	25,000
8.	Credit cards with limit above ₹5 lakh	

In case of delay in reporting is beyond seven working days, the customer liability shall be determined as per the bank's Board approved policy. Banks shall provide the details of their

policy in regard to customers' liability formulated in pursuance of these directions at the time of opening the accounts. Banks shall also display their approved policy in public domain for wider dissemination. The existing customers must also be individually informed about the bank's policy. The number of working days mentioned above shall be counted as per the working schedule of the home branch of the customer excluding the date of receiving the communication.

Time line for reversal of unauthorized transaction amount

- On being notified by the customer, the bank shall credit (shadow reversal) the amount involved in the unauthorised electronic transaction to the customer's account within 10 working days from the date of such notification by the customer (without waiting for settlement of insurance claim, if any).
- Banks may also at their discretion decide to waive off any customer liability in case of unauthorised electronic banking transactions even in cases of customer negligence.
- The credit shall be value dated to be as of the date of the unauthorised transaction.

Further banks shall ensure that:

- i. a complaint is resolved and liability of the customer, if any, established within such time, as may be specified in the bank's Board approved policy, but not exceeding 90 days from the date of receipt of the complaint, and the customer is compensated as mentioned above;
- ii. where it is unable to resolve the complaint or determine the customer liability, if any, within 90 days, the compensation as prescribed above is paid to the customer; and
- iii. in case of debit card/bank account, the customer does not suffer a loss of interest, and in case of credit card, the customer does not bear any additional burden of interest.

Burden of Proof

The burden of proving customer liability in case of unauthorised electronic banking transactions shall lie on the bank.

Board approved policy for customer protection

Banks shall formulate/revise their customer relations policy, with the approval of their Boards, to cover aspects of customer protection, including the mechanism of creating customer awareness on the risks and responsibilities involved in electronic banking transactions and customer liability in such cases of unauthorised electronic banking transactions. The policy must be transparent, non-discriminatory and should stipulate the mechanism of compensating the customers for the unauthorised electronic banking transactions and also prescribe the timelines for effecting such compensation.

The policy shall be displayed on the bank's website along with the details of grievance handling/escalation procedure.

Harmonisation of Turn Around Time (TAT) and customer compensation for failed transactions using authorized Payment Systems

Reserve Bank has put in place a framework on Turn Around Time (TAT) for resolution of customer complaints and compensation across all authorized payment systems to built-in customer confidence and bring in uniformity in processing of the failed transactions.

It may be noted that:

- the prescribed TAT is the outer limit for resolution of failed transactions; and
- the banks and other operators / system participants endeavour towards quicker resolution of such failed transactions.

Customers who do not get the benefit of redressal of the failure as defined in the TAT, can register a complaint with the Reserve Bank- Integrated Ombudsman Scheme, 2021. (RBI/2019-20/67 September 20, 2019)

Harmonisation of Turn Around Time (TAT) and customer compensation for failed transactions using authorised Payment Systems

Sl. no.	Description of the incident	Framework for auto-reversal and compensation	
		Timeline for auto-reversal	Compensation payable
I	II	III	IV
1	Automated Teller Machines (ATMs) including Micro-ATMs		
a	Customer's account debited but cash not dispensed.	Pro-active reversal (R) of failed transaction within a maximum of T + 5 days.	₹100/- per day of delay beyond T + 5 days, to the credit of the account holder.
2	Card Transaction		
a	Card to card transfer Card account debited but the beneficiary card account not credited.	Transaction to be reversed (R) latest within T + 1 day, if credit is not effected to the beneficiary account.	₹100/- per day of delay beyond T + 1 day.
b	Point of Sale (PoS) (Card Present) including Cash at PoS Account debited but confirmation not received at merchant location i.e., charge-slip not generated.	Auto-reversal within T + 5 days.	₹100/- per day of delay beyond T + 5 days.
c	Card Not Present (CNP) (e-commerce) Account debited but confirmation not received at merchant's system.		

Sl. no.	Description of the incident	Framework for auto-reversal and compensation	
		Timeline for auto-reversal	Compensation payable
I	II	III	IV
3	Immediate Payment System (IMPS)		
a	Account debited but the beneficiary account is not credited.	If unable to credit to beneficiary account, auto reversal (R) by the Beneficiary bank latest on T + 1 day.	₹100/- per day if delay is beyond T + 1 day.
4	Unified Payments Interface (UPI)		
a	Account debited but the beneficiary account is not credited (transfer of funds).	If unable to credit the beneficiary account, auto reversal (R) by the Beneficiary bank latest on T + 1 day.	₹100/- per day if delay is beyond T + 1 day.
b	Account debited but transaction confirmation not received at merchant location (payment to merchant).	Auto-reversal within T + 5 days.	₹100/- per day if delay is beyond T + 5 days.
5	Aadhaar Enabled Payment System (including Aadhaar Pay)		
a	Account debited but transaction confirmation not received at merchant location.	Acquirer to initiate “Credit Adjustment” within T + 5 days.	₹100/- per day if delay is beyond T + 5 days.
b	Account debited but beneficiary account not credited.		
6	Aadhaar Payment Bridge System (APBS)		
a	Delay in crediting beneficiary's account.	Beneficiary bank to reverse the transaction within T + 1 day.	₹100/- per day if delay is beyond T + 1 day.
7	National Automated Clearing House (NACH)		
a	Delay in crediting beneficiary's account or reversal of amount.	Beneficiary bank to reverse the uncredited transaction within T + 1 day.	₹100/- per day if delay is beyond T + 1 day.
b	Account debited despite revocation of debit mandate with the bank by the customer.	Customer's bank will be responsible for such debit. Resolution to be completed within T + 1 day.	
8	Prepaid Payment Instruments (PPIs) – Cards / Wallets		
a	Off-Us transaction The transaction will ride on UPI, card network, IMPS, etc., as the case may be. The TAT and compensation rule of respective system shall apply.		

Sl. no.	Description of the incident	Framework for auto-reversal and compensation	
		Timeline for auto-reversal	Compensation payable
I	II	III	IV
b	On-Us transaction Beneficiary's PPI not credited. PPI debited but transaction confirmation not received at merchant location.	Reversal effected in Remitter's account within T + 1 day.	₹100/- per day if delay is beyond T + 1 day.

RBI Directives Related to Digital Transactions

- Interoperable Card less Cash Withdrawal from ATM
- Link Credit Cards and Credit components of banking products to UPI

Further RBI Payment vision 2025 has included the following Specific Initiatives:

1. Integrity
2. Inclusion
3. Innovation
4. Institutionalisation
5. Internationalisation

LET US SUM UP

- The success of retail banking depends on effective marketing of the retail products and services. Customers are different and their needs are different but at the same time, as customers are grouped together into definite segment buckets, reaching them with relevant products and services is a must. This can be best achieved with the different elements of the marketing mix viz., Product, Price, Promotion, Place, People, Process and Physical Evidence. The right mix will deliver the right results.
- Channels are the medium through which retail banking products and services are delivered to the customers. Delivery Channels are basically of two types, Physical Channels and Remote Channels. Branches and Extension Counters are referred to as Physical Channels. Remote Channels also called as Electronic Channels are designed to serve customers outside the branch and includes ATMs, Internet Banking and Mobile Banking. Each of the channels has their own strengths and weaknesses. While Branches give the personal touch to the service process, remote channels give the freedom to avail the services at their convenience.
- Procedures are fixed and processes are defined for availing the services through the above channels. ATMs help the customers to avail the services any time for withdrawing cash as well as to deposit cash and cheques. ATMs are installed by banks in the branch premises

as well as in off branch locations convenient to the customers. All the ATMs of different banks are now connected and customers can access their accounts from any bank's ATM and withdraw cash upto a prescribed frequency free of cost. In Internet Banking, customers can do the transactions like debits, credits, fund transfers and bill payment services, etc. In Mobile Banking also, from their mobile phones, customers can do their transactions like Balance Enquiry, Funds Transfer, etc. Channels enhance the customer experience of the banking services and the satisfaction levels depend on how the customers' expectations are met by the banks. For achieving this, Banks should develop and adopt the right channel mix through proper customer profiling.

Delivery channels, both physical and remote, play a crucial role in the delivery paradigm but delivery effectiveness in physical channels is determined more by the persons who are delivering the services.

- In electronic channels, like ATM, Net Banking and Mobile Banking, human intervention is not there and the delivery requested is met through the machines or on line solutions.
- But in case of physical channels like Branches, Direct Marketing, etc., the individuals involved in the service delivery process are very important for the success of the customer relationship and loyalty factors.

KEYWORDS

Physical and Remote Delivery Channels; Branch; Automated Teller Machine; Cash Withdrawal; Personal Identification Number (PIN); MPIN; National Financial Switch; Mobile Banking; Account View; Funds Transfer; Internet Banking; Utility Payments; Investments in mutual funds. UPI; Integrated Ombudsman Scheme; UPI 123PAY; IVR

CHECK YOUR PROGRESS

1. Electronic Channels in retail banking refers to _____.
 - (a) ATMs
 - (b) Internet Banking
 - (c) Mobile Banking
 - (d) All the above.
2. Advantages of a good branch layout include _____.
 - (a) Promotes efficiency as it will ensure smooth flow of services.
 - (b) Internal communication effectiveness increases thereby facilitating better coordination among the staff resulting in better customer service.
 - (c) Provides a comfortable and congenial work environment to the staff which results in high employee motivation and acts as a morale booster.
 - (d) Serves as an image building tool for the bank.
 - (e) All the above.

3. The facilities available for mobile banking customers are:
 - (a) Facility for using banking facility from anywhere.
 - (b) Easy operations – instructions carried out by self.
 - (c) Option to pay utility bills.
 - (d) Transfer of funds between accounts – same bank and other banks.
 - (e) All the above.
4. The services offered for Internet Banking Customers are:
 - (a) View of balance and last few transactions.
 - (b) Generate statement of Account.
 - (c) Transfer of funds between accounts within the bank.
 - (d) Utility Payment facility like payment of insurance premium, telephone bills, energy bills.
 - (e) All the above.
5. Harmonisation of TAT and customer compensation scheme is applicable to
 - (a) All customer transaction
 - (b) All Digital transaction in the banks and All Digital transaction across all authorized payment systems
 - (c) All the above
6. Integrated Ombudsman does not include the following concept
 - (a) One Nation One Ombudsman
 - (b) Single portal for all the grievances
 - (c) Integration of all the existing scheme of Ombudsman
 - (d) None of the above
7. Which of the following payment apps works without internet facility?
 - (a) Mobile banking app
 - (b) UPI App
 - (c) UPI 123PAY
 - (d) Mobile wallets
8. With regards to card less cash withdrawal from ATM, which of the following statement is correct
 - (a) Customer has to scan UPI QR code of ATM
 - (b) Card Less cash withdrawal is interoperable as per RBI directives.
 - (c) Debit Card is not required.
 - (d) All the above

ANSWERS TO CHECK YOUR PROGRESS

- | | | | |
|--------|--------|--------|--------|
| 1. (d) | 2. (e) | 3. (e) | 4. (e) |
| 5. (c) | 6. (d) | 7. (c) | 8. (c) |



DELIVERY MODELS

STRUCTURE

- 19.0 Objectives
- 19.1 Introduction
- 19.2 Delivery Models
- 19.3 Internal Customers – Staff at the Branch Level
- 19.4 Dedicated Marketing Managers
- 19.5 Direct Selling Agents (DSAs)
- 19.6 Tie-up with Institutions/OEMs/Dealers, etc.

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

19.0 OBJECTIVES

After studying this unit, you may be able to understand:

- Various delivery models
- Significance of Dedicated Marketing Managers
- Need for Direct Selling Agents
- Need for tie-up arrangement for marketing of retail products, etc.

19.1 INTRODUCTION

The success of the Retail Banking depends on how the products and services are delivered to the customer. Delivery effectiveness in physical channels is determined more by the persons who are delivering the services. There are different delivery models both physical and remote are being made available to the customers. Today's consumers demand financial services to be available and delivered to them as seamlessly and ubiquitously. It's not just about improving customer service, but, it's about satisfying today's hyper-connected consumer by delivering both service and sales through any channel, the consumer chooses to use. The financial institution that fails to deliver sales, as well as service, through the platform of their consumers' choice is doomed to stagnant growth. In the unit, we would be discussing various models banks are applying in satisfying the customer needs.

19.2 DELIVERY MODELS

Retail Banking is a customer oriented business model and the success of the same depends on how the products and services are delivered to the customer. Of course, delivery channels, both physical and remote, play a crucial role in the delivery paradigm but delivery effectiveness in physical channels is determined more by the persons who are delivering the services. In electronic channels, like ATM, Net Banking and Mobile Banking human intervention is not there and the delivery requested is met through the machines or on line solutions. But in cases of physical channels like Branches, Direct Marketing, etc., the individuals involved in the service delivery process are very important for the success of the customer relationship and loyalty factors. The three important human interventions in physical channels are:

- i. Internal Customer – Staff of the Branch.
- ii. Specialised Marketing Personnel.
- iii. Direct Selling Associates (DSAs).

Let us discuss one by one, the people involved in the delivery process to make retail banking effective.

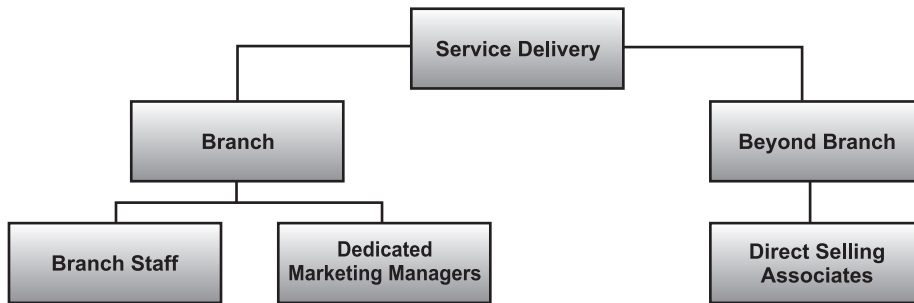


Fig. 19.1 Service Delivery

19.3 INTERNAL CUSTOMERS – STAFF AT THE BRANCH LEVEL

In retail banking delivery, staff members of the branch play a very crucial role in the entire delivery process. They are responsible for the end to end service delivery and any deficiency in delivery will result in customer dissatisfaction. All the staff members should aim at a focused approach for effective delivery of services. But in any branch, all the staff will not be the same and there is bound to be difference in the delivery quality. How to overcome this problem? The internal customer is more focused in service delivery in new private sector banks. But in public sector banks, even without a strategic focus to retail banking in many banks and carried on as an activity within the total business model, the service delivery is generally more personalised and caring because of the loyalty factor of public sector bank customers and better personal understanding of the customers' profile by the staff in PSBs. This is more pronounced in semi urban and rural branches where retail customers are more loyal and value their relationships with the banks.

For efficient service delivery, staff should possess the following characteristics and traits.

1. Understanding the customer, his income level, his financial profile, his needs, his requirements of financial products and his life stage.
2. Cross selling the right products to match their requirements.
3. Post sales service follow up for customer satisfaction.
4. Customer Empathy – Putting yourself in the shoes of the customer and looking the service level from customer's perspective.
5. Understanding the product features and service prescriptions and conviction about the bank's products services for right selling and better product and service delivery.
6. Attitude for customer service and the concept of team in customer delivery.

The above discussed essentials from the staff would definitely result in better realization of retail banking business and also will help the banks to cross sell effectively other relevant products.

19.4 DEDICATED MARKETING MANAGERS

The concept of people in retail banking has undergone dramatic changes in the past decade especially in public sector banks. From an integrated approach to retail banking, banks have started building a standalone franchise and specialists were appointed in the banks to carry out specifically retail banking marketing initiatives in the past decade. In foreign and private banks, since there was mismatch with their retail banking objectives and the human resources available to achieve the objectives, private banks engaged external agencies to carry out marketing and customer acquisitions. Public sector banks have redesigned their marketing approach and appointed specialist officers for marketing and retail banking initiatives. Separate verticals for marketing were set up in banks and dedicated Marketing Managers were appointed in addition to existing internal human resources. These specialist Marketing Managers (MBAs in Marketing) were young and energetic and recruited from the campuses of management schools. Some banks appointed them in Junior Management and some other banks in middle management. The compensation structures were also attractive and consisted of both fixed and variable components thus making them as performance oriented. The expectations from these officers are explained below:

- i. Market Intelligence.
- ii. Potential Sourcing.
- iii. Product and Service Delivery Presentations to the identified customer segments.
- iv. Right selling to the targeted customer group.
- v. Sales Conversions.
- vi. Closing the leads with sales.
- vii. Compliance of promises made and conforming to the service delivery standards.
- viii. Following up with the operations department for effective process and delivery of products sold.
- ix. Customer Relationship Management on a continuous basis for improving the loyalty factor as well as additional sales.

Since these officers were given dedicated assignments for better and focused marketing approach, the conversion levels and service delivery quality were better achieved. Though the standalone marketing model was practiced initially only by a few banks, since the initiatives yielded the desired results, more banks followed suit and this phenomenon is happening in almost all banks. The effectiveness of delivery to retail customers has improved very well in this dedicated model.

19.5 DIRECT SELLING AGENTS (DSAs)

The concept of Direct Selling Agents (DSAs) was pioneered by foreign banks and nurtured well by new generation private sector banks. DSAs are agencies appointed by banks to source business for them on a fee basis. Banks which do not have a branch penetration and geography, to service a

large section of customers, they seek the help of DSAs for sourcing business on behalf of the bank and also complete the preliminary formalities for acquiring customers. DSAs positioned across geographies will make the tasks easier for the banks. DSAs are primarily engaged in sourcing Credit Cards and Retail Loans. The appointed DSA appoints field personnel and supplemented by tele-callers, start the marketing process and follow up to meet the customers and convert them into sales. But the scrutiny and KYC formalities for the above are basically done by the banks before offering the same to the customers. But mis-selling by DSAs is rampant especially in the credit card space. The employees of the DSAs mis-sell credit card products and make the customers fall into a debt trap by misusing the cards. Same is the case with mis-selling of retail loans and in this space, the pricing for the loans are not explained clearly. Ultimately this will result in dissatisfaction for the customers and reputation risk for the bank. With limited branch networks, private sector banks are increasingly depending on outside agencies to sell their retail products.

Despite the lack of loyalty and accountability associated with direct selling agencies, new generation private sector banks see this as the only way in which they can grow their scale of operations in the country. Unmatched with the public sector banks in terms of reach, private banks need feet on the street to sell and cross-sell their products and the same is achieved through DSAs. In case of a large private player whose more than 50% of the assets are sourced from the retail side, DSAs play a vital role in mobilising business and more than 70% of the retail asset portfolio including Home Loans are sourced through DSAs. Through DSAs, private banks were able to achieve Doorstep Banking in a big way as DSAs reach the customers for sourcing retail assets and other banking products. Private bankers implement sufficient checks and balances to keep DSAs under check. Banks outsource the end to end marketing function to the agency that in turn will engage people for reaching the customers. By this the cost of delivery of service would be considerably reduced for the private banks as DSAs are not in their pay rolls. The compensation for the DSAs will basically depend on the volumes of business sourced.

DSAs achieve business volumes but there is always a risk attached with their kind of selling. Reputation Risk is always a threatening factor in the DSA model as the field personnel deployed by the DSAs for sourcing business try to make some false promises in the Turn Around Time (TAT) in retail asset processing and issue of credit cards. DSAs focus on pure selling by pushing the products than effective marketing after verifying the needs of the customers and their actual requirements as a result the customer suitability of the product takes back seat. The classic cases are mis-selling card products and retail asset products like Personal Loans. Ultimately it would affect the bank and not the DSAs since for DSAs, this is one of the jobs and they may do it for many banks. But for the bank, the relationship reputation built over years will be at stake if the DSA fails to perform the expectations professionally. This may also result in regulatory action against the bank.

19.6 TIE-UP WITH INSTITUTIONS/OEMS/DEALERS, ETC.

Banks enter into tie-ups with the following agencies for extending different types of loans.

- i. Tie-up with Builders as a preferred financier for extending Home Loans to prospective buyers. Special concessions like waiver of processing charges, documentation charges, mortgage charges, etc., will be offered as additional attractions for these borrowers. In this type of tie-ups, bank will approve the specific projects of builders and express their interest to finance the individual or group buyers of the project. Builders in turn will refer their buyer customers to the Bank for considering home loans. Banks will follow up with the customers regarding their loan requirements. Based on the eligibility of the borrowers, banks will sanction home loans to the applicants. In another type of tie-up, banks will finance the builders for their housing projects and enter into arrangement with the builders for repaying the loan from the proceeds of sale of flats to different buyers. They also collaborate with the builders as preferred financiers and sanction loans based on merits to the buyers and the loan proceeds will be adjusted to the loans extended to the builders.
- ii. Tie-ups with auto dealers is another method adopted by banks for expanding retail credit. This model is more prevalent among PSBs, private sector and foreign banks. Banks tie-up with auto dealers as a preferred financier and set up a counter/desk in the showroom of the auto dealer for soliciting/ capturing customers for extending loans. When a person visits a tied up car dealer's showroom, on completion of his choice, the customer is referred to the bank's staff at the showroom and the bank staff immediately get the details and requirements and start processing the loan based on merits. As discussed in case of home loan, banks extend loans to the car dealer as loan against receivables and adjust the loan from the loans sanctioned to the individual buyers of cars. In the above tie-ups, the dealer offers some concessions from their profit margin to increase sales. Banks offer concessional interest rates and also waiver of processing charges for such loans. There is another type of tie-up where the manufacturer, dealer and banker coming together for offering loans with maximum concession through sharing of the concessions by all the three. This is a win-win situation for all concerned, manufacturer and dealer will sell more cars and banker will extend more retail loans thus improving the profits for all. But this model is under strain as manufacturers through their financing arms (NBFCs) extend the credit facility to the ultimate buyers thus making additional profits from the sale of cars.
- iii. Sanctioning of Personal Loans under tie-up with different institutions is another model adopted by banks to expand retail loans. Banks tie-up with institutions for extending Personal Loan to group of employees of the institutions and the repayment of loan will be undertaken by the company. The institutions will recover the salary from the employees on a monthly basis and remit to the bank directly. Thus repayment is assured for the bank.
- iv. Even educational loans are disbursed on a tie-up basis. Banks set up special counters during the admission season in reputed educational institutions and offer education loans based on merit. By this way, they could garner good number of loans.

The service levels through the electronic and remote and tie-up channels are upto the expectations or not can be gauged by the behavior of the customers and the loyalty factor. To strengthen the loyalty factor, customers should be made to avail maximum number of products and services. To achieve this, an integrated Customer Relationship Management (CRM) programme should be in place in banks.

Co-Lending Model

Reserve Bank of India (RBI) had issued guidelines on Co-Lending by Banks and NBFCs to Priority Sector vide circular FIDD. CO.Plan.BC.No.8/04.09.01/2020-21 dated November 05, 2020. As per these guidelines, the primary focus is to improve the flow of credit to the unserved and underserved sectors of the economy and make available funds to the ultimate beneficiary at an affordable cost, considering the lower cost of funds from banks and greater reach of Non-Banking Finance Companies (NBFC). The new scheme is christened as “Co-Lending Model” (CLM) under which, banks are permitted to co-lend with all RBI registered NBFCs including Housing Finance Companies (HFC) based on a prior agreement.

As per the RBI guidelines, banks and NBFCs are required to formulate Board approved policies for entering into the CLM and place the approved policies on their websites. The term ‘NBFC’ for the purpose of this note includes NBFCs (Partner Financial Institute (FI)) and Housing Finance Companies (HFCs)).

Terms of Arrangement: Co-Lending Model between Banks and NBFCs

With the primary objective of improving credit flow to the hitherto unserved or underserved sectors of the economy (including semi urban, rural markets and the small business and self-employed segments), the Bank would engage with multiple NBFCs and across varying products and customer’s segments as part of co-lending arrangements.

Co-Lending Model for loans with NBFCs (Loans sourced by NBFCs).

Product	
Eligible Counterparties	All Registered NBFCs
Eligible Asset Classes	All Loans qualifying for Priority Sector Advances as per the extant Master Circular/Directions on Priority Sector issued by RBI
Bank’s Contribution	Minimum 20% by way of direct exposure to be retained by the NBFC. i.e. the Bank can have a direct exposure of maximum 80%.
Originator Cap/Selection Criteria	NBFCs with proven track record, geographical reach, robust credit and collections processes, compatible system capabilities, competent manpower, etc.
Yield	Pricing of the underlying loans for the portion on Bank’s contribution to be in line with the applicable regulatory directions on interest rate on advances

Need to build up a better delivery model in Retail Banking:

It is time for banks and financial institutions to respond to the changing behavior of customers, delivering products, services and financial education through both physical and digital channels. Integrating and optimizing this channel delivery can bring value to the customers as well as the banking organization.

Today's consumers demand financial services to be available and delivered to them as seamlessly and ubiquitously as any transaction they want to complete. And it's not just about improving customer service ... it's about satisfying today's hyper-connected consumer by delivering both service and sales through any channel the consumer chooses to use. The banks and financial institution that fails to deliver sales, as well as service, through the platform of their consumers' choice is doomed to stagnant growth.

During the ongoing Covid -19 pandemic for almost 2 years, most consumers no longer prefer a branch or any other brick-and-mortar structure to avail financial services (though they may still visit their local bank's branch for advice or validation about complex real estate or investment transactions, or complex servicing issues). Instead, an increasing number of consumers are transacting their financial business remotely through a variety of digital platforms: desktops, laptops, tablets, phones etc. And they get financial advice and information digitally also, through countless traditional financial and non-traditional websites.

Technology – The Catalyst for Change

Digital technology is evolving rapidly and customers are adopting to new technology at record levels. The industry has experienced double- to triple-digit growth in mobile banking users over the last few years. The result is explosive growth of a hyper-connected customer base. Customers are connected to their banks and financial institutions through multiple channels and devices. According to study by Mckinsey & Company, more than 65 percent of consumers interact with their financial institutions through multiple channels. Customers expect their financial institutions to recognize them and acknowledge their real-time financial needs and status regardless of their choice of channel.

Building a Digital Bank

- (1) The delivery model Retail Banking in banks and financial institutions, especially regarding distribution, must change to serve digitally empowered consumers by building a strong digital banking model. Banks and financial institutions must transform their current operating model of delivery in four ways to add significant value for their customers and add significant value for their brands. Create a high-touch, fully-integrated customer experience supporting physical and digital sales and service. Enable customers to use whatever physical channel or digital device they prefer to transact with the bank whenever and wherever they please is the key to an 'opti-channel' experience.
- (2) Empower customers with digital tools and content to make a personalized product and

service selection and sales fulfillment possible, thus enabling customers to take control of their financial decisions.

- (3) Empower frontline employees with cross-channel, real-time customer insight and intelligence to support both sales and service needs, dramatically increasing employees' productivity.
- (4) Adoption of digital channels by customers has created real time data about the trend, test, liking and patterns revealing the financial affordability and discipline. Product delivery process based on finding of analysis of these data will create a new scale of customer satisfaction and delight.
- (5) Garner commitment and mandate from upper management and boards in support of the above changes, both financially and emotionally, which must extend throughout the entire organization.

LET US SUM UP

Delivery channels, both physical and remote, play a crucial role in the delivery paradigm but delivery effectiveness in physical channels is determined more by the persons who are delivering the services.

- In electronic channels, like ATM, Net Banking and Mobile Banking, human intervention is not there and the delivery requested is met through the machines or on line solutions.
- But in cases of physical channels like Branches, Direct Marketing, etc., the individuals involved in the service delivery process are very important for the success of the customer relationship and loyalty factors. The three important human interventions in physical channels are:
 - Internal Customer – Staff of the Branch,
 - Specialised Marketing Personnel, and
 - Direct Selling Associates (DSAs).
- Staff of the branch is the first point of contact in the retail banking experience of customers and customers' service expectations are to be met primarily through effective and efficient service delivery. For efficient service delivery, staff should possess the following characteristics and traits.
 - Understanding the customer, his income level, his financial profile, his needs, his requirements of financial products and his life stage.
 - Cross selling the right products to match their requirements.
 - Post sales service follow up for customer satisfaction.
- Specialised Marketing Managers support retail banking initiative through customer sourcing

and their need identification and serving them end to end for making them to avail the products and services. In private banks, the specialised marketing managers do the customer sourcing and after completing the need of verification and after obtaining the documents and verification of the same, they forward it to the process team to complete the process. But in some public sector banks, marketing managers posted for retail banking do end-to-end servicing for retail products and retail assets.

- Direct Selling Associates (DSAs) are effective intermediaries between the banks and customers for sourcing and completing the initial formalities. But there are cases of DSAs working for business maximisation with focus on revenue than customer satisfaction. Though the job is done professionally mostly, many cases of mis-selling were also reported. This was more pronounced in credit card sales and resultant delinquencies. Because of this, there are chances of reputation risk for the bank.
- Tie-ups with builders for expanding home loan portfolio, auto dealers/manufacturers for auto loans and institutions for Personal Loans and educational institutions for Educational Loans are some of the tie-up channels for expanding retail assets of banks.
- It is time for banks and financial institutions to respond to the changing behavior of customers, delivering products, services and financial education through both physical and digital channels. Integrating and optimizing this channel delivery can bring value to the customers as well as the banking organization. Accordingly, the delivery model Retail Banking in banks and financial institutions, especially regarding distribution, must change to serve digitally empowered consumers by building a strong digital banking model

KEYWORDS

Physical and Remote Channels; Internal Customers; Marketing Managers; Direct Selling Associates; Cross Selling; Tie-ups for Retail Loans

CHECK YOUR PROGRESS

1. Human interventions in the delivery of services are _____.
 - (a) Internal Customer – Staff of the Branch
 - (b) Specialised Marketing Personnel
 - (c) Direct Selling Associates (DSAs)
 - (d) All the above.
2. The requirements for delivering effective service to the customers are _____.
 - (a) Understanding the customer, his income level, his financial profile, his needs, his requirements of financial products and his life stage.
 - (b) Selling and Cross selling the right products to match their requirements.
 - (c) Post sales service follow up for customer satisfaction.

- (d) Customer Empathy.
- (e) All the above.

3. Tie-ups are entered into by banks for bulk sale of the following assets_____.

- (a) Home Loans
- (b) Auto Loans
- (c) Personal Loans
- (d) Education Loans
- (e) All the above.

4. What is the risk associated with the DSA Marketing Model?

- (a) Market Risk
- (b) Control Risk
- (c) Operational Risk
- (d) Reputation Risk

ANSWERS TO CHECK YOUR PROGRESS

1. (d) 2. (e) 3. (e) 4. (d)



CUSTOMER RELATIONSHIP MANAGEMENT IN RETAIL BANKING

STRUCTURE

- 20.0 Objectives
- 20.1 Introduction
- 20.2 Customer Relationship Management in Retail Banking
- 20.3 Why CRM?
- 20.4 Implementation Aspects of CRM in Banks
- 20.5 Implementation Process of CRM in Banks
- 20.6 Implementation Stages in CRM
- 20.7 Benefits of CRM
- 20.8 Impact of CRM on Customer Satisfaction

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

20.0 OBJECTIVES

After studying this unit, you should be able to understand:

- Concept of Customer Relationship in Retail Banking (CRM)
- Need for understanding CRM in Retail Banking
- Implementation process/stages in CRM in Retail Banking
- Benefits of CRM in Retail Banking

20.1 INTRODUCTION

In the highly competitive banking environment of today, all banks strive to ensure that efficient customer service and customer satisfaction remains the primary objectives of the Bank in its day to day operations. With the PSU, Private and Foreign banks all vying for a larger market share, it is the quality of customer service and speed of delivery that distinguish the better banks. With the changing economic and banking scenario, the demands and needs of customers have grown manifold which have necessitated a complete change in the focus of banks for delivering services to suit their specific requirements. With the shift to a buyer's market in banking services, retaining existing customers and winning new ones are proving to be a tough challenge for banks. Thus, today banks are committed to the belief that all technology, processes, products and skills of its people must be leveraged for delivering superior banking experience to its customers and therefore to innovate and keep introducing customer centric initiatives from time to time.

A primary objective of CRM is to provide the entire organization with a complete, 360 – degree view of the customer, no matter where the information resides or where the customer touch point occurred. Today, many businesses manage different customer relationships with multiple information systems, which weaken customer service and ultimately reduce total sales potential. To realize the benefits of CRM, it is important to have an integrated solution across all customers' information systems, tying together the front and front offices for a complete view of the customers in order to serve them better. This unit covers the need, process, stages in implementation of CRM along with benefits of CRM to a great extent.

Customer relationship management (CRM) is a term that refers to practices, strategies and technologies that companies use to manage and analyze customer interactions and data throughout the customer lifecycle, with the goal of improving business relationships with customers, assisting in customer retention and driving sales growth. It is a management philosophy according to which a company's goals can be best achieved through identification and satisfaction of the customers' stated and unstated needs and wants.

20.2 CUSTOMER RELATIONSHIP MANAGEMENT IN RETAIL BANKING

What is Customer Relationship Management (CRM) in banking in general and retail banking in particular?

As we are all aware, there are three elements in CRM, viz.,

- a. Customer
- b. Relationship
- c. Management

The above three factors indicate that banks have to manage the customers and manage their relationship also. Bank has to manage the customer by offering the right product/s matching the needs of the customer.

Relationship with the customer means that the service quality of the bank should match the customer expectations in total and result in total satisfaction of the customer. It additionally emphasizes that the total need spectrum of the customers should be addressed and service delivery should result in absolute satisfaction for the customer. Customer Relationship Management (CRM) is basically having a 360 degree view of the customers and their profile, dynamically tracking their requirements, offering matching products and services, cross selling relevant products to his changing needs and keeping him happy for ever. Let us now see the dynamics of CRM.

The objectives of a good CRM are aimed at to build long-term profitable relationships with specific customers through a better understanding of the customers in order to develop close relationships, offer optimal products and services on a dynamic basis and achieve life-time value from customers. This would be achieved by systematic and technology oriented processes and models. The purpose of CRM is to increase the share of wallet of the customer with the banks' services and increase the per-customer profitability of banks. The stages involved in a CRM initiative are:

- i. Customer centricity; Get the whole staff members on board.
- ii. Capturing the customers' profile through a technology enabled model.
- iii. Create a 360 degree view of your customers. Dissecting the profiles into common information buckets.
- iv. Designing suitable products and services to cater to the different information buckets.
- v. Offering the products and services to the targeted and segmented customers from the information buckets with the right pricing.
- vi. Providing the right sales and service processes to achieve total customer satisfaction.
- vii. Minimise response time to customer's enquiries/requirements.
- viii. Tracking the customer information on a dynamic basis to design new products and services to meet the changing dynamics of the customers.
- ix. Establish healthy customer relationship based on a comprehensive customer profile.

All the above initiatives indicate that CRM provides a mechanism for banks for being proactive in addressing customer needs and expectations and analyzing information from all channels and data sources to profile customers, predict churn and predict customer profitability. Customer optimisation is the essence of CRM and can be addressed through three dimensions viz.

- a. Acquisition of New Customers who are immediately profitable to the bank.
- b. Retention of Existing Customers who are most profitable and valuable to the Bank for the longest duration.
- c. Expansion of the customer relationship with the bank encouraging more purchases and shifting the less profitable customers to lower – cost delivery channels.

20.3 WHY CRM?

Why CRM? This is an important question which has to be answered by all concerned in retail banking. Without CRM, whether banks cannot track the customers' profile and offer those products and services to match their expectations and needs? But the following needs of banks for implementation of a CRM program will answer the above questions.

- i. Need to increase operational efficiencies.
- ii. Need to derive more value from employees.
- iii. Increasing Competition in retail banking.
- iv. Rising NPAs.
- v. Increasing Importance of Fee Based Income.
- vi. Delivery Channel Efficacy.
- vii. Application of Technology.

CRM is not just an option for the banks but a compulsion to achieve business synergies and optimization of resources. CRM as a tool can be effectively utilized to explore new frontiers in product development and management and improve the per-customer profitability in addition to building and sustaining customer loyalty and brand equity. Let us discuss each of these needs in detail for a better understanding of CRM.

(i) Need to increase operational efficiencies

Operational efficiencies are basically managing operational costs for the bank in general and delivery cost in particular as applicable to retail banking. The classic example in branch banking is shifting the customers to electronic and remote channels like ATM. The cost of direct delivery in the branch across the counter is more costly than delivery through ATM. Hence the objective of the banks would be to shift the customer from the branch to the ATM thereby reducing operation cost and improve operational efficiencies. CRM is an enabler to identify the customers segments which can be migrated to ATM as an additional delivery option for them.

(ii) Need to derive more value from employees

The next dimension is to improve employee productivity by redefining their roles to deliver service to customers who are more profitable. The spate of retirements through VRS and superannuation has necessitated banks to go very aggressive in technology implementation and the reduced manpower has to be more productively deployed for deriving more value. Here, the value dimensions are twofold; employee value and customer value. Employee value is increased by deploying them in marketing and for cross selling/upselling opportunities, better business

values and volumes. Customer value is a derivative of employees' output and per-customer profitability in making the customers availing the maximum number of products/services. Effective CRM solutions would improve the quality of output by employees and would improve the overall employee productivity.

(iii) Increasing Competition in retail banking

Competition is the buzz word in retail banking. As retail banking is a profitable business model for private and foreign banks, they vie with each other to grab their market share. For achieving this, customer orientation is their top most priority and they implement a whole range of activities in product development, process efficiencies, delivery channels, pricing and value additions to acquire, retain and improve their customer base. A good CRM program helps banks to achieve the above objectives.

(iv) Rising NPAs

Retail Banking and NPAs go together. Though Retail Banking is an attractive revenue model for banks, it has its inherent risks in managing the business. Sensitive retail products like Credit Cards and Personal Loans are basically unsecured and are susceptible to become NPAs. In fact, some private banks are experiencing huge delinquencies in this segment which made them to switch over their strategies from aggressive to the watch mode and also shrinking their retail asset expansion. Some public sector banks also experiencing rising NPAs mainly in the Home Loans segment due to defaults and delinquencies. This calls for an effective customer tracking mechanism for monitoring and recovery of retail loans. Though Credit Scoring models are adopted while assessing the card limits, loan limits, etc., the NPA phenomenon happens in spite of this. CRM helps to rack customers and follow up for recovery.

(v) Increasing Importance of Fee Based Income

Net Interest Margins are on the decline for most of the banks due to pressure in spreads and banks were looking out for avenues to improve the bottom lines. Fee Based income through Third Party Distribution is an attractive option for the banks. In some private banks, more than 50% of their revenues are generated through the fee based models. Public sector banks also are aggressively into fee based income generation through Third Party Distribution. Marketing of insurance products (both in the life insurance and non-life insurance) and also mutual funds offered very good scope to earn fee based income by selling these products to targeted customer segments. Retail sale of India Gold Coins is another avenue to augment fee based income. CRM data helps bank to sell Sovereign Gold Bonds – another area for fee based income. CRM solutions help the bank to identify potential customers for selling these products.

(vi) Delivery Channel Efficacy

Different channels both physical and remote are offered to the customers for enhancing their experience and derive satisfaction from the channel/s experienced. Some customers will like to experience direct channels like branches whereas some customer segments will go for remote channels like ATMs, Mobile Banking, and Internet Banking. But some of the customers will

like to have a blend of channels for total satisfaction of their needs. CRM solutions help banks to offer the right channel mix to their different customer segments to enhance customer loyalty and retention.

(vii) Application of Technology

Technology is inseparable from retail banking and initiatives like Core Banking Solutions, Mobile Banking and Internet Banking are different manifestations of technology. Banks in order to optimise profits have to leverage technology to maximize business through a structured approach to customer mining and cross selling. CRM solutions enable this through application of technology.

The above points only highlight the need for CRM from different perspectives. All this when integrated and administered will make CRM very relevant and profitable also. But the backbone of CRM lies in the robustness of the customer data. Data Warehouse and Data Mining are two important tools which are critical for any meaningful CRM. The sourcing of data for the Data Warehouse has to seamlessly flow from the Core Banking Solutions (CBS) platform without any manual intervention to ensure the accuracy of the data. This aspect is very important in the context of huge volumes which are typical in a retail banking environment and major business decisions and strategies are stemming out of the MIS generated from this tool. Hence, CRM practice without robust customer data base will not yield the desired results and not serve the purpose.

Having understood the need for CRM in banks let us now look into the implementation aspects of CRM in banks.

20.4 IMPLEMENTATION ASPECTS OF CRM IN BANKS

How does CRM Work?

CRM systems are designed to compile information on customers across different channels – or points of contact between the customer and the bank – which could include the bank's website, telephone, live chat, direct mail, marketing materials and social media. CRM systems can also give details on customers' personal information, purchase history, buying preferences and concerns.

Security concerns of CRM

With the growth of the internet and related technologies, customers are concerned over the privacy and safety of their personal information. Therefore, businesses need to ensure that the storage and analysis of the customer data must have the highest levels of protection against cyber criminals, identity theft and other breaches of securities.

Features of CRM Software

CRM software consolidates customer information and documents into a single CRM database

so that business users can more easily access and manage it. The other main functions of this software include recording various customer interactions (over email, phone calls, social media or other channels, depending on system capabilities), automating various workflow processes such as tasks, calendars and alerts, and giving managers the ability to track performance and productivity based on information logged within the system.

Common features of CRM software include:

- **Marketing automation**

CRM tools with marketing automation capabilities can automate repetitive tasks to enhance marketing efforts to customers at different points in the lifecycle. For example, as sales prospects come into the system, the system might automatically send them marketing materials, typically via email or social media, with the goal of turning a sales lead into a full-fledged customer.

- **Sales force automation**

Also known as sales force management, sales force automation is meant to prevent duplicate efforts between a salesperson and a customer. A CRM system can help achieve this by automatically tracking all contact and follow-ups between both sides.

- **Contact center automation**

Designed to reduce tedious aspects of a contact center agent's job, contact center automation might include pre-recorded audio that assists in customer problem-solving and information dissemination. Various software tools that integrate with the agent's desktop tools can handle customer requests in order to cut down the time of calls and simplify customer service processes. SBI has introduced artificial intelligence banking platform known as SBI Intelligent Assistant (SIA). SIA has reportedly been set up to handle nearly 10,000 enquiries per second, or 864 million in a day, which is nearly 25 percent of the queries processed by Google every day.

- **Geolocation technology or location-based services**

Some CRM systems include technology that can create geographic marketing campaigns based on customers' physical locations, sometimes integrating with popular location-based GPS apps. Geolocation technology can also be used as a networking or contact management tool in order to find sales prospects based on location.

Main Component of CRM

The main components of CRM are building and managing customer relationships through marketing, observing relationships as they mature through distinct phases, managing these relationships at each stage and recognizing that the distribution of value of a relationship to the firm is not homogenous.

When building and managing customer relationships through marketing, banks might benefit from

using a variety of tools to help organizational design, incentive schemes, customer structures, and more to optimize the reach of its marketing campaigns. Through the acknowledgement of the distinct phases of CRM, businesses will be able to benefit from seeing the interaction of multiple relationships as connected transactions.

When banks manage these relationships through their various stages, they gain crucial intelligence, for example, which products have the highest likelihood of purchase. The final factor of CRM highlights the importance of CRM through accounting for the profitability of customer relationships. Through studying the particular spending habits of customers, a bank may be able to dedicate different resources and amounts of attention to different types of consumers.

Relational intelligence, or awareness of the variety of relationships a customer can have with a firm, is an important component to the main phases of CRM. Banks may be good at capturing demographic data, such as gender, age, income, and education, and connecting them with purchasing information to categorize customers into profitability tiers, but this is only a firm's mechanical view of customer relationships. This therefore is a sign that banks believe that customers are still resources that can be used for up-sell or cross-sell opportunities, rather than humans looking for interesting and personalized interactions. Below is a diagram of the steps when serving a client while using a CRM system.

20.5 IMPLEMENTATION PROCESS OF CRM IN BANKS

Though CRM is a must in the retail banking scenario in India, the process of implementation is a tough one because of the different nature of business process structure, organization structures and the technology structure and architecture, to name a few. Let us see the different key issues in the implementation of CRM by banks.

(i) Business Processes

The evaluation of the current business processes is essential to determine the nature of products, the bank wants to offer and the way it wants to develop its customer portfolio. The orientation and the description of the business processes is a key requirement for the customisation of the CRM solution for the particular bank.

(ii) Information Processes

This involves the analysis of the existing information processes which the bank is currently working. The integration of these in the CRM system and the suitable restructuring is essential for implementation of the CRM systems in the bank. The information flows need to be channelised and arranged in such a manner that the new system should get and improve with the existing system.

(iii) Information Systems

Retail Banks have their own legacy systems and IT infrastructure built during the evolution of IT in their banks. The existing information infrastructure of the bank needs to be analysed and

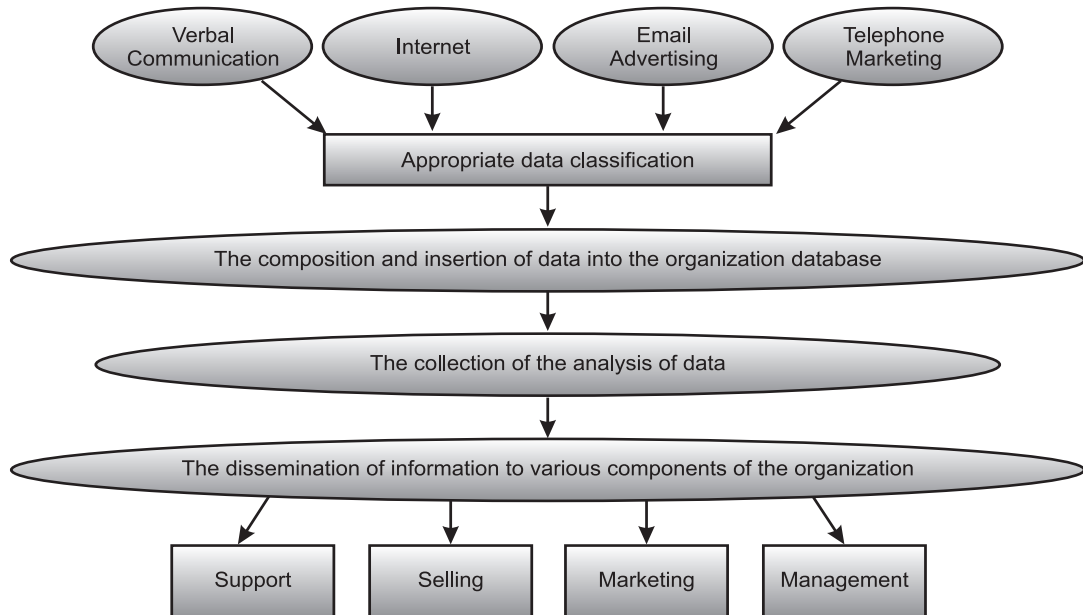


Fig. 20.5 Implementation Process of CRM in Banks

the implementation of the CRM infrastructure accordingly customized. The focus has to be reinforcement rather than replacement.

(iv) Internal Organisational Culture

The integration of the systems is only one dimension for successful implementation and there is another important dimension. The bank's systems have to get with the organizational change. The success of the CRM implementation lies in homogenization of the same in the organization systems and responsiveness of the organization to it to develop the particular customer relationships that CRM promises.

We were discussing about the process requirements for implementing CRM solution in banks. Based on the fulfilment of the above requirements, implementation of CRM takes place in four stages. Let us see the stages through which CRM gets internalized in a bank.

20.6 IMPLEMENTATION STAGES IN CRM

As said above there are four stages through which CRM is implemented. Let us now discuss the four stages.

1. Identification of Customers

This is the starting point for the implementation of CRM. The bank need to identify the customers based on their products availed and focus of the bank. This will help the banks to focus the segment they want to target and to use the CRM system to effective target at. For achieving

this, banks need to build a repository of data base about customers who buy different types of products and services. The customer data should be correctly compiled through available channels as that is the basis on which CRM is structured.

2. Classification of Customers

From the data compiled as above, classification of customers with different perspectives, focus and attention has to be done. The nature of interactions bank has to have with the above information depending on the profitability and the size of the account have to be developed and accordingly the CRM database should be updated. Banks have to use the large repository of data collected in the previous stage, clean this data and apply choice rules through data mining and clustering techniques to classify customers on various parameters like profitability, product usage rate and cost to serve the customers. This will help the banks to develop different kinds of strategies to target the segments and design effective campaigns for generating higher returns from existing customers.

3. Interaction with the most Valued Customers

CRM solutions define customer segments and helps in strategizing a particular type of strategy for them. Banks can segment the whole market and then looking at the product and service usage of the customers can develop different kind of marketing strategy and design campaigns to reach at customers. Specific campaigns can be structured to meet specific customer segments based on the 360 degree information about the customers.

4. Customisation of Bank's Products and Services for Different Customer Segments

Selection of media mix and customer interaction points backed by the customers past usage data and intention forecasts, the product managers can design mass customized products for each of the target segments and launch campaigns. This will complete the CRM implementation process. Feedback from the customers will ring back a new set of customer data, which will help in refining the strategy further to target the segment with profitable product propositions.

20.7 BENEFITS OF CRM

An effective CRM implementation in retail banking will benefit the banks in more than way. The following are some of the important benefits that accrue to banks and enhance the customer focus of the banks:

- i. Improves the customer satisfaction and cross selling potential for the banks.
- ii. Helps the banks to derive increased share of wallet from the customer.
- iii. Enhances the operational efficiencies of the banks.
- iv. Helps to take on competition as CRM results in more customer focus and retention.
- v. Helps to understand Customer Lifetime Value through the structured data base on a dynamic basis.
- vi. Help in cross selling its products.

- vii. Improves customer service through effective integration of all remote delivery channels.
- viii. Helps to manage multi delivery channels in a better way to adopt and maintain uniform service standards across channels.
- ix. Enables to achieve seamless information flow across functions in delivery.
- x. Results in better relationship marketing as customer segments are better target based on the data available in CRM.

Thus CRM is a useful tool for a more calibrated approach to customer segmentation and design and offer more relevant products and services for the targeted segments. CRM will definitely enhance the customer value to the bank and also profitability for the bank.

CRM Analysis and Findings in Banks in respect of Retail Banking

CRM has emerged as a popular business strategy in today's competitive environment. It is a discipline that enables the banks to identify and target their most profitable customers. It involves new and advance marketing strategies that not only retain the existing customers but also acquire new customers. It has been found as a unique technique which can bring remarkable changes in total output of banks. Through the literature survey and data analysis it can be inferred that CRM tries to find out the relationship between perception and satisfaction, commitment and loyalty that underlines the significance in Indian Banking Sector. Customers largely select their banks based on how convenient the location of bank was to their homes or offices and services they offered as per need. With the advent of new technologies in the business of banking, such as internet banking, mobile banking and ATMs etc now customers can freely choose any bank for their transactions. Private Banks have traditionally viewed themselves as exceedingly Customer Centricity offering what they believe to be highly personalized services to the High Net Worth Customers. It is also found that the structured approach of CRM can provide various benefits to a bank, namely a distinctive and consistent customer experience, clear identification of the organization, technological and process-related capabilities.

The banking industry is much further along than other industries in recognizing the value of CRM and implementing decision support systems to support CRM. Though most of the banks have already focused on tactical point solutions, they're ready for transition toward strategic, enterprise-wide CRM initiatives that cross major business lines. An effective decision support system for CRM enables to collect data about customer from every touchpoint and consolidate this information into a single view of the customer, and use this information for customer profiling, segmentation, cross-selling, up selling and retention efforts. As banks continue to seek a unified understanding of customer relationships across diverse channels, the importance and penetration of CRM is expected to grow like anything.

Data Warehouse and Data Mining

Data mining is since becoming more intelligent and offer information on the customer in real time. It is the database that holds the customer information and serves as the central collective memory of a bank. Banks effectively utilize the data mining to support their sales and service

staff in particular. Banks have also supported their sales and staff with advanced technology which has helped them use the data for the purpose of developing a customized offer. The CRM group analyzes results obtained and designs action plans, such as campaigns, promotions, special marketing initiatives, etc. Plans developed are then implemented by means of the several channels used by the bank to reach customers. Evaluation of results complete the cycle. The results become an integral part of the description of the bank-customer relationship in the warehouse. The learning cycle is thus complete and results obtained can be reused in future analysis and in future marketing plans. It is easy to understand that the Data Warehouse cannot actually be built 'once for all' but is a kind of living structure continuously enriched and updated as the Relational Marketing activity develops.

OLAP (On Line Application Programming) analyses are developed by means of Business Object in its web version. CRM analysts use this tool to issue complex SQL (Structured Query Language) queries on the Data Warehouse or on the Analytical Data mart and carry out mono and bivariate statistics on the whole customers' population or on selected groups.

20.8 IMPACT OF CRM ON CUSTOMER SATISFACTION

Customer satisfaction has important implications for the economic performance of banks because it has the ability to increase customer loyalty and usage behaviour and reduce customer complaints and the likelihood of customer defection. The implementation of a CRM approach is likely to have an effect on customer satisfaction and customer knowledge for a variety of different reasons.

Firstly, banks are able to customize their offerings for each customer. By accumulating information across customer interactions and processing this information to discover hidden patterns, CRM applications help banks customize their offerings to suit the individual tastes of their customers. This Customization enhances the perceived quality of products and services from a customer's viewpoint, and because perceived quality is a determinant of customer satisfaction, it follows that CRM applications indirectly affect customer satisfaction.

CRM applications also enable firms to provide timely, accurate processing of customer orders and requests and the ongoing management of customer accounts. Both an improved ability to customize and a reduced variability of the consumption experience enhance perceived quality, which in turn positively affects customer satisfaction. Furthermore, CRM applications also help firms manage customer relationships more effectively across the stages of relationship initiation, maintenance, and termination.

CRM is playing a major role in increasing the market share. It enhances productivity and creates superior employee's morale. Also, it improves in-depth customer knowledge and also higher customer satisfaction. With improved customer loyalty, banks will also have the clear information that what are their customers, what are their needs, and what will make them more satisfied.

Training Employees in CRM

Many banks have implemented training programs to train employees to recognize and effectively create strong customer-brand relationships. Employees have also been trained in Social psychology and the social sciences to help bolster strong customer relationships. Customer service representatives must be educated to value customer relationships, and trained to understand existing customer profiles. Even the finance and legal departments should understand how to manage and build relationships with customers.

Reviewing Processes and Designing New Processes

Banks that do not have well-designed and logical processes cannot be successful in achieving their goals. They should define their business goals and evaluate their CRM processes to improve and expand to fit their needs. Applying new technologies is also helpful because using CRM systems requires changes in infrastructure of the organization as well as deployment of new technologies such as business rules, databases and Information Technology.

LET US SUM UP

- Customer Relationship Management (CRM) is basically having a 360-degree view of the customers and their profile, dynamically tracking their requirements, offering matching products and services, cross selling relevant products to his changing needs and keeping him happy forever.
- The objectives of a good CRM are aimed at to build long term profitable relationships with specific customers through a better understanding of the customers in order to develop close relationships offer optimal products and services on a dynamic basis and achieve life time value from customers. This would be achieved by systematic and technology oriented processes and models.
- The purpose of CRM is to increase the share of wallet of the customer with the banks' services and increase the per-customer profitability of banks. Different stages are involved in CRM initiatives of banks. CRM is a useful tool for a more calibrated approach to customer segmentation and design and offer more relevant products and services for the targeted segments.
- Customer relationship management (CRM) is used to manage and analyse customer interactions and data throughout the customer lifecycle, with the goal of improving business relationships with customers, assisting in customer retention driving sales growth.
- CRM has emerged as a popular business strategy in today's competitive environment. It is a discipline that enables the banks to identify and target their most profitable customers. It involves new and advance marketing strategies that not only retain the existing customers but also acquire new customers. It has been found as a unique technique which can bring remarkable changes in total output of banks.

KEYWORDS

Customer Relationship Management; Operational Efficiencies; Delivery Channel Efficacy; Cross Selling; Customer Lifetime Value; Share of Wallet; Improving per customer profitability

CHECK YOUR PROGRESS

1. Why CRM?

- (a) Need to increase operational efficiencies and to derive more value from employees.
- (b) The increasing Competition in retail banking.
- (c) The increasing Importance of Fee Based Income.
- (d) Delivery Channel Efficacy and application of technology.
- (e) All the above.

2. Stages involved in a CRM initiative are _____.

- (a) Capturing the customers' profile and dissecting the profiles into common information buckets.
- (b) Designing suitable products and services to cater to the different information buckets.
- (c) Offering the products and services to the targeted and segmented customers from the information buckets, with the right pricing and providing the right sales and service processes to achieve total customer satisfaction.
- (d) Tracking the customer information on a dynamic basis to design new products and services.
- (e) All the above.

3. Benefits of CRM:

- (a) Improves the customer satisfaction and cross selling potential for the banks.
- (b) Helps the banks to derive increased share of wallet of the customer.
- (c) Helps to understand Customer Lifetime Value.
- (d) Helps to manage multi delivery channels in a better way.
- (e) All the above.

4. What does Customer Relationship Management (CRM) deal with in retail banking?

- (a) Storing client data and understanding the client's requirements.
- (b) Establishing close personal relationship with customers.
- (c) Keeping in touch with customers to ensure that their needs are understood.
- (d) Friendly behaviour with clients.
- (e) All the above.

ANSWERS TO CHECK YOUR PROGRESS

1. (e) 2. (e) 3. (e) 4. (e)



SERVICE STANDARDS FOR RETAIL BANKING

STRUCTURE

- 21.0 Objectives
- 21.1 Introduction
- 21.2 Members of BCSBI
- 21.3 Main Aims and Objects
- 21.4 Code of Banks' Commitment
- 21.5 Code of Banks Commitment to Micro and Small Enterprises
- 21.6 Function of BCSBI
- 21.7 Code Compliance Rating
- 21.8 Customer Grievances Handling Mechanism
- 21.9 General Information

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

21.0 OBJECTIVES

Upon going through the unit, you would be able to understand:

- The background & constitution of BCSBI
- Code of commitments to customers
- Code of commitments to Micro & Small Enterprises
- Some of the important commitments to customers under BCSBI, etc.

21.1 INTRODUCTION

In November 2003, RBI had constituted a committee on “Procedure & Performance Audit of Public Services” under the chairmanship of Shri S.S. Tarapore (Former Dy. Governor). The main objective of the committee was to address the issues relating to availability of adequate Banking Services to common people. The mandate to the Committee included identification of factors that inhibited the attainment of best customer services and suggesting steps to improve the quality of banking services to individual customers.

The Committee felt that in an effort to continuously upgrade the package of services that banks offered to their customers, there was a need for benchmarking of such services. After an in-depth study at the grass-roots level, the Committee concluded that there was an institutional gap for measuring the performance of banks against a bench mark reflecting the best practices (Code and Standards). Therefore, the Committee recommended setting up of the Banking Codes and Standards Board of India (BCSBI). Accordingly, the Banking Codes and Standards Board of India (BCSBI) was set up on 18th February 2006 as a collaborative effort of RBI and Banks. BCSBI is a voluntary Code which sets the minimum standards of banking practices for banks to follow when they are dealing with individual customers. The code does not replace or supersede regulatory or supervisory instructions of RBI and banks will comply with such instructions/directions issued by RBI from time to time.

BCSBI is not a forum for redressal of individual grievances.

As per Annual Report of RBI dated 25th August 2020, Reserve Bank of India (RBI) has decided to dissolve the Banking Codes and Standards Board of India (BCSBI). BCSBI was set up by the Reserve Bank in February 2006 as an independent and autonomous body, assigned to formulate codes of conduct to be adopted by banks voluntarily for ensuring fair treatment of customers. However, the Code has left its imprint in the customer service policies of the banks and hence, it is critical to have a fair understanding of the Code. The customer service policies of most of the banks are based on the guidelines designed as per the code.

21.2 MAIN AIMS AND OBJECTS OF FORMING BCSBI

- To plan, evolve, prepare, develop, promote and publish voluntary comprehensive Codes and Standards for banks, for providing for fair treatment to their customers.
- To function as an independent and autonomous watch dog to monitor and to ensure that the banking Codes and Standards voluntarily adopted by banks are adhered to, in true spirit by banks in delivering the services, as promised, to their customers.
- To conduct and undertake research of the Codes and Standards currently in vogue in and outside India.
- To enter into covenants with banks on observance of the codes and standards and for that purpose to train employees of such banks about the Banking Codes.

Other Aims and Objects

- To advertise and publish promotional literature in newspapers and otherwise about the Codes and Standards for the guidance and knowledge of the public through Web site, advertisements in the newspapers, magazines, journals, TV/Radio, hoardings or any other mode which the Society may deem fit.
- To take up specific assignments, if any, in the areas coming under the Society's objects as projects, turnkey solutions or on any other terms of contracts with in-house resources or with the participation of outside agencies in order to fully implement the Code.
- To organize teaching and training courses, conferences, seminars, lectures and similar other activities relating to the Codes and Standards or implementation of the said Codes and Standards.
- To publish journals, reports, pamphlets, books, booklets, research papers in furtherance of the objects of the Society.
- To maintain close contacts with Indian Banks Association, other similar institutions, Boards and organizations having similar objects or allied objects by way of subscription, enrolment as a member thereof, financial or other kind of assistance, collaboration, cooperation and in any manner as the Society may deem fit.
- To initiate, establish and participate in collaborative activities with other institutions/organizations having similar objects within and outside the country.
- To establish, acquire, maintain and manage facilities such as offices, other accommodation, library, computer centres, etc.

21.3 CODE OF BANKS' COMMITMENT

A comprehensive Bankers' Fair Practice Code prepared by an IBA Working group was used as a standard by BCSBI. This code would be a covenant between the BCSBI and the banks joining as members of the BCSBI. Through the covenant, the member banks bind themselves for implementing the Code and supervision by the Board.

BCSBI had brought out two codes, viz.,

1. Code of Bank's Commitment to Customers and
2. Code of Bank's Commitment to Micro and Small Enterprises'

The detailed codes are available at bank branches and also on the website of BCSBI.

Candidates are advised to go through the codes and be familiar with them. Code of Bank's Commitment to Customers January 2014 is available in 10 Regional languages other than in English and Hindi. Code of Bank's Commitment to Micro and Small Enterprises' is available in 11 Regional languages other than in English and Hindi.

The 'Code of Bank's Commitment to Customers' was released by Dr. Y.V. Reddy, Governor, Reserve Bank of India, in an inaugural function held at RBI on 1 July, 2006. The Code has been revised in August 2009, in 2014 and again in January 2018 in order to bring about greater transparency, further enhancements in banking practices relating to customer service, a more responsive grievance redressal system in banks and provide additional protection to customers.

This is a Code of Customer Rights, which sets minimum standards of banking practices member banks have to follow while they deal with individual customers. It provides protection to customers and explains how banks are expected to deal with customers in their day-to-day operations.

The Code does not replace or supersede regulatory or supervisory instructions of the Reserve Bank of India (RBI). Member Banks will comply with such instructions/directions issued by RBI from time to time. Provisions of the Code may have set higher standards than those prescribed in the regulatory instructions and such higher standards will prevail as the Code represents best practices voluntarily agreed to by the member banks as their commitment to customers.

Objectives of the Code

The Code had been developed to:

- a. Promote good and fair banking practices by setting minimum standards in member bank's dealings with customers;
- b. Increase transparency so that customers can have a better understanding of what they can reasonably expect from member banks;
- c. Encourage market forces, through competition, to achieve higher operating standards;
- d. Promote a fair and cordial relationship between customers and their banks;
- e. Foster confidence in the banking system;
- f. Promote safe and fair customer dealing in case of banking in a digitized environment;
- g. Increase awareness of customers and to enhance customer protection.

Application of the Code

This Code applied to all the products and services listed below, whether they are provided by member bank branches or agents acting on their behalf, whether across the counter, over the

phone, by post, through interactive electronic devices, on the internet or by any other method. However, all products discussed in the code may or may not be offered by the Member banks.

Products covered

- a. Current accounts, savings accounts, term deposits, recurring deposits, PPF accounts and all other deposit accounts;
- b. Payment services such as pension, payment orders, remittances by way of Demand Drafts, wire transfers and all electronic transactions e.g. RTGS, NEFT;
- c. Banking services related to Government transactions;
- d. Demat accounts, equity, Government bonds;
- e. Indian currency notes/coins exchange facility;
- f. Collection of cheques, safe custody services, safe deposit locker facility;
- g. Loans, overdrafts and guarantees;
- h. Foreign exchange services including money changing;
- i. Third party insurance and investment products marketed through bank branches and/or their authorised representatives or agents;
- j. Card products including credit cards, debits cards, ATM cards, smart cards and PoS services (including credit cards offered by subsidiaries of member banks/companies promoted by member banks);
- k. Digital products such as e-wallet, Mobile Banking, Internet Banking, UPI, BHIM, Aadhaar Pay.

Key commitments of member banks to customers

1. Right to Fair Treatment

Act fairly and reasonably in all banks' dealings with customers by:

- a. Providing minimum banking facilities of receipt and payment of cash/cheques, remittances, exchange of soiled notes, etc., at the bank's counter and also providing cashless transactions through alternate delivery channels.
- b. Meeting the commitments and standards set in this Code, for the products and services Member Banks offer, and in the procedures and practices they follow.
- c. Making sure Member Bank's products and services meet relevant laws and regulations in letter and spirit and are appropriate to customer needs and in line with the banking scenario, including digital banking.
- d. Ensuring that member banks dealings with customer rest on ethical principles of integrity and transparency.

- e. Offering digital banking and payment systems in a secure, convenient and robust technological environment.
- f. Not discriminating against customers on the basis of age, race, gender, marital status, religion, disability or financial status when offering and delivering bank's products and services.
- g. Promoting good and fair banking practices by setting minimum standards in all dealings with customers.
- h. Promoting a fair and equitable relationship with customers.
- i. Training bank's staff attending to customers adequately and appropriately and ensuring that bank's staff attends to customers promptly and courteously and to deal quickly and sympathetically with things that may go wrong by correcting mistakes and handling customer complaints expeditiously.

2. Right to Transparency, Fair and Honest Dealing

The member banks will help customer to understand how former's financial products and services work by:

- a. Giving the customers timely and adequate information about them and the necessary safeguards in any one or more of the following languages – Hindi, English or the appropriate local language.
- b. Ensuring that bank's advertising and promotional literature are clear and not misleading. The member banks will make every effort to ensure that the contracts or agreements they frame are transparent, easily understood by and well communicated to customers. The price of their products, the associated risks, the terms and conditions that govern use over the product's life cycle and mutual responsibilities will be clearly disclosed. The member banks will ensure that customers are not subjected to unfair business or marketing practices, coercive contractual terms, negative confirmations or misleading representations.

For achieving this, the member banks will be following the practices and procedures given in Unit 3 on Information Transparency and Unit 4 on Advertising, Marketing and Sales, of the Code of commitments January 2018.

- c. Ensuring that customers are given complete information about the member banks' products and services, minimum balance requirements, the interest rates and service charges, besides the terms and conditions applicable to customers in a transparent manner through the following methods as per the preference of the customers.
 - i. By sending SMS or e-mails
 - ii. Through electronic or print media
 - iii. Display on our website
 - iv. Display on branch notice board

[Display on website and branch notice board will be in addition to the other modes of information dissemination mentioned above.]

- d. Giving customers' information on the facilities provided to them and how they can avail of these and whom and how they may contact for addressing their queries.
- e. Displaying in the Member bank branch, for customer information.
 - i. Services banks provide.
 - ii. Minimum balance requirement, if any, for Savings Bank Accounts and Current Accounts and the charges for non-maintenance thereof.
 - iii. Information available in booklet form.
- f. Displaying on banks' website their policies on:
 - i. Deposits
 - ii. Cheque collection
 - iii. Grievance Redressal
 - iv. Compensation
 - v. Collection of Dues and Security Repossession
 - vi. Charter of Customer Rights
 - vii. Customer Protection Policy (including protection from cyber fraud)
 - viii. Limited Liability in respect of unauthorized electronic banking transactions
 - ix. Facilities for senior citizens and differently-abled persons.
- g. To increase awareness of the Code among customers the member banks will:
 - i. Provide customers with a copy of the Code when they open an account with the bank and otherwise on request.
 - ii. Make available this Code at banks' every branch and on their website.
 - iii. Ensure that their staff are trained to provide relevant information about the Code and to effectively put the Code into practice.
 - iv. Hold customer meetings on provisions of the Code periodically.

3. Right to Suitability

The member banks will offer their products appropriate to customer needs and based on an assessment of their financial circumstances and understanding as detailed in Unit 4 on Advertising, Marketing and Sales and Clause 8.18 on Third Party Products of Code of Bank's commitment to customers – January 2018.

4. Right to Privacy

The member banks will treat all the personal information of their customers as private and confidential subject to matters mentioned in Unit 5 on Privacy and Confidentiality of Code of Bank's commitment to customers – January 2018.

5. Right to Grievance Redressal and Compensation

The member banks will deal quickly and sympathetically with things that go wrong by:

- a. Correcting their mistakes promptly and cancelling any bank charges that they apply by mistake and compensate the customer for any financial loss customers may have incurred due to bank's mistake, in terms of the bank's compensation policy.
- b. Handling customer complaints promptly.
- c. Telling customers how to take their complaint forward if they are still not satisfied.
- d. Providing suitable alternative avenues to alleviate problems arising out of technological failures.
- e. The members will display in their branch for customer information.
 - i. Name of the official at the branch whom customer may approach if they have a grievance.
 - ii. Name and address of the Regional/Zonal Manager/Principal Nodal Officer (PNO) whom customer can approach if their grievance is not redressed at the branch.
 - iii. Name and contact details of the Banking Ombudsman under whose jurisdiction the branch falls. Integrated Banking Ombudsman Scheme 2021 has 'one nation one ombudsman' concept.

The Member banks will advise customers the internal procedures for redressing customer complaints including details of the Banking Ombudsman Scheme as explained in Unit 6 of the Code.

21.4 CODE OF BANK'S COMMITMENT TO MICRO AND SMALL ENTERPRISES

This code was brought out by BCSBI in May 2008 and sets minimum standards of banking practices for banks to follow when they are dealing with Micro and Small Enterprises (MSEs) as defined in the MSMED Act, 2006. The code had been revised in 2015. It provides protection to MSEs and explains how banks are expected to deal with them for their day to day operations and in times of financial difficulty.

Objectives of the Code

- a. To give a positive thrust to the MSE sector by providing easy access to efficient banking services.
- b. To promote good and fair banking practices by setting minimum standards in dealing with MSE customers.
- c. To increase transparency so that MSE can have a better understanding of what they can reasonably expect of the services.

- d. To improve member banks understanding of their business through effective communication.
- e. To encourage market forces, through competition, to achieve higher operating standards.
- f. To promote a fair and cordial relationship between MSE and member banks and also ensure timely and quick response to their banking needs.
- g. To foster confidence in the banking system.

Application of the Code

As defined in the MSMED Act, 2006, MSEs cover Micro and Small Enterprises engaged in the manufacturing or production or processing or preservation of goods and those engaged in providing or rendering of services.

Unless it says otherwise, this Code will apply to all the products and services listed below, under current regulatory instructions, whether they are provided by branches, subsidiaries, joint ventures or agents, across the counter, over the phone, by post, through interactive electronic devices, on the internet or by any other mode. However, all products discussed here may or may not be offered by member banks.

- a. Current accounts, term deposits, recurring deposits, and all other deposit accounts.
- b. Payment services such as payment orders, remittances by way of Demand Drafts and wire transfers, electronic transactions like Real Time Gross Settlement (RTGS), Electronic Funds Transfer (EFT), National Electronic Funds Transfer (NEFT) or any other mode.
- c. Banking services related to Government transactions.
- d. Demat accounts, equity, government bonds.
- e. Indian currency notes exchange facility.
- f. Collection of cheques/instruments, safe custody services.
- g. Loans and other credit facilities which include fund based such as cash credit, overdraft, cheque and bill purchase/discounting (both inland and foreign), negotiation under reserve of documents tendered under Letter of Credit (both inland and foreign) and non-fund based such as establishment of inland and/or foreign Letter of Credit (D/P or D/A), issuing of Guarantee (both inland and foreign), Inland or foreign bill or cheque for collection, Co-acceptance and validation of bills, buyer's credit, etc.
- h. Foreign Exchange Services as permitted under Foreign Exchange Management Act (FEMA)/ Reserve Bank of India's guidelines including money changing.
- i. Third party insurance and investment products marketed through our branches and/or our authorized representatives or agents.
- j. Card products like ATM/Debit/Credit cards, and services.
- k. Factoring services.
- l. Merchant Services.

21.5 CODE COMPLIANCE RATING

BCSBI had been monitoring, as part of its mandate, compliance with the Codes of “Bank’s Commitment to Customers” and “Bank’s Commitment to Micro & Small Enterprises” by carrying out survey of select branches of member banks for verifying implementation of the Codes by the banks. For this purpose, BCSBI’s authorized representatives collected information in a structured questionnaire on implementation of the Code provisions by visiting a sample of branches and Central Processing Centres (CPCs) of major banks both in semi-urban/rural and metro/urban category. Feedback from a few customers is also obtained to understand their experience with the Bank. The data/information so obtained during branch visits and feed back of customers is used for rating the member banks. BCSBI takes the technical assistance of rating agency CRISIL. BCSBI publish code compliance rating in public domain. This may enhance/diminish the image of the member bank. Therefore, the ratings trigger the member banks to improve their functions for a better rating.

The methodology adopted by BCSBI for rating the member banks was to convert the data obtained during branch visits and customer responses in to numerical score assigning different weightage out of 100 to the parameters. The parameters for rating along with the weightage for each parameter are as under:

Sr. No.	Group of parameters	Weightage
1.	Information dissemination	20
2.	Transparency	22
3.	Customer Centricity	30
4.	Grievance redressal	15
5.	Customer feedback	13
		100

(Source: <http://www.bcsbi.org.in/Pdf/BCSBICodeComplianceRatingFin2017.pdf>)

The categories of rating, based on the score so obtained and the scoring scale out of 100, is as under:

Scoring Scale – Out of 100	Rating category
85 and above	High
70 to less than 85	Above average
60 to less than 70	Average
Below 60	Below Average

(Source: <http://www.bcsbi.org.in/Pdf/BCSBICodeComplianceRatingFin2017.pdf>)

21.6 CUSTOMER GRIEVANCES HANDLING MECHANISM

- a. If a customer wants to make a complaint, the bank will help the customer and tell the customer a. How to do so, (ii) Where a complaint can be made (iii) To whom a complaint can be made (iv) When to expect a reply (v) Whom to approach for redressal (vi) What to do if you are not satisfied about the outcome.
- b. The Banks will display the name of the official at the branch whom customers may approach if they have a grievance. If the complaint is unresolved at the branch level, the branch will ensure to escalate it to the top most level of grievance redressal authority within the bank and give a final response within 30 days. The customer may approach our Regional/Zonal Manager/Principal Nodal Officer (PNO) at the address displayed at the branch, if so desire.
- c. If a written complaint is hand delivered, the bank shall immediately provide an acknowledgement and a “complaint reference number” will be separately sent by SMS on the registered mobile number. If a complaint is relayed over phone at bank’s designated telephone helpdesk or customer service number, the bank shall provide a complaint reference number and keep customer informed of the progress within a reasonable period of time.
- d. After examining the matter, the bank will send the final response or explain why the bank need more time to respond and shall endeavour to do so within 30 days of receipt of the complaint and will tell customer how to take their complaint further, if still not satisfied.
- e. Within 30 days of lodging a complaint with the bank, if the customer does not get response/satisfactory response and wish to pursue other avenues for redressal of grievances, they may approach Banking Ombudsman appointed by RBI under the Banking Ombudsman Scheme. The bank staff would explain the procedure in this regard.

Branch Level Customer Service Committee meetings

Member banks will display in their branches the date of monthly Branch Level Customer Service Committee meeting, which customer may attend, if so desire.

21.7 GENERAL INFORMATION

With the adoption of ‘Code of Bank’s Commitment to Customers’ by member banks, who were members of BCSBI, the following voluntary codes of IBA would not be applicable to them:

- a. Bankers’ Fair Practice Code – w.e.f. June 2004.
- b. Fair Practice Code for Credit Card Operations.
- c. Model Code for Collection of Dues and Repossession of Security.

However, member banks who are not members of BCSBI or eligible to become members of BCSBI would continue to follow these codes.

Whether a particular bank is a member or not can be ascertained by a customer from his bank. The information is also available on the website of the BCSBI and IBA and also made available on request.

The Reserve Bank has since set up CEPD (Consumer Education and Protection Department), issued the Charter of Customer Rights (CoCR), and considerably strengthened the Ombudsman mechanism to enhance consumer protection.

“It was, accordingly, decided to dissolve BCSBI, which is now in an advanced stage of completing its dissolution process,” the central bank said in its annual report dated 25 th Aug., 2020.”

Consumer Education and Protection Department (CEPD) acts as a single nodal point for receipt and disposal of all external complaints on deficiency of services provided by RBI and RBI related entities.

Major function of CPED

The major functions of CEPD include administering the Banking Ombudsman Scheme; and acting as a nodal department for erstwhile BCSBI. BCSBI, in collaboration with the Indian Banks' Association (IBA), had evolved two codes – Code of Bank's Commitment to Customers and the Code of Bank's Commitment to Micro and Small Enterprises – which set minimum standards of banking practices for member banks to follow when they are dealing with individual customers and micro and small enterprises.

All the three existing Ombudsman schemes – Banking Ombudsman Scheme, 2006; Ombudsman Scheme for NBFCs, 2018; and Ombudsman Scheme for Digital Transactions, 2019 have been integrated into one scheme, known as “Integrated Ombudsman Scheme 2021”.

Some of the salient features of the scheme are:

- i. It will no longer be necessary for a complainant to identify under which scheme she/ he should file complaint with the Ombudsman.
- ii. The Scheme defines ‘deficiency in service’ as the ground for filing a complaint, with a specified list of exclusions. Therefore, the complainant would no longer be rejected simply on account of “not covered under the scheme”.
- iii. The Scheme has done away with the jurisdiction of each ombudsman office.
- iv. A centralised Receipt and Processing Centre has been set up at RBI, Chandigarh for receipt and initial processing of physical and email complaints in any language.
- v. The responsibility of representing the Regulated Entity and furnishing information in respect of complaints filed by customers against the Entity would be that of the Principal Nodal Officer in the rank of a General Manager in a Public Sector Bank or equivalent.
- vi. The Regulated Entity will not have the right to appeal in case where an Award is issued by the ombudsman against it for not furnishing satisfactory and timely information/documents.
- vii. The Executive Director –in charge of Consumer Education and Protection Department of RBI would be Appellate Authority under the Scheme.

LET US SUM UP

- Banking Codes and Standards Board of India (BCSBI) prescribed the various compliance requirements for the promises made by the banks for offering services to retail banking customers and they have codified the promises into a document. This is a voluntary Code, which sets minimum standards of banking practices for banks to follow when they are dealing with individual customers.
- The Code does not replace or supersede regulatory or supervisory instructions of the Reserve Bank of India (RBI) and banks will comply with such instructions/directions issued by RBI from time to time. Provisions of the Code may set higher standards than what is indicated in the regulatory instructions and such higher standards will prevail as the Code represents best practices voluntarily agreed to by the Member banks as their commitment to customer. In the Code, ‘customer’ denotes the customer and ‘we’, the bank the customer deals with.
- The Code has been developed to:
 - a. Promote good and fair banking practices by setting minimum standards in dealing with customer.
 - b. Increase transparency so that customer can have a better understanding of what customer can reasonably expect of the services.
 - c. Encourage market forces, through competition, to achieve higher operating standards.
 - d. Promote a fair and cordial relationship between customer and customer’s bank.
 - e. Foster confidence in the banking system.
- As per Annual Report of RBI dated 25th August 2020, Reserve Bank of India (RBI) has decided to dissolve the Banking Codes and Standards Board of India (BCSBI). The Reserve Bank has since set up CEPD (Consumer Education and Protection Department), issued the Charter of Customer Rights (CoCR), and considerably strengthened the Ombudsman mechanism to enhance consumer protection. Consumer Education and Protection Department (CEPD) acts as a single nodal point for receipt and disposal of all external complaints on deficiency of services provided by RBI and RBI related entities.

KEYWORDS

Banking Codes; fair banking practices; minimum standards; transparency in services; confidence; cordial relationship

CHECK YOUR PROGRESS

1. What is the full form of BCSBI?
 - (a) Banking Codes and Standards Bank of India
 - (b) Banking Codes and Standards Board of India

- (c) Basic Customs and Standards Board of India
- (d) Basic Codes and Standards Bank of India
- 2. Which of the following fall under the purview of the BCSBI?
 - (a) Current accounts
 - (b) PPF accounts
 - (c) Non-resident accounts
 - (d) All of the above.
- 3. Banking Codes and Standards Board of India is aimed at the following
 - (a) Promote good and fair banking practices by setting minimum standards increase transparency in services.
 - (b) Encourage market forces, through competition, to achieve higher operating standards.
 - (c) Promote a fair and cordial relationship between the customer and their bank.
 - (d) All the above.
- 4. Commitments to customers under BCSBI cover _____.
 - (a) Savings Accounts
 - (b) Loan Accounts
 - (c) Remittances
 - (d) Credit Cards & Mobile Banking
 - (e) All the above.
- 5. Reserve Bank of India (RBI) has decided to dissolve the Banking Codes and Standards Board of India (BCSBI). Out of the followings, which will act as nodal department for BCSBI:
 - (a) Consumer Education and Protection Department (CEPD)
 - (b) Banking Ombudsman Scheme, 2006
 - (c) Ombudsman Scheme for NBFCs
 - (d) Ombudsman Scheme for Digital Transactions, 2019
- 6. The Integrated Ombudsman Scheme is applicable to:
 - (a) All Public Sector Banks
 - (b) All NBFC's
 - (c) All Commercial Bank
 - (d) All Regulated Entities

ANSWERS TO CHECK YOUR PROGRESS

1. (b) 2. (d) 3. (d) 4. (e) 5. (a) 6. (d)

UNIT 22

MARKETING INFORMATION SYSTEMS- A LONGITUDINAL ANALYSIS

STRUCTURE

- 22.0 Objectives
- 22.1 Introduction
- 22.2 Functions of MKIS
- 22.3 Components of MKIS
- 22.4 The MKIS Model
- 22.5 Observations
- 22.6 Usage of Computers in MKIS
- 22.7 Supports for Marketing Management
- 22.8 Supports for Marketing Mix Decisions
- 22.9 Use of Decision Models
- 22.10 Performance of MKIS
- 22.11 Recommendations
- 22.12 Advantages of MKIS

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

22.0 OBJECTIVES

After studying this unit, we shall be able to:

- Understand the concepts of Marketing Information System (MKIS)
- Appreciate the link between computer usage and marketing
- Evaluate the effective use of models as a tool of decision support systems
- Rationalize the performance of MKIS

22.1 INTRODUCTION

Any organization is studded with different Systems, Management Information System (MIS), Computer Information System (CIS), Marketing Information System (MKIS), all of which aid as a proactive tool for Decision Support System (DSS). In order to carry out marketing function effectively, firms would need information and data in respect of various aspects impacting the market of the product or service. Today, the problem is not of paucity of information but oversupply of information, but this information is not of the type that is required and neither of assured accuracy and it becomes all the more difficult owing to the ongoing activity and the dynamic nature of the market environment.

The marketing function of a business entity includes many activities. It is “the process of planning and executing the conception, pricing, promotion and distribution of ideas, goods and services, to create exchanges that satisfy individual and organizational objectives and systematic management of the process of collecting, evaluating and disseminating market information.”

According to Samuel Smith and others, “A marketing information system is an interacting, continuing future-oriented structure of people, equipment and procedures designed to generate and process an information flow, in order to aid managerial decision-making in a company’s marketing programme. In a nutshell, its main purpose is to satisfy customers, wants and needs, at a profit”. A successful organization must integrate its functional elements into a smoothly operating unit. In marketing, this integration is best achieved through the satisfaction of customer’s objectives. Firms that are unable to outperform their competitors in satisfying the customers are destined to fail. To be able to stay in business, a company must gather and analyse pertinent information to plan for its marketing actions.

Marketing information system (MKIS) has been the nerve centre of a marketing organization. To measure its strengths and weaknesses, one may use its overall status in industries as a yardstick to identify the progress of MKISs. Apparently, MKISs today are more sophisticated than before and its usage has increased. However, many companies are not utilizing the latest information technologies and many marketing managers are not satisfied with their MKISs. The study further discusses possible reasons for the progress and recommends several actions through which the companies may shape the future of their MKISs.

22.2 FUNCTIONS OF MKIS

Marketing information system is a tool for dealing with data pertaining to marketing management. Hence, its functions are related to the process of database management. The principal functions of MKIS are briefly discussed below:

- (a) **Collecting and assembling data:** Information needs to be collected on a continuous basis from numerous sources, both internal and external. For the information from internal sources, various reports or statements are designed (like sales report, accounts report), which periodically provide information covering the relevant operational aspects. For the information from external sources, the major part of information flow is from the secondary sources, including newspapers, trade journals, magazines, reports of market research agencies. Besides, some information is also procured from the primary sources like, consumers, suppliers, dealers and retailers.
- (b) **Processing of data:** Information collected from various sources is required to be classified, tabulated, and summarized for facilitating study and critical analysis.
- (c) **Analysing the data:** The collected information is evaluated to find out its accuracy and reliability. Further the information is processed using various statistical and operations research tools so that conclusions are drawn for decision-making.
- (d) **Storage of data:** The collected and processed data needs to be stored in a manner that ensures its preservation, and its ready availability for reference as and when required.
- (e) **Dissemination of information:** The information has to reach the decision-makers for solving marketing problems and take management decisions.

22.3 COMPONENTS OF MKIS

MKIS consists of four subsystems, which facilitate the entire system. These are:

- (a) Internal records system
- (b) Market intelligence system
- (c) Marketing research system
- (d) Marketing management and science system

Let us briefly discuss the first three mentioned subsystems. The functions of these subsystems are carried out in every organization in one way or other.

- (a) **Internal Marketing Information:** The information available from the internal sources is covered by this component. It typically includes data on sales turnover, cost, cash flows, accounts receivable, etc. The reports of salesmen on their sales calls contain valuable information

relating to company's sales, consumer behaviour, likes, dislikes and competitors. Certain types of internal data can be available almost on real-time basis. For example, Walmart the US retail giant tracks the stock levels on a daily basis and the replenishment orders are sent to its vendors by the computers. A fully networked bank will know the amounts of aggregate deposits and advances at the end of the day. Firms need to maintain several databases, data from which can be combined for specific purposes.

- (b) **Marketing Intelligence System:** This component covers information from external sources regarding happenings. The information about developments in marketing environment and changing consumption patterns of the market is provided by these sources. For this, the major source is the published information available through the newspapers, magazines, television, trade journals, etc. Annual reports of trade associations, chambers of commerce, the leading firms in the industry or trade, etc., include information on market trends. Various research organizations like Central Statistical Organization, National Council of Applied Economics and Research, Thompson consumer Index of Market, etc., are other important sources. Various intermediaries and players in the market, like selling agents, brokers, dealers and suppliers have valuable information relating to market and product trend. There are professional market research agencies like ORG, MARG, IMRB, etc., who can render services of collecting and providing specific information.
- (c) **Marketing Research System:** Marketing research system concerns with obtaining information pertaining to specific marketing problems. It is useful for solving present marketing problems related to consumer behaviour, consumer likes and wants, channels of distribution, competition, product development, packaging, etc. Normally, data for market research is collected specifically for the exercise at hand and techniques like field surveys, consumer interview, dealer survey, etc., are employed for this purpose. Based on analysis of the relevant data, conclusions are drawn and suggestions made for the solutions to the problem.

A good MKIS should satisfy certain basic requirements which are shown below:

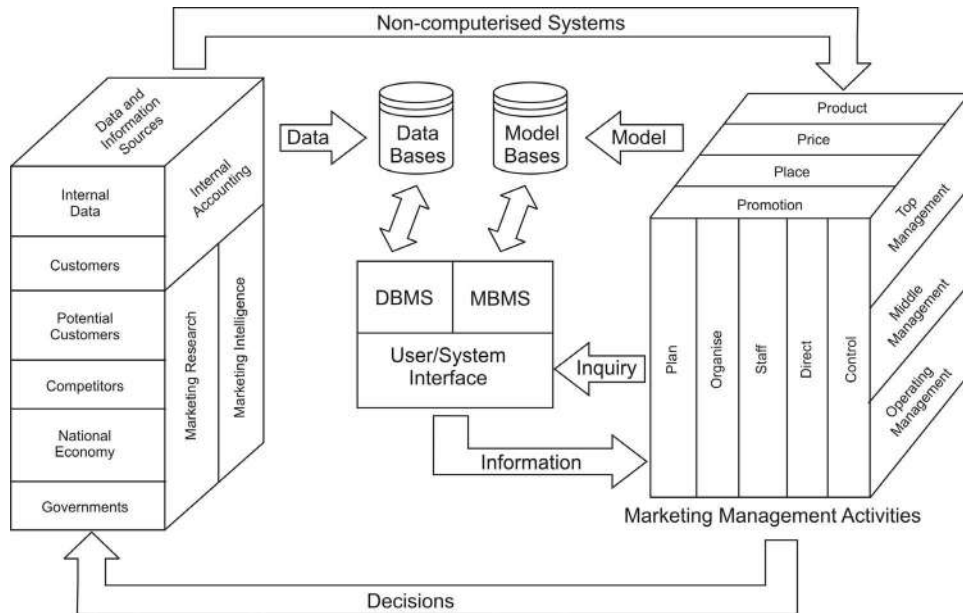
- Unified and centralised system
 - Support system to marketing decision-makers
 - Matching with the level of progress of the organization
 - Cost-effective in maintaining
 - Selective in information processing
 - Provide information regularly and quickly
- (d) **Marketing Management and Science System:** This combines the effect of the above components, use of the computerized data to the best advantage in the various sectors, in meeting the needs of MKIS, viz., complex marketing activity, knowledge/information explosion, and bridges the communication gap, by taking a prompt decision, making use of the competitive advantage.

22.4 THE MKIS MODEL

In the 1960s, an MKIS was merely an outgrowth of marketing research. As competition became increasingly intense, the gathering and management of marketing information became important. The data needed to make informed decisions exceeded the physical processing capabilities of most firms. More and more businesses began to establish MKISs. Typically, a marketing manager uses them to learn about the needs of the marketplace for new or improved products and services. The MKIS makes it possible for a firm to react rapidly to the customer needs. Once the product or service has been provided, the marketing manager may use the MKIS to determine how well the needs are being satisfied. The MKIS provides managers with marketplace information and this may be used to modify, improve, or delete products and services. If a company does not have an MKIS, its efficiency and effectiveness are likely to be severely degraded, weakening its competitive edge. Therefore, to be able to compete today, business organizations must have an MKIS. To gain a perspective of MKISs, researchers have conducted survey studies in 1000 US companies.

In retrospect, the very first descriptive model of MKIS proposed almost thirty years ago may be attributed to Philip Kotler in the industry. In fact, an MKIS is like a decision support system (DSS): it is generally unique to the company it serves.

For the purpose of this study, the MKIS model of McLeod and Rogers is shown in Figure 1. In this, there are two general subsystems which are fairly consistent with the others: they are the input and output subsystems. The input subsystems are internal accounting, marketing intelligence, and marketing research. They gather internal and environmental data for the databases. The output subsystems utilize the databases to produce marketing management information. Marketing managers will not only receive routine reports but enquires are also made interactively to produce ad hoc reports. Through this information, marketing managers can make their decisions on pricing, products, advertising/promotion, distribution and packaging, under the constraints imposed by economics, the government, competitors and the customer needs. This process should be integrated into organizational strategies and decision-making processes to support all levels of marketing functions – planning, organizing, staffing, directing and controlling.



(Source: *Information & Management*, 28(1), 1995, 13 – 31)

Figure 22.1 Framework of a Marketing Information System

22.5 OBSERVATIONS

Any business should process some marketing-related information (e.g. customer addresses, sales orders, merchandise returns, etc.). As McLeod and Rogers suggested, the perceived MKIS support might be of such a low level that it did not seem to exist, which resulted in losing its identity. Alternatively, managers might rely on external MKIS services for marketing information. For the purpose of this study, the companies having no MKISs are excluded from further analyses.

22.6 USAGE OF COMPUTERS IN MKIS

The majority of the companies that had MKISs also had company-wide computer information systems (CISs). Of the companies with CISs, two-thirds had formal written company-wide CIS plans, while for some, their CIS plans were influenced by marketing strategies. In addition, most had formal written marketing plans.

Hardware Usage: MKISs are more useful, when computer assisted; for the breakdown. Interestingly enough, little use is made of supercomputers.

Software Usage: There were three main categories of corporate-wide software (i.e. decision modelling and spreadsheets; conventional programming and database management). Apparently, expert systems and artificial intelligence languages are not meeting their assured demand.

Frequency of Computer Usage: The respondents are able to access personal computers (PCs) or terminals in their job functions. Many use PCs or terminals on a daily basis.

Purposes of Computer Usage: Earlier, the major use of computers was to retrieve data. When asked what they first considered useful in their marketing information systems, statistics reveal that 31 per cent of the results were “reports,” with 23 per cent “different managers’ information needs,” and 18 per cent “data/file retrieval”. Obviously, marketing managers focus on their means (the information) and not their ends (the needs).

Communications of Information: Communications between branches and their main office are of vital importance to the success of a marketing organization. Traditionally, these communications were through the phone (or voice mail). Other communication channels included electronic mail (68 per cent) and electronic bulletin boards (26 per cent). The use of computer conferences (9 per cent) and video conferences (10 per cent) was limited. Surprisingly, none of the firms utilized any hypertext or hypermedia technology for their inter-branch conferences. Moreover, many of these firms routinely routed marketing intelligence information to those managers with a need to know.

Sources of Information: Internal accounting was regarded as the most important source of MKIS information. This is a good sign for customers, since marketing research is, primarily, designed to identify market demands and preferences. This seems to confirm the reviving interest of customer-driven programmes.

Information Content: The environmental data maintained in the MIKS shows that most (93 per cent) customer data were computerized. With regard to pre-processed information, such as sales forecasts, distribution trends, market share, inventory statistics, etc., companies can make them available to managers on a real-time basis. Companies can have the economic-trend estimates included in their marketing forecasts. Many firms use corporate annual reports, sales call reports, purchase reports and clipping services as the source of their competitor information. Nonetheless, most of these were not computerized.

22.7 SUPPORTS FOR MARKETING MANAGEMENT

Initially, MKISs were mostly supporting middle-level management. However, more companies thought that low-level management were receiving more MKIS support than the top-level. The distribution has changed significantly. Regarding management functions, planning and controlling were the two areas receiving the most support from the MKIS – sequence: planning, controlling, directing, organizing and staffing. On the positive side, MKIS had attracted more marketing managers to use the system for planning, but on the negative side, marketing managers may have focused too much on planning and too little on implementation and controls.

22.8 SUPPORTS FOR MARKETING MIX DECISIONS

A marketing program typically involves decisions on the marketing mix ingredients: product, price, place and promotion. Earlier, product-related decisions were receiving the most MKIS support. Later, support for price-related decisions took a small lead ahead of that for product related ones. Also, product and promotion related decisions have significantly changed. MKIS supports marketing mix decisions on a more balanced basis.

22.9 USE OF DECISION MODELS

There are several decision models available to a marketing manager. Most of them were developed to aid in price and product decisions. Furthermore, the use of models had shown various levels of increase in less-structured tasks such as product deletion, advertising media selection, salesperson assignment and delivery routing. One particular task, selection of advertising media had more than doubled in its use. On the contrary, the well-structured tasks such as computing economic order quantities, determining reorder points and approving customer credit had shown significant decreases in model use. The decision models, most likely to be computer-assisted, are for formulating pricing strategy, computing operating budget, evaluating new products and deleting products.

22.10 PERFORMANCE OF MKIS

MKIS is a group of subsystems – some gather data and others process it. The data gathering subsystems are; marketing research, marketing intelligence, an internal accounting. The processing subsystems produce information about the product, price, distribution and promotion. It can also be stated as a group of subsystems that gather information from the environment and use it to help the manager answer certain basic questions. MKIS also serves as a data bank that stores data from the environment and makes that data available to a set of computer programs. Only few managers thought that the MKIS was “a group of subsystems – each representing an area of marketing activity – product, price, distribution channels and promotion.” The subsystems help the manager formulate and execute marketing programmes.

22.11 RECOMMENDATIONS

The specific patterns of MKIS usage includes:

1. Computers are needed by marketing managers, for retrieving data and then storing and processing it.
2. Internal accounting continues to be the most important source of MKIS information while the use of marketing intelligence and marketing research, as information sources, are more balanced.

3. Most companies collect data about their customers. Collection of data about competitors and prospective customers is also popular, but this is less computerized.
4. The major users of MKIS are the middle-level managers.
5. Planning and controlling are still the management functions using most MKIS support.
6. Price and product related decisions consume most of the MKIS resources. However, support for marketing mix ingredients is likely to become more balanced.
7. Decision models are used mostly for product and price decisions. Computer assisted decision models reflect this.
8. The computer software, being used in an MKIS, includes modelling/spreadsheets, conventional/ third-generation programming languages and database management systems. Statistical analysis software, logic programming languages and expert system shells are not used very much.

22.12 ADVANTAGES OF MKIS

MKIS gives several advantages in managing information for marketing function. Some of these are discussed:

- The MKIS framework provides a set of procedures and methods for regular, planned, purpose-oriented and systematic collection of data, its analysis, storage and retrieval.
- It helps in improving the data capture process, checks for reliability, consistency and quality of data.
- The operation of collecting, processing and transmitting data becomes smooth and the information flow to the decision-makers takes place in a ready for decision form.
- Provides tailor made information for specific needs.
- It facilitates repetitive use of the same information for different purposes.
- It also helps in sorting out conflicting information, which otherwise would lead to confusion and misdirect the decisions.
- It results in integration of information obtained from various sources regarding different aspects. It also helps in providing instant access to company wide information and cross-sharing of data, enabling better service to the customer.
- It creates customer insights from routine transactional data. This helps in developing and delivering customer-oriented offers and building of better customer relations.
- It serves as a total knowledge-management mechanism. It supports capture of knowledge, makes the knowledge flow where it is required and ensures its availability in readily usable form.

Although many of the surveyed companies have sophisticated CISs and MKISs, most of them are limited in nature. There seems to be a deficiency in computerizing information about

governments, economy, competitors and prospects across companies. Such information cannot be used effectively if it is not computerized. It cannot be communicated between branches and the main office efficiently. In today's global marketplace, the success of a company does not depend on how much the company uses latest technologies but on how well it can gather, manage and utilize pertinent information and integrate it into the marketing managers' decision-making processes. To achieve a successful MKIS, implementing new information technologies is not enough. It is necessary to focus more on the information needs of marketing managers to balance the MKIS support for all management functions and to integrate business plans with CIS plans in order to exploit the available information resources. This will probably create a competitive advantage for the company and, in turn, increase the level of satisfaction perceived by the managers.

LET US SUM UP

The marketing functions require, on a continuous basis, relevant information about various aspects, including the marketing environment, the consumers, the competitors, various intermediaries and the firm's market position. For collecting, collating, evaluating, analysing, storing and disseminating the required information, a marketing information system is required, which is well-coordinated, computer_based master plan for managing the flow of information analysed, using the analytical tools. The need for MKIS has become more acute due to the increased complexity of marketing activity, information explosion need to bridge the communication gap between the producer and the consumer as also several intermediaries and the importance of prompt decisions to ensure an effective marketing endeavour. MIS encompasses the information on market forces, the information on the firm's market behaviour and the internal information of the firm. To be effective, MIS comprises four component subsystems namely internal records system, marketing intelligence, marketing research and marketing management and science system.

A good MIS is a unified and centralised system, which is selective in information processing and provides information regularly and quickly. It helps in systematizing the information processing and integrating the information obtained from various sources, validating its accuracy and consistency. It provides tailor_made information to the decision-makers to meet their specific requirements.

KEYWORDS

Marketing Information Systems, Marketing Functions, Marketing Activities, Information Explosion, Marketing Management, Computer Usage, Decision Support, Information Technologies, Competitive Advantage.

CHECK YOUR PROGRESS**I. Choose the correct alternative for the following statements.**

- (a) Firms need to collect and analyse the data pertaining to marketing for _____.
 - (i) Projecting their organization as knowledge-oriented
 - (ii) Enabling the top management to keep control over the sales force
 - (iii) Taking the required steps for effective marketing of their products
 - (iv) For utilizing their information technology capabilities
- (b) An effective MIS fulfils these: _____.
 - (i) Analysis of quantitative information
 - (ii) Coordination among functional and specialists executives
 - (iii) Limited to the current scenario
 - (iv) Both (i) and (ii) above
- (c) The components of Marketing Information System do not include _____.
 - (i) Marketing intelligence system
 - (ii) Internal records system
 - (iii) Information technology system
 - (iv) None of above
- (d) The ultimate users of the Marketing Information System are _____.
 - (i) The customers of the firm
 - (ii) The competitors of the firm
 - (iii) The decision-makers in the firm
 - (iv) Both (i) and (ii) above
- (e) Which of the following situation falls under the purview of Marketing Research System?
 - (i) Riddhi Vriddhi Bank wants to send Diwali greeting cards to all its fixed deposit account holders with deposits of ₹10,000 or more.
 - (ii) Money Honey Bank wants to have a profile of Kalahandi District to decide about opening a new branch there.
 - (iii) Get Rich Fast Bank wants some comparative business statistics with other ten peer level banks in the country.
 - (iv) Baroda branch of Prosperous Customer Bank is twelve-year-old and it recorded a compounded annual growth rate of 20 per cent in deposits during the first ten years, which has been better than the industry average. However, during the last two years the branch has witnessed a significant decline in its deposits. Managing director of the bank desires to know the causes for this reversal in the business trend and suggestions for ameliorating the situation
- (f) The purpose of computer usage in MKIS is primarily to:
 - (i) Generate reports
 - (ii) To meet specific user needs
 - (iii) Retrieval of data
 - (iv) For day to day operations

II. State whether the following statements are True or False.

- (a) Marketing information system is not concerned with the evaluation of information collected from either primary sources or secondary sources.
- (b) The marketing information requirements of a firm are very limited and for one-time need.
- (c) Marketing information system collects and analyses the information as per the system initially prescribed and is not concerned with the type of information required by management.
- (d) Typically, most of the information for the marketing information system is collected from secondary sources.
- (e) Consumer is of no relevance for the marketing information system, since almost entire information is collected from independent sources

III. Match the following items between column “A” and column “B”

A	B
(a) Marketing Research System	(i) Major source – published information
(b) Marketing Intelligence System	(ii) Database management
(c) Marketing Information System	(iii) Business information about customers
(d) Customer database	(iv) Data collected specifically
(e) Data analysis	(v) Geographic, demographic, psychographic, and behavioural data on customers and prospects
	(vi) Conducting research for new theories in marketing
	(vii) Adopting detective or intelligence gathering technique on competitors
	(viii) Operations research tools

IV. State if True or False:

1. Super computers are used in MKIS.
2. Inter branch communication makes use of hypertext/hypermedia technologies.
3. MKIS deals with integration of organization strategies and decision-making process

ANSWERS TO CHECK YOUR PROGRESS

- I. (a) (iii), (b) (iv), (c) (iii), (d) (iii), (e) (iv), (f) (i).
- II. (a) False, (b) False, (c) False, (d) True, (e) False.
- III. (a) (iv), (b) (ii), (c) (i), (d) (v), e (viii).
- IV. 1. False, 2. False, 3. True

MODULE – D

WEALTH MANAGEMENT

Unit 23. Importance of Wealth Management

Unit 24. Investment Management

Unit 25. Tax Planning

Unit 26. Other Financial Services Provided by Banks



IMPORTANCE OF WEALTH MANAGEMENT

STRUCTURE

- 23.0 Objectives
- 23.1 Wealth Management- An Introduction
- 23.2 Wealth Management – Broad View
- 23.3 Wealth Management Business Structures
- 23.4 Wealth management process
- 23.5 Wealth Management Products and Services
- 23.6 Alternative asset
- 23.7 Bond
- 23.8 Insurance
- 23.9 Mutual fund
- 23.10 Real estate Service
- 23.11 Retirement Planning
- 23.12 Strategic Business Strategy
- 23.13 Will Writing
- 23.14 Private Wealth Management
- 23.15 Personal Financial Planning
- 23.16 Wealth Management Assessment
- 23.17 Private Banking
- 23.18 Benefits of Wealth management
- 23.19 Importance of Wealth Management

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

23.0 OBJECTIVES

The main objectives of this unit are to understand:

- What is Wealth Management
- Wealth Management Business Structures
- Wealth Management Products and Services
- Private Wealth Management
- Wealth Management Assessment
- Private Banking
- Benefits and Importance of Wealth Management

23.1 WEALTH MANAGEMENT- AN INTRODUCTION

Wealth management is an investment advisory service that combines other financial services to address the needs of affluent clients. Using a consultative process, the advisor gleans information about the client's wants and specific situation, then tailors a personalized strategy that uses a range of financial products and services.

A professional service provided by wealth managers which includes investment planning, accounting, tax planning, estate planning or retirement planning, portfolio and financial services management provided to business owners or a corporate or an individual for one set fee is called wealth management. When this professional services are provided at international level to businesses or an organization, such wealth management services are termed as global wealth management.

Often, a holistic approach is taken within wealth management. To meet the complex needs of a client, a broad range of services such as investment advice, estate planning, accounting, retirement, and tax services may be provided. While fee structures vary across comprehensive wealth management services, typically, fees are based on a client's assets under management (AUM).

In brief Wealth Management Services can be summarized in three stages,

- Wealth management is an investment advisory service that combines other financial services to address the needs of affluent clients.
- A wealth management advisor is a high-level professional who manages an affluent client's wealth holistically, typically for one set fee.
- This service is usually appropriate for wealthy individuals with a broad array of diverse needs.

23.2 WEALTH MANAGEMENT – BROAD VIEW

Wealth management is not just investment advice rather more than that. It can encompass all parts of a person's financial life. Instead of attempting to integrate pieces of advice and various

products from multiple professionals, high net worth individuals may be more likely to benefit from an integrated approach. In this method, a wealth manager coordinates the services needed to manage their clients' assets, along with creating a strategic plan for their current and future needs—whether it is will and trust services or business succession plans.

Many wealth managers can provide services in any aspect of the financial field, but some choose to specialize in particular areas, such as cross-border wealth management. This may be based on the expertise of a specific wealth manager, or the primary focus of the business within which the wealth manager operates.

In certain instances, a wealth management advisor may have to coordinate input from outside financial experts, as well as the client's own service professionals (for example, an attorney or accountant) to craft the optimal strategy to benefit the client. Some wealth managers also provide banking services or advice on philanthropic activities.

Wealth management is not only about investments and savings. It is far more wider term that encompasses all the aspects of a person's and the family's financial life.

Over the period of one's life wealth plays different role and hence, it is extremely important to plan all this in advance and be prepared for the future. It is the duty of wealth manager consider to make this whole process a simple and easy to understand service for you.

Following are some of the important aspects of wealth management:

- **Understanding Investment needs:** Clarity of the investment needs should be of the utmost priority to set the direction.
- **Products and Services:** Knowing the right products and services suitable for you will enable you to take the right decision to achieve your financial goal.
- **Advisory Services:** Involving the professionals will enable you to take advantage of their professional experience and expertise.
- **Estate Planning:** Estate Planning is also a very essential part of your wealth management as it ensures and preserves wealth for a longer term.

23.3 WEALTH MANAGEMENT BUSINESS STRUCTURES

Generally speaking, wealth management offices have a team of experts and professionals available to provide advice across different fields. For instance, let us consider a client who has ₹200/- crores in investable assets—in addition to a trust for their grandchildren—and a partner who has recently passed away. A wealth management firm would not only invest these funds in a discretionary account but also provide will and trust services required for tax minimization and estate planning.

Wealth management advisors in the direct employ of an investment firm may have more knowledge in the area of investment strategy, while those who work for a large bank may focus

on the management of trusts and available credit options, overall estate planning, or insurance options. In short, expertise may vary across different firms.

Wealth Management Professionals who are daily dealing with various investment options have much better knowledge of investment, market strategies or portfolio management than any other. They offer best wealth management options to their clients and in return they charge for their wealth management services.

The wealth manager starts by developing a plan that will maintain and increase a client's wealth based on their financial situation, goals, and risk tolerance. Importantly, each part of a client's financial picture, whether it is tax planning or wills and estates, are coordinated together to protect the wealth of the client. This may coincide with financial projections and retirement planning.

After the original plan is developed, the manager meets regularly with clients to update goals, review, and rebalance the financial portfolio. At the same time, they may investigate whether additional services are needed, with the ultimate goal being to remain in the client's service throughout their life.

23.4 WEALTH MANAGEMENT PROCESS

Wealth Management process involves the following steps:

- Assessing the current financial situation of the client.
- Identifying financial goals.
- Designing a customized solution to achieve the goals.
- Implementing the financial strategies into the plan.
- Monitoring the results and reviewing the plans.

Wealth management provides direct and dynamic Customer Services. Wealth management deals in Asset Allocation Management, Tactical Management, and Diversified Management.

- **Asset Allocation management:** The Asset allocation management is an investment advisory fully dedicated to managing investment portfolios with the only focus on initiating the income generation. It aims to balance the risk by moving among investment categories.
- **Tactical Management:** Tactical management helps in selecting the appropriate ways to achieve financial strategies by choosing the best alternatives and tactics.
- **Diversified Management:** Diversifier management team help its clients in providing a flexible model which helps in meeting the need of the client.

23.5 WEALTH MANAGEMENT PRODUCTS AND SERVICES

There are so many wealth products and services in the market. Traditionally, customers have been investing large amount of money in bank deposits owing to convenience and safety. However,

we shall discuss here a few important and common products and services which are generally offered by wealth management professionals.

- Alternative Asset
- Bonds, Corporate Fixed Deposits, Fixed Maturity Plan & Debentures
- Insurance
- Mutual Funds
- Systematic Investment Plan
- Portfolio Management Services
- Real Estate Services
- Retirement planning
- Strategic Business Strategy
- Will Writing

23.6 ALTERNATIVE ASSET

It is any non-traditional asset with potential economic value that would not be found in a standard investment portfolio. Due to the unconventional nature of alternative assets, valuation of some of these assets can be difficult for most people, examples of alternative assets would include:

- Art and Antiques
- Precious Metals
- Fine Wines
- Rare Stamps
- Coins
- Sports Cards
- Other Collectibles

23.7 BOND

Bonds are fixed-income instruments derived from a loan forwarded by an investor to a borrower. In case of a bond, the issuer promises to pay a specific interest for the life of the bond and the principal amount or the face value at maturity to the investor. Bonds are generally issued by governments, corporations, municipalities and other sovereign bodies. Just like securities, bonds are tradeable.

Bond Market and Types

The market for trading debt securities like government bonds, corporate bonds and tax-free bonds is known as a bond market. A bond market is not as volatile like an equity market and is more

suitable for investors with lower risk tolerance. Investing in bond markets is an efficient and safe way to diversify one's portfolio. The major role of a bond market is to help the government and large private entities access long-term capital.

There are various types of bonds markets depending on the type of bond and the type of buyers. On the basis of buyers, bond markets are of two types – primary market and secondary market. In case of primary market, the original bond issuer directly sells new debt securities to investors whereas the bonds bought in the primary market are further traded in the secondary market.

Types of Bonds:

1. Convertible bond

A convertible bond gives the purchaser a right or an obligation to convert the bond into shares of the issuing company. The quantum of shares and the value of the shares are usually predetermined by the issuing company. However, an investor can convert the bond into stock only at certain specified times during the bond's tenure. It features a fixed tenure and pays out interest payments periodically at predetermined intervals.

Convertible bonds can be further classified as:

Regular convertible bonds - Regular convertible bonds come with a fixed maturity date and a predetermined conversion price but they give the investor merely the right, and not an obligation, to convert. Companies generally prefer to issue these types of convertible bonds to the public.

Mandatory convertible bonds - Unlike regular convertible bonds, these bonds obligate the investor to convert them into equity shares of the issuing company upon maturity. Since investors are essentially forced to convert their bonds, companies usually offer a higher rate of interest on mandatory convertible bonds.

Reverse convertible bonds - With reverse convertible bonds, the issuing company holds the right to convert them into equity shares upon maturity at a predetermined conversion price.

2. Government Bonds

Bonds are issued by the Central as well as state governments of the country in order to tide its liquidity crisis which can be used to develop infrastructure. Serving as long-term investment tools they can be issued for periods that range from 5 to 40 years.

Government bonds form a bulk of the Indian bond market. Government bonds generally offer stable returns and are considered extremely safe as they are guaranteed by the Indian government. The interest rate on G-sec varies between 7% and 10%.

G-Secs are available not just large investors ranging from companies to commercial banks, but also individual investors and cooperative banks.

Types of Government Bonds

Fixed-rate bonds – The interest rate applicable on these government bonds is fixed for the entire tenure of the investment regardless of fluctuating market rates. The lock-in period for

such bonds is usually one to five years.

For example, 6.5% GOI 2024 implies a rate of interest applicable on the face value amounting to 6.5%, with the government of India being the issuer and the year of maturity being 2024.

However, premature withdrawal of bonds can lead to penalties for investors. Also, due to the year-on-year rise of inflation, the higher the bond term, the more it runs the risk of reducing bond value.

Floating rate bonds (FRBs) – These bonds have variable interest rates based on periodic changes experienced by the rate of returns. The intervals within which these changes occur are made clear prior to the bonds being issued. These bonds can also exist with the rate of interest being split into a base rate and a fixed spread. This spread is determined via auction and remains stable right up to maturity.

There are a few essential things to be considered in floating rate bonds: the benchmark rate, the spread, the amount of shift in rate over and above the benchmark rate, and reset frequency at which period one is going to reset the benchmark.

Floating rate bonds help to mitigate interest rate risk to a great extent as a high floating rate means high returns. So, the best time to buy such bonds is when their rates are low and are expected to increase. The change in the interest rate is heavily dependent on the performance of the benchmark rates.

Sovereign Gold Bonds (SGBs) – Under this scheme, entities are allowed to invest in digitized forms of gold for an extended period of time without having to avail of gold in its physical form. Interest generated via these bonds is tax-free. Ordinarily, the nominal value of an SGB is arrived at by calculating the simple average of the closing price of gold that has a purity level of 99 percent three days prior to the issuance of the bond in question. There exists limits that are imposed on what amount of SGB an individual entity may hold. Liquidity of SGBs is possible following a period of 5 years. Redemption, however, is only possible based on the date of interest disbursement.

Inflation-Indexed Bonds – the principal and interest earned on such bonds are in accordance with the inflation. Ordinarily, these bonds are issued for retail investors and are indexed in accordance with the consumer price index (or CPI) or wholesale price index (or WPI).

7.75% GOI Savings Bond – This government security was launched in 2018 in order to replace the 8% savings bond. The interest rate applicable here is 7.75%. The RBI stipulates that these bonds can be in the possession of individual(s) who aren't NRIs, minors, or are a Hindu undivided family. Interest earned via these bonds is taxable as per the Income Tax Act of 1961 keeping in mind an investor's income tax slab. Bonds are issued for a minimum amount of INR 1000 and in multiples of INR 1000 as well.

Bonds with Call or Put Option – Issuers are entitled to buy back such bonds via a call option or the investor has the right to sell the same with the put option to the issuer.

Zero-Coupon Bonds – These bonds don't earn interest. Instead, investors accrue returns via the difference that exists between the issuance price and the redemption value. They aren't issued via auction but are created via existing securities.

3. Municipal Bonds

Municipal bonds are debt instruments that are issued on behalf of municipal corporations or bodies associated with them across the country aimed at socio-economic development. Municipal bonds can be purchased with a maturity period that amounts to three years.

Types of Municipal Bonds in India

General Obligation Bonds – These bonds generate finance for various projects in general and therefore their repayments are made from the general revenues of the municipality.

Revenue Bonds – These bonds are focused on generating funds for specified projects and the repayment and interest issued to bondholders are processed via revenue explicitly generated via the projects declared in the bonds. They have extended maturity periods of upto 30 years and higher returns than GO bonds.

4. Retail bonds

A retail bond offering allows a company to raise additional capital by borrowing at a fixed rate from an investor for a specific length of time. Companies typically issue retail bonds to expand their business, pay off debt, or fund a specific project, as with any capital raising. Retail bonds are typically listed and can thus be bought and sold during regular market hours, allowing investors more flexibility.

23.8 INSURANCE

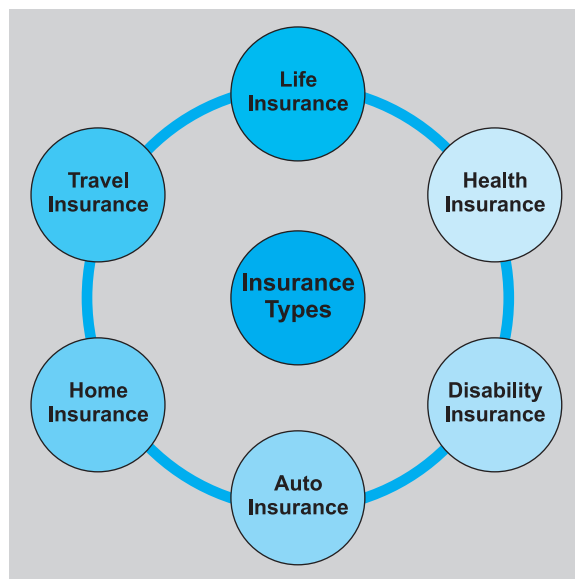
Protecting or safeguarding loss is done through Insurance. Insurance is a policy representing a contract in which an individual or entity receives financial protection from the insurance company against any losses. An insurer, or insurance carrier, is a company selling the insurance; the insured, or policyholder, is the person or entity buying the insurance policy. The amount of money to be charged for a certain amount of insurance coverage is called the premium. The insured receives a contract, called the insurance policy, which details the conditions and circumstances under which the insured will be financially compensated. It is a type of risk protection and wealth management strategy as a part of financial planning for an individual or an organisation. In insurance policy insurer can cover cost of potential loss in exchange by paying insuring company nominal amount every year as a premium.

Individuals, corporate or any other groups can safeguard their risk against any critical misfortunes at the reasonable rate known as premium. Mostly risk covers are required where huge amount or high risk is involved in it.

Example of Insurance Policy

Protection is necessary when an entity need to ensure against some high risk losses. Let us take an insurance policy example to understand better. Consider a person who is the sole income earning person for the family. There will be a loss of income which family would encounter as a consequence of an unexpected premature death. It would be extremely troublesome for the family to manage day to day needs since the person was the only source of income for the family. Such kind high risk can be covered by insurance policy by paying nominal monthly or yearly premiums. This will guarantee that the family will get a substantial amount after the death in order to compensate for the financial loss to the family.

Types of Insurance Policies:



Source: <https://wikifinancepedia.com>

- *Life insurance* protects our family in unforeseen situations like death or accidental death.
- *Term life insurance* is one of the types of life insurance for financial safety which provides a lumpsum benefit to the nominee of the insured person after the death of the insured.
- *Health insurance* facilitates a person to insure coverage against surgical and medical expense.
- *Disability insurance* will insure a person for coverage against physical disability for longer period with no productive work.
- *Auto insurance* facilities you to cover car or any vehicle against damages or accidents.
- *Home insurance* will protect one's house against any damages like structural damage, fire, earthquake, etc.

- *Travel insurance* facilities one to insure losses occurred due to unknown circumstances / events during international or domestic travels.

There are various “types of insurance policies depending on the need and risk protection requirement of the client”. Apart from covers of life or medical one can also cover one’s assets, debts, travels, properties, and many more.

Insurance provides protection against the following:

- Protecting family from loss of income from premature death.
- Ensuring obligation repayment after death.
- Covering unforeseen liability losses.
- Protecting business against the loss or disability of a critical employee.
- Buying out a partner or co-shareholder after his or her demise.
- Income protection insure from one’s job, business against unforeseen business stoppage.
- Protecting one against unforeseeable medical, health or hospital expenses.
- Protect one’s property from fire, thief, or any other natural calamities like flood, etc.
- Protecting assets against employee lawsuits.
- Protecting oneself in the event of disability.
- Protecting one’s car against theft or losses incurred because of accidents.
- And many more types of risk.

Everyone on this planet need insurance in some form maybe it’s liability, auto, disability, medical or life insurance. Insurance policy is one of the best risk protection and prevention tool. Selecting right sort of protection according to one’s needs is very crucial part of a great financial planning.

23.9 MUTUAL FUND

It is an investment tool, where funds are collected from different interested investors and are invested in securities such as stocks, bonds, money market instruments and such assets.

In India, mutual funds are generally handled by fund managers, also referred to as the portfolio managers. They are responsible for investing the fund’s capital and produce capital gains and income for the fund’s investors. They also maintain a structured portfolio to match the investment objectives.

Mutual Funds are the funds created with the mutual requirement needs of the investors. It is a basket created with varieties of investment options. similar to basket of shares, bonds, money market or a mixture of all instruments or a basket of shares based on sectors like Bank, IT, Infrastructure, FMCG, etc. or basket of diversified shares.

In other words, a person has a rough idea where he wants to invest his money (for example: shares, sector shares, bonds, money market, etc.) but he is not aware of the market, trends, entry exit criteria, stop loss, etc. and in such cases mutual funds fit to his requirement. It is similar to

someone going to real estate consultant to assist him in his real estate investment needs. Here every mutual funds are managed by financial expert knows as Fund Manager who handles the investment fund based on the fund's investment criteria.

Types of Mutual Funds

In India, Mutual Funds are categorized based on various fundamentals like investment objectives and structure.

Based on investment objectives, mutual funds are categorized into,

Equity Mutual Fund: It will invest money in the stock markets. The investments under this category of mutual funds in primarily in stock markets and returns on investments are purely based on stock performance of the fund. These funds are off the record best type of mutual fund in long run.

Debt Mutual Funds: It will invest money in debt instruments like Treasury bills, Government Bonds, etc. These investments ensure you fixed rate of returns.

Balanced Mutual Funds: It will invest money partially into equities and partially into debts. Investor prefers this sort of investment when they want to minimize the equity investment risk.

Sectorial Funds: It will invest your money as per selected sector like IT, Banks, FMCG, Pharma, etc. Fund Manager controls the stock selection based on selected sectors preferences. Returns on investments are based on stock performance belonging from the specific sector.

ELSS or Equity Linked Savings Schemes: These are commonly known as **Tax saving funds**. Investment made towards ELSS funds are exempted from Income tax under section 80 C. However, ELSS funds have 3 years of lock-in period.

Further, on the basis of structure, mutual funds are classified into,

Open Ended Fund: These are funds that allow you to invest money and redeem anytime as per one's needs and one's strategies regardless of any time circumstances.

Close ended Funds: These are funds allowing a person to invest with some lock-in period, mostly within 1 to 3 years; before that one cannot redeem the fund since there is a time-bound investment horizon involved with it.

Systematic Investment Plan (SIP)

Systematic Investment Plan, most popularly known as SIP is a disciplined way of investing offered by mutual funds, where one invests a fixed amounts at a regular frequency (say, every month). It allows an investor to invest a fixed sum of money in a selected scheme of mutual fund at pre-defined intervals like monthly, quarterly, etc.

Systematic Withdrawal Plan (SWP)

A Systematic Withdrawal Plan(SWP) is a facility which allows an investor to withdraw a fixed amount at pre-determined intervals. One can choose the amount and frequency of withdrawal also. At the set date, units from the portfolio are sold and the funds are transferred to your account.

Portfolio Management Services (PMS)

It is a tailor-made professional service offered to cater the investment objectives of different investor classes. The investment solutions provided by PMS caters to a niche segment of our clients. The clients can be individuals or institution entities with high net worth. In simple words, a Portfolio Management Service provides professional management of an entity's investments to create wealth. When one invests in PMS, he owns individual securities unlike a mutual fund investor, who owns units of the fund. The person has the freedom and flexibility to tailor his portfolio to address personal preferences and financial goals.

23.10 REAL ESTATE SERVICES

A family's wealth usually has a significant portion allocated to real estate assets making it an integral component to be considered in order to be able to provide comprehensive wealth management services.

There are also real estate funds, which are investment vehicles that are used by investors to invest into real estate projects and/or real estate linked securities. Some real estate funds invest in bonds/instruments secured by property instead of actually owning property as it involves high risk due to volatility in property prices.

Real Estate Investment Trust (REIT)

Real Estate Investment Trust or REIT can be described as an organisation that owns and operates real estates in order to generate regular flow of income. These REITs manage the real estate portfolios and mortgages including leasing services and generate rental income from the same. The income so earned from the real estate portfolio is distributed amongst the investors as dividend. Since REITs operate through common pooling of resources, it provides a window to small investors also to park their funds in real estate which generally requires big ticket investments to generate returns.

23.11 RETIREMENT PLANNING

The process of aligning the investments with the goal of retirement income and taking appropriate decisions regarding investments in order to achieve the goal is called Retirement Planning. Retirement planning requires a 360-degree approach which begins with understanding clients, their needs, risk appetite & various life-stage goals, and to draw up their asset allocation plan and monitoring it on a continuous basis in order to reach the intended goal. Wealth Manager requires to be customer's retirement friend – advising and developing tailor-made solutions across various asset classes to help plan for their retirement.

The scope of Indian Wealth Management is focused on advising solutions aimed at retirement security in addition to cover their life risk or ensure better return on their investment. This includes the entire gamut of services in terms of advisory, insurance, asset Allocation, investments & retirement Planning.

Good Wealth Managers offer lifetime solutions and advice to their clients, to look at the entire span of their lives. They guide in accumulating a retirement corpus for fulfilling goals and achieving a financially independent life after retirement. This includes facilitating the most economic insurance covers and also guidance to optimize tax benefits. They also provide an actuarial estimate of post retirement expenses and a tax efficient alternative to the annuities offered by insurance companies on the Mutual Fund Platform.

Retirees need an expert who puts their interests above everything else and is equipped to provide them with customized solutions. A good Wealth Manager is an expert, who can deliver a holistic retirement plan using various tools, products, knowledge and other infrastructure to enable retirees achieve their financial goals.

23.12 STRATEGIC ASSET OPTIMIZATION

Wealth Managers also support the persons in the optimization of their assets projects by helping them to manage their taxation and savings and by advising them on their investments and in terms of asset restructure or arbitrage. They also assist in wealth auditing which allows them to obtain a global vision of their situation, analysing their situation in order to define an asset strategy and implementation of any financial actions or paperwork.

23.13 WILL WRITING

We all work hard to acquire wealth. We believe that when we won't be there for our loved ones, our personal belongings and worldly possessions including Real Estate, Stocks, Mutual Fund investments, Fixed Deposits will automatically go to them – even if we have not drafted any Will. But if one does not make plans allotting one's worldly wealth during his life time, he can leave a host of problems and hardships for his grieving family to sort out.

A Will is a legal declaration of a person, with respect to his properties and assets, which he desires to be distributed amongst eligible inheritors after his death. In a Will, he can pre-define who will inherit which asset or property in case of his death. He can choose anyone he wishes, to pass on his assets. Also, he always has the flexibility to modify his Will to capture required changes.

Through creating a Will, the concerned person is able to make things much easier for his family, to sort everything out when he is no longer with them and preventing any conflicts within the family members.

If a person dies intestate, without writing a will, everything owned by the person will be distributed amongst the legal heirs in a standard way defined by the respective Succession Act, which may not be as per the person's wishes.

Writing a will is especially important if one has children or other family who depends on him financially, or if he wants to leave something to people outside his immediate family.

23.14 PRIVATE WEALTH MANAGEMENT

Financial planning, portfolio management and other aggregated financial services entailed within investment advisory practices for private individuals is known as Private Wealth Management. As the name term itself clarifies the definition, private wealth management doesn't account for corporations, trusts, groups or other types of clients. Private wealth management is also termed as personal wealth management as well.

Private Wealth Management can be defined as the practice of resolving or increasing a person's financial situation and achieving his short-term, medium-term and long-term financial goals respectively. Also, it is the practice of providing a full assortment of financial products and services to a well-heeled client as a financial consultant so that the clients can attain specific financial goals.

23.15 PERSONAL FINANCIAL PLANNING

One of the popular private wealth management services includes personal financial planning. Personal financial planning is a complete and systematic process which entails finance managers, his team who assess the client's portfolio or his financial status, then they come up with a financial plan that is solely based on the desired goals of the client, the potential of finance planner and the assessment of the client's net worth.

The basic idea of financial planning is to lucidly allocate the revenue to cover various expenses in life, every individual has different goals and plans. Some might want a financial plan to pay their rent, other bills, manage school or college fee for children, and for other utilities.

Not only does it help pay one's bills but a robust financial plan will allow a person to save some part of his income for short-term and long-term emergency. In order to accomplish these goals, it is important for an individual to follow a series of specific steps or algorithms to organize the finances by curtailing his expenditure and optimizing savings in the future. A financial plan should not be confused with an investment plan, except for some rare cases.

23.16 WEALTH MANAGEMENT ASSESSMENT

To accomplish a successful private wealth management, financial assessment becomes ubiquitous and it is essential to attain the desired goals. It is the process of compiling basic accounts of financial statements like cash flow, balance sheets and income statements. A personal balance sheet entails assets like, car, stocks, clothes, house, and bank account along with personal liabilities such as credit card debt, bank loan and mortgage. A personal income statement lists personal income and expenses. Such financial assessment is used to evaluate an individual's contribution towards his income versus expenses. A person earns INR 30,000 and he plans his personal budget in an order where he can contribute 20 per cent into savings and 80 per cent into expenses, this is a basic example of financial assessment.

Goals Setting and Accomplishments

Setting some primary financial objectives or goals is really important, because only our goals keep us moving in the right direction. Everyone has set some goals for their lives, for some of us it retiring early and building a dream house, some of us want to pay for children's higher education while some of us want to pay our entire mortgage and be debt free. As mesmerizing as it sounds, let us not lose the touch of practicality.

The services of private wealth management services can be rendered by either larger corporate entities, independent financial advisers or multi-licensed portfolio managers. The latter normally prioritizes the high-net-worth private clients.

Usually well off banks or brokerage houses well equipped, both financially and resourceful offer different types of investment services and products to individuals. But in some of the cases it's been noticed that often private individuals are either short of time, effort or enough knowledge about managing their finances successfully by allocating relevant assets resourcefully.

To help these individuals and to make up for what may be lacking, wealth managers who specialize in managing the finances of private individuals are approached and they guide the clients through the services and products that will help them enhance their wealth. These services are often made in accordance to high-net-worth individuals (HNWI).

The wealth manager hired then sits down with the private individual and details himself with the current financial status of the client, his potential needs and then comes up with way that will help him attain the desired goal. Wealth manager is responsible for generating revenue through client's investment.

23.17 PRIVATE BANKING

Private banking involves providing banking, investment, tax management, and other financial services to high-net-worth individuals (HNWIs). Unlike mass-market retail banking, private banking focuses on providing more personalized financial services to its clients, through banking personnel specifically dedicated to providing such individual services.

HNIs possess more wealth than the average person, and are, therefore, capable of accessing a much larger variety of investments, such as hedge funds and real estate. Private banking offers their clients information and advice regarding what may be the most appropriate investment options for them.

Private banking is a part of banking that provides customized financial solutions to high net worth individuals or those who belong to higher income class. Private Banking aims to provide best investment and wealth management products for those high net worth individuals who can invest large amount of money. Services provided by private banks includes protecting assets, investing into assets, retirement planning, customized financial solutions, safeguarding wealth for next generation, etc.

Private Banks provide specialized and dedicated relationship manager for high net worth individuals who are willing to invest substantial amount. Private Banks play an important role in wealth management for affluent class of individuals.

23.18 BENEFITS OF WEALTH MANAGEMENT

Function on a relationship-based approach

Wealth manager is constantly thinking of our financial well-being which is why, when the need arises, they level with us like a friend would. They are not interested in impressing us with financial jargons but rather invest their time to help us navigate through troubled financial waters. They also help us to make better investment decisions. Wealth managers use this relationship-based approach through which we can have a healthy exchange of ideas and perceptions and formulate various financial strategies.

Creation of a financial plan: Wealth management services help investors calculatedly and systematically create their corpus. Wealth managers come armed with the skills that help them understand client requirement and financial goals. These are taken into account when financial strategies are formulated. Wealth manager puts in a lot of time to comprehend our needs and helps us to meet as many of your financial goals as possible.

Elimination of financial stress: Wealth advisors have a deep understanding of financial uncertainties. They have expertise in the field of taking critical financial decisions for us, should the need arise. Wealth advisors can help us to manage our finances during the roughest market conditions, which can often lead to stress. They help us to prioritize our financial decisions based on a timeline. Wealth advisor takes all our financial considerations in account while creating our goals and also helps us to organize our funds from time to time.

Personalized services: Wealth managers understand that there is no “one size fits all” formula when it comes to wealth management. As such, every individual client gets personalized services of a dedicated wealth manager.

Dedicated wealth manager creates financial strategies keeping one’s personal requirements in mind. He serves as your financial counsellor cum confidante. The person can reach out to his dedicated manager at any time and discuss his expectations with him, while he attempts to fulfil them by creating various strategies to create wealth in the near and distant future.

Flexible Investment approach

The wealth managers constantly think for the client’s betterment and financial well-being, which is why, whenever the need arises, they provide a flexible investment approach. The wealth management, advisory takes into consideration both the market categories and market conditions. Through wealth management, the advisors invest their time to help the client to plot a route through troubled financial ups and down which helps in making better investment decisions. Wealth managers use this flexible investment approach through which the advisor

can modify the financial strategies by taking into consideration the new ideas, perceptions, and market conditions.

23.19 IMPORTANCE OF WEALTH MANAGEMENT

When it comes to finance, everyone has but one goal; to be financially well-off. But getting to a space of financial comfort is a long journey; it takes patience, perseverance and a lot of discipline and wise investments to get there. We may also need the help of financial advisors who can help us formulate strategies through which we can achieve our financial goals. While one can save a lot of money by relying on conventional methods, it takes skill to create wealth and make investments. This is where wealth management experts can step in. They can help us to design a plan through which our savings can compound and keep working for us.

Most of us spend a major chunk of our lives trying to create a corpus so that we can offer financial security to our loved ones. Simply putting away savings does not suffice. It becomes important to chalk up strategies so that our savings can work for us. Wealth management services do just that. Wealth Manager helps an individual to create a financial plan through which he can deploy his assets in such a way that most, if not all of his financial objectives are met. Wealth Manager ensures individual's money keep compounding whether it is through sound investments or effective tax planning.

Unless one has a financial strategy in place, it becomes extremely difficult to set and meet realistic goals. It is important to identify and understand one's financial strengths and challenges, so that he can build on his strengths and address the obstacles. Wealth management experts can help us to put a plan into motion and periodically monitor its progress. They help us devise strategies that can ensure financial security of our loved ones, long after we are gone.

Without properly managing our finances we shall be cast into a world of trouble for ourselves as also our loved ones. Incorrect management of our money leads to financial burden and ultimately, debt. At some point we all need some help. How should we manage our properties? How about our investments? With wealth management the ultimate goal is to be secure and have peace of mind, allowing us to make the most of now.

Wealth Management plays a major role in handling financial matters. Mostly, people put in a large amount of money for their savings to accumulate the capital with the motive that a person can offer financial security to their loved ones. Putting aside the savings will not serve the motive. It is equally important to make proper strategies to get a brief that where a person's saving can be utilized.

Wealth management services offer such services where a person can get a layout of how to invest his/her money. The advisory of wealth management helps the person in creating a financial plan through which he can utilize his assets in such a way that almost all the financial objectives are met. The advisory ensures that the money invested keeps compounding either through sound investment policy or effective tax planning.

Without wealth management and proper financial strategies, it is extremely difficult to meet actual goals. It is important to identify and understand our financial strengths and challenges before making financial strategies. Proper Financial strategies help in building the strengths and in identifying the obstacles. Wealth management helps in implementing the plan into action and also monitors its progress periodically. It also helps in making the strategies that ensure the achievement of financial goals and objectives to a larger extent as also financial security of the loved ones after the death of the individual.

LET US SUM UP

A professional service provided by wealth managers which includes investment planning, accounting, tax planning, estate planning or retirement planning, portfolio and financial services management provided to business owners or a corporate or an individual for one set fee is called wealth management.

Wealth management is not only about investments and savings. It is far more wider term that encompasses all the aspects of a person's and the family's financial life.

A few important wealth management products and services are Alternative Assets, Bonds, Corporate Fixed Deposits, Fixed Maturity Plan & Debentures, Insurance, Mutual Funds, Systematic Investment Plan, Portfolio Management Services, Real Estate Services, Retirement planning, Strategic Business Strategy and Will Writing. Retirement planning requires a 360-degree approach which begins with understanding clients, their needs, risk appetite & various life-stage goals, to draw up their asset allocation plan and monitoring it on a continuing basis. Wealth Managers also support the persons in the optimization of their assets projects by helping them to manage their taxation and savings and by advising them on their investments and in terms of asset restructure or arbitrage. A Will is a legal declaration of a person, with respect to his properties and assets, which he desires to be carried into effect after his death. Financial planning, portfolio management and other aggregated financial services entailed within investment advisory practices for private individuals is known as Private Wealth Management. A Personal financial planning is a complete and systematic process which entails finance managers, his team who assess the client's portfolio or his financial status, then they come up with a financial plan that is solely based on the desired goals of the client, the potential of finance planner and the assessment of the client's net worth. To accomplish a successful private wealth management, financial assessment becomes ubiquitous and it is essential to attain the desired goals. Setting some primary financial objectives or goals is really important, because only our goals keep us moving in the right direction. The services of private wealth management services can be rendered by either larger corporate entities, independent financial advisers or multi-licensed portfolio managers. The latter on normally prioritizes the high-net-worth private clients. Private banking involves providing banking, investment, tax management, and other financial services to high-net-worth individuals (HNWIs). Private banking is the bank that provides customized

financial solutions to high net worth individuals or those who belong to higher income class. When it comes to finance, everyone has but one goal; to be financially well-off. But getting to a space of financial comfort is a long journey; it takes patience, perseverance and a lot of discipline and wise investments to get there. Unless one has a financial strategy in place, it becomes extremely difficult to set and meet realistic goals.

Without properly managing our finances we shall be cast into a world of trouble for ourselves as also our loved ones. Wealth Management plays a major role in handling financial matters. The advisory of wealth management helps the person in creating a financial plan through which he can utilize his assets in such a way that almost all the financial objectives are met. Wealth management helps in implementing the plan into action and also monitors its progress periodically. It also helps in making the strategies that ensure the achievement of financial goals and objectives to a larger extent as also financial security of the loved ones after the death of the individual.

KEYWORDS

Investment planning, Tax planning, Estate planning, Retirement planning, Assets under management (AUM), Asset Allocation management, Tactical Management, Diversified Management, Alternative asset, Perpetual Bonds, Debenture, Strategic Business Strategy, Private banking

CHECK YOUR PROGRESS:

1. A professional service provided by wealth managers includes:

(a) Investment Planning	(b) Tax Planning
(c) Retirement Planning	(d) All of above
2. As per provisions of Income Tax Act, 1961, any long term capital gains arising from transfer of any capital asset would be exempt from tax under section 54EC of the Act if, the entire capital gain realized is invested within _____ months of the date of transfer in eligible bonds.

(a) 6 months	(b) 9 months
(c) 1 year	(d) 3 year
3. A perpetual bond is a financial instrument with

(a) 3 years maturity date
(b) 5 years maturity date
(c) 10 years maturity date
(d) No maturity or unlimited maturity date

4. Out of the followings, which type of asset management is not followed by Wealth Management?

- | | |
|---------------------------------|-----------------------------|
| (a) Asset Allocation Management | (b) Concentrated Management |
| (c) Diversified Management | (d) Tactical Management |

ANSWER TO CHECK YOUR PROGRESS

1. d. 2. (a) 3. (d) 4. (b)



INVESTMENT MANAGEMENT

STRUCTURE

- 24.0 Objectives
- 24.1 Investment - Introduction
- 24.2 Element of Investment
- 24.3 Basics of Investment Management
- 24.4 Steps in Investment Management
- 24.5 Investment Banking
- 24.6 Services being offered by Full-service Investment Banks
- 24.7 Investment Bank Organizational Structure
- 24.8 Investment Management Vs Investment Banking
- 24.9 Portfolio Management
- 24.10 Objectives of Portfolio Management
- 24.11 Key Elements of Portfolio Management
- 24.12 Portfolio Management Vs Investment Banking
- 24.13 Role of Portfolio Manager
- 24.14 Portfolio Management Service Vs Mutual Funds (MFs)
- 24.15 Types of Portfolio Management Services
- 24.16 Steps of the Portfolio Management Process
- 24.17 Advantages of Portfolio Management Services

24.18 Disadvantages of PMS

24.19 Recent developments in the Portfolio Management Services area in India

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

24.0 OBJECTIVES

The main objectives of this unit are to understand:

- Basics of Investment Management
- Investment Banking
- Investment Management Vs Investment Banking
- Portfolio Management
- Types of Portfolio Management
- Portfolio Management vs Investment Banking
- Portfolio Management Service Vs Mutual Funds (MFs)
- Advantages and Disadvantages of Portfolio Management Services
- Recent developments in the Portfolio Management Services area in India

24.1 INVESTMENT - INTRODUCTION

All of us whether individuals or organizations earn money by different economic activities and spend it for satisfying our wants. Sometimes, Income of people is more than their expenditure and other times, their expenditure on goods and services is more than income, these differences result into saving and borrowing of money respectively. When income is more than consumption people incline to save (surplus money). They have different alternatives to deal with their surplus money. Possibly some people may put extra money under a mattress or in a box in their home and wait for the time when their consumption desires go beyond current income. However, when they will take out their savings from mattress or box the amount will be same. One more possibility is that they may leave immediate possession of their savings for getting larger amount of money than current saving in future for consumption. Simply those who give up immediate possession of savings expect to receive in the future a larger amount than they gave up and those who consume more than their current income are willing to pay back more in future than they borrowed. In laymen language investment means sacrificing the present consumption to get a return in the future. It can be understood in the form of equation also.

$$\text{Saving} = \text{Income} - \text{expenditure.}$$

Once saving is given some one i.e. individuals or institutions in the expectation or with the aim of earning income or capital appreciation becomes investment. The individuals, corporate entities, banks and financial institutions, NGOs and government invest their surplus money for future return.

Prospective investors are individuals or institutions who have surplus money than they need for immediate consumption. These individuals/institutions with surplus funds can invest in securities like equity shares, preference shares, debentures/bonds and in numerous physical assets like gold/silver or real estate or depositing in their bank accounts. Firm with surplus income may invest

in its expansion activities or undertake new ventures. All above activities are called investment. Investment has two elements namely time and risk. In the investment process present consumption sacrificed is certain, but getting a return in future is uncertain. This feature of investment signifies the risk factor. Economists view investment as net addition made to the nation's capital stock/productive assets used in further production of goods and services, whereas from financial manager's point of view investment is the allocation of money to assets that are expected to yield income or gain over a period of time. Further financial investment can be called an exchange of financial claims such as shares, debentures or bonds for money in the expectation of return and capital growth over the years.

24.2 ELEMENT OF INVESTMENT

The characteristics or elements of investment can be understood in terms of **return, risk, safety and liquidity**.

Return: The prime objective of any type of investment is to drive return. The expected return may be regular income (interest, dividend, rent, etc.) or increase in the value of investment/capital appreciation, i.e. difference between the selling price and buying price of assets. The nature of investment (risky, less risky, non- risky) is the deciding factor of required return from it.

Risk: Risk is the basic attribute of investment. Risk means variability in return because of loss of capital or non-payment of income what so ever reason. More the risk, normally more is the expected return and vice versa.

Safety: Safety rule of investment states that investors get back their original principal on maturity with no loss in value and hindrance.

Liquidity: It means an investor can sell his investment in market as need arise without incurring much transaction costs, less energy and time.

Objectives of Investment: The basic objectives of any investment is maximizing the return and minimizing the risk. In addition to the basic objectives other objectives of investment are safety, liquidity, hedging against the inflation etc. The above objectives may differ from one investor to another depending upon his/her risk appetite. Generally, investors park their funds either in real assets like gold, silver, land, etc. or financial assets like equity shares, debentures, Government bonds, Bank's Deposit, Life Insurance Policies, Pension Plans etc.

Investment Management: A brief view

Investment management refers to the handling of financial assets and other investments—not only buying and selling them. Management includes devising a short- or long-term strategy for acquiring and disposing of portfolio holdings. It can also include banking, budgeting, and tax services and duties, as well.

The term most often refers to managing the holdings within an investment portfolio, and the trading of them to achieve a specific investment objective. Investment management is also known as money management, portfolio management, or wealth management.

24.3 BASICS OF INVESTMENT MANAGEMENT

Professional investment management aims to meet particular investment goals for the benefit of clients whose money they have the responsibility of overseeing. These clients may be individual investors or institutional investors such as pension funds, retirement plans, governments, educational institutions, and insurance companies.

Investment management services include asset allocation, financial statement analysis, stock selection, monitoring of existing investments, and portfolio strategy and implementation. Investment management may also include financial planning and advising services, not only overseeing a client's portfolio but coordinating it with other assets and life goals. Professional managers deal with a variety of different securities and financial assets, including bonds, equities, commodities, and real estate. The manager may also manage real assets such as precious metals, commodities, and artwork. Managers can help align investment to match retirement and estate planning as well as asset distribution.

In corporate finance, investment management includes ensuring a company's tangible and intangible assets are maintained, accounted for, and well-utilized.

In short, Investment management may be summarized as follows:

- Investment management refers to the handling of financial assets and other investments by professionals for clients.
- Clients of investment managers can be either individual or institutional investors.
- Investment management includes devising strategies and executing trades within a financial portfolio.

Investment managers are usually compensated via a management fee, usually a percentage of the value of the portfolio held for a client. Management fees may range from 0.35% to 2% annually. Also, fees are typically on a sliding scale—the more assets a client has, the lower the fee they can negotiate. The average management fee is around 1%.

24.4 STEPS IN INVESTMENT MANAGEMENT

1. **Deciding investment goals:** Investment goals differ from one investor to another. These are set keeping in mind the basic goal of investment i.e. maximizing the return and minimizing the risk. The secondary goals of investment include regular income, capital gain, tax savings, liquidity and safety of principal. Further, investors have to select securities or financial instruments to construct portfolio to meet their investment goals.

2. **Analysis of Securities:** This is done by fundamental and technical analysis to find the intrinsic value of securities and the future trends of price movements in them respectively. Analysis of securities helps the investors to identify whether the securities are under-priced or overpriced. Investors can maximize return by investing currently under-priced securities but having potential to touch the peak. Further under this step, investors are guided by the standard principal of investment buy at low price and sell when it is high.
3. **Construction of portfolio:** A portfolio is a blend of securities designed to meet investor's primary goal of investment to maximizing the return and minimizing the risk. To achieve this basic goal, he diversifies his portfolio and allocates funds among different securities of different companies of different industries. A well-diversified portfolio is comparatively less risky than holding a single security.
4. **Evaluating performance of Portfolio:** An efficient managed portfolio calls for evaluation. This step is also called portfolio appraisal. Portfolio appraisal involves measurement of risk and return of security from time to time and comparing it with expected risk and return. Appraisal warns of the loss and steps can be taken to avoid such loss further.
5. **Revision of portfolio:** Revision of the portfolio depends on the results of appraisal. If the current portfolio is not serving the objectives of investment, the investor must design a new portfolio by selling certain less /underperforming securities and buying others that can improve return on portfolio.

24.5 INVESTMENT BANKING

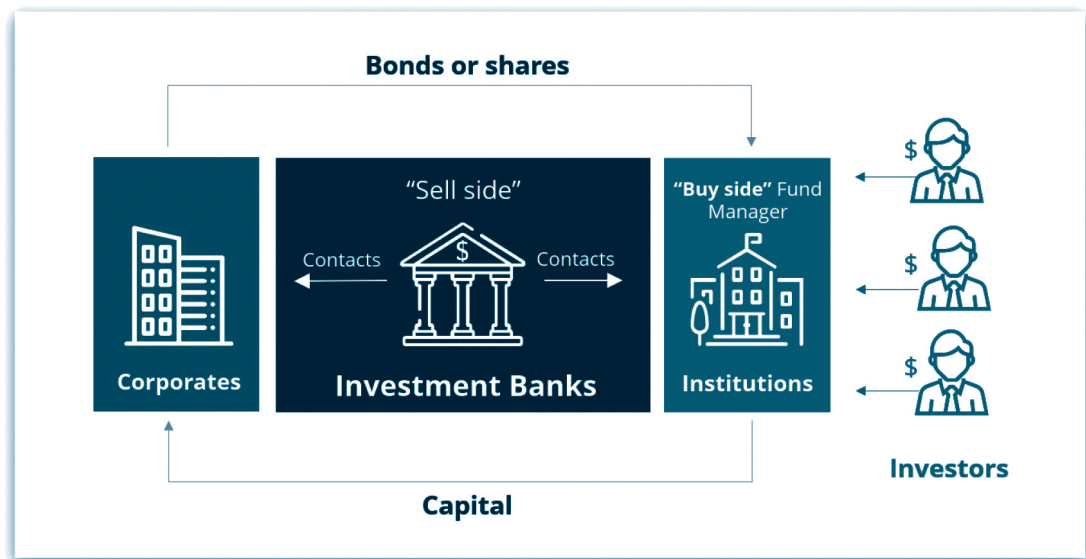
Investment banking is a specific division of banking or financial institution that serves Governments, corporations, and institutions by providing underwriting (capital raising) and mergers and acquisitions (M&A) advisory services. Investment banks act as intermediaries between investors (who have money to invest) and corporations (who require capital to grow and run their businesses).

Role of Investment Banking

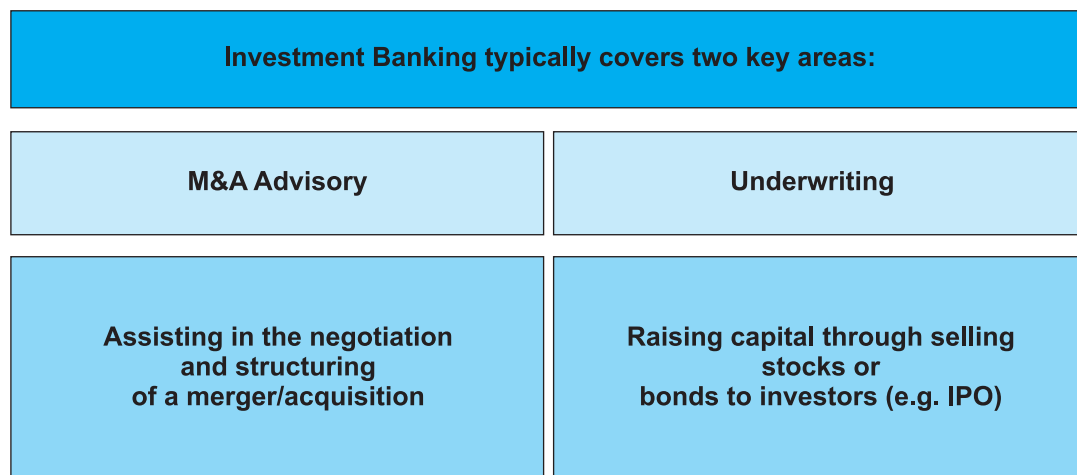
- Investment banking deals primarily with the creation of capital for other companies, governments, and other entities.
- Investment banking activities include underwriting new debt and equity securities for all types of corporations, aiding in the sale of securities, and helping to facilitate mergers and acquisitions, reorganizations, and broker trades for both institutions and private investors.
- Investment bankers help corporations, governments, and other groups plan and manage the financial aspects of large projects.
- Broadly speaking, investment banks assist in large, complicated financial transactions. They may provide advice on how much a company is worth and how best to structure a deal if the investment banker's client is considering an acquisition, merger, or sale.

- Essentially, their services include underwriting new debt and equity securities for all types of corporations, providing aid in the sale of securities, and helping to facilitate mergers and acquisitions, reorganizations, and broker trades for both institutions and private investors. They may also issue securities as a means of raising money for the client groups and create the necessary Securities and Exchange Commission documentation for a company to go public.
- Investment banks employ investment bankers who help corporations, governments, and other groups plan and manage large projects, saving their clients time and money by identifying risks associated with the project before the client moves forward. In theory, investment bankers should be experts who have their finger on the pulse of the current investing climate. Businesses and institutions turn to investment banks for advice on how best to plan their development and investment bankers, using their expertise, tailor their recommendations to the present state of economic affairs.
- Investment banking is among the most complex financial mechanisms in the world. They serve many different purposes and business entities. They provide various types of financial services, such as proprietary trading or trading securities for their own accounts, mergers and acquisitions advisory which involves helping organisations in M&As, leveraged finance that involves lending money to firms to purchase assets and settle acquisitions, restructuring that involves improving structures of companies to make a business more efficient and help it make maximum profit, and new issues or IPOs, where these banks help new firms go public.
- They act as intermediaries between security issuers and investors and help new firms to go public. They either buy all the available shares at a price estimated by their experts and resell them to public or sell shares on behalf of the issuer and take commission on each share.

Pictorial Presentation of Working of Investment Banking:



There can sometimes be confusion between an *investment bank* and the *investment banking division (IBD)* of a bank. Full-service investment banks offer a wide range of services that include underwriting, M&A, sales and trading, equity research, asset management, commercial banking, and retail banking. The investment banking division of a bank provides only the underwriting and M&A advisory services.



24.6 SERVICES BEING OFFERED BY FULL-SERVICE INVESTMENT BANKS

Full Service Investment Bank offer the following services:

Underwriting – Capital raising and underwriting groups work between investors and companies that want to raise money or go public via the IPO process. This function serves the primary market or “new capital”.

Mergers & Acquisitions (M&A) – Advisory roles for both buyers and sellers of businesses, managing the M&A process start to finish.

Sales & Trading – Matching up buyers and sellers of securities in the secondary market. Sales and trading groups in investment banking act as agents for clients and also can trade the firm’s own capital.

Equity Research – The equity research group research, or “coverage”, of securities helps investors make investment decisions and supports trading of stocks.

Asset Management – Managing investments for a wide range of investors including institutions and individuals, across a wide range of investment styles.

Underwriting Services in Investment Banking

Underwriting is the process of raising capital through selling stocks or bonds to investors (e.g., an initial public offering IPO) on behalf of corporations or other entities. Businesses need money

to operate and grow their businesses, and the bankers help them get that money by marketing the company to investors.

There are generally three types of underwriting:

Firm Commitment – The underwriter agrees to buy the entire issue and assume full financial responsibility for any unsold shares.

Best Efforts – Underwriter commits to selling as much of the issue as possible at the agreed-upon offering price but can return any unsold shares to the issuer without financial responsibility.

All-or-None – If the entire issue cannot be sold at the offering price, the deal is called off and the issuing company receives nothing.

Once the bank has started marketing the offering, the following book-building steps are taken to price and complete the deal (Book building process):

- Prospects with price range
- Institutional investor commitment @firm price
- Book demand Built
- Price is set to ensure clearing
- Allocation

24.7 INVESTMENT BANK ORGANIZATIONAL STRUCTURE

Investment banks are split up into three main offices - front office, middle office, and back office.

Front Office – The revenue for an Investment Bank is generated by the front office. It consists of three primary divisions: investment banking, sales & trading, and research. Sales and trading department involves Buying and selling products. The research department comes up with various research reports on the firms or industry.

Middle Office – The main function of the middle office is to ensure that the investment bank doesn't engage in activities that can be detrimental to the bank's health. It includes functions like risk management, financial control, corporate treasury, corporate strategy, and compliance. The point of contact between the front office and the middle office comes during the function of capital raising to ensure that the company is not taking on too much risk in underwriting certain securities.

Back Office – Back office basically provides supporting activities like operations and technology to the front office so that it can do the jobs needed to make money for the investment bank.

24.8 INVESTMENT MANAGEMENT VS INVESTMENT BANKING

Investment managers help clients reach their investment goals by managing their money. Clients of investment managers can include individual investors as well as institutional investors such as educational institutions, insurance companies, pension funds, retirement plans, and governments. Investment managers can work with equities, bonds, and commodities, including precious metals like gold and silver.

Investment managers can have varied roles and responsibilities, depending on the firm, which can include:

- Financial statement analysis
- Portfolio allocation such as a proper mix of bonds and stocks
- Equity research and buy and sell recommendations
- Financial planning and advising
- Estate and retirement planning as well as asset distribution

Investment bankers help with corporate finance needs, such as raising funds or capital. Companies and governments hire investment bankers to facilitate complicated financial transactions, including:

- Debt issuance such as a bond offering
- New securities underwriting
- Mergers and acquisitions
- Initial public offerings (IPOs)

Investment banking can involve equity and security research and making buy, sell, and hold recommendations. Investment banking firms are also market makers, which provide liquidity or connect buyers and sellers to “make” the market.

24.9 PORTFOLIO MANAGEMENT

What is Portfolio Management?

In a layman’s language, the art of managing an individual’s investment is called as portfolio management. Portfolio management is the art and science of selecting and overseeing a group of investments that meet the long-term financial objectives and risk tolerance of a client, a company, or an institution. It is managing an individual’s investments in the form of bonds, shares, cash, mutual funds, etc. so that he earns the maximum profits within the stipulated time frame under the expert guidance of portfolio managers.

Who is a Portfolio Manager?

An individual who understands the client’s financial needs and designs a suitable investment plan as per his income and risk taking abilities is called a portfolio manager. A portfolio manager is

one who invests on behalf of the client. A portfolio manager counsels the clients and advises him the best possible investment plan which would guarantee maximum returns to the individual. He/she must understand the client's financial goals and objectives and offer a tailor made investment solution to him. No two clients can have the same financial needs.

24.10 OBJECTIVES OF PORTFOLIO MANAGEMENT

The fundamental objective of portfolio management is to help select best investment options as per one's income, age, time horizon and risk appetite.

Some of the core objectives of portfolio management are as follows:

- Capital appreciation
- Maximising returns on investment
- To improve the overall proficiency of the portfolio
- Risk optimization
- Allocating resources optimally
- Ensuring flexibility of portfolio
- Protecting earnings against market risks

Who Should Opt for Portfolio Management?

The following should consider portfolio management:

- Investors who intend to invest across different investment avenues like bonds, stocks, funds, commodities, etc. but do not possess enough knowledge about the entire process.
- Those who have limited knowledge about the investment market.
- Investors who do not know how market forces influence returns on investment.
- Investors who do not have enough time to track their investments or rebalance their investment portfolio.

To make the most of the managerial process, individuals must put into practice strategies that match the investor's financial plan and prospect.

Need for Portfolio Management

Portfolio management presents the best investment plan to the investors as per their income, budget, age and ability to undertake risks. Portfolio managers understand the client's financial needs and suggest the best and unique investment policy for them with minimum risks involved. Portfolio management enables the portfolio managers to provide customized investment solutions to clients as per their needs and requirements. It minimizes the risks involved in investing and also increases the chance of making profits. It involves building and overseeing a selection of investments that will meet the long-term financial goals and risk tolerance of an investor.

Professional licensed portfolio managers work on behalf of clients, while individuals may choose to build and manage their own portfolios. In either case, the portfolio manager's ultimate goal is to maximize the investments' expected return within an appropriate level of risk exposure.

Portfolio management requires the ability to weigh strengths and weaknesses, opportunities and threats across the full spectrum of investments. The choices involve trade-offs, from debt versus equity to domestic versus international and growth versus safety.

24.11 KEY ELEMENTS OF PORTFOLIO MANAGEMENT

Asset Allocation

The key to effective portfolio management is the long-term mix of assets. Generally, that means stocks, bonds, and “cash” such as certificates of deposit. There are others, often referred to as alternative investments, such as real estate, commodities, and derivatives. Asset allocation is based on the understanding that different types of assets do not move in concert, and some are more volatile than others. A mix of assets provides balance and protects against risk. Investors with a more aggressive profile weight their portfolios toward more volatile investments such as growth stocks. Investors with a conservative profile weight their portfolios towards stable investments such as bonds and blue-chip stocks.

Diversification

The only certainty in investing is that it is impossible to consistently predict winners and losers. The prudent approach is to create a basket of investments that provides broad exposure within an asset class.

Diversification involves spreading the risk and reward of individual securities within an asset class, or between asset classes. Because it is difficult to know which subset of an asset class or sector is likely to outperform another, diversification seeks to capture the returns of all of the sectors over time while reducing volatility at any given time.

Real diversification is made across various classes of securities, sectors of the economy, and geographical regions.

Rebalancing

Rebalancing is used to return a portfolio to its original target allocation at regular intervals, usually annually. This is done to reinstate the original asset mix when the movements of the markets force it out of kilter.

For example, a portfolio that starts out with a 70% equity and 30% fixed-income allocation could, after an extended market rally, shift to an 80/20 allocation. The investor has made a good profit, but the portfolio now has more risk than the investor can tolerate.

Rebalancing generally involves selling high-priced securities and putting that money to work in lower-priced and out-of-favour securities.

The annual exercise of rebalancing allows the investor to capture gains and expand the opportunity for growth in high potential sectors while keeping the portfolio aligned with the original risk/return profile.

24.12 PORTFOLIO MANAGEMENT VS INVESTMENT BANKING

Portfolio Management refers to the management of the portfolio of assets of the client whereas, investment banking refers to the various different type of function performed by the investment banker in the economy by offering different financial services to their clients by mainly dealing in the purchase and sale of the stock and helping in raising the capital.

Portfolio Management (Asset management) is all about managing clients' investments whereas Investment Banking is all about raising the capital for clients.

So, the basic difference between these two is in case of Portfolio Management or Asset management, clients already have the money which portfolio manager need to manage whereas, in the case of investment banking, clients don't have the money and investment banking professional need to raise capital to support your clients.

Let's take an example to illustrate the difference between the two.

We will take two scenarios and will try to understand how this works.

Scenario#1

In the first scenario, Client A hires Bank B to help them with investing their money in different areas. Client A tells Bank B – "Take my money and invest in portfolios where you think our money will grow better and will make us wealthier." Bank B then takes the money and invests to get better returns on the portfolios they rely upon. This is portfolio management. In this case, clients have money; your job as a portfolio manager is to manage the investment ad try to maximize the client's wealth.

Scenario#2

In this scenario, Client A wants someone to invest in their business. An investment banker will search for the investor; look for capital raising opportunities in the equity market or via debt or run IPOs or advises companies on Merger & Acquisition deals. So, in this case, the client doesn't have money; investment banking professional helps the client get the money via capital raising opportunities.

In finance parlance, asset management is also known as buy-side and investment banking is termed as sell-side. So, the outlook for these two are different. This is why investment banking needs more inputs as it needs to bring the business whereas portfolio management requires skill and knowledge about investment.

24.13 ROLE OF PORTFOLIO MANAGER

Portfolio Management Service (PMS) is a facility offered by a Portfolio Manager with the intent to achieve the required rate of return within the desired level of risk. An investment portfolio can be a mix of stocks, fixed income, commodities, real estate, other structured products, and cash. A portfolio manager is a licensed investment professional who specializes in analysing the investment objectives of the investor and has a vast knowledge of the various instruments in the market. The portfolio manager is better positioned to make informed decisions for investments in securities as opposed to a layman.

PMS is a customized service offered to High Net-worth Individuals (HNI) clients. The service is tailored as per the investor's return requirements and the ability and willingness to assume the risk. An Investment Policy Statement (IPS) is drafted by a PMS to understand the financial position and needs of the client. The portfolio manager ensures that the return requirements coincide with the risk profile. Before executing the optimum portfolio, PMS also studies the various constraints such as time horizon, tax applicability, liquidity, and other unique considerations of the client.

24.14 PORTFOLIO MANAGEMENT SERVICE VS MUTUAL FUNDS (MFS)

The following attributes distinguish between PMS and MF:

1. **Customization:** PMS offers a higher degree of customization tailored specifically to the goals of an investor. Mutual funds, on the other hand, offer customization to the extent of the classification and diversity of the fund.
2. **Engagement:** PMS is personalized promoting a dialogue between the portfolio manager and investor. An investor can convey any changes in the risk profile or personal situations to maximize returns. MFs offer low engagement with the investor limited to fact sheets. Portfolio managers for PMS are also directly accountable to the investors.
3. **Fee structures:** MFs charge a fixed fee attributed to the entry and exit of investments as well as annual expenses for maintenance (known as the expense ratio). PMS demands a share in the profit over a particular rate of return (known as hurdle rate) in addition to the annual maintenance fee. The alignment of incentives is highly preferred in the case of PMS so that the portfolio manager takes responsible decisions in an attempt to attain supernormal returns.
4. **Asset ownership:** Under PMS, the investor retains direct ownership of shares of the company. However, MFs offer units in the form of investment.
5. **Investment size:** MFs entertain any amount of capital. However, PMS demand a capital investment which must be over the minimum limit of ₹50/- Lakh as per Securities and Exchange Board of India (SEBI) guidelines.

24.15 TYPES OF PORTFOLIO MANAGEMENT SERVICES

1. **Active Portfolio Management:** This form of portfolio management aims at beating the performance of a market index such as Nifty. An active portfolio manager will take different positions than that of the tracking index, actively buy and sell securities as per institutional research to create more returns than the index. However, to generate an excess return, the strategy undertakes a higher level of risk.
2. **Passive Portfolio Management:** Such a PMS strategy aims to mimic the performance of an index by investing in the same securities with similar weights. This is known as indexing or index investing. The transaction costs, resulting from securities turnover, are low as compared to active management as the portfolio churning is at a minimum. However, incurring transaction costs leads to an overall return being lower than the tracking index. The returns of the portfolio are pegged to the market returns. Therefore, the variance in returns is low.
3. **Discretionary Portfolio Management:** The portfolio manager is given complete control of the portfolio and is free to adopt any strategy which is suitable to the IPS. Such PMS demand higher involvement for decision making justifying higher fees associated with discretionary portfolio management. This is the best option for clients with limited time and knowledge of investing.
4. **Non-discretionary Portfolio Management:** The PMS will only suggest investment ideas while the investor will be responsible for choosing the recommendation and timing. This employs PMS in an advisory capacity as the final call rests with the investor instead of the portfolio manager.

The portfolio management process is the means through which the portfolio manager defines the investment objectives of the investor, translates them into achievable goals, allocates assets to achieve those goals, monitor the returns and rebalance the portfolio for any mismatch in the risk and return profile of the portfolio.

24.16 STEPS OF THE PORTFOLIO MANAGEMENT PROCESS

Processes of Portfolio Management

Steps	Process of Investment Portfolio Management	Description
Step 1:	Identification of objectives	For a capable investment portfolio, investors need to identify suitable objectives which can be either stable returns or capital appreciation.

Steps	Process of Investment Portfolio Management	Description
Step 2:	Estimating the capital market	Expected returns and associated risks are analysed to take necessary steps.
Step 3:	Decisions about asset allocation	To generate earnings at minimal risk, sound decisions must be made about the suitable ratio or asset combination.
Step 4:	Formulating suitable portfolio strategies	Strategies must be developed after factoring in investment horizon and risk exposure.
Step 5:	Selecting of profitable investment and securities	The profitability of assets is analysed by factoring in their fundamentals, credibility, liquidity, etc.
Step 6:	Implementing portfolio	The planned portfolio is put to action by investing in profitable investment avenues.
Step 7:	Evaluating and revising the portfolio	A portfolio is evaluated and revised regularly to evaluate its efficiency.
Step 8:	Rebalancing the composition of the portfolio	Portfolio's composition is rebalanced frequently to maximise earnings.

The fact that effective portfolio management allows investors to develop the best investment plan that matches their income, age and risks taking capability, makes it so essential. With proficient investment portfolio management, investors can reduce their risks effectively and avail customised solutions against their investment-oriented problems. It is, thus, one of the inherent parts of undertaking any investment venture.

24.17 ADVANTAGES OF PORTFOLIO MANAGEMENT SERVICES

The main advantages of Portfolio Management Services may be summarized as under,

- **Professional Management**

The service provides professional management of portfolios with the objective of delivering consistent long-term performance while controlling risk.

- **Continuous Monitoring**

It is important to recognise that portfolios need to be constantly monitored and periodic changes made to optimise the results.

- **Risk Control**

A research team responsible for establishing the client's investment strategy and providing the PMS provider real time information to support it, backs any firm's portfolio managers.

- **Hassle Free Operation**

Portfolio Management Service provider gives the client a customised service. The company takes care of all the administrative aspects of the client's portfolio with a periodic reporting (usually daily) on the overall status of the portfolio and performance.

- **Flexibility**

The Portfolio Manager has fair amount of flexibility in terms of holding cash (can go up to 100% also depending on the market conditions). He can create a reasonable concentration in the investor portfolios by investing disproportionate amounts in favour of compelling opportunities.

- **Transparency**

PMS provide comprehensive communications and performance reporting. Investors will get regular statements and updates from the firm. Web-enabled access will ensure that client is just a click away from all information relating to his investment. Your account statements will give you a complete picture of which individual securities you hold, as well as the number of shares you own. It will also usually provide: the current value of the securities you own; the cost basis of each security; details of account activity (such as purchases, sales and dividends paid out or reinvested); your portfolio's asset allocation; your portfolio's performance in comparison to a benchmark; market commentary from your Portfolio Manager.

- **Customised Advice**

PMS give select clients the benefit of tailor made investment advice designed to achieve his financial objectives. It can be structured to automatically exclude investments you may own in another account or investments you would prefer not to own. For example, if you are a long-term employee in a company and you have acquired concentrated stock positions over the years and have become over exposed to few company's stock, a separately managed account provides you with the ability to exclude that stock from your portfolio.

24.18 DISADVANTAGES OF PMS

Main disadvantages of Portfolio Management Services may be summed up as under,

- **Higher Capital Investment:** The minimum investment is governed by SEBI and it has mandated that one must have a minimum corpus of INR 50/- lac to start investing with PMS. This makes it a bit difficult for the investor from lower income profiles. Not every investor shall be able to avail such premium services because of this criterion. This is one of the biggest disadvantages of investing with a PMS house.
- **Higher Costs:** PMS charges asset management fees as a percentage of investment amount. The asset management fees vary between 2-2.5%. For example, if the investment amount is INR 10 lakhs then the asset management fees charged would be around ₹20,000 to ₹25,000. Further, very few PMS houses even charge a percentage of profits above a specific hurdle rate separately. These are the two key costs of this service. Along with this, with every

transaction, the brokerage you incur is another cost for you. Let's say if the broker charges a 0.25% of brokerage per transaction, then with the turnover of 4 times, the investor has to incur a brokerage of 2%. This entire package becomes costly with all these costs and directly impacts the overall portfolio returns.

- **No Performance Guarantee:** As mentioned earlier, the PMS houses are a party to profits but not to losses. It is a well understood phenomenon that the risk involved in investing into financial markets is higher and there is no guarantee for a superior performance.

However, for an investor with limited time and knowledge and high capital base, PMS is a suitable option given the investment management institution is reputed and offers transparency of operations. PMS also helps in better realization of diversification benefits than aimlessly investing in any number of securities. The returns and the performance of the portfolio are highly dependent on the accuracy of the security analysis done by the portfolio manager and hence are highly dependent on the competency of the investment management institution.

What features to look for in a Portfolio Management Services (PMS)?

- Portfolio Management Services have model portfolios that they furnish when soliciting clients. The PMS model portfolio may be assessed for a **track record** of company selection and overall performance against the market index.
- The performance of the portfolio is solely dependent on the manager's ability to outperform the market. Therefore, a crucial aspect of selecting PMS is conducting **due diligence of the portfolio manager**. A portfolio manager's educational background and experience ultimately point to the competency and expertise that they bring to the fund.
- The **investment strategy** is another parameter that can give PMS an upper hand over other schemes available in the market. It makes sense for the investor to understand the strategy before committing funds. If the strategies are complex, the viability of such strategies over the long-term should be outlined transparently.
- The **fee arrangement** of the PMS based on the performance of the manager should serve a win-win situation. The profit-sharing of returns is typically 20 percent. Fees charged for the management of the fund should not be over industry standards, which is in the range of 1 to 3 percent. A hurdle rate clause ensures profit sharing with the manager only if the performance of the fund beats the minimum required hurdle rate.
- **Customer support** and transparency are valued by investors, especially for discretionary portfolios. PMS appraising portfolio performance frequently benefits from customer engagement and establish a long-standing agreement.

24.19 RECENT DEVELOPMENTS IN THE PORTFOLIO MANAGEMENT SERVICES AREA IN INDIA

A new set of regulations by SEBI have come into play effective October 1, 2020. These guidelines were announced in February 2020 and were to be implemented from May 2020, but the deadline got pushed due to the pandemic. The changes are:

1. No upfront fees will be charged; operational fees excluding brokerage cannot exceed 0.5 percent per annum of the client's average AUM.
2. A maximum exit load of 3 percent can be charged in the first year, 2 percent in the second year, and 1 percent in the third year. No exit load applicable after three years.
3. Clients will have to be on boarded directly, avoiding client engagement with the intermediaries and distributors.
4. CA has to certify the minimum specified net worth of portfolio managers of ₹5/- crore.
5. A monthly report is mandatory, with performance reported net of expenses and after-tax. Performance return has to include cash holdings and investments in liquid funds.

In a recent regulatory move by SEBI, disclosure norms for PMSs were tightened. As per the change in guidelines, it is mandatory for operators of PMS schemes to disclose the details of distributors' commissions to the investors every quarter. This regulation will bring PMS in line with the MF industry in that the investors will be made aware of the commissions earned by distributors.

SEBI also mandated the contents of the performance report, which is to include the composition and value of the portfolio along with a description of securities and goods, cash balance, and aggregate value of the portfolio as on the date of the report. SEBI has also mandated the portfolio managers to utilize the services of certified distributors who have AMFI registration numbers or have cleared the NISM Services V-A exam.

With real estate in a contractionary state of affairs, equities have witnessed a significant uptick in investment. Mutual funds have been unable to perform consistently, and Portfolio Management Services have stepped in to gain market share. Investors who were traditionally seen investing in real estate have now resorted to PMS schemes.

The market regulator has been striving to bring the PMS industry at par with the MF industry in terms of investor-friendliness. To maintain oversight, SEBI has to ensure consistency and transparency in the reporting framework. The fee structures for PMSs across various schemes have been under the radar, comparing them with the expense ratios of mutual funds. The spur in demand of PMS in India should be in conjunction with the regulatory ecosystem in place to prevent mis-selling or misappropriation of funds.

LET US SUM UP

Once saving is given some one i.e. individuals or institutions in the expectation or with the aim of earning income or capital appreciation becomes investment. Investment has two elements, namely time and risk. Main elements of Investment are return, risk, safety and liquidity. Steps in Investment Management are “Deciding investment goals”, “Analysis of Securities”, “Construction of portfolio”, “Evaluating performance of Portfolio” and “Revision of portfolio”. Investment banking is a specific division of banking or financial institution that serves Governments, corporations, and institutions by providing underwriting (capital raising) and mergers and acquisitions (M&A) advisory services. There can sometimes be confusion between an Investment Bank and the Investment Banking Division (IBD) of a bank. Full-service investment banks offer a wide range of services that include underwriting, M&A, sales and trading, equity research, asset management, commercial banking, and retail banking. The investment banking division of a bank provides only the underwriting and M&A advisory services. In a layman’s language, the art of managing an individual’s investment is called as portfolio management. Portfolio management is the art and science of selecting and overseeing a group of investments that meet the long-term financial objectives and risk tolerance of a client, a company, or an institution. An individual who understands the client’s financial needs and designs a suitable investment plan as per his income and risk taking abilities is called a portfolio manager. Main objectives of Portfolio Management are Capital appreciation, Maximising returns on investment, Improving the overall proficiency of the portfolio, Risk optimization, Allocating resources optimally, Ensuring flexibility of portfolio, and Protecting earnings against market risks. Main steps of the Portfolio Management Process are Identification of objectives, Estimating the capital market, Decisions about asset allocation, Formulating suitable portfolio strategies, Selecting of profitable, Investment and securities, Implementing portfolio, Evaluating and revising the portfolio and Rebalancing the composition of the portfolio.

Main advantages of Portfolio Management Services are Professional Management, Continuous Monitoring, Risk Control, Hassle Free Operation, Flexibility, Transparency, and Customised advice. Portfolio Management Services (PMS) give select clients the benefit of tailor made investment advice designed to achieve his financial objectives. Main disadvantages of PMS are Higher Capital Investment, Higher Costs, and No Performance Guarantee.

Mutual Funds entertain any amount of capital. However, Portfolio Management Services demand a capital investment which must be over the minimum limit of ₹50/- Lakh as per Securities and Exchange Board of India (SEBI) guidelines.

KEYWORDS

Investment Management, Portfolio, Investment Banking, Underwriting, Mergers & Acquisitions (M&A), Portfolio Management, Capital appreciation, Risk optimization, Passive management, Active management, Diversification, Rebalancing, Customization

CHECK YOUR PROGRESS

1. Which of the following is not the element of investment?
(a) Illiquidity (b) Return
(c) Safety (d) Risk
2. Full Service Investment Bank offer the following services:
(a) Underwriting (b) Mergers & Acquisitions (M&A)
(c) Equity Research (d) All of above
3. SEBI has mandated that one must have a minimum corpus of INR _____ to start investing with PMS.
(a) ₹100 lakh (b) ₹50/- lakh
(c) ₹5/- Crore (d) ₹25/-lakh
4. As per Securities and Exchange Board of India (SEBI) guidelines, minimum net worth requirement of a portfolio manager should be,
(a) ₹10/-crore (b) ₹100/-crore
(c) ₹5/-crore (d) No such requirement

ANSWER TO CHECK YOUR PROGRESS

1. (a) 2. (d) 3. (b) 4. (c)



TAX PLANNING

STRUCTURE

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Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

25.0 OBJECTIVES

The objectives of this unit are to understand:

- Taxation and tax structure in India
- Difference between Assessment Year and Financial Year
- Heads of income for the computation of the total income
- Difference of tax slab rates between New tax regime vs Old Tax Regime

25.1 TAXATION

Taxation is the means by which a government or the taxing authority imposes or levies a tax on its citizens and business entities. From income tax to goods and services tax (GST), taxation applies to all levels.

The Central and State government plays a significant role in determining the taxes in India. To streamline the process of taxation and ensure transparency in the country, the state and central governments have undertaken various policy reforms over the last few years. One such change was the Goods and Services Tax (GST) which eased the tax regime on the sale and deliverance of goods and services in the country.

25.2 CLASSIFICATION OF TAX STRUCTURE IN INDIA

The tax structure in India can be classified into two main categories:

- Direct Tax
- Indirect Tax

Direct Tax: It is defined as the tax imposed directly on a taxpayer and is required to be paid to the government. Also, an individual cannot pass or assign another person to pay the taxes on his behalf.

Some of the direct taxes imposed on an Indian taxpayer are:

1. **Income tax**- it is the tax applicable on the income earned by an individual or taxpayer.
2. **Corporate tax**- this is the tax applicable on the profits earned by companies from their businesses.

Indirect Tax: It is defined as the tax levied not on the income, profit or revenue but the goods and services rendered by the taxpayer. Unlike direct taxes, indirect taxes can be shifted from one individual to another. Earlier, the list of indirect taxes imposed on taxpayers included service tax, sales tax, value added tax (VAT), central excise duty and customs duty.

However, with the implementation of goods and services tax (GST) regime from 01 July 2017, it has replaced all forms of indirect tax imposed on goods and services by the state and central governments.

GST has not only been reduced the physical interface but also lower the cost of compliance with the unification of the indirect taxes.

25.3 FINANCIAL YEAR

In simple terms, Financial Year is the year in which the income is earned and assessment year is the year in which the income is assessed to tax and all taxes are paid & tax returns filed. The income tax rules and slab rates which are applied for the assessment year 2022-23 will be the same as the rules for the financial year 2021-22 and so on.

The financial year is usually denoted as F/Y and assessment year is denoted as A/Y. As the financial year is the year which is previous to the assessment year, the financial year is sometimes also called Previous Year for Income Tax purposes. Financial year starts from 1st April of the calendar year & ends on 31st March of the next calendar year. The term “Financial Year” is also commonly referred to as F.Y. An assessee is required to calculate and plan taxes for the financial year but income tax return is to be filed in the next year or Assessment Year.

For instance,

- The income a person earns from 1st April 2021 to 31st March 2022 is the income earned in the current Financial Year (FY) 2021-22. Also,
- Any income earned by a person for the period starting from 1st April 2021 to 31st March 2022 can be simply stated as income earned in Financial Year (FY) 2021-22.

25.4 ASSESSMENT YEAR

Assessment Year is the year that comes right after the financial year (FY). Both financial year (FY) and assessment year (AY) starts on 1st April and ends on 31st March. Assessment year is the period in which income earned during a particular financial year is taxed and assessed. The assessment year is the period (from April 1 to March 31) during which a person is taxed on the money/income he received in a given financial year. In the relevant assessment year, the person is required to file his income tax return in the prescribed format. The year immediately after the Financial Year is known as the Assessment Year.

For example; considering the current scenario; for the period 1st April 2020 to 31st March 2021, the assessment year will be the next one that is from 1st April 2021 to 31st March 2022. Since Income Tax is on income of a financial/ previous year or period, so tax filings and assessment can start thereafter. Probably, that’s why it’s called assessment year/ period. The current financial year is generally known as assessment year of the previous financial year.

The difference between Financial year and Assessment year may be summarized as under,

Financial Year	Assessment Year
The financial year is the time period where income is earned.	The assessment year that follows is the financial year and the period in which tax returns are filed.
The financial year is when salaried professionals, businessman and senior citizens earn their money.	While AY is the time when the income that was earned in the financial year gets evaluated.
Taxation and evaluation are carried out in the AY for the income that has been earned in the financial year.	Income Tax Return Forms are specialized forms for the evaluation and taxation of FY income.
Income is always earned in the period known as the financial year it cannot be taxed prior to being earned.	After money has been earned by an individual it will be evaluated for the purpose of taxation in the latter, that is the AY.

25.5 PREVIOUS YEAR

In simple language, for the purpose of income tax or income tax return, terms financial year and previous year are used interchangeably. So, the financial year (FY) 2020-21 can also be termed as the preceding (previous) year (PY) 2020-21 & the income of such year will become taxable in assessment year (AY) 2021-22.

As per Sec.2(34) of Income Tax Act, 1961, unless the context otherwise requires, the term ‘previous year’ means the previous year as defined in section 3. In view of above, we need to visit Section 3 of Income Tax Act, 1961, which defines the term previous year as under:

“For the purposes of this Act, “previous year” means the financial year immediately preceding the assessment year:

Provided that, in the case of a business or profession newly set up, or a source of income newly coming into existence, in the said financial year, the previous year shall be the period beginning with the date of setting up of the business or profession or, as the case may be, the date on which the source of income newly comes into existence and ending with the said financial year.”

Therefore, basically the Previous Year indicates the year/ period prior to another. Under Income Tax, the returns are filed by assesses after end of the year/ period during which earnings are made and that period is called previous year/ financial year. However, when such earnings are subjected to assessment/ review by ITO in the subsequent period/ year, the same is called assessment period/ year.

For example, previous year corresponding to assessment year 2021-22 means the preceding financial year, i.e. 2020-21 (01/04/2020 to 31/03/2021), however the previous year may begin from a later date in the case of new business/ source of income (i.e. from 01/04/2020 or any date thereafter upto 31/03/2021). For example, in the case of a new business set-up on 01/10/2020,

the previous year will be the period from 01/10/2020 to 31/03/2021, which in fact is just a part of the financial year 2020-21.

25.6 CONCEPT OF PREVIOUS YEAR & FINANCIAL YEAR VIS-A-VIS ASSESSMENT YEAR

Understanding concept of previous year is very simple, it's basically a period of upto 12 months just preceding the assessment year. Since financial year is always a period of 12 months and income/ source of income may be of smaller span/ tenure than of 12 months, so the concept/ term of previous year is used under Income Tax to cover income or source of income coming into existence after the commencement of financial year and to cover income or source of income coming to an end before completion of the financial year. Either way any income or source of income is not required to be spread to the whole of financial year, it may be part of the same and the same may be called a previous year.

Accordingly, Previous Year in the case of a continuing business shall be the Financial Year immediately preceding the relevant Assessment Year, whereas Previous Year in the cases of newly set up business or for new source of income shall be the period commencing from the date of set up of new business or from the date of coming into existence of any source of income, to the forthcoming 31st March of that Financial Year immediately preceding the relevant Assessment Year.

It may not be out of place to mention that now even under Companies Act 2013, all the companies are required to have a uniform financial year. In other words, normally a period of upto 12 months ending on 31 March every year, however in the case of first accounting period, the same may be of less than 12 months and may extend upto 18 months with prior approval of the ROC.

However, there are few exceptions to the rule that income of previous year is chargeable to tax in the immediately following assessment year. In such cases income of the previous year is subject to charge of tax in the same previous year, wherein previous year and assessment year are considered as the same in the case of certain assessee to avoid situations of income escaping assessment:

- a) Income from Shipping business in India in the case of non-residents (**Section 172**)
- b) Assessment of persons leaving India permanently or for longer duration (**Section 174**)
- c) Assessment of association of persons (AOP) or body of individuals (BOI) or artificial juridical person (AJP), which are formed for a particular short period of time/ event/ purpose, i.e. which are dissolved within the same previous year (**Section 174A**)
- d) Assessment of persons suspected to transfer their property to avoid tax liability (**Section 175**) and
- e) Assessment of income from a business which has been discontinued during the previous year (**Section 176**).

Finance Bill (Finance Budget) is presented, discussed in Parliament, passed and executed as per Financial Year. Financial year can be classified into two categories (**Sec. 3**):

- Year in which Income is earned;
- Year of paying taxes on income earned or deemed to be earned on advance basis.

Why does ITR form have an Assessment Year?

Since the revenue for any financial year is calculated and taxed in the next year, the evaluation year, income tax forms include an assessment year. It is not possible to tax income until it is paid. Adverse circumstances may arise at any time during the year, whether at the start, centre, or end. As a result, when filing income tax returns, it is now necessary to pick the Assessment year.

25.7 RESIDENTIAL STATUS FOR INCOME TAX

The individual taxability of a person depends upon the residency status as per Income Tax Act and it is not to be confused with an individual's citizenship in India. An individual may be citizen of the country but will be considered as non-resident as per tax guidelines and vice versa.

As per the Income Tax Act, an individual tax assessee may be classified as,

- A resident
- A resident not ordinarily resident (RNOR)
- A non-resident (NR)

The taxability will differ depending upon respective category of the individual.

Resident

For qualifying as a resident of India as per Income Tax guidelines, the individual has to satisfy any of the following two conditions:

- Stay in India for a year of 182 days or more
- Stay in India for the immediately preceding years is 365 days or more and 60 days or more in the relevant financial year

As per new amendment effective from FY 2020-21, an individual who is a citizen of India who is not liable to tax in any other country will be deemed to be a resident in India. However, the condition is applicable only if the total income (other than foreign sources) exceeds ₹15 Lakh and nil tax liability in other countries or territories by reason of his domicile or residence or any other criteria of similar nature.

Resident Not Ordinarily Resident (RNOR)

In case an individual is eligible as a resident, it needs to be determined whether the individual is Resident Ordinarily Resident (ROR) or Resident Not Ordinarily Resident (RNOR). The individual will be eligible to be ROR if the following two conditions are met:

- Has been a resident of India in at least 2 out of 10 years in immediately previous years

(ii) Has stayed in India for at least 730 days in 7 immediately preceding years

As per guidelines effective from FY 2020-21, a citizen of India or a person of Indian origin who leaves India for employment outside India during the year will be eligible to be considered as ROR if he stays in India for an aggregate period of 182 days or more. However, this condition will apply only if his total income (other than foreign sources) exceeds ₹15 Lakh. Also, a citizen of India who is deemed to be a resident in India (w.e.f .FY 2020-21) will be a resident and ordinarily resident in India.

Non-Resident (NR)

An individual not satisfying the eligibility of a Resident or ROR or RNOR would be considered as Non Resident (NR) for the year as per extant Income Tax Laws.

Taxability

In case of Resident (also ROR), the individual will be charged to tax in India on his global income i.e. income earned in India as well as income earned outside India.

In case on NR and NROR, the tax liability in India is restricted to the income they earn in India. In such cases, no tax is applicable on their foreign income. In cases of double taxation where the same income is being taxed in India as well as abroad, the individual may resort to Double Taxation Avoidance Agreement (DTAA) that India would have entered into with that country in order to avoid paying double taxes on the same income.

25.8 A FEW IMPORTANT TERMS IN INCOME TAX

- (i) **Assessee:** As per Income Tax Act 1961 section 2(7), an assessee is a person who is liable to pay the taxes under any provision of the Income Tax Act 1961. Assessee can also be a person with respect to whom any proceedings have been initiated or whose income has been assessed under the Income Tax Act 1961. Assessee is any person who is deemed assessee under any of the provisions of this act or an assessee in default under any provisions of this Act.
- (ii) **Person:** As per Sec 2(31) of the Income Tax Act, 1961, a person would be anyone who is
- An Individual
 - A HUF (Hindu Undivided Family)
 - A Company
 - A Firm
 - An association of person or body of individuals
 - A local authority
 - Every artificial or juridical person who is not included in any of the above-mentioned categories

- (iii) **PAN Number:** PAN stands for Permanent Account Number which is a ten-digit unique alphanumeric number issued by the Income Tax Department as a unique identification ID. The PAN is applicable whether an Individual, HUF, Company, Firm, or any other assessee. The PAN number is a prerequisite for filing ITR and also, the tax department can trace all communications, returns, refunds, and other activities relating to Income Tax through it.
- (iv) **TAN Number:** TAN refers to Tax Deduction Number which is a 10-digit alphanumeric number allotted to those who are liable to deduct TDS by the Income Tax Department.
- (v) **Tax Deducted at Source (TDS):** The option of Tax Deducted at Source (TDS) was introduced in order to collect tax from the very source of income. As per the guideline, a person (deductor) who is liable to make payment of specified nature to any other person (deductee) shall deduct tax at source and remit the same into the account of the Central Government. The deductee from whose income tax has been deducted at source would be entitled to get credit of the amount so deducted on the basis of Form 26AS or TDS certificate issued by the deductor.

25.9 HEADS OF INCOME FOR THE COMPUTATION OF THE TOTAL INCOME

As per the provisions of the act, salary, income from house property, profits and gains of business or profession, capital gains and income from other sources are taken into consideration for the purposes of the computation of taxes.

Income from salary

The income from salary constitutes wages, pension, annuity, gratuity, fees, commission, profits, leave encashment, annual accretion and transferred balance in recognized PF and contribution to employees' pension account.

Section 15 of the act provides that salary that is due but not paid by the employer, paid but not due or paid before it became due or arrears of salary that were not paid in the previous year by the employer. However, the salary paid in advance is not taken into consideration for the purposes of computation of the total income. The salary of the partner by the firm is not a salary for the purpose of this Act. This principal section is read with section 16 and 17 of the act.

Income from house property/ Rental Income

In case of properties owned by a person other than those which are occupied by him, the rental income from the same constitutes income from house property. In case the property is unoccupied, then notional income is included under the head.

Section 18 of the act provides that the annual value of any building or land appurtenant of which the assessee is the owner is subjected to tax under this act. It exempts the portion of such building or land appurtenant which is used by the assessee in business or profession for which he pays the tax on profits arising out of that business or profession. This principal section is read with section 22 to 27 of the act.

Profits and gains of business or profession

The profits or gains from business includes profit/ loss from a business entity or a profession, any interest, salary or bonus to a partner of a firm. Section 28 of the act provides that profits and gains of business or profession are subjected to tax under this act during the previous year.

Capital gains

The income from capital gains includes long term capital gains (LTCG) and also Short Term Capital Gains (STGC) from sale from any type of assets. Section 45 of the act provides that profits or gains arising out of the transfer of capital assets in the previous year are taxable under this tax. In addition, money or assets received from the insurer to the assessee in the previous year on account of flood, typhoon, hurricane, cyclone, earthquake or another convulsion of nature; riot, civil disturbance; accidental fire, explosion; or action by an enemy is taxable under this act.

Income from other sources

All other sources of income not covered under the above four heads and income from every kind which is not to be excluded from the total income under the Income Tax Act, are covered under “Income from other sources” which include interest on bank deposits and securities, dividend, royalty income, winning on lotteries and races and gifts received among others, etc. As per section 56 of the act, any income which is not covered under the head “Income from other sources” is subjected to be taxable under this head. For example, it includes dividend income, interest from government bonds, gifts received other than from the relatives, lottery etc.

Income Tax Slabs and Rates

The Finance Minister introduced new tax regime in Union Budget, 2020 wherein there is an option for individuals and HUF (Hindu Undivided Family) to pay taxes at lower rates without claiming deductions under various sections. The Budget 2020 introduced Sec 115 BAC giving individuals and HUF taxpayers an option to pay income tax at lower rates. The assessee has the option to opt to pay the tax either as per new regime or old regime. The following Income Tax slab rates are notified in new tax regime vs old tax regime:

(a) New Tax Regime: In this new regime, taxpayers have an **OPTION** to choose either:

- To pay income tax at lower rates as per New Tax regime on the condition that they forgo certain permissible exemptions and deductions available under income tax, Or
- To continue to pay taxes under the existing tax rates. The assessee can avail rebates and exemptions by staying in the old regime and paying tax at the existing higher rate.

Income tax slab rate FY 2021-22 (AY 2022-23): Applicable for New Tax Regime

Income Tax Slab	New Regime Income Tax Slab Rates FY 2021-22 (Applicable for All Individuals & HUF)
₹0.0 – ₹2.5 Lakhs	NIL
₹2.5 lakhs- ₹3.00 Lakhs	5% (tax rebate u/s 87a is available)
₹3.00 lakhs – ₹5.00 Lakhs	
₹5.00 lakhs- ₹7.5 Lakhs	10%
₹7.5 lakhs – ₹10.00 Lakhs	15%
₹10.00 lakhs – ₹12.50 Lakhs	20%
> ₹15 Lakhs	30%

The senior citizens are exempted from filing income tax returns if pension income and interest income are their only annual income source. Section 194P has been newly inserted to provide conditional relief to the senior citizens of the age above 75 years who have a pension and interest income from the bank from filing Income Tax Return. However, banks will continue to deduct tax on senior citizens more than 75 years of age as per rules.

Income tax is levied on the income earned by all the individuals, HUF, partnership firms, LLPs and Corporates as per the Income Tax Act of India. In the case of individuals, tax is levied as per the slab system if their income is above the minimum threshold limit (known as basic exemption limit).

What is income tax slab?

Indian Income tax levies tax on individual taxpayers on the basis of a slab system. Slab system means different tax rates are prescribed for different ranges of income. It means the tax rates keep increasing with an increase in the income of the taxpayer. This type of taxation enables progressive and fair tax systems in the country. Such income tax slabs tend to undergo a change during every budget.

These slab rates are different for different categories of taxpayers. Income tax has classified three categories of “Individual” taxpayers such as:

- Individuals (aged less than of 60 years) including residents and non-residents
- Resident Senior citizens (60 to 80 years of age)
- Resident Super senior citizens (aged more than 80 years)

25.10 INCOME TAX SLAB RATE FOR FY 2021-22 (AY 2022-23)

Old Tax Regime: Income tax slab rate for Old Tax regime FY 2021-22 (AY 2022-23)

Income tax slabs for Individual aged below 60 years & HUF (Old Regime)

Income Tax Slab	Individuals Below The Age Of 60 Years – Income Tax Slabs
Up to ₹2.5 lakhs	NIL
₹2.5 lakh - ₹5 Lakhs	5%
₹5 .00 lakh – ₹10 lakhs	20%
> ₹10.00 lakh	30%

Note:

Income tax exemption limit is up to ₹2,50,000 for Individuals, HUF below 60 years aged and NRIs.

An additional 4% Health & Education cess will be applicable on the tax amount calculated as above.

Surcharge:

10% of income tax, where total income exceeds ₹50 Lakh up to ₹1 Crore.

15% of income tax, where the total income exceeds ₹1 Crore.

Income tax slabs for Individual aged 60 years and above and <80 years & HUF (Old Tax Regime)

Income Tax Slab	Individuals aged above 60 Years and below 80 years – Income Tax Slabs
Up to ₹3.00 lakhs	NIL
₹2.5 lakh - ₹5 Lakhs	5%
₹5 .00 lakh – ₹10 lakhs	20%
> ₹10.00 lakh	30%

Income tax slabs for Individual aged 80 years and above & HUF (Old Tax Regime)

Income Tax Slab	Individuals aged 80 Years and above- Income Tax Slabs
Up to ₹5.00 lakhs	NIL
₹5 .00 lakh – ₹10 lakhs	20%
> ₹10.00 lakh	30%

Note:

- Income tax exemption limit is up to ₹5,00,000 for super senior citizen aged above 80 years.
- An additional 4% Health & education cess will be applicable on the tax amount calculated as above.
- Surcharge applicability:
 1. 10% of income tax, where total income exceeds ₹50 Lakh up to ₹1 Crore.
 2. 15% of income tax, where the total income exceeds ₹1 Crore.

Difference of tax slab rates between New Tax Regime Vs Old Tax Regime

The tax rates in the New tax regime is the same for all categories of Individuals, i.e. Individuals & HUF up to 60 years of age, Senior citizens above 60 years up to 80 years, and Super senior citizens above 80 years. Hence, no increased basic exemption limit benefit will be available to senior and super senior citizens in the New Tax regime.

Individuals with Net taxable income less than or equal to ₹5 Lakh will be eligible for tax rebate u/s 87A i.e. tax liability will be nil of such individual in both – New and old/existing tax regimes.

Basic exemption limit for NRIs is of ₹2.5 Lakh irrespective of age.

Additional Health and Education cess at the rate of 4 % will be added to the income tax liability in all cases. (increased from 3% since FY 18-19)

Surcharge applicable as per tax rates mentioned below in all categories mentioned above:

10% of Income tax if total income > ₹50 lakh

15% of Income tax if total income > ₹1 crore

25% of Income tax if total income > ₹2 crore

37% of Income tax if total income > ₹5 crore

25.11 CONDITIONS FOR OPTING NEW TAX REGIME

The taxpayer opting for concessional rates in the New Tax regime will not have the option to get benefit of certain exemptions and deductions available in the existing old tax regime.

List of few common Exemptions and deductions which are “not allowed” under New Tax Rate regime:

- Leave travel Allowance (LTA)
- House Rent Allowance (HRA)
- Conveyance allowance
- Daily expenses in the course of employment
- Relocation allowance

- Helper allowance
- Children education allowance
- Other special allowances [Section 10(14)]
- Standard Deduction on Salary
- Professional tax
- Interest on housing loan (Section 24)
- Deduction under Chapter VI-A deduction (80C, 80D, 80E and so on) (Except Section 80 CCD (2))

List of deductions “allowed” under new Tax rate regime:

- Transport allowance for specially abled people
- Conveyance allowance for expenditure incurred for travelling to work
- Investment in Notified Pension Scheme under section 80CCD (2)
- Deduction for employment of new employees under section 80JJAA
- Depreciation u/s 32 of the Income-tax act except additional depreciation
- Any allowance for travelling for employment or on transfer

25.12 EXAMPLE FOR OLD TAX REGIME VS NEW TAX REGIME & WHICH IS BETTER

The new tax regime can largely benefit middle class taxpayers who have a taxable income up to ₹15 Lakh. Old regime is a better option for high-income earners.

The new income tax regime is beneficial for people who make low investments. As the new regime offers seven lower income tax slabs, anyone paying taxes without claiming tax deductions can benefit from paying a lower rate of tax under the new tax regime. For instance, assessee having total income before deduction up-to ₹12 Lakh will have higher tax liability under the old system if they have investments less than ₹1.91 Lakh. Therefore, if a person invests less in tax-saving schemes, it is better for him to go for the new regime.

That being said, if someone already has in place a financial plan for wealth creation by making investments in tax-saving instruments, health insurance and life insurance, making payments of children’s tuition fees, payment of EMIs on education loan, buying a house with a home loan, and so on, the old regime helps with higher tax deductions and lower tax outgo.

In light of the above and considering the new income tax regime, if taxpayers want to opt for the concessional tax rates, they may evaluate both regimes. Hence, it is advisable to do a comparative evaluation and analysis under both regimes and then choose the most beneficial one as it may vary from person to person.

Let’s take an example of comparing the Old & New tax regime of an assessee with ₹10 Lakh

income. Mr. A has a salary income of ₹10/- Lakh. His total investment u/s 80C is ₹1.7 lakh under ELSS, PF, LIC premium and principal instalment of home loan. Further he pays Medical insurance for himself and his wife of ₹28000/-. If he opts for the old tax regime, then he can claim the above deductions, however if he wishes to go for a new tax regime then these deductions will not be available. He has paid home loan interest of ₹75000/- in FY 2021-22. Let us see the tax outflow in both the regimes.

	Old Regime	New Regime
Gross Income	1,000,000	1,000,000
Deductions:		
u/Sec: 80C	150,000	—
u/Sec: 80D	25,000	—
u/Sec: 24(b)	75,000	—
Taxable Income	750,000	1,000,000
Tax Slab (OLD):		
0 to 2.5 Lakh	—	—
2.5 to 5 Lakh @ 5%	12,500	—
5 Lakh to 10 Lakh @ 20%	50,000	—
> 10 Lakh @ 30%	—	—
Tax Slab (New):		
0 to 5 Lakh	—	—
2.5 to 5 Lakh @ 5%	—	12,500
5 to 7.5 Lakh @ 10%	—	25,000
7.5 Lakh to 10 Lakh @ 15%	—	37,500
10 Lakh to 12.5 Lakh @ 20%	—	—
12.5 Lakh to 15 Lakh @ 25%	—	—
> 15 Lakh @ 30%	—	—
Income Tax	62,500	75,000
Cess @ 4%	2,500	3,000
Total Tax Outgo	65,000	78,000

As per illustration above, if the gross income is more than ₹10 Lakh or and deductions u/S 80C, 80D, and 24(b) of the Income Tax Act are availed, then older regime is more beneficial from tax planning standpoint. While for individuals in the middle-income group, earning a gross income of say ₹5 Lakh; the new tax slab regime may prove advantageous.

Time of Selection of option of Old Vs. New regime:

Nature of Income	Time of Selection of option of old vs new regime
Income from Salary or any other head of income attracting TDS	An employee can opt to choose for the new tax regime and intimate their employer at the beginning of financial year. Employees can change the option of selecting the tax regime every year however if new tax slab regime is opted at the beginning of the year, it cannot be changed anytime during the year for TDS purpose, however the option can be changed at the time of filing of Income-tax return.
Income from Business & Profession	In case of Business or profession income, the option to choose between the tax regimes is available only once for a particular business.

25.13 INCOME TAX SLABS FOR NON-INDIVIDUAL ENTITIES**Domestic Company**

Income-tax rates applicable in case of domestic companies for assessment year 2021-22 and 2022-23 are as follows,

Particulars	Existing / Old regime Tax rates	New Regime Tax rates
Company opts for section 115BAB (not covered in section 115BA and 115BAA) & is registered on or after October 1, 2019 and has commenced manufacturing on or before 31st March, 2023	--	15%
Company opts for Section 115BAA, wherein the total income of a company has been calculated without claiming specified deductions, incentives, exemptions and additional depreciation	--	22%
Company opts for section 115BA registered on or after March 1, 2016 and engaged in manufacture of any article or thing and does not claim deduction as specified in the section clause.	--	25%
Turnover or gross receipt of the company is less than ₹400 crore in the previous year 2018-19	25%	25%
Any other domestic company	30%	30%

Additional Health and Education Cess at the rate of 4 % will be added to the income tax liability in all cases.

Surcharge applicable for companies is as below:

1. 7% of Income tax where total income > ₹1 Crore
2. 12% of Income tax where total income > ₹10 Crore

3. 10% of income tax where domestic company opted for section 115BAA and 115BAB

Income tax rate for Partnership firm or LLP as per old/ new regime

- Income Tax applicable @ 30%.
- 12% Surcharge is levied on incomes above ₹1 Crore.
- Health and Education Cess at the rate of 4 %.
- No concessional rates introduced for firms / LLPs in new tax regime.

25.14 INVESTMENT PRODUCTS FOR TAX SAVING

Tax Planning is one of the effective mechanism which can help in saving taxes and also increase income. In the Income Tax Act, there are various provisions to make investments, savings and expenditure in multiple avenues incurred by the taxpayer in a particular financial year.

Section 80C-Deductions on Investments

Income tax savings schemes are offered as per the relevant sections of the Income Tax Act, 1961. The chief among these is the Section 80C which offers potential tax savings options of up to Rs.1.5 lakhs yearly. Major income tax saving instruments include:

- **Public Provident Fund:** Also called PPF, you can make a maximum contribution of Rs.1.5 lakhs per year in this tax saving scheme. PPF cannot be withdrawn before 15 years without penalty.
- **Unit Linked Insurance Plans:** Also called ULIPs, these tax saving schemes allow for a maximum exemption of Rs.1 lakh per year u/s 80C. Apart from investment exemption, the maturity earnings are also tax exempt.
- **Tax Saving Fixed Deposit:** Tax saving fixed deposits are available for a fixed tenure of 5 years and a maximum of Rs.1.50 lakh can be invested to avail tax benefits per year u/s 80C.
- **Employee Provident Fund:** Also called EPF, this is another investment scheme that offers tax benefits u/s 80C up to Rs.1 lakh per year.
- **National Saving Certificate:** Also called NSC, this instrument can be used to earn tax saving interest up to Rs.1 lakh per year u/s 80C..
- **Tax Saving Mutual Funds:** These funds allow for exemptions up to Rs.1 lakh per annum u/s 80C. ELSS are popular instruments for tax savings through mutual funds.
- **Post Office Tax Saving Schemes:** Post office tax saving schemes also fall under the ambit of Section 80C. You can claim up to Rs.1 lakh in tax benefits every year through the various post office investment options.
- **Life Insurance Premium:** Amount paid by a taxpayer towards life insurance premium for spouse, children, and self is allowed as deduction. Premium paid for parents, brothers, and sisters are not allowed as a deduction under section 80C. Premium paid by a HUF for its

member is also allowed as a deduction. The policy must be taken from an Insurance Company registered under the Insurance Regulatory and Development Authority of India or IRDAI.

- **Sukanya Samriddhi Yojana (SSY):** The Sukanya Samriddhi Yojana is a government saving scheme to benefit a girl child who is ten years or less. A parent or guardian can open a maximum of 2 accounts. The principal amount qualifies for a deduction, and the interest is tax-free. The account matures after 21 years of investment or at the event of the marriage of a girl child.
- **Pradhan Mantri Vaya Vandhana Yojana (PMVVY):** PMVVY is a pension scheme for senior citizens aged 60 years or more with an assured interest of 8.3% per annum. The locking period is ten years. The principal amount qualifies for a deduction, and the interest is tax-free.
- **Senior Citizen Saving Scheme (SCSS):** Senior Citizen Saving Scheme (SCSS) aims at providing a regular income for senior citizens aged above 60 years available at a certified bank and all the post offices across India. The lock-in period is five years. Section 80C income tax deductions cover the principal amount, and the interest is tax-free.
- **Equity Linked Savings Scheme (ELSS):** Specific equity mutual funds which have been specifically designated for the purpose of tax savings. Investments in the specific schemes of ELSS allow deduction upto a maximum limit of Rs. 1.50 Lakhs with a lock in period of 3 years.

Sec 80CCC-Deduction for life insurance annuity plan

This section allows deduction for payment towards annuity pension plans of LIC or any other insurance company. However, the pension received from the annuity or amount received upon surrender of the annuity, including interest or bonus accrued on the annuity, is taxable in the year of receipt.

Also, it is to be noted that tax deduction under Section 80CCC is part of the overall deduction under Section 80C as deduction limit u/s 80CCC is clubbed with the limit of section 80C and 80CCD - which means the overall tax deduction limit that can be claimed is ₹1,50,000.

Section 80CCD (1)-Deduction under NPS

Employee's contribution under section 80CCD (1) Maximum deduction allowed is least of the following:

- 10% of salary (in case taxpayer is employee)
- 10% of total income (in case of self- employed)
- ₹1.5 Lakh (limit allowed u/s 80C)

Sec 80CCD(1b)-Under this section additional deduction of ₹50,000/- for amount deposited to NPS Account. Contributions to Atal Pension Yojana are also eligible for deduction under this section.

Sec 80CCD (2)-This section is applicable only to salaried individuals as per which deduction upto 10% of basic salary plus dearness allowance is allowed for benefit in the taxable income.

Other Tax Savings Option beyond Sec 80C

Apart from Sec 80C as mentioned above, there are various other sections in the Income Tax guidelines which allow to save tax. Few of the popular options available to the individuals are as follows:

- (i) Medical insurance premium can be claimed at ₹50,000. (₹25000/- for self and dependent family comprising spouse and children and additionally also claim ₹25000/- for dependent parents below 60 years). One can also claim medical insurance premium paid up to a maximum of ₹1,00,000/- per annum if availed for senior citizens. If senior citizens are not covered under any health insurance, then medical expenditure incurred can be claimed under 80D up to ₹50,000/-
- (ii) Under section 24, interest paid on a home loan can be claimed as a deduction up to ₹2 Lakhs. Other than this, Section 80EE also allows you to claim a deduction of up to ₹50,000 on home loan interest which is over and above the limit of section 24.
- (iii) A home loan would also help in reducing the taxable income as the principal portion of the EMI can be claimed u/s 80C upto ₹1.5 Lakh and the interest portion of the EMI can be claimed as a deduction from 'Income from House Property'.
- (iv) Interest paid of Education Loan is allowed as deduction under Sec 80E.

25.15 ESTATE PLANNING: TAX PLANNING THROUGH WILLS/ TRUSTS

It is important that every person must prepare a Will to provide for a smooth and litigation-free transfer of assets to his/her family in the manner as per wish. There are certain important aspects which needs to be noted before making the Will in order to make it legally valid. Also, by drafting a proper will, various income tax advantages can be extended to the legatees and other members of the family.

A Will is a disposition of estate comprising property, investments, etc. made by the owner of the estate during his lifetime but which is intended to take effect only after demise. A Will takes effect only on the death of its author or testator (the person who has made the will and given a legacy. For a Will to be valid, it needs to be made in conformity with the law of the country in which the immovable property is situated. Also, the will should be in conformity with the law of the testator's domicile country and state as applicable. The Wills made by Hindus, Buddhists, Jains and Sikhs need to be drafted as per the Hindu Wills Act, 1870, read with the Indian Succession (Amendment) Act, 1926. It is needed to be in writing, signed by the testator, or any person in his presence by his direction, and attested by at least two witnesses. There is no particular form of Will prescribed by law.

Also, an executor needs to be appointed as per the Will who is a trusted representative of the testator who needs to ensure that the last wishes of the testator are executed and fulfilled in the

manner as written in the Will. In case of a trust as per Will, the trustees should also be appointed. A specific legacy or device is the bequest of a definite thing or property out of the estate of the testator. The testator can also grant an annuity under a Will, which means a fixed payment of money periodically. A Will does not require any stamp paper and it can be simply written on plain paper in any language.

Creation of HUF through a Will

One of the important means of tax planning that can be adopted through a Will is the creation of a Hindu Undivided Family by way of transfer of property to one's son, spouse and children. This Hindu Undivided Family would be able to enjoy the separate exemption limit applicable to it under the Income Tax guidelines for the time being in force.

Bequest to Family Members

Through a Will, bequest can be made in the name of minor children or minor grand-children of the testator. Similarly, a Will can be drafted for transfer of property by way of legacy to every member of the family including daughters-in-law and other relatives thereby saving income tax. Similarly, funds and investments can easily be transferred to one's spouse and other family members through Will and obviously the provisions of clubbing under Section 64(1) of the I.T. Act would not be applicable.

Tax Planning for a Discretionary Trust through Will

There is also a provision to create a discretionary trust through a Will for the benefit of some persons particularly the members of the family whether alive at the time of making the Will or to be born later. In such a case, the provisions of Section 164 of Income Tax Act regarding the charging of income tax at maximum marginal rate in the case of a discretionary trust would not be applicable.

Tax Planning for a Trust for Business through Will

As per Section 161 (IA) of the I. T. Act, the business income of a trust is chargeable to tax at a maximum rate of tax. However, there is a provision under Section 161(JA) which provides that where the income of any private specific trust declared by a Will consists of or includes, any profits or gains of business, the rule regarding the chargeability of income at the maximum marginal rate would not be applicable, provided the trust so declared by any person by Will is exclusively for the benefit of any relative dependent on him for support and maintenance and such a trust is the only trust so declared by him. Similar there is a second proviso to Section 164(1) of Income Tax Act, which provides that in the case of a discretionary trust declared by a Will which carries on a business, the profits and gains of the business of such a discretionary trust would not be liable to income tax at the maximum marginal rate if the profits and gains are receivable under such trust exclusively for the benefit of any relative dependent on him for support and maintenance and such a trust is the only trust so declared by him. In this way,

by doing proper tax planning, a taxpayer can declare a discretionary trust for the exclusive benefit of his dependent relatives through only one such trust in a manner that the income of the discretionary trust after the demise consisting of his profits and gains of a business would be liable to tax like the income of an individual and not be chargeable at the maximum rate of tax.

Assessment of Executor after the Death of a Testator

After the death of an individual, the income from the estate of the testator is chargeable in the hands of the executor under the provisions of Section 168 of the I. T. Act. So as long as the distribution of the estate is not complete as per the Will, the executor would continue to be assessed in respect of the income of the estate of the deceased person as a separate person enjoying the separate exemption limit thereby saving tax through tax planning. Thus, the file of a deceased person even after death can be continued for a long time by proper drafting of a Will. The tax planning aspects of Estate Planning as described above clearly show how tax can be saved by a clear drafting a Will and avail the various tax advantages by the members of the family or other relatives to whom assets are bequeathed through a Will.

25.16 CAPITAL GAINS TAX

What is capital gains tax?

Any profit or gain that arises from the sale of a ‘capital asset’ is considered as an ‘income’, and hence, one needs to pay tax for that amount in the year in which the transfer of the capital asset takes place. The applicable tax is called capital gains tax. Capital Gains Tax are of two types:

- (i) short-term capital gains tax (STCG), and
- (ii) long-term capital gains tax (LTCG).

For example, A house property is a capital asset as per Income Tax guidelines. The gain or loss on the sale of house property is taxable and need to be filed in Income Tax return.

In case of inherited property, there is only transfer of property and no sale involved and hence, capital gains are not applicable. However, if the inherited property is sold, the capital gains tax will be applicable.

Capital Assets include Land, building, house property, vehicles, patents, trademarks, leasehold rights, machinery, jewellery, etc. It also includes having rights in or in relation to an Indian company and also, the rights of management or control or any other legal right.

STCG (Short-term capital asset): An asset held for a period less of 36 months or less is termed as short term capital asset. In case of immovable properties, the applicable period to be considered as short term capital asset is 24 months. There are certain assets in which the applicable period is 12 months or less. The rule is applicable if the date of transfer is after 10th July 2014 (irrespective of what the date of purchase is). These assets are:

- (i) Equity or preference shares in a company listed on a recognized stock exchange in India
- (ii) Securities (like debentures, bonds, govt. securities etc.) listed on a recognized stock exchange in India
- (iii) Units of UTI, whether quoted or not
- (iv) Units of equity oriented mutual fund, whether quoted or not
- (v) Zero coupon bonds, whether quoted or not

LTCG (Long-term capital asset): All those assets which are held for period more than that applicable period for STCG as mentioned above will be classified under long term capital asset. In such cases, capital assets such as land, building and house property shall be considered as long-term capital asset if the owner holds it for a period of 24 months or more. Similarly, equity or preference shares, securities, units of UTI or equity oriented MFs and Zero coupon bonds would be considered as long term asset in case they are held for a period of more than 12 months. Rest all assets if held for more than 36 months will be considered as long term assets.

In case of inherited assets, the period for which the asset was held by the previous owner is also included when determining whether it's a short term or a long-term capital asset. In the case of bonus shares or rights shares, the period of holding is counted from the date of allotment of bonus shares or rights shares respectively.

Few Important Terms

Full Value Consideration: The consideration amount received or to be received by the seller as a result of transfer of capital assets.

Cost of Acquisition: The cost at which the asset was acquired by the seller.

Cost of Improvement: All expenses of capital nature incurred by the seller by making additions or alterations to the capital asset.

Indexed Cost of Acquisition/ Improvement: The cost of acquisition and improvement is indexed by applying CII (cost inflation index) in order to adjust for inflation over the years of holding the asset. With this, the cost base is increased which effectively, lowers the capital gains.

The short term capital gain is calculated as follows:

$$\text{Short Term Capital Gain} = (\text{Full value consideration}) - (\text{Expenses incurred for such transfer}) - (\text{Cost of acquisition}) - (\text{Cost of improvement})$$

The long term capital gain can be calculated as follows:

$$\text{Long-term capital Gain} = (\text{Full value consideration}) - (\text{Expenses incurred for such transfer}) - (\text{Indexed cost of acquisition}) - (\text{Indexed cost of improvement})$$

The Indexed cost can be calculated as follows:

$$\text{Indexed cost of acquisition} = \frac{(\text{Cost of acquisition}) \times (\text{CII of the year in which the asset is transferred})}{(\text{CII of the year in which the asset was first held by the seller or FY 2001-02, whichever is later})}$$

$$\text{Indexed cost of improvement} = \frac{(\text{Cost of improvement}) \times (\text{CII of the year in which the asset is transferred})}{\text{CII (year of asset improvement)}}$$

Section 54: Exemption on Sale of House Property on Purchase of Another House Property

Long term capital gain is exempt in case of sale of house property by investing in up to two house properties against the earlier provision of one house property with same conditions. However, the capital gain on the sale of house property must not exceed ₹2 crores. The exemption is available when the capital gain from the sale of house property are reinvested into construction one or two another house properties.

Section 54F: Exemption on capital gains on sale of any asset other than a house property

The above section is available when there are capital gains from the sale of a long-term asset other than a house property. The entire sale consideration to be invested and not only capital gain to buy a new residential house property to claim this exemption. The property need to be purchased either one year before the sale or 2 years after the sale of the property. The gains can be invested in the construction of a property also. However, the construction must be completed within 3 years from the date of sale.

Section 54EC: Exemption on Sale of House Property on Reinvesting in specific bonds

Exemption is available under Section 54EC when capital gains from sale of the first property are reinvested into specific bonds upto ₹50 Lakh. The money invested can be redeemed after 5 years, but they cannot be sold before the lapse of 5 years from the date of sale. The investments need to be done within six months time from the date of transfer but on or before the tax filing date.

TAX TREATMENT OF GIFTS RECEIVED BY AN INDIVIDUAL

Gift is considered as sum of money or property received by an individual without consideration or a case in which the property is acquired for inadequate consideration.

From the taxation point of view, gift can be classified as follows:

1. Any sum of money received without consideration, it can be termed as ‘monetary gift’.
2. Specified movable properties received without consideration, it can be termed as ‘gift of movable property’.

3. Specified movable properties received at a reduced price (i.e. for inadequate consideration), it can be termed as 'movable property received for less than its fair market value'.
4. Immovable properties received without consideration, it can be termed as 'gift of immovable property'.
5. Immovable properties acquired at a reduced price (i.e. for inadequate consideration), it can be termed as 'immovable property received for less than its stamp duty value'.

If the following conditions are satisfied then any sum of money received without consideration (i.e., monetary gift may be received in cash, cheque, draft, etc.) by an individual will be charged to tax:

- Sum of money received without consideration.
- The aggregate value of such sum of money received during the year exceeds Rs. 50,000/-

LET US SUM UP

In simple terms, Financial Year is the year in which the income is earned and assessment year is the year in which the income is assessed to tax and all taxes are paid & tax returns filed. Assessment year is the year just succeeding the Financial Year. The current financial year is generally known as assessment year of the previous financial year. In simple language, for the purpose of income tax or income tax return, terms financial year and previous year are used interchangeably. *For the purposes of this Act, "previous year" means the financial year immediately preceding the assessment year.* From the tax perspective, a Financial year is the year in which a person earns an income. Assessment year is the year followed by the financial year in which the evaluation of the previous year's income is done, tax is paid on the same and ITR is filed. Taxation is the means by which a government or the taxing authority imposes or levies a tax on its citizens and business entities. The tax structure in India can be classified into two main categories, Direct Tax and Indirect Tax. With the implementation of goods and services tax (GST) regime from 01 July 2017, it has replaced all forms of indirect tax imposed on goods and services by the state and central governments.

Heads of income for the computation of the total income are Income from salary, Income from house property, Profits and gains of business or profession, Capital gains and Income from other sources. In Budget 2021, it has been proposed to exempt the senior citizens from filing income tax returns if pension income and interest income are their only annual income source. Section 194P has been newly inserted to enforce the banks to deduct tax on senior citizens more than 75 years of age who have a pension and interest income from the bank. Indian Income tax levies tax on individual taxpayers on the basis of a slab system. Individuals with Net taxable income less than or equal to ₹5 Lakh will be eligible for tax rebate u/s 87A i.e. tax liability will be nil of such individual in both – New and old/existing tax regimes. The Finance Minister introduced new tax regime in Union Budget, 2020 wherein there is an option for individuals and HUF

(Hindu Undivided Family) to pay taxes at lower rates without claiming deductions under various sections. The taxpayer opting for concessional rates in the New Tax regime will have to forgo certain exemptions and deductions available in the existing old tax regime. The tax rates in the New tax regime is the same for all categories of Individuals, i.e. Individuals & HUF upto 60 years of age, Senior citizens above 60 years upto 80 years, and Super senior citizens above 80 years. Hence no increased basic exemption limit benefit will be available to senior and super senior citizens in the New Tax regime. The new tax regime can largely benefit middle class taxpayers who have a taxable income upto ₹15 Lakh. Old regime is a better option for high-income earners. It is advisable to do a comparative evaluation and analysis under both regimes and then choose the most beneficial one as it may vary from person to person.

KEYWORDS

Assessment Year, Previous year, Assessee, Deemed Assessee, Assessee in default, AOP, GST, Direct Tax, Indirect Tax, Health & Education, Surcharge, HUF

CHECK YOUR PROGRESS

1. In New Tax Regime, the exemption limit for super senior citizen of age 80 years and above for Financial year 2021-22 is:

(a) ₹5/- lac	(b) ₹3/- lac
(c) Nil	(d) ₹2.5 lac
2. Rebate under Sec 87A of Income Tax Act helps tax payers to reduce their tax to Nil, if the total income after deductions under chapter VIA does not exceed ₹5/- lac in a financial year. This provision is applicable in:

(a) New Tax Regime only	(b) Old Tax Regime only
(c) (i) and (ii) both	(d) No such provision
3. If a person with higher income invests more in tax-saving schemes, out of the followings, which option is better from tax saving point of view,

(a) New Tax Regime
(b) Old Tax Regime
(c) Either of (a) or (b)
(d) Tax outgo is same in Old and New Tax Regimes

ANSWERS TO CHECK YOUR PROGRESS

1. (d) 2. (c) 3. (b)

UNIT 26

OTHER FINANCIAL SERVICES PROVIDED BY BANKS

STRUCTURE

- 26.0 Objectives
- 26.1 Introduction
- 26.2 Distribution of Third Party Products in Retail Banking
- 26.3 Mutual Fund Business
- 26.4 Insurance Business
- 26.5 Some Social Security Insurance Schemes
- 26.6 Cross Selling
- 26.7 Depository Services by Banks
- 26.8 Portfolio Management Services
- 26.9 Factoring
- 26.10 Other Agency Business by Banks

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

26.0 OBJECTIVES

After studying the unit, the readers would be able to understand:

- Significance of third party distribution of retail banking products
- Third party products distributed by banks
- Important features of Corporate Agency Model
- Mutual Fund distribution
- Bancassurance
- Cross Selling of Products
- Portfolio Management
- Social security schemes like PMJJBY, PMSBY
- Other agency business like sale of Sovereign Gold Bonds, Atal Pension Yojana, Sale of India Gold coins, etc.

26.1 INTRODUCTION

Banks are permitted to undertake certain eligible financial services or para banking activities either departmentally or by setting up subsidiaries. Para banking activities, including bancassurance, depository service, insurance, MFs, credit and debit cards, etc, have helped increase the reach of the banks and brought a vast segment of the population into the fold of basic financial services. These activities found inevitable in the recent fierce competition both from internally and externally banks are now-a-days facing, compels them to look for some other financial activities beyond their core activities to improve their bottom line. Let us discuss few of such Para banking activities being undertaken by banks in the unit.

26.2 DISTRIBUTION OF THIRD PARTY PRODUCTS IN RETAIL BANKING

Retail banking as a business model is primarily built on a large customer base and target products and services to this customer base and derives their profit from those operations. But the efforts of the banks in maximizing business per customer and profitability per customer have their limitations as banks could not address the entire need spectrum in financial services and could offer only banking and remittance products to their customers. But customers' needs extend beyond just banking services and encompasses insurance and other investment needs. Customers have to approach different service providers for their different needs like insurance, investment in mutual funds and other services like broking services, demat services, etc. While some of the services could be offered on a proprietary model, other services like insurance, mutual funds schemes, etc., could not be offered from the banks' own product. Banks are prohibited to offer such services on their own because of regulatory restrictions. But banks can offer the above services through the relevant service providers through agency arrangements with them. Banks are permitted to offer these services by Reserve Bank of India by acting as a Corporate

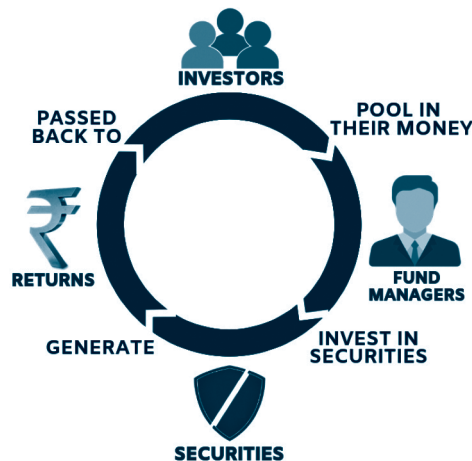
Agent and without any risk participation. Offering these services not only covers the entire need spectrum of the customers but also improves the fee based income of the banks as banks receive commission for acting as corporate agent for these service providers. The distribution of third party products has emerged as a key driver of revenue for the foreign banks and new generation private sector banks. Public sector banks also have entered third party distribution in a very aggressive way and converting their huge branch network into distribution channels for augmenting fee based income. This concept of selling products other than banking products is called “Para Banking”. Reserve Bank of India has prescribed guidelines for banks for doing different Para banking activities and has restricted the banks to do Para banking business within the ambit of the guidelines. Let us have a look at the guidelines for banks for doing Para banking activities with regard to mutual fund business and insurance business and insurance distribution business.

26.3 MUTUAL FUND BUSINESS

A mutual Fund is a form of collective investment that pools the savings from a number of investors who share a common financial goal. A mutual fund pools money from many investors and invests the money in stocks, bonds, short-term money-market instruments, other securities or assets, or some combination of these investments. The combined holdings the mutual fund owns are known as its portfolio. Each unit represents an investor’s proportionate ownership of the fund’s holdings and the income those holdings generate. The money which is collected by an Asset Management Company (AMC) is a part of the Mutual Fund, is invested in capital market instruments such as shares, debentures and other securities.

The AMC issues units to the investors in accordance with the quantum of money invested by them. Investors of mutual fund are known as Unit Holders. These unit holders share profit or losing proportion to their investments. It is mandatory for an AMC to be registered with Securities and Exchange Board of India (SEBI) which regulates the securities markets and mutual fund in India.

The function of Mutual Fund can be easily understood by the diagram given below.



Salient Features of Mutual Funds

- Professional Management – Money is invested through fund managers.
- Diversification – Diversification is an investing strategy that can be neatly summed up as “Don’t put all your eggs in one basket”. By owning shares in a mutual fund instead of owning individual stocks or bonds, the risk is spread out.
- Economies of Scale – Because a mutual fund buys and sells large amounts of securities at a time, its transaction costs are lower than what an individual would pay for securities transactions.
- Liquidity – Just like individual shares, mutual fund units are convertible into money by way of sale in the market.
- Simplicity – Buying a mutual fund unit is simple. Any bank has its own line of mutual funds, and the minimum investment amount is small.
- Investors should examine each of the above features carefully before investing in mutual funds.
- Choice of Schemes: A wide choice of fund scheme is available to the investors across the asset class.
- Tax benefits: Investors in mutual fund also enjoy tax benefit in selected schemes like ELSS (Equity Linked Savings Scheme) under 80c of I T Act 1961.

Types of Mutual Funds

Each fund has a predetermined investment objective that tailors the fund’s assets, regions of investments and investment strategies. At the fundamental level, there are three varieties of mutual funds:

- Equity funds (stocks)
- Fixed-income funds (bonds)
- Money market funds

All mutual funds are variants of these three asset classes. For example, while equity funds that invest in fast-growing companies are known as growth funds, equity funds that invest only in companies of the same sector or region are known as specialty funds.

Mutual Funds can also be classified as open-ended or closed-ended, depending on the maturity date of the fund.

Open-ended Funds

- An open-ended fund does not have a maturity date.
- Investors can buy and sell units of an open-ended fund from/to the Asset Management Company (AMC), at the mutual fund offices or their Investor Service Centres (ISCs) or through the stock exchange.

- The prices at which purchase and redemption transactions take place in a mutual fund are based on the Net Asset Value (NAV) of the fund.

Closed-ended Funds

- Closed-end funds run for a specific period.
- On the specified maturity date, all units are redeemed and the scheme comes to a close.
- The units shall be listed on a stock exchange to provide liquidity.
- Investors buy and sell the units among themselves, at the price prevailing in the stock market.

Interval Fund

- Interval Fund is a Mutual Fund wherein the fund house allows to purchase the units only during a particular pre-decided time period. These funds might invest in both equities and debt securities but they are mostly found to invest in debt instruments.
- Interval funds provide the perfect blend of both close ended funds and open ended funds. Similar to closed-end funds, the investors cannot buy/sell the units frequently in interval funds. These funds might be listed on a stock exchange like other closed-end funds. Fund houses may allow redemption during specified periods at prevailing Net Asset Value (NAV). Interval Funds have a lot in common with Fixed Maturity Plans (FMPs). Firstly, investors' money remains invested for a fixed tenure and the investment cannot be redeemed before maturity. The fund manager of these funds is better positioned to utilize the investments. Fund Manager allocates investors' money in securities for a tenure which matches the fund's maturity. This facilitates in forming a robust investment strategy which delivers better returns.

Categorization of mutual fund schemes

In order to bring the desired uniformity in the practice, across Mutual Funds and to standardize the scheme categories and characteristics of each category, SEBI advised to categorize the open-ended MF schemes as given below.

The Schemes would be broadly classified into following groups:

- a. Equity Schemes
- b. Debt Schemes
- c. Hybrid Schemes
- d. Solution Oriented Schemes
- e. Other Scheme

Equity Schemes

Invest in shares and stocks:

- Represent the largest category of mutual funds.
- Investment objective is long-term capital growth with some income.

- Many different types of equity funds because of the different types of investment objective. In equity schemes, a company is referred based on its market capitalization. Market capitalisation is the value of the stock that you arrive at by multiplying the stock price by the company's outstanding number of equity shares. There are three main classifications, viz., Large Cap, Mid Cap and Small Cap.

- a. Large Cap: 1st – 100th company in terms of full market capitalization
- b. Mid Cap: 101st – 250th company in terms of full market capitalization
- c. Small Cap: 251st – company onwards in terms of full market capitalization

Debt Schemes

Invest in debt instruments of different maturities. This ensures regular income.

Hybrid Schemes

Invest in Equity and debt instruments depending on the objectives of the schemes.

Solution Oriented Schemes

In case of Solution oriented schemes, there will be specified period of lock in. Examples of funds in the scheme are:

1. Retirement fund scheme: An open ended retirement solution oriented scheme having a lock-in of 5 years or till retirement age (whichever is earlier).
2. Children's Fund: An open ended fund for investment for children having a lock-in for atleast 5 years or till the child attains age of majority (whichever is earlier).

Other Schemes: Examples of this Schemes are Index fund schemes and ETF.

Mutual fund business by banks

Mutual Fund (MF) distribution by banks has emerged as a key element in fee based distribution model of banks. A new concept – mutual banking – has emerged offering new product and service innovations for the customers who avail of mutual fund products through banks. Product innovations had also happened with one MF launching a co-branded debit card for withdrawal upto specified limits of investments in MF schemes through bank accounts. Maximisation of comfort for the customer, bank and the MF is the basic premise on which these tie-ups are structured. A scientifically structured business implementation model will reap benefits for all concerned. MF distribution offers good scope for augmenting the fee- based income of banks. Upfront Commission, Trail (loyalty) Commission, Mobilisation incentives, Special Incentives, Collection Charges are the income triggers for New Fund Offers. For a single application, there are multiple revenue streams. The existing customer base serves as a captive prospective investor universe.

Banks as a distribution channel have huge potential to build and improve the retail side of the investors' universe of MFs, which is skewed towards the institutional side now. There is no

other distribution channel for MFs that can offer such a lucrative retail base on a platter by a tie-up. A trained frontline staff of the bank serves as ready-made marketer for distribution. For the bank, a strike rate of even 10 percent of the targeted customers will translate into huge volumes for the MFs to encash. In addition, the database can be used effectively for “Experience Marketing” of future products and “Product Co Creation” based on segments. The opportunity for the customers is to avail of non-banking financial products with multiple return matrices from their banking service providers without the strain of shopping in the market. Customers are offered a buffet of MF products with different themes and return expectations through the bank, based on their risk appetite.

Product: Banks with multiple tie-ups should decide on products of different MFs based on their customer segment and time preferences. New Fund Offers are there for all but in the case of existing schemes, a careful selection of MF products is a precursor for customer-oriented selling.

Risk: Unlike fixed deposits of banks, MF schemes carry capital risk and return risk. MFs do not normally guarantee returns for their investments and investments are subject to market vagaries. Banks should have in-house research to identify schemes based on the risk profile of their customers. Selection of products with performance above the level of their benchmark indices will minimise risk in a big way.

Opportunities: Investments in MFs are opportunities for customers to create wealth. In case of growth schemes, the buoyant capital market creates better opportunities for capital appreciation and returns, and the expertise of professional fund managers enhance the opportunities and deliver better returns. Products, which offer better returns over a period over the benchmark indices will increase the return expectations and should be factored in while structuring the matrix.

People: People are the driving force. People relate to both the internal and external customers. Internal customers comprise line staff members who actually market the schemes and external customers are target customers to whom the schemes are marketed by the internal customer. Selecting a marketing staff with the right aptitude and attitude will make sure that schemes reach the external customer and trigger the purchase intentions that are translated into sales. A careful selection of internal sales staff (who is going to sell) and right targeting of the external customers (to whom it is going to be sold) will make the distribution model more effective.

Appetite: The penchant for risk taking varies with customers across segments. The risk appetite for a rural affluent customer will be comparatively less than his urban counterpart. Product offering across segments should match the risk appetite of the respective segments.

Geography: Geography of the bank is the foremost advantage for the banks and MFs in the distribution model. In a single tie-up model, the idea is to simply sell across geography. With multi tie-ups, borders have to be clear. Banks should draw the distribution design based on the brand equity of the MF in specific or across geographic boundaries for better distribution efficacy. Banks should first decide on branches through which they are going to distribute MF products. The awareness level on MF in general and schemes in particular, varies across geographies

(rural, semi-urban, urban and metro) and also customer segments. A properly graded geography strategy will propel a smooth, seamless customer penetration and sales volumes.

Attributes: Attributes of products are borne out of product structuring and investment objectives. Growth Schemes, Income Schemes, Balanced Schemes, Index Schemes, etc., are some of the product attributes and Monthly Income Plan (MIP) and Systematic Investment Plan (SIP) have return and investment attributes. Attributes and their impact should be effectively communicated to the investing customers. Otherwise, it will result in customer dissatisfaction at a later stage.

Training: Training is the axle on which the entire mutual fund distribution revolves. Teaching the nuances of mutual funds to the sales staff is the starting point of implementation. Training and Certification Programme by the Association of Mutual Funds in India (AMFI) for distributing mutual fund products is essential for successful implementation of the distribution strategy. The content and communication of the trained staff will translate to better counselling to the target investors and better satisfaction levels. Banks should aim to achieve the training objectives for distribution objectives.

Education: Educating the external customer about the mutual funds first and the nuances of mutual fund investments next will be the ultimate decider for distribution success. Customers will always look for the direct assistance by the staff whose responsibility it is to educate and guide them into investing based on their risk return appetite, life cycle and wealth cycle. The education exercise is to be on a continuous basis.

Developing and implementing a robust PROPAGATE model will result in better mobilizations for banks. But two important developments in the recent past have affected the MF industry and hence the mobilisation has come down. The first one is the abolition of the collection of entry loads for equity based schemes. This is done to reduce the expenses customers have to pay for investing in equity schemes and the same will be used by the mutual funds to meet their distribution costs. Since, this has been abolished, mutual funds reduced their upfront commission to banks which in turn reduced the mobilizations and commissions as the commission offered has been reduced from around 3.5% to 4% to about 0.75% now. The second development is on the debt side and restrictions have been introduced on banks placing monies in debt funds. Thus was a major source of business for MFs and now the same is under threat now but this is not very relevant from the retail banking point of view.

But banks with their network and human infrastructure can offset the decrease in commission earnings by improving the volumes. With the upfront commission of 75 to 100 basis points for mainly equity schemes and a trail commission of about 50 to 60 basis points and a vast customer base who are investing in mutual funds through other than banks, the business segment is still attractive and has the capacity to generate good fee based income for the banks.

RBI guidelines on mutual fund business

- Banks shall not undertake mutual fund business with risk participation except through a subsidiary/joint venture set up for the purpose.

- Where a sponsoring bank undertaking the mutual fund business lends its name to the bank sponsored mutual fund, a suitable disclaimer clause shall be inserted while publicising new schemes to the effect that the bank is not liable or responsible for any loss or shortfall resulting from the operations of the scheme.
- Banks shall undertake agency business of mutual fund companies departmentally subject to compliance of the following additional conditions:
 - The investors' applications for purchase/sale of mutual fund units shall be forwarded to the mutual funds/registrars/transfer agents.
 - The purchase of units shall be at the customers' risk without the bank guaranteeing any assured return.
 - No mutual fund units shall be acquired from the secondary market or bought back from a customer for selling it to other customers.
 - Extension of credit facility to individuals against the security of mutual fund units shall be in accordance with the Master Directions on Credit Management.
 - A bank holding custody of mutual fund units on behalf of its customers shall keep the investments of the customers distinct from its own investments.

26.4 INSURANCE BUSINESS

Scope of marketing insurance products

Insurance is a financial risk management tool in which the insured transfers a risk of potential financial loss to the insurance company that mitigates it in exchange for monetary compensation known as the premium. An Insurance policy is a contract between the policy holder and the insurance company. Insurance policies are of different types depending on the risk they mitigate. Broad categories include:

- Health Insurance
- Life Insurance
- Asset Insurance

Business insurance and travel insurance are also available.

A person or entity who buys insurance is known as an insured or policy holder. The de-regularization of the market has freed up enormous ambit for the advancement of the insurance based trade in India and a free open market for entry.

Health Insurance

Health insurance is a contract between the insurance company and the insured person to cover the medical cost that might arise from illness, accidental injuries, surgeries and other medical complications. The Liberalization of the insurance sector as well as the increasing demand for

health insurance covers, especially from the middle class, have given a fillip to the growth of health insurance and today the sector is emerging as fastest growing segment in the non-life insurance industry. These insurance companies provide individual as well as floater policies. Group insurance are also in vogue.

Present players in Health Insurance Industry

We can divide them into THREE categories.

1. Standalone health insurance companies
2. Health Insurance from General insurance companies
3. Health Insurance from Life Insurance Companies.

Life Insurance products

There are different Life insurance products offerings catering to the investment needs and objectives of different kinds of investors. The broad categories of life insurance products are:

(a) Endowment policies

An endowment policy is a life insurance contract designed to pay a lump sum after a specific term (on its 'maturity') or on death. Typical maturities are ten, fifteen or twenty years up to a certain age limit. Some policies also pay out in the case of critical illness.

(b) Term Insurance Policies

The basic premise of a term insurance policy is to secure the immediate needs of nominees or beneficiaries in the event of the sudden or unfortunate demise of the policy holder. The policy holder does not get any monetary benefit at the end of the policy term except for the tax benefits he or she can choose to avail of throughout the tenure of the policy. In the event of the death of the policy holder, the sum assured is paid to his or her beneficiaries. Term insurance policies are also relatively cheaper to acquire as compared to other insurance products.

(c) Money back policies

Money back policies are basically an extension of endowment plans wherein the policy holder receives a fixed amount at specific intervals throughout the duration of the policy. In the event of the unfortunate death of the policy holder, the full sum assured is paid to the beneficiaries. The terms again might slightly vary from one insurance company to another.

(d) Pension plans

These policies are most suited for senior citizens and those planning a secure future, so that you never give up on the best things in life.

General insurance products

General insurance is typically defined as any insurance that is not determined to be life insurance. General Insurance comprises of insurance of property against fire, burglary, etc., personal

insurance such as Accident and Health Insurance and liability insurance which covers legal liabilities. General Insurance acts as the aegis to the financial casualties and alongside it also acts an economical back-up for a nation's economy.

Asset insurance

Many movable and immovable assets can be insured. It is the need of any bank to protect the assets charged to it. These assets are to be safeguarded by covering under insurance. Insurance on vehicles, machinery, livestock insurance etc. are some of the examples.

The Insurance Regulatory and Development Authority, an agency of the Government of India, is the regulatory body for the insurance sector's supervision and development in India.

Insurance business by banks

With the objective of increasing insurance penetration using the entire network of bank branches, the Finance Minister in the budget speech 2013–14 announced that banks will be permitted to act as insurance brokers. Consequent to the announcement, IRDA formulated and notified the IRDA (Licensing of Banks as Insurance Brokers) Regulations, 2013 to enable banks to take up the business of insurance broking departmentally. Banks are not allowed to undertake insurance business with risk participation departmentally and may do so only through a subsidiary/JV set up for the purpose.

- a. **Insurance business with risk participation through a subsidiary/joint venture:** Bank can undertake insurance business with risk participation through a subsidiary/joint venture set up for the purpose, subject to fulfilment of the eligibility criteria (ascertained as on March 31 of the previous year) as under:
 - It has a net-worth of ₹1000 crore and its minimum net worth shall not be less than ₹500 Crore after investing in the equity of such company;
 - It has the minimum prescribed capital (including Capital Conservation Buffer) after investment;
 - Its level of net non-performing assets is not more than 3 percent;
 - It has made a net profit in the preceding three financial years; and
 - The track record of the performance of its subsidiaries, if any, is satisfactory.
- b. **Banks undertaking insurance broking/corporate agency by a subsidiary/joint venture:** A bank can set up a subsidiary/joint venture company for undertaking insurance broking and corporate agency by fulfilling the eligibility criteria (as on March 31 of the previous year) as under:
 - Its net worth shall not be less than ₹500 Crore after investing in the equity of such company;
 - It has the minimum prescribed capital (including Capital Conservation Buffer) after investment

- Its level of net non-performing assets is not more than 3 percent;
 - It has made a net profit in the preceding three financial years; and
 - The track record of the performance of its subsidiaries, if any, is satisfactory.
- c. **Insurance broking services departmentally:** A bank may, at its option, act as an insurance broker departmentally subject to the conditions mentioned below:
- i. There shall be a Board approved policy encompassing the model of insurance distribution to be adopted, issues of customer appropriateness, suitability and grievance redressal.
 - ii. Bank should secure a license from IRDA for broking business.
 - iii. The bank shall at the time of application of license pay and non-refundable deposit and subsequently annual fee on securing license.
 - iv. The deposit of ₹50 Lakh is to be maintained by an insurance broker as per the IRDA (Licensing of Banks as Insurance Brokers) Regulations, 2013, as amended from time to time, shall be maintained with a scheduled commercial bank other than itself. The deposit shall have a lien with IRDA.
 - v. The bank shall ensure customer appropriateness and suitability as under:
 - All employees dealing with insurance agency/broking business shall possess the requisite qualification prescribed by IRDA.
 - There shall be standardised system of assessing the need/suitability of products for a customer and the initiation/transaction processes shall be segregated. Products with investment components shall require the bank to necessarily undertake a customer need assessment prior to sale whereas pure risk term products with no investment or growth component shall be deemed as universally suitable products.
 - The bank shall treat its customers fairly, honestly and transparently, with regard to suitability and appropriateness of the insurance product sold.
 - vi. It shall be ensured that performance assessment and incentive structure for staff is not violative of Section 10(1) (ii) of the BR Act, 1949 or the guidelines issued by IRDA in payment of commissions/brokerage/incentives. It shall also be ensured that no incentive (cash or non-cash) is paid to the staff engaged in insurance broking/corporate agency services by the insurance company.
 - vii. The bank shall not follow any restrictive practices of forcing a customer to either opt for products of a specific insurance company or link sale of such products to any banking product. It shall be prominently stated in all publicity material distributed by the bank that the purchase by a bank's customer of any insurance products is purely voluntary, and is not linked to availment of any other facility from the bank.
 - viii. A robust internal grievance redressal mechanism shall be put in place along with a Board approved customer compensation policy for resolving issues related to services offered. It shall be ensured that the insurance companies whose products are being sold have robust customer grievance redressal arrangements in place. The bank shall facilitate the redressal of grievances.

Functions of a direct broker

The functions of a direct broker shall include the following:

- a. Obtaining detailed information of the client's business and risk management philosophy;
- b. Familiarising himself with the client's business and underwriting information so that this can be explained to an insurer and others;
- c. Rendering advice on appropriate insurance cover and terms;
- d. Maintaining detailed knowledge of available insurance markets, as may be applicable;
- e. Submitting quotation received from insurer/s for consideration of a client;
- f. Providing requisite underwriting information as required by an insurer in assessing the risk to decide pricing terms and conditions for cover;
- g. Acting promptly on instructions from a client and providing him written acknowledgements and progress reports;
- h. Assisting clients in paying premium under section 64VB of Insurance Act, 1938 (4 of 1938); the provisions of section 64 VB of the act shall continue to determine the question of assumption of risk by an insurer;
- i. Assisting in the negotiation of the claims; and
- j. Maintaining proper records of claims.

Corporate agency of insurance companies

Banks undertake corporate agency of insurance companies departmentally.

Banks need not obtain prior approval of the RBI to act as corporate agents on a fee basis, without risk participation/undertake insurance broking activities departmentally, subject to IRDA Regulations. Banks offer insurance policies to their customers based on their knowledge of their situation and needs. When a bank becomes the corporate agent of an insurance company it is referred to as a bancassurance arrangement or partnership. Corporate Agents can represent three life insurer, three non-life insurer and three standalone health insurer. In addition, they can represent the two specialised insurance companies, Export Credit Guarantee Corporation and Agriculture Insurance Corporation of India.

Marketing and Distribution of Life Policies

The concept of distribution of insurance policies through the branches of banks is termed as "Bancassurance" in global parlance. Insurance companies use the network of bank branches and reach their customers through the branches for selling different insurance policies. By this, the insurance companies were able to derive good mileage through expanded reach and convert more business through the above initiatives. It is an attractive proposition for the bank also as banks will be able to derive more fee-based income without risk participation. The model has gained strength across the globe and the bancassurance model is gaining strength in India also.

The business model in life insurance is mainly dependant on the individual Agents in most of the life insurance companies. But some of the private insurers derive more than 40 % of their new premium form the bancassurance model. Banks after realizing the business potential from distribution of insurance products have entered into Corporate Agency arrangements with insurance companies for distribution of life products. Realising the potential of insurance business a number of banks have started new insurance joint venture companies both in the life and non-life side and this will be discussed separately.

Coming back to the insurance distribution, banks generally market the following products through their branch network. The type of products they sell mainly comprise of single premium products and regular periodical premium payment products depending on the needs of their prospects. In addition, Banks also market group insurance products to their customers based on definite group of customers like deposit holders and different loan customers. In group products, the group should be clearly defined and Bank will be the purchaser of the policy on behalf of the defined group. As per IRDA guidelines, there should not be any deviation in the defined group for which group policy is purchased by the Bank from the insurers.

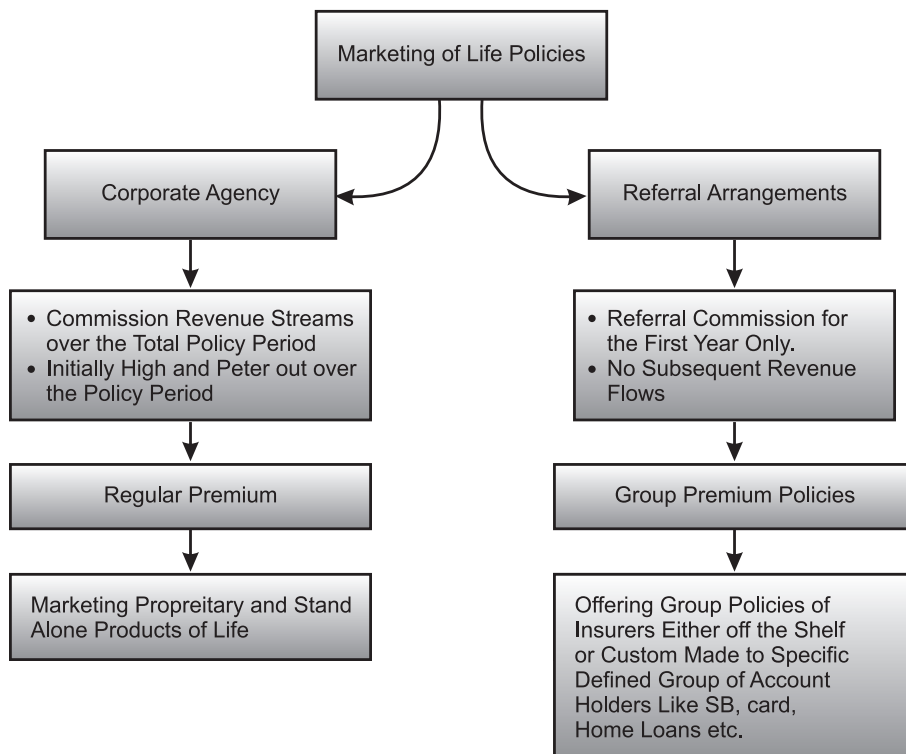


Fig. 25.1 Distribution of Life Insurance Products

Group Insurance Products

Group insurance products are offered by life insurers for specific and identified groups for providing life cover at a competitive premium as compared to regular policies. As per the guidelines of IRDA, when group products are offered by the insurers, the group should be homogenous and clearly defined and each member of the group should conform to the group definition. Any deviation from the defined group will not be allowed. The important features of the group insurance products offered by banks are discussed below:

- i. Banks offer different group insurance covers to their customers as a value addition to their product offerings.
- ii. In the life insurance side, group covers are offered to cover the life of the group members (customers) who have availed specific product/s from the bank.
- iii. Banks are offering group insurance cover to their customers who are having different types of accounts viz. Savings, Current Account Holders, Loan Borrowers, Term Deposit, Recurring Deposit Holders, etc.
- iv. The group covers offered are basically of two types. The first type of cover is the simple fixed cover on the happening of natural death or accidental death and the amount of cover is fixed. (say for example ₹1 lakh for natural death and ₹2 lakh for accidental death). In these type of covers, the premium will be charged on an annual basis.
- v. The second type of cover is the dynamic cover provided to borrowal accounts on a reducing basis in line with the repayment of the loan. The cover is made available for retail loans and housing loans with the mortgage backing. The premium payment for the cover is on a single premium mode covering the repayment period of the loan and the cover is available in case of death of the borrower during the repayment period and restricted to the regular outstanding in the loan account, i.e., the cover will not take care of overdue amounts in the loan.
- vi. Banks are offering the cover as a tagged facility for value enhancement of the product and also to elevate the customer satisfaction in addition to being a risk mitigation tool for the customer and protection for the family of the account holder.
- vii. The income potential in group cover is attractive as banks are reimbursed with marketing expenses of about 10% to 15% of the premium mobilised.

26.5 DISTRIBUTION OF NON-LIFE INSURANCE PRODUCTS

In the non-life side, banks offer the entire spectrum of non-life insurance products both standalone regular products and group products. The scope for marketing of non-life products to the borrowal customer base is huge as the conversion rates are very low. Non-life cover is basically about covering different types of assets like building, machinery, stocks, fleet, etc., and banks' lending extends to all these areas. Hence, there is a captive market for banks to generate insurance premium from these accounts through proper soliciting of business from their borrower customers as insurance is a subject matter of solicitation. This will generate fee

based income by way of commission ranging from 10% to 15% as fixed by IRDA for different types of asset insurance.

In the group insurance side, group health policies are offered by some banks as a value addition to their account holders. The policies are offered to the customers on a floater basis covering the account holders and their families (self+ spouse+2 children and also parents on additional payment of premium). The advantage of these group policies over the regular policies is that the premium rates are very less (about 50%) as compared to standalone policies and banks are aggressively marketing these group products to their customers. The income from this segment for banks is attractive with a 15% commission income on premium mobilised.

26.6 SOME SOCIAL SECURITY INSURANCE SCHEMES

The Central Government introduced PMJJBY and PMSBY under financial inclusion program. Banks undertake agency business of these schemes:

1. Pradhan Mantri Jeevan Jyoti Bima Yojana – PMJJBY

PMJJBY is an Insurance Scheme offering life insurance cover for death due to any reason. It would be a one year cover, renewable from year to year. The scheme would be offered/ administered through LIC and other Life Insurance companies willing to offer the product on similar terms with necessary approvals and tie-ups with banks for this purpose.

- **Scope of coverage:** All individual account holders of participating banks in the age group of 18 to 50 years will be entitled to join. In case of multiple bank accounts held by an individual in one or different banks, the person would be eligible to join the scheme through one bank account only. Aadhar would be the primary KYC for the bank account.
- **Enrolment period:** For the cover period 1st June to 31st May, subscribers are required to enrol and give their auto-debit consent by 31st May of policy commencing year. Those joining subsequently would be able to do so with payment of full annual premium for prospective cover.
- **Benefits:** ₹2 lakh is payable on member's death due to any cause.
- **Premium:** ₹ 436/- per annum per member.
- **Termination of assurance:** The assurance on the life of the member shall terminate on any of the following events and no benefit will become payable there under:
 - a. On attaining age 55 years (age near birth day) subject to annual renewal up to that date (entry, however, will not be possible beyond the age of 50 years).
 - b. Closure of account with the bank or insufficiency of balance to keep the insurance in force.
 - c. In case a member is covered under PMJJBY with LIC of India/other company

through more than one account and premium is received by LIC/other company inadvertently, insurance cover will be restricted to ₹2 Lakh and the premium paid for duplicate insurance(s) shall be liable to be forfeited.

- **Appropriation of Premium:**

- Insurance Premium to LIC/insurance company: ₹289/- per annum per member
- Reimbursement of Expenses to BC/Micro/Corporate/Agent: ₹30/- per annum per member
- Reimbursement of Administrative expenses to participating Bank: ₹11/- per annum per member

2. Pradhan Mantri Suraksha Bima Yojana (PMSBY)

PMSBY will be an Accident Insurance Scheme offering accidental death and disability cover for death or disability on account of an accident. It would be a one-year cover, renewable from year to year.

- **Scope of coverage:** All individual bank account holders in the age group of 18 to 70 years in participating banks will be entitled to join. In case of multiple bank accounts held by an individual in one or different banks, the person would be eligible to join the scheme through one bank account only. Aadhar would be the primary KYC for the bank account.
- **Enrolment Modality/Period:** The cover shall be for the one year period stretching from 1st June to 31st May for which option to join/pay by auto-debit from the designated bank account on the prescribed forms will be required to be given by 31st May of every year. Joining subsequently on payment of full annual premium would be possible.
- **Benefits:** As per the following table

	Table of benefits	Sum insure
1.	Death	₹2 lakh
2.	Total and irrecoverable loss of both eyes or loss of use of both hands or feet or loss of sight of one eye and loss of use of hand or foot	₹2 lakh
3.	Total and irrecoverable loss of sight of one eye or loss of use of one hand or foot	₹1 lakh

- **Premium:** ₹ 20/- per annum per member. The premium will be deducted from the account holder's bank account through 'auto debit' facility in one instalment on or before 1st June of each annual coverage period under the scheme. However, in cases where auto debit takes place after 1st June, the cover shall commence from the date of auto debit of premium by bank.

- **Termination of cover:** The accident cover for the member shall terminate on any of the following events and no benefit will be payable there under:
 - a. On attaining age 70 years (age nearest birthday).
 - b. Closure of account with the bank or insufficiency of balance to keep the insurance in force.
 - c. In case a member is covered through more than one account and premium is received by the Insurance Company inadvertently, insurance cover will be restricted to one bank account only and the premium paid for duplicate insurance(s) shall be liable to be forfeited.
- **Appropriation of Premium:**
 - a. Insurance Premium payable to Insurance Company: ₹ 20/- per annum per member.
 - b. Reimbursement of Expenses to BC/Micro/Corporate/Agent by insurer: ₹1/- per annum per member.
 - c. Reimbursement of Administrative expenses to participating Bank by insurer: ₹1/- per annum per member.

26.7 CROSS SELLING

Cross Selling of products

What is cross selling? To put it in a simple way, selling one or more additional products to the existing customer base so as to generate more business and profit per customer. In the retail banking side almost all banks, including those with the public sector, are following standard strategies with a slew of housing, auto, education and consumer loans and other niche products to add volume to their retail asset book. The pricing of these products (a maximum variation of 25 basis points) and value propositions offered being almost same, the gap which existed in the price – value grid among the different banks has shrunk considerably. The technology advantage boasted by the foreign and new generation private banks has also evened out. Now, all banks are fighting the retail battle, targeting the prospective customer universe with more or less similar strategies and insignificant product/value differentiation, trying to expand the customer base and achieve their retail asset targets and profits.

All are successful is a general statement, but how to succeed better than others is the business objective. To achieve this, what can banks do? One of the answers to this question is “Search thyself”. In a situation where banks are stepping on the accelerator to expand their customer base and develop and implement strategies to bring additional customers involving additional cost, searching thyself (customer mining) will give definite clues for cross selling.

As said earlier cross selling is selling an additional product/service to an existing customer. Relating it to the retail asset expansion scenario, it is generating new/additional retail asset(s)

from a liability. In other words, if the bank is able to sell an asset product (housing/car/educational loan) to a savings/current/ deposit account holder successfully, then it is cross selling.

Is cross selling not happening in banks now? It was and is, but how? In the olden days of liability-oriented marketing, cross selling was happening mostly on the liability side by marketing a high-cost term deposit product to a savings/current account holder, resulting in additional cost. This was done at the instance of customers as well as prompting by the branch personnel. In the present day retail banking scenario, systematic cross selling of assets is happening in some banks, but in most others, an integrated approach to retail asset expansion through cross selling is still at a nascent stage.

Details and data of cross selling initiatives and results by banks in India are not available, but the international data make a strong case for systematic cross selling initiatives by banks, especially PSBs.

Why Cross Selling?

- i. The prime point for cross selling is the cost factor. It zeroes in on the cost of new customer acquisition for asset expansion and the cost of cross selling to an existing customer. According to *Money* magazine, it costs a bank five times less to cross sell an existing client than to acquire a new one. Another finding says that it costs four times as much to get a new customer as it does to keep an existing one. The underlying is the cost advantage of selling to an existing client.
- ii. The second important reason is the profit. Cross selling an asset/additional asset product to an existing customer improves the profits, in general, and profits per customer, in particular.
- iii. Cross selling fosters brand loyalty. A customer who has availed himself of more than one product from the bank is drawn closer to the bank than a customer who has taken only one product. If a customer having a savings account has taken a consumer/personal loan, the chances of switching to another bank is less than when he has only savings account. If, in addition, he takes a housing loan or any mortgage product, the chances of bank hopping reduces further. Research studies have established that the percentage of loyalty increases with the number of products the customer takes. The reasons may be for convenience, service, price and value offerings by the bank for the total product solutions to the customer.
- iv. Cross selling helps banks to plan, implement and maintain better customer relationship management programmes (CRM) as it gives clarity to developing plans based on the customers' relationship profile.

Potential for Cross Selling

The success of a cross selling programme stems from the potential available for the same. A research study of a sample of rural, semi-urban, urban and metro customers of a PSB revealed that the percentage of Savings, Current and Term Deposit customers who have additionally taken a credit product from the bank is very low indicating the enormous scope for cross selling.

The scope may be determined by the percentage of total asset accounts to the total deposit accounts after applying discounting and filtering tools based on segments, incomes and existing relationship.

Strategies for Effective Cross Selling

- i. A robust customer database is foremost for effective cross-selling. The database is the core on which the entire cross-selling strategy is built.
- ii. Based on the customer relationship history and the cross-selling model, a broad mapping of the customer profile and retail products to be cross sold has to be done.
- iii. The mapped data has to be sliced and diced to develop specific asset related cross-selling information.
- iv. The cross-selling information has to be put in place for staff (internal customers) to view and communicate to the target customer group.
- v. The internal customers should be trained to effectively cross sell and convert the initiatives into business.
- vi. Cross-selling is a team effort and success depends on the attitude and involvement of all the staff concerned.
- vii. The success of cross-selling depends on offering at the right time, the relevant product to the customer. It will be a futile exercise to cross sell a product which is not needed or relevant for the customer.
- viii. The strategy has to percolate from the corporate to the branch level based on customer database across geographies.
- ix. Dynamic feedback from the line level should be taken cognizance of for fine-tuning/re-tuning the strategies.
- x. Selecting the target customer group is essential for cross-selling success. Selling the right product to the right customer improves the relationship.
- xi. Cross-selling is more relationship- than transaction-based. At any point of time, the cross selling initiative by the line staff should not be an irritant for the customer.

The above strategies if put in place will definitely expand the retail credit portfolio of the banks and will result in better realization of fund based income by means of interest. The above concepts are applicable to fee based products also for increasing the fee based income. But the values in the fee based offerings like insurance, mutual funds should be properly showcased to the customers. Then only customers will realise the value of the offerings and avail the services.

26.8 DEPOSITORY SERVICES BY BANKS

With a view to adding value to banking services and making available the numerous benefits of depository system to clients, some banks have been offering DEMAT/Depository services through both the Depositories viz., National Securities Depository Limited (NSDL) and Central Depository Services (India) Ltd. (CDSL).

A **“Depository”** is a provider of the facility for holding and/or transacting securities (like shares, debentures, bonds, government securities, mutual fund units, etc.) in, book entry form. Physical securities can be converted in to book entry form i.e., electronic form by way of or dematerialization. Dematerialization is a process by which physical certificates are converted into electronic form. A depository functions somewhat similar to a commercial bank. To avail the services offered by a depository, the investor has to open a demat account with a registered Depository Participant (DP). All types of equity/debt instruments, viz., equity shares, preference Shares, partly paid shares, bonds, debentures, commercial papers, certificates of deposit, government securities (G-SEC), etc., irrespective of whether these instruments are listed/unlisted/privately placed can be dematerialized with the depository, if they have been admitted with the depository. Dematerialised shares do not have any distinctive numbers. These shares are fungible. This means that all the holdings of a particular security will be identical and interchangeable. Rematerialization is the process of converting securities held in a demat account in electronic form back in physical certificate form.

Depository Participant (DP) is an agent of the depository who is authorized to offer depository services to investors and is registered as a DP with SEBI. Financial institutions, banks, custodians, stockbrokers and other types of intermediaries specified under SEBI (Depositories and Participants) Regulations, 1996, complying with the requirements prescribed by SEBI/Depositories can be registered as DP. An investor will always interact with a DP for the services and cannot directly approach the depository for any services except for Redressal of Grievances.

A Depository provides following services to investors through a DP:

- a. Opening a demat account.
- b. Dematerialization.
- c. Rematerialization.
- d. To maintain record of holdings in the electronic form.
- e. Facilitate settlement of trades by exchanges/Clearing corporations by delivering/receiving underlying securities from/in Beneficial Owner (BO) accounts.
- f. Facilitate transfer of securities between BOs.
- g. Receiving electronic credit in respect of securities allotted by issuers under IPO or otherwise.
- h. Receiving non-cash corporate benefits, such as, allotment of bonus and rights shares or any other non-cash corporate benefits given by the issuers in electronic.
- i. Facilitate pledging of dematerialized securities.
- j. Freezing of the demat account for debits, credits or both.
- k. Subscription/Redemption of mutual fund units in demat form.

The investor whose securities are held in electronic form in a demat account opened with a depository through a Depository Participant is called as ‘Beneficial Owner’ (BO). All the benefits as a result of the holding the securities are given to such beneficial owner.

International Securities Identification Number (ISIN) is a unique 12-digit alphanumeric code given to a security, shares, Debentures, Bonds, etc., when the security is admitted in the depository system. First two digits of the ISIN code indicate the country of registration for the security. For all securities registered on depository in India, the first two digits of the ISIN code are 'IN'. Different securities issued by the same issuer will have different ISIN code.

Demat Accounts

Demat account is one of the very important components of the retail banking bouquet offered by banks. It provides the customer additional convenience for dealing with his securities in a hassle free manner. Almost all the banks offer Demat Account facility to their customers. Additionally, some banks offer the provision of trading facility also under tie-up with brokers so that the requirement of trading, demat and account requirements are met in a single platform.

Opening a Demat Account

To start dealing in securities in electronic form, one needs to open a demat account with a DP of his choice. An investor already having shares in physical form should ensure that he gets the account opened in the same set of names as appearing on the share certificate; otherwise a new account can be opened in any desired pattern by the investor. The process of opening a Demat account is briefly explained below:

1. Choose a DP.
2. Fill up an account opening form provided by DP, and sign an agreement with DP in a standard format prescribed by the depository.
3. Comply with KYC requirements. SEBI has made it mandatory for all existing and new account holders to submit a copy of their PAN card, along with the original for verification. Aadhaar is also to be linked to demat account.
4. DP provides the investor with a copy of the agreement and schedule of charges for his future reference.
5. DP opens the account and provides the investor with a unique account number, also known as Beneficiary Owner Identification Number (BOID).
6. An investor is allowed to open more than one account with existing DP or with different DPs.
7. There is no stipulated minimum balance of securities to be kept in a demat account.
8. One must make sure to open a demat account in the same ownership pattern in which the physical securities are held. For example: If you have two share certificates, one in your individual name (say 'X') and the other held jointly with some other individual (say 'XY'), then in such a case you will have to open two different accounts in respective ownership patterns (one in your name, i.e., 'X' and the other account in the name of 'XY').
9. No investor can open a demat account on "E or S" basis like a bank account.
10. It is possible for an account holder (Beneficiary Owner) to authorize some other person to operate the demat account on his behalf by executing a power of attorney. After submitting

the power of attorney to the DP, that person can operate the account on behalf of the beneficiary owner (BO).

11. It is not possible to make changes in the names of the account holders of a BO account. A new account has to be opened in a desired holding/ownership pattern.
12. An investor, if he wants, can also close his demat account with one DP and transfer all the securities to another account with existing or a different DP.
13. The account holder can freeze his demat account for a desired time period. A frozen account prevents securities to be transferred out of (Debit) and transferred into (Credit) the account.
14. Dematerialised securities are fungible assets. Therefore, they are interchangeable and identical.
15. The process of getting the securities in an electronic form, converted back into the physical form is known as Rematerialisation. An investor can rematerialise his shares by filling in a Remat Request Form (RRF).

A Demat account can be opened in the name of a minor. The account will be operated by a guardian till the minor becomes major. But minor cannot be a joint holder in a demat account.

The benefits of availing depository services are enumerated below:

- A safe and convenient way to hold securities;
- Immediate transfer of securities;
- No stamp duty on transfer of securities;
- Elimination of risks associated with physical certificates such as bad delivery, fake securities, delays, thefts, etc.;
- Reduction in paperwork involved in transfer of securities;
- Reduction in transaction cost;
- No odd lot problem, even one share can be traded;
- Nomination facility available;
- Change in address recorded with DP gets registered with all companies in which investor holds securities electronically eliminating the need to correspond with each of them separately;
- Transmission of securities is done by DP eliminating correspondence with companies;
- Automatic credit into demat account of shares, arising out of bonus/split/consolidation/merger, etc.;
- Holding investments in equity and debt instruments in a single account.

A bank providing depository services as a Depository participant shall hold a certificate of registration issued by SEBI. Every participant shall enter into an agreement with a beneficial owner before acting as a participant on his behalf, in a manner specified by the depository in its bye-laws.

Every participant shall maintain the following records and documents, namely:

- a. Records of all the transactions entered into with a depository and with a beneficial owner;
- b. Details of securities dematerialised, rematerialised on behalf of beneficial owners with whom it has entered into an agreement;
- c. Records of instructions received from beneficial owners and statements of account provided to beneficial owners; and
- d. Records of approval, notice, entry and cancellation of pledge or hypothecation, as the case may be.

26.9 PORTFOLIO MANAGEMENT SERVICE (PMS)

“Portfolio” means the total holdings of securities belonging to any person. Portfolio Management is an investment advisory discipline that incorporates financial planning, investment portfolio management and a number of aggregated financial services. High net worth individuals, small business owners and families who desire the assistance of a financial advisory specialist call upon wealth managers to coordinate retail banking, estate planning, legal resources, tax professionals and investment management. Portfolio management services form part of Wealth management services which comprise of following key function areas:

- a. Financial Planning
- b. Portfolio Strategy Definition/Asset Allocation/Strategy Implementation
- c. Portfolio Management – Administration, Performance Evaluation and Analytics
- d. Strategy Review and Modification

Large banks and large brokerage houses create segmentation marketing-strategies to sell both proprietary and non-proprietary products and services to investors designated as potential high net-worth customers. Banks and brokerage firms use advisory talent pools to aggregate these same services.

Portfolio management services given by banks

A bank shall start or introduce any new portfolio management service (PMS) or similar scheme or set up a subsidiary for the purpose only with the approval of RBI. Portfolio Management Services means the service offered by a portfolio manager as defined in the SEBI (Portfolio Managers) Regulations, 1993. A bank undertaking PMS departmentally shall ensure compliance with the following conditions:

- i. PMS shall be in the nature of investment consultancy/management, for a fee, entirely at the customer's risk without guaranteeing, either directly or indirectly, a pre-determined return.
- ii. The fee charged shall be independent of the return to the client.
- iii. The funds shall not be accepted for portfolio management for a period less than one year. In the case of placement of funds for portfolio management by the same client on more

than one occasion, on a continuous basis, each such placement shall be treated as a separate account and each such placement shall be for a minimum period of one year.

- iv. Funds accepted for portfolio management from the clients, shall not be entrusted to another bank for management.
- v. Portfolio funds shall not be deployed for lending in call money/bills market, and lending to/ placement with corporate bodies.
- vi. The bank providing PMS shall maintain client wise account/record of funds accepted and investments made there against, and all credits (including realised interest, dividend, etc.) and debits (tax deducted at source in respect of interest/dividend on securities) shall reflect in such account. The account holder shall be entitled to get a statement of his portfolio account.
- vii. The bank's own investments and investments belonging to the PMS clients shall be kept distinct from each other. Transactions between the bank's investment account and portfolio account shall be strictly at market rates.
- viii. The bank shall maintain a 'Clients' Portfolio Account' in its general ledger, reflecting the funds received by it for portfolio management on a day to day basis. The balance lying in this account (i.e. undeployed funds, if any, from this account) shall be treated as outside borrowings of the bank and it shall maintain cash reserve ratio/statutory liquidity ratio on such funds. The bank's liability to its clients in respect of funds accepted by it for portfolio management shall be properly reflected in the bank's published books of accounts.
- ix. There shall be a clear functional separation of trading and back office functions relating to banks' own investment accounts and PMS clients' accounts.
- x. PMS clients' accounts shall be subjected by banks to a separate audit by external auditors.
- xi. Portfolio management Services has been discussed in detail in unit 26 of this book.

Wealth Management – Indian Scenario

India has registered tremendous growth in terms of the population of High Net Worth Individuals (HNWIs) and their wealth after the global financial crisis. 'Tax planning and advisory asset management and is the most demanded services among HNWIs. In products, HNWIs have again started investing in equities with 31% of the total investment in equities. However, fixed income investment is still a favourite among HNWIs, attracting around 65% of the total investment invested in financial assets. Wealth management firms are now targeting this highly untapped market, offering HNWIs highly customized services and multiple investment opportunities.

Following are some of the banks that focus on the wealth management space in India:

- Citi Bank, BNP Paribas, Societi Genarale, Standard Chartered Bank, Deutsche Bank
- ICICI Bank, Axis Bank, HDFC Bank, Kotak Mahindra Bank
- State Bank of India and BOB amongst PSBs
- NBFCs like IIFL Wealth, Edelweiss Wealth

Among the different institutions operating in India wealth management industry is largely

dominated by ICICI, HDFC, and Kotak – top three players. Players such as HSBC and Standard Chartered are also making their presence felt not only through geographical expansion but also by improving products and technology.

Advantages for Customers

- a. **Helpful in Tax Planning:** The wealth management professional always shows the good path to the customers and provide the service of tax planning and how to minimize the tax and save more money.
- b. **Helpful in Selection of Investment Strategy:** Another advantage from the customer point of view is with professional help, the customer can easily know the investment strategy and analyse risk and return.
- c. **Helpful in Estate Management:** With the help of wealth management professional they can also manage their estate. Estate management is a task to provide objective administration of funds tailored to aim in responsible distribution and protection of overall estate.
- d. **Helpful in forward planning:** Helps in forward planning in a professional way as the estate grows and changes occur.

The wealth management industry in India is poised for significant expansion, given the favourable market landscape and expected regulatory boosts for the sector. This provides exciting growth opportunities which will drive rapid market expansion, coupled with an increase in the number of industry participants. To successfully tap into this potential, financial services organizations must undertake a customized approach, taking into account the specific attributes of the Indian market. This will need to be supported by a robust and cost-effective business model focused on improved transparency and compliance, synergistic partnerships and efficient technology solutions.

26.10 FACTORING

Factoring is a financial option for the management of receivables. In factoring, a financial institution (factor) buys the accounts receivable of a company (Client) and pays of the amount after retaining a small portion, immediately on agreement. Factoring company pays the retained portion to the client when the customer pays the debt. Either the factor or the client depending upon the type of factoring does collection of debt from the customer.

Scope of factoring services in India

Factoring is one of the upcoming sources of finance for SMEs in India. One of the key constraints impacting the Micro, Small and Medium Enterprises (MSMEs) is inadequate finance, particularly working capital. In the case of MSMEs, the need for quick conversion of trade receivables, an important component of current assets of business entities, into cash assumes great importance since the lack of opportunities affects their liquidity and thereby their business, quite significantly. It is, however, observed that at present not many avenues exist for these enterprises to convert

their receivables before maturity except through availing bill finance facility from a bank. One of the principal instruments of working capital is trade finance including bill discounting and factoring. It is estimated that only 10% of the total receivable market is presently covered under formal bill discounting mechanism in the financial system, while the rest is covered under conventional cash credit/overdraft arrangements with banks.

The issue of delayed payments of MSMEs, continues to persist primarily because of the dependency of the MSMEs on the corporate buyer and the inability of the MSMEs to take up the problem of delayed payments through appropriate institutional setup created for the purpose. Thus, there is a need to build a suitable institutional infrastructure which will not only enable an efficient and cost effective factoring process to be put in place, but also ensure the creation of sufficient liquidity for all stakeholders through an active secondary market for the same.

RBI guidelines on factoring service

a. Factoring business through a subsidiary:

The aggregate of equity investment in factoring subsidiaries and factoring companies shall not exceed 10% of the bank's paid up capital and reserves.

b. Factoring business departmentally:

Factoring business undertaken departmentally shall be subject to the following conditions:

- i. Factoring services shall be provided on with recourse or without recourse or on limited recourse basis.
- ii. All underwriting commitments pertaining to the credit risk on the debtor, under without recourse factoring, shall be in accordance with the Board approved limits.
- iii. A thorough credit appraisal of the debtors shall be carried out by banks before entering into any factoring arrangement or establishing lines of credit with the export factor.
- iv. Factoring services shall be extended for invoices representing genuine trade transactions.
- v. Factoring shall be treated on par with loans and advances and shall accordingly be subject to extant prudential norms on loans and advances as applicable.
- vi. To avoid double financing, banks and factors shall put in place a mechanism for sharing information about common borrowers. The borrower's bank shall obtain periodical certificates from the borrower about factored receivables. Factors shall also ensure to intimate the limits sanctioned to the borrower to the concerned banks. Information available on CERSAI shall also be considered.
Explanation: A common borrower is a person/entity who has availed a credit facility from a bank and is also the assignor under factoring arrangement.
- vii. Credit information regarding the non-payment of dues by the person on whom exposure was booked shall be furnished to the Credit Information Companies authorized by RBI subject to the guidelines under Credit Information Companies (Regulation) Act, 2005.
- viii. The exposure for facilities extended by way of factoring services shall be reckoned as under:

- a. The exposure shall be reckoned on the assignor for factoring on with-recourse basis.
- b. The exposure shall be reckoned on the debtor for factoring on without-recourse basis. Provided that exposure shall be on the import factor in cases of international factoring.
- c. The exposure shall be reckoned on the 'assignor' or the 'debtor' or the 'import factor', for factoring on limited recourse basis, depending on the terms of agreement.

Trade Receivables Discounting System(TReDS)

TReDS is an initiative by Reserve Bank of India (RBI) under Payment and Settlement Systems Act 2007 to facilitate MSME receivable payments from corporates. The main objective of the TReDS platform is to address the critical needs of MSMEs i.e. the twin issues of promptly encashing receivables and eliminating the credit risk. MSME sellers, corporate and other buyers, including the Government Departments and PSUs, and financier (both banks and NBFC factors) will be direct participants in the TReDS. The platform has doubled its business volumes to over ₹13400 Crore in 2021-22 as against business of ₹6500 Crores in the previous fiscal year. The TReDS platform was launched in 2016.

26.11 OTHER AGENCY BUSINESS BY BANKS

Sale of Sovereign Gold Bonds (SGBs)

Sovereign Gold Bonds (SGBs) are government securities denominated in grams of gold. They are substitutes for holding physical gold. Investors have to pay the issue price in cash and the bonds will be redeemed in cash on maturity. The Bond is issued by Reserve Bank of India on behalf of Government of India.

The quantity of gold for which the investor pays is protected, since he receives the ongoing market price at the time of redemption/premature redemption. The SGB offers a superior alternative to holding gold in physical form. The risks and costs of storage are eliminated. Investors are assured of the market value of gold at the time of maturity and periodical interest. The Bonds shall bear interest at the rate of 2.50 per cent (fixed rate) per annum on the amount of initial investment. Interest shall be paid in half-yearly rests and the last interest shall be payable on maturity along with the principal.

SGB is free from issues like making charges and purity in the case of gold in jewellery form. The bonds are held in the books of the RBI or in demat form eliminating the risk of loss of scrip, etc. There may be a risk of capital loss if the market price of gold declines. However, the investor does not lose in terms of the units of gold which he has paid for. Person resident in India as defined under Foreign Exchange Management Act, 1999 are eligible to invest in SGB. Eligible investors include individuals, HUFs, trusts, universities, charitable institutions, etc. A minor can also invest in SGB but the application is to be made by his/her guardian on behalf of

the minor. The Bonds are issued in denominations of one gram of gold and in multiples thereof. Minimum investment in the Bond shall be one gram with a maximum limit of subscription of 4 kg for individuals, 4 kg for Hindu Undivided Family (HUF) and 20 kg for trusts and similar entities notified by the government from time to time per fiscal year (April – March). In case of joint holding, the limit applies to the first applicant. The annual ceiling will include bonds subscribed under different tranches during initial issuance by Government and those purchased from the secondary market. The ceiling on investment will not include the holdings as collateral by banks and other Financial Institutions. The annual ceiling will include bonds subscribed under different tranches during initial issuance by Government and those purchased from the secondary market. The ceiling on investment will not include the holdings as collateral by banks and other Financial Institutions. The bond can be gifted/ transferable to a relative/friend/anybody who fulfills the eligibility criteria. The Bonds shall be transferable in accordance with the provisions of the Government Securities Act 2006 and the Government Securities Regulations 2007 before maturity by execution of an instrument of transfer which is available with the issuing agents.

The nominal value of Gold Bonds shall be in Indian Rupees fixed on the basis of the simple average of closing price of gold of 999 purity, published by the India Bullion and Jewellers Association Limited, for the last 3 business days of the week preceding the subscription period. The price of gold for the relevant tranche will be published on RBI website two days before the issue opens. The Bonds shall be repayable on the expiration of eight years from the date of issue of Gold bonds. Pre-mature redemption of the Bond is permitted from the fifth year of the date of issue on the interest payment dates. On maturity, the Gold Bonds shall be redeemed in Indian Rupees and the redemption price shall be based on simple average of closing price of gold of 999 purity of previous 3 business days from the date of repayment, published by the India Bullion and Jewellers Association Limited. In case of premature redemption, investors can approach the concerned bank/SHCIL offices/Post Office/agent thirty days before the coupon payment date. Request for premature redemption can only be entertained if the investor approaches the concerned bank/post office at least one day before the coupon payment date. The proceeds will be credited to the customer's bank account provided at the time of applying for the bond. Part holdings can be redeemed in multiples of one gram.

These securities are eligible to be used as collateral for loans from banks, financial Institutions and Non-Banking Financial Companies (NBFC). The Loan to Value ratio will be the same as applicable to ordinary gold loan prescribed by RBI from time to time. The bonds are tradable from a date to be notified by RBI. The only bonds held in demat form with depositories can be traded on stock exchanges. The Bonds shall be eligible for trading from the date of credit into the demat account of the investor. The bonds can also be sold and transferred as per provisions of Government Securities Act, 2006.

Interest on the Bonds will be taxable as per the provisions of the Income-tax Act, 1961 (43 of 1961). The capital gains tax arising on redemption of SGB to an individual has been exempted. The indexation benefits will be provided to long terms capital gains arising to any person to

the transfer of bond. TDS is not applicable on the bond. However, it is the responsibility of the bond holder to comply with the tax laws.

Nomination facility is available as per the provisions of the Government Securities Act 2006 and Government Securities Regulations, 2007. The sole holder or all the joint holders may nominate a maximum of two persons as nominee. The nomination can be altered by registering a fresh nomination. The existing nomination can be cancelled by a request to the Office of Issue.

Bonds are sold through scheduled commercial banks (excluding RRBs), SHCIL, designated Post Offices, National Stock Exchange of India Ltd. & Bombay Stock Exchange Ltd either directly or through their agents. Commission for distribution shall be paid at the rate of rupee one per hundred of the total subscription received by the receiving offices (including banks) on the applications received and receiving offices shall share at least 50% of the commission so received with the agents or sub-agents for the business procured through them.

The latest Sovereign Gold Bond (SGB) issued by RBI is Sovereign Gold Bonds 2021-22 (Series IX) was opened for subscription during the period January 10-14, 2022 with Settlement date January 18, 2022. The issue price of the Bond during the subscription period was ₹4,786 (Rupees Four thousand Seven hundred eighty six only) – per gram, as also published by RBI in their Press Release dated January 07, 2022.

The Government of India in consultation with the Reserve Bank of India decided to allow discount of ₹50 (Rupees Fifty only) per gram from the issue price to those investors who apply online and the payment is made through digital mode. For such investors the issue price of Gold Bond will be ₹4,736 (Rupees Four thousand seven hundred thirty-six only) per gram of gold.

The bonds (SGB Series IX) are denominated in multiples of gram(s) of gold with a basic unit of one gram. The tenor of the bond is for a period of 8 years with exit option after 5th year to be exercised on the next interest payment dates. Minimum permissible investment was one gram of gold. The maximum limit of subscription was 4 kg for individual, 4 kg for HUF and 20 kg for trusts and similar entities per fiscal (April-March).

Atal Pension Yojana (APY)

Banks promotes APY for an incentive.

Eligibility for joining APY: APY is open to all citizens of India who have a savings bank account. The minimum age of joining APY is 18 years and maximum age is 40 years.

Features of APY: APY is a voluntary, periodic contribution based pension system, under which the subscriber would receive the following benefits:

- a. Central Government guaranteed minimum pension amount: Each subscriber under APY shall receive a Central Government guaranteed minimum pension of ₹1,000 per month or ₹2,000 per month or ₹3,000 per month or ₹4,000 per month or ₹5,000 per month, after the age of 60 years until death.

- b. Central Government guaranteed minimum pension amount to the spouse: After the subscriber's demise, the spouse of the subscriber shall be entitled to receive the same pension amount as that of the subscriber until the death of the spouse.
- c. Return of the pension wealth to the nominee of the subscriber: After the demise of both the subscriber and the spouse, the nominee of the subscriber shall be entitled to receive the pension wealth, as accumulated till age 60 of the subscriber.
- d. Eligibility for co-contribution by Central Government: The subscribers in the eligible age, who are not income-tax payers and who are not covered under any statutory social security scheme, are entitled to receive:
 - i. The co-contribution by Central Government of 50% of the total prescribed contribution, upto ₹1,000 per annum, is available for those eligible subscribers who joined APY before 31st December, 2015.
 - ii. The Central Government co-contribution shall be available for a period of 5 years, i.e., from Financial Year 2015–16 to 2019–20.
- e. Exit, withdrawal and pension payment: On completion of 60 years, the subscriber will get the guaranteed minimum monthly pension, or higher monthly pension, depending on the investment returns.
- f. **Incentive payable for promotion and development of APY** (No. PFRDA/APY/4/62 dt. 19.05.2016 addressed to banks).

Sl. No.	No. of subscribers under APY with each bank	Incentives for promotional efforts
1.	Less than 1 lakh	₹20
2.	More than 1 lakh and upto 3 lakh	₹30
3.	More than 3 lakh and upto 5 lakh	₹40
4.	More than 5 lakh	₹50

- g. Per capita incentive: ₹100

h. **India Gold Coins**

Indian Gold coin is brought to the public under the Indian Government's vision of "Make in India" and under the Gold Monetization scheme. The coins are of 24 karat purity and 999 fineness assuring consumers of absolute purity. The Indian Gold Coin is currently one of the purest forms of gold available in the country and is "Minted in India". MMTC has been authorized by the Central Government to manufacture India Gold Coins (IGC) with Ashok Chakra and supply these coins to the domestic market. MMTC has clarified to the Reserve Bank of India that the gold used for the IGC will be only that mobilized domestically under the existing Gold Deposit Scheme (GDS) and Gold Monetization Scheme (GMS). This along with the gold monetisation scheme will give added impetus to organised recycling of gold in India, which will help to boost the Indian economy further.

RBI allowed the designated banks as defined in the Master Direction on Gold Monetization Scheme, dated October 22, 2015, to sell the IGCs minted by MMTC. The terms and conditions shall be as per the contract between the designated bank and MMTC (RBI/2015–16/298 DBR.IBD. BC.75/23.67.001/2015–16 January 21, 2016). Some banks entered into agreement with MMTC for sale of IGC through the bank branch network at a commission. Currently, IGCs are available in denomination of 5 gm, 10 gm & 20 gm.

LET US SUM UP

- The distribution of third party products has emerged as a key driver of revenue for the foreign banks and new generation private sector banks. Public sector banks also have entered distribution of third party products in a very aggressive way and converting their huge branch network into distribution channels for augmenting fee based income. This concept of selling products other than banking products is called “Para Banking”. Reserve Bank of India has given directions to banks for doing miscellaneous services.
- Banks as a part of their distribution of third party products strategies mainly focus on the following products and market the same to their captive customers through their network of branches.
- Marketing of life insurance products of life insurance companies.
- Marketing of non-life Insurance products of general insurance companies.
- Marketing of health insurance schemes of standalone health insurance companies.
- Distribution of mutual fund schemes of various mutual fund houses.
- Offering of Demat Services.
- Offering of Broking Services.
- Portfolio Management Services.
- Offering other agency business such as promoting Atal Pension Yojana, Sale of Sovereign gold bonds, India Gold Bonds, etc.
- Distribution of insurance products happens both in the life and non-life space. Insurance marketing by banks are attempted by banks through Corporate Agency. Banks market direct policies or regular policies to the customers on an individual basis and also group policies. In group policies, the bank is the purchaser of the policy for clearly defined group of account holders and there should not be any violation of group definition. Likewise single premium policies result in lower revenue whereas regular premium policies return better revenues for the bank as corporate agent.
- Marketing of Non-Life insurance business is another revenue earner for the bank. In the non-life side, banks mobilise business by coverage of assets financed and collateral assets of their borrowal accounts. In addition, banks also offer group health insurance products at attractive premium rates and other features.

- Banks cross sell fee based products to their liability and asset customers to augment their revenue streams and improve the per customer profitability. Cross selling improves brand loyalty of the customers.
- Demat account is one of the very important components of the retail banking bouquet offered by banks. It provides the customer additional convenience for dealing with his securities in a hassle free manner. Almost all the banks offer Demat Account facility to their customers. Additionally, some banks offer the provision of trading facility also under tie-up with brokers. Dematerialisation is the process of converting physical shares (share certificates) into an electronic form. Shares once converted into dematerialised form are held in a Demat account.
- Portfolio Management services is offered to high net worth individuals to cater to the entire spectrum of wealth in a professional way. The model will be implemented in different ways to suit the needs of the wealth management and private banking customers.
- Sovereign Gold Bonds (SGBs) are government securities denominated in grams of gold. They are substitutes for holding physical gold. Investors have to pay the issue price in cash and the bonds will be redeemed in cash on maturity. The Bond is issued by Reserve Bank of India on behalf of Government of India.

KEYWORDS

Para banking; distribution; life insurance; non-life (general) insurance; corporate agent; regular premium policies; group policies; mutual funds; cross selling; demat accounts; Portfolio Management service; Dematerialisation; Rematerialisation; TReDS

CHECK YOUR PROGRESS

1. Para banking refers to _____.
 - (a) Distribution of life insurance policies only
 - (b) Distribution of non-life insurance policies only
 - (c) Distribution of mutual fund schemes only
 - (d) All the above.
2. Banks distribute the following types of products in life and non-life insurance business such as _____.
 - (a) Regular Premium Individual Policies
 - (b) Single Premium Individual Policies
 - (c) Group Insurance Policies
 - (d) All the above.
3. As a Corporate agent, Banks can distribute the products of _____.
 - (a) One Life insurer
 - (b) One Non-Life (general) insurer
 - (c) Standalone health insurance companies
 - (d) All the above.

4. The maximum number of Mutual Funds that can be distributed by banks as a Corporate Agent is _____ .
(a) One (b) Two
(c) Five (d) No Limit
5. Which of the followings is not the salient feature of Mutual Fund.
(a) Professional management (b) Diversification
(c) Complexity (d) Liquidity
6. TReDS was launched in 2016 for MSME to extend credit
(a) At a very competitive interest rate (b) Mitigate credit risk
(c) Discount trade receivables of MSME (d) All the above

ANSWERS TO CHECK YOUR PROGRESS

1. (d) 2. (d) 3. (d) 4. (d) 5. (c) 6. (d)

ADDITIONAL READING MATERIAL ON HOME LOANS

Unit 27. Lender's Appraisal Procedure

Unit 28. Housing Finance and Tax Planning

Unit 29. Mortgage Advice

Unit 30. Valuation of Real Property



LENDER'S APPRAISAL PROCEDURE

STRUCTURE

- 27.0 Objectives
- 27.1 Introduction
- 27.2 Appraisal Procedures
- 27.3 Application Form
- 27.4 Documents to be Submitted for Availing a Home Loan
- 27.5 Application Received through Agent
- 27.6 Appraisal of Loan Request
- 27.7 Other Relevant Issues at Pre-sanction Stage
- 27.8 Documentation
- 27.9 Mortgage
- 27.10 Registration of Documents
- 27.11 Detection of Forged and Fabricated Title Deeds
- 27.12 Other Securities
- 27.13 Registration of Charges with CERSAI on Security Internet
- 27.14 Monitoring
- 27.15 Closure of Account
- 27.16 Home Loan Frauds

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

27.0 OBJECTIVES

Reading this unit gives you insight in:

- Lending principles and procedures
- Contents of an application form and documents to be submitted for availing loan
- Pre-sanction and post-sanction procedures
 - appraisal of the loan request
 - Documentation involved
 - Monitoring of loan account
 - Detection of forged and fabricated title deeds
- Closure of a loan account
 - Home loan frauds, etc.

27.1 INTRODUCTION

Loan origination refers to processes right from the time the customer walks into the bank with a request for loan, till the time the loan is finally disbursed. Three major phases of loan origination are information acquisition, credit appraisal and sanction, and disbursement.

The processes revolve around two key aspects, viz., critical appraisal of the credit worthiness of a customer and – analysis of the risk in lending. It is necessary to capture all the information required to cater to these aspects. Demographic, employment, financial details are a must for processing. To minimize the risk, it is necessary to check that the customer is not a fraud or black listed within the bank or with other institutions. It is also important to verify that the information provided by the customer is correct and authentic. Banks achieve this mostly through external agencies. Another method of validation of information is to collect and verify documentary proofs of income, residence, age and other information.

A bank may request co-borrowers or guarantors to support the loan. This may be required as a risk mitigant.

Banks collect fees for processing, documentation, and administration from customer as part of application processing. This supplements a banks' income.

The second phase in loan origination is credit appraisal and sanction. Credit officers scrutinize the information made available to them and arrive at the loan eligibility and fix the terms and conditions to be offered to the customer. Generally, two key techniques are used for this purpose. Confirming that the customer satisfies the basic norms and policies and by applying weighted risk based credit scoring. This is an important phase in the origination cycle as decisions made here affect the health of the portfolio. Incorrect decisions increase the risk and may add to bad debts, affecting the portfolio performance.

The third phase is disbursement. Either a cheque for the sanctioned amount is issued to the

customer, or the amount is transferred to the customer account or direct payment to the supplier of goods or builder after compliance of terms and conditions of sanction. A repayment schedule stating the amortization is prepared for the customer.

27.2 APPRAISAL PROCEDURES

This chapter deals with the procedures that the lender must follow internally, as well as the underlying principles. Secondly, since the execution of documents is a process, the preparation and procedure could be complex given the laws of the land on transfer of property. The lender's operation manual, desk cards etc., would deal with each step in some detail. This chapter captures the essential features of each of these procedures. It also lists the requirements in each step of the process, the sub-processes, related activities and documentation.

27.3 APPLICATION FORM

The appraisal process begins with an application form. An application form is designed to collect all relevant information that a lender needs, to decide whether *prima facie* the loan exposure would be an acceptable risk and falls within the policy parameters of the bank. This is a first step preceding other processes. Housing loans are generally sanctioned against the security of immovable properties viz., land and building. Again, this is a personal segment loan and the source of repayment of these loans comes from the existing income of the borrower/s. Therefore, banks need to gather full particulars of:

- The land and building.
- Existing income and the source of it. How long this income is expected to continue in the case of applicant/co-applicant.
- Existing liability, if any, and monthly financial repayment obligation on the proposed loans among other things.

27.4 DOCUMENTS TO BE SUBMITTED FOR AVAILING A HOME LOAN

Along with the application form, the lending institution should also call for a few other documents, which supplement/establish the particulars provided in the application form. The following is a list of the set of documents that will be called for:

- Duly completed application form.
- Passport size photograph.
- Proof of identity such as Voters ID Card/Passport/Driving license/PAN card.
- PAN and Aadhaar card.
- Proof of residence – Recent Telephone Bills, Electricity Bill, Property tax receipt/Passport/Voters ID Card.
- Proof of business address for non-salaried individuals.

- Salary Certificate and Form No.16 (in case of salaried persons) IT assessment orders for the past three assessment years (in case of non-salaried persons).
- Statement of Bank Account/Pass Book for last six months.
- Letter of allotment from Housing Board/Society, etc. (wherever applicable).
- Copy of approved plan, wherever applicable.
- Permission for construction, wherever applicable.
- Estimate/Valuation Report from approved valuers in respect of the property to be financed, wherever applicable.
- In case of conversion of agricultural land – copy of the relative order.
- Documents to ensure that the borrower holds clear, absolute and marketable title on the land and building (if available). Generally, the following documents are required by the lawyer to give legal opinion on the title of the property.
 - Sale Deed/Agreement of Sale.
 - Parent documents/prior documents on the property through which the transferor of the property acquired title.
 - Non-encumbrance certificate on the property, issued by the jurisdictional Sub-Registrar's office
 - Search Report/Non-encumbrance certificate for 13 years from bank's Advocate.
 - Possession certificate issued by the revenue authorities.
 - Latest revenue tax receipt.
 - Latest building tax receipt – in case of building.
 - NOC under the provision of ULC Regulation Act, 1976 in original.
 - RERA approval of housing projects

Obtention of legal opinion

Branch should send the title deeds in respect of the land and building (security asset) to panel lawyer for furnishing his opinion. Branch should process the legal opinion and needs to get convinced that the applicant holds clear, absolute and marketable title on the property. Branch should also ensure that no minor interest exists on the title of the property. Ownership by way of gift deed, power of attorney needs to be dealt carefully.

Valuation report on the property

In case of construction of house, the land needs to be valued by banks approved valuer. The valuer, in his report, also need to comments as to whether construction can be carried out in the plot as per the construction plan submitted by the applicant. The Land is normally identified by its boundaries. Therefore, the branch has to ensure that boundaries are marked. Branch officials,

while visiting the plot, should ensure that the boundaries of the plot are clearly demarcated as specified in the sale agreement.

The construction plan should be approved by the Engineer as to its viability for construction, cost and other factors relevant to construction.

In case of purchase of building/flat.

The branch should ensure that;

- The construction has been approved by the local authorities,
- Tax has been paid upto date on the land and building,
- The age of the building is to be ascertained and to be recorded in the valuation report, and
- Future life of the building to estimated,
- RERA approval if applicable.

27.5 APPLICATION RECEIVED THROUGH AGENT

It is quite common that housing loan application, particularly for Non-resident Indian who is not available in the station, is received by banks through their agents. For the purpose, the applicant executes a power of attorney in favour of the agent. In such cases, scrutiny of power of attorney is also important.

Power of attorney (POA)

- A power of attorney is an authority given in writing to another person to act for and on behalf of the person who executed the POA. A power of attorney executed for the purpose of a specific act is called a “special power of attorney”. A specific act is meant to imply either a specific act or acts related to each other as to form one judicial transaction, such as all the acts necessary to perfect a mortgage or a sale of a particular property. A power of attorney executed for the purpose of generally representing another person, or for performing more than one act, is called a ‘general power of attorney’.
- A power of attorney can be executed in favour of more than one person. In such cases, it would be desirable to provide whether such donees will act jointly or severally. In the absence of such an express provision authorising them to act severally, they will be entitled to act only jointly. A power of attorney can be executed by any person, who can enter into a contract i.e. a person of sound mind who has attained majority, in favour of a major.
- Unless expressly or impliedly limited for a particular period, a general power of attorney will continue to be in force until expressly revoked or determined by the death of either of the parties. A special power of attorney to do an act is determined when the act is done.
- If a power of attorney is executed in a foreign country, it should be stamped within three months of its being received in India. If it is not so stamped within the period of three months of its being brought to India, then the same will be deemed to be unstamped and cannot be acted upon.

Acceptance of Power of Attorney (POA) for creation of mortgage

- While accepting the POA for the creation of the mortgage, it shall be verified as to the necessity for a Power of Attorney transaction. When both Principal (owner of the property) and agent are residing in the same place, POA may not be required except in case of property developers. Therefore, the reasons stated for giving a POA must be acceptable to the bank.
- When it is decided to accept the POA, it should be stipulated that, the POA should be duly registered before Sub Registrar's Office within whose jurisdiction the Principal resides or the property is situated. The POA should be irrevocable. If there is no specific clause in the POA as regards the irrevocability, the POA will be treated as revocable POA and in such cases; it should be verified and ensured that the said POA has not been revoked, from the SRO where the POA was originally registered. Subsequent revocation, if any, will not affect the transactions done prior to such revocation.
- POA should contain specific power/authorization for the POA holder to mortgage the properties mentioned in the schedule therein and also to register the same whenever required. When a mortgage is to be created, branches obtain title opinion from our panel advocate. The production of parent documents will have to be insisted from the principal/POA holder. If Power of Attorney itself is a forged document, the probability of parent document being fake is more. Even though we are accepting only registered irrevocable POA as suggested above, before acting on the same, the branches should take up with the owner of the property (Principal) to confirm that he had executed the POA as claimed/ produced and that the POA is still in force and also that he has no objection to the agent creating the mortgage. Such confirmation should be obtained by sending a direct letter by the branch to the address as contained in the latest document like sale deed/POA. It is advisable to release the loan only after obtention of confirmation.
- The schedule of the property to be mortgaged should be fully described with Survey Number, Street, Door No, locality, extent, boundaries, registration district, etc. Though POA is irrevocable, it gets automatically cancelled on the death of the Principal. It should, therefore, be ensured that the Principal is alive on the date of creation of mortgage. This can be ensured when a letter is sent directly to the Principal for confirmation of the POA issued and on receipt of confirmation.
- The POA should also contain a ratification clause whereby the Principal agrees that all acts, deeds and things lawfully done should be construed as the act of the Principal and his undertaking to ratify and confirm all such acts done by the POA holder. The branch should verify that any act of the POA holder has specific power/authority under POA and there should not be breach of any specific condition since it will terminate the authority given and the principal will not be liable to the extent of such breach.

27.6 APPRAISAL OF LOAN REQUEST

The appraisal comprises a validation of the information submitted by the applicant, collected by the various credit verification agencies, property appraisers, bank's solicitors, etc. In the process of validation, the information is checked against the bank's policy, budgetary guidelines, risk management practices, any negative list, etc.

Agreements/letters/application/forms required for the appraisal process:

- Housing Loan application.
- Appraisal form.
- Term Loan agreement for Home Finance.
- Guarantee Agreement (if required).
- Arrangement letter (Terms and conditions for Housing Finance).
- Equitable Mortgage intent letter.
- Equitable Mortgage confirmation letter.
- Letter of undertaking (where finance is availed for purchase of plot).
- Letter to be addressed by the borrower to his/her employer.
- An undertaking letter from the borrower that the construction will be carried out only as per the plan approved (in case of construction only).
- Letter to be addressed by the borrower's employer to the bank. Letter when the applicant himself/herself is the drawing officer.
- Mortgage Deed (in case of Registered Mortgage)
- Mortgage Confirmation Letter.
- Documents in connection with pledge of other securities, wherever applicable.

Appraisal form for a Home Loan

I. Eligible loan amount

Eligibility: The lender could have a policy laying down the criteria for acceptance of a home loan exposure, against which a loan application is checked. The parameters could be:

- A preferred age group.
- Minimum salary/income level.
- Score in Credit information report.
- Areas/localities where home loan will be given; and areas where he will not take an exposure.
- Negative list containing other disqualifications.

The banker/lender would be well advised to develop such Risk Asset Acceptance Criteria (RAAC). This will ensure that the portfolio quality is developed and maintained in terms of the

policy of the bank. Leaving the same to the skills of the several credit officers of the institution could result in disparate credit standards being applied in selection of the borrowers.

Parameter 1:

- | | |
|--|---|
| a. Loan Amount Requested | ₹ |
| b. Cost of purchase/construction/renovation/repair of flat/house
Plus registration fee/stamp duty | ₹ |
| c. Amount under (b) above less margin stipulated | ₹ |
| d. Loan amount: (a) or (c) whichever is less | ₹ |

Parameter 2:

- | | |
|--|---|
| a. Gross monthly income | |
| Gross income of the applicant | ₹ |
| Add: Income of the spouse, if any | ₹ |
| Add: Other income, if any
(say 50–60% of future rental) | ₹ |
| Total | ₹ |
| b. Net monthly income: | |
| Net income of the applicant | ₹ |
| Add: Net Income of the spouse, if any | ₹ |
| Add: Other net income, if any
(say 50–60% of future rental) | ₹ |
| Total | ₹ |
| c. Certain multiples of (a) (say 36 times) | ₹ |
| d. Certain multiples of (b) (say 60 times) | ₹ |
| e. Loan amount (c) or (d) whichever is higher | ₹ |

Eligible loan limit: Lower than Parameter 1 or Parameter 2 ₹

(In case of take-over, the loan amount should not exceed the balance principal outstanding)

- | | |
|--|---|
| A. EMI for eligible loan amount for a repayment period of ... years | ₹ |
| B. Net monthly income minus 40% of Total Monthly Gross Income
(B should be equal to or more than A) | ₹ |

II. Service Eligibility

Minimum years of service years (applicable for loan to salaried class people)

III. Age Eligibility

- Present age of the borrower
- Repayment period
- Age at the end of the repayment period
- Retirement age (in case of salaried class people)

IV. Legal Opinion

- Date of opinion
- Name of the advocate (who should be in the panel of the financing institution)
- Layer's opinion on the title of the property

V. Valuation Details

- Date of valuation
- Name of the valuer (who should be in the panel of the financing institution)
- Value of the property as per valuer's report: ₹.....
- Estimated cost of construction/repair: ₹.....
- Whether the property is encumbered: Yes/No
- If yes, name of the mortgagee
- Amount of loan taken ₹.....
- Amount of loan outstanding ₹.....
- Replacement value for insurance ₹.....

VI. Inspection Details

- Date of inspection by staff of the financing institution:
- Inspection done by:

Observation: Specific comments on interaction with neighbours/officials of society in case of existing building, discussion with builder and observation regarding the state of construction in case of a building under construction, land mark of the area, approach details to the building, boundary details of the building and any other relevant information. List of residents (owners) displayed by the society

VII. Rate of Interest

- Rate of interest: % per annum
- Type of interest: Fixed/Floating

VIII. Security Details

- Market value of the land and house/flat (proposed to be financed) ₹
- Collateral security value, if any ₹

- Total ₹
- Margin (.....%) ₹
- Drawing limit (Total minus Margin amount) ₹

IX. Repayment Details

- Holiday period, if any months
- Repayment to start from (Month) (Year)
- Type of EMI: Regular/Variable
- Repayment in EMIs of ₹..... each

X. Other Charges

- Processing Fee/Administrative Fee ₹..... Date of collection
- Upfront Fee ₹..... Date of collection

XI. Litigation Details, if any**XII. Relaxation/Concession, if any****XIII. Disbursement details**

- First Stage: ₹..... Date of disbursement
- Second Stage: ₹..... Date of disbursement
- Third Stage: ₹..... Date of disbursement
- Total: ₹.....

Typical Format used by Banks for Assessment of Housing Loan**Loan for Construction of House****1. In Case of House**

- Area of Plot Sq. ft.
- Proposed built up area Sq. ft.
- Purchase Price of Plot ₹
- Architect's fees ₹
- Cost of construction ₹

2. In case of Flat

- Area of undivided share of land Sq. ft.
- Cost of undivided share of land ₹
- Cost of semi-finished flat ₹
- Cost of Completion and/or additional items ₹
- Registration Charges ₹
- Total Cost ₹
- Market Value as per Report ₹

3. Loan for Purchase of House/Flat (Ready Built)

- **Is the Unit New/Old:**
- Age of existing structure if old Years
- Purchase Price ₹
- Cost of additional items ₹
- Total Cost ₹
- Area of Plot/undivided share of land
- Built up area in Sq. Ft.
- Market Value/Land Value ₹
- Structure Value ₹

4. Loan for Extension

- Age of Existing structure
- Plot Area/Built up area of Flat in sq. ft.
- Market value of existing structure ₹
- Is the property mortgaged to any institution? YES/NO
- If yes, name of Institution
- Value of outstanding loan
- Mortgage Value ₹
- Details of proposed repair/extension
- Estimated cost of repairs/extension ₹

5. Loan amount request:

Cost of Property	Amount in INR	Source of funds	Amount in INR
1. Cost of land		1. Amount already invested	
2. Cost of construction extension		2. Savings in Bank	
3. Cost of amenities, service charges		3. Disposal of investment, property	
4. Cost of repairs, improvement		4. PF (a) refundable	
5. Cost of flat/house		(b) non-refundable	
6. Cost of stamp duty, electrical connections, municipal charges		5. Others, specify	
Total costs*		6. Loan applied for	
		Total funds	

*Total cost should equal Total funds

27.7 OTHER RELEVANT ISSUES AT PRE-SANCTION STAGE

Interest

Both, fixed rate loans and floating rate loans may be offered.

Insurance

The house/flat should be insured against the risk of fire/riots/earthquakes/lightning/floods, etc. for replacement value.

Moratorium

A repayment holiday may be allowed for a home loan when the construction is undertaken by a reputed builder, a Government agency, etc. and the borrower makes payments in stages over the construction period. The moratorium will be upto 18 months after the first disbursement of the loan or two months after completion of construction whichever falls first.

If the loan under consideration is for purchase of land with building/flat, a maximum holiday period of 3 months may be allowed.

Equated Monthly Instalment (EMI)

The monthly repayment by the applicant is related to his cash flow. There is an element of interest and of principal in the monthly payments. The interest payable over the period of the loan @ reducing balance is calculated and added to the loan amount to arrive at the total payable amount. This amount, divided by the total number of monthly instalments is called the Equated Monthly Instalment (EMI).

Pre EMI interest

EMI payment usually commences one month after full disbursement. Until final disbursement and repayment commences, the borrower pays interest on the portion of the loan disbursed in instalments. This interest is called pre-EMI interest. It is a monthly simple interest on the amount disbursed. Pre-EMI interest is payable every month from the date of each disbursement up to the date of commencement of EMI.

Let's consider an example to understand Pre EMI.

The home loan sanctioned to Mr. Raju is ₹10/-lac at the interest @10% p.a. The bank has disbursed ₹2/- lac towards the first phase of construction on 1st May 2021. The Pre EMI interest payable every month will be as under,

Pre EMI = Simple Interest per month

$$= P \times R \times T$$

(P= Principal, R= Rate of Interest, T= Time in year)

$$= 2,00,000 \times 10/100 \times 1/12 = ₹1667/-$$

EMI Reset

In a floating rate interest home loan, the total dues to the lender will change when the rate of interest is changed. The lender does not usually change the EMI amount. The number of instalments is increased or reduced depending upon the change in the total dues.

Check-off facility

- i. In the case of salaried persons, a check-off arrangement should be pursued. An appropriately worded irrevocable authority for making salary deductions and remittance to the lender should be taken from the borrower. The employer should be asked to record this authority and convey his acceptance to act on this instruction.
The arrangement will have the following elements:
 - a. There will be an irrevocable letter of authority from the borrowers for deducting a specific amount of monthly instalment from his salary/wages.
 - b. Irrevocable authority for making payment of dues to the lender out of any amount payable to the employee, terminal benefits in case of his/her retirement, resignation, discontinuance of service or death.
 - c. An undertaking from the employer to obtain a clearance from the bank before settling the dues to the employee on transfer, resignation, or retirement.
 - d. The check-off mechanism can work through a bank account if salary is paid through a bank; and the bank can record an irrevocable standing instruction to effect payment to the lender.
 - e. The lender needs to keep him informed of changes in the employment situation of the customer, changes in banking relationship by his employer and other factors that may affect the repayment.
- ii. In case of Government officers, who themselves are drawing and disbursing authorities and take housing loans, a letter of undertaking from them is sufficient.
- iii. The standing of the employer is clearly quite important in deciding to use the check off facility for collection of instalments.

27.8 DOCUMENTATION

The following is a listing of the documentation effort:

1. List of security documents related to the loan
2. Documents related to the property
3. Documentation where the mortgage is a second charge.

Documentation related to loan

Banks obtain the following documents, prior to disbursement of the loan.

- Demand Promissory Note and/or Term Loan Agreement for home loans.
- Agreement of Guarantee from the guarantors.
- Letter authorising the bank to dispose of the proceeds of loan to ensure the end use of funds in accordance with the terms of sanction.
- Stamped letter of Memorandum of Equitable Mortgage (EM) for deposit of title deeds with an intention to create an EM in favour of the financing bank (or) Registered Mortgage Deed against the immovable property.

- Subrogation of mortgage agreement, in case of takeover of accounts from other bank/financial institution.
- Documents for pledge of Deposits in banks/NSC/IVP/KVP or assignment of Life Policy or hypothecation of movables – wherever applicable.
- An undertaking letter from the builders to the effect that they have not violated any norms or guidelines issued by Statutory authorities/Government restrictions/guidelines. (If this is not available, the branch must verify that the flat financed has not been built in violation of the approved plan.)
- An indemnity/guarantee may be obtained if the builder has appealed to the authorities for regularisation of an unauthorised construction. (The decision to finance will depend upon the banks' judgment.)
- Valuation report from an engineer on the panel of the bank. Engineer's valuation report need not be insisted upon if the flat is acquired from Housing Board, State Development Authority/Bodies/Local Improvement Trust. Engineer's valuation report should not be older than 5 years.
- Legal opinion from the bank's advocate.
- Declaration as to whether any relative is working in the Bank's prescribed format.
- No Objection Certificate (NOC) and a letter of undertaking from Housing Society (with whom flat is registered) to mark a lien in favour of the financing bank.

Documents relating to the house property

- Sale deeds through which the applicant has acquired title to the property/Agreement of Sale along with patta (a type of land deed issued by the government to an individual or organisation).
- If parent sale deed is not available, patta is a must.
- Encumbrance Certificate for 13 years showing nil encumbrances.
- Approved Building Plan.
- Parent Documents of 30 years.
- Legal opinion from the Bank's advocate certifying clear title to the property.
- Letter of Allotment from Housing Board/Society.
- Copy of approved plan.
- License/Permit for construction.
- Estimate/Valuation Report from approved valuers.
- Search Report from the records of the Registrar under whose jurisdiction the property is located/
- Non-encumbrance certificate for 13 years to be obtained by the Bank's advocate.

- Registration Receipt.
- NOC from builder/seller.
- Payment Receipts.
- Possession Certificate (where applicable).
- NOC under the provisions of ULC Regulation Act, 1976 in original, wherever applicable.
- Copy of relative order, in case of conversion of agricultural lands to homestead land.
- Certificate from the Bank/Govt. approved architect/structural engineer regarding the condition of the house/flat, in the case of purchase of old property.

List of documents to be obtained in case of second mortgage/pari-passu charge

- Letter from the borrower to the bank (prospective mortgagee) for extending the earlier mortgage to secure the bank's (loan).
- Letter to be addressed by the prior mortgagee to the subsequent mortgagee, stating that the existing mortgage charge will subsist and will rank prior in charge to the proposed charge and authorizing the new lender to create a further charge on the property.
- *Pari passu* letter to be exchanged.
- *Inter se pari passu* agreement.
- Letter from first charge holder addressed to second charge holder.
- Letter to be issued by bank for having second charge on the fixed assets. (This letter is to be addressed by the second charge holder to the first charge holder).
- All documents necessary for creation of a mortgage listed in the preceding paragraphs will form a part of the documentation.

Note: Given the complex nature of the process it would be a good idea to get an advocate to vet the documentation, necessary in each case.

27.9 MORTGAGE

The next section deals with an important part of the security documentation, viz. mortgage. The basic steps in creating a mortgage are listed therein. The legal position surrounding the creation of mortgage and the precautions to be taken by a lender to secure his position are discussed in some detail.

Mortgage

1. Section 58(a) of the Transfer of Property Act, 1882 defines mortgage as “a transfer of an interest in specific immovable property for the purpose of security, for the payment of money advanced or to be advanced by way of a loan, an existing or future debit or the performance of an engagement which may give rise to a pecuniary liability”.

2. Types of Mortgage:

In India, Immovable property is accepted by the banks as security usually by way of:

- a. Registered or Simple Mortgage,
- b. Mortgage by Deposit of Title Deeds.

(a) *Simple registered mortgage*

Where, without delivering possession of the mortgaged property, the mortgagor binds himself personally to pay the mortgage money, and agrees, either expressly or impliedly, that in the event of his failing to pay according to the contract, the mortgagee shall have a right to cause the mortgaged property to be sold and the proceeds of the sale to be applied, so far as may be necessary, in payment of mortgage money, the transaction is called simple registered mortgage.

Under simple/registered mortgage, the Deed of Mortgage is required to be registered with the concerned sub-Registrar/Registrar of assurances by paying applicable stamp duty and registration charges within whose jurisdiction the whole or some portion of the property to which the document relates is situated, within four months from its date of execution. In this type of mortgage, property can be sold only with the intervention of the court. Thus, registered mortgage involves preparation of mortgage deed duly witnessed by two witnesses, payment of *ad valorem* stamp duty and registration of deed. Hence, it is a costly proposition.

(b) *Mortgage by deposit of title deeds or equitable mortgage*

1. Transfer of Property Act defines the “Mortgage by Deposit of Title Deeds” as follows:

“Where a person in any of the following towns, namely, the towns of Kolkata, Chennai and Mumbai and in any other town which the State Government concerned may, by notification in the Official Gazette, specify in this behalf, delivers to a creditor or his agent documents of title to immovable property, with intent to create a security thereon, the transaction is called a mortgage by Deposit of Title Deeds”.

2. The essential requisites of a “Mortgage by Deposit of Title Deeds” are:
 - a. There must be a debt, existing or future.
 - b. There must be a deposit of documents of title to immovable property.
 - c. The deposit must be made in one of the notified towns.
 - d. The deposit must be made by the mortgagor or his agent with the mortgagee or his agent.
 - e. The deposit must be made with an intent to create a security for the debt.
 - f. Letter of intent should be obtained. Necessary entry should be made in the document register.
3. A mortgagee has the same rights under equitable and registered mortgages. So, an equitable mortgage will have priority over subsequent registered mortgages. An equitable mortgage remains valid as long as the mortgagee retains the title deeds. If the mortgagee parts with possession of the title deeds, the mortgage will stand extinguished. If, however, the mortgagee

parts with the possession of title deeds for a specific purpose, like examination by the solicitors or advocates of the intending purchaser of the mortgaged property, or for the creation of subsequent mortgage in favour of a second mortgagee on a specific understanding with the latter that the earlier mortgage is to subsist, the mortgagor will not be deemed to have parted with possession although he has parted with the custody of the title deeds.

4. On default in payment of the loan, one of the remedies of the mortgagee under an equitable mortgage is sale of the mortgaged property through the court (i.e., suit for sale). One can tabulate, as follows, the transfer of rights in case of simple mortgage and equitable mortgage:

Particulars	Simple Mortgage	Equitable Mortgage
1. Transfer of possession	No	No
2. Mortgagee's right		
(i) To sue for personal liability	Yes	Yes
(ii) To sue for sale of mortgaged property	Yes	Yes
(iii) To sue for foreclosure	No	No
(iv) To sell property without court's permission	No*	No*
(v) To enjoy income out of mortgaged property	No	No
(vi) To appoint receiver with court's permission	No	No

**Bank, being the mortgagee and holds the security interest, can initiate SARFAESI Action for enforcement of security subject to fulfilment of certain conditions. This doesn't require court intervention.*

Under the provisions of SARFAESI Act and as observed by the Supreme Court in one of the cases, the mortgage bank is entitled to receive the rent from the lessee after issuing demand notice. Hence Authorised officer shall issue a notice to the tenant under Sr. No. 13(4)(d) demanding the rent to be paid directly to the bank stating that such payment shall give the tenant a valid discharge as if it is paid to the landlord.

Right of Foreclosure

On default by a mortgagor, in case of mortgage by conditional sale the mortgagee has the right to sue for a decree from the court to the effect that the former be debarred forever to get back the mortgaged property. Such a right is called Right of Foreclosure, which is provided for under section 67 of Transfer of Property Act. A suit for foreclosure must be filed within 30 years from the day the mortgage money becomes due.

Priority of Charge

1. Where a mortgagor creates more than one equitable mortgage over the same property in favour of two financing institutions, the institution in whose favour the mortgage is created first, has priority of charge.

2. Where a mortgagor has created separate registered mortgages over the same property in favour of two or more financing institutions, the priority of charge will be determined with reference to the date of the execution of the deeds which has been duly registered within four months of execution (not the date of registration).
3. Where a mortgagor gives the same property in equitable mortgage to one financing institution and in registered mortgage to another financing institution, the priority of charge will be determined with reference to the date of deposit of title deeds in equitable mortgage and the date of execution of registered mortgage deed. An equitable mortgage in no way gives inferior rights compared to a registered mortgage.

Important aspects to be looked into while obtaining equitable mortgage of immovable property:

1. It must be borne in mind that establishing title to property requires the expertise of an advocate, to whom the documents must be referred for clearance. The title to a property may have been derived out of differing conveyance acts, like partition, settlement, gift, decree of a court, etc., and, therefore, the documents called for from the customer, as listed in the earlier paragraphs, are just generic. The bank's advocate will interact with the customer and will ask for and obtain all other necessary documents to establish title and the chain of ownership. All of these documents must be deposited with the bank to create a valid mortgage on the property.
2. Where mortgage cannot be readily created, an agreement to mortgage should be taken. This is a deviation from policy and is done at the absolute discretion of the lender, after appropriate internal approvals. There has to be an undertaking that by a certain future date, the underlying mortgage must be created. The responsibility for following this up and completing the formality lies with the credit officer of the lender bank.
3. Where immovable property (of which land is the main constituent) is taken as security (primary or collateral) either by way of registered mortgage or equitable mortgage, the following aspects should be looked into:
 - a. Tenure of land
 - b. Valuation of land
 - c. Title of land

Tenure of Land

1. It is necessary to ascertain the tenure of land, viz., whether it is freehold, leasehold or state-owned. If it is freehold, the question of obtaining the consent of any person other than the owner does not arise. Under freehold tenure, the owner is the absolute owner of the land; he is only liable for payment of rates, taxes and assessments to Government and local authorities.
2. In leasehold tenure, the land is held for the period and on the terms and conditions contained in an instrument called 'Deed of Lease'.

3. In the case of State-owned lands, the ownership vests with the State or Central Government as the case may be and the holder of such land will be entitled to occupancy rights only.

Valuation of Land

1. The value of land should be examined to determine whether the price paid for the land is in line with the prevailing prices for similar land in the area. Where the land is not of recent acquisition, it is very important to assess the value of the land in line with the present market trend. The following steps help in this:
 - I. Personal inspection;
 - II. Comparison with recent sales of similar properties in the neighbourhood; and
 - III. Enquiries from parties having a good knowledge of local land values.
2. For this purpose, the assistance of qualified valuers is taken. The valuation given in their report should be cross-checked by independent (inquiries).
3. In general, while determining the value of the property to be mortgaged, allowance must always be made for the fact that the price realised under a forced sale often falls short of the real worth of the property and that it usually takes a considerable time to sell landed property even at a reduced value.

Title to property

1. The same amount of care as is taken for purchase of a property should be taken in investigating the title of the property to be mortgaged. A good 'root of title' is "a document which deals with the whole legal and equitable interest in the land describes the property adequately and contains nothing to throw any doubt on the title". Copies of title deeds are not documents of title, the only exception being the case where the original has been destroyed or irretrievably lost and is not in existence. Certified copies of the title deeds issued by the Registrar of Assurances should, therefore, be accepted only in exceptional cases, where there is conclusive proof that originals have been destroyed or irretrievably lost.
2. In view of the priority of the Government's rights over the mortgage in the Bank's favour in the event of the borrower keeping the land revenue/other public dues in arrears, it is, therefore, necessary to ensure that:
 - a. All land revenue and municipal taxes due on the immovable property have been paid upto date;
 - b. All land revenue and municipal taxes accruing or falling due, subsequent to the creation of the mortgage are paid promptly in future;
 - c. No income tax dues are outstanding, to avoid any claim of priority under section 295 of the Income Tax Act.
3. Reference to advocates/solicitors: The task of investigation of title and scrutiny of title deeds should be entrusted to advocates/solicitors and specific and categorical opinion should be

obtained on the following points:

- a. Whether the documents of title are complete in all respects and sufficient to convey a clear, absolute and marketable title to the property;
 - b. Whether the property offered as security to the bank is unencumbered/unattached;
 - c. Whether the documents examined and based on which the opinion is furnished, form a complete set of documents of the subject property and deposit of these create a charge on the property;
 - d. Whether the persons seeking to secure the property to the bank have a clear and marketable title thereto and are legally capable of creating the charge thereon in favour of the bank; and
 - e. Whether the property is subject to any tenancy law, which will affect the bank's rights eventually to take possession thereof or cause it to be sold or otherwise exercise its rights as mortgagee.
4. Search to be carried out: Search of the registers and other records with the Sub-Registrar of Assurances, Collector and/or other revenue authorities should be carried out by the local advocates or the banks' solicitors, if and when considered necessary, for ascertaining whether there is any outstanding mortgage or charge on the property to be mortgaged to the bank. Search report should also certify that all the details available in the records of Sub-Registrar are available in the Non-encumbrance certificate.

27.10 REGISTRATION OF DOCUMENTS

In each State the relevant Stamp Acts and registration formalities are required to be followed. The following points are relevant in connection with registration of documents in respect properties located in Maharashtra. Those persons who are referring this courseware should study the relevant provisions as prevailing in the particular State.

The Bombay Stamp Act (BSA), 1958 is applicable in the State of Maharashtra. This Act pertains to levy of stamp duty on certain types of documents executed in the State. The rates at which stamp duty is levied on these documents are mentioned in Schedule I of BSA. The stamp duty is payable on instrument and not on the transactions. Instrument means any document by which any right or liability is created or recorded. The payment of proper stamp duty on instruments bestows legality on them. The instruments which are not properly stamped are not admitted in evidence.

The documents are registered for the purpose of conservation of evidence, assurance of title and prevention of fraud. Also, registration helps an intending purchaser to know if the title deeds of a particular property are free from encumbrance. The documents relating to the following transactions of immovable properties are required to be compulsorily registered:

- a. Gift
- b. Lease of immovable property from year-to-year or for any term exceeding one year

- c. Instruments which create any right in an immovable property of a value of more than one hundred rupees.

The term “Immovable property” includes: Land, buildings, rights to ways, any benefit arising out of land, and things attached to the earth but not standing like timber, growing crops or grass. All documents of which registration is compulsory if it relates to an immovable property should be presented for registration in the office of Sub-Registrar within whose sub-district the portion of the property to which the document relates is situated. For registration of any instrument, the original document typed/printed on one side only along with two photocopies of the original have to be submitted to the Registering Officer. The registration procedure also requires the presence of two witnesses and the payment of the appropriate registration fees. On completion of the procedure, a receipt bearing a distinct serial number is issued.

Fees for Registration of a Document

The State Government has been empowered to fix the fees for registration of the document. The registration fees at present fixed by the Govt. of Maharashtra are approximately 1% of the consideration of the document but subject to a maximum limit of ₹30,000. The registration fee for the following immovable property transactions is leviable on the market value of property on which stamp duty is charged.

The transactions are as under:

- (i) Conveyance,
- (ii) Exchange,
- (iii) Gift,
- (iv) Partition,
- (v) Transfer of Lease by way of Assignment,
- (vi) Sale,
- (vii) Settlement,
- (viii) Power of Attorney given for consideration, and
- (ix) Authorising the attorney to sell the property.

In the case of lease, the amount of registration fees will be dependent either on the premium or on the sum payable under the lease or period/periods of lease.

Every document which is to be registered should be presented by: (a) the concerned person himself or (b) the representative or the agent of such a person duly authorized. The language of a document presented for registration should be in a language commonly used in the district existing in the State. The Registering Officer is empowered to refuse to register a document if it is presented for registration in a language which is not commonly used in the district unless the document is accompanied by a true translation into a language commonly used in the district and also by a true copy. It is always necessary that the description of the property is mentioned in a separate schedule, preferably with maps or plans, so as to enable the Registering Authority to make notes in the books to be preserved. The description should mention the area of the

property, the number of the property, the boundaries of the property, the streets on which it is situated, along with the name of the village, Taluka, district. The City Survey Number, with Hissa Number, if any, should also be mentioned.

Time frame for Registration of a Document

According to Section 23 of The Registration Act, 1908, any document other than a will has to be presented for registration within four months from the date of its execution. The term 'execution' means signing of the agreement. Under the present rules and regulations, all agreements in respect of a transfer of an immovable property have to be duly stamped, under the provisions of the Bombay Stamp Act, before the document is presented for registration. If a document is not presented for registration within the prescribed time period of four months, and if in such a case the delay in presentation of the document does not exceed a subsequent period of four months, then the parties to the agreement can apply to the Registrar. The Registrar may on payment of a fine not exceeding ten times of proper registration fees admit the document for registration.

If the delay goes even beyond these additional four months the parties to the document execute a Deed of Confirmation confirming that the main deed is valid and binding upon them. By way of such a deed the transferor/s also confirm/s that he/they hold/s no right, title and interest in the property and the same is being transferred to the transferee/s. A copy of the main deed is annexed to this Deed of Confirmation. This is the only manner in which the lapse in registration can be rectified.

Verification of the Title of the Property

Normally the person purchasing the property has to ensure that the seller has a good and marketable title. In order to find out if the title of the seller is clear and marketable, one has to take search of the property. The search of the property has to be taken at the offices of the relevant Sub-Registrars normally 30 years search has to be taken. The purchaser can also ask copies of the documents lodged with the office of the Sub-Registrar by the seller. The objections pertaining to the title of the property can be easily verified after taking the search, for example: if the party has mortgaged and registered the documents with the Sub-Registrar of Assurances then it can be known only after taking the search of the property. After satisfying the title of the property the party should proceed with the transaction.

Searching CERSAI website is also helpful in ascertaining as to whether any encumbrances exist in the title of the property.

27.11 DETECTION OF FORGED AND FABRICATED TITLE DEEDS

The title deeds submitted by the applicants need to be examined to detect any fake/forged title deeds. The following are certain tips:

- a. Schedule of property and Registration of the document: It is necessary to verify the Schedule of the property where it is situated and the Registration of the same with the Sub-Registrar

Office concerned. Any discrepancy could indicate forgery/fraud.

- b. Stamp Duty affixed on the document and the consideration shown in the document: It is necessary to verify the consideration paid in the document and also verify the Stamp Duty affixed on the document.
- c. Affixation of stamps, cancellation and date of execution: It is necessary to verify the source of purchase of stamps and its cancellation and also the execution of the document. The execution of the document should be subsequent to the cancellation of stamps/date of purchase.
- d. Examine security marks on the stamp paper, which are visible only on a close examination. The stamp paper should not be mutilated.

27.12 OTHER SECURITIES

The lender, at his discretion, may accept LIC policies, Government promissory notes, shares and debentures, gold ornaments of adequate value if a mortgage of property being financed is not possible. Margins stipulated for loans against these securities shall apply. But note that, mortgage of the land is generally the security for housing loans.

27.13 REGISTRATION OF CHARGES WITH CERSAI ON SECURITY INTEREST

Central Registry of Securitization Asset Reconstruction and Security Interest of India (CERSAI) has been set up and become functional with effect from 31.03.2011, under SARFAESI Act. The object of the company is to maintain and operate a Registration System for the purpose of registration of transactions of securitization, asset reconstruction of financial assets and creation of security interest over property, as contemplated under SARFAESI Act 2002. Transactions secured by movable (hypothecation of plant and machinery, stocks, debt whether existing or future) and intangible assets (being know-how, patent, copy right trade mark, license, franchise or any other business of commercial right of similar nature) can also be filed with CERSAI besides all transactions of the creation of mortgage and securitization and asset reconstruction transactions done by banks.

Any person can also search and inspect the records maintained by the Registry on payment of fees prescribed under the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest (Central Registry) Rules, 2011.

Registration shall be made on-line within 30 days of creation of equitable mortgage which is mandatory. The Registrar has the discretion to permit registration of charges which are filed beyond 30 days but upto 60 days of the date of transaction subject to payment of an additional fee not exceeding ten times of the amount of such fee. Delay of more than 60 days requires condonation of Central Government as per SARFAESI Act. Bankers can use the portal of CERSAI to get condonation from Central Government. As per sec-27 of the SARFAESI Act,

non-registration within the time stipulated will be treated as a default and is punishable with fine upto ₹5,000 per day.

Fee payable for creation and modification of charge

S. No	Nature of transaction to be registered	Form No.	Amount of fee payable (ST extra)
1	2	3	4
1	Particulars of creation or modification of security interest by way of mortgage by deposit of title deeds	FORM I	₹100 for creation and for any subsequent modification of security interest for a loan above ₹5 Lakh. For a loan upto ₹5 Lakh, the fee would be ₹50 for both creation and modification of security interest.
2	Satisfaction of any existing security interest	FORM II	Free (CERSAI circular dated 01.02.2016)
3	Particulars of securitization or reconstruction of financial assets	FORM III	₹500
4	Particulars of satisfaction of securitization or reconstruction transactions	FORM IV	₹50 (CERSAI circular dated 01.02.2016)
5	Any application for information recorded/maintained in the Register by any person		₹10 (CERSAI circular dated 01.02.2016)
	Any application for condonation of delay upto 30 days		Not exceeding 10 times of the basic fee as applicable

27.14 MONITORING

Monitoring relates to post-sanction activities, dealing with proper documentation, disbursement, in a manner, to ensure the proper end use of funds, periodical inspection, follow-up of recovery, restructuring of loan if needed, etc. It is a function of the credit administration department.

In some banks, the risk management department has to indicate by a certificate that documentation is in perfect order before disbursement can be authorized. If a part of documentation is incomplete and risk management does not sign off, the Manager (Credit) will have to seek waiver of procedures prescribed in policy before authorizing disbursement. Banks have well laid written policies on the level of authority, which must approve such waivers. For example, if a guarantee document is to be signed by four brothers of an applicant for a loan and one of them has not signed it for a reason acceptable to the bank, then such a fact must be recorded and a waiver sought to release the disbursement without the signature of the fourth guarantor. The waiver is usually accorded for a specific period of, say, one month up to a maximum of three months and by appropriate authority.

The discretion to approve the waiver in a single disbursement loan will be at higher levels than in multiple disbursement loans. This is because if in the period of waiver the lacuna in the documentation is not removed with completion of documentation, then further disbursements can be stopped.

Other routine checks that the credit administration will perform:

1. Check that the sanction letter contains complete particulars, records all covenants fully and is signed by authorized bank officials. Some banks require that the risk management officer sign on the sanction letter attesting that it is prepared in accordance with the policy of the bank and all terms of sanction have been incorporated in the letter. The authorized officer of the bank can sign the sanction letter only after it has been so signed off.
2. Check if the letter has been signed off by the borrower/guarantor acknowledging/agreeing to the terms and conditions.
3. Check that all the documents are complete in all particulars, with no blanks left and that these have been signed by the bank representative and borrower/guarantors.
4. Check that required registration of documents has been done.
5. Check that insurance policy is in place.
6. Noting in daily lists has been made to follow up renewals, instalment payments, inspection, etc.

Inspection

Inspection should be conducted as stipulated in the sanction. A record of the inspection must be kept in the files. The inspection report must carry noting on the condition of the property, verification of payment of tax dues, and details of any other encumbrance noted. Annually/Periodically, a fresh encumbrance certificate must be obtained. Any change in the condition of the property should trigger a full-scale review.

Recovery

Check that EMI payments are coming in on due dates or that the post-dated cheques are being honoured on presentation. If the bank's accounts have been "computerized", there will be a detailed computer generated daily exception report on the defaulting accounts.

Restructuring

A home loan may have to be restructured when delays turn into defaults. A restructuring is considered where the borrower's integrity is not doubted and his willingness to repay the loan is clearly established and only his ability to do so is impaired. If the cash flows are found inadequate to pay in accordance with the EMI set, but enough to pay the loan over a longer period of time, then the EMI could be reset. The lender may also allow the borrower to repay the loan without changing the EMI, but allowing him to repay all the overdue and other interest charges in an extended period. There should be a written request from the borrower and the guarantor for taking up this exercise.

Other circumstances when a restructure may be considered:

- Unforeseen event/major illness/social functions requiring significant outlay of funds in the family of the borrower or any other circumstance that affect the repayment capacity.
- In case of salaried class, borrowers who are on “loss of pay” due to lock out/strike/disciplinary action/ delayed payment of salary by employer.
- Delayed completion of housing project.
- Death/Disability of the borrower.

However, wilful defaulters should not be covered under restructuring programs.

A change in tenor/EMIs is also warranted when there is a change in the rate of interest, in case of loan sanctioned under floating rate of interest.

Annual Review of Credit Rating

The credit rating should be reviewed annually. Annual credit rating could include parameters like:

- a. Record of repayment during the past 12 months.
- b. Documentation as per sanctioned terms.
- c. Percentage of security coverage of the outstanding loan.
- d. Land value as percentage of total property value (guidance value).
- e. Improvement in income level (as confirmed by Income-tax returns) plus including rental income at the post-sanction stage.
- f. Liquidity of the borrower in terms of deposits with the financing institution, to cover certain minimum number of EMIs.

Purchase of Old Property

The property should be valued afresh in accordance with the policy of the lender relating to old property. A structural condition certificate should also be taken from a Chartered Engineer, to verify that the condition of the flat is such that the residual life of the flat/house is adequate to cover the period of the loan. All other formalities and documentation for home loans will apply.

27.15 CLOSURE OF ACCOUNT

On repayment of the scheduled EMI or the outstanding loan amount along with interest due, penal charges, processing/servicing/documentation fees, if any, the loan account is closed. If the borrower has no other direct, indirect outstanding or contingent liability to the financing institution, the charge created in favour of the lender can be closed and documents of title to the property can be returned under acknowledgement of receipt.

It should be carefully considered whether the house/property is being bought for accommodation or for investment expecting appreciation of value over a period. In case of the latter, the loan should be considered as one having a higher risk with necessary improved margin/security/guarantee.

27.16 HOME LOAN FRAUDS

Studies have shown that the home loan market has multiplied more than- 10 times in five years, with credit deployment increasing from ₹1,53,267 Crore by October 2005 to - ₹15,61,913 crore in March - 2021. This is great news, since adequate housing is a key factor in India's transformation. The bad news is that banks are another big target of home-loans fraudsters and defaults. A year ago, in one PSB, officials colluded to hand over loans of ₹25 Lakh each to 110 workers of a construction company based on a single sheet of fake documentation. The money was quickly transferred and routed through several accounts and found its way to Mumbai. An investigation was launched, but the information was carefully hidden from the public. More recently, six nationalised banks and a housing finance company were cheated in Gujarat when the borrower was found to have used the same set of documents to borrow from each bank and defaulted in every case. This case too is being quietly investigated by the police. A leading bank reportedly shut down its home loan operations at certain branches after detecting collusion by its own staff in various frauds. Worryingly, the numbers are adding up.

Some reported frauds and suggestions for mitigation:

- a. Fabrication of Income Documents like Income-tax Return/Salary Slip/Balance Sheet, etc.
 - Verification of salary slips with employer.
 - Salary amount should be compared with Bank Statement.
 - Insist for IT assessment orders – cross verification.
- b. Loan amount disbursed by way of cheque/Demand drafts are encashed by third party/agents, etc.
 - Credit the loan amount to the account of the builders after ascertaining the correctness of the account.
- c. Title documents being forged – Stamped documents forged by Borrower customer/Builder. Coloured photocopy of various documents are produced including encumbrance certificate, fake stamp papers, etc., which are difficult to identify/distinguish from the original one.
 - Obtain certificate from the panel lawyer as to the genuineness of the documents submitted for mortgage.
 - Verify the previous mortgages/encumbrances in the property by logging into CERSAI website.
- d. Over-valuation of the property – These frauds are committed to drawing higher loan amount by the borrower in connivance with the Builders/valuers. The value of the property is inflated by including various expenditure and additional amenities, fixtures, legal charges, society advance, maintenance charges, etc., which are non-existing.
 - Bank officials must visit the property and make a local enquiry on the prevailing market value/forced sale value of the properties.

- e. Multiple financing – These frauds are extension of the fake documents that are produced to different banks/Housing Finance Agencies.
 - Tracking & sharing of information among the Banks & HFCs about names of black listed Builders & developers selling same properties to more than one buyer.
 - Bank/Housing Finance Agencies should insist on the original title deeds of the landed property on which structure is built.
 - Tracking encumbrance on the property in CERSAI website.
- f. Cancellation of booking of flats/property, i.e., collusion between customer and builder. In this case after availing the initial loan amount, the booking is cancelled and the borrower directly takes the refund from the builders.
 - Continuous monitoring of the account by the bank and internal due diligence.
- g. Sale of property by loanee without clearing existing loan – Property is sold through duplicate/fake title deeds even though the legal title is with the bank/Housing Finance Agencies.
 - Internal due diligence plays important role to prevent this type of frauds.
- h. Mis-representation of end use of loan – siphoning off funds
 - Payment can be made direct to the seller – in case of purchase
 - Payment can be made direct to the builder – in case of construction
 - Regular inspection plays an important role. For construction purpose, every subsequent stage of loan is to be released only after inspection and ensuring that the loan amount with stipulated margin has already been used for the purpose.

LET US SUM UP

The Loan process begins with receipt of application form along with the required documents giving information about applicant, employment, loan amount, sources of finance, property details, etc. Then the bank undertakes the appraisal of the proposal. It comprises the validation of the information submitted by the applicant. After sanction of the loan the documentation work is initiated and completed. The mortgage formalities are completed. The mortgage may be of two types, viz., registered (simple) mortgage or by deposit of title deeds. Issues relating to the right of foreclosure and priority of charges are settled and accordingly mentioned in the mortgage deed. The documents such as sale deed are required to be registered with respective State Government authorities. The knowledge of formalities of registration, stamp duty computation and payment of registration fee, etc. is needed to each home loan advisor and keeping note of changes in this field will be helpful.

The lender also gives due importance to monitoring of the loan accounts. Monitoring relates to post- sanction activities, dealing with proper documentation, disbursement, ensuring end use of funds, periodical inspection, follow-up of recovery, restructuring of loan if needed, etc. On repayment of the loan amount along with interest the loan account is closed and the charge

created in favour of the lender is vacated and documents of title to the property are returned to the borrower.

KEYWORDS

Power of attorney, Pre EMI

CHECK YOUR PROGRESS

1. To consider the loan amount under housing loan scheme which of the following statements are true?
 - (i) The property is jointly held with the spouse and the spouse is co-borrower.
 - (ii) The property is held in single name and the spouse stands as a guarantor.
 - (iii) The borrower's son or daughter who has a steady income, the salary is routed through Bank account and joins as a co-borrower.
 - (iv) Expected rental less taxes, cess, etc., in case the house/flat being purchased is proposed to be rented.
 - (v) Regular income from all sources can be considered to arrive at total eligible loan amount.
 - (a) All the above
 - (b) (i), (ii), (iv) and (v)
 - (c) (i), (iv) and (v)
 - (d) (i), (ii), (iii) and (v)
 - (e) (i), (iii), (iv) and (v)
2. Mr. Satish Kumar working as a Senior Gazetted Officer in a Government Department having 20 years left over service was recently transferred to Hyderabad. He approached a branch and requested that he is in pursuit of a good house or apartment in Hyderabad for immediate purchase and he requires in principle sanction. Whether the bank accedes to his request? If so, it is valid for how many months?
 - (a) No. Bank cannot accede to such request
 - (b) Yes, it is valid for one month
 - (c) Yes, it is valid for three months
 - (d) Yes, it is valid for six months
3. State whether the following statement is true or false:
If the house property is bought purely from investment angle, expecting appreciation of value over a period, the loan should be considered as risky and dealt with differently by tightening norms relating to margin, security and guarantee.
4. Registration of charges with SERSAI in case of housing loan should mandatorily be made on-line within how many days of creation of equitable mortgage.
 - (a) 30 days
 - (b) 45 days
 - (c) 90 days
 - (d) Four months

ANSWERS TO CHECK YOUR PROGRESS

1. (a) 2. (c) 3. (True) 4. (a)



HOUSING FINANCE AND TAX PLANNING

STRUCTURE

28.0 Objectives

28.1 Introduction

28.2 Tax Benefits in Respect of Housing Finance

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

28.0 OBJECTIVES

On reading this Unit, you will learn the following:

- Tax Benefits available in respect of Housing Finance
- Use of the Benefits to reduce Tax Liability

28.1 INTRODUCTION

Over the years, announcements have been made in the Union Budgets for tax concessions, waivers, etc., to encourage housing and housing finance so as to counter the shortage of houses in India. The benefits available and use of the benefits to reduce one's tax liability are being detailed below.

28.2 TAX BENEFITS IN RESPECT OF HOUSING FINANCE

In respect of Loan taken for Purchase/Construction/ repairs of a Residential Unit, the borrower can avail benefit of payment of interest as well as repayment of principal.

Home Loan Tax Benefits

- Tax deduction on payment of home loan interest – section 24
- Tax deduction on principal repayment of housing loan – section 80C
- Tax deduction for first time home buyer – section 80EE

Tax benefit under section 24(b)

Interest on housing loan can be claimed as a deduction from income from property, salary, business/ profession, capital gains, or any other source upto a maximum of ₹2,00,000 under section 24(b) of the Income-tax Act, 1961 every year subject to fulfilment of the following conditions.

- a. Loan has been taken on or after 1st April 1999.
- b. Loan is for purchase or construction of a residential property or as re-finance (takeover) of the principal amount outstanding under a loan taken earlier for purchase or construction of a residential property. However, in case of loan for construction, the construction should get completed within - 5 Years of raising the Loan. Deduction can be claimed only from the financial year when the purchase/construction is completed.
- c. The lender issues a certificate at the end of the financial year mentioning therein the interest and principal paid during the year in respect of that loan.
- d. Interest payment of home loan taken for a self-occupied property.

If the loan is availed for repair or renewal an amount of ₹30,000 is only allowed under Section 24(b).

In case the property for which the home loan has been taken is not self-occupied, i.e., Rented or deemed to be rented, no maximum limit for tax deduction has been prescribed and the taxpayer can take the deduction of the whole interest amount under section 24. It is also important to note that this tax deduction of Interest on Home Loan under section 24 is deductible on a payable basis, i.e., on an accrual basis.

The tax benefit under section 24 is reduced from ₹2 lakh to ₹30,000, if the property is not acquired or construction is not completed within 5 years from the end of Financial Year in which the loan was taken. The deduction for this interest is allowed in 5 equal instalments starting from the year in which the house is purchased or the construction is completed. Though pre-construction interest is allowed to be claimed as tax deducted in 5 equal yearly instalments which can be claimed beginning the year in which the construction of property is completed, the total amount that can be claimed in a year is subject to a threshold of ₹2,00,000 in case of a self-occupied house property.

Computation of income from self-occupied property

Particulars	Amount
Gross annual value	Nil
Less:- Municipal taxes paid during the year	Nil
Net Annual Value (NAV)	Nil
Less:- Deduction under section 24	
Deduction under section 24(a) @ 30% of NAV	Nil
Deduction under section 24(b) on account of interest on borrowed capital	(XXXX)
Income from house property	XXXX

“Income from house property” in the case of a self-occupied property will be either Nil (if there is no interest on housing loan) or negative (i.e., loss) to the extent of interest on housing loan. Deduction in respect of interest on housing loan in case of a self-occupied property cannot exceed ₹2,00,000 or ₹30,000, as the case may be.

Tax benefit on Home Loan Principal Repayment under section 80C

The maximum tax deduction allowed under section 80C is ₹1,50,000. It can be availed for both self-occupied and let-out properties, up to a maximum of ₹1.5 lakh every year from taxable income of assessee on principal repayment. The tax deduction on principal repayment is also a part of the various deductions allowed under section 80C which includes amount invested in PPF Account, Tax Saving Fixed Deposits, Life Insurance premium, National Savings Certificate, Senior Citizens Saving Scheme, etc. The deduction limit of section 80C is inclusive of all these options. This tax deduction is available on payment basis and does not depend on the year for which the payment has been made by the assessee. The amount paid as Stamp Duty

& Registration Fee is also allowed as a tax deduction under section 80C. This deduction can be claimed whether the assessee has taken a loan or not. This can be claimed in the year the expenses have been incurred.

Conditions for claiming deduction under section 80C: Certain conditions must be satisfied to claim deduction under section 80C for principal repayment of home loan:

- Only if the construction of property is complete and have received a completion certificate for the same.
- No deduction would be allowed under this section for repayment of principal for those years during which the property was under construction.
- Deduction is also available whether the property is self-occupied or let out.
- The benefit can also be claimed for more than 1 house property.

Reversal of tax benefits availed under section 80C

If a house property for which tax benefit was availed under section 80C, is sold within a period of 5 years from the end of the financial year in which the property has been received in possession, then:

- Tax benefit under 80C will not be eligible for claim in that financial year.
- The total amount of tax deduction already claimed in respect of earlier years shall be deemed to be income of such year in which the property has been sold and will be liable to pay tax on that income.

Tax benefit under Section 80EE: Deduction for First Time Home Buyers

Just like deduction under section 24, the deduction under section 80EE is also available on the interest paid on the home loan by taxpayer or assessee. But his deduction is only available to first time home buyers. The quantum of deduction is ₹50,000 for interest paid on the home loan. This deduction is available over and above the deduction of section 24 and section 80C which are ₹2,00,000 and ₹1,50,000 respectively.

Conditions Necessary for Claiming Deduction under Section 80EE: To claim this special tax benefit, the taxpayer must satisfy the following conditions:

- The deduction can be availed on home loans sanctioned only between 1st April to 31st March in the financial year.
- The value of property for which the loan has been taken should be less than ₹50 Lakh.
- The home loan amount should not exceed ₹35 Lakh.
- The tax benefit here can be claimed till the time repayment of loan continues.
- Deduction is only applicable on home loan paid for first house property.
- The property in question can be either self-occupied or non-self-occupied.

- The amount of claim deducted under this section will not be eligible to claim the deduction u/s 24 again for the same amount of interest.
- As on the date of sanction of loan no other house is owned by you.

Eligibility for Claiming Section 80EE Deductions

- The deductions under this section can be claimed only by individual taxpayers on properties purchased either singly or jointly.
- Section 80EE is applicable on a per person basis instead of a per property basis. So, suppose you have purchased property jointly with your spouse and you both are paying the instalments of loan then you both can individually claim this deduction.
- It is not necessary to reside in the property for which you want to claim this deduction. So, borrowers staying in a rented accommodation can also claim this deduction.

If the property is rented out, interest paid on Loan can be fully deducted from the Income derived from the property without the limit of ₹2,00,000 or ₹30,000, as the case may be.

Income chargeable to tax under the head “Income from house property” in the case of a let-out property is computed in the following manner:

Particulars	Amount
Gross annual value	XXXX
Less:- Municipal taxes paid during the year	XXXX
Net Annual Value (NAV)	XXXX
Less:- Deduction under section 24	
• Deduction under section 24(a)) at 30% of NAV	(XXXX)
• Deduction under section 24(b)) on account of interest on borrowed capital	(XXXX)
Income from house property	XXXX

Gross Annual Value (GAV) of a property which is let-out throughout the year is determined in the following manner:

Step 1: Compute reasonable expected rent of the property¹

Step 2: Compute actual rent of the property²

Step 3: Compute gross annual value (Gross annual value will be higher of the amount computed at step 1 or step 2).

¹Computation Reasonable expected rent

Reasonable expected rent will be higher of the following:

- Municipal value of the property (Note 1); or
- Fair rent of the property (Note 2).

If a property is covered under Rent Control Act, then the reasonable expected rent cannot exceed standard rent (Note 3).

Note 1: Meaning of Municipal Value

For the collection of municipal taxes, local authorities make a periodic survey of all buildings in their jurisdiction. Such value determined by the municipal authorities in respect of a property is called as the municipal value of the property.

Note 2: Meaning of Fair Rent

It is the reasonable expected rent which the property can fetch. It can be determined on the basis of rent fetched by a similar property in the same or similar locality.

Note 3: Meaning of Standard Rent

It is the maximum rent which a person can legally recover from his tenant under the Rent Control Act. Standard rent is applicable only in case of properties covered under Rent Control Act.

Compute actual rent of the property

Actual rent means the rent for which the property is let out during the year. While computing actual rent pertaining to vacancy period is not to be deducted. However, unrealised rent (*) is to be deducted from actual rent if conditions specified in this regard are satisfied.

(*) Unrealized rent is the rent of the property which the owner of the property could not recover from the tenant, i.e., rent not paid by the tenant. If following conditions are satisfied, then unrealized rent is to be deducted from the actual rent of the year:

- The tenancy is bona fide.
- The defaulting tenant has vacated the property, or steps have been taken to compel him to vacate the property.
- The defaulting tenant is not in occupation of any other property of the taxpayer.
- The taxpayer has taken all steps to recover such amount, including legal proceedings or he satisfies the Assessing Officer that legal proceedings would be useless.

Interest on loan taken for commercial property or on loan taken for business/personal needs against the mortgage of property by an individual/HUF/partnership firm/company/any other person can be fully claimed as deduction from income from rent/business/profession/other sources, as the case may be. However, the benefit on account of principal repayment shall not be available in such cases.

Interest on unpaid interest, i.e., penal interest, is not deductible.

Home loan in Joint Names

In case of home loan in joint names, the tax benefits get divided among owners. The division takes place in the same proportion in which the asset is owned by each co-applicant. Each co-applicant can claim a maximum tax rebate of up to ₹1.50 Lakh for principal repayment (Section

80C) and ₹2 Lakh for interest payment (Section 24). The very first condition is the house property has to be bought by the individuals jointly and this should be in their joint names. The share of each holder should be clearly mentioned so that there is absolute clarity on the percentage ownership of each co-owner. Benefit, if available, under 80EE can also be claimed individually. Therefore, a joint home loan can give more tax benefits.

Tax implications in respect of NRI Home Loan

Like in the case of a resident Indian can avail a tax benefit on repayment of up to ₹1.50 Lakh on the principal component and ₹2.00 Lakh on the interest component, an NRI who repays the home loan is also eligible for tax rebate. However, most of the NRIs who are currently servicing their home loans are not aware of the tax implications on their loan repayment. They just earn their income abroad and repay their loan.

In case the salary earned abroad is the only source of income, an NRI does not have an opportunity to claim tax exemption on home loan repayment as he is not taxable in India. But, in case if a NRI earns an additional taxable income from India apart from the salary earned abroad, then he is eligible to claim tax exemption for the home loan repayment as available for resident home loan.

LET US SUM UP

Raising a housing loan can not only help in lowering one's tax liability, but can also more importantly, allow one to get his/her home for self-occupation or for supplementing his/her existing Income. However, the benefits have to be used judiciously. The tax rate would vary from year to year depending upon the Union Budget announcements.

KEYWORDS

Hindu Undivided Family (HUF), income Tax Return (ITR), Assessment Year (A.Y.), Financial Year (F.Y.), Tax implications, Non-resident Indian (NRI)

CHECK YOUR PROGRESS

1. An Individual took a Loan of ₹25 Lakh for purchasing a flat for self-occupation on 30/03/2015 & paid ₹2,20,000 towards Interest during F.Y. 2016–17. The maximum amount of Interest which he can claim as a deduction would be _____.
 (a) ₹1,50,000 (b) ₹1,20,000
 (c) ₹2,00,000 (d) ₹30,000
2. Husband & Wife jointly raise a loan in April 2014 for constructing a house for self-occupation. The construction was completed in July 2015. They have been paying the housing loan instalments on 50:50 basis from their respective Incomes. During F.Y. 2016–17

they paid Interest of ₹4,25,000. The maximum interest which each of them can claim as deduction is_____.

- (a) ₹1,00,000 (b) ₹2,00,000
(c) ₹1,50,000 (d) ₹1,75,000

3. An individual took a loan of ₹10 Lakh for purchasing a plot of land during F.Y. 2010–11 and has paid around ₹1,10,000 towards Interest and around ₹57,000 towards principal during F.Y. 2016–17. He has not made any other contribution under Sections 80C, 80CCC, or 80CCD. He will be able to claim deduction of_____.

- (a) ₹1,50,000 (b) ₹57,000
(c) ₹2,07,000 (d) ₹0 (NIL)

ANSWERS TO CHECK YOUR PROGRESS

1. (c) 2. (b) 3. (d)



MORTGAGE ADVICE

STRUCTURE

29.0 Objectives

29.1 Economic and Regulatory Context for Giving Mortgage Advice

29.2 Development of “Home Information Packs”

29.3 Time Value of Money-interest and Annuities

29.4 Capital Gains

29.5 Loan Calculator and Loan Amortization Schedule

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

29.0 OBJECTIVES

On reading this Unit you will learn the following:

- There is no regulation for mortgage advice services in the country.
- The concept of information pack as prevailing in other advanced countries.
- Time value of money and computation of future value, present value.
- Computation of capital gains with or without indexed cost, exemptions available and taxation of capital gains.
- The concept of EMI and building loan calculator as well as amortization schedule.
- Registration of documents with Government authorities.

29.1 ECONOMIC AND REGULATORY CONTEXT FOR GIVING MORTGAGE ADVICE

In India, mortgage advice profession is carried out without any regulations. There is no entry barrier and no code of conduct or ethics are stipulated by any regulation. Any person can enter the profession and can provide advice and do business. There are regulations in US, UK and other countries regulating the mortgage advice services. It would be worthwhile to look at some of the legal provisions in US to understand the position prevailing in these countries and to feel the need of such regulations in India.

In US, in addition to direct support of housing and home finance, State and Federal Government agencies regulate the participants in the mortgage lending industry through chartering, licensing, auditing, and examinations. One such participant is Mortgage Broker. He is regulated by licensing. No individual or firm can carry out mortgage broking activities unless he/they are licensed. Once licensed, a mortgage broker becomes subject to the substantive provisions of the licensing law, which usually include mandatory standards of conduct and penalties for non-compliance.

29.2 DEVELOPMENT OF “HOME INFORMATION PACKS”

This concept is being introduced in UK from 1st August 2007. An attempt has been made to explain in brief the concept and its utility. It is not at all applicable in India. However, the study of this concept and understanding its usefulness may be advisable. This may also pave the way for introducing the same in the country on a limited basis in a gradual manner.

What is Information Pack?

The Home Information Pack contains important information that buyers and sellers need to know. Home Information Packs including Energy Performance Certificates will be implemented on a phased basis from 1st August 2007 in UK. From then, on Packs will be required for the sale of four bedroom properties and larger, with smaller properties being phased in as soon as sufficient energy assessors are fully qualified.

For sellers, providing a Pack promptly should reduce the likelihood of any nasty surprises in the selling process that could delay the sale, as buyers will be able to make more informed decisions about purchasing their home.

For buyers, the Pack provides essential information free of charge about properties they are considering buying.

The content of the pack is list of documents to be provided. The list consists of compulsory documents as well as optional documents to be provided for the use of buyers for taking right decision. The important compulsory documents are:

- Sale statement providing basic information about the site including the address of the property being sold, whether the property is freehold, leasehold, whether or not the property is being sold with vacant possession.
- Evidence of title to prove that the seller owns the property and therefore has the right to sell it.
- Energy Performance Certificate indicating how energy efficient a home is on a scale of A-G. The most efficient homes which should have the lowest fuel bills are in band A.

The optional documents are:

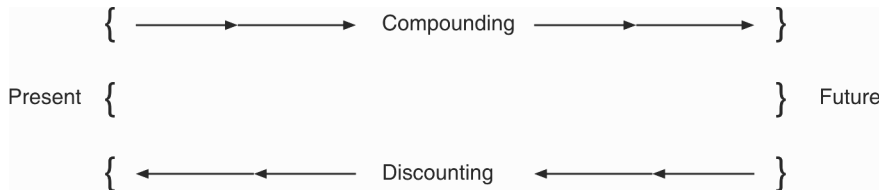
- Home Condition Report containing information about the physical condition of a property, which sellers, buyers and lenders will be able to rely on legally as an accurate report.
- Legal summary giving summary of the legal aspects helpful to buyers. However, buyer can take his own legal advice as well.
- Home use/contents forms providing information on a range of matters relating to the property. These include information on boundaries, notices, services, sharing with neighbours, and other matters of interest to potential buyers. It is usual for sellers to declare which fixtures and fittings and other contents of the property are included in the sale, are excluded from the sale, or are subject to negotiation.

29.3 TIME VALUE OF MONEY-INTEREST AND ANNUITIES

A rupee today is worth more than a rupee tomorrow. To permit realistic appraisal the value of a cash payment or receipt must be related to the time when the payment takes place. In particular, it must be recognised that Re. 1 received today is worth more than Re. 1 receivable at some future date, because Re. 1 received today could be earning interest in the intervening period. This is the concept of the time value of money.

To illustrate this if ₹100 was invested today at 5% per annum compound interest, it would accumulate to ₹105 at the end of one year (*i.e.*, $₹100 \times 1.05$) to ₹110.25 at the end of two years (*i.e.* $₹100 \times 1.05 \times 1.05$ or $₹105 \times (1.05)^2$ and so on. In other words, ₹110.25 receivable in two years time is only worth ₹100 today if 5% per annum can be earned in the meantime, [*i.e.*, $110.25/(1.05 \times 1.05) = 100$].

The process of converting future sums into their present equivalents is known as discounting, which is simply the opposite of compounding. Compounding is used to determine the future value of present cash flows, whereas discounting is used to determine the present value of future cash flows.



Frequently compounding of interest

What if interest is paid more frequently?

Annually = $P(1 + r)$ = Annual compounding

Quarterly = Quarterly compounding

Monthly = monthly compounding

The following table shows the final principal (p) after $t = 1$ year of an account initially with $P = 10000$ at 6% interest rate with given compounding (n)

n	p
1 (yearly)	10600
2 (semi-annually)	10609
4 (quarterly)	10613
12 (monthly)	10616
52 (weekly)	10618

The Rule of 72, 115 and 144

These rules allow- you to determine the number of years before your money becomes almost double- triple-and four times of the principal whether in debt or investment. Here is how to do it.

Divide the number 72, 115, 144 by percentage rate you are paying on your debt (or earning on your investment) which will give years during which money will be double, triple and four times respectively.

For Illustration: Suppose, you borrowed ₹1,000 at 6% interest. 72 divided by 6 is 12. That makes 12 the number of years it would take for your debt to double to ₹2,000, if you did not make any payment. Similarly, a saving account with ₹500 deposited in it earning 4% interest. 72 divided by 4 is 18. It will take 18 years for your ₹500 to almost double to ₹1,000 if you don't make or withdraw any deposit. Similarly, divide 115 by 4 which will be 28 years and 9 months during which your principal money (₹500/-) will be almost triple (₹1500/-) in Savings Account and accordingly 144 divided by 4 will be 26 years during which your principal money (₹500/-) will be almost four times (₹2000/-).

Future Value of Money

For finding out future value (FV), we must use compounding formula which is given below:

$$FV = PV(1 + r)^n$$

Where PV means present value, 1 means one rupee, r means rate of interest and n means period or term.

Example:

If ₹1,00,000 is invested for a period of 5 years at interest at 10% p.a. find the maturity sum *i.e.*, future value

Solution:

The formula for finding FV is.....

$$\begin{aligned} FV &= PV(1 + r)^n \\ &= 100000 (1 + 0.10)^5 \\ &= 100000 (1.10)^5 \\ &= 100000 (1.61) \\ &= 1610000 \end{aligned}$$

So the maturity sum will be ₹1,61,000

The same value can be calculated by using future value table. Future value = PV × future value factor. Future value factors (FVF) of Re. 1 at different rate of interest are given below for information

Year	7%	8%	9%	10%	11%	12%
1	1.07	1.08	1.09	1.10	1.11	1.12
2	1.14	1.17	1.19	1.21	1.23	1.25
3	1.23	1.26	1.29	1.33	1.36	1.40
4	1.31	1.36	1.41	1.46	1.51	1.57
5	1.40	1.47	1.54	1.61	1.68	1.76
6	1.50	1.59	1.68	1.97	1.87	1.97

If you wish to calculate FVF of Re. 1 at 12% from 1 to 6 years by using simple calculator, do following.

(1) Press 1.12 (2) press multiplication sign *i.e.* X twice (press x, press x) (3) you get 1.12. Thus 1.12. is FVF for 1 year term. (4) for FVF for year 2, just press equal sign (=), you get 1.25 (5) for FVF for year 3, just press equal sign (=), you get 1.40 (6) for FVF for year 4, just press equal

sign (=), you get 1.57 (7) for FVF for year 5, just press equal sign (=), you get 1.76 (8) for FVF for year 6, just press equal sign (=), you get 1.97. This way, you can find FVF of at any rate of interest for any term.

Let us work out one example.

Example:

If ₹1,00,000 is invested for a period of 6 years at interest at 11% p.a. find the maturity sum i.e., future value

$$\text{Future value} = \text{PV} \times \text{future value factor}$$

$$\text{FV} = 1,00,000 \times 1.87 = 1,87,000$$

Solving problem through MS EXCEL program The in-built function of FV in excel is —— FV (RATE, NPER, PV, TYPE)

FV = Future value, RATE = rate of interest, NPER = Total number of periods, PV = present value. PMT and TYPE are included to handle annuities (a series of payments equally spaced over a period of time). TYPE is for indicating whether the cash flow occurs at the beginning (1) or at the end (0) of the period.

In order to do calculation with EXCEL go to Insert, go to function, click financial function.

Example:

If ₹1,00,000 is invested for a period of 6 years at interest at 11% p.a. find the future value at the end of the period.

Enter: FV (0.11, 6, 0 – 1,00,000, 0) [Please do not forget to put minus sign (–) before PV]

The result is ₹1,87,041.

Future value of annuities

Annuities are essentially series of fixed payments required from you or paid to you at a specified frequency over the course of a fixed period of time.

- *Ordinary Annuity*: Payments are made/received at the end of each period.
- *Annuity Due*: Payments are made/received at the beginning of each period.

Calculating the Future Value of an Ordinary Annuity

If you know how much you can invest per period for a certain time period, the future value of an ordinary annuity formula is useful for finding out how much you would have in the future by investing at your given interest rate. If you are making payments on a loan, the future value is useful for determining the total cost of the loan. In order to calculate the future value of the annuity, we have to calculate the future value of each cash flow.

$$F = A \frac{(1+i)^n - 1}{i}$$

Where F = future value of an annuity

A = annuity

i = interest rate

n = term

Calculating the Future Value of an Annuity Due

Since each payment in the series is made one period sooner, we need to discount the formula one period back. A slight modification to the FV-of-an-ordinary-annuity formula accounts for payments occurring at the beginning of each period.

Notice that when payments are made at the beginning of the period, each amount is held for longer time at the end of the period. For Illustration, if the ₹1,000 was invested on January 1st rather than December 31st of each year, the last payment before we value our investment at the end of five years (on December 31st) would have been made a year prior (January 1st) rather than the same day on which it is valued. The future value of annuity formula would then read:

$$F = A \frac{(1+i)^n - 1}{i} \times (1+r)$$

Therefore, future value of annuity due of ₹1,000 for a period of 5 years at interest rate of 5% would be

$$\begin{aligned} \text{FV (Annuity Due)} &= 1000 \times \frac{(1+.05)^5 - 1}{.05} \times (1+.05) \\ &= \text{Rs. } 1000 \times 5.53 \times 1.05 \\ &= \text{Rs. } 5801.91 \end{aligned}$$

The same value can be calculated by using annuity table.

Future value of annuity = Annuity × CV factor

Compound value factor for annuity (CVA) of Re. 1 at different rates of interest are given below for information. Assume rupee to be invested at the end of the year.

Year	7%	8%	9%	10%	11%	12%
1	1.00	1.00	1.00	1.00	1.00	1.00
2	2.070	2.080	2.090	2.100	2.110	2.120
3	3.215	3.246	3.278	3.310	3.342	3.374
4	4.440	4.506	4.573	4.641	4.710	4.779
5	5.751	5.867	5.985	6.105	6.228	6.353
6	7.153	7.336	7.523	7.716	7.913	8.115

Example:

If Ms. Anusaya is paying home loan instalment at ₹12,000 per year for a period of 6 years how much she paid till the end of the loan period (What is the future value of an annuity of ₹10,000 p.a. at 11% for a period of 6 years).

Solution:

By using the annuity table above, find CVA factor for 6 years at 11% and multiply by ₹10,000.
CVA for 6 years @ 11% = 7.913

Annuity = ₹10,000

So Future value of annuity = $7.913 \times 10,000 = ₹79,130$

Present Value

Present value is nothing but the reverse of future value. For finding out present value (PV), we must use discounting formula which is given below:

$$PV = FV \div (1 + r)^n$$

Where PV means present value, 1 means one rupee, r means rate of interest and n means period or term and FV means future value.

Example:

If ₹1,61,000 is the maturity value(future value) of investment, invested for a period of 5 years at interest at 10% p.a. find the amount invested (present value).

Solution:

The formula for finding PV is——

$$\begin{aligned} PV &= FV / (1 + r)^n \\ &= 161000 / (1 + 0.10)^5 \\ &= 161000 / (1.61) \\ &= 161000 / 1.61 \\ &= 100000 \end{aligned}$$

So, the present value will be ₹1,00,000

The same value can be calculated by using present value table.

$$\text{Present Value} = FV \times \text{Present Value Factor}$$

Present Value Factors (PVF) of ₹1 at different rates of interest are given below for information

Year	7%	8%	9%	10%	11%	12%
1	0.93	0.93	0.92	0.91	0.90	0.89
2	0.87	0.86	0.84	0.83	0.81	0.80
3	0.81	0.79	0.77	0.75	0.73	0.71
4	0.76	0.74	0.71	0.68	0.66	0.63
5	0.71	0.68	0.65	0.62	0.59	0.57
6	0.66	0.63	0.60	0.56	0.53	0.51

Solving Present Value problems with the use of Excel Program.

The in-built function of PV in excel is—

PV (RATE, NPER, FV, TYPE)

PV = Present value, RATE = rate of interest, NPER = Total number of periods FV = Future value. TYPE is for indicating whether the cash flow occurs at the beginning (1) or at the end (0) of the period.

In order to do calculation with EXCEL go to Insert, go to function, click financial function.

Example:

If the maturity value of an amount invested for a period of 6 years at interest at 11% p.a. is ₹1,87,041 find the amount invested at the beginning (find present value).

Enter: PV (0.11,6, – 187041, 0) [Please do not forget to put minus sign (–) before FV] The result is ₹1,00,000.

29.4 CAPITAL GAINS

Any profit or gain from transfer of a capital asset is chargeable to tax under the head “capital gains”. Capital asset means any property whether movable or immovable, tangible or intangible. Transfer, in relation to capital asset, includes sale, exchange of the asset.

The following assets are, however, excluded from the definition of capital assets:

- Stock-in-trade, stores, raw material;
- Personal effects (excluding Jewellery, archaeological collections, drawings, paintings, sculptures, etc.);
- Agricultural land in India, not being a land situated;
 - Within jurisdiction of municipality, notified area committee, town area committee, cantonment board and which has a population of not less than 10,000;
 - Within range of following distance measured aerially from the local limits of any municipality or cantonment board:
 - Not being more than 2 KMs, if population of such area is more than 10,000 but not exceeding 1 lakh;

- Not being more than 6 KMs, if population of such area is more than 1 Lakh but not exceeding 10 Lakh; or
 - Not being more than 8 KMs, if population of such area is more than 10 Lakh.
- d. Bonds/securities under certain schemes, as announced by Government.

For the purpose of Income-tax Law “Transfer”, in relation to a capital asset, includes:

- i. Sale, exchange or relinquishment of the asset;
- ii. Extinguishment of any rights in relation to a capital asset;
- iii. Compulsory acquisition of an asset;
- iv. Conversion of capital asset into stock-in-trade;
- v. Maturity or redemption of a zero coupon bond;
- vi. Allowing possession of immovable properties to the buyer in part performance of the contract;
- vii. Any transaction which has the effect of transferring an (or enabling the enjoyment of) immovable property; or
- viii. Disposing of or parting with an asset or any interest therein or creating any interest in any asset in any manner whatsoever.

If a person gifts his capital asset to any other person, then no capital gain will arise in the hands of the person making the gift. If the person receiving the capital asset by way of gift, will, etc., subsequently transfers such asset, the capital gain will arise in his hands. Special provisions are designed to compute capital gains in the hands of the person receiving the asset by way of gift, will, etc. In such a case, the cost of acquisition of the capital asset will be the cost of acquisition to the previous owner and the period of holding of the capital asset will be computed from the date of acquisition of the capital asset by the previous owner.

Types of Capital Assets

- Short-term capital assets
- Long-term capital assets

Short Term Capital Assets

- Short term capital asset means a capital asset held for less than 36 months immediately prior to the date of transfer. However, in following cases, asset held for less than 12 months is treated as short term capital asset. However, in respect of certain assets like shares (equity or preference) which are listed in a recognised stock exchange in India, units of equity oriented mutual funds, listed securities like debentures and Government securities, Units of UTI and Zero Coupon Bonds, the period of holding to be considered is 12 months instead of 36 months.
- In case of unlisted shares in a company, the period of holding to be considered is 24 months instead of 36 months.

- With effect from Assessment Year 2018–19, the period of holding of immovable property (being land or building or both), shall be considered to be 24 months instead of 36 months.

Short Term Capital Gain (STCG)

Short Term Capital Gain on property is considered as a gain from selling a property which was held by an assessee for not more than 24 months.

He/she is liable to pay tax on short term capital gain on property as per the applicable marginal income tax slab (other than for those covered under section 111 A). Liability under Short Term Capital Gains can be significantly high, if the assessee falls in the higher income tax slab. It is, therefore, advisable to plan to sell the sale of an immovable property after 2 years of holding, so as to shift it to the category of Long Term Capital Gains.

The assessee is allowed to adjust/reduce the sale consideration for any brokerage, commission the tax payer had paid at the time of property sale. He is also allowed to deduct any expenditure on construction and home improvement incurred during the period he/she held/owned the asset. Benefit of indexation, i.e., adjustment for Inflation is not allowed on a property transaction classified under short term capital gain. No exemption or savings is allowed on short term capital gain tax by re-investment in property or buying capital gains bond issued by REC or NHAI.

Long Term Capital Assets

Long term capital asset means a capital asset held for more than 24 months immediately prior to the date of transfer. However, in respect of certain assets like shares (equity or preference) which are listed in a recognised stock exchange in India, units of equity oriented mutual funds, listed securities like debentures and Government securities, Units of UTI and Zero Coupon Bonds, the period of holding to be considered is 12 months instead of 36 months.

- In case of unlisted shares in a company, the period of holding to be considered is 24 months instead of 36 months.
- With effect from Assessment Year 2018–19, the period of holding of immovable property (being land or building or both), shall be considered to be 24 months instead of 36 months.

Long Term Capital Gain (LTCG)

Gain arising on transfer of long-term capital asset is termed as long-term capital gain.

Cost of Previous Owner

In the case of transfer by gift, will, inheritance, amalgamation, distribution of assets by HUF on partition, the cost of acquisition shall be the cost to the previous owner.

Method of Computation of Short-term and Long-term Capital Gain

Computation of short term Cap. Gain	Computation of Long term Cap. Gain
1. Find out full value of consideration	1. Find out full value of consideration
2. Deduct the following:	2. Deduct the following:
a. Expenditure of transfer	a. Expenditure of transfer
b. Cost of acquisition	b. Indexed cost of acquisition
c. Cost of improvement	c. Indexed cost of improvement
3. From the sum so arrived at deduct the exemptions provided by sections 54B, 54D	3. From the sum so arrived at deduct the exemptions provided by sections 54, 54B, 54D, 54EC, 54F
4. The balancing amount is short term capital gain	4. The balancing amount is long term capital gain

Cost Inflation Index

Indexation is a process by which the cost of acquisition is adjusted against the inflationary rise in the value of the asset. For this purpose, Central Government has notified cost inflation index (given below). The benefit of indexation is available only to long-term capital assets. For computation of indexed cost of acquisition following factors are to be considered:

- Year of acquisition/improvement
- Year of transfer
- Cost inflation index of the year of acquisition/improvement
- Cost inflation index of the year of transfer

Cost Inflation Index

Financial Year	Cost Inflation Index
2001–02	100
2002–03	105
2003–04	109
2004–05	113
2005–06	117
2006–07	122
2007–08	129
2008–09	137
2009–10	148
2010–11	167
2011–12	184

Financial Year	Cost Inflation Index
2012–13	200
2013–14	220
2014–15	240
2015–16	254
2016–17	264
2017–18	272
2018–19	280
2019–20	289
2020–21	301
2021–22	317
2022–23	331

(Ref: As per notification no. 62/ 2022, dated 14-06-2022, amended by Finance Act, 2022)

Computation of indexed cost of acquisition

$$\text{Indexed cost of acquisition} = \frac{\text{Cost of acquisition} \times \text{Cost of inflation index of the year of transfer of capita asset}}{\text{Cost inflation index of the year acquisition}}$$

Computation of indexed cost of improvement

$$\text{Indexed cost of improvement} = \frac{\text{Cost of acquisition} \times \text{Cost of inflation index of the year of transfer of capita asset}}{\text{Cost inflation index of the year improvement}}$$

The base year of indexation has been shifted from 1981–82 to 2001–02 as per the explanation to section 48 of the Income-tax Act, 1961. Accordingly, Central Board of Direct Taxes (CBDT) notified the cost inflation index which will take effect from 01.04.2018. The new index is given in above table:

Capital Gains – When and to What Extent Exempt from Tax

Section in IT Act	Gain eligible for claiming exemption	Asset in which the capital gain is to be re-invested to claim exemption
Section 54	Long-term capital gain arising on transfer of residential house property.	Gain to be re-invested in purchase or construction of one residential house property in India.
Section 54B	Long-term or short-term capital gain arising on transfer of agricultural land.	Gain to be re-invested in purchase of agricultural land.

Section in IT Act	Gain eligible for claiming exemption	Asset in which the capital gain is to be re-invested to claim exemption
<u>Section 54EC</u>	Long-term capital gain arising on transfer of any capital asset.	Gain to be re-invested in bonds issued by National Highway Authority of India or by the Rural Electrification Corporation Limited. The investment should be made within a period of 6 months from the date of transfer of capital asset and bonds should not be redeemed before 3 years. This benefit cannot be availed in respect of short-term capital gain. The Maximum amount which qualifies for investment will be ₹50,00,000. Thus, the deduction under section 54EC cannot be claimed for more than ₹50,00,000.
<u>Section 54EE</u>	Long-term capital gain arising on transfer of any capital asset.	Gain to be re-invested in units of specified fund, as may be notified by Govt. to finance start-ups.
Section 54F	Long-term capital gain arising on transfer of any capital asset other than residential house property.	Net sale consideration to be re-invested in purchase or construction of one residential houseproperty in India.
Section 54D	Gain arising on transfer of land or building forming part of industrial undertaking which is compulsorily acquired by Government and was used for industrial purpose for a period of 2 years prior to its acquisition.	Gain to be re-invested to acquire land or building for industrial purpose.
Section 54G	Gain arising on transfer of land, building, plant or machinery in order to shift an industrial undertaking from urban area to rural area	Gain to be re-invested to acquire land, building, plant or machinery in order to shift the industrial undertaking from an urban area to a rural area
<u>Section 54GA</u>	Gain arising on transfer of land, building, plant or machinery in order to shift an industrial undertaking from urban area to any Special Economic Zone	Gain to be re-invested to acquire land, building, plant or machinery in order to shift the industrial undertaking from urban area to any Special Economic Zone.
<u>Section 54GB</u>	Long-term capital gain arising on transfer of residential property (a house or a plot of land). The transfer should take place during 1 st April, 2012 and 31 st March 2017. However, in case of investment in “eligible start-up”, sunset limit of 31 st March 2017 is extended to 31 st March 2019.	The net sale consideration should be utilised for subscription in equity shares of an “eligible company”. w.e.f. April 1, 2017, eligible start-up is also included in definition of eligible company

In order to claim the exemption on account of re-investment in various situations as discussed above, other conditions specified in the respective sections should be satisfied and the re-investment should be made within the period specified in the respective sections.

Following conditions should be satisfied to claim the benefit of section 54.

- The benefit of section 54 is available only to an individual or HUF.
- The asset transferred should be a long-term capital asset, being a residential house property.
- Within a period of one year before or two years after the date of transfer of old house, the taxpayer should acquire another residential house or should construct a residential house within a period of three years from the date of transfer of the old house. In case of compulsory acquisition, the period of acquisition or construction will be determined from the date of receipt of compensation (whether original or additional).
- With effect from the assessment year 2015–16, exemption can be claimed only in respect of one residential house property purchased/constructed in India. If more than one house is purchased or constructed, then the exemption under section 54 will be available in respect of one house only. No exemption can be claimed in respect of house purchased outside India.

Capital Gain Deposit Account Scheme

To claim exemption under section 54, the taxpayer should purchase another house within a period of one year before or two years after the date of transfer of old house or should construct another house within a period of three years from the date of transfer. If till the date of filing the return of income, the capital gain arising on transfer of the house is not utilised (in whole or in part) to purchase or construct another house, then the benefit of exemption can be availed by depositing the unutilised amount in Capital Gains Deposit Account Scheme in any branch of public sector bank, in accordance with Capital Gains Deposit Accounts Scheme, 1988 (hereafter referred as Capital Gains Account Scheme). The new house can be purchased or constructed by withdrawing the amount from the said account within the specified time-limit of 2 years or 3 years, as the case may be.

Illustration

Mr. Manohar is a salaried employee. He had purchased a residential house in April, 2013 and sold the same on 25th April, 2017 for ₹24,00,000. Capital gain arising on sale of house amounted to ₹2,00,000. He wants to claim exemption under section 54 by purchasing another residential house. By what time he should purchase or construct another residential house?

To claim exemption under section 54, the taxpayer should purchase another house within a period of one year before or two years after the date of transfer of old house. In this case, the old house is transferred on 25th April, 2017, hence, he has to purchase another house within a period of 2 years from 25th April, 2017; alternatively, he can construct another house within a period of 3 years from 25th April, 2017. The old house is transferred in the year 2017–18 and the due date of filing the return of income for the year 2017–18 is 31st July, 2018. If Mr. Manohar

cannot purchase/construct another house by 31st July, 2018, then he has to deposit ₹2,00,000 in Capital Gains Account Scheme to claim exemption of ₹2,00,000 under section 54 subject to utilising this fund to purchase/construct the house within the specified period of 2 years/3 years, as the case may be.

Capital Gain Tax Calculator

- Long term capital gain on transfer of property is taxable generally at a flat rate of 20% (plus surcharge and education cess). The surcharge @ 10% is applicable if the total income including capital gains exceeds ₹10 Lakh. The education cess @ 3% of income-tax (2% education cess and 1% Secondary and Higher education cess) is applicable.
- Deductions under sections 80C to 80U are not available in respect of long term capital gains.
- Adjustment of LTCG against the basic exemption limit.

Only a resident individual/HUF can adjust the exemption limit against LTCG. A resident individual can adjust the LTCG but such an adjustment is possible only after making adjustment of other income. In other words, first, income other than LTCG is to be adjusted against the exemption limit and then the remaining limit (if any) can be adjusted against LTCG.

Eg: Mr. Manohar (age 67 years and resident) is a retired person earning a monthly pension of ₹5,000. His total income for the financial year 2021-22 was ₹3,30,000 including taxable LTCG amounted to ₹2,70,000. Apart from pension income and Long Term capital gain he is not having any other income. His tax liability is calculated as follows:

Total income other than LTCG = ₹60,000

Basic exemption limit = ₹3,00,000 (senior citizen)

Balance basic exemption limit available = ₹3,00,000 – ₹60,000
= ₹2,40,000

LTCG of ₹2,40,000 will be adjusted to the balance basic exemption limit. Balance of LTCG after adjustment = ₹2,70,000 – ₹2,40,000 = ₹30,000 LTCG @ 20 % + applicable cess is charged. This comes to ₹6000 + cess

Less: Tax rebate under section 87A: The rebate is available to a resident individual if his total income does not exceed ₹3,50,000. The amount of rebate shall be 100% of income-tax or ₹2,500 whichever is less. Rebate under section 87A is available only to resident individual).

Hence, tax liability is ₹3500 + cess (cess @ 4%)

Total tax liability is ₹3640

It is stated that by lowering the holding period for gains to qualify as long-term in the case of immovable property to two years from three years would significantly reduce the tax burden of people selling properties after two years and promote investment in the real estate sector. It is further, stated that by changing the base year to which acquisition cost of an immovable asset

is indexed to the new base year 2001 against the earlier year of 1981 would enable people to improve the acquisition cost of their immovable assets, thereby reducing their overall capital gains.

29.5 LOAN CALCULATOR AND LOAN AMORTIZATION SCHEDULE

This section will demonstrate how to use formulas and functions to create two simple but useful worksheets.

- A Loan Calculator
- A Loan Amortization Table.

Loan Calculator

Suppose you are taking out a home loan, and want to analyze the various loan options that are available. This exercise will show you how to create a simple, reusable loan calculator to determine what the monthly payments will be based on the loan amount, interest rate, and term.

Enter the following information onto a blank worksheet in excel.

CELL	Entry
B2	Loan Calculator
B5	Interest rate
C5	Term (months)
D5	Loan Amount
G5	Monthly Payment
G6	= PMT(B6/12,C6,- D6)
B6	10.0% (be sure to type the % sign
C6	24
D6	100000

You can play “what if?” by changing the interest rate, the number of monthly instalments.

Interest Rate	Term (months)	Loan Amount	Monthly Payment
9.00%	24	100000	4568.47
9.25%	24	100000	4579.95
9.50%	24	100000	4591.45
9.75%	24	100000	4602.96
10.00%	24	100000	4614.49
10.25%	24	100000	4626.04
10.50%	24	100000	4637.60
10.75%	24	100000	4649.19

Interest Rate	Term (months)	Loan Amount	Monthly Payment
11.00%	24	100000	4660.78
11.25%	24	100000	4672.40
11.50%	24	100000	4684.03
11.75%	24	100000	4695.68
12.00%	24	100000	4707.35
9.00%	24	200000	9136.95
9.25%	24	200000	9159.91
9.50%	24	200000	9182.90
9.75%	24	200000	9205.92
10.00%	24	200000	9228.99
10.25%	36	100000	3238.47
10.50%	36	100000	3250.24
10.75%	36	100000	3262.05
11.00%	36	100000	3273.87
11.25%	36	100000	3285.72
11.50%	36	100000	3297.60
11.75%	36	100000	3309.50
12.00%	36	100000	3321.43
10.25%	48	100000	2548.28
10.50%	48	100000	2560.34
10.75%	48	100000	2572.43
11.00%	48	100000	2584.55
11.25%	48	100000	2596.71
11.50%	48	100000	2608.90
11.75%	48	100000	2621.13
12.00%	48	100000	2633.38
10.25%	180	100000	1089.95
10.50%	180	100000	1105.40
10.75%	180	100000	1120.95
11.00%	180	100000	1136.60
11.25%	180	100000	1152.34
11.50%	180	100000	1168.19
11.75%	180	100000	1184.13
12.00%	180	100000	1200.17

Loan Amortization Schedule

The loan calculator tells you what the monthly payment is. Suppose that you want to know how much interest is being paid in a given year. This exercise will add a loan amortization schedule to the loan calculator.

The basic calculations used in the table are:

- Beginning balance (except for initial) = ending balance from previous period
- Interest (compounded monthly) = annual interest rate divided by 12, multiplied by the beginning balance for the period
- Principal = payment less interest
- Ending balance = beginning balance less principal

A loan calculator and amortization schedule is given below:

Loan Calculator

Interest rate	Term (months)	Loan Amt.	Monthly Payment
10%	24	100000	4614.49

Amortization Schedule

Period	Op. Bal	Payment	Interest	Principal	Cl. Balance
1	100000	4614.49	833.33	3781.16	96218.84
2	96218.84	4614.49	801.82	3812.67	92406.17
3	92406.17	4614.49	770.05	3844.44	88561.73
4	88561.73	4614.49	738.01	3876.48	84685.25
5	84685.25	4614.49	705.71	3908.78	80776.47
6	80776.47	4614.49	673.14	3941.36	76835.11
7	76835.11	4614.49	640.29	3974.20	72860.91
8	72860.91	4614.49	607.17	4007.32	68853.60
9	68853.60	4614.49	573.78	4040.71	64812.88
10	64812.88	4614.49	540.11	4074.39	60738.50
11	60738.50	4614.49	506.15	4108.34	56630.16
12	56630.16	4614.49	471.92	4142.57	52487.59
13	52487.59	4614.49	437.40	4177.10	48310.49
14	48310.49	4614.49	402.59	4211.91	44098.58
15	44098.58	4614.49	367.49	4247.00	39851.58
16	39851.58	4614.49	332.10	4282.40	35569.18

Period	Op. Bal	Payment	Interest	Principal	Cl. Balance
17	35569.18	4614.49	296.41	4318.08	31251.10
18	31251.10	4614.49	260.43	4354.07	26897.03
19	26897.03	4614.49	224.14	4390.35	22506.68
20	22506.68	4614.49	187.56	4426.94	18079.75
21	18079.75	4614.49	150.66	4463.83	13615.92
22	13615.92	4614.49	113.47	4501.03	9114.89
23	9114.89	4614.49	75.96	4538.54	4576.36
24	4576.36	4614.49	38.14	4576.36	0.00

As per the commitments given by member banks of BCSBI, an amortization schedule (schedule of repayment of principal and interest for the duration of the loan) is to be provided to the borrowers while advising sanction of loans.

LET US SUM UP

There is no licensing requirement for carrying out the profession of mortgage broker or mortgage advisor or home loan advisor. The concept of “home information pack” is new to our country. It is already introduced in UK. This pack contains important information about the property, condition and thus assists the buyers and sellers of property in concluding the deal. For home loan advisors, knowledge about time value of money and methods of computation of future value of investment, present value of maturity and future value of annuity, etc. will help to answer any queries of client. Even by applying rule of 72, 115 and 144, anyone can find out in how many months the amount will almost double, triple and becomes four times. For this, divide the number 72, 115, 144 by given percentage, you get the answer. For example, if the rate of interest is 12% divide 72 by 12, you get answer as 6. So at 12% rate, the amount will be almost double within 6 years. Similarly divide 115 by 12, and 144 by 12, you will get the period during which your principal amount will be almost triple and four times respectively.

The capital gain refers to profit on sale of capital assets. Land, building, securities, units of mutual funds are all capital assets. There is provision of enhancing value of cost of acquisition by applying cost inflation index (CII) factor taking into consideration CII for the year of purchase and year of sale. The general rate of long term capital gain tax is 20%. There are certain ways whereby capital gain is exempt from tax, e.g., if the capital gain is invested in certain specified securities (e.g., NHAI bonds) the tax rates for individual, woman and senior citizen needs to be referred and hence, it is necessary that up to date rates needs to be kept handy. The knowledge about the equated monthly instalment and amortization schedule is sine quo non for taking home loan decisions. The use of EXCEL Program helps to find out EMI quickly.

KEYWORDS

‘Home Information Pack’, Gift, Short Term Capital Gain, Long Term Capital Gain, Capital Gain Tax, Amortisation schedule, Cost Inflation Index

CHECK YOUR PROGRESS

1. Fill in the blanks by selecting suitable word given in the bracket.

- (i) A rupee _____ is worth more than a rupee _____ (tomorrow, today)
- (ii) By applying Rule 72, rupee will double in nine years if the rate of interest is _____ % p.a. (18%, 9 %, 8%, 6%)
- (iii) The registration fees for registration of documents in Maharashtra is approximately _____ % of the consideration of the document but subject to a maximum limit of ₹(3%, 2%, 1%, 50,000, 30,000, 20,000)
- (iv) Interest at 15% p.a. means monthly interest at _____ %

2. State whether the following statements are true or false:

- (i) In India, mortgage advice profession is carried out without any regulations.
- (ii) By applying Rule 72, rupee will double in nine years if the rate of interest is _____% p.a. (18%, 9 %, 8%, 6%)
- (iii) Cost Inflation Index from 2000–01 to 2006–07 and other information is given below
 - (a) 406, 426, 447, 463, 480, 497 and 519.
 - (b) Mr. Sukumar bought a house in 2001–02 for ₹3 Lakh and sold the same in 2006–07 for ₹7,00,000. Calculate the capital gains.

3. Select the correct statement from the following.

The documents relating to the following transactions of immovable properties are required to be compulsorily registered:

- (a) Gift
(b) Lease of immovable property where period is more than one year
(c) Instruments which create any right in an immovable property of a value of more than one hundred rupees.
- (i) (a) only
(ii) (a) & (b) only
(iii) All of the above
(iv) None of the above

ANSWERS TO CHECK YOUR PROGRESS

1. (i) Today, tomorrow (ii) 8% (iii) 1%, 30000 (iv) 1.25%
2. (i) True (ii) 8% (iii) ₹3,34,508
3. (iii) All of above



VALUATION OF REAL PROPERTY

STRUCTURE

30.0 Objectives

30.1 Introduction

30.2 Who does Valuation?

30.3 Land with Building

30.4 Life of Structures

30.5 Sinking Fund

30.6 Reverse Mortgage

Let Us Sum Up

Keywords

Check Your Progress

Answers to Check Your Progress

30.0 OBJECTIVES

Upon reading this Unit you will understand the following:

- Various methods of valuation of land and land with superstructure
- Life of structures
- Sinking fund
- Reverse Mortgage

30.1 INTRODUCTION

Valuation means assessment of the worth of an asset or property. The worth or value of a property is based on the income and other advantages that will accrue from the property in future. It is distinct from cost, which refers to the actual amount spent in producing an asset. Price is the cost of production plus profit of the producer. Price depends on demand and supply of a commodity and rises or falls accordingly. Cost is related to the past while value refers to the future. Thus, cost is not the same as value and price are not necessarily equal to value.

We attach value to things that are useful for satisfying our wants or needs. However, the utility of same asset varies from person-to-person. Again, the price of the commodity tends to be higher if it is available only in limited quantity (supply) while there are many buyers (demand). Another attribute of value is the transferability of the asset to the purchaser. Thus, a real property derives value if it possesses utility, scarcity and demand apart from transferability.

It may be noted that value undergoes change with passage of time because of change in demand and supply conditions, lifestyle changes, and physical deterioration due to wear and tear (depreciation).

30.2 WHO DOES VALUATION?

Valuation is a specialized area practiced by qualified engineers and architects who possess knowledge of building costs, awareness of market conditions and economic trends, developmental plans, legal statutes and provisions governing real property, rental income and outgoings, etc. The valuer is required to collect data on aforesaid aspects but as the information is not easily accessible and/or authentic particularly about demand and supply, the valuer has to rely on his own experience and judgment in arriving at the fair market value. It is hence inevitable that there will be difference of opinion between two Valuers in respect of the value of same property.

The Income-tax Department grants registration to Valuers u/s 34AB of the Wealth Tax Act, 1957, on the basis of their technical background and experience. For the purpose, the Department has classified Valuers under separate categories - those for (a) immovable property, (b) agricultural land, (c) plant & machinery (d) jewellery, etc.

The Institution of Valuers, Delhi is a professional body that grants membership to practicing Valuers. There are several Banks/Financial Institutions, which require besides registration under Wealth Tax Act, membership/fellowship of the Institution.

Types of Real Property

Agricultural land: Agricultural land means land capable of being used for farming or for raising plants or trees that carry value. The factors that influence the return from agricultural land are:

- a. Location
- b. Soil quality
- c. Availability of water & electricity
- d. Size of holding
- e. Clear Title of land
- f. Access by road and approaches
- g. Cottage or Farm house, fencing and gates
- h. Types of crops that can be cultivated

Valuation of agricultural land is done by following two methods:

Income Capitalisation Method: The income is determined by assuming that the land is rented on crop- sharing basis. The net annual income is arrived at after deducting the expenses incurred such as local taxes, cost of maintenance, cost of inputs, insurance etc. and the amount is then capitalized at an appropriate rate of interest to get the value of land.

Capitalised value means the amount of money required today to get a certain fixed income in the form of annual instalments over a very long time (perpetuity). The present value of future annual income is obtained by multiplying it by a factor called 'Years Purchase' (YP). The factor or multiplier is so called because it represents the purchase price for the yearly income. It is obtained from Present Value tables and for annual income in perpetuity (asset that does not depreciate), it is equal to $1/i$ where 'i' is the rate of interest.

Sales Statistics Method: In this method, the valuation is based on the comparable sale value of similar agricultural land located in the vicinity of the land to be valued. The factors generally considered for comparison are:

1. Size of holding
2. Physical features, roads, fencing, cottages, soil quality, etc.
3. Title of land and conditions of letting out for cultivation

Urban land

Urban open lands could be put to residential or industrial use and their value depends on their potential for development through construction of appropriate structures. The factors that have a bearing on value of vacant land are:

1. Location – nearness to schools, shops, entertainment, transport, medical, recreation facilities, police station, etc.

2. Size, shape and level – there is larger demand for plots of certain sizes in particular locality. Similarly, plots of irregular shape or at lower than road level carry lower value.
3. Usage: A commercial land is more valuable than residential or industrial land. Similarly, residential and industrial lands are more valuable than agricultural land. Hence, it is important to determine the usage of land to evaluate its price.
4. Soil quality, water availability – low bearing capacity of soil increases the cost of foundation.
5. Frontage & depth – Street frontage adds to value while disproportionate depth reduces value of plot.
6. Restrictions on development – Land with higher FSI commands higher price. FSI or Floor Space Index (also called Floor Space Area – FAR) refers to the ratio of total built-up area inclusive of all floors to the area of land on which the building is constructed. It is determined by local authority and varies for different areas or different buildings in the city. Available FSI refers to the difference between the permissible FSI and the FSI utilized.
7. Encumbrances – such as easement rights, unauthorized hutment dwellers, etc. – The value of land with encumbrances is much less compared to land with no encumbrance.
8. Vastu: Many people in India believe in Vastu Shastra. North facing and East facing plots command premium over West facing and South facing plots.
9. Return Frontage: A plot with multiple frontages commands premium over a plot with single frontage. For eg. a corner plot or a three side open plot will be priced higher than a plot with only one side open to road.

Valuation of open land is done by following methods—

Comparative Method: It is the most popular method. The value is determined on the basis of a fair rate for land situated in the vicinity as reflected from various recent sale-purchase transactions. The Valuer has to draw on his experience while using this method, as the land rates as per sale deeds do not often reflect the actual rate. Land value in urban areas is a function of the collective demand for real property, both present and future.

Rent Capitalisation Method: First, a comparable property in nearby area on rent is used as benchmark and the capitalised value is calculated by multiplying the net income by Years Purchase. Next, the replacement cost of the building is worked taking into account the quality of construction, etc., and its present value is worked out by charging suitable depreciation. The value of land is obtained by subtracting the latter from the capitalised value.

The net rental income, on an average, varies from 4% to 6.5% depending on the location for residential property and from 6% to 9% for commercial property.

Belting Method: This method of valuation of land takes into account the frontage and depth of the plot. It is adopted for big size plots with lesser frontage and more depth. The land is divided into several belts running parallel to the frontage and progressively lower rates are taken for belts farther from the frontage.

Extraction Method: In this method of land valuation, the unit prices for comparable land are extracted from a developed property in the vicinity by deducting the estimated value of the

built up area from the sale price. Then the value can be adjusted for any difference in size, shape, location and any other features. The accuracy of this method depends on the quality of depreciation estimate of built up area. That is why, this method is generally used only for properties with newly built up areas that have negligible depreciation, or for properties where the built up area only represents a small component of the total value of the property.

Guideline Value: In order to ascertain the value of the land for the purpose of stamp duty, property tax, wealth tax etc. government publishes guideline values for relevant period and location.

One must conduct a site visit and carefully study all available documents to collect all information needed for land valuation. Depending on the information available, one should carefully select any of the above land valuation methods to value land. One can also use multiple methods to cross check and compare valuations.

30.3 LAND WITH BUILDING

The methods used for valuation of land with building are:

Comparative Method: The Town Planning Deptt. Generally adopts the Comparative Method for estimating the value of land with building because the property is generally sold as a single piece *i.e.* land with building. The term composite rate is used to indicate the rate of land together with the structure erected on it. The rate is determined by collecting information on sale rates of nearby similar properties in recent past. The method is used for valuation of residential flats and office units in multi-storied buildings in urban areas. The Apartment Ownership Acts have been framed by State Governments to give a marketable title to the purchasers of the premises as residence, office, showroom or godown.

Rent Capitalisation Method: The rental income is the rent actually paid when the property has been let out in the recent past *vis-à-vis* the date of valuation. However, the actual rent may not always represent the fair rental income in cases where the tenant has paid some lump-sum amount upfront or the property is newly constructed, etc. When the property is self-occupied or vacant, the rental value is estimated by comparison to the rent received from similar properties in the locality. One must look into the terms of letting, the floor area, date of letting, etc., for making a reasonable comparison.

Valuation based on profits: In cases of property which is used for conducting trade or business, like hotels, cinema houses, restaurants, etc., the valuation is done on the basis of capitalized value of the net profit as reflected in the books of account of the business entity. The net profit is capitalized by multiplying it by the YP for certain number of years or in perpetuity, for a rate of return pertinent to the specific business.

Valuation based on cost: The present cost of building is estimated with prevalent rates taking into account the type of construction, age and condition of the building and appropriate depreciation is charged to get the depreciated value. The value of land is worked out on the basis of current

rates after making due allowance for the encumbrance factor. The total value of property is worked out by adding the two.

Encumbrance factor refers to the value imposed on the land due to the type of structure erected on it because it is the earning capacity of the building that determines the value of the land. The type of building puts a constraint on deriving the full economic value of land and thus encumbers the land.

This method is generally adopted in cases where sale instances are not available for comparison. The method is suitable for such type of properties as hospitals, police stations, libraries, town halls, temples, mosques, etc. The valuation may be required for purposes of fire insurance, etc.

Development Method: This method is based on the potential value of the property if it is developed in the best possible manner by making necessary modifications. The property may be open land or land with building. The cost of additions and alterations is estimated and the difference between the estimated increase in capital value and the estimated cost of additions, etc., represents the potential value. This method is useful for properties, which possess hidden value on account of development or re-development possibilities.

Valuation of specialized buildings: Buildings erected to serve specific purpose such as bars, breweries, hotels, motels, cinema houses are valued by specialists having experience of market practices and rules that apply to the particular trade. The business can be pursued only after a license is obtained from the authorities. When the business is sold as a going concern, one has to take into account the value of intangible assets such as monopoly, goodwill, competence of management, etc., apart from the value of the premises.

Valuation is based on capitalization of average net profit over past couple of years at appropriate rate of interest. This method is also known as the balance-sheet method. The rate of interest for capitalization should represent not only the normal rate of return for the type of business but also the risks and uncertainties involved in it. The valuation exercise in respect of cinema houses or hotels requires a proper assessment of gross income from the business and also the shops & service establishments which have been leased out space in the premises. Likewise, an estimate of direct and overhead expenses including taxes has to be made to arrive at net income. The Valuer needs to have knowledge of occupancy rates, management quality, standard of accommodation and other facilities available like parking lot, lifts, garden, etc., for making a reasonable assessment of value.

30.4 LIFE OF STRUCTURES

A Valuer is required to make an estimate of the future life of the building during which it can yield an assured income, while carrying out the valuation of land with building constructed on it. A building loses capital value with passage of time due to wear & tear, advent of new construction technology and provision of improved amenities in new buildings, etc. The durability of the structure is estimated on the basis of materials used in construction, maintenance, climatic

conditions, etc. Normally, the life of buildings varies from 40 years to 80 years. The useful life of a building can be extended by proper upkeep and maintenance of the property, making suitable additions and alterations to structure to improve its strength and durability, etc.

30.5 SINKING FUND

At the end of life of the structure *i.e.*, when it ceases to yield desired income, a property has to be replaced or rebuilt so that the income may continue for further period. The fund set aside for the purpose of recovering the original capital is called sinking fund. The amount to be regularly set aside out of annual income to create the sinking fund depends on the compound interest it is supposed to earn over the life of the structure. The sinking fund factor is the amount that accumulates to Re. 1 if invested at specified rate of interest for certain number of years. It can be obtained from Valuation Tables. The factor for redemption of Re. 1 at the end of 25 years @ 5% compound interest is 0.021 from the table (*see* Appendix). Thus the sinking fund for redeeming original capital of ₹15 Lakh will be $15,00,000 \times 0.021 = 315,000$.

In actual practice, separate provision for sinking fund is not done but the capitalized value is obtained by referring to dual rate Valuation Tables to determine the multiplying factor (YP) based on income for a specified period (life of building) at particular interest rate and redemption of capital at another rate of interest. Thus, the YP or present value of Re. 1 per annum for income @ 10% rate of interest and redemption of capital @ 5% rate of interest for a period of 25 years is 8.27 as per the tables (*see* Appendix). In other words, if a property is purchased for ₹8,00,000, its capitalized value will be $8.27 \times 8,00,000 = 66,16,000$.

Depreciation

Depreciation means loss in value. A building loses value due to deterioration in its physical condition as a result of usage (wear & tear), effect of climatic conditions, poor structural design or workmanship. An estimate of the useful life of the building is made after which it will become unserviceable and depreciation is charged accordingly so that accumulated depreciation becomes equal to the original investment at the end of its life.

A building also loses value due to obsolescence. There is continual improvement in construction technology and architecture and new buildings provide more comfortable living conditions by providing better amenities such as modular kitchen, wash basins, hot and cold water, geyser, lift, better ventilation, etc.

There are several methods to calculate depreciation but the following two methods are usually adopted: Straight Line Method: In this method, the depreciation is allocated uniformly over the life of the property and is generally adopted for tax purposes and preparing financial statements. The annual depreciation is given by:

$$D = \frac{C - S}{n}$$

D is annual depreciation, C is original cost,

S is salvage value (value that property may fetch at the end of useful life),

n is life of building in years.

Written Down Value (WDV) Method: In this method, it is assumed that the property will lose value by a constant percentage of its value at the beginning of the year. Thus, the amount of depreciation goes on reducing every year because while depreciation is charged at fixed percentage, the capital value of asset decreases by depreciation charged every year. The object is to charge higher depreciation in initial years when the asset yields higher income due to low cost of repairs & maintenance and lower depreciation in later years when cost of repairs goes up. This method is also called the Declining Balance Method and is generally adopted by industrial units because of advantage of lower income-tax. The WDV of an asset can be found out by the formula:

$$WDV = C (1 - p)^n$$

C being original cost, n being life in years, and p being the percentage at which depreciation is charged. Here, salvage value is assumed as zero.

30.6 REVERSE MORTGAGE

Statistics released by the Union ministry of Health and Family Welfare show that life expectancy in India has gone up by five years, from 62.3 years for males and 63.9 years for females in 2001–2005 to 67.3 years and 69.6 years respectively in 2011–2015. “The life expectancy at birth in 2019 has improved further 69.5 years for men and 72 years for women, which has come down to 67.5 years and 69.8 years, respectively, in 2020,” due to pandemic Covid-19 as per report published in a journal ‘BMC Public Health’ recently. International Institute for Population Studies (IIPS) professor Suryakant Yadav has authored the report. Experts attribute this jump – higher than that in the previous decade – to better immunization and nutrition, coupled with prevention and treatment of infectious diseases.

Unfortunately, the social security blanket available in the developed countries is not there in India to the extent desired. Therefore, the erosion in savings due to rising cost of inflation, the absence of social security or old age pension, fall in the real value of pension when received and the rising cost of health care have not augured well for the senior citizens and have made sustenance difficult for them. Besides other social issues like nuclear families, migration of children or being childless, have also contributed significantly to the economic struggle of the senior citizens.

In a majority of the cases, it has been observed that they have property which however, is non-income generating. These people have often pooled their life savings in the creation of their wealth i.e., real estate, without having sufficient liquidity to care of their day to day requirements. While, the value of the property has been spiralling, so has the cost of living. The senior citizens,

many times, are therefore, left with little option but to sell their property or move out to maintain their living standards or to meet their medical exigencies.

Reverse Mortgage Loan, seeks to generate income from the property owned and resided in by the senior citizens to enable them to lead an independent and dignified life. For these citizens, it is an additional mechanism to supplement their existing sources of income, at the same time remaining as the owners of their property and continuing to occupy it. Besides, they are also freed from the burden of repaying the loan/servicing the interest.

Differentiating between Mortgage and Reverse Mortgage

In a normal housing loan, where the property being purchased is mortgaged to the lender, the borrower avails a loan to begin with and at that point of time, his stake in the property purchased is low. As the regular EMI is paid on due dates, the loan amount reduces and his stake in the property increases. However, in Reverse Mortgage, the position is exactly the reverse. Under Reverse Mortgage Loan, the borrower initially retains a high stake in his property and receives a regular cash flow. Over time, when the loan amount increases, his stake in the property reduces.

Reverse Mortgage Loan (RML) – Salient features

The scheme was introduced in India in 2007 and made applicable with effect from April 01, 2008. Banks like State Bank of India, Central Bank of India, etc., have issued guidelines under RML. Reverse Mortgage Loan (RML) is a Scheme developed by the National Housing Bank (NHB) to help Senior Citizens (persons above the age of 60 years) to avail of periodical payments from a lender against the mortgage of his/her house while remaining the owner and occupant of the house. The borrowers are not required to service the loan during their lifetime and, therefore, do not make monthly repayments of principal and interest to the lender. RMLs are extended by Primary Lending Institutions (PLIs), such as Scheduled Banks and Housing Finance Companies (HFCs).

Eligibility criteria

- a. Indian Citizen above 60 years of age.
- b. Married couples will be eligible as joint borrowers for joint assistance. In such cases, the age criteria for the couple would be at the discretion of the RML lender, subject to at least one of them being above 60 years of age and the other not below 55 years of age.
- c. Should be the owner of a residential property (house or flat) located in India, with clear title indicating the prospective borrower's ownership of the property.
- d. The residential property should be free from any encumbrances.
- e. The residual life of the property should be at least 20 years.
- f. The prospective borrower(s) should use that residential property as permanent primary residence.
- g. Commercial property is not eligible for availing RML.

Salient features

- a. Reverse Mortgage Loan (RML) enables a Senior Citizen, i.e., above the age of 60 years to avail of periodical payments from a lender bank against the mortgage of his/her house while remaining the owner and occupying the house.
- b. The Senior Citizen borrower is not required to service the loan during his/her lifetime and therefore, does not make monthly repayments of principal and interest to the bank.
- c. RMLs are extended by Primary Lending Institutions (PLIs) viz., Scheduled Banks and Housing Finance Companies (HFCs) registered with NHB.
- d. The amount of RML available under RML depends on the age of the borrower, appraised value of the house and the prevalent interest rates of the lending institution.
- e. The maximum monthly payments under RML have been capped at ₹50,000/- The maximum lump-sum payment shall be restricted to 50% of the total eligible amount of loan subject to a cap of ₹15 Lakh, to be used for medical treatment for self, spouse and dependents, if any. The balance loan amount would be eligible for periodic payments.
- f. The disbursement can be effected through monthly/quarterly/half-yearly/annual disbursements or a lump-sum or as a committed line of credit or as a combination of the three.
- g. The maximum period of the loan is 20 years. (The maximum period over which the payments can be made to the reverse mortgage borrower).
- h. The loan amount may be used by the Senior Citizen borrower for varied purposes including up- gradation/renovation of residential property, medical exigencies, etc.
- i. All payments under RML shall be exempt from income tax under Section 10(43) of the Income- tax Act, 1961.
- j. Any transfer of a capital asset in a transaction of reverse mortgage shall not be regarded as a transfer. A borrower, under a reverse mortgage scheme, will be liable to income tax (in the nature of tax on capital gains) only at the point of alienation of the mortgaged property by the mortgagee for the purposes of recovering the loan.
- k. In case the borrower outlives the loan tenure, the borrower will remain the owner of the house property and need not service the loan during his/her lifetime as long as the property is used as primary residence. Periodic payments under RML will cease after the conclusion of the loan tenure. Interest will accrue until repayment. On death of the borrower or when he/she moves out of the house permanently, the loan will be repaid out of the sale proceeds of the mortgaged house.
- l. RML will be settled by proceeds obtained from sale of the house property mortgaged. After the final settlement, the remaining amount (if any) will be given to the borrower or his/her heirs/ beneficiary. However, the borrower or his/her heirs may repay the loan from other resources without bringing the property to sale.
- m. The borrower may qualify for a reverse mortgage even if he or she still owes money on an existing mortgage. However, the reverse mortgage must be in a first lien position, so any existing mortgage must be paid off.

- n. The borrower(s) or his/her heirs also have the option of prepaying the loan at any time during the loan tenor or later, without any prepayment levy.
- o. Generally, the owner of the residential property and his/her spouse are joint borrowers in an RML. In the event of death of one borrower (say, the owner), the other (i.e., the spouse) may continue to live in the property till his/her death.
- p. The scheme is applicable for the entire country including rural areas. The property should be mortgagable. In some rural areas agricultural land cannot be mortgaged and hence reverse mortgage loans cannot be considered against a house constructed on such agricultural land.
- q. There is no minimum period of ownership of property required.
- r. Valuation of the residential property would be done at such frequency and intervals as decided by the reverse mortgage bank, which in any case shall be at least once every five years.
- s. The quantum of loan may undergo revisions based on such re-valuation of property at the discretion of the lender.
- t. The bank will have limited recourse i.e., only to the mortgaged property in respect of the RML extended to the borrower.
- u. All reverse mortgage loan products are expected to carry a clear and transparent 'no negative equity' or 'non-recourse' guarantee. That is, the Borrower(s) will never owe more than the net realizable value of their property, provided the terms and conditions of the loan have been met.
- v. The Reverse Mortgage loan can be prepaid at any time during the currency of the loan. On clearance of all the dues, all the title deeds will be returned by the lender.

Though the RML scheme apparently enables senior's regular income by mortgaging the home with the lending bank, the product has not met with much success. The reasons attributed to the position are as under:

- a. RML does not provide regular income after the fixed tenure of 15–20 years. After the period, the payment will stop even though the owner continues to occupy the home leading to uncertainty as to how to manage without cash payment after the loan term.
- b. The loan amount, as compared to the value of the home, is quite low. Under RML, the value is decided based on guideline values set by the government and the loan amount may be a small fraction of the price in case the owner opts to sell it.
- c. The actual monthly payments one will receive in a reverse mortgage loan is quite low as compared to market interest rates.
- d. The property will be assessed periodically and payments adjusted accordingly. In case of any reduction in the market value at a later period, the owner will bear the brunt then.

Formula to Calculate the Periodic Payments under RML

The formula to calculate the periodic payments, as available in the website of NHB, is as under:

$$\text{Instalment Amount} = (PV * LTVR * I((1+I)^n - 1))$$

Where, PV = Property Value;

LTVR = LTV Ratio;

n = No. of Instalment Payments;

I = the value of I will depend on Disbursement Frequency selected.

LET US SUM UP

Valuation of real property is a specialized area. It calls for technical knowledge related to structural design, construction materials, architectural aspects etc. as well as cost of construction based on estimate of items of work, quantity of materials & rates, labour rates, cost of electrical fittings, plumbing and water supply and many other costs associated with building construction. It also requires knowledge of various sanctions and approvals required from civic authorities and the rules pertaining to permissible FSI, parking facilities, provision of lifts, etc. Further, it calls for familiarity with incidence of taxes and levies, statutes and legal provisions such as the Apartments Act, Stamp duty, Registration fees and the documentation for transfer of clear and marketable title to the purchaser. The Valuer must also keep track of the demand and supply conditions, which influence market value such as changes in interest rates on housing loans, high/low disposable income, increase/decrease in rentals, Development Plan for the City, etc.

Depreciation refers to the decrease in value of property due to physical deterioration, obsolescence, changes in neighbourhood (new buildings with better amenities coming up), etc. The normal life of buildings (CPWD manual) is 75 years for RCC framed structure, 55 years for Load bearing wall structure and 30 years for semi-permanent structure. Salvage value is the estimated cost of material when the structure is demolished at the end of its life. It is normally taken as 10% of the actual cost of building. Depreciation is usually charged by Straight Line method or Written Down Value method.

There are several methods for valuation of real property and though valuation is not entirely a mathematical exercise, some of these make use of mathematical tables. Broadly, valuation is done by (i) Comparative method, (ii) Rent capitalization method, (iii) Profits capitalization method, (iv) Replacement cost method and (v) Development method.

Valuation tables are available and facilitate determination of capitalized value for different interest rates and number of years. Tables are also available for dual rates of interest – one for rental income and the other for sinking fund.

KEYWORDS

Transferability; FSI/FAR; Capitalisation; Years Purchase; Encumbrance factor; Depreciation; Sinking Fund; Building life; Frontage & Depth; Potential Value

CHECK YOUR PROGRESS

1. A newly constructed building stands on a plot costing ₹1,00,000. The construction cost of building is ₹20,00,000 and the estimated life of building is 66 years. The investor wants a 5% return on land cost and 6% return on the construction cost. Calculate the annual rent to be charged if annual repairs cost 0.5% of cost of construction and other outgoings equal 30% of gross rent. The co-efficient for sinking fund at 3% for 66 years may be taken as 0.005.

Return on land cost = 5% of 1,00,000 = 5,000

Return on construction cost = 6% of 20,00,000 = 1,20,000

Total Income desired = ₹1,25,000 (a)

Let gross annual rental be 'r'

Outgoings: Annual repairs = 0.5% of 20,00,000 = 10,000/-

Other outgoings = 30% of r or 0.30 r

Amount towards sinking fund = $0.005 \times 20,00,000 = 10,000$

Hence, net income = $r - 0.30 r - 20,000$ (b)

Equating (a) and (b), $0.70 r - 20,000 = 1,25,000$

$0.70r = 1,25,000 + 20,000$

$r = 1,45,000/0.70 = 2,07,143$

Hence, rent per month = $2,07,143/12 = \text{Rs. } 17,262/-$

2. A temporary structure has been constructed at a cost of ₹1,20,000. Assuming its salvage value as ₹30,000 at the end of 6 years, determine the amount of depreciation for each year by Straight Line method and WDV method at 15% per annum.

Straight line method: = ₹15,000

At the end of 6 years, total depreciation is ₹90,000 and book value is $1,20,000 - 90,000 = 30,000$ (salvage value)

Rate of Depreciation: $p = 1 - (S/C)^{1/n}$
 $= 1 - (30000/120000)^{1/6}$
 $= 1 - 0.7936 = 0.2064$

The following table shows depreciation chart @ 20.64%

Age	Depreciation for the year	Accumulated depreciation	WDV
1	24770	24770	95230
2	19650	44420	75580

Age	Depreciation for the year	Accumulated depreciation	WDV
3	15600	60020	59980
4	12380	72420	47600
5	9820	82220	37780
6	7780	90000	30000

Thus, the WDV at the end of 6 years is ₹30,000, which is the salvage value of the property.

3. Find out the encumbrance factor and value of the usable FSI from following particulars of the property:

Land area – 533 m²

Total built-up area – 205 m²

Permissible FSI – 1

Rate of construction cost – ₹5,000 per m²

Rate of land cost – ₹2,000 per m²

Desired rate of return – 9%

Usable carpet area – 155 m²

Monthly Rent on carpet area basis – ₹50 per m²

Solution

Cost of construction = $205 \times 5000 = 10,25,000$

Cost of FSI used = $205 \times 2000 = 4,10,000$

Total cost = 14,35,000

Desired Yield @ 9% = $1435000 \times 0.09 = 1,29,150$

Estimated Yield = $50 \times 155 \times 12 = 93000$

Usual outgoings = $1/6$ of yield = $93000/6 = 15500$

Net annual yield = 77,500

Hence, encumbrance factor = $77500/93000 = 0.833$

Usable FSI = $533 - 205 = 328$ m²

Value of usable FSI = $328 \times 0.833 \times 2000 = 546448$

4. Which one of the following statements in respect of Reverse Mortgage Loan (RML) is appropriate?

- RML provides the person who owns the house to retain and release capital without effecting sale.
- Persons beyond the age of 55 are not eligible for RML.

- (c) Under RML the borrower is required to service the interest when called for.
- (d) The borrower's stake is low initially under RML.

ANSWERS TO CHECK YOUR PROGRESS

- 4. (a)

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APPENDIX

Annual sinking fund for redemption of Re. 1 capital

Illustrative table

Years	Rate percent		
	3	4	5
25	0.027	0.024	0.021
30	0.021	0.018	0.015
40	0.013	0.011	0.008
50	0.009	0.007	0.005

Present Value of Re. 1 allowing return on capital @ 10% p.a. and redemption of capital @ 5% p.a.

Illustrative table

Years	Redemption of capital at %		
	4.5	5	6
15	6.75	6.83	6.99
20	7.58	7.68	7.86
25	8.17	8.27	8.46
30	8.59	8.69	8.88

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